STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
320 S. WALNUT ST., LANSING, MICHIGAN 48933
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **32**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	LEO
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEMS (MICHIGAN INTEGRATED DATA AUTOMATED SYSTEM MIDAS & MICHIGAN WEB ACCOUNT MANAGER MIWAM) SYSTEMS

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	6 - 1 Year	September 30, 2025

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ PRC	☐ Other	☐ Yes	☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☐		September 30, 2025

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$86,001,785.72	$2,948,000.00	$88,949,785.72

DESCRIPTION

Effective 11/15/2022, this Contract is increased by $2,948,000.00 for LEO use. This funding covers the additional 7 FTE resources for year one of the Useful Life Extension (10/1/2022 - 9/30/2023).

Pricing on this Contract is increased for the additional 7 FTE resources as follows:

Year 2: Oct 2023 -Sept 2024: $3,066,000/yr or $255,600/month (if needed)
Year 3: Oct 2024 -Sept 2025: $3,189,000/yr or $265,800/month (if needed)

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 11/15/2022.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Britton Mailand	517-388-3031	mailandb@michigan.gov
DTMB	John Walker	313-456-3190	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
320 S. WALNUT ST., LANSING, MICHIGAN 48933
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **31**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	LEO
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEMS (MICHIGAN INTEGRATED DATA AUTOMATED SYSTEM MIDAS & MICHIGAN WEB ACCOUNT MANAGER MIWAM) SYSTEMS

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	September 30, 2025

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ PRC	☐ Other	☐ Yes	☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☐		September 30, 2025

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$75,461,785.72	$10,540,000.00	$86,001,785.72

DESCRIPTION

Effective 10/11/2022, this Contract is increased by $10,540,000.00 for LEO use.

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 10/11/2022.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Britton Mailand	517-388-3031	mailandb@michigan.gov
DTMB	John Walker	313-456-3190	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
320 S. WALNUT ST., LANSING, MICHIGAN 48933
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **30**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	LEO
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEMS (MICHIGAN INTEGRATED DATA AUTOMATED SYSTEM MIDAS & MICHIGAN WEB ACCOUNT MANAGER MIWAM) SYSTEMS

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	September 30, 2022

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ PRC	☐ Other	☐ Yes	☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☒	3 Years	September 30, 2025

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$70,191,785.72	$5,270,000.00	$75,461,785.72

DESCRIPTION

Effective 9/29/2022, per Chapter 5.7.6 of the M.P.P.M. under Useful Life Extension, this Contract is extended for three years, with one additional one-year option, and is increased by $5,270,000.00. The revised contract expiration date is 9/30/2025.

The following amendments are incorporated into this Contract per the attached updated Terms, Pricing, Insurance Requirements, Service Level Agreement, Data Security Requirements, Federal Provisions Addendum, Schedules, Attachments, and Data Sharing Agreement. These changes include the following:

- Annual Maintenance and Support – including 2 FTE - 1,200,000.00 per year
- Maintenance and Support - Level 3 (includes upgrades) - $3,300,000.00 per year
- FAST Batch Monitor Services - $110,000.00 per year
- FAST SMS Gateway Services - $240,000.00 per year
- FAST Centralized Technical Assistance (CTA) Support - $420,000.00 per year

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central

Procurement Services approval, and State Administrative Board approval on 9/13/2022.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Britton Mailand	517-388-3031	mailandb@michigan.gov
DTMB	John Walker	313-456-3190	walkerj5@michigan.gov

The purpose of this Change Notice is to extend the existing Contract #071B1300367, and update applicable contract terms and conditions, security language, support services, and other language as required.

Now, therefore, the parties agree to incorporate the following changes to the Contract:

1) The following definitions are incorporated into this Contract –

"**Contractor Personnel**" means all employees of Contractor in the performance of Services hereunder.

"**PAT**" means a document or product accessibility template, including any Information Technology Industry Council Voluntary Product Accessibility Template or VPAT®, that specifies how information and software products, such as websites, applications, software and associated content, conform to WCAG 2.0 Level AA.

"**Service Level Agreement"** means the schedule attached as **Schedule B**, setting forth the Support Services Contractor will provide to the State, and the parties' additional rights and obligations with respect thereto.

"**Support Services**" means the software maintenance and support services Contractor is required to or otherwise does provide to the State under the Service Level Agreement.

"**WCAG 2.0 Level AA**" means level AA of the World Wide Web Consortium Web Content Accessibility Guidelines version 2.0.

2) Section 2.006 of the Contract is hereby deleted and replaced in its entirety with the following –

2.006 Entire Agreement.

This Contract, including a Data Sharing Agreement (DSA) between the parties dated September 30, 2022, Statements of Work and other Schedules and Exhibits, constitutes the sole and entire agreement of the parties to this Contract with respect to the subject matter contained herein, and supersedes all prior and contemporaneous understandings and agreements, representations and warranties, both written and oral, with respect to such subject matter. In the event of any inconsistency between the statements made in the body of this Contract, the DSA, the Schedules, Exhibits, and a Statement of Work, the following order of precedence governs: (a) first, the DSA; (b) second, this Contract, excluding its Exhibits, Schedules, and Statements of Work; (c) third, Schedule A – Data Security Requirements; (d) forth, Schedule B – Service Level Agreement; (e) fifth, each Statement of Work; and (f) sixth, any remaining Appendices, Exhibits, and

Schedules to this Contract. NO TERMS ON CONTRACTOR'S INVOICES, WEBSITE, BROWSE-WRAP, SHRINK-WRAP, CLICK-WRAP, CLICK-THROUGH OR OTHER NON-NEGOTIATED TERMS AND CONDITIONS PROVIDED WITH ANY OF THE SERVICES, OR DOCUMENTATION HEREUNDER, EVEN IF ATTACHED TO STATE'S DELIVERY OR PURCHASE ORDER, WILL CONSTITUTE A PART OR AMENDMENT OF THIS CONTRACT OR IS BINDING ON THE STATE OR ANY AUTHORIZED USER FOR ANY PURPOSE. ALL SUCH OTHER TERMS AND CONDITIONS HAVE NO FORCE AND EFFECT AND ARE DEEMED REJECTED BY THE STATE AND THE AUTHORIZED USER, EVEN IF ACCESS TO OR USE OF SUCH SERVICE OR DOCUMENTATION REQUIRES AFFIRMATIVE ACCEPTANCE OF SUCH TERMS AND CONDITIONS.

3) Section 2.091 is hereby deleted and replaced in its entirety with the following –

2.091 Contractor Personnel and Background Checks.

Contractor is solely responsible for all Contractor Personnel and for the payment of their compensation, including, if applicable, withholding of income taxes, and the payment and withholding of social security and other payroll taxes, unemployment insurance, workers' compensation insurance payments and disability benefits.

Prior to any Contractor Personnel performing any Services, Contractor will (a) ensure that such Contractor Personnel have the legal right to work in the United States; (b) upon request, require such Contractor Personnel to execute written agreements, in form and substance acceptable to the State, that bind such Contractor Personnel to confidentiality provisions that are at least as protective of the State's information (including all Confidential Information) as those contained in this Contract; and (c) upon request, or as otherwise specified in a Statement of Work, perform background checks on all Contractor Personnel in accordance with Contractor's standard background check policy excluding any Federal Bureau of Investigation background checks that require fingerprinting. Documentation must be provided as requested. Contractor is responsible for all costs associated with the requested background checks. The State, in its sole discretion, may also perform background checks on Contractor Personnel. Pursuant to Michigan law, all agencies subject to IRS Pub. 1075 are required to ask the Michigan State Police to perform fingerprint background checks on all employees, including Contractor and subcontractor employees, who may have access to any database of information maintained by the federal government that contains confidential or personal information, including, but not limited to, federal tax information. Further, pursuant to Michigan law, any agency described above is prohibited from providing Contractors or subcontractors with the result of such background check. For more information, please see Michigan Public Act 427 of 2018.

Contractor and all Contractor Personnel will comply with all rules, regulations, and policies of the State that are communicated to Contractor in writing, including security procedures concerning systems and data and remote access, building security procedures, including the restriction of access by the State to certain areas of its premises or systems, and general health and safety practices and procedures.

4) Section 2.096 is hereby added as follows –

2.096 Data Security Requirements.

Throughout the term of the Contract and at all times in connection with its actual or required performance of the Services, Contractor will comply with the State's existing data privacy and information security program – including physical, technical, administrative and organizational safeguards, and the requirements of the State's data security policies – as set forth in Schedule E.

5) Section 2.201 is hereby deleted and replaced in its entirety with the following –

2.201 Nondiscrimination.

Under the Elliott-Larsen Civil Rights Act, 1976 PA 453, MCL 37.2101, et seq., the Persons with Disabilities Civil Rights Act, 1976 PA 220, MCL 37.1101, et seq., and Executive Directive 2019-09, Contractor and its subcontractors agree not to discriminate against an employee or applicant for employment with respect to hire, tenure, terms, conditions, or privileges of employment, or a matter directly or indirectly related to employment, because of race, color, religion, national origin, age, sex (as defined in Executive Directive 2019-09), height, weight, marital status, partisan considerations, any mental or physical disability, or genetic information that is unrelated to the person's ability to perform the duties of a particular job or position. Breach of this covenant is a material breach of the Contract.

6) Section 2.202 is hereby deleted and replaced in its entirety with the following –

2.202 Unfair Labor Practices.

Under MCL 423.324, the State may void any Contract with a Contractor who appears on the Unfair Labor Practice register compiled under MCL 423.322.

7) Section 2.205 is hereby added as follows –

2.205 Strategic Partner.

Contractor warrants that it is neither currently engaged in nor will engage in the boycott of a person based in or doing business with a strategic partner as described in 22 USC 8601 to 8606.

8) Section 2.206 is hereby added as follows –

2.206 Accessibility Requirements.

(a) Contractor's Proprietary Software under this Contract, including associated content and documentation, must conform to WCAG 2.0 Level AA. Contractor must provide a description of the Contractor's Proprietary Software's conformance with WCAG 2.0 Level AA specifications by providing a completed PAT upon the State's request. Throughout the Term of the Contract, Contractor must:

(i) maintain compliance with WCAG 2.0 Level AA and meet or exceed the level of conformance provided in its written materials, including the level of conformance provided in each PAT;

(ii) comply with plans and timelines approved by the State to achieve conformance in the event of any failure of the Contractor's Proprietary Software to conform to WCAG 2.0 Level AA ;(iii) ensure that no maintenance release, new version, update or patch, when properly installed in accordance with this Contract, will have any adverse effect on the conformance of Contractor's Proprietary Software to WCAG 2.0 Level AA;

(iv) promptly respond to any complaint the State receives regarding accessibility of Contractor's Proprietary Software;

(v) upon the State's written request, provide evidence of compliance with this Section by delivering to the State Contractor's most current PAT for the Contractor's Proprietary Software; and

(vi) participate in the State of Michigan Digital Standards Review described below.

(b) State of Michigan Digital Standards Review. Contractor must assist the State, at no additional cost, with development, completion, and on-going maintenance of an accessibility plan to the extent it relates to Contractor's Proprietary Software, which requires Contractor, upon request from the State, to submit evidence to the State to validate the Contractor's Proprietary Software's accessibility and compliance with WCAG 2.0 Level AA. At no additional cost, Contractor must remediate any failures of the Contractor's Proprietary Software to comply with

WCAG 2.0 Level AA pursuant to plans and timelines that are approved in writing by the State.

(c) Failure to comply with the requirements in this Section shall constitute a material breach of this Contract.

9) Section 2.242 is hereby deleted and replaced in its entirety with the following –

2.242 Support Services.

Contractor will provide the State with the Support Services described in the Statement of Work as selected by the State and any Service Level Agreement attached as Schedule B to this Contract. Such Support Services will be provided for so long as the State elects to receive Support Services for the Software, in consideration of the State's payment for such services in accordance with the rates set forth in the **Schedule B - Pricing Schedule**.

10) Section 2.271 Existing Technology Standards is hereby deleted in its entirety.

11) Section 2.272 Acceptable Use Policy is hereby deleted in its entirety.

12) Section 2.130 is hereby deleted and replaced in its entirety with Schedule C – Insurance Requirements

13) Section 2.324 is hereby deleted and replaced in its entirety with the following –

2.324 Software License.

Contractor hereby grants to the State a non-exclusive, royalty-free, perpetual, irrevocable right and license to use the Software and Deliverables in accordance with the terms and conditions of this Contract, provided that (a) the State is prohibited from reverse engineering or decompiling the Software, making derivative works, modifying, adapting or copying the Software except as is expressly permitted by this Contract or required to be permitted by law; (b) the State is authorized to make copies of the Software for backup, disaster recovery, and archival purposes; (c) the State is authorized to make copies of the Software to establish a test environment to conduct Acceptance Testing; (d) title to and ownership of the Software and Deliverables, excluding those created for the sole use of the State, shall at all times remain with Contractor and/or it's licensors, as applicable; and (e) except as expressly agreed in writing, the State is not permitted to sub-license the use of the Software or any accompanying Deliverables owned by the Contractor.

Schedule B – Pricing

Description	Annual Cost	Monthly Cost
Annual Maintenance and Support – including 2 FTE	$1,200,000.00	$100,000.00
Maintenance and Support - Level 3 (includes upgrades)	$3,300,000.00	$275,000.00
FAST Batch Monitoring Services	$110,000.00	$9,166.67
FAST Centralized Technical Assistance (CTA) Support	$420,000.00	$35,000.00
FAST SMS Gateway Services	$240,000.00	$20,000.00
Total	$5,270,000.00	$439,166.67

Rate Card for Ancillary Services

On-site technical support	$215.00 per hour

Schedule C - Insurance Requirements

Insurance Requirements. Contractor must maintain the insurances identified below and is responsible for all deductibles. All required insurance must: (a) protect the State from claims that may arise out of, are alleged to arise out of, or result from Contractor's or a subcontractor's performance; (b) be primary and non-contributing to any comparable liability insurance (including self-insurance) carried by the State; and (c) be provided by a company with an A.M. Best rating of "A" or better, and a financial size of VII or better.

Required Limits	Additional Requirements
Commercial General Liability Insurance	
Minimum Limits: $1,000,000 Each Occurrence $1,000,000 Personal & Advertising Injur $2,000,000 Products/Completed Operat $2,000,000 General Aggregate	Contractor must have their policy endorsed to add “the State of Michigan, its departments, divisions, agencies, offices, commissions, officers, employees, and agents” as additional insureds using endorsement CG 20 10 11 85, or both CG 20 10 12 19 and CG 20 37 12 19.
Automobile Liability Insurance	
Minimum Limits: $1,000,000 Per Accident	Contractor must have their policy: (1) endorsed to add “the State of Michigan, its departments, divisions, agencies, offices, commissions, officers, employees, and agents” as additional insureds; and (2) include Hired and Non-Owned Automobile coverage.
Workers' Compensation Insurance	
Minimum Limits: Coverage according to applicable laws governing work activities.	Waiver of subrogation, except where waiver is prohibited by law.

Required Limits	Additional Requirements
Employers Liability Insurance	
Minimum Limits: $500,000 Each Accident $500,000 Each Employee by Disease $500,000 Aggregate Disease	
Privacy and Security Liability (Cyber Liability) Insurance	
Minimum Limits: $1,000,000 Each Occurrence $1,000,000 Annual Aggregate	Contractor must have their policy cover information security and privacy liability, privacy notification costs, regulatory defense and penalties, and website media content liability.
Crime (Fidelity) Insurance	
Minimum Limits: $1,000,000 Employee Theft Per Loss	Contractor must have their policy: (1) cover forgery and alteration, theft of money and securities, robbery and safe burglary, computer fraud, funds transfer fraud, money order and counterfeit currency, and (2) endorsed to add “the State of Michigan, its departments, divisions, agencies, offices, commissions, officers, employees, and agents” as Loss Payees.

If any of the required policies provide claims-made coverage, the Contractor must: (a) provide coverage with a retroactive date before the effective date of the contract or the beginning of Contract Activities; (b) maintain coverage and provide evidence of coverage for at least three (3) years after completion of the Contract Activities; and (c) if coverage is canceled or not renewed, and not replaced with another claims-made policy form with a retroactive date prior to the contract effective date, Contractor must purchase extended reporting coverage for a minimum of three (3) years after completion of work.

Contractor must: (a) provide insurance certificates to the Contract Administrator, containing the agreement or purchase order number, at Contract formation and within 20 calendar days of the expiration date of the applicable policies; (b) require that subcontractors maintain the required insurances contained in this Section; (c) notify the

Contract Administrator within 5 business days if any insurance is cancelled; and (d) waive all rights against the State for damages covered by insurance. Failure to maintain the required insurance does not limit this waiver.

SCHEDULE D - SERVICE LEVEL AGREEMENT

IF THE SOFTWARE IS STATE HOSTED, then the following applies:

The parties agree as follows:

1. Definitions. For purposes of this Schedule, the following terms have the meanings set forth below. All initial capitalized terms in this Schedule that are not defined in this Schedule shall have the respective meanings given to them in the Contract Terms and Conditions.

"**Contact List**" means a current list of Contractor contacts and telephone numbers set forth in the attached **Schedule D – Attachment 1** to this Schedule to enable the State to escalate its Support Requests, including: (a) the first person to contact; and (b) the persons in successively more qualified or experienced positions to provide the support sought.

"**Critical Service Error**" has the meaning set forth in the Service Level Table.

"**Error**" means, generally, any production failure or error for which Contractor and third parties under Contractor's control are solely at fault. Errors do not include problems related to legacy data; problems resulting from specifications provided by State that are incorrect, incomplete, unclear, or changing; and problems that exist even though the system is operating in accordance with State instructions.

"**First Line Support**" means the identification, diagnosis and correction of Errors by the State.

"**High Service Error**" has the meaning set forth in the Service Level Table.

"Low Service Error" has the meaning set forth in the Service Level Table.

"**Medium Service Error**" has the meaning set forth in the Service Level Table.

"**Resolve**" and the correlative terms, "**Resolved**", "**Resolving**" and "**Resolution**" each have the meaning set forth in **Section 2.4**

"**Service Credit**" has the meaning set forth in **Section 3.1**

"**Second Line Support**" means the identification, diagnosis and correction of Errors by the provision of (a) telephone and email assistance by a qualified individual on the Contact List and remote application support, or (b) on-site technical support at the State's premises by a qualified individual on the Contact List.

"**Service Levels**" means the defined Error and corresponding required service level responses, response times, Resolutions and Resolution times referred to in the Service Level Table.

"**Service Level Table**" means the table set out in **Section 2.4**

"**State Systems**" means the State's information technology infrastructure, including the State's computers, software, databases, electronic systems (including database management systems) and networks.

"**Support Hours**" means 8 am to 5 pm ET Monday through Friday excluding State holidays.

"**Support Period**" means the period of time beginning 90 days after the date the Software has entered full production mode and ending on the date the Contract expires or is terminated.

"**Support Request**" has the meaning set forth in **Section 2.2**.

2. Support Services. The State will provide First Line Support prior to making a Service Request for Second Line Support. Contractor shall perform all Second Line Support and other Support Services during the Support Hours throughout the Support Period in accordance with the terms and conditions of this Schedule and the Contract, including the Service Levels and other Contractor obligations set forth in this **Section 3**.

2.1 Support Service Responsibilities. Contractor shall:

(a) provide unlimited telephone support during all Support Hours;

(b) respond to and Resolve Support Requests in accordance with the Service Levels;

(c) provide unlimited remote Second Line Support to the State during all Support Hours;

(d) provide on-premise Second Line Support to the State if remote Second Line Support will not Resolve the Error; and

(e) provide to the State all such other services as may be necessary or useful to correct an Error or otherwise fulfill the Service Level requirements, including defect repair, programming corrections and remedial programming.

2.2 Support Requests. Once the State has determined that an Error has occurred, the State may request Support Services by way of a Support Request. The State shall classify its requests for Error corrections in accordance with the support request classification and definitions of the Service Level Table set forth in **Section 3.4** (each a "**Support Request**"). The State shall notify Contractor of each Support Request by e-mail or telephone. The State shall include in each Support Request a description of the reported Error and the time the State first observed the Error.

2.3 State Obligations. The State shall provide the Contractor with each of the following to the extent reasonably necessary to assist Contractor to reproduce operating conditions similar to those present when the State detected the relevant Error and to respond to and Resolve the relevant Support Request:

(i) if not prohibited by the State's security policies, remote access to the State Systems, and if prohibited, direct access at the State's premises;

(ii) output and other data, documents and information; and

(iii) such other reasonable cooperation and assistance as Contractor may request.

2.4 Service Level Table. Response and Resolution times will be measured from the time Contractor receives a Support Request until the respective times Contractor has (a) responded to that Support Request, in the case of response time and (b) Resolved that Support Request, in the case of Resolution time. "**Resolve**", "**Resolved**", "**Resolution**" and correlative capitalized terms mean, with respect to any particular Support Request, that Contractor has corrected the Error that prompted that Support Request and that such correction has been made available to the State for user acceptance testing. The **Critical Functions** are: a) creating an initial claim; b) creating a continuing claim; c) online claim processing; d) online claim approval; e) filing a return on e-services; f) making a payment on e-services; g) claimant certification. Contractor shall respond to and Resolve all Support Requests within the following times based on the State's designation of the severity of the associated Error, subject to the parties' written agreement to revise such designation after Contractor's investigation of the reported Error and consultation with the State:

Support Request Classification	Definition	Service Level Metric (Required Response Time)	Service Level Metric (Required Resolution Time)
Critical Service Error	(a) entire Critical Function down in production; (b) entire Critical Function operating in materially degraded state in production such that either: a) the majority of attempts by users to access a Critical Function are blocked; or b) the majority of Critical Function attempts result in that Critical Function abending; or c) the majority of Critical Function attempts exceed ten seconds response time; or c) the majority of Critical Function attempts produce erroneous results;	Contractor shall acknowledge receipt of a Support Request within thirty (30) minutes.	Contractor shall Resolve the Support Request as soon as practicable and no later than four (4) hours after Contractor's receipt of the State's written approval for the proposed solution for resolving the Error. If the Contractor Resolves the Support Request by way of a work-around accepted in writing by the State, the support classification assessment will be reduced to a High Service Error.
High Service Error	(a) A Critical Service Error for which the State has received, within the Resolution time for Critical Service Errors, a work-around that the State has accepted in writing; or (b) An online (including e-services) function is experiencing widespread failure or degradation; a workaround is either not available or is difficult; many users and employer/claimant accounts are affected;	Contractor shall acknowledge receipt of a Support Request or, where applicable, the State's written acceptance of a Critical Service Error work-around, within one (1) business day.	Contractor shall Resolve the Support Request as soon as practicable and no later than two (2) Business Days after Contractor's receipt of the State's written approval for the proposed solution for resolving the Error.

Support Request Classification	Definition	Service Level Metric (Required Response Time)	Service Level Metric (Required Resolution Time)
Medium Service Error	Other Errors	Contractor shall acknowledge receipt of the Support Request within two (2) Business Days.	Contractor shall Resolve the Support Request in accordance with a mutually agreed schedule.

2.5 Escalation. If Contractor does not respond to a Support Request within the relevant Service Level response time, the State may escalate the Support Request to the Contractor Project Manager and State Program Managers, or their designees, and then to the parties' respective Contract Administrators.

2.6 Time Extensions. The State may, on a case-by-case basis, agree in writing to a reasonable extension of the Service Level response or Resolution times.

2.7 Contractor Updates. Contractor shall give the State monthly electronic or other written reports and updates of:

(a) the nature and status of its efforts to correct any Error, including a description of the Error and the time of Contractor's response and Resolution;

(b) its Service Level performance, including Service Level response and Resolution times; and

(c) the Service Credits to which the State has become entitled.

3. Service Credits.

3.1 Service Credit Amounts. If the Contractor fails to respond to a Support Request within the applicable Service Level response time or to Resolve a Support Request within the applicable Service Level Resolution time, the State will be entitled to the corresponding service credits specified in the table below ("**Service Credits**"). Service Credits will not accrue if the Resolution of an Error is dependent on non-Contractor goods or services (for example, if the Resolution involves a web service maintained by another vendor or by the State). In any given month, the Service Credits payable by Contractor for that month shall not exceed 5% of the current monthly Maintenance and Support - Level 3 Fee.

Support Request Classification	Service Level Credits (For Failure to Respond to any Support Request Within the Corresponding Response Time)	Service Level Credits (For Failure to Resolve any Support Request Within the Corresponding Required Resolution Time)
Critical Service Error	An amount equal to 2% of the then current monthly Maintenance and Support - Level 3 Fee for each hour by which Contractor's response exceeds the required Response time.	An amount equal to 2% of the then current monthly Maintenance and Support - Level 3 Fee for each hour by which Contractor's Resolution of the Support Request exceeds the required Resolution time.
High Service Error	An amount equal to 2% of the then current monthly Maintenance and Support - Level 3 Fee for each Business Day, and a pro-rated share of such percentage for each part of a Business Day, by which Contractor's response exceeds the required Response time.	An amount equal to 2% of the then current monthly Maintenance and Support - Level 3 Fee for each Business Day, and a pro-rated share of such percentage for each part of a Business Day, by which Contractor's Resolution of the Support Request exceeds the required Resolution time.

3.2 Compensatory Purpose. The parties intend that the Service Credits constitute compensation to the State, and not a penalty. The parties acknowledge and agree that the State's harm caused by Contractor's delayed delivery of the Support Services would be impossible or very difficult to accurately estimate as of the Effective Date, and that the Service Credits are a reasonable estimate of the anticipated or actual harm that might arise from Contractor's breach of its Service Level obligations.

3.3 Issuance of Service Credits. Contractor shall, for each monthly invoice period, issue to the State, together with Contractor's invoice for such period, a written acknowledgment setting forth all Service Credits to which the State has become entitled during that invoice period. Contractor shall pay the amount of the Service Credit as a debt to the State within fifteen (15) Business Days of issue of the Service Credit acknowledgment, provided that, at the State's option, the State may, at any time prior to Contractor's payment of such debt, deduct the Service Credit from the amount payable by the State to Contractor pursuant to such invoice.

3.4 Additional Remedies for Service Level Failures. Contractor's repeated failure to meet the Service Levels for Resolution of any Critical Service Errors or High Service Errors, or any combination of such Errors, within the applicable Resolution time set out in the Service Level Table will constitute a material breach under the Contract. Without limiting the State's right to receive Service Credits under this **Section 4**, the State may terminate this Schedule for cause in accordance with terms of the Contract.

4. Communications. In addition to the mechanisms for giving notice specified in the Contract, unless expressly specified otherwise in this Schedule or the Contract, the parties may use e-mail for communications on any matter referred to herein.

SCHEDULE D - Attachment 1 – Contact List

SCHEDULE E – DATA SECURITY REQUIREMENTS

1. Definitions. For purposes of this Schedule, the following terms have the meanings set forth below. All initial capitalized terms in this Schedule that are not defined in this **Schedule** shall have the respective meanings given to them in the Contract.

"Authorized Users" means all Persons authorized by the State to access and use the Software under this Contract, subject to the maximum number of users specified in the applicable Statement of Work.

"**Contractor Security Contact**" has the meaning set forth in **Section 2** of this Schedule.

"**Contractor Personnel**" means Contractor staff providing services hereunder and staff of any of Contractor's subcontractors providing services hereunder.

"**FedRAMP**" means the Federal Risk and Authorization Management Program, which is a federally approved risk management program that provides a standardized approach for assessing and monitoring the security of cloud products and services.

"**FISMA**" means The Federal Information Security Modernization Act of 2014 (Pub.L. No. 113-283 (Dec. 18, 2014.).

"**Hosted Services**" means the hosting, management and operation of the Operating Environment, Software, other services (including support and subcontracted services), and related resources for remote electronic access and use by the State and its Authorized Users, including any services and facilities related to disaster recovery obligations.

"Hosting Provider" means any Permitted Subcontractor that is providing any or all of the Hosted Services under this Contract.

"**NIST**" means the National Institute of Standards and Technology.

"**Operating Environment**" means, collectively, the platform, environment and conditions on, in or under which the Software is intended to be installed and operate, as set forth in a Statement of Work, including such structural, functional and other features, conditions and components as hardware, operating software, system architecture, configuration, computing hardware, ancillary equipment, networking, software, firmware, databases, data, and electronic systems (including database management systems).

"**PCI**" means the Payment Card Industry.

"**PSP**" or **"PSPs"** means the State's IT Policies, Standards and Procedures.

"**SSAE**" means Statement on Standards for Attestation Engagements.

"**Security Accreditation Process**" has the meaning set forth in **Section 6** of this Schedule

2. Security Contact. Contractor will appoint a Contractor employee to respond to the State's inquiries regarding the security of the Software who has sufficient knowledge of the security of the Software and the authority to act on behalf of Contractor in matters pertaining thereto ("**Contractor Security Contact**").

3. Contractor Responsibilities. The State has established Information Technology (IT) PSPs to protect IT resources under the authority outlined in the overarching State 1305.00 Enterprise IT Policy. Contractor Personnel must at all times comply with all applicable State IT policies and standards available at https://www.michigan.gov/dtmb/0,5552,7-358-82547_56579_56755---,00.html. In addition, Contractor Personnel must at all times comply with all applicable State IT policies and standards articulated in the following documents:

Document	Revision
1340.00.020.01 Access Control Standard 1340.00.020.01.01 Remote Vendor Access Procedure 1340.00.020.02 Desktop Log-Off and System Shutdown Standard 1340.00.020.03 Authorization Prerequisite for Access to Protected Data Resources Standard 1340.00.020.04 Electronic File Transfer Request Standard 1340.00.020.05 Use of Privately-Owned Portable Devices Standard	

1340.00.020.06 Client Firewall Standard 1340.00.030.01 Security Awareness and Training Standard 1340.00.040.01 Audit and Accountability Standard 1340.00.050.01 Security Assessment and Authorization Standard 1340.00.060.01 Configuration Management Standard 1340.00.060.02 Database Security Standard 1340.00.090.01.01 How to Handle a Security Breach Procedure 1340.00.110.01 Media Protection Standard 1340.00.110.01.01 Lost or Stolen State-owned or Managed IT Equipment Procedure 1340.00.110.03 Storage of Sensitive Information on Mobile Devices and Portable Media Standard 1365.00.02 Electronic Mail Standard	

This responsibility to comply with all applicable public and non-public State IT policies and standards also extends to all Contractor's service providers and Contractor's subcontractors with an ability to access to State Data. Contractor Personnel responsibilities are determined from the PSPs based on the services being provided to the State, the type of IT solution, and the applicable laws and regulations. With respect to the PSP's, Contractor is not responsible for any of the unique duties of the following State roles; Information System Owner, the Data Owner, the Data Custodian, the Business Relationship Manager, the DTMB Application Manager, and the Agency Business Owner (as roles are defined within State PSPs). Contractor personnel are obligated to comply with applicable State PSPs. In addition, the Software provided by the Contractor must allow the State to be in compliance with NIST Special Publication 800-53 Moderate Baseline Controls using identified controls and minimum values as established in IRS Pub. 1075. The parties acknowledge that the Software is a commercial off-the-shelf solution used by many government agencies. As such, Contractor cannot guarantee that the Software will meet all PSPs. Any non-compliance will be reviewed between the State and Contractor to discuss options, recommendations, and/or exceptions.

4. Acceptable Use Policy. To the extent that Contractor has access to the State's IT environment, Contractor must comply with the State's Acceptable Use Policy, see https://www.michigan.gov/documents/dtmb/1340.00.01_Acceptable_Use_of_Information_Technology_Standard_458958_7.pdf. All Contractor Personnel will be required, in writing, to agree to the State's Acceptable Use Policy before accessing State systems. The State reserves the right to terminate Contractor's and/or subcontractor(s) or any Contractor Personnel's access to State systems if the State determines a violation has occurred.

5. Protection of State's Information. Throughout the Term and at all times in connection with its actual or required performance of the Services, Contractor will:

5.1 If Hosted Services are provided by a Hosting Provider, ensure each Hosting Provider maintains FedRAMP authorization for all Hosted Services environments throughout the Term, and in the event a Hosting Provider is unable to maintain FedRAMP authorization, the State, at its sole discretion, may either a) require the Contractor to move the Software and State Data to an alternative Hosting Provider selected and approved by the State at Contractor's sole cost and expense without any increase in Fees, or b) immediately terminate this Contract for cause pursuant to **Section 15.1** of the Contract;

5.2 for Hosted Services provided by the Contractor, maintain either a FedRAMP authorization or an annual SSAE 18 SOC 2 Type II audit based on State required NIST Special Publication 800-53 MOD Controls using identified controls and minimum values as established in applicable State PSPs.

5.3 for Hosted Services provided by the Contractor, ensure that the Software and State Data is securely hosted, supported, administered, accessed, and backed up in a data center(s) that resides in the continental United States, and minimally meets Uptime Institute Tier 3 standards (www.uptimeinstitute.com), or its equivalent;

5.4 for Contractor staff not providing services hereunder who nonetheless have an ability to impact the contracted solution, maintain and enforce an information security program including safety and physical and technical security policies and procedures with respect to Contractor software licensed by the State that supports Contractor's duty to provide software that allows the State to be in compliance with NIST Special Publication 800-53 MOD Controls using identified controls and minimum values as established in IRS Pub. 1075;

5.5 for Contractor staff not providing services hereunder who nonetheless have an ability to impact the contracted solution, provide technical and organizational safeguards that ensure a level of security appropriate to the risks presented by the State's use of the contracted solution, consistent with best industry practice and applicable NIST standards;

5.6 take all reasonable measures to:

(a) secure and defend all locations, equipment, systems and other materials and facilities that have an ability to impact the Contractor software licensed by the State against "malicious actors" and others who may seek, without authorization, to destroy, disrupt, damage, encrypt, modify, copy, access or otherwise use the contracted software or the information found therein; and

(b) prevent (i) the State and its Authorized Users from having access by means of the Contractor software licensed by the State to the data of other customers or such other customer's users of the Services; (ii) State Data from being commingled with or contaminated by the data of other customers or their users of the Services by means of the Contractor software licensed by the State; and (iii) unauthorized access to any of the State Data by means of any malicious or negligent behavior of the Contractor's Staff or Contractor's software licensed by the State;

5.7 do nothing to prevent the State from ensuring that State Data is encrypted in transit and at rest using FIPS validated AES encryption modules and a key size of 128 bits or higher;

5.8 ensure that Software licensed by the State, is capable of supporting Identity Federation/Single Sign-on (SSO) capabilities using Security Assertion Markup Language (SAML) or Open Authentication (OAuth);

5.9 for Hosted Services provided by the Contractor, ensure the Hosted Services implements NIST compliant multi-factor authentication for privileged/administrative and other identified access.

6. Security Accreditation Process. Throughout the Term, Contractor will assist the State, at no additional cost beyond those rates stated in the pricing schedule, with its **Security Accreditation Process**, which includes the development, completion and on-going maintenance of a system security plan (SSP) using the State's automated governance, risk and compliance (GRC) platform, which requires Contractor to submit evidence, upon request from the State, in order to validate Contractor's security controls within two weeks of the State's request. On an annual basis, or as otherwise required by the State such as for significant changes, re-assessment of the system's controls will be required to receive and maintain authority to operate (ATO). All identified risks from the SSP will be remediated through a Plan of Action and Milestones (POAM) process with remediation time frames based on the risk level of the identified risk. For all findings associated with the Contractor's solution, at no additional cost beyond those rates stated in the pricing schedule, Contractor will be required to create or assist with the creation of State approved POAMs and perform related remediation activities. The State will make any decisions on acceptable risk, Contractor may request risk acceptance, supported by compensating controls, however only the State may formally accept risk. Failure to comply with this section will be deemed a material breach of the Contract.

7. Unauthorized Access. Contractor may not access, and shall not permit any access to, State systems, in whole or in part, whether through the Hosted Services or otherwise, without the State's express prior written authorization. Such authorization may be revoked by the State in writing at any time in its sole discretion. Any access to State systems must be solely in accordance with the Contract and this Schedule, and in no case exceed the scope of the State's authorization pursuant to this Section. All State-authorized connectivity or attempted connectivity to State systems shall be only through the State's security gateways and firewalls and in compliance with the State's security policies set forth in the Contract as the same may be supplemented or amended by the State and provided to Contractor from time to time.

8. Security Audits.

8.1 If Contractor provides Hosted Services, during the Term, Contractor will maintain complete and accurate records of its data protection practices, IT security controls, and the security logs relating to State Data,

including but not limited to any backup, disaster recovery or other policies, practices or procedures relating to the State Data and any other information relevant to its compliance with this Contract.

8.2 If Contractor provides Hosted Services, without limiting any other audit rights of the State, the State has the right to review Contractor's data privacy and information security program prior to the commencement of Services and from time to time during the term of this Contract. The State, at its own expense, is entitled to perform, or to have performed, an on-site audit of Contractor's data privacy and information security program. If the State chooses to perform an on-site audit, Contractor will, make all such records, appropriate personnel and relevant materials available during normal business hours for inspection and audit by the State or an independent data security expert that is reasonably acceptable to Contractor, provided that the State: (i) gives Contractor at least five (5) Business Days prior notice of any such audit; (ii) undertakes such audit no more than once per calendar year, except for good cause shown; and (iii) conducts or causes to be conducted such audit in a manner designed to minimize disruption of Contractor's normal business operations and that complies with the terms and conditions of all data confidentiality, ownership, privacy, security and restricted use provisions of the Contract. The State may, but is not obligated to, perform such security audits, which shall, at the State's option and request, include penetration and security tests, of any and all Hosted Services and their housing facilities and operating environments.

8.3 If Contractor provides Hosted Services, during the Term, Contractor will, when requested by the State, provide a copy of Contractor's or Hosting Provider's FedRAMP System Security Plan(s) or SOC 2 Type 2 report(s) to the State within two weeks of the State's request. The System Security Plan and SSAE audit reports will be recognized as Contractor's Confidential Information.

8.4 If Contractor provides Hosted Services, with respect to State Data, Contractor must implement any required safeguards as identified by the State or by any audit of Contractor's data privacy and information security program.

8.5 The State reserves the right, at its sole election, to immediately terminate this Contract or a Statement of Work without limitation and without liability if the State determines that Contractor fails or has failed to meet its obligations under this **Section 8.**

9. Application Scanning. During the Term, Contractor must, at its sole cost and expense, scan all Contractor provided applications, and must analyze, remediate and validate all vulnerabilities identified by the scans.

Contractor's application scanning and remediation must include each of the following types of scans and activities:

9.1 Dynamic Application Security Testing (DAST) – Scanning interactive application for vulnerabilities, analysis, remediation, and validation (may include Interactive Application Security Testing (IAST).

(a) Contractor must either a) grant the State the right to dynamically scan a deployed version of the Software; or b) in lieu of the State performing the scan, Contractor must dynamically scan a deployed version of the Software using a State approved application scanning tool, and provide the State a vulnerabilities assessment after Contractor has completed such scan. These scans and assessments i) must be completed and provided to the State quarterly (dates to be provided by the State) and for each major release; and ii) scans must be completed in a non-production environment with verifiable matching source code and supporting infrastructure configurations or the actual production environment.

9.2 Static Application Security Testing (SAST) - Scanning Source Code for vulnerabilities, analysis, remediation, and validation.

(a) For Contractor provided applications, Contractor must either a) grant the State the right and ability to scan the source code of the production application; or b) in lieu of the State performing the scan, Contractor, at its sole expense, must provide resources to complete static application source code scanning, including the analysis, remediation and validation of vulnerabilities identified by application Source Code scans. These scans must be completed for all Source Code initially, for all updated Source Code, and

for all Source Code for each major release and Contractor must provide the State a vulnerability assessment after Contractor has completed the required scans.

9.3 Software Composition Analysis (SCA) – Third Party and/or Open Source Scanning for vulnerabilities, analysis, remediation, and validation.

(a) For Software that includes third party and open source software, Contractor must document and provide to the State a software bill of material that includes a list of all third party and open source software and either; a) grant the State the right to complete SCA scanning as part of the State's SAST scanning; or b) in lieu of the State performing the scan, Contractor must complete SCA scanning and monitor all third party and open source software providers for notification of identified vulnerabilities and complete remediation of vulnerabilities identified in any SCA scan. SCA scans may be included as part of SAST and DAST scanning or employ the use of an SCA tool to meet the scanning requirements. These scans must be completed for all third party and open source software initially, for all updated third party and open source software, and for all third party and open source software in each major release and Contractor must provide the State a vulnerability assessment after Contractor completes the required scans if not provided as part of SAST and/or DAST reporting.

9.4 In addition, application scanning and remediation may include the following types of scans and activities if required by regulatory or industry requirements, data classification or otherwise identified by the State.

(a) Penetration Testing – Simulated attack on the application and infrastructure to identify security weaknesses.

10. Infrastructure Scanning.

10.1 For Hosted Services provided by the Contractor, Contractor must ensure the infrastructure and applications are scanned using an industry standard scanning tool at least monthly and provide verification of completion upon request for ATO and audit validation. Contractor will ensure the remediation of issues identified in the scan according to the assessment of the risk and applicable regulations.

11. Nonexclusive Remedy for Security Breach.

11.1 Any failure of the Services to meet the requirements of this Schedule with respect to the security of any State Data or other Confidential Information of the State, including any related backup, disaster recovery or other policies, practices or procedures, is a material breach of the Contract for which the State, at its option, may terminate the Contract immediately upon written notice to Contractor without any notice or cure period, and Contractor must promptly reimburse to the State any Fees prepaid by the State prorated to the date of such termination.

SCHEDULE H - Federal Provisions Addendum

This addendum applies to purchases that will be paid for in whole or in part with funds obtained from the federal government. The provisions below are required and the language is not negotiable. If any provision below conflicts with the State's terms and conditions, including any attachments, schedules, or exhibits to the State's Contract, the provisions below take priority to the extent a provision is required by federal law; otherwise, the order of precedence set forth in the Contract applies. Hyperlinks are provided for convenience only; broken hyperlinks will not relieve Contractor from compliance with the law.

1. Equal Employment Opportunity

If this Contract is a "**federally assisted construction contract**" as defined in 41 CFR Part 60-1.3, and except as otherwise may be provided under 41 CFR Part 60, then during performance of this Contract, the Contractor agrees as follows:

(1) The Contractor will not discriminate against any employee or applicant for employment because of race, color, religion, sex, sexual orientation, gender identity, or national origin. The Contractor will take affirmative action to ensure that applicants are employed, and that employees are treated during employment without regard to their race, color, religion, sex, sexual orientation, gender identity, or national origin. Such action shall include, but not be limited to the following:

Employment, upgrading, demotion, or transfer; recruitment or recruitment advertising; layoff or termination; rates of pay or other forms of compensation; and selection for training, including apprenticeship. The Contractor agrees to post in conspicuous places, available to employees and applicants for employment, notices to be provided setting forth the provisions of this nondiscrimination clause.

(2) The Contractor will, in all solicitations or advertisements for employees placed by or on behalf of the Contractor, state that all qualified applicants will receive consideration for employment without regard to race, color, religion, sex, sexual orientation, gender identity, or national origin.

(3) The Contractor will not discharge or in any other manner discriminate against any employee or applicant for employment because such employee or applicant has inquired about, discussed, or disclosed the compensation of the employee or applicant or another employee or applicant. This provision shall not apply to instances in which an employee who has access to the compensation information of other employees or applicants as a part of such employee's essential job functions discloses the compensation of such other employees or applicants to individuals who do not otherwise have access to such information, unless such disclosure is in response to a formal complaint or charge, in furtherance of an investigation, proceeding, hearing, or action, including an investigation conducted by the employer, or is consistent with the Contractor's legal duty to furnish information.

(4) The Contractor will send to each labor union or representative of workers with which he has a collective bargaining agreement or other contract or understanding, a notice to be provided advising the said labor union or workers' representatives of the Contractor's commitments under this section, and shall post copies of the notice in conspicuous places available to employees and applicants for employment.

(5) The Contractor will comply with all provisions of Executive Order 11246 of September 24, 1965, and of the rules, regulations, and relevant orders of the Secretary of Labor.

(6) The Contractor will furnish all information and reports required by Executive Order 11246 of September 24, 1965, and by rules, regulations, and orders of the Secretary of Labor, or pursuant thereto, and will permit access to his books, records, and accounts by the administering agency and the Secretary of Labor for purposes of investigation to ascertain compliance with such rules, regulations, and orders.

(7) In the event of the Contractor's noncompliance with the nondiscrimination clauses of this contract or with any of the said rules, regulations, or orders, this Contract may be canceled, terminated, or suspended in whole or in part and the Contractor may be declared ineligible for further Government contracts or federally assisted construction contracts in accordance with procedures authorized in Executive Order 11246 of September 24, 1965, and such other sanctions may be imposed and remedies invoked as provided in Executive Order 11246 of September 24, 1965, or by rule, regulation, or order of the Secretary of Labor, or as otherwise provided by law.

(8) The Contractor will include the portion of the sentence immediately preceding paragraph (1) and the provisions of paragraphs (1) through (8) in every subcontract or purchase order unless exempted by rules,

regulations, or orders of the Secretary of Labor issued pursuant to section 204 of Executive Order 11246 of September 24, 1965, so that such provisions will be binding upon each subcontractor or vendor. The Contractor will take such action with respect to any subcontract or purchase order as the administering agency may direct as a means of enforcing such provisions, including sanctions for noncompliance:

Provided, however, that in the event a Contractor becomes involved in, or is threatened with, litigation with a subcontractor or vendor as a result of such direction by the administering agency, the Contractor may request the United States to enter into such litigation to protect the interests of the United States.

The applicant further agrees that it will be bound by the above equal opportunity clause with respect to its own employment practices when it participates in federally assisted construction work: *Provided,* that if the applicant so participating is a State or local government, the above equal opportunity clause is not applicable to any agency, instrumentality or subdivision of such government which does not participate in work on or under the contract.

The applicant agrees that it will assist and cooperate actively with the administering agency and the Secretary of Labor in obtaining the compliance of contractors and subcontractors with the equal opportunity clause and the rules, regulations, and relevant orders of the Secretary of Labor, that it will furnish the administering agency and the Secretary of Labor such information as they may require for the supervision of such compliance, and that it will otherwise assist the administering agency in the discharge of the agency's primary responsibility for securing compliance.

The applicant further agrees that it will refrain from entering into any contract or contract modification subject to Executive Order 11246 of September 24, 1965, with a contractor debarred from, or who has not demonstrated eligibility for, Government contracts and federally assisted construction contracts pursuant to the Executive Order and will carry out such sanctions and penalties for violation of the equal opportunity clause as may be imposed upon contractors and subcontractors by the administering agency or the Secretary of Labor pursuant to Part II, Subpart D of the Executive Order. In addition, the applicant agrees that if it fails or refuses to comply with these undertakings, the administering agency may take any or all of the following actions: Cancel, terminate, or suspend in whole or in part this grant (contract, loan, insurance, guarantee); refrain from extending any further assistance to the applicant under the program with respect to which the failure or refund occurred until satisfactory assurance of future compliance has been received from such applicant; and refer the case to the Department of Justice for appropriate legal proceedings.

2. Davis-Bacon Act (Prevailing Wage)

If this Contract is a **prime construction contracts** in excess of $2,000, the Contractor (and its Subcontractors) must comply with the Davis-Bacon Act (40 USC 3141-3148) as supplemented by Department of Labor regulations (29 CFR Part 5, "Labor Standards Provisions Applicable to Contracts Covering Federally Financed and Assisted Construction"), and during performance of this Contract the Contractor agrees as follows:

(1) All transactions regarding this contract shall be done in compliance with the Davis-Bacon Act (40 U.S.C. 3141- 3144, and 3146-3148) and the requirements of 29 C.F.R. pt. 5 as may be applicable. The contractor shall comply with 40 U.S.C. 3141-3144, and 3146-3148 and the requirements of 29 C.F.R. pt. 5 as applicable.

(2) Contractors are required to pay wages to laborers and mechanics at a rate not less than the prevailing wages specified in a wage determination made by the Secretary of Labor.

(3) Additionally, contractors are required to pay wages not less than once a week.

3. Copeland "Anti-Kickback" Act

If this Contract is a contract for construction or repair work in excess of $2,000 where the Davis-Bacon Act applies, the Contractor must comply with the Copeland "Anti-Kickback" Act (40 USC 3145), as supplemented by Department of Labor regulations (29 CFR Part 3, "Contractors and Subcontractors on Public Building or Public Work Financed in Whole or in Part by Loans or Grants from the United States"), which prohibits the Contractor and subrecipients from inducing, by any means, any person employed in the construction, completion, or repair of public work, to give up any

part of the compensation to which he or she is otherwise entitled, and during performance of this Contract the Contractor agrees as follows:

(1) Contractor. The Contractor shall comply with 18 U.S.C. § 874, 40 U.S.C. § 3145, and the requirements of 29 C.F.R. pt. 3 as may be applicable, which are incorporated by reference into this contract.

(2) Subcontracts. The Contractor or Subcontractor shall insert in any subcontracts the clause above and such other clauses as FEMA or the applicable federal awarding agency may by appropriate instructions require, and also a clause requiring the Subcontractors to include these clauses in any lower tier subcontracts. The prime contractor shall be responsible for the compliance by any subcontractor or lower tier subcontractor with all of these contract clauses.

(3) Breach. A breach of the contract clauses above may be grounds for termination of the contract, and for debarment as a Contractor and Subcontractor as provided in 29 C.F.R. § 5.12.

4. Contract Work Hours and Safety Standards Act

If the Contract is **in excess of $100,000** and **involves the employment of mechanics or laborers**, the Contractor must comply with 40 USC 3702 and 3704, as supplemented by Department of Labor regulations (29 CFR Part 5), as applicable, and during performance of this Contract the Contractor agrees as follows:

(1) Overtime requirements. No Contractor or Subcontractor contracting for any part of the contract work which may require or involve the employment of laborers or mechanics shall require or permit any such laborer or mechanic in any workweek in which he or she is employed on such work to work in excess of forty hours in such workweek unless such laborer or mechanic receives compensation at a rate not less than one and one-half times the basic rate of pay for all hours worked in excess of forty hours in such workweek.

(2) Violation; liability for unpaid wages; liquidated damages. In the event of any violation of the clause set forth in paragraph (1) of this section the Contractor and any Subcontractor responsible therefor shall be liable for the unpaid wages. In addition, such Contractor and Subcontractor shall be liable to the United States (in the case of work done under contract for the District of Columbia or a territory, to such District or to such territory), for liquidated damages. Such liquidated damages shall be computed with respect to each individual laborer or mechanic, including watchmen and guards, employed in violation of the clause set forth in paragraph (1) of this section, in the sum of $27 for each calendar day on which such individual was required or permitted to work in excess of the standard workweek of forty hours without payment of the overtime wages required by the clause set forth in paragraph (1) of this section.

(3) Withholding for unpaid wages and liquidated damages. The State shall upon its own action or upon written request of an authorized representative of the Department of Labor withhold or cause to be withheld, from any moneys payable on account of work performed by the Contractor or Subcontractor under any such contract or any other Federal contract with the same prime contractor, or any other federally-assisted contract subject to the Contract Work Hours and Safety Standards Act, which is held by the same prime contractor, such sums as may be determined to be necessary to satisfy any liabilities of such contractor or subcontractor for unpaid wages and liquidated damages as provided in the clause set forth in paragraph (2) of this section.

(4) Subcontracts. The Contractor or Subcontractor shall insert in any subcontracts the clauses set forth in paragraph (1) through (4) of this section and also a clause requiring the Subcontractors to include these clauses in any lower tier subcontracts. The prime contractor shall be responsible for compliance by any subcontractor or lower tier subcontractor with the clauses set forth in paragraphs (1) through (4) of this section.

5. Rights to Inventions Made Under a Contract or Agreement

If the Contract is funded by a federal "funding agreement" as defined under 37 CFR §401.2 (a) and the recipient or subrecipient wishes to enter into a contract with a small business firm or nonprofit organization regarding the substitution of parties, assignment or performance of experimental, developmental, or research work under that "funding agreement," the recipient or subrecipient must comply with 37 CFR Part 401, "Rights to Inventions Made by Nonprofit Organizations and Small Business Firms Under Government Grants, Contracts and Cooperative Agreements," and any implementing regulations issued by the awarding agency.

6. Clean Air Act and the Federal Water Pollution Control Act

If this Contract is **in excess of $150,000,** the Contractor must comply with all applicable standards, orders, and regulations issued under the Clean Air Act (42 USC 7401-7671q) and the Federal Water Pollution Control Act (33 USC 1251-1387), and during performance of this Contract the Contractor agrees as follows:

Clean Air Act

1. The Contractor agrees to comply with all applicable standards, orders or regulations issued pursuant to the Clean Air Act, as amended, 42 U.S.C. § 7401 et seq.
2. The Contractor agrees to report each violation to the State and understands and agrees that the State will, in turn, report each violation as required to assure notification to the Federal Emergency Management Agency or the applicable federal awarding agency, and the appropriate Environmental Protection Agency Regional Office.
3. The Contractor agrees to include these requirements in each subcontract exceeding $150,000 financed in whole or in part with Federal assistance provided by FEMA or the applicable federal awarding agency.

Federal Water Pollution Control Act

(1) The Contractor agrees to comply with all applicable standards, orders, or regulations issued pursuant to the Federal Water Pollution Control Act, as amended, 33 U.S.C. 1251 et seq.
(2) The Contractor agrees to report each violation to the State and understands and agrees that the State will, in turn, report each violation as required to assure notification to the Federal Emergency Management Agency or the applicable federal awarding agency, and the appropriate Environmental Protection Agency Regional Office.
(3) The Contractor agrees to include these requirements in each subcontract exceeding $150,000 financed in whole or in part with Federal assistance provided by FEMA or the applicable federal awarding agency.

7. Debarment and Suspension

A "contract award" (see 2 CFR 180.220) must not be made to parties listed on the government-wide exclusions in the System for Award Management (SAM), in accordance with the OMB guidelines at 2 CFR 180 that implement Executive Orders 12549 (51 FR 6370; February 21, 1986) and 12689 (54 FR 34131; August 18, 1989), "Debarment and Suspension." SAM Exclusions contains the names of parties debarred, suspended, or otherwise excluded by agencies, as well as parties declared ineligible under statutory or regulatory authority other than Executive Order 12549.

(1) This Contract is a covered transaction for purposes of 2 C.F.R. pt. 180 and 2 C.F.R. pt. 3000. As such, the Contractor is required to verify that none of the Contractor's principals (defined at 2 C.F.R. § 180.995) or its affiliates (defined at 2 C.F.R. § 180.905) are excluded (defined at 2 C.F.R. § 180.940) or disqualified (defined at 2 C.F.R. § 180.935).

(2) The Contractor must comply with 2 C.F.R. pt. 180, subpart C and 2 C.F.R. pt. 3000, subpart C, and must include a requirement to comply with these regulations in any lower tier covered transaction it enters into.

(3) This certification is a material representation of fact relied upon by the State. If it is later determined that the contractor did not comply with 2 C.F.R. pt. 180, subpart C and 2

C.F.R. pt. 3000, subpart C, in addition to remedies available to the State, the Federal Government may pursue available remedies, including but not limited to suspension and/or debarment.

(4) The bidder or proposer agrees to comply with the requirements of 2 C.F.R. pt. 180, subpart C and 2 C.F.R. pt. 3000, subpart C while this offer is valid and throughout the period of any contract that may arise from this offer. The bidder or proposer further agrees to include a provision requiring such compliance in its lower tier covered transactions.

8. Byrd Anti-Lobbying Amendment

Contractors who apply or bid for an award of **$100,000 or more** shall file the required certification in Exhibit 1 – Byrd Anti-Lobbying Certification below. Each tier certifies to the tier above that it will not and has not used Federal appropriated funds to pay any person or organization for influencing or attempting to influence an officer or employee of any agency, a Member of Congress, officer or employee of Congress, or an employee of a Member of Congress in connection with obtaining any Federal contract, grant, or any other award covered by 31 U.S.C. § 1352. Each tier shall also disclose any lobbying with non-Federal funds that takes place in connection with obtaining any Federal award. Such disclosures are forwarded from tier to tier up to the recipient who in turn will forward the certification(s) to the awarding agency.

9. Procurement of Recovered Materials

Under 2 CFR 200.322, Contractors must comply with section 6002 of the Solid Waste Disposal Act, as amended by the Resource Conservation and Recovery Act.

(1) In the performance of this contract, the Contractor shall make maximum use of products containing recovered materials that are EPA-designated items unless the product cannot be acquired—

a. Competitively within a timeframe providing for compliance with the contract performance schedule;

b. Meeting contract performance requirements; or

c. At a reasonable price.

(2) Information about this requirement, along with the list of EPA- designated items, is available at EPA's Comprehensive Procurement Guidelines web site, https://www.epa.gov/smm/comprehensive- procurement-guideline-cpg-program.

(3) The Contractor also agrees to comply with all other applicable requirements of Section 6002 of the Solid Waste Disposal Act.

10. Additional FEMA Contract Provisions.

The following provisions apply to purchases that will be paid for in whole or in part with funds obtained from the Federal Emergency Management Agency (FEMA):

(1) Access to Records. The following access to records requirements apply to this contract:

a. The Contractor agrees to provide the State, the FEMA Administrator, the Comptroller General of the United States, or any of their authorized representatives access to any books, documents, papers, and records of the Contractor which are directly pertinent to this contract for the purposes of making audits, examinations, excerpts, and transcriptions.

b. The Contractor agrees to permit any of the foregoing parties to reproduce by any means whatsoever or to copy excerpts and transcriptions as reasonably needed.

c. The Contractor agrees to provide the FEMA Administrator or his authorized representatives access to construction or other work sites pertaining to the work being completed under the contract.

d. In compliance with the Disaster Recovery Act of 2018, the State and the Contractor acknowledge and agree that no language in this contract is intended to prohibit audits or internal reviews by the FEMA Administrator or the Comptroller General of the United States.

(2) Changes.

See the provisions regarding modifications or change notice in the Contract Terms.

(3) DHS Seal, Logo, And Flags.

The Contractor shall not use the DHS seal(s), logos, crests, or reproductions of flags or likenesses of DHS agency officials without specific FEMA pre-approval.

(4) Compliance with Federal Law, Regulations, and Executive Orders.

This is an acknowledgement that FEMA financial assistance will be used to fund all or a portion of the contract. The Contractor will comply with all applicable Federal law, regulations, executive orders, FEMA policies, procedures, and directives.

(5) No Obligation by Federal Government.

The Federal Government is not a party to this contract and is not subject to any obligations or liabilities to the State, Contractor, or any other party pertaining to any matter resulting from the Contract."

(6) Program Fraud and False or Fraudulent Statements or Related Acts.

The Contractor acknowledges that 31 U.S.C. Chap. 38 (Administrative Remedies for False Claims and Statements) applies to the Contractor's actions pertaining to this contract.

Schedule H, Attachment 1 - Byrd Anti-Lobbying Certification

Contractor must complete this certification if the purchase will be paid for in whole or in part with funds obtained from the federal government and the purchase is greater than $100,000.

APPENDIX A, 44 C.F.R. PART 18 – CERTIFICATION REGARDING LOBBYING

Certification for Contracts, Grants, Loans, and Cooperative Agreements

The undersigned certifies, to the best of his or her knowledge and belief, that:

1. No Federal appropriated funds have been paid or will be paid, by or on behalf of the undersigned, to any person for influencing or attempting to influence an officer or employee of an agency, a Member of Congress, an officer or employee of Congress, or an employee of a Member of Congress in connection with the awarding of any Federal contract, the making of any Federal grant, the making of any Federal loan, the entering into of any cooperative agreement, and the extension, continuation, renewal, amendment, or modification of any Federal contract, grant, loan, or cooperative agreement.

2. If any funds other than Federal appropriated funds have been paid or will be paid to any person for influencing or attempting to influence an officer or employee of any agency, a Member of Congress, an officer or employee of Congress, or an employee of a Member of Congress in connection with this Federal contract, grant, loan, or cooperative agreement, the undersigned shall complete and submit Standard Form-LLL, “Disclosure Form to Report Lobbying,” in accordance with its instructions.

3. The undersigned shall require that the language of this certification be included in the award documents for all subawards at all tiers (including subcontracts, subgrants, and contracts under grants, loans, and cooperative agreements) and that all subrecipients shall certify and disclose accordingly.

This certification is a material representation of fact upon which reliance was placed when this transaction was made or entered into. Submission of this certification is a prerequisite for making or entering into this transaction imposed by section 1352, title 31, U.S. Code. Any person who fails to file the required certification shall be subject to a civil penalty of not less than $10,000 and not more than $100,000 for each such failure.

The Contractor,_____ certifies or affirms the truthfulness and accuracy of each statement of its certification and disclosure, if any. In addition, the Contractor understands and agrees that the provisions of 31 U.S.C. Chap. 38, Administrative Remedies for False Claims and Statements, apply to this certification and disclosure, if any.

_____
Signature of Contractor’s Authorized Official

_____
Name and Title of Contractor’s Authorized Official

_____

Date

Federal Tax Regulation
(commonly known as IRS Publication 1075, Exhibit 7)

I. PERFORMANCE

In performance of this contract, the Contractor agrees to comply with and assume responsibility for compliance by his or her employees with the following requirements:
(1) All work will be performed under the supervision of the contractor or the contractor's responsible employees.
(2) The contractor and the contractor's employees with access to or who use FTI must meet the background check requirements defined in IRS Publication 1075.
(3) Any Federal tax returns or return information (hereafter referred to as returns or return information) made available shall be used only for the purpose of carrying out the provisions of this contract. Information contained in such material shall be treated as confidential and shall not be divulged or made known in any manner to any person except as may be necessary in the performance of this contract. Inspection by or disclosure to anyone other than an officer or employee of the contractor is prohibited.
(4) All returns and return information will be accounted for upon receipt and properly stored before, during, and after processing. In addition, all related output and products will be given the same level of protection as required for the source material.
(5) No work involving returns and return information furnished under this contract will be subcontracted without prior written approval of the IRS.
(6) The contractor will maintain a list of employees authorized access. Such list will be provided to the agency and, upon request, to the IRS reviewing office.
(7) The agency will have the right to void the contract if the contractor fails to provide the safeguards described above.
(8) (Include any additional safeguards that may be appropriate.)

II. CRIMINAL/CIVIL SANCTIONS

(1) Each officer or employee of any person to whom returns or return information is or may be disclosed shall be notified in writing by such person that returns or return information disclosed to such officer or employee can be used only for a purpose and to the extent authorized herein, and that further disclosure of any such returns or return information for a purpose or to an extent unauthorized herein constitutes a felony punishable upon conviction by a fine of as much as $5,000 or imprisonment for as long as five years, or both, together with the costs of prosecution. Such person shall also notify each such officer and employee that any such unauthorized future disclosure of returns or return information may also result in an award of civil damages against the officer or employee in an amount not less than $1,000 with respect to each instance of unauthorized disclosure. These penalties are prescribed by IRCs 7213 and 7431 and set forth at 26 CFR 301.6103(n)-1.
(2) Each officer or employee of any person to whom returns or return information is or may be disclosed shall be notified in writing by such person that any return or return information made available in any format shall be used only for the purpose of carrying out the provisions of this contract. Information contained in such material shall be treated as confidential and shall not be divulged or made known in any manner to any person except as may be necessary in the performance of this contract. Inspection by or disclosure to anyone without an official need-to-know constitutes a criminal misdemeanor punishable upon conviction by a fine of as much as $1,000.00 or imprisonment for as long as 1 year, or both, together with the costs of prosecution. Such person shall also notify each such officer and employee that any such unauthorized inspection or disclosure of returns or return information may also result in an award of civil damages against the officer or employee [United States for Federal employees] in an amount equal to the sum of the greater of $1,000.00 for each act of unauthorized inspection or disclosure with respect to which such defendant is found liable or the sum of the actual damages sustained by the plaintiff as a result of such unauthorized inspection or disclosure plus in the case of a willful inspection or disclosure which is the result of gross negligence, punitive damages, plus the costs of the action. The penalties are prescribed by IRCs 7213A and 7431 and set forth at 26 CFR 301.6103(n)-1.
(3) Additionally, it is incumbent upon the contractor to inform its officers and employees of the penalties for improper disclosure imposed by the Privacy Act of 1974, 5 U.S.C. 552a. Specifically, 5 U.S.C. 552a(i)(1), which is made applicable to contractors by 5 U.S.C. 552a(m)(1), provides that any officer or

employee of a contractor, who by virtue of his/her employment or official position, has possession of or access to agency records which contain individually identifiable information, the disclosure of which is prohibited by the Privacy Act or regulations established thereunder, and who knowing that disclosure of the specific material is so prohibited, willfully discloses the material in any manner to any person or agency not entitled to receive it, shall be guilty of a misdemeanor and fined not more than $5,000.
(4) Granting a contractor access to FTI must be preceded by certifying that each individual understands the agency's security policy and procedures for safeguarding IRS information. Contractors must maintain their authorization to access FTI through annual recertification. The initial certification and recertification must be documented and placed in the agency's files for review. As part of the certification and at least annually afterwards, contractors must be advised of the provisions of IRCs 7431, 7213, and 7213A (see Exhibit 4, Sanctions for Unauthorized Disclosure, and Exhibit 5, Civil Damages for Unauthorized Disclosure). The training provided before the initial certification and annually thereafter must also cover the incident response policy and procedure for reporting unauthorized disclosures and data breaches. (See Section 10) For both the initial certification and the annual certification, the contractor must sign, either with ink or electronic signature, a confidentiality statement certifying their understanding of the security requirements.

III. INSPECTION

The IRS and the Agency, with 24 hour notice, shall have the right to send its inspectors into the offices and plants of the contractor to inspect facilities and operations performing any work with FTI under this contract for compliance with requirements defined in IRS Publication 1075. The IRS' right of inspection shall include the use of manual and/or automated scanning tools to perform compliance and vulnerability assessments of information technology (IT) assets that access, store, process or transmit FTI. On the basis of such inspection, corrective actions may be required in cases where the contractor is found to be noncompliant with contract safeguards.

Attachment B

SAFEGUARD REQUIREMENTS OF CONFIDENTIAL TAX DATA

This section sets forth the safeguard requirements for handling, storage, and processing of confidential tax information for a Contractor and their subcontractor(s) and is incorporated as an integral part of the Contract. It will facilitate administration and enforcement of the laws of the State of Michigan in a manner consistent with the applicable statutes, regulations, published rules and procedures or written communication.

I. Authority

Authority for the Michigan Department of Treasury to require that this section be included in the Contract is contained in l941 PA 122, as amended, MCL 205.28(1)(f), which subjects current or former contractors to the same restrictions and penalties imposed upon department employees regarding the treatment of confidential information. A private contractor or its employees are strictly prohibited from disclosing taxpayer information to a third party. The prohibition against disclosure does not bar an employee of a private contractor with whom the State of Michigan (State) contracts that processes tax returns or payments pursuant to the Contract from having access to confidential information that is reasonably required for the processing or collection of amounts due this State. Private contractors and any subcontractors will follow Treasury guidelines for Authorized representatives.

II. Confidentiality

It is agreed that all information exchanged under this section will be kept confidential in accordance with the confidentiality provisions contained in the Revenue Act, MCL 205.28(1)(f) which states in part;

> "Except as otherwise provided in this subdivision, an employee, authorized representative, or former employee or authorized representative of the department or anyone connected with the department will not divulge any facts or information obtained in connection with the administration of a tax or information or parameters that would enable a person to ascertain the audit selection or processing criteria of the department for a tax administered by the department."

Confidential information obtained under this contract will not be disclosed except as required by state law, or in the proper administration of applicable laws, promulgated rules and procedures. In the event, confidentiality statutes are amended, Treasury will notify Contractor of any changes. No employee, agent, authorized representative or legal representative of Contractor will disclose any information obtained by virtue of this section to any other division within their company or any other governmental agency, department or unit within such governmental agency whether local, state, federal or foreign, department or unit within such governmental agency, or any unauthorized third party. No tax returns or tax return information accessed by Contractor will be duplicated or disseminated within or outside the company without the written approval of the Contract Compliance Inspector. Tax returns and tax return information remain the property of

Treasury.

Contractor may use a taxpayer's name, address and Social Security number or employer identification number to the extent necessary in connection with the processing and mailing of forms for any report or return required in the administration of any tax in the performance of the Contract. The use of the Social Security number must be in accordance with the state Social Security Number Privacy Act 454 of 2004, as amended.

Confidential information obtained under this agreement will not be disclosed in part of a report or document that is subject to FOIA.

The penalties for violating the confidentiality provisions of the Revenue Act are contained in, MCL 205.28(2) and MCL 205.27(4). MCL 205.28(2) states:

> "A person who violates subsection (1)(e), (1)(f), (4) or (5) is guilty of a felony, punishable by a fine of not more than $5,000.00, or imprisonment for not more than 5 years, or both, together with the costs of prosecution. In addition, if the offense is committed by an employee of this state, the person will be dismissed from office or discharged from employment upon conviction."

MCL 205.27(4) states:

> A person who is not in violation pursuant to subsection (2), but who knowingly violates any other provision of this act, or of any statute administered under this act, is guilty of a misdemeanor, punishable by a fine of not more than $1,000.00, or imprisonment for not more than 1 year, or both.

Information received by Treasury from the U.S. Internal Revenue Service, pursuant to section 6103(d) of the Internal Revenue Code or any other federal agency will not be subject to the exchange.

III. Procedure for Security

Contractor will safeguard any tax return information obtained under the Contract as follows:

A. Access to the tax returns and tax return information will be allowed only to those authorized employees and officials of Contractor who need the information to perform their official duties in connection with the uses of the information authorized in this Contract.

B. Any records created from tax returns and tax return information will be stored in an area that is physically safe from access by unauthorized persons during duty hours and locked in a secure area during non-duty hours, or when not in use.

C. Any records matched and any records created by the match will be processed under the immediate supervision and control of authorized personnel in a manner in which will protect the confidentiality of the records, and in such a way that unauthorized persons cannot retrieve any such records by means of a computer, remote terminal or other means.

D. All personnel who will have access to the tax returns and tax return information and to any records created by the tax return information will be advised annually of the confidential nature of the information, the safeguards required to protect the information and the civil and criminal sanctions for noncompliance contained in MCL 205.28 (2) and MCL 205.27(4) and will sign confidentiality certifications.

E. All confidential information, electronic and paper, will be secured from unauthorized access and with access limited to designated personnel only. State tax return information will not be commingled with other information. All Michigan tax returns and return information will be marked as follows: **CONFIDENTIAL - DO NOT DISCLOSE - MICHIGAN TREASURY TAX RETURN INFORMATION**

F. Treasury, Office of Privacy and Security or Contract Compliance Inspector may make onsite inspections or make other provisions to ensure that adequate safeguards are being maintained by the Contractor.

G. The Treasury Office of Privacy and Security may monitor compliance of systems security requirements during the lifetime of the Contract or any extension.

H. Contractor will also adopt policies and procedures to ensure that information contained in their respective records and obtained from Treasury and taxpayers will be used solely as stipulated in the Contract.

IV. Computer System Security of Tax Data

The identification of confidential tax records and defining security controls are intended to protect Treasury tax return information from unlawful disclosure, modification, destruction of information and unauthorized secondary uses.

Computer system security and physical security of tax data stored and processed by Contractor must be in compliance with the following security guidelines and standards established by Treasury. These guidelines apply to any computer system developed by Contractor, either through its own systems staff, or through a contractor, subcontractor or vendor):

A. Controlled Access Protection

All computer systems processing, storing and transmitting Michigan tax information must have computer access protection controls These security standards are delineated in the National Institute of Standards and Technology (NIST) Special Publications number 800-53 "Recommended Security Controls for the Federal Information Systems" at http://csrc.nist.gov/publications/PubsSPs.html. To meet these standards, the operating security features of the system must have the following minimum requirements: a security policy, accountability, assurance, and documentation.

1) **Security Policy** – A security policy is a written document describing the system in terms of categories of data processed, users allowed access and access rules between the users and the data. Additionally, it describes procedures to prevent unauthorized access by

clearing all protected information on objects before they are allocated or reallocated out of or into the system. Further protection must be provided where the computer system contains information for more than one program/project, office, or Agency and that personnel do not have authorization to see all information on the system.

2) **Accountability** – Computer systems processing Michigan tax information must be secured from unauthorized access. All security features must be available (audit trails, identification and authentication) and activated to prevent unauthorized users from indiscriminately accessing Michigan tax information. Everyone who accesses computer systems containing Michigan tax information is accountable. Access controls must be maintained to ensure that unauthorized access does not go undetected. Computer programmers and contractors who have a need to access databases, and are authorized under the law, must be held accountable for the work performed on the system. The use of passwords and access control measures must be in place to identify who accessed protected information and limit that access to persons with a need to know.

a) On-line Access –Users will be limited to any Treasury on-line functions, by limiting access through functional processing controls and organization restrictions.

Any employee granted access privileges through the Contractor's Security Administrator will be approved for access and viewing rights to Treasury on-line systems by the Department of Treasury, Office of Privacy and Security.

b) Operating Features of System Security
Contractor must meet the following levels of protection with respect to tax return information. Individual user accountability must be ensured through user identification number and password.

i. Access rights to confidential tax information must be secured through appropriate levels of authorization.

ii. An audit trail must be maintained of accesses made to confidential information.

iii. All confidential and protected information must be cleared from a system before it is used for other purposes not related to the enforcement, collection or exchange of data not covered by this section or by an addendum to this Contract.

iv. Hard copies made of confidential tax return information must be labeled as confidential information.

v. Confidential Treasury tax information will be blocked or coded as confidential on system.

vi. Any computer system in which Michigan tax return information resides must systematically notify all users upon log-in of the following disclosure penalties for

improperly accessing or making an authorized disclosure of Michigan tax return information:

NOTICE TO EMPLOYEES AND AUTHORIZED REPRESENTATIVES

This system contains Michigan Department of Treasury tax return information. **DO NOT DISCLOSE OR DISCUSS MICHIGAN RELATED TAX RETURN INFORMATION** with unauthorized individuals. The Revenue Act at MCL 205.28(1)(f) prohibits such disclosure.

MICHIGAN PENALTIES
A person making a willful unauthorized disclosure or inspection (browsing) of tax return information may be charged with the following Michigan penalties:

- Criminal penalties up to $5,000 and/or imprisonment for 5 years, plus costs and dismissal from employment if it is found that a current or former employee or authorized representative has made an unauthorized disclosure of a tax return or tax return information or divulged audit selection or processing parameters. [MCL 205.28(2)]

- A misdemeanor, punishable by a fine of not more than $1,000.00, or imprisonment for not more than 1 year, or both if the person is not in violation pursuant to MCL 205.27(2), but who knowingly violates any other provision of this act, or of any statute administered under this act.

This statement is subject to modification. A confidentiality statement, subject to modification, will be sent as needed by the Security Administrator to all employees, contractors, and legal representatives of Contractor.

3) **Assurance** – Contractor must ensure that all access controls and other security features are implemented and are working when installed on their computer system. Significant enhancements or other changes to a security system must follow the process of review, independent testing, and installation assurance. The security system must be tested at least annually to assure it is functioning correctly. All anomalies must be corrected immediately.

   a) The Contractor must initiate corrective action for all non-conformities as soon as detected and immediately advise the Contract Compliance Inspector. Notice of the corrective action must be provided to the Contract Compliance Inspector. All non-conformities must be reported to the Contract Compliance Inspector with the following:

      a. Duration of non-conformity/interruption
      b. Reason for non-conformity/interruption
      c. Resolution.

b) All non-conformities to the specifications/tasks of the Contract must be corrected within four (4) hours. The State recognizes there will be instances when adherence to this time frame will not be possible. However, the State will only tolerate this on an exception basis. To request an exception to this time frame, the Contractor must submit a detailed project plan to address the non-conformity within four (4) hours to the Contract Compliance Inspector for approval.

4) **Documentation** – Design and test documentation must be readily available to the state. The developer or manufacturer should initially explain the security mechanisms, how they are implemented and their adequacy (limitations). This information should be passed on to the security officer or supervisor. Test documentation should describe how and what mechanisms were tested and the results. If recognized organizations/tests/standards are used, then a document to that effect will suffice. For example, a system that has been tested and certified as meeting certain criteria may have a document stating this fact, without detailed tests/results of information. Contractor, however, must ensure the documentation covers the exact system and that it includes the specific computer system used by Contractor.

   Additionally, documentation must include a security administrator's guide. The security administrator's guide is addressed to the System's Administrator and Security Officer and will describe the protection mechanisms provided by the security system, guidelines on their use and how they interact. This document will present cautions about security functions and describe privileges that should be controlled when running a secure system. The document will be secured and locked at all times with access rights only by the Systems Administrator and Security Officer.

Note: When a security system is designed or purchased for a specific computer or computer system, the security mechanisms must be reviewed by the State to ensure that needed security parameters are met. An independent test should be implemented on the specific computer or computer system to ensure that the security system meets the security parameters within this contract and developed with the computer system. The test may be arranged by the developer but must be done by an independent organization. Contractor must assign responsible individuals (Security Officers) with knowledge of information technology and applications to oversee the testing process. These individuals must be familiar with technical controls used to protect the system from unauthorized entry.

Finally, contingency and backup plans must be in place to ensure protection of Michigan tax information.

V. Electronic Transmission of Michigan Tax Information

The two acceptable methods of transmitting Michigan tax information over telecommunications devices are encryption and using guided media. Encryption involves altering data objects in a way that the objects become unreadable until deciphered with the appropriate software at the intended destination. Guided media involves transmission of data over twisted pair cable, coaxial cable or

end to end fiber optics which are typically used in secure computer networks like the state's Local Area Network (LAN), telephone systems, and television distribution.

Cryptography standards have been adopted by the IRS and can be used to provide guidance for encryption, message authentication codes or digital signatures and digital signatures with or without an associated certification infrastructure. For further information, see IRS Publication 1075 at the IRS web site.

Unencrypted cable circuits of fiber optics are an acceptable alternative for transmitting Michigan tax information. Adequate measures must be taken to ensure that circuits are maintained on cable and not converted to unencrypted radio or microwave transmission. Additional precautions should be taken to protect the cable, i.e., burying the cable underground or in walls or floors and providing access controls to cable vaults, rooms and switching centers.

A. **Remote Access**
Accessing databases containing Michigan tax information from a remote location – that is, a location not directly connected to the Local Area Network (LAN) will require adequate safeguards to prevent unauthorized entry.

For remote access, the contractor is required to use an identification security card that requires both PIN and card in possession. The State identified and approved methods for remote vendor access are as follows:

- SecureID through VPN – State provided SecureID taken and VPN software in order to access State of Michigan resources. Appropriate Acceptable Use policies and signoffs are required
- Follow-the Sun SecureID – Vendor is provided with VPN software and a SOM technical resource coordinates with the DTMB Client Service Center to provide secure ID code access to specific State of Michigan resources. Appropriate Acceptable Use Policies and signoffs are required.

B. **Portable Computer Devices**
Any entrusted confidential information collected or accessed during this Contract must be encrypted when stored on all storage devices and media. This includes, but not limited to, disk drives for servers and workstations, and portable memory media (PDAs, RAM drives, memory sticks, etc.).

VI. Record Keeping Requirements for Information Received

Each Contractor, requesting and receiving information will keep an accurate accounting of the information received. The audit trail will be required which will include the following information:

a. Taxpayer's name
b. Identification number
c. Information requested
d. Purpose of disclosure request
e. Date information received
f. Name of Division and employee making request
g. Name of other employees who may have had access

h. Date destroyed
i. Method of destruction

The Contractor will adopt and implement formal procedures to:

- Ensure proper handling of tax returns and tax return information;
- Secure and safeguard information from unauthorized use; and
- Ensure appropriate destruction of information and materials retrieved from Treasury.

A. **Electronic Media**
Contractor will keep an inventory of magnetic and electronic media received under the Contract.

Contractor must ensure that the removal of tapes and disks and paper documents containing Michigan tax return information from any storage area is properly recorded on charge-out records. Contractor is accountable for missing tapes, disks, and paper documents.

B. **Recordkeeping Requirements of Disclosure Made to State Auditors**
When disclosures are made by Contractor to State Auditors, these requirements pertain only in instances where the Auditor General's staff extracts Michigan tax returns or tax information for further review and inclusion in their work papers. Contractor must identify the hard copies of tax records or if the tax information is provided by magnetic tape format or through other electronic means, the identification will contain the approximate number of taxpayer's records, the date of inspection, the best possible description of the records and the name of the Auditor(s) making the inspection.

The Disclosure Officer must be notified, in writing, of any audits done by auditors, internal or otherwise, of Contractor that would involve review of Treasury processing parameters.

VII. Contract Services

To the extent the Contractor employs an independent agency, consultant, or agent to process confidential information which includes Michigan tax return information; the Contractor will notify the Treasury Disclosure Officer before the execution of any such agreement. Each agreement will include in the agreement the following recommended safeguard provisions:

A. The identification of confidential tax records and defining security controls are intended to protect Treasury tax return information from unlawful disclosure, modification, destruction of information and unauthorized secondary uses.

B. Definition of Treasury Tax Return Information as defined in Revenue Administrative Bulletin (RAB) 1989-39:

Taxpayer's identity, address, the source or amount of his/her income, payments,

receipts, deductions, exemptions, credits, assets, liabilities, net worth, tax liability, tax withheld, deficiencies, over assessments, or tax payments whether the taxpayer's return was, is being or will be examined or subject to their investigation or processing, or any other data, received by, recorded by, prepared by, furnished to or collected by the agency with respect to a return or with respect to the determination of the existence, or liability (or the amount thereof) of any person under the tax laws administered by the Department, or related statutes of the state for any tax, penalty, interest, fine, forfeiture, or other imposition or offense. The term "tax return information" also includes any and all account numbers assigned for identification purposes.

C. An acknowledgment that a taxpayer has filed a return is known as a "fact of filing" and may not be disclosed. All tax return data made available in any format will be used only for the purpose of carrying out the provisions of the Contract between Contractor and the sub-contractor. Information contained in such material will be treated as confidential and will not be divulged or made known in any manner to any person except as may be necessary in the performance of the Contract between Contractor and the subcontractor. In addition, all related output will be given the same level of protection as required for the source material.

D. The subcontractor will certify that the data processed during the performance of the Contract between Contractor and the subcontractor will be completely purged from all data storage components of the subcontractor's computer facility, and no output will be retained by the subcontractor at the time the work is completed.

E. Destruction of tax data, including any spoilage or any intermediate hard copy printout which may result during the processing of Michigan tax return information, will be documented with a statement containing the date of destruction, description of material destroyed, and the method used. Destruction parameters must meet the standards of Section IX, Disposal of Tax Information, of this agreement.

F. Computer system security and physical security of tax data stored and processed by the subcontractor must be in compliance with security guidelines and standards established by this contract. See section VI (Record Keeping Requirements for Information Received in Paper Format) for more details.

G. The Contractor will be responsible for maintaining a list of employees authorized to access Michigan tax return information and will provide a copy of such list to Treasury.

H. No work involving information furnished under the contract will be subcontracted without the specific approval of Treasury. Contractor and approved subcontractors handling Michigan tax return information will be required to sign the *Vendor, Contractor or Subcontractor Confidentiality Agreement* provided by Treasury, (Form 3337, see Attachment A). The original agreements will be returned to the Disclosure Officer for the Department of Treasury and a copy sent to the Contract Compliance Inspector.

VIII. Transport of Tax Information

In the event, it is necessary to transport confidential tax return information the Contractor is responsible for holding the carrier responsible for safeguarding the records. The Contractor must obtain a signed *Vendor, Contractor or Subcontractor Confidentiality Agreement* (Form 3337, see Attachment A) for each carrier employee who has access to Michigan tax return information. The original agreements will be returned to the Department of Treasury, Disclosure Officer and a copy sent to the Contract Compliance Inspector.

If it is necessary to transfer records and responsibility for transport to a third carrier due to a mishap during transportation, the Contractor is responsible for ensuring safeguard standards remain enforce. This type of incident will be documented in accordance with the incident reporting guidelines in procedure PT-03253, "Incident Reporting and Handling".

Any such incidents must be reported to the Contract Administrator immediately.

IX. Disposal of Tax Information

Materials furnished to Contractor, such as tax returns, remittance vouchers, W-2 reports, correspondence, computer printouts, carbon paper, notes, memorandums and work papers will be destroyed by burning, mulching, pulverizing or shredding. If shredded, destroy paper using cross cut shredders which produce particles that are 1 mm x 5mm (0.04in x 0.2 in.) in size (or smaller).

Data tracks should be overwritten or reformatted a minimum of three times or running a magnetic strip over entire area of disk at least three (3) times to remove or destroy data on the disk media Electronic data residing on any computer systems must be purged based on Treasury's retention schedule.

Contractor and its subcontractor(s) will retain all confidential tax information received by Treasury only for the period of time required for any processing relating to the official duties and then will destroy the records. Any confidential tax information that must be kept to meet evidentiary requirements must be kept in a secured, locked area and properly labeled as confidential return information. See Procedure for Security (Section III of this agreement) for more details.

X. Security Responsibility

Contractor will designate a security person who will ensure that each individual having access to confidential tax information or to any system which processes Michigan tax return information is appropriately screened, trained and executes a *Vendor, Contractor or Subcontractor Confidentiality Agreement* (Form 3337, see Attachment A) before gaining access or transaction rights to any process and computer system containing Treasury tax return information.

Each Contractor or their subcontractor(s) employees' access and transaction rights will be reviewed periodically to ensure that there is a need to know Treasury tax return information displayed in any media.

Michigan tax return information will be made available only to individuals authorized by the Contract. Contractor will maintain a list of persons authorized to request and receive information and will update the list as necessary**.** A copy of the list must be furnished to the Michigan Department of Treasury Disclosure Officer and Contract Compliance Inspector.

XI. Security Breach Notification

The Contractor is required to report to Treasury, on Form 4000, Incident Reporting (Attachment B) any use or disclosure of confidential information, whether suspected or actual, **immediately** after becoming aware of the misuse or disclosure. The Contractor may substitute its internal form for Form 4000 if all pertinent information is included.

The Contractor agrees to immediately contain the breach if it is determined ongoing.

Treasury has the right to terminate the Contract when a breach has occurred, and the Contractor cannot demonstrate proper safeguards were in place to avert a breach. Treasury must approve Contractor's resolution to the breach.

XIII. Certification of Compliance

The Contractor will fully protect State Tax Information (STI) entrusted to them. Each Contractor or subcontractor who will have access to STI must read and sign a confidentiality agreement. This contract requires that all information obtained from the Michigan Department of Treasury under the Revenue Act, PA 122 of 1941, MCL 205.28 (1)(f) be kept confidential. In the event of a security breach involving STI in the possession of the Contractor, the Contractor agrees to provide full cooperation to conduct a thorough security review. The review will validate compliancy with the Contract, and state laws and regulations.

If, as a result of the Contractor's failure to perform as agreed, the State is challenged by a governmental authority or third party as to its conformity to or compliance with State, Federal and local statutes, regulations, ordinances or instructions; the Contractor will be liable for the cost associated with loss of conformity or compliance.

The Contractor understands the cost reflects violation fines identified by the Michigan Social Security Number Privacy Act, 454 of 2004 and the Michigan Identity Theft Protection Act, Act 452 of 2004 as amended.

XI. Effective Date

These Safeguard requirements will be reviewed whenever the Contract modifications include specifications or processes that affect tax data.

Reset Form

Michigan Department of Treasury
3337 (Rev. 10-16)

Vendor, Contractor or Subcontractor Confidentiality Agreement

The Revenue Act, Public Act 122 of 1941, MCL 205.28(1)(f), the City Income Tax Act, Public Act 284 of 1964, MCL 141.674(1), and Internal Revenue Code (IRC) 6103(d), make all information acquired in administering taxes confidential. The Acts and IRC hold a vendor, contractor or subcontractor and their employees who sell a product or provide a service to the Michigan Department of Treasury, or who access Treasury data, to the strict confidentiality provisions of the Acts and IRC. Confidential tax information includes, but is not limited to, information obtained in connection with the administration of a tax or information or parameters that would enable a person to ascertain the audit selection or processing criteria of the Michigan Department of Treasury for a tax administered by the department.

INSTRUCTIONS. Read this entire form before you sign it. If you do not complete this agreement, you will be denied access to Michigan Department of Treasury and federal tax information. After you and your witness sign and date this form, keep a copy for your records. Send the original to the address listed below.

Company Name and Address (Street or RR#, City, State, ZIP Code)		Last Name	First Name
		Driver License Number/Passport Number	Telephone Number
State of Michigan Department	Division	Subcontractor Name if Product/Service Furnished to Contractor	
Describe here or in a separate attachment the product or service being provided to the State of Michigan Agency (Required).			

Confidentiality Provisions. It is illegal to reveal or browse, except as authorized:

- All tax return information obtained in connection with the administration of a tax. This includes information from a tax return or audit and any information about the selection of a return for audit, assessment or collection, or parameters or tolerances for processing returns.
- All Michigan Department of Treasury or federal tax returns or tax return information made available, including information marked "Official Use Only". Tax returns or tax return information shall not be divulged or made known in any manner to any person except as may be needed to perform official duties. Access to Treasury or federal tax information, in paper or electronic form, is allowed on a **need-to-know** basis only. Before you disclose returns or return information to other employees in your organization, they must be authorized by Michigan Department of Treasury to receive the information to perform their official duties.
- Confidential information shall not be disclosed by a department employee to confirm information made public by another party or source which is part of any public record. 1999 AC, R 2005.1004(1).

Violating confidentiality laws is a felony, with penalties as described:

Michigan Penalties
MCL 205.28(1)(f) provides that you may not willfully disclose or browse any Michigan tax return or information contained in a return. Browsing is defined as examining a return or return information acquired without authorization and without a **need to know** the information to perform official duties. Violators are guilty of a **felony** and subject to **fines of $5,000 or imprisonment for five years, or both**. State employees will be discharged from state service upon conviction.

Any person who violates any other provision of the Revenue Act, MCL 205.1, et seq., or any statute administered under the Revenue Act, will be guilty of a misdemeanor and **fined $1,000 or imprisonment for one year, or both**, MCL 205.27(4).

City Penalties
MCL 141.674(2) provides that any person divulging confidential City Tax information is guilty of a misdemeanor and subject to a fine not exceeding $500 or imprisonment for a period not exceeding 90 days, or both, for each offense.

Federal Penalties
If you willfully disclose federal tax returns or tax return information to a third party, you are guilty of a **felony with a fine of $5,000 or imprisonment for five years, or both, plus prosecution costs** according to the Internal Revenue Code (IRC) §7213, 26 USC 7213.

In addition, inspecting, browsing or looking at a federal tax return or tax return information without authorization is a **felony violation** of IRC §7213A subjecting the violator to a **$1,000 fine or imprisonment for one year, or both, plus prosecution costs**. Taxpayers affected by violations of §7213A must be notified by the government and may bring a civil action against the federal government and the violator within two years of the violation. Civil damages are the **greater of $1,000 or actual damages** incurred by the taxpayer, plus the costs associated with bringing the action, 26 USC 7431.

Failure to comply with this confidentiality agreement may jeopardize your employer's contract with the Michigan Department of Treasury.

Certification		
By signing this Agreement, I certify that I have read the above confidentiality provisions and understand that failure to comply is a felony.		
Print name of employee signing this agreement	Signature of person named above	Date signed
Print Witness Name (Required)	Signature of Witness (Required)	Date signed

Submit your form to the following address:
Office of Privacy and Security/ Disclosure Unit
Michigan Department of Treasury
430 W. Allegan Street
Lansing, MI 48922

Questions, contact the **Office of Privacy and Security by telephone, 517-636-4239; fax, 517-636-5340; or email:**
Treas_Disclosure@michigan.gov

Michigan Department of Treasury
4000 (Rev. 05-14)

Reset Form

Incident Report

INSTRUCTIONS: Complete Parts 1 and 2 and immediately submit Initial Report to the Office of Privacy and Security. After incident resolution, submit Final Report (Parts 1, 2 and 3) to the Office of Privacy and Security. Refer to Procedure PT-03253, Incident Reporting and Handling.

PART 1: A. CONTACT INFORMATION (Reporting Entity)

Full Name (Last, First, Middle Initial)	Division/Office	
Telephone Number	Fax Number	E-Mail Address

B. CONTACT INFORMATION (Affected Entity)

Full Name (Last, First, Middle Initial)	Division/Office	
Telephone Number	Fax Number	E-Mail Address

PART 2: INCIDENT INFORMATION

Whose information was involved in the incident?

☐ Treasury ☐ Federal Tax Information ☐ Other State Agency, specify _____ ☐ Other _____

Incident Category (select all that apply)

☐ Passwords Shared/Stolen	☐ Computer Virus/Spam	☐ Paper Archives Compromised
☐ Misrouted Communications	☐ Data Destruction/Deletion	☐ Safe/Lockbox/other Compromise
☐ Unauthorized Access	☐ Backups Missing or Stolen	☐ Delivery of Documents Lost
☐ Fraudulent Actions	☐ Hacking of Networks/Systems	☐ Inappropriate Destruction Paper
☐ Lost/Stolen Information/Data	☐ Improperly Secured Sys/Web	☐ Inappropriate Destruction Media
☐ Lost/Stolen Cash/Checks	☐ Circumvention of Security Protocols	☐ Lost/Stolen Equipment
☐ Inappropriate Building Access	☐ _____	☐ _____

Incident Affects

☐ Financial Information/Resources	☐ Personal Information (SSN, Driver License No. Financial information)	☐ Unauthorized/Unlawful Activity
☐ Confidential/Sensitive Information	☐ Human Resources (threat)	☐ Other _____

Date Incident Occurred	Time Incident Occurred	Date Incident Discovered	Time Incident Discovered

Incident Location	Number of Individuals Affected
Involved Parties/Entities	Does this involve personal information (first and last name along with a SSN, driver license number, or credit/debit card account number)? ☐ Yes ☐ No
Date of Initial Report	

Description of Incident

PART 1: CONTACT INFORMATION (Affected Entity)

Full Name (Last, First, Middle Initial)	Division/Office

PART 3: INCIDENT RESOLUTION

Notification issued to affected individuals?	How many notifications were sent?	Breach Notification Method?
☐ Yes ☐ No		☐ E-mail ☐ Telephone ☐ US Mail ☐ Web

Who was notified?	Date notification was issued

Incident Cost

☐ Check if incident costs are less than $250. If $250 or more, complete the detailed summary of costs below.

Manhours:

Treasury $_____

DTMB-OES $_____

DTMB-Treasury Agency Services $_____

Other:

Postage $_____

Credit Monitoring Service $_____

_____ $_____

Total Cost of Incident $_____

Action Taken

Incident Impact

Post Incident Recommendations

PART 4: REPORT PREPARER INFORMATION

Final Report Prepared By:	Date Prepared	Preparer Title	Preparer's Telephone Number

Preparer Signature	Date

OFFICE OF PRIVACY AND SECURITY USE ONLY

Administrator, Office of Privacy and Security Signature	Date

Annex 2

State Wage Interchange System (SWIS)

Performance Accountability and Customer Information Agency (PACIA) *or* State Unemployment Insurance Agency (SUIA)

Acknowledgement of Confidentiality Requirements and Restrictions

In accordance with Section VIII of the SWIS Data Sharing Agreement, which sets out the Responsibilities of the Parties, the names and signatures of everyone who will have access to Wage Data, personally identifiable information (PII) from Education Records, or Personal Information from Vocational Rehabilitation (VR) Records, including PACIA or SUIA employees, contractors, or agents properly authorized by the PACIA or SUIA to use the SWIS Clearinghouse in accordance with the provisions of Sections VI, VIII, and XI of the SWIS Data Sharing Agreement appear below. All authorized PACIA or SUIA employees, contractors, or agents below acknowledge their understanding of:

- the confidential nature of SWIS data, including Wage Data, PII from students' Education Records, and personal information in the possession of VR agencies received through the SWIS Data Sharing Agreement;
- the standards for the handling of such data as discussed in Sections VI, VIII, and XI of the SWIS Data Sharing Agreement, the SWIS Data Sharing Agreement/FERPA Written Agreement incorporated by reference therein, and any Supplemental FERPA Agreement(s) incorporated by reference therein; and
- their obligation to comply with such standards in carrying out their responsibilities under the SWIS Data Sharing Agreement.

All authorized PACIA or SUIA employees, contractors, or agents listed below attest that they:

- have been provided a copy of the SWIS Data Sharing Agreement, the SWIS Data Sharing Agreement/FERPA Written Agreement, and any Supplemental FERPA Agreement(s) incorporated by reference into the SWIS Data Sharing Agreement;
- have reviewed the SWIS Data Sharing Agreement and the other agreements incorporated therein; and
- agree to comply with the applicable standards contained in the SWIS Data Sharing Agreement, and the other agreements incorporated therein, in carrying out their SWIS-related duties.

Please return the signed Acknowledgement of Confidentiality document for each employee to Michigan UIA.

Employee Signature:	
Date signed:	
Employee Name (*Please print*):	
Employee's Title:	
Employee's Business Unit:	
Employee's Supervisor:	
Title and Business Unit of Supervisor:	
Email of Supervisor:	
Phone Number of Supervisor:	
Is the Employee a staff member of the State SUIA?	___Yes ___No
or a State PACIA?	___Yes ___No
Is the individual an employee of the State, a contractor, or agent?	___State ___Contractor ___Agent
Employee's work location including State agency, agent or contractor name, building number, street and city: ***(Agency Name)*** ***(Building or floor or suite #)*** ***(Street)*** ***(City), (State) (Zip)***	
Employee Phone Number:	
Employee Email Address:	
Does the employee require ETA-approved individual credentials to access the password-protected SWIS Clearinghouse PACIA portal?	___Yes ___No

(Please print as many Acknowledgements as needed. Thank you.)

CONTRACTOR DATA SHARING AGREEMENT
BETWEEN
FAST Enterprises LLC
AND
THE MICHIGAN DEPARTMENT OF LABOR AND ECONOMIC OPPORTUNITY, UNEMPLOYOMENT INSURANCE AGENCY

This contractor data sharing agreement ("DSA") is made by and between the Michigan Department of Labor and Economic Opportunity, Unemployment Insurance Agency (UIA) and FAST Enterprises LLC, with offices at 7229 South Alton Way, Centennial, CO 80112 ("Contractor"). The Contractor and UIA may be singly and collectively referred to as a party or the parties, respectively.

The Contractor is providing services to UIA pursuant to a services contract, No. 071B1300367, and its amendments and change notices (Contract). The Contractor is requesting access to confidential UIA information in order to provide the services identified in the Contract.

This DSA identifies the responsibilities of each party to this DSA and establishes the terms governing the use, disclosure, and disposition of confidential UIA information.

Section 1. Confidential UIA Data

Confidential UIA data includes any data or information that UIA or its contractors disclose to the Contractor for the administration of the Michigan Employment Security Act (Confidential UIA Data). For purposes of this DSA, Confidential UIA Data also includes data or information that UIA or its contractors disclose to the Contractor for any other program or law UIA administers.

Confidential UIA Data may include Michigan Tax Data (MTD). MTD is any information obtained in connection with the administration of a tax which includes: the taxpayer's name, address, the source or amount of his/her income, payments, receipts, deductions, exemptions, credits, assets, liabilities, net worth, tax liability, tax withheld, deficiencies, over assessment, tax payments, any and all account numbers assigned for identification purposes on tax returns, or the fact that a taxpayer filed or did not file a return. It also includes whether the taxpayer's return was, is being or will be examined or subject to Michigan Department of Treasury's (Treasury) investigation or processing, or any other data, received by, recorded by, prepared by, furnished to or collected by Treasury with respect to a person. MTD also is information collected for determining the existence of a liability, or the amount thereof, for any tax, penalty, interest, fine, forfeiture, or other imposition or offense of any person or business entity.

Confidential UIA Data may include Federal Tax Information (FTI). FTI is any information generated from and provided to UIA by the United States Internal Revenue Service (IRS).

Confidential UIA Data may also include Social Security Administration information (SSA Data). SSA Data is any information generated from and provided to UIA by the United States Social Security Administration (SSA).

Confidential UIA Data may also include The Department of Homeland Security, U.S. Citizenship and Immigration Services (Homeland Security) data (Homeland Data). Homeland Data is any information generated from and provided to UIA by Homeland Security.

Confidential UIA Data may also include confidential interstate data (Wage Record Interchange System (WRIS) Data) through a data sharing agreement with U.S. Department of Labor, Employment, and Training Administration (ETA). WRIS Data is any information generated from and provided to UIA under the data sharing agreement with ETA (WRIS Agreement).

The Confidential UIA Data, less the MTD, FTI, Homeland Data, WRIS Data, and SSA Data, remains the sole property of UIA. The MTD remains the sole property of Treasury. The FTI remains the sole property of the IRS. The SSA Data remains the sole property of the SSA. The Homeland Data remains the sole property of Homeland Security. The WRIS Data remains the sole property of the separate state agencies providing the information under the WRIS Agreement.

For purposes of this DSA, disclosure shall mean direct or indirect access, either purposeful or not, to Confidential UIA Data, and shall include any form of access to Contractor's electronic or physical storage system that stores, permanently or temporarily, the Confidential UIA Data.

Section 2. Purpose

Confidential UIA Data will be used by the Contractor only as expressly agreed upon under the terms of this DSA. Access to Confidential UIA Data by any non-party or for any purpose not identified in this DSA is strictly forbidden.

The purpose of this DSA is to establish the conditions under which UIA grants the Contractor access to the Confidential UIA Data for the sole purpose of the Contractor providing services, as identified in the Contract, to UIA (Services). The Contractor's access to the Confidential UIA Data is restricted to its use to provide the Services to UIA which allow UIA to carry out its statutory duties under state and federal laws.

Section 3. Data Management

UIA shall provide the Confidential UIA Data to the Contractor for the sole purpose set forth in Section 2 of this DSA. The Contractor does not obtain or retain any ownership rights in the Confidential UIA Data. The Contractor's activities regarding the Confidential UIA Data are limited to those which are required to provide the Services to UIA which allow UIA to carry out its statutory duties under state and federal laws.

The Contractor shall not use the Confidential UIA Data except as authorized under this DSA. The Confidential UIA Data will be used solely for the purpose outlined in Section 2 of this DSA by the Contractor's employees and contractors that have a need to use and access such Confidential UIA Data for the purpose set forth in Section 2 of this DSA (collectively, "Authorized Persons"). A list of Authorized Persons is attached as Exhibit A and will be maintained according to the terms in Section 9 of this DSA.

Except as authorized under this DSA, the Contractor agrees to maintain control over the Confidential UIA Data that it has access to and shall not disclose, release, sell, rent, lease, loan, or otherwise grant access to such Confidential UIA Data to any third party without the prior written consent of UIA.

The Contractor agrees to comply with UIA's and the State's administrative, technical, and physical safeguards to prevent unauthorized use of or access to the Confidential UIA Data and comply with any other special requirements relating to safeguarding of the Confidential UIA Data as set forth in this DSA.

Section 4. Legal Authority

The authority for UIA to enter into this DSA and to share the data is the Federal-State Unemployment Compensation (UC) Program; Confidentiality and Disclosure of State UC Information, 20 CFR Part 603, *et seq*. and the Michigan Employment Security Act, MCL 421.1, *et seq*.

Section 5. Audits and Reviews

UIA will perform periodic access reviews and audits to ensure the Contractor is complying with UIA's and the State's administrative, technical, and physical safeguards to protect data from unauthorized disclosure. UIA's periodic reviews will ensure the Authorized Persons with access to Confidential UIA Data: (1) need and use the Confidential UIA Data in accordance with this DSA and for the purposes set forth in Section 2 of this DSA; (2) understand their responsibilities in protecting the Confidential UIA Data; (3) in compliance with this DSA, have signed a Confidentiality DSA, attached hereto as Exhibit B, have completed all Treasury, IRS, as applicable, and SSA required trainings and provided fingerprints in accordance with IRS requirements, if applicable, prior to being granted access to the Confidential UIA Data. To ensure compliance with this DSA, UIA may perform onsite inspections, during normal business hours, of the Contractor's and Authorized Persons' premises where Contractor and Authorized Persons may store or use State of Michigan laptops and equipment.

Section 6. Entire DSA
The parties agree that this DSA is the entire agreement between them with respect to the subject matter hereof and that this DSA supersedes any previous statements or agreements between them, whether oral or written.

Section 7. Modification and Amendment
The Contractor understands that UIA may request modification of this DSA to reflect any changes in its policies, procedures or as otherwise required by federal or state law, by an amendment to this DSA. The Contractor may also request modification of this DSA. This DSA is amended and modified by written agreement of the parties and will be executed in the same manner as the DSA. If the Contractor does not agree to UIA's request to modify or amend the DSA, the DSA may be terminated, without notice, effective immediately, notwithstanding Sections 18 or 19 of this DSA.

Section 8. Security Breach
The Contractor must comply with UIA's and the State's policies and procedures for reporting data security breaches. Notwithstanding any internal policies to the contrary, if the Contractor discovers or suspects any unauthorized use or disclosure of Confidential UIA Data, the Contractor must report it, in writing, to UIA within one business day of becoming aware of the actual or perceived impermissible use or disclosure. The Contractor must cooperate with UIA to identify, through audits or other available means entities, or persons who improperly access, use, or disclose the Confidential UIA Data. The parties will cooperate with one another to investigate, mitigate, and remedy unauthorized access, use, or disclosure of the Confidential UIA Data.

If any act, error, omission, negligence, misconduct or breach by the Contractor, or its officers, employees, agents, or contractors, compromises the security, confidentiality, or integrity of the Confidential-UIA Data, the Contractor will take all actions required to comply with applicable law as a result of such security breach. The Contractor will take responsibility for any associated costs and duties of the containment and resolution, up to and including notification to affected individuals and entities, and credit and identity monitoring services for up to 24 months to affected parties. Notwithstanding, Contractor will only be responsible, per security breach, for credit and identity monitoring services costs to the extent the breach was caused by Contractor.

A security breach shall be defined as the term "incident" in the Federal Information Security Modernization Act of 2014. Specifically, a security breach means an occurrence that (A) actually or imminently jeopardizes, without lawful authority, the integrity, confidentiality, or availability of information or an information system; or (B) constitutes a violation or imminent threat of violation of law, security policies, security procedures, or acceptable use policies. Subject to the limitations set forth in the next paragraph, Contractor will pay for credit and identity monitoring services when an occurrence of a security breach actually or imminently jeopardizes, without lawful authority, the integrity, confidentiality, or availability of the data of

UIA customers that can compromise or jeopardize an individual's identity. For this DSA, UIA customers are those individuals who have their Confidential UIA Data stored in UIA's electronic systems.

Contractor's liability for such credit and identity monitoring services costs are limited to the extent they are covered and paid by Contractor's cyber liability insurance policy up to the limits required in the Contract. In the event such credit and identity monitoring services costs are not covered and paid by Contractor's cyber liability insurance policy, Contractor will still reimburse, per security breach, the State for such costs up to $1,000,000.00. A single security breach may involve one or more records that may be compromised over a period of time.

Section 9. Authorized Access to Confidential UIA Data

The Contractor certifies that the Authorized Persons identified in Exhibit A to this DSA, as well as any others who the Contractor employs during the period of this DSA and who are assigned to perform the purpose of this DSA, will be informed about the requirements of 20 CFR 603.9, MCL 421.54(f), and the specific data security procedures described in this DSA. Further, all Authorized Persons identified in Exhibit A to this DSA must sign the Confidentiality DSA, attached hereto as Exhibit B, by which they acknowledge their obligation and commitment to keep the Confidential UIA Data secure and to use such data solely for the purpose as set forth in Section 2 of this DSA. The Contractor will instruct all Authorized Persons having access to the Confidential UIA Data as to the confidential nature of the information, the safeguards required to protect it, and the sanctions, in both civil and criminal law for noncompliance with the confidentiality requirements pertaining to the Confidential UIA Data.

All Authorized Persons identified in Exhibit A to this DSA must review the Office of the State Employer Remote Work Guidelines and sign the Office of the State Employer Remote Work Agreement, along with any other State of Michigan or UIA requirements to accessing and using State of Michigan hardware and software and Confidential UIA Data. The Authorized Persons' signatures on any State of Michigan policies, procedures, standards, forms, and agreements is not intended to and will not be construed to create an employment relationship between the Authorized Persons and the State of Michigan. At all times, all Authorized Persons shall remain employees of the Contractor.

The Contractor must inform UIA within 24 hours if any Authorized Person no longer works for the Contractor or no longer requires access to the Confidential UIA Data. Further, the Contractor must immediately inform UIA of the names of any Contractor employees requiring access to the Confidential UIA Data. No individuals added as Authorized Persons will have access to the Confidential UIA Data until UIA has received a signed Confidentiality Agreement, attached hereto as Exhibit B, and UIA has received written proof that such individuals have completed all required Treasury, IRS, as applicable, and SSA required trainings and provided fingerprints in compliance

with IRS requirements, as applicable. The Contractor's failure to keep UIA updated regarding the names of the Contractor's employees and their need for access to the Confidential UIA Data may result in termination of this DSA. UIA has the sole authority to determine whether a Contractor employee will be granted access to the Confidential UIA Data.

The Contractor is responsible for ensuring that its employees comply with the safeguards set forth in 20 CFR 603.9(b). Contractor is responsible for and ensures that its employees meet all data and system requirements set forth in this DSA.

Section 10. Data Security Provision

The Contractor agrees to follow and certifies that it meets the following:

UIA has classified the Confidential UIA Data using State of Michigan Technical Standard No. 1340.00.150.02 Data Classification Standard. Statutory requirements to protect the Confidential UIA Data from unauthorized disclosure, access, use or dissemination are: The Michigan Employment Security Act, MCL 421.1, *et seq*., as amended; 20 CFR 603.1, *et seq*.; the Social Security Number Privacy Act, 2004 PA 454; and the Identity Theft Protection Act, 2004 PA 454, as amended.

The data classification level for the Confidential UIA Data under this DSA is confidential.

The security categorization is moderate.

The minimum-security controls and control enhancements derive from the National Institute of Standards and Technology (NIST) SP 800-53, Recommended Security Controls for Federal Information Systems. The minimum baseline security controls are the starting point for the security control selection process and are the basis from which controls and control enhancements may be removed, added or customized to achieve the level of security protection required for the data or information system.

Additional security controls that are not addressed in the NIST SP 800-53 Security Controls may be required based on regulatory compliance or by contractual obligation.

Section 11. Contractor's Responsibilities

A. Protect the Confidential UIA Data.

The Contractor must comply with UIA's and the State's administrative, technical, and physical safeguards to protect the Confidential UIA Data from being accessed, used, disclosed, or stored in a manner other than as provided in this DSA.

i. Administrative safeguards include policies, procedures, training, and other measures designed to carry out security requirements. For example, appointing a security officer or adhering to an incident response plan.

ii. Physical safeguards include limitation of access to physical areas of information systems. The Contractor agrees to store laptops and equipment containing, or having access capabilities to, the Confidential UIA Data in a place and manner that is physically safe from access by unauthorized persons.

iii. Technical safeguards include automated processes used to protect and control access to the Confidential UIA Data. The Contractor agrees to store, and process Confidential UIA Data in such a way that unauthorized persons cannot obtain the disclosed Confidential UIA Data by any means. The Contractor agrees to undertake precautions to ensure that only Authorized Persons have access to disclosed Confidential UIA Data. Noninclusive examples include doing nothing to prevent the State from enabling encryption, use of passwords, and doing nothing to interfere with the security of State systems including State laptops.

B. Comply with a security policy pertaining to the Confidential UIA Data.

A security policy is a written document describing the system in terms of categories of data processed, users allowed access, and access rules between the users and the data. It describes procedures to prevent unauthorized access by clearing all protected data on storage objects before they are allocated or reallocated out of or into each system. Further security protocols using password protection and authentication must be provided where the computer system contains information for more than one program, project, office, or agency so that personnel do not have unauthorized or unlimited access. The Contractor must comply with all State of Michigan and UIA's security policies.

C. Use the Confidential UIA Data only for the stated purpose.

The Contractor will use the Confidential UIA Data solely for purposes identified in Section 2 of this DSA. The Contractor and its employee or contractor thereof, authorized to receive access to the Confidential UIA Data is subject to the same confidentiality requirements, and civil and criminal penalties for violation of those requirements, including MCL 421.54(d), as are employees of the State of Michigan.

The Contractor certifies that it will not use the Confidential UIA Data or its access to UIA through this DSA and the Contract to advertise, solicit, or promote its products and services to UIA or any party that is not a party to this DSA.

D. Limit redisclosure and Use of Contractors.

Except as otherwise provided in this DSA, the Contractor will not redisclose the Confidential UIA Data to anyone other than the Authorized Persons as listed in Exhibit A, or as amended. All Authorized Persons must be employees of Contractor. The Contractor is prohibited from redisclosing the Confidential UIA Data to any person who is not an Authorized Person listed in Exhibit A. Contractor shall forward to UIA any request it receives to redisclose.

E. Minimize data requests, usage, and disclosures.

The Contractor will access and use only the minimum amount of Confidential UIA Data necessary to fulfill the purpose of this DSA.

F. Notify UIA if Confidential UIA Data is sought by a third party.

The Contractor will promptly notify UIA upon receipt of any legal, investigatory, or other demand for access to the Confidential UIA Data provided to the Contractor under this DSA and will not redisclose such data without prior written authorization from UIA.

G. Exempt Confidential UIA Data from disclosure under FOIA when permitted.

The Contractor will not disclose the Confidential UIA Data in response to a request under the Freedom of Information Act (FOIA), MCL 15.231, et seq. unless the law requires (and not merely permits) disclosure. In other words, the Contractor must exempt the Confidential UIA Data from disclosure under FOIA when permitted by law. The applicable FOIA exemptions include but are not limited to MCL 15.243(1)(d) ("A public body may exempt from disclosure as a public record under this act any of the following…[r]ecords or information specifically described and exempted from disclosure by statute,") which is triggered by the confidentiality requirements of the Michigan Employment Security Act MCL 421.1, et seq. and its federal law corollary. If the Contractor determines the law requires disclosure of the Confidential UIA Data under FOIA, the Contractor will notify UIA prior to making any disclosures of Confidential UIA Data not intended under this DSA so that UIA may act as it deems necessary to protect the Confidential UIA Data.

H. Early Termination of Authorized Person's Access.

UIA reserves the right to terminate any Authorized Person's access to Confidential UIA Data prior to the term of the Contract. Upon such an event, UIA will provide the Contractor with written notice of immediate termination of an Authorized Person's access rights to Confidential UIA Data, and UIA will terminate the Authorized Person's access rights to Confidential UIA Data.

I. Permit on-site inspection.

The Contractor agrees to permit UIA and the State of Michigan, or designees to enter, at reasonable times, the Contractor's or Authorized Persons' premises where the State of Michigan laptops and equipment are stored or used to confirm that the requirements of law and this DSA are being met. The Contractor agrees to cooperate with UIA, the State of Michigan, or their designees in connection with any request to access staff, information, or material related to UIA's compliance review, audit, or monitoring visit as provided for under this DSA.

J. Maintain system to permit compliance audit.

The Contractor agrees to comply with the State of Michigan's system or procedures for handling, storage, use, and disposal of the Confidential UIA Data sufficient to allow UIA, State of Michigan, and the United States Department of Labor, or designees to audit compliance with this DSA. Such an audit may be conducted in-person and at a reasonable time.

K. Server Specifications.

The Contractor agrees that none of its servers, Cloud-based or otherwise, or any other form of electronic or paper storage under Contractor's control, that is used to house, or store, permanently or temporarily, the Confidential UIA Data will be located outside the United States. For purposes of this DSA, Contractor's servers and storage shall include any servers or storage that it utilizes under contract with any third party.

L. Treatment of Michigan Department of Michigan Tax Data.

The Contractor agrees to be bound by the terms set forth in Exhibit D to this DSA. The term, MTD, is defined in Section 1.

M. Treatment of Homeland Data.

Homeland Data is confidential and may not be disclosed to any person not a party to this DSA. The Contractor acknowledges that Homeland Data is governed by the Privacy Act, 5 USC Section 552a(i)(1), and that any person who obtains this information under false pretenses or uses it for any purpose other than as provided for in the Memorandum of Agreement between Homeland Security and UIA, as amended (MOA), may be subject to criminal penalties. Contractor and its Authorized Persons shall be solely responsible for their own defenses against any claim or action by third parties arising out of or related to the execution and/or performance of the MOA, whether civil or criminal, and retain responsibility for the payment of any corresponding liability. Contractor and its Authorized Persons agree to be bound by the terms of the MOA and all applicable federal laws and regulations as they pertain to the access, maintenance, treatment, and disposal of Homeland Data.

N. SSA Data.

SSA Data is confidential and may not be disclosed to any person not a party to this DSA. Contractor and its Authorized Persons agree to be bound by the terms of the Data Exchange

Agreement between UIA and the Social Security Administration and all applicable federal laws and regulations as they pertain to the access, maintenance, and treatment of SSA Data.

O. WRIS Data.
Occasionally, UIA may need certain Authorized Persons to access and provide services with confidential interstate unemployment data (WRIS Data) provided to UIA under a certain data sharing agreement between UIA and WRIS, as amended (WRIS Agreement). In these circumstances, the names of the Authorized Persons providing services to UIA on WRIS Data will be provided to WRIS, as required under the WRIS Agreement, and those specified Authorized Persons will sign an acknowledgement. In circumstances where Authorized Persons have access to WRIS Data, Confidential UIA Data will contain WRIS Data. All sections of this DSA, as well as the provisions in Exhibit E will apply to WRIS Data.

P. Federal Tax Information.
FTI is confidential and may not be disclosed to any person not a party to this DSA. Contractor and its Authorized Persons agree to be bound by the terms of the data sharing agreement between UIA and the Internal Revenue Service and all relevant federal laws and regulations as they pertain to the access, maintenance, and treatment of FTI.

Section 12. Costs
Contractor ‘s performance of Services under this DSA is pursuant to 20 CFR 603.8(d); therefore, there will be no cost for the Confidential UIA Data under this DSA.

Section 13. Disposal of Confidential UIA Data
Except to the extent that Contractor is required to maintain documentation as otherwise required by UIA’s audit procedures, Contractor may not retain or use for any other purpose, the Confidential UIA Data disclosed by UIA under this DSA. Upon the termination or expiration of the Contract or this DSA, for any reason, the Contractor will immediately dispose of the Confidential UIA Data in a manner acceptable to UIA. Disposal means the return of the Confidential UIA Data to UIA or destruction of the Confidential UIA Data, as instructed and approved by UIA. Within 5 business days of the date of expiration or termination of the Contract or this DSA, the Contractor will provide UIA with a certificate of destruction when the Contractor disposes of the Confidential UIA Data.

UIA must undertake any other action under the DSA, or under any state or federal law, to enforce the DSA and to ensure the disposal of the Confidential UIA Data and must take other remedial actions permitted under state or federal law to effect adherence to the requirements of the DSA and 20 CFR Part 603, *et seq*., including seeking damages, penalties and restitution as permitted under such law for any changes to granted funds and all costs incurred by UIA in pursuing the breach of this DSA and enforcement as required by 20 CFR 603.10(c).

Section 14. Jurisdiction

This DSA shall be governed by and in accordance with the laws of Michigan and the Contractor consents to the jurisdiction of courts, both state and federal, in Michigan.

Section 15. Indemnification

The Contractor agrees to indemnify and hold harmless the State of Michigan, its officers, employees and agents from and against all liabilities, demands, claims, suits, actions, causes of action, judgments, losses, damages, fines, settlements, costs and expenses (including, without limitation, witnesses' fees and the reasonable value of time of attorneys employed by the Attorney General's Office or the attorneys' fees of special or other counsel appointed by the Attorney General's Office or retained by the State of Michigan to represent or defend the Agencies, and expenses incident thereto) to the extent arising in connection with any acts or omissions of the Contractor, its officers, employees, agents, or contractors, in connection with this DSA.

Section 16. Notices

Notices and other written communications required under this DSA must be addressed to the individuals below or their successors. Parties to this DSA may amend contact information by providing written notice of the change to the other parties. Notices or other written communications required or related to this DSA must be in writing and delivered in person or by email.

For UIA:	For the Contractor:
Teresa Burns Internal Controls, UIA Cadillac Place 3024 W. Grand Blvd., Suite 12-100 Detroit, MI 48202 Phone: (313) 549-6145 Email: burnst3@michigan.gov	Megan Mooney 6225 N. Meeker Pl. Suite 100 Boise ID 83713 (208)433-9244 legal@fastenterprises.com

Section 17. Compliance Monitoring

UIA acknowledges that the Contractor may be subject to compliance audits, investigations, and reviews as provided by law. The Contractor agrees that no third-party providing services for such compliance audits, investigations, reviews, or monitoring done on behalf of the Contractor shall have any direct or indirect access to any Confidential UIA Data. If such activities are scheduled to occur, the Contractor will provide 30-days written notice to UIA of such activities.

UIA may have legally required compliance monitoring, audits, investigations, or reviews, and any such service shall be limited to the Confidential UIA Data being reviewed, monitored, or investigated.

Section 18. Term and Renewal
This DSA commences when signed by both parties and ends upon the termination or expiration of the Contract or this DSA, unless such Contract or DSA is terminated earlier pursuant to its terms (Initial Term). After the completion of the Initial Term of this DSA and if both parties agree in writing, this DSA may be extended annually thereafter, for not more than two one-year terms. Thirty days prior to the expiration of the Initial Term or the term of any annual extension thereafter, the parties must mutually agree to extend the DSA.

Section 19. Early Termination
This DSA may be terminated for any reason by any party upon 30 days written notice to the other party. Such notice will not be required of UIA if the reason for the termination is a security breach or if there is a failure of the parties to agree upon terms amending or modifying the DSA pursuant to Section 7 of this DSA. Upon the termination or expiration of this DSA, the Contractor will dispose of the Confidential UIA Data pursuant to Section 13 of this DSA.

Section 20. Survival
The rights, obligations and conditions set forth Sections 3, 5, 8, 9, 10, 11, 13, 15, and Exhibit B of this DSA, and any right, obligation, or condition that, by its express terms or nature and context is intended to survive the termination or expiration of this DSA, survives any such termination or expiration.

Section 21. Incorporation of Exhibits.
The Exhibits identified in this DSA are incorporated herein by reference and made a part hereof. In the event of any conflict between the provisions of this DSA and any Exhibit, the provisions of this DSA will control.

Section 22. Assignment
No party may assign this DSA to any other party without the prior approval of the other party.

Section 23. Conflicts Clause
In the event of any conflict between the terms and provisions of this DSA and the Contract, the terms and provisions of this DSA will control. Notwithstanding, nothing in this DSA will limit or reduce any penalty assigned to, or liability of, the Contractor under the terms of the Contract.

Section 24. Third-Party Beneficiaries
This DSA does not confer any rights or remedies upon any person or entity other than the parties to this DSA and their respective permitted assigns.

Section 25. Authority to Bind

Each individual signing this DSA represents that he/she is duly authorized to execute this DSA on behalf of their agency or entity.

IN WITNESS WHEREOF, the Michigan Department of Labor and Economic Opportunity, Unemployment Insurance Agency, and FAST Enterprises LLC have caused this DSA to be executed by their duly authorized representatives:

Michigan Department of Labor and
Economic Opportunity
Unemployment Insurance Agency

Dated on this 30th day, of September 2022

_____

By: Julia Dale, Director
Department of Labor and Economic Opportunity, Unemployment Insurance Agency

FAST Enterprises LLC

Dated on this 30th day, of September 2022

_____

By: James Harrison, Managing Partner
FAST Enterprises LLC

List of Exhibits

Exhibit A: Authorized Persons

Exhibit B: UIA Confidentiality DSA

Exhibit C: Contractor Acknowledgement

Exhibit D: Michigan Department of Treasury Tax Data Requirements

Exhibit E: WRIS Data Requirements

Exhibit A
Authorized Persons

Access to the Confidential UIA Data described in Exhibit A will be given to those Contractor employees listed below solely for the purpose set forth in Section 2 of the DSA. Those Contractor employees and its subcontractors listed below are Authorized Persons, as defined in Section 3 of the DSA.

Last Name	First Name	State/Contractor	Status	FTI Access	
Allen	Tyreak	FAST	Active	X	
Allen	Shad	FAST	Active	X	
Anderson	James	FAST	Active	X	
Anderson	Joel	FAST	Active	X	
Aparicio-Carrasco	Ana	FAST	Active	X	
Blaustein	Jonathan	FAST	Active	X	
Blevins	Christopher	FAST	Active	X	
Boggs	Justin	FAST	Active	X	
Borjas	Christina	FAST	Active		
Castillo	Samantha	FAST	Active		
Cheung	Edmund	FAST	Active	X	
Cubillos	Rolando	FAST	Active	X	
Davis	Mallory	FAST	Active	X	
Davis	Robert	FAST	Active	X	
Dawit	Saba	FAST	Active	X	
Dennehy	Michael	FAST	Active	X	
Doucette	James	FAST	Active	X	
Doyle	Sean	FAST	Active	X	
Earhart	Nick	FAST	Active	X	
Edinburgh	Zachary	FAST	Active	X	
Eng	Connor	FAST	Active	X	
Fisher	Koa	FAST	Active	X	
Flanagan	Christian	FAST	Active		
Fong	Kenji	FAST	Active	X	
Fong	Debbie	FAST	Active	X	
Francis	Zak	FAST	Active	X	
Frederickson	Jake	FAST	Active	X	
George	Benjamin	FAST	Active	X	
Gleit	Jennifer	FAST	Active	X	
Goodman	Ben	FAST	Active	X	
Gordon	Keith	FAST	Active	X	
Gugel	John	FAST	Active	X	

Halverson	Melissa	FAST	Active	X	
Hardy	John	FAST	Active	X	
Hays	Nathan	FAST	Active	X	
Hernandez	Dante	FAST	Active	X	
Heyliger	Jon	FAST	Active	X	
Hlawek	Dan	FAST	Active	X	
Holtkamp	Daniel	FAST	Active	X	
Huls	Amanda	FAST	Active	X	
Jones	Kenneth	FAST	Active	X	
Jones	Madison	FAST	Active	X	
Jones	Tenisihia	FAST	Active		
Karaffa	Meaghan	FAST	Active	X	
Karamon	Robert	FAST	Active	X	
Kitchell	Matthew	FAST	Active	X	
LaGesse	Dan	FAST	Active	X	
Lawlor	Edward (Ted)	FAST	Active	X	
Leet	Matthew	FAST	Active	X	
Li	Albert	FAST	Active	X	
Moore	Forrest	FAST	Active	X	
Nalluri	Srinija	FAST	Active	X	
Noetzel	Greg	FAST	Active	X	
Nur	Uzma	FAST	Active	X	
O'Connor	Cole	FAST	Active	X	
Okoukoni	April	FAST	Active	X	
Palmer	Liya	FAST	Active	X	
Qin	Victor	FAST	Active	X	
Quick	Austin	FAST	Active	X	
Radi	Katina	FAST	Active	X	
Ramirez	Sofia	FAST	Active	X	
Rebadavia	Alec	FAST	Active	X	
Rennick	Robin	FAST	Active	X	
Reyes Arias	Jose	FAST	Active	X	
Robichaud	Caleb	FAST	Active	X	
Rogers	Eddy	FAST	Active	X	
Royal	Derricka	FAST	Active	X	
Russel	Zandra	FAST	Active	X	
Rust	Tyler	FAST	Active	X	
Sangster	Dimitri	FAST	Active		
Silverman	Douglas	FAST	Active	X	
Sorensen	Kelby	FAST	Active		
Stech	Matthew	FAST	Active	X	
Stevenson	Madeleine	FAST	Active	X	
Sweitzer	Owen (John)	FAST	Active	X	

Theis	Michael	FAST	Active		
Vaquerano	Gabriela	FAST	Active		
Walker	David	FAST	Active		
Wang	Megan	FAST	Active	X	
Weathers	William	FAST	Active	X	
Webber	Michael	FAST	Active		
Wei	Elizabeth	FAST	Active	X	
West	Robert	FAST	Active	X	
Whitehead	Adam	FAST	Active	X	
Wu	Raymond	FAST	Active	X	
Yenh	Taylor	FAST	Active		
Young	Samuel	FAST	Active	X	
Zachman	Steaven	FAST	Active	X	
Zepeda	John	FAST	Active	X	
Adams	Jacob	FAST	Not working on MI site		
Anderson	Mike	FAST	Not working on MI site		
Choi	Andrew	FAST	Not working on MI site		
Dixon	Dannon	FAST	Not working on MI site		
Eads	Jon	FAST	Not working on MI site		
Gannon	Matt	FAST	Not working on MI site		
Gegan	Lydia	FAST	Not working on MI site		
Gilbertson	Drew	FAST	Not working on MI site		
Gragg	Jeremy	FAST	Not working on MI site		
Hobbs	Elizabeth	FAST	Not working on MI site		
Lantz	Jacob	FAST	Not working on MI site		
Malik	Shane	FAST	Not working on MI site		
Rech	Julia	FAST	Not working on MI site		
Roundy	Jared	FAST	Not working on MI site		
Schooley	Patrick	FAST	Not working on MI site		
Sicheri	Elizabeth	FAST	Not working on MI site		

Simon	Dan	FAST	Not working on MI site		
Somers	Matt	FAST	Not working on MI site		
St. Louis	Jose	FAST	Not working on MI site		
Vergara	Brandon	FAST	Not working on MI site		
Wenala	Matt	FAST	Not working on MI site		
Wolfe	Jeffrey	FAST	Not working on MI site		

The list of Authorized Persons will be maintained pursuant to Section 9 of this DSA. No individuals other than those listed in this Exhibit A, and its amendments, shall have access to any Confidential UIA Data. Unless otherwise designated in this Exhibit A, all Authorized Persons are working on-site at a UIA facility.

No Authorized Person will have access to Confidential UIA Data, until he/she has signed the Confidentiality DSA set forth in Exhibit B, completed all required Treasury, IRS and SSA trainings and provided proof of fingerprinting as required by the IRS. The Contractor must provide UIA with copies of all signed agreements and acknowledgements prior to Authorized Persons having access to Confidential UIA Data.

Exhibit B

Unemployment Insurance Agency Confidentiality Agreement

INDIVIDUAL INFORMATION			
Last Name	First Name	M.I.	State Employee ID Number
Telephone Number	Department/Agent/Contractor	Bureau/Division	

I AGREE ON BEHALF OF (Department, Agent, or Contractor)_____

(Please read and check-mark all boxes to indicate item has been understood and agreed to. Failure to do so will cause the DSA to be rejected as to this individual.)

☐ The confidential employee and/or employer information supplied by the Department of Labor and Economic Opportunity, Unemployment Insurance Agency (UIA), will be used only for the purposes stated in the Data Sharing Agreement (DSA), in accordance with Section 421.11 of the Michigan Employment Security Act, its implementing rules, the provisions of 20 CFR 603.1 et seq., and in accordance with the terms of the DSA.

☐ Confidential unemployment insurance information provided by UIA for the purpose of this agreement will not be disclosed nor transmitted to any individuals, agencies, public or private entities, or organizations other than those approved in, or for the purposes stated in the DSA. Confidential information will remain confidential and safeguarded. No copies, duplicates or distribution to unauthorized entities or personnel will be made. Confidential information will be handled and stored in a secure environment. State and federal laws, regulations, and standards designed to protect confidentiality will be adhered to.

☐ I have reviewed the attachment of 20 CFR 603.9, below, and agree to abide by its confidentiality provisions. I have been informed of the restrictions as to the legitimate use of the confidential information. I have also been informed that improper procurement, use, release, or re-release of confidential unemployment insurance information will subject me to civil and criminal penalty provisions provided in Section 421.54(a) of the Michigan Employment Security Act.

☐ I have been informed of, and will use, the involved confidential information with acceptable security, storage, and disposal practices as outlined in the DSA.

☐ I will assure that my actions or inactions do not violate any of my responsibilities to protect the confidentiality of the unemployment insurance information provided by UIA.

☐ In the event of any breach, improper disclosure, or impropriety regarding the use of any confidential UIA information, I agree to report the same to the UIA contact named in the DSA within 24 hours of such occurrence, or as soon as practicable.

Employee Certification		
Print name of Employee/Agent	**Signature of Employee/Agent**	**Date signed**
Print witness name	**Signature of Witness**	**Date Signed**

RETURN EXECUTED COPIES OF THIS AGREMENT TO: UNEMPLOYMENT INSURANCE AGENCY, INTERNAL CONTROLS, 3024 W. Grand Blvd, Ste 12-100, Detroit, MI 48202, or by fax at 313-456-2733.

MCL 421.54(a), Penalties:

(a) A person, including a claimant for unemployment benefits, an employing entity, or an owner, director, or officer of an employing entity, who willfully violates or intentionally fails to comply with any of the provisions of this act, or a regulation of the unemployment agency promulgated under this act for which a penalty is not otherwise provided by this act is subject to the following sanctions, notwithstanding any other statute of this state or of the United States:

(i) If the unemployment agency determines that an amount has been obtained or withheld as a result of the intentional failure to comply with this act, the unemployment agency may recover the amount obtained as a result of the intentional failure to comply plus damages equal to 3 times that amount.

(ii) The unemployment agency may refer the matter to the prosecuting attorney of the county in which the alleged violation occurred for prosecution. If the unemployment agency has not made its own determination under subdivision (i), the recovery sought by the prosecutor must include the amount described in subdivision (i) and 1 or more of the following penalties:

(A) Subject to redesignation under subsection (l), if the amount obtained or withheld from payment as a result of the intentional failure to comply is less than $25,000.00, then 1 of the following:

(I) Imprisonment for not more than 1 year.

(II) The performance of community service of not more than 1 year but not to exceed 2,080 hours.

(III) A combination of (I) and (II) that does not exceed 1 year.

(B) If the amount obtained or withheld from payment as a result of the intentional failure to comply is $25,000.00 or more but less than $100,000.00, then 1 of the following:

(I) Imprisonment for not more than 2 years.

(II) The performance of community service of not more than 2 years but not to exceed 4,160 hours.

(III) A combination of (I) and (II) that does not exceed 2 years.

(C) If the amount obtained or withheld from payment as a result of the intentional failure to comply is more than $100,000.00, then 1 of the following:

(I) Imprisonment for not more than 5 years.

(II) The performance of community service of not more than 5 years but not to exceed 10,400 hours.

(III) A combination of (I) and (II) that does not exceed 5 years.

(iii) If the unemployment agency determines that an amount has been obtained or withheld as a result of a knowing violation of this act, the unemployment agency may recover the amount obtained as a result of the knowing violation and may also recover damages equal to 3 times that amount.

(iv) The unemployment agency may refer a matter under subdivision (iii) to the prosecuting attorney of the county in which the alleged violation occurred for prosecution. If the unemployment agency has not made its own determination under subdivision (iii), the recovery sought by the prosecutor must include the amount described in subdivision (iii) and 1 or more of the following penalties:

(A) Subject to redesignation under subsection (l), if the amount obtained or withheld from payment as a result of the knowing violation is $100,000.00 or less, then 1 of the following:

(I) Imprisonment for not more than 1 year.

(II) The performance of community service of not more than 1 year but not to exceed 2,080 hours.

(III) A combination of (I) and (II) that does not exceed 1 year.

(B) If the amount obtained or withheld from payment as a result of the knowing violation is more than $100,000.00, then 1 of the following:

(I) Imprisonment for not more than 2 years.

(II) The performance of community service of not more than 2 years but not to exceed 4,160 hours.

(III) A combination of (I) and (II) that does not exceed 2 years.

20 CFR 603.9. What safeguards and security requirements apply to disclosed information?

(a) In general. For disclosures of confidential UC information under §603.5(d)(2) (to a third party (other than an agent) or disclosures made on an ongoing basis); §*603.S(e)* (to a public official), except as provided in paragraph (d) of this section; §603.5(f) (to an agent or contractor of a public official); §603.6(b)(I) through (4), (6), and (7)(i) (as required by Federal UC law); and §603.22 (to a requesting agency for purposes of an IEVS), a State or State UC agency must require the recipient to safeguard the information disclosed against unauthorized access or redisclosure) as

provided in paragraphs (b) and (c) of this section, and must subject the recipient to penalties provided by the State law for unauthorized disclosure of confidential UC information.

(b) Safeguards to be required of recipients.

(I) The State or State UC agency must:

(i) Require the recipient to use the disclosed information only for purposes authorized by law and consistent with an agreement that meets the requirements of §603.10;

(ii) Require the recipient to store the disclosed information in a place physically secure from access by unauthorized persons;

(iii) Require the recipient to store and process disclosed information maintained in electronic format, such as magnetic tapes or discs, in such a way that unauthorized persons cannot obtain the information by any means;

(iv) Require the recipient to undertake precautions to ensure that only authorized personnel are given access to disclosed information stored in computer systems;

(v) Require each recipient agency or entity to:

(A) Instruct all personnel having access to the disclosed information about confidentiality requirements, the requirements of this subpart B, and the sanctions specified in the State law for unauthorized disclosure of information, and

(B) Sign an acknowledgment that all personnel having access to the disclosed information have been instructed in accordance with paragraph (b)(l)(v)(A) of this section and will adhere to the State's or State UC agency's confidentiality requirements and procedures which are consistent with this subpart B and the agreement required by §603.10, and agreeing to report any infraction of these rules to the State UC agency fully and promptly,

(vi) Require the recipient to dispose of information disclosed or obtained, and any copies thereof made by the recipient agency, entity, or contractor, after the purpose for which the information is disclosed is served, except for disclosed information possessed by any court. Disposal means return of the information to the disclosing State or State UC agency or destruction of the information, as directed by the State or State UC agency. Disposal includes deletion of personal identifiers by the State or State UC agency in lieu of destruction. In any case, the information disclosed must not be retained with personal identifiers for longer than such period of time as the State or State UC agency deems appropriate on a case-by-case basis; and

(vii) Maintain a system sufficient to allow an audit of compliance with the requirements of this part.

(2) In the case of disclosures made under §603.5(d)(2) (to a third party (other than an agent) or disclosures made on an ongoing basis), the State or State UC agency must also--

(i) Periodically audit a sample of transactions accessing information disclosed under that section to assure that the entity receiving disclosed information has on file a written release authorizing each access. The audit must ensure that the information is not being used for any unauthorized purpose;

(ii) Ensure that all employees of entities receiving access to information disclosed under §603.5(d)(2) are subject to the same confidentiality requirements, and State criminal penalties for violation of those requirements, as are employees of the State UC agency.

Exhibit C

Contractor Acknowledgement

Consistent with 20 CFR 603.9(b)(1)(v)(B), the Contractor acknowledges that, prior to the signing of this DSA and at any time during its term, that all Authorized Persons having access to the disclosed information have been instructed in accordance with paragraph 20 CFR 603.9(b)(1)(v)(A) and will adhere to UIA's and the State of Michigan's confidentiality requirements and procedures which are consistent with 20 CFR 603.1, et seq. and this DSA, and will agree to report any infraction of these rules to UIA pursuant to the terms of the DSA.

For Contractor

_____ _____

Date

Exhibit D

Michigan Department of Treasury Data

FAST agrees to the following requirements set forth in the Interagency Agreement between UIA and the Michigan Department of Treasury, as amended:

1. Any records created from tax returns and tax return information will be stored in an area that is physically safe from access by unauthorized persons during work hours and locked in a secure area during non-work hours or when not in use.
2. Any records matched and any records created by the match will be processed under the immediate supervision and control of Authorized Persons in a manner which will protect the confidentiality of the records, and in such a way that unauthorized persons cannot retrieve any such records by means of computer, remote terminal, or other means.
3. All Authorized Persons must protect the confidentiality of all tax return and tax return information and are subject to civil and criminal sanctions for noncompliance under MCL 205.28(1)(f) and (2)
4. All Authorized Persons must annually sign a confidentiality agreement certificate, attached hereto as Exhibit 1 to this Schedule G to the DSA.
5. All Authorized Persons will secure all tax return and tax return information, electronic and paper, from unauthorized access.
6. All Authorized Persons will not comingle tax return and tax return information with other information and will mark all tax return and tax return information “CONFIDENTIAL – DO NOT DISCLOSE – MICHIGAN TREASURY TAX RETURN INFORMATION”
7. The Treasury Office of Privacy and Security may make onsite inspections or make other provisions to ensure that adequate safeguards are maintained and monitor compliance of system security requirements.
8. No Authorized Person will disclose any tax return or tax information to anyone not a party to this DSA, unless instructed to so do, in writing, by UIA.
9. No tax returns or tax return information will be duplicated or disseminated to anyone not a party to this DSA, without the written approval of UIA.
10. No tax returns or tax return information can be disclosed in part of a report or document that is subject to FOIA.
11. Authorized Persons may access tax returns or tax return information only to permit authorized individuals to provide services for UIA under contract # 071B1300367.
12. Authorized Persons will only transmit tax return or tax return information over telecommunication devices that are encryption and guided media. Such transmission will only be permitted under the supervision of UIA to ensure IRS standards and guidance are followed.

FAST agrees to adhere to the following security provisions of the Interagency Agreement between UIA and the Michigan Department of Treasury, as amended:

A. Computer System Security of Tax Data: Computer system security and physical security of Tax Data stored and processed by UIA must be in compliance with the following security guidelines and standards established by Treasury. These guidelines apply to any computer system developed by UIA, either through its own staff, or through a vendor.

B. Security Policy: A security policy is a written document describing the system in terms of categories of data processed, users allowed access, and access rules between the users and the data. It describes procedures to prevent unauthorized access by clearing all protected information on storage objects before they are allocated or reallocated out of or into each system. Further security protocols using password protection and authentication must be provided where the computer system contains information for mor than one program, project, office, or agency so that personnel do not have unauthorized or unlimited access.

C. Accountability: Computer systems processing Tax Data must be secured from unauthorized access. All security features must be available (audit trails, identification, and authentication) and activated to prevent unauthorized users from indiscriminately accessing Tax Data (which is defined as browsing). Every person who accesses computer systems contain Tax Data is accountable for his or her actions or actions taken using his or her password. Access controls will be maintained to ensure that unauthorized access does not go undetected. Computer programmers and agencies who have a need to access data bases, and are authorized under the law to do so, will be held accountable for the work performed on the system(s). The use of passwords and access control measures should be in place to identify who accessed protected information and limit that access to persons with a business need to know. Employees will not share their passwords with anyone including UIA and Treasury, system technicians or supervisors.

D. Operating Features of Security System: UIA must meet certain levels of protection with respect to tax return information. Individual user accountability must be ensured through user identification number and password.
- Access rights to Tax Data must be stored through appropriate levels of authorization.
- All confidential and protected information must be cleared from a system before the information is used for purposes not related to the enforcement, collection, or exchange of Tax Data.
- Hard copies made of Tax Data must be labeled by the system as “confidential information.”
- Tax Data will be blocked or coded as confidential on each computer system.

E. Disposal of Tax Data: All Tax Data will be disposed of by either UIA or DTMB.

F. Security Breach Notification: Any suspected or actual unauthorized use or disclosure of Tax Data must be reported immediately on Form 4000 after becoming aware of the use or disclosure. FAST agrees to immediately contain the breach if it is ongoing. FAST agrees tod participate in any security reviews.

Pursuant to section IX of the Interagency Agreement between UIA and the Michigan Department of Treasury, as amended, FAST agrees to the following safeguard provisions:

a. The identification of confidential tax records and defining security controls are intended to protect Treasury tax return information from unlawful disclosure, modification, destruction of information and unauthorized secondary uses.

b. Definition of Treasury Tax Return Information (may be referred to as Tax Data throughout the DSA and its Schedules): Any information obtained in connection with the administration of a tax which includes: the taxpayer's name, address, the source or amount of his/her income, payments, receipts, deductions, exemptions, credits, assets, liabilities, net worth, tax liability, tax withheld, deficiencies, over assessment, or tax payments. It also includes whether the taxpayer's return was, is being or will be examined or subject to Treasury's investigation or processing, or any other data, receive (ed by, recorded by, prepared by, furnished to or collected by Treasury with respect to a person. Information collected for determining the existence of a liability, or the amount thereof, for any tax, penalty, interest, fine, forfeiture, or other imposition or offense of any person or business entity. The term "tax return information" also includes any and all account numbers assigned for identification purposes.

c. All Tax Data made available in any format will be used only for the purpose of carrying out the provisions of the contract. Information contained in such material will be treated as confidential and will not be divulged in any manner to any person, except as may be necessary in the performance of the contract. In addition, all related output will be given the same level of protection as required for the source material.

d. FAST will certify that the Tax Data processed will be completely purged from all data storage components of their computer facility, and no output will be retained by FAST at the time the work is completed. If immediate purging of all data storage components is not possible, FAST will provide to UIA written certification that any Tax Data remaining in any storage component will be safeguarded to prevent unauthorized disclosures until purging can be completed.

e. Destruction of Tax Data, including any spoilage or any intermediate hard copy printout which may result during the processing of Michigan tax return information, will be documented with a statement containing the date of destruction, description of material destroyed, and the method used. Destruction parameters must meet the standards set forth in section X of the Interagency Agreement between UIA and Treasury.

f. Computer system security and physical security of tax data stored and processed by FAST must be in compliance with security guidelines and standards established by Treasury. The standards are set forth in the Interagency Agreement between UIA and Treasury.

g. FAST will be responsible for maintaining a list of its employees authorized to access Michigan tax return information and will provide a copy of such list to UIA. FAST will immediately provide any updates in its list of its employees authorized to access Tax Data to UIA.

h. No access to Tax Data will be permitted without the prior written authorization of Treasury. FAST, as an approved vendor handling Michigan Tax Data will be required to sign Form 3337, Vendor Confidentiality Agreement provided by Treasury and each FAST employee with access to Michigan Tax Data under this DSA will be required to sign Form 4062, State of Michigan Agency Employee Confidentiality Agreement. FAST is not permitted access to Tax Data until UIA has received written authorization from Treasury.

Exhibit E

WRIS/UIA Data Sharing Agreement, as amended
Data Requirements

Contractor and its Authorized Persons agree to the following specific provisions set forth in the WRIS/UIA Data Sharing Agreement, as amended (WRIS Agreement):

Confidentiality/Restrictions on Use of Information
Beyond the use of the Distributed Database Index (DDBI) for the processing of Requests, the SSNs contained in the DDBI shall be available for the use of an agency charged with administration of a state's unemployment insurance program to identify other states having data needed for: unemployment insurance claims administration, fraud detection, and benefit overpayment collection through the ICON system.
The confidentiality requirements under the WRIS Agreement shall apply to any Wage Data a party to this WRIS Agreement obtained under the prior Consolidated WRIS Data Sharing Agreement to the extent such Data are currently retained by the party.

The confidentiality of Wage Data is of paramount importance and must be observed except where disclosure is allowed by this WRIS Agreement or by court order. All data exchange activity by the UIA conducted through the WRIS will be conducted in a manner consistent with applicable state law. All such activity conducted by ETA and/or its contractor/s will be performed in a manner consistent with the Privacy Act of 1974. For purposes of this DSA and this Exhibit, the Contractor and its Authorized Persons agree to adhere to the provisions below when they are acting on behalf of UIA (also known as SUIA or PACIA) while providing services to UIA under the WRIS Agreement. The Contractor and its authorized individuals agree to take all necessary steps to protect such confidentiality by complying with the following provisions of 20 CFR Part 603, in governing their handling of confidential information:

1. No employee of the SUIA receiving a Query may duplicate or disseminate the Wage Data contained in the Query except to other employees specifically authorized to receive such data. No employee of the SUIA receiving a Query may duplicate or disseminate the Wage Data contained in such Query to anyone outside the SUIA:

2. The SUIA that receives a Query shall not extract information from the Query except for the purpose of responding to the Query by transmitting Wage Data in

the form of a Reply for the purposes set forth in Section VI .C. of the WRIS Agreement.

3. The SUIA shall retain the Query only for the period of time required to respond with a Reply. Magnetic tape files shall be degaussed. Electronic data shall be permanently deleted.

4. The SUIA shall not create a separate file or system containing the SSNs of individuals about whom the UIA received a Query for Wage Data.

5. Replies transmitted from the SUIA to the WRIS Clearinghouse shall be stored in an area that is physically safe from access by unauthorized persons at all times.

6. The Queries obtained through the WRIS shall be processed in a manner that will protect the confidentiality of the records, and in such a way that unauthorized persons cannot retrieve such records by means of computer, remote terminal, or any other means.

7. The SUIA shall permit ETA and/or the representatives of any participating state to make on-site inspections during regular business hours or other investigations to assure that the confidentiality safeguards described above are being maintained by the SUIA and its employees. In accordance with this responsibility, the SUIA shall make records subject to this WRIS Agreement available for inspection, review and/or audit by authorized persons.

8. The SIBA shall respond to the Operations Contractor for the purpose of correcting system errors or breakdowns, troubleshooting or testing the system, or for other operational purposes.

9. The SUIA shall report to ETA, in writing, regarding any circumstances adversely affecting its ability to meet the responsibilities or obligations set forth in this WRIS Agreement.

10. The SUIA shall ensure that the costs of disclosing confidential unemployment compensation information for purposes not benefiting or providing any reciprocal benefit to the state's unemployment compensation program will be covered from a source other than the state's unemployment compensation grant.

11. Unless covered by one of the aforementioned exceptions, under no circumstance shall Wage Data obtained through the WRIS in accordance with this WRIS Agreement be shared with any party outside the PACIA except in the form of Aggregate Statistical Reports.

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
320 S. WALNUT ST., LANSING, MICHIGAN 48933
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **29**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	LEO
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEMS (MICHIGAN INTEGRATED DATA AUTOMATED SYSTEM MIDAS & MICHIGAN WEB ACCOUNT MANAGER MIWAM) SYSTEMS

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	August 31, 2022

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ PRC	☐ Other	☐ Yes	☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☐		September 30, 2022

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$68,648,887.72	$1,542,898.00	$70,191,785.72

DESCRIPTION

Effective 9/13/2022, the following amendments are incorporated into this Contract per attached Statements of Work. This changes includes the following:

1. Completion of UIPL 20-21 work - $776,365.00
2. Continued Assistance Rollout - $725,700.00
3. FAST Batch Monitor Services - $7,500.00 - (9/1/22-9/30/22)
4. FAST Centralized Technical Assistance (CTA) Support - $33,333.00 - (9/1/22-9/30/22)

This Contract is increased by $1,542,898.00 for LEO use.

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 9/13/2022.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Britton Mailand	517-388-3031	mailandb@michigan.gov
DTMB	John Walker	313-456-3190	walkerj5@michigan.gov

MICHIGAN DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
IT SERVICES
STATEMENT OF WORK

Project Title: **FAST-UIA Additional Resources for UIPL 20-21 Implementation**	**Period of Coverage:** **03/14/2022 to 06/30/2022**
Requesting Department: **LEO/UIA**	**Date:** **03/09/2022**
Agency Project Manager: **Kristine Sparks**	**Phone:** **313-456-2699**
DTMB Project Manager: **John Walker**	**Phone:** **313-456-3814**

Brief Description of Services to be provided:

Overview

This document is the FAST statement of work to implement and support the required changes to the UIA MiDAS/MiWAM system for the MI UIA program changes as referenced in UIPL 20-21 Change 1 as released by Department of Labor (DOL). While this document will provide general activities that will be provided by FAST to implement and support the required changes in the UIPL, additional details have and will be established and defined with the Agency and tracked in the FAST Code Repository (FCR) system.

Additional information such as notes, development items, site-specific programming, testing, and implementation information will be stored in the SQRs. This information is visible to anyone with FCR system access and can be exported as needed.

Below is the referenced UIPL released by DOL and reviewed by the project team. As a result of the reviews, SQRs have been and will be created and implemented based on the requirements and priorities assigned by the Agency. More information on the program is available via the link.

- UIPL 20-21: UNEMPLOYMENT INSURANCE PROGRAM LETTER No. 20-21, Change 1 (**Released on 02/07/2022)**
  - Purpose: To provide additional instructions for circumstances under which a state may waive recovery of overpayments under the CARES Act Unemployment Compensation (UC) programs, including elaborating on the criteria for waiving recovery of overpayments where an individual is without fault on an individual, case-by-case basis and expanding the existing limited scenarios for permissible use of "blanket waivers," and to remind states that recovery activities for fraudulent overpayments may never be waived. This Unemployment Insurance Program Letter (UIPL) also describes the required collection activities for overpayments under the CARES Act UC programs which are not eligible for a waiver of recovery.

SCOPE OF WORK:

Additional 2 FAST developer staff resources will support the UIA and MIDAS/MiWAM system by designing, developing, and implementing solutions in the system for the identified UIA priority enhancements and changes related to UIPL 20-21: UNEMPLOYMENT INSURANCE PROGRAM LETTER No. 20-21, Change 1.

The 2 additional developer staff resources will perform the following tasks as needed for the identified UIA priority service requests:

- Design, develop and implement solutions in MIDAS/MiWAM for UIPL 20-21 changes, and enhancements requests as identified and prioritized by UIA.
- Assist in coordination with the FAST Development Center to implement identified prioritized changes.
- Implement identified priority changes into existing environments as appropriate.

TASKS:
Additional developer staff resource tasks will include identified and prioritized service requests from UIA.

DELIVERABLES:
Deliverables will not be considered complete until the Agency Project Manager has formally accepted them. Deliverables for this project include:

- Design, develop and implement solutions in MIDAS/MiWAM for UIPL 20-21 changes, and enhancements requests as identified and prioritized by UIA.

ACCEPTANCE CRITERIA:
Completion of identified service request for the MiDAS/MiWAM system as prioritized by UIA.

PAYMENT SCHEDULE:
FAST Additional Developer Staff

- $215.00 per hour/per resource
- 3611 total hours for additioanl resources

Total Cost - $776,365.00

Payment will be made on a **Time and Materials** basis. DTMB will pay CONTRACTOR upon receipt of properly completed invoices which shall be submitted to the billing address on the State issued purchase order not more often than monthly. DTMB Contracts area will coordinate obtaining Agency Project Manager and DTMB Project Manager approvals. All invoices should reflect actual work completed by payment date and must be approved by the Agency Project Manager and DTMB Project Manager prior to payment. The invoices shall describe and document to the State's satisfaction a description of the work performed, the progress of the project, and fees. When expenses are invoiced, receipts will need to be provided along with a detailed breakdown of each type of expense.

Payment shall be considered timely if made by the DTMB within forty-five (45) days after receipt of properly completed invoices.

PROJECT CONTACTS:

The designated Agency Contact is:
Kristine Sparks
LEO/UIA Agency Services
Cadillac Place - 3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202

The designated DTMB Contact is:
John Walker
DTMB Agency Services
Cadillac Place - 3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202

The designated FAST Contact is:
Katina Radi
FAST Project Manager
Cadillac Place - 3024 West Grand Blvd. – Suite L-500
Detroit, MI 48202

LOCATION OF WHERE THE WORK IS TO BE PERFORMED:
Consultants will work at remotely or at the Cadillac Place in Detroit, Michigan as appropriate.

EXPECTED CONTRACTOR WORK HOURS AND CONDITIONS:
Normal working hours of 8:00 am to 5:00 pm Monday through Friday and are to be observed unless otherwise agreed to.

This purchase order is a release from Contract MA #071B1300367. This purchase order, statement of work, and the terms and conditions of Contract MA #071B1300367 constitute the entire agreement between the State and the Contractor.

MICHIGAN DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
IT SERVICES
STATEMENT OF WORK

Project Title: **FAST - UIA CARES Continued Assistance 2021 Implementation**	**Period of Coverage:** **01/01/2021 to 06/30/2021**
Requesting Department: **LEO/UIA**	**Date:** **12/27/2021**
Agency Project Manager: **Kristine Sparks**	**Phone:** **313-456-2699**
DTMB Project Manager: **John Walker**	**Phone:** **313-456-3814**

Brief Description of Services to be provided:

Overview

This document is the FAST statement of work to implement and support the Federal CARES programs based on the UIPL's released by Department of Labor (DOL) for Michigan in the MiDAS/MiWAM applications. While this document will provide a general breakdown of activities provided by FAST to implement and support the various programs and UIPLS, additional details have been established and defined with the Agency and tracked in the Solution Requests (SQRs).

Additional information such as the meeting notes, development items, site-specific programming, testing, and implementation information are stored in the SQRs. This information is visible to anyone with FCR system access and can be exported as needed.

Below is an outline of UIPLs/programs released by DOL and reviewed by the project team (UIA, DTMB, and FAST) in 2021. As a result of the reviews, SQRs would have been created and implemented based on the requirements and priorities assigned by the Agency. More information on the programs available via the links.

- UIPL 09-21: Continued Assistance for Unemployed Workers Act of 2020 (Continued Assistance Act) - Summary of Key Unemployment Insurance (UI) Provisions **(Released on 12/30/2020)**
- UIPL 24-20, Change 1: Continued Assistance for Unemployed Workers Act (Continued Assistance Act) of 2020 – Provisions Affecting the Federal-State Extended Benefits Program **(Released on 12/31/2020)**
- UIPL 17-20, Change 2: Continued Assistance for Unemployed Workers Act of 2020— Pandemic Emergency Unemployment Compensation (PEUC) Program: Extension, Transition Rule, Increase in Total Benefits, and Coordination Rules **(Released 12/31/2020)**
- UIPL 15-20, Change 3: Continued Assistance for Unemployed Workers (Continued Assistance) Act of 2020 — Federal Pandemic Unemployment Compensation (FPUC) Program Reauthorization and Modification and Mixed Earners Unemployment Compensation (MEUC) Program Operating, Reporting, and Financial Instruction **(Released 1/5/2021)**
- UIPL 16-20, Change 4: Continued Assistance to Unemployed Workers Act of 2020—

Pandemic Unemployment Assistance (PUA) Program: Updated Operating Instructions and Reporting Changes **(Released 1/8/2021)**

- UIPL 28-20, Change 1: Additional Funding for Identity Verification or Verification of Pandemic Unemployment Assistance (PUA) Claimants and Funding to Assist with Efforts to Prevent and Detect Fraud and Identity Theft as well as Recover Fraud Overpayments in the PUA and Pandemic Emergency Unemployment Compensation (PEUC) Programs **(Released on 1/15/2021)**

Below is an outline of UIPLs/programs released by DOL, reviewed, and implemented by the project team (UIA, DTMB, and FAST) in 2020. Additional support, programming, and maintenance activities may have been identified by the Agency or project team. For any related work, an SQR would have been created and implemented based on the requirements and priorities assigned by the Agency. More information on the programs available via the links.

- UIPL 14-20: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 – Summary of Key Unemployment Insurance (UI) Provisions and Guidance Regarding Temporary Emergency State Staffing Flexibility **(Released 4/2/2020)**
- UIPL 15-20: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 - Federal Pandemic Unemployment Compensation (FPUC) Program Operating, Financial, and Reporting Instructions **(Released 4/4/2020)**
- UIPL 16-20: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 - Pandemic Unemployment Assistance (PUA) Program Operating, Financial, and Reporting Instructions **(Released 4/5/2020)**
- UIPL 17-20: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020- Pandemic Emergency Unemployment Compensation (PEUC) Program Operating, Financial, and Reporting Instructions **(Release 4/10/2020)**
- UIPL 16-20, Change 1: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 - Pandemic Unemployment Assistance (PUA) Program Operating, Financial, and Reporting Instructions **(Released 4/27/2020)**
- UIPL 18-20: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 - Emergency Unemployment Relief for State and Local Governmental Entities, Certain Nonprofit Organizations, and Federally-Recognized Indian Tribes **(Released 4/27/2020)**
- UIPL 20-20: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 - Operating, Financial, and Reporting Instructions for Section 2105: Temporary Full Federal Funding of the First Week of Compensable Regular Unemployment for States with No Waiting Week **(Release 4/30/2020)**
- UIPL 21-20: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 - Short-Time Compensation (STC) Program Provisions and Guidance Regarding 100 Percent Federal Reimbursement of Certain State STC Payments **(Released 5/3/2020)**
- UIPL 15-20, Change 1: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 - Federal Pandemic Unemployment Compensation (FPUC) Program Reporting Instructions and Questions and Answers **(Released 5/9/2020)**
- UIPL 22-20: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 – Short-Time Compensation (STC) Program Grants **(Released 5/10/2020)**
- UIPL 23-20: Program Integrity for the Unemployment Insurance (UI) Program and the UI Programs Authorized by the Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 - Federal Pandemic Unemployment Compensation (FPUC), Pandemic Unemployment Assistance (PUA), and Pandemic Emergency Unemployment Compensation (PEUC) Programs **(Released on 5/11/2020)**
- UIPL 17-20, Change 1: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020-Pandemic Emergency Unemployment Compensation (PEUC) Program: Questions and Answers, and Revised Reporting Instructions for the PEUC ETA 227 **(Released 5/13/2020)**
- UIPL 24-20: Temporary Changes to the Federal-State Extended Benefits (EB) Program in Response to the Economic Impacts of the Coronavirus Disease 2019 (COVID-19) Pandemic

Emergency **(Released on 5/14/2020)**
- UIPL 15-20, Change 2: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020-New Data Collection Instrument and Revised Reporting Instructions for Federal Pandemic Unemployment Compensation (FPUC) **(Released 6/15/2020)**
- UIPL 25-20: Benefit Accuracy Measurement (BAM) Program Operations in Response to the Coronavirus Disease of 2019 (COVID-19) Pandemic **(Released on 6/15/2020)**
- UIPL 16-20, Change 2: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 - Pandemic Unemployment Assistance (PUA) Additional Questions and Answers **(Released 7/21/2020)**
- UIPL 14-20, Change 1: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 - Questions and Answers **(Released 8/12/2020)**
- UIPL 18-20, Change 1: Amendments to the Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 - Emergency Unemployment Relief for State and Local Governmental Entities, Certain Nonprofit Organizations, and Federally-Recognized Indian Tribes **(Release 8/12/2020)**
- UIPL 27-20: Presidential Memorandum on Authorizing the Other Needs Assistance Program for Major Disaster Declarations Related to Coronavirus Disease 2019 (COVID-19)-Unemployment Insurance (UI)-Related Technical Assistance for States Administering Lost Wages Assistance (LWA) **(Released on 8/12/2020)**
- UIPL 27-20, Change 1: Presidential Memorandum on Authorizing the Other Needs Assistance Program for Major Disaster Declarations Related to Coronavirus Disease 2019 (COVID-19)—Unemployment Insurance (UI) Related Technical Assistance for States Administering Lost Wages Assistance (LWA) Questions and Answers **(Released on 8/17/2020)**
- UIPL 16-20, Change 3: Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020 – Eligibility of Individuals who are Caregivers for Pandemic Unemployment Assistance (PUA) in the Context of School Systems Reopening **(Released 8/27/2020)**
- UIPL 28-20: Addressing Fraud in the Unemployment Insurance (UI) System and Providing States with Funding to Assist with Efforts to Prevent and Detect Fraud and Identity Theft and Recover Fraud Overpayments in the Pandemic Unemployment Assistance (PUA) and Pandemic Emergency Unemployment Compensation (PEUC) Programs **(Released on 8/31/20)**
- UIPL 27-20, Change 2: Presidential Memorandum on Authorizing the Other Needs Assistance Program for Major Disaster Declarations Related to Coronavirus Disease 2019 (COVID-19)—Unemployment Insurance (UI) Related Technical Assistance for States Administering Lost Wages Assistance (LWA) **(Released on 11/16/2020)**

Reference:
https://www.dol.gov/coronavirus/unemployment-insurance
https://wdr.doleta.gov/directives/
https://wdr.doleta.gov/directives/all_advisories.cfm

Implementation Approach
It was determined that the Continued CARES program or any larger UIPLs impacting changes or programs would be implemented in a phase approach. This is documented in the various SQRs, the work was tracked using the SQR Prioritization Manager, and this was communicated twice a week to the Leadership team.

The phase approach for the Continued Assistance Rollout is listed below.

Phase 1
- Review UIPL 17-20 Change 2 PEUC
- Review UIPL 24-20 Change 1 EB
- Review UIPL 15-20 Change 3 on PUC and MEUC

- Review UIPL 16-20 Change 4 on PUA
- Develop cost estimate in development and production support hours to complete each UIPL.
- Begin PUC configuration
    - Assuming no revenue changes are needed, and the UIPL does not add additional complexity beyond paying out $300 for weeks ending 1/2/21 – 3/13/21.

Phase 2

- Implement and communicate changes to pay $300 of PUC benefits for weeks ending 1/2/21 – 3/13/21 to production for these programs (UI, PEUC, EB, PUA, Workshare, TRA, and DUA).
    - Configured the valid weeks ending date range and $300 amount for PUC**,**
    - Reevaluated existing certs to pay $300
    - Send out email communication for PUC
    - Send out UIA 6469 letter for PUC

Phase 2.5

- Implement changes to extend the eligibility and/or certification end dates on active PUA and PEUC claims that have weeks remaining
    - Update the eligibility/cert end dates on PEUC claims to 4/10/21
    - Update the eligibility/cert end dates on PUA claims to 4/10/21

Phase 3

- Implement configuration to extend weeks allowed on PUA claims up to the 50 week cap and limit backdating to 12/6/2020 to production
    - Extend weeks allowed and extend eligibility periods to 4/10/21 on PUA claims
    - Update total pandemic weeks remaining to 50 weeks
    - Update new PUA applications/claim processing
        - New date validation to allow backdating only to 12/6/20
        - Submit documentation
    - Require documentation on continued PUA claims
        - Update the PUA Income Verification web request
    - Develop new process for PUA eligibility requirements/verifying documentation was submitted timely. If documentation was not submitted timely, system needs to stop PUA payments for that claimant.
    - Identity proofing for PUA
    - Redetermination for PEUC and PUA
- Implement configuration to add 11 additional weeks to PEUC entitlement to production
    - Extend eligibility periods on PEUC claims to 4/10/21
    - Configure new PEUC application
        - Generate additional 11 weeks of PEUC entitlement
    - New 1575 PEUC monetary determination language
    - Web notice to notify claimants of new entitlements (possibly one web notice for all CARES program explanations)
    - Configure choice for claimants to elect UI or PEUC depending on WBA

Phase 4

- Implement configuration to extend existing EB eligibility period to 3/13/21 to production
    - Configure new EB eligibility end date to 3/13/21
    - Extend existing EB claims' eligibility end dates to 3/13/21

Phase 5

- Implement configuration to pay $100 of MEUC benefits for eligible individuals with $5,000 self-employment income to production
    - Configure web and internal application of MEUC eligibility on eligible claims

- Configure processing of MEUC on eligible claims
- Configure verification of income provided on MEUC application
- Configure certification processing of MEUC and associated transactions
- Configure revenue and GL accounts for MEUC
- Configure any new letters, web notices, and other communications or reporting necessary

Phase 6

- Configure any reporting changes across all programs
- Configure new PUA certification questions
- Configure 50% reimbursing charging override extended for new claim registrations after 12/27/20
- Configure Federal funding for first week of regular UI is 50% starting with weeks ending 1/2/21 through 3/14/21.
- Configure an extend federal funding of workshare
- Configure a return to work reporting requirement

Implementation Activities

The following are implementation activities that will be led by FAST in partnership with UIA and DTMB. These activities are integrated into the FCR various tools such as SQRs and FCR solutions.

1. **Overview - Definition and Development**
    - Requirements gathering and research
    - Definition and design meetings
    - Development and validation cycles
    - Technical peer reviews and initial integration testing by developers

Highlights

- Requirement gathering meetings to review UIPLs with business and technical teams.
- Definition meetings to finalize business scope, business process changes to workflow, and correspondence with business and technical teams.
- Design meetings to finalize process solution, workflow, and development tasks with technical teams.
- Prioritization meetings and project check-in meetings with the business and technical teams.
- Developer design sessions to identify changes to current processes and discuss solutions for the new changes.
- Development work for program in MiDAS and MiWAM applications.
    - Development work for modifying existing processes.
    - Development work for new processes.
    - Development work to integrate processes.
    - Development work for reporting requirements.
- Technical team peer review and testing in Test Environments on-going at each migration to the next environment (Development->Test->Staging).

2. **Overview – Testing**
    - Coordinate and facilitate business testing, huddles, and check-ins as needed
    - Support testing activities and tracking of issues
    - Tracking testing in SQRs and reviewing status are touchpoints/huddles

Highlights

- Work with the business to create a business testing plan.
- Support business testing and provide data when necessary to test, includes:
    - User acceptance testing for the changes in MiDAS.
    - User acceptance testing for the changes in MiWAM.

        - User acceptance testing for regression testing.
    - Fix issues and failed scenarios found during business testing.

3. **Overview – Rollout and Support**
    - Cutover and implementation planning
    - Deployment activities and support for Production validation
    - Post rollout support and system/batch monitoring

Highlights

- Confirm user acceptance for changes.
- Discuss deployment plans.
- Schedule meetings to review deployment plans.
- Complete site components and solutions.
- Coordinate and facilitate releases.
    - Release includes migration of components, solutions, apply table scripts, turn on new functionally in Production and production validation with the business.
- Provide system monitoring and job stream monitoring.

PAYMENT SCHEDULE:

Payment Schedule
This is a Time and Material statement of work that is billed monthly with an hourly rate of $200.

SQRs and hours will be tracked with various UIPLS as their reference ID or CARES for cross programs and invoiced with supporting documents.

Costs: (See attached staff hour usage spreadsheet)
FAST Developer: $200.00 per hour
Total Number of Hours: 3628.5

Total Costs: $725,700.00

PROJECT CONTACTS:

The designated Agency Contact is:
Kristine Sparks
LEO/UIA Agency Services
Cadillac Place - 3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202

The designated DTMB Contact is:
John Walker
DTMB Agency Services
Cadillac Place - 3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202

The designated FAST Contact is:
Katina Radi
FAST Project Manager
Cadillac Place - 3024 West Grand Blvd. – Suite L-500
Detroit, MI 48202

This Change Notice, Statement of Work, and the Terms and Conditions of Contract MA

#071B1300367 constitute the entire agreement between the State and the Contractor.

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
320 S. WALNUT ST., LANSING, MICHIGAN 48933
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **28**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	LEO
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEMS (MICHIGAN INTEGRATED DATA AUTOMATED SYSTEM MIDAS & MICHIGAN WEB ACCOUNT MANAGER MIWAM) SYSTEMS

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	August 31, 2022

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ PRC	☐ Other	☐ Yes	☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☒	1 Month	September 30, 2022

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$68,268,471.05	$380,416.67	$68,648,887.72

DESCRIPTION

Effective 8/30/2022, this Contract is extended for one month, and is increased by while negotiations continue on updated Terms for the Useful Life Extension. The revised contract expiration date is 9/30/2022.

Maintenance and Support - Level 3 (includes upgrades) - $200,000.00 (9/1/2022-9/30/2022)
Maintenance and Support – 2 FTE - $66,666.67 - (9/1/2022-9/30/2022)
FAST SMS Gateway Services - $20,000.00 - (9/1/2022-9/30/2022)
FAST Supplemental Staff Services (7 staff) - $236,250.00 - (9/1/2022-9/30/2022)

This change notice includes $134,586.96 of funds that were previously authorized by Ad Board on 8/24/2021 and $142,500.00 in funds that were added in error on CN 17-19) and $245,829.71 in new funds. This Contract is increased by $380,416.67 for LEO use.

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, and DTMB Central Procurement Services approval.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Britton Mailand	517-388-3031	mailandb@michigan.gov
DTMB	John Walker	313-456-3190	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES

Department of Technology, Management, and Budget
320 S. WALNUT ST., LANSING, MICHIGAN 48933
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **27**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	LEO
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEMS (MICHIGAN INTEGRATED DATA AUTOMATED SYSTEM MIDAS & MICHIGAN WEB ACCOUNT MANAGER MIWAM) SYSTEMS

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	July 28, 2022

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ PRC	☐ Other	☐ Yes	☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☒	1 month	August 31, 2022

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$67,712,221.38	$556,249.67	$68,268,471.05

DESCRIPTION

Effective 7/26/2022, this Contract is extended for one month, and is increased by $556,249.67 (see breakdown below) while negotiations continue on updated Terms for the Useful Life Extension. The revised contract expiration date is 8/31/2022 to true up Contract to monthly support services.

Maintenance and Support - Level 3 (includes upgrades) - $200,000.00 (7/29/22-8/31/22)
Maintenance and Support – 2 FTE - $66,666.67 - (7/29/22-8/31/22)
FAST SMS Gateway Services - $20,000.00 - (7/29/22-8/31/22)
FAST Batch Monitor Services - $7,500.00 - (8/1/22-8/31/22) (previously authorized)
FAST Supplemental Staff Services (7 staff) - $236,250.00 - (8/1/22-8/31/22)
FAST Centralized Technical Assistance (CTA) Support - $33,333.00 - (8/1/22-8/31/22)

Please note the LEO Program Manager has been changed to Britton Mailand.

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central

Procurement Services approval, and State Administrative Board approval on 8/24/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Britton Mailand	517-388-3031	mailandb@michigan.gov
DTMB	John Walker	313-456-3190	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
320 S. WALNUT ST., LANSING, MICHIGAN 48933
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **26**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	LEO
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEMS (MICHIGAN INTEGRATED DATA AUTOMATED SYSTEM MIDAS & MICHIGAN WEB ACCOUNT MANAGER MIWAM) SYSTEMS

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	June 28, 2022

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ PRC	☐ Other	☐ Yes	☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☒	1 month	July 28, 2022

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$67,155,971.71	$556,249.67	$67,712,221.38

DESCRIPTION

Effective 6/28/2022, this Contract is extended for one month, and is increased by $556,249.67 (see breakdown below) while negotiations continue on updated Terms for the Useful Life Extension. The revised contract expiration date is 7/28/2022.

Maintenance and Support - Level 3 (includes upgrades) - $200,000.00 (6/29/22-7/28/22)
Maintenance and Support – 2 FTE - $66,666.67 - (6/29/22-7/28/22)
FAST SMS Gateway Services - $20,000.00 - (6/29/22-7/28/22)
FAST Batch Monitor Services - $7,500.00 - (7/1/22-7/31/22) (previously authorized)
FAST Supplemental Staff Services (7 staff) - $236,250.00 - (7/1/22-7/31/22)
FAST Centralized Technical Assistance (CTA) Support - $33,333.00 - (7/1/22-7/31/22)

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/24/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Kristine Sparks	313-456-2929	sparksk3@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
320 S. WALNUT ST., LANSING, MICHIGAN 48933
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **25**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	LEO
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEMS (MICHIGAN INTEGRATED DATA AUTOMATED SYSTEM MIDAS & MICHIGAN WEB ACCOUNT MANAGER MIWAM) SYSTEMS

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	May 28, 2022

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ PRC	☐ Other	☐ Yes	☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☒	1 month	June 28, 2022

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$66,599,722.04	$556,249.67	$67,155,971.71

DESCRIPTION

Effective 5/27/2022, this Contract is extended for one month, and is increased by $556,249.67 (see breakdown below) while negotiations continue on updated Terms for the Useful Life Extension. The revised contract expiration date is 6/28/2022.

Maintenance and Support - Level 3 (includes upgrades) - $200,000.00 (5/29/22-6/28/22)
Maintenance and Support – 2 FTE - $66,666.67 - (5/29/22-6/28/22)
FAST SMS Gateway Services - $20,000.00 - (5/29/22-6/28/22)
FAST Batch Monitor Services - $7,500.00 - (6/1/22-6/30/22) (previously authorized)
FAST Supplemental Staff Services (7 staff) - $236,250.00 - (6/1/22-6/30/22)
FAST Centralized Technical Assistance (CTA) Support - $33,333.00 - (6/1/22-6/30/22)

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/24/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Kristine Sparks	313-456-2929	sparksk3@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **24**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	MULTI
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEM

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	April 28, 2022

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS	EXTENDED PURCHASING
☐ P-Card ☐ PRC ☐ Other	☐ Yes ☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☒	1 month	May 28, 2022

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$66,043,472.37	$556,249.67	$66,599,722.04

DESCRIPTION

Effective 4/28/2022, this Contract is extended for one month, and is increased by $556,249.67 (see breakdown below) while negotiations continue on updated Terms for the Useful Life Extension. The revised contract expiration date is 5/28/2022.

Maintenance and Support - Level 3 (includes upgrades) - $200,000.00 (4/29/22-5/28/22)
Maintenance and Support – 2 FTE - $66,666.67 - (4/29/22-5/28/22)
FAST SMS Gateway Services - $20,000.00 - (4/29/22-5/28/22)
FAST Batch Monitor Services - $7,500.00 - (5/1/22-5/30/22) (previously authorized)
FAST Supplemental Staff Services (7 staff) - $236,250.00 - (5/1/22-5/30/22)
FAST Centralized Technical Assistance (CTA) Support - $33,333.00 - (5/1/22-5/30/22)

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/24/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Kristine Sparks	313-456-2929	sparksk3@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **23**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	MULTI
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEM

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	March 28, 2022

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS	EXTENDED PURCHASING
☐ P-Card ☐ PRC ☐ Other	☐ Yes ☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☒	1 month	April 28, 2022

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$65,487,222.70	$556,249.67	$66,043,472.37

DESCRIPTION

Effective 3/24/2022, this Contract is extended for one month, and is increased by $556,249.67 (see breakdown below) while negotiations continue on updated Terms for the Useful Life Extension. The revised contract expiration date is 4/28/2022.

Maintenance and Support - Level 3 (includes upgrades) - $200,000.00 (3/29/22-4/28/22)
Maintenance and Support – 2 FTE - $66,666.67 - (3/29/22-4/28/22)
FAST SMS Gateway Services - $20,000.00 - (3/29/22-4/28/22)
FAST Batch Monitor Services - $7,500.00 - (4/1/22-4/30/22) (previously authorized)
FAST Supplemental Staff Services (7 staff) - $236,250.00 - (4/1/22-4/30/22)
FAST Centralized Technical Assistance (CTA) Support - $33,333.00 - (4/1/22-4/30/22)

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/24/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Kristine Sparks	313-456-2929	sparksk3@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **22**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	MULTI
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEM

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	February 28, 2022

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS	EXTENDED PURCHASING
☐ P-Card ☐ PRC ☐ Other	☐ Yes ☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☒	1 month	March 28, 2022

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$64,374,723.35	$556,249.67	$64,930,973.02

DESCRIPTION

Effective 2/25/2022, this Contract is extended for one month, and is increased by $556,249.67 (see breakdown below) while negotiations continue on updated Terms for the Useful Life Extension. The revised contract expiration date is 3/28/2022.

Maintenance and Support - Level 3 (includes upgrades) - $200,000.00 (3/1/22-3/28/22)
Maintenance and Support – 2 FTE - $66,666.67 - (3/1/22-3/28/22)
FAST SMS Gateway Services - $20,000.00 - (3/1/22-3/28/22)
FAST Batch Monitor Services - $7,500.00 - (3/1/22-3/31/22) (previously authorized)
FAST Supplemental Staff Services (7 staff) - $236,250.00 - (3/1/22-3/31/22)
FAST Centralized Technical Assistance (CTA) Support - $33,333.00 - (3/1/22-3/31/22)

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/24/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Kristine Sparks	313-456-2929	sparksk3@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **21**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	MULTI
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEM

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	January 28, 2022

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS	EXTENDED PURCHASING
☐ P-Card ☐ PRC ☐ Other	☐ Yes ☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☒	1 month	February 28, 2022

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$64,374,723.35	$556,249.67	$64,930,973.02

DESCRIPTION

Effective 1/27/2022, this Contract is extended for one month, and is increased by $556,249.67 (see breakdown below) while negotiations continue on updated Terms for the Useful Life Extension. The revised contract expiration date is 2/28/2022.

Maintenance and Support - Level 3 (includes upgrades) - $200,000.00 (1/29/22-2/28/22)
Maintenance and Support – 2 FTE - $66,666.67 - (1/29/22-2/28/22)
FAST SMS Gateway Services - $20,000.00 - (1/29/22-2/28/22)
FAST Batch Monitor Services - $7,500.00 - (2/1/22-2/28/22) (previously authorized)
FAST Supplemental Staff Services (7 staff) - $236,250.00 - (2/1/22-2/28/22)
FAST Centralized Technical Assistance (CTA) Support - $33,333.00 - (2/1/22-2/28/22)

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/24/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Kristine Sparks	313-456-2929	sparksk3@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **20**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	MULTI
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEM

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	December 28, 2021

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS	EXTENDED PURCHASING
☐ P-Card ☐ PRC ☐ Other	☐ Yes ☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☒	1 month	January 28, 2022

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$63,818,473.68	$556,249.67	$64,374,723.35

DESCRIPTION

Effective 12/16/2021, this Contract is extended for one month, and is increased by $556,249.67 (see breakdown below) while negotiations continue on updated Terms for the Useful Life Extension. The revised contract expiration date is 1/28/2022.

Maintenance and Support - Level 3 (includes upgrades) - $200,000.00 (12/29/21-1/28/22)
Maintenance and Support – 2 FTE - $66,666.67 - (12/29/21-1/28/22)
FAST SMS Gateway Services - $20,000.00 - (12/29/21-1/28/22)
FAST Batch Monitor Services - $7,500.00 - (1/1/22-1/31/22) (previously authorized)
FAST Supplemental Staff Services (7 staff) - $236,250.00 - (1/1/22-1/31/22)
FAST Centralized Technical Assistance (CTA) Support - $33,333.00 - (1/1/22-1/31/22)

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/24/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Kristine Sparks	313-456-2929	sparksk3@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **19**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@fastenterprises.com
	CV0002127

STATE			
	Program Manager	Various	MULTI
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY			
UNEMPLOYMENT TAX AND BENEFITS SYSTEM			
INITIAL EFFECTIVE DATE	**INITIAL EXPIRATION DATE**	**INITIAL AVAILABLE OPTIONS**	**EXPIRATION DATE BEFORE**
August 29, 2011	August 28, 2016	5 - 1 Year	November 28, 2021
PAYMENT TERMS		**DELIVERY TIMEFRAME**	
ALTERNATE PAYMENT OPTIONS			**EXTENDED PURCHASING**
☐ P-Card	☐ PRC	☐ Other	☐ Yes ☒ No
MINIMUM DELIVERY REQUIREMENTS			

DESCRIPTION OF CHANGE NOTICE				
OPTION	**LENGTH OF OPTION**	**EXTENSION**	**LENGTH OF EXTENSION**	**REVISED EXP. DATE**
☐		☒	1 month	December 28, 2021
CURRENT VALUE	**VALUE OF CHANGE NOTICE**		**ESTIMATED AGGREGATE CONTRACT VALUE**	
$63,187,224.01	$631,249.67		$63,818,473.68	

DESCRIPTION

Effective 11/24/2021, this Contract is extended for one month, and is increased by $631,249.67 (see breakdown below) while negotiations continue on updated Terms for the Useful Life Extension. The revised contract expiration date is 11/28/2021.

Maintenance and Support - Level 3 (includes upgrades) - $200,000.00 (11/29/21-12/28/21)
Maintenance and Support – 2 FTE - $66,666.67 - (11/29/21-12/28/21)
FAST SMS Gateway Services - $20,000.00 - (11/29/21-12/28/21)
FAST Batch Monitor Services - $75,000.00 - (12/01/21-12/31/21)
FAST Supplemental Staff Services (7 staff) - $236,250.00 - (12/01/21-12/31/21)
FAST Centralized Technical Assistance (CTA) Support - $33,333.00 - (12/01/21-12/31/21)

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/24/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Kristine Sparks	313-456-2929	sparksk3@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **18**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	MULTI
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEM

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	October 28, 2021

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS	EXTENDED PURCHASING
☐ P-Card ☐ PRC ☐ Other	☐ Yes ☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☒	1 month	November 28, 2021

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$62,555,974.34	$631,249.67	$63,187,224.01

DESCRIPTION

Effective 10/26/2021, this Contract is extended for one month, and is increased by $631,249.67 (see breakdown below) while negotiations continue on updated Terms for the Useful Life Extension. The revised contract expiration date is 11/28/2021.

Maintenance and Support - Level 3 (includes upgrades) - $200,000.00 (10/29/21-11/28/21)
Maintenance and Support – 2 FTE - $66,666.67 - (10/29/21-11/28/21)
FAST SMS Gateway Services - $20,000.00 - (10/29/21-11/28/21)
FAST Batch Monitor Services - $75,000.00 - (11/01/21-11/30/21)
FAST Supplemental Staff Services (7 staff) - $236,250.00 - (11/01/21-11/30/21)
FAST Centralized Technical Assistance (CTA) Support - $33,333.00 - (11/01/21-11/30/21)

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/24/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Kristine Sparks	313-456-2929	sparksk3@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **17**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	MULTI
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEM

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	September 28, 2021

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ PRC	☐ Other	☐ Yes	☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☒	30 days	October 28, 2021

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$61,924,724.67	$631,249.67	$62,555,974.34

DESCRIPTION

Effective 9/28/2021, this Contract is extended for one month, and is increased by $631,249.67 (see breakdown below). The revised contract expiration date is 10/28/2021.

Maintenance and Support - Level 3 (includes upgrades) - $200,000.00 (9/29/21-10/28/21)
Maintenance and Support – 2 FTE - $66,666.67 - (9/29/21-10/28/21)
FAST SMS Gateway Services - $20,000.00 - (9/29/21-10/28/21)
FAST Batch Monitor Services - $75,000.00 - (10/01/21-10/31/21)
FAST Supplemental Staff Services (7 staff) - $236,250.00 - (10/01/21-10/31/21)
FAST Centralized Technical Assistance (CTA) Support - $33,333.00 - (10/01/21-10/31/21)

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/24/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Kristine Sparks	313-456-2929	sparksk3@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **16**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	MULTI
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEM

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2021

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ PRC	☐ Other	☐ Yes	☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☒	1 month	September 28, 2021

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$61,638,058.00	$286,666.67	$61,924,724.67

DESCRIPTION

Effective 8/27/2021, this Contract is extended for one month, and is increased by $286,666.67 (see breakdown below). The revised contract expiration date is 9/28/2021.

Maintenance and Support - Level 3 (includes upgrades) - $200,000.00
Maintenance and Support – 2 FTE - $66,666.67
FAST SMS Gateway Services - $20,000.00

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/24/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Kristine Sparks	313-456-2929	sparksk3@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **15**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	MULTI
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY			
UNEMPLOYMENT TAX AND BENEFITS SYSTEM			
INITIAL EFFECTIVE DATE	**INITIAL EXPIRATION DATE**	**INITIAL AVAILABLE OPTIONS**	**EXPIRATION DATE BEFORE**
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2021
PAYMENT TERMS		**DELIVERY TIMEFRAME**	
ALTERNATE PAYMENT OPTIONS			**EXTENDED PURCHASING**
☐ P-Card	☐ PRC	☐ Other	☐ Yes ☒ No
MINIMUM DELIVERY REQUIREMENTS			

DESCRIPTION OF CHANGE NOTICE				
OPTION	**LENGTH OF OPTION**	**EXTENSION**	**LENGTH OF EXTENSION**	**REVISED EXP. DATE**
☐		☐		August 28, 2021
CURRENT VALUE	**VALUE OF CHANGE NOTICE**	**ESTIMATED AGGREGATE CONTRACT VALUE**		
$61,118,058.00	$520,000.00	$61,638,058.00		

DESCRIPTION

Effective 8/10/2021, the following amendment is incorporated into this Contract per the attached SOW. This change includes the addition of 5 FTE resources to assist UIA in completing several high priority service requests. This Contract is increased by $520,000.00 for LEO use.

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/10/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Kristine Sparks	313-456-2929	sparksk3@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

MICHIGAN DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
IT SERVICES
STATEMENT OF WORK

Project Title: **FAST – Additional Resources – UIA Priorities 3 Month Duration (July – October 2021)**	**Period of Coverage:** **07/19/2021 - 10/15/2021**
Requesting Department: **Labor & Economic Opportunity/Unemployment Insurance Agency**	**Date:** **07/15/2021**
Agency Project Manager: **Kristine Sparks**	**Phone:** **313-456-2929**
DTMB Project Manager: **John Walker**	**Phone:** **313-456-3814**

Brief Description of Services to be provided:

BACKGROUND:

The State of Michigan Department of Labor and Economic Opportunity (LEO), Unemployment Insurance Agency (UIA) executed a multi-year contract with FAST Enterprises, LLC to complete a comprehensive and complex rewrite of Michigan's current Unemployment Insurance Agency (UIA) systems.

The LEO/UIA uses the Michigan Integrated Data Automated System (MiDAS) and Michigan Web Account Manager (MiWAM) systems to administer the state's unemployment tax and benefits programs. These systems were implemented using FAST Enterprises' commercial off the shelf (COTS) product named GenTAX. MiDAS is the Michigan's branded name of the GenTAX internal application and MiWAM is the branded name of the GenTAX eServices portal. MiWAM provides self-service options for employers, claimants, and other UI customers.

This Statement of Work consists of adding the needed funding to on-board 5 additional FAST developer staff resources to complete several UIA service requests to address high priority business needs and MiDAS/MiWAM system changes.

OBJECTIVE:

The purpose of this request is to add needed funding to MA# 071B1300367 to on-board 5 additional FAST developer staff resources to complete several UIA service requests to address high priority business needs and MiDAS/MiWAM system changes and other services as noted below. This request is also to execute the appropriate SIGMA GR and DOIT1 procurement processes.

- FAST Additional Staff Resources – 5 Staff
- Period: 07/19/21 – 10/15/21 – **Total Cost (5 staff resources) - $520,000.00**

SCOPE OF WORK:

Additional 5 FAST developer staff resources will support the UIA and MIDAS/MiWAM system by designing, developing, and implementing solutions in the system for the identified UIA priority corrections, legislative updates, enhancements, and maintenance type requests. The below tasks are included, and others may be included also:

5 additional developer staff resources will perform the following tasks as needed for the identified UIA priority service requests:

- Design, develop and implement solutions in MIDAS/MiWAM for corrections, legislative updates, enhancements, and maintenance type requests as identified and prioritized.
- Assist in coordination with the FAST Development Center to implement identified prioritized changes.
- Implement identified priority changes into existing programs as appropriate.

TASKS:
Additional developer staff resource tasks will include identified and prioritized service requests from UIA.

DELIVERABLES:
Deliverables will not be considered complete until the Agency Project Manager has formally accepted them. Deliverables for this project include:

- Design, develop and implement solutions in MIDAS/MiWAM for corrections, legislative updates, enhancements, and maintenance type requests as identified and prioritized.

ACCEPTANCE CRITERIA:

- Completion of identified service for the MiDAS/MiWAM system as prioritized by UIA.

PROJECT CONTROL AND REPORTS:
All FAST staff must submit and enter weekly timesheets into the State of Michigan's Project Portfolio Management tool, Clarity PPM, for approval and reporting. The weekly Clarity PPM timesheet will contain hours worked for assigned project tasks.

A bi-weekly progress report must be submitted to the Agency and DTMB Project Managers throughout the life of this project. Each bi-weekly progress report must contain the following:

- **Accomplishments**: Indicate what was worked on and what was completed during the current reporting period and significant activities for the upcoming month.

SPECIFIC DEPARTMENT STANDARDS:
Agency standards, if any, in addition to DTMB standards.

PAYMENT SCHEDULE:
FAST Additional Developer Staff – 5 Staff (for 3-month duration)

- Period: 07/19/2021 through 10/15/2021/per staff resource
- $200.00 per hour/per staff resource
- 2600 hours (65 working days/8 hours per day/per 5 staff resources)

Total Cost (5 staff resources) - $520,000.00

Payment will be made on a **Time and Materials** basis. DTMB will pay CONTRACTOR upon receipt of properly completed invoices which shall be submitted to the billing address on the State issued purchase order not more often than monthly. DTMB Contracts area will coordinate obtaining Agency Project Manager and DTMB Project Manager approvals. All invoices should reflect actual work completed by payment date and must be approved by the Agency Project Manager and DTMB Project Manager prior to payment. The invoices shall describe and document to the State's satisfaction a description of the work performed, the progress of the project, and fees. When expenses are invoiced, receipts will need to be provided along with a detailed breakdown of each type of expense.

Payment shall be considered timely if made by the DTMB within forty-five (45) days after receipt of properly completed invoices.

EXPENSES:
The State will NOT pay for any travel expenses, including hotel, mileage, meals, parking, etc.

PROJECT CONTACTS:
The designated Agency Project Manager is:

Kristine Sparks
Labor & Economic Opportunity, Unemployment Insurance Agency
Agency Services
Cadillac Place
3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202
313-456-2929

The designated DTMB Project Manager is:

John Walker
Department of Technology, Management and Budget
Agency Services
Cadillac Place
3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202
313-456-3814

LOCATION OF WHERE THE WORK IS TO BE PERFORMED:
Consultants will work at remotely or at the Cadillac Place in Detroit, Michigan as appropriate.

EXPECTED CONTRACTOR WORK HOURS AND CONDITIONS:
Normal working hours of 8:00 am to 5:00 pm Monday through Friday and are to be observed unless otherwise agreed to.

No overtime will be permitted.

This purchase order is a release from Contract MA #071B1300367. This purchase order, statement of work, and the terms and conditions of Contract MA #071B1300367 constitute the entire agreement between the State and the Contractor.

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget

525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **14**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	MULTI
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY			
UNEMPLOYMENT TAX AND BENEFITS SYSTEM			
INITIAL EFFECTIVE DATE	**INITIAL EXPIRATION DATE**	**INITIAL AVAILABLE OPTIONS**	**EXPIRATION DATE BEFORE**
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2021
PAYMENT TERMS		**DELIVERY TIMEFRAME**	
ALTERNATE PAYMENT OPTIONS			**EXTENDED PURCHASING**
☐ P-Card	☐ PRC	☐ Other	☐ Yes ☒ No
MINIMUM DELIVERY REQUIREMENTS			

DESCRIPTION OF CHANGE NOTICE				
OPTION	**LENGTH OF OPTION**	**EXTENSION**	**LENGTH OF EXTENSION**	**REVISED EXP. DATE**
☐		☐		August 28, 2021
CURRENT VALUE	**VALUE OF CHANGE NOTICE**		**ESTIMATED AGGREGATE CONTRACT VALUE**	
$60,806,058.00	$312,000.00		$61,118,058.00	

DESCRIPTION

Effective 5/11/2021, the following amendment is incorporated into this Contract per attached SOW, three additional developers to process high priority changes for a three month period. The amount for these services is not to exceed $312,000.00 for LEO use only.

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 5/11/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Akosua Baiden	313-456-3339	BaidenA@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

MICHIGAN DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
IT SERVICES
STATEMENT OF WORK

Project Title: **FAST – Additional Resources – UIA Priorities 3 Month Duration (April – June 2021)**	**Period of Coverage:** **04/01/2021 - 06/30/2021**
Requesting Department: **Labor & Economic Opportunity/Unemployment Insurance Agency**	**Date:** **03/17/2021**
Agency Project Manager: **Akosua Baiden**	**Phone:** **313-456-3339**
DTMB Project Manager: **John Walker**	**Phone:** **313-456-3814**

Brief Description of Services to be provided:

BACKGROUND:

The State of Michigan Department of Labor and Economic Opportunity (LEO), Unemployment Insurance Agency (UIA) executed a multi-year contract with FAST Enterprises, LLC to complete a comprehensive and complex rewrite of Michigan's current Unemployment Insurance Agency (UIA) systems.

The LEO/UIA uses the Michigan Integrated Data Automated System (MiDAS) and Michigan Web Account Manager (MiWAM) systems to administer the state's unemployment tax and benefits programs. These systems were implemented using FAST Enterprises' commercial off the shelf (COTS) product named GenTAX. MiDAS is the Michigan's branded name of the GenTAX internal application and MiWAM is the branded name of the GenTAX eServices portal. MiWAM provides self-service options for employers, claimants, and other UI customers.

This Statement of Work consists of adding the needed funding to on-board 3 additional FAST developer staff resources to complete several UIA service requests to address high priority business needs and MiDAS/MiWAM system changes.

OBJECTIVE:

The purpose of this request is to add needed funding to MA# 071B1300367 to on-board 3 additional FAST developer staff resources to complete several UIA service requests to address high priority business needs and MiDAS/MiWAM system changes and other services as noted below. This request is also to execute the appropriate SIGMA GR and DOIT1 procurement processes.

- FAST Additional Staff Resources – 3 Staff
- Period: 04/01/21 – 06/30/21 – **Total Cost (3 staff resources) - $312,000.00**

SCOPE OF WORK:

Additional 3 FAST developer staff resources will support the UIA and MIDAS/MiWAM system by designing, developing, and implementing solutions in the system for the identified UIA priority corrections, legislative updates, enhancements, and maintenance type requests. The below tasks are included, and others may be included also:

3 additional developer staff resources will perform the following tasks as needed for the identified UIA priority service requests:

- Design, develop and implement solutions in MIDAS/MiWAM for corrections, legislative updates, enhancements, and maintenance type requests as identified and prioritized.
- Assist in coordination with the FAST Development Center to implement identified prioritized changes.
- Implement identified priority changes into existing programs as appropriate.

TASKS:
Additional developer staff resource tasks will include identified and prioritized service requests from UIA.

DELIVERABLES:
Deliverables will not be considered complete until the Agency Project Manager has formally accepted them. Deliverables for this project include:

- Design, develop and implement solutions in MIDAS/MiWAM for corrections, legislative updates, enhancements, and maintenance type requests as identified and prioritized.

ACCEPTANCE CRITERIA:

- Completion of identified service for the MiDAS/MiWAM system as prioritized by UIA.

PROJECT CONTROL AND REPORTS:
All FAST staff must submit and enter weekly timesheets into the State of Michigan's Project Portfolio Management tool, Clarity PPM, for approval and reporting. The weekly Clarity PPM timesheet will contain hours worked for assigned project tasks.

A bi-weekly progress report must be submitted to the Agency and DTMB Project Managers throughout the life of this project. Each bi-weekly progress report must contain the following:

- **Accomplishments**: Indicate what was worked on and what was completed during the current reporting period and significant activities for the upcoming month.

SPECIFIC DEPARTMENT STANDARDS:
Agency standards, if any, in addition to DTMB standards.

PAYMENT SCHEDULE:
FAST Additional Developer Staff – 3 Staff (for 3-month duration)

- Period: 04/01/2021 through 06/30/2021/per staff resource
- $200.00 per hour/per staff resource
- 1560 hours (65 working days/8 hours per day/per 3 staff resources)

Total Cost (3 staff resources) - $312,000.00

Payment will be made on a **Time and Materials** basis. DTMB will pay CONTRACTOR upon receipt of properly completed invoices which shall be submitted to the billing address on the State issued purchase order not more often than monthly. DTMB Contracts area will coordinate obtaining Agency Project Manager and DTMB Project Manager approvals. All invoices should reflect actual work completed by payment date and must be approved by the Agency Project Manager and DTMB Project Manager prior to payment. The invoices shall describe and document to the State's satisfaction a description of the work performed, the progress of the project, and fees. When expenses are invoiced, receipts will need to be provided along with a detailed breakdown of each type of expense.

Payment shall be considered timely if made by the DTMB within forty-five (45) days after receipt of properly completed invoices.

EXPENSES:
The State will NOT pay for any travel expenses, including hotel, mileage, meals, parking, etc.

PROJECT CONTACTS:
The designated Agency Project Manager is:

Akosua Baiden
Labor & Economic Opportunity, Unemployment Insurance Agency
Agency Services
Cadillac Place
3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202
313-456-3339

The designated DTMB Project Manager is:

John Walker
Department of Technology, Management and Budget
Agency Services
Cadillac Place
3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202
313-456-3814

LOCATION OF WHERE THE WORK IS TO BE PERFORMED:
Consultants will work at remotely or at the Cadillac Place in Detroit, Michigan as appropriate.

EXPECTED CONTRACTOR WORK HOURS AND CONDITIONS:
Normal working hours of 8:00 am to 5:00 pm Monday through Friday and are to be observed unless otherwise agreed to.

No overtime will be permitted.

This purchase order is a release from Contract MA #071B1300367. This purchase order, statement of work, and the terms and conditions of Contract MA #071B1300367 constitute the entire agreement between the State and the Contractor.

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget

525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **13**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	DTMB
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY			
UNEMPLOYMENT TAX AND BENEFITS SYSTEM			
INITIAL EFFECTIVE DATE	**INITIAL EXPIRATION DATE**	**INITIAL AVAILABLE OPTIONS**	**EXPIRATION DATE BEFORE**
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2021
PAYMENT TERMS		**DELIVERY TIMEFRAME**	
ALTERNATE PAYMENT OPTIONS			**EXTENDED PURCHASING**
☐ P-Card	☐ PRC	☐ Other	☐ Yes ☒ No
MINIMUM DELIVERY REQUIREMENTS			

DESCRIPTION OF CHANGE NOTICE				
OPTION	**LENGTH OF OPTION**	**EXTENSION**	**LENGTH OF EXTENSION**	**REVISED EXP. DATE**
☐		☐		August 28, 2021
CURRENT VALUE	**VALUE OF CHANGE NOTICE**	**ESTIMATED AGGREGATE CONTRACT VALUE**		
$53,520,158.00	$7,285,900.00	$60,806,058.00		

DESCRIPTION

Effective 2/16/2021, the following amendments are incorporated into this Contract per attached Statements of Work. This Contract is increased by $4,276,500.00 for the balance of the Option Year (using of previously authorized funds). Also included in this increase is $2,809,400.00 for CARES Act changes and $200,000 for UIPL 27-20 Lost Wages Assistance (LWA). The total amount of the increase is $7,285,900.00 for LEO use. See the breakdown in the attached table.

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 2/16/2021.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Akosua Baiden	313-456-3339	BaidenA@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

Description	Hours	Rate per Hour	Total	GR Request
CARES - April Hours	3,239.50	$200	$ 647,900.00	20*2664
CARES - May Hours	2,683.75	$200	$ 536,750.00	20*2664
CARES - June Hours	2,886.75	$200	$ 577,350.00	20*2664
CARES - July Hours	1,648.75	$200	$ 329,750.00	20*2664
CARES - August Hours	1,393.25	$200	$ 278,650.00	21*0675
CARES - September Hours	1,012.00	$200	$ 202,400.00	21*0675
CARES - October Hours	417.00	$200	$ 83,400.00	21*0675
CARES - November Hours	410.25	$200	$ 82,050.00	21*0675
CARES - December Hours	355.75	$200	$ 71,150.00	21*0675
		CARES Total	$ 2,809,400.00	
UIPL 27-20 Lost Wages Assistance (LWA)			$ 200,000.00	20*2930
Base Contract Option Year 5 - Period: 12/29/2020 – 8/28/2021				
Maintenance and Support - Level 3			$ 1,533,333.00	20*2541
Maintenance and Support – 2 FTE			$ 94,667.00	20*2541
FAST SMS Gateway Service (Multi-Factor Authentication)			$ 160,000.00	20*2541
For Period: 1/1/2021 – 9/30/2021				
FAST Batch Monitoring Service			$ 62,250.00	20*2541
FAST Supplemental Staff – 7 Staff			$ 2,126,250.00	20*2541
FAST Centralized Tech Assistance (CTA)			$ 300,000.00	20*2541
Balance of Option Year 5		Total*	$ 4,276,500.00	
*Previously Authorized Funds				

MICHIGAN DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
IT SERVICES
STATEMENT OF WORK

Project Title: **FAST – Maintenance & Support Option Year 5**	**Period of Coverage:** **12/29/2020-8/28/2021**
Requesting Department: **Labor & Economic Opportunity/Unemployment Insurance Agency**	**Date:** **12/29/2020**
Agency Project Manager: **Akosua Baiden**	**Phone:** **313-456-3339**
DTMB Project Manager: **John Walker**	**Phone:** **313-456-3814**

Brief Description of Services to be provided:

BACKGROUND:

The State of Michigan Department of Labor and Economic Opportunity (LEO), Unemployment Insurance Agency (UIA) executed a multi-year contract with FAST Enterprises, LLC to complete a comprehensive and complex rewrite of Michigan's current Unemployment Insurance Agency (UIA) systems. The base contract period is from 8/29/2011 until 8/28/2016 with 5 one-year options. Currently the contract is in the option year 5 period 8/29/2020 until 8/28/2021.

The LEO/UIA uses the Michigan Integrated Data Automated System (MiDAS) and Michigan Web Account Manager (MiWAM) systems to administer the state's unemployment tax and benefits programs. These systems were implemented using FAST Enterprises' commercial off the shelf (COTS) product named GenTAX. MiDAS is the Michigan's branded name of the GenTAX internal application and MiWAM is the branded name of the GenTAX eServices portal. MiWAM provides self-service options for employers, claimants, and other UI customers.

OBJECTIVE:

The purpose of this request is to add funding to MA# 071B1300367 for needed services for the remainder of option year 5. This request is also to execute the renewal of Option Year 5 Maintenance and Support - Level 3 and Option Year 5 Maintenance and Support – 2 FTE (period 12/29/2020 thru 8/28/2021) of the base contract and other services noted below.

- Base Contract Option Year 5 Maintenance and Support - Level 3
  - Period: 12/29/2020 – 8/28/2021 – Cost: $1,533,333.00
- Base Contract Option Year 5 Maintenance and Support – 2 FTE
  - Period: 12/29/2020 – 8/28/2021 – Cost: $94,667.00
- FAST Batch Monitoring Service for Option Year 5
  - Period: 1/1/2021 – 9/30/2021 – Cost: $62,250.00
- FAST Supplemental Staff – 7 Staff for Option Year 5
  - Period: 1/1/2021 – 9/30/2021 – Cost: $2,126,250.00
- FAST SMS Gateway Service (Multi-Factor Authentication)
  - Period: 12/29/2020 - 8/28/2021 – Cost: $160,000.00 (estimated – billed on actual)
- FAST Centralized Tech Assistance (CTA)
  - Period 1/1/2021 - 9/30/2021 – Cost: $300,000.00

SCOPE OF WORK:

This request is for the annual renewal of Maintenance and Support – Level 3 and Maintenance and Support – 2 FTE for the Option Year 5 of MA# 071B1300367 for the period of 12/29/2020 thru 8/28/2021 as well as the other services noted below:

- Base contract renewal of Option Year 5 Maintenance and Support - Level 3
- Base contract renewal of Option Year 5 Maintenance and Support – 2 FTE
- FAST Batch Monitor Service for Option Year 5
- FAST SMS Gateway Services Option Year 5
- FAST Supplemental 7 Staff for Option Year 5
- FAST Centralized Technical Assistance (CTA) Support Option Year 5

FAST supplemental services staff that will support the UIA and MIDAS/MiWAM system by designing, developing, and implementing solutions in the system for corrections, legislative updates, enhancements, and maintenance type requests. The below tasks are also included, and others may be included also:

Supplemental service staff will perform the following tasks as needed:

- Design, develop and implement solutions in MIDAS/MiWAM for corrections, legislative updates, enhancements, and maintenance type requests
- Assist in prioritization and management of solution requests
- Provide on-call production support
- Assist in coordination with the FAST Development Center to implement core changes
- Provide guidance to client development staff implementing enhancements, including best practice recommendations
- Implement legislative changes to existing programs
- Performance tuning and database maintenance, analysis, and review
- Other consulting services as requested by UIA

TASKS:

Support Services tasks include:

- On-site contractor personnel to support designing, developing, and implementing solutions in MIDAS for corrections, legislative updates, enhancements, and maintenance type requests.
- Seven full-time on-site FAST support resources who will assist in the following system enhancements tasks and other tasks:
    - Key in-flight projects and candidates that will be supported include:
        - UIA MIDAS/MiWAM Priority SQR's
        - UIA Projects
        - UIA MIDAS GenTAX Architecture Maintenance; FCR Maintenance and Service Packs
        - UIA MIDAS/MiWAM Version 12 Upgrade
        - UIA MIDAS/MiWAM System Production Support
    - Prioritization and management of solution requests
    - On-call production support
    - Coordination with the FAST Development Center
    - Configuration assistance
    - Application development
    - Best practices recommendations
    - Implementation of minor legislative/business changes to existing programs
    - Performance tuning
    - Database maintenance, analysis, and review
    - Other consulting and services requested by UIA

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FAST SMS Gateway Services for SMS messaging will allow UIA and then MiDAS/MiWAM system to notify recipients via SMS instead of email-to-text options. Maintenance and support of the feature will also be tasked in support of UIA.

DELIVERABLES:

Deliverables will not be considered complete until the Agency Project Manager has formally accepted them. Deliverables for this project include:

ACCEPTANCE CRITERIA: Completion of ongoing maintenance and support requests and activities of the MiDAS/MiWAM system as requested and prioritized by UIA.

PROJECT CONTROL AND REPORTS:

All FAST staff must submit and enter weekly timesheets into the State of Michigan's Project Portfolio Management tool, Clarity PPM, for approval and reporting. The weekly Clarity PPM timesheet will contain hours worked for assigned project tasks.

A monthly progress report must be submitted to the Agency and DTMB Project Managers throughout the life of this project. Each monthly progress report must contain the following:

1. **Accomplishments**: Indicate what was worked on and what was completed during the current reporting period and significant activities for the upcoming month.

SPECIFIC DEPARTMENT STANDARDS:071

Agency standards, if any, in addition to DTMB standards.

PAYMENT SCHEDULE:

- Base Contract Option Year 5 Maintenance and Support - Level 3
  - Period: 12/29/2020 – 8/28/2021 – Cost: $191,666.63 per month.
- Base Contract Option Year 5 Maintenance and Support – 2 FTE
  - Period: 12/29/2020 – 8/28/2021 – Cost: $11,833.38 per month.
- FAST Batch Monitoring Service for Option Year 5
  - Period: 1/1/2021 – 9/30/2021 – Cost: $6,916.63 per month.
- FAST Supplemental Staff – 7 Staff for Option Year5
  - Period: 1/1/2021 – 9/30/2021 – Cost: $236,250.00 per month.
- FAST SMS Service (Multi-Factor Authentication)
  - Period: 12/29/2020 – 8/28/2021 – Cost: $20,000.00 per month (Estimated).
- FAST Centralized Tech Assistance (CTA)
  - Period 1/1/2021 – 9/30/2021 – Cost: $33,333.33 per month.

For a grand total of $4,276,500.00 for the balance of the option year.

DTMB will pay FAST upon receipt of properly completed invoice(s) which shall be submitted to the billing address on the State issued purchase order not more often than monthly. DTMB Accounts Payable area will coordinate obtaining Agency and DTMB Project Manager approvals. All invoices should reflect actual work completed by payment date and must be approved by the Agency and DTMB Project Manager prior to payment. The invoices shall describe and document to the State's satisfaction a description of the work performed, the progress of the project, and fees. When expenses are invoiced, receipts will need to be provided along with a detailed breakdown of each type of expense.

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Payment shall be considered timely if made by the DTMB within forty-five (45) days after receipt of properly completed invoices.

EXPENSES:

The State will NOT pay for any travel expenses, including hotel, mileage, meals, parking, etc.

PROJECT CONTACTS:

The designated Agency Project Manager is:

Akosua Baiden
Labor & Economic Opportunity, Unemployment Insurance Agency
Agency Services
Cadillac Place
3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202
313-456-3339

The designated DTMB Project Manager is:

John Walker
Department of Technology, Management and Budget
Agency Services
Cadillac Place
3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202
313-456-4926

LOCATION OF WHERE THE WORK IS TO BE PERFORMED:

Consultants will work at Cadillac Place in Detroit, Michigan.

EXPECTED CONTRACTOR WORK HOURS AND CONDITIONS:

Work hours are not to exceed eight (8) hours a day, forty (40) hours a week. Normal working hours of 8:00 am to 5:00 pm are to be observed unless otherwise agreed to in writing.

No overtime will be permitted.

This purchase order is a release from Contract MA #071B1300367. This purchase order, statement of work, and the terms and conditions of Contract MA #071B1300367 constitute the entire agreement between the State and the Contractor.

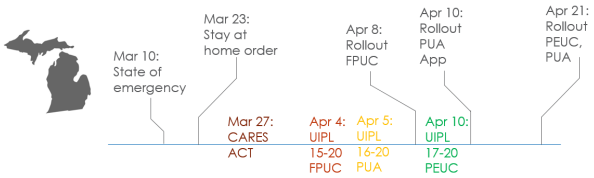
DRAFT

StateFAST Information Document for PUA, PUC, and PEUC Programs

Overview

The three new programs included in the CARES Act (PUC, PUA, and PEUC) have been implemented in MiDAS and MiWAM. Below is the initial timeline overview. Additional timeline with further releases in found on the last page.

CARES Timeline



This document provides a detailed breakdown of activities provided by FAST to implement PUA, PUC, PEUC, and the six areas of development for the CARES programs, which includes:

1. Registration
2. Certification
3. Non-Monetary
4. Revenue
5. ETA Reports
6. Payment and Collections

Since a significant amount of work was necessary to meet the aggressive timeline for these new programs, additional FAST resources were added to help with the development and deployment. A total of 15 additional FAST resources have been added to the project to work on the various phases of the implementation.

Additional details such as meeting notes, development items, site-specific programming, test scenarios, and implementation information are tracked in FCR. FAST's Delivery Workbench tool was used to track development and testing activities for PUA, PUC, and PEUC with 241 items prior to the Production release. Post-production solution requests are tracked using FAST's SQR tool. There are SQRs related to the six development areas listed above (161 as of 6.30.2020). Also, additional SQRs are added as new UIPLs are released by the Department of Labor and bugfixes/user enhancements are identified related to CARES. The development work by FAST resources are tracked and accessible in the Delivery Workbench and SQR tools. This information is visible to anyone with FCR system access and can be exported as needed.

Phases of Implementation

The following are phases of the PUA, PUC, and PEUC implementation that were led by FAST and in partnership with UIA and DTMB. These phases are integrated into the Delivery Workbench and SQR tools using various types and stage flows.

1. Definition and Development
2. Testing

3. Rollout, Releases, and Support

Below is a detailed list of activities performed during the various phases of the initial implementation of PUA and PEUC.

1. **Phase Overview - Definition and Development**

    - Requirements gathering and research
    - Definition and design meetings
    - Development and validation cycles
    - Technical peer reviews and initial integration testing by developers

    Phase Highlights
    - Requirement gathering meetings to review UIPLs with business and technical teams.
    - Definition meetings to finalize business scope, business process changes to workflow, and correspondence with business and technical teams.
    - Design meetings to finalize process solution, workflow, and development tasks with technical teams.
    - Prioritization meetings and project check-in meetings with the business and technical teams.
    - Developer design sessions to identify changes to current processes and discuss solutions for the new changes.
    - Development work for processing PUA application in MiDAS, including claim intake, monetary determinations, weekly claims/certifications, non-monetary issues, benefit payments, overpayments, and collections.
    - Development work for the new PUA application on MiWAM.
    - Development work for modifying existing correspondence related to process changes.
    - Development work to integrate PEUC fields and validation on existing processing.
    - Development work for new Registrations and Certifications related to PUA and PEUC.
    - Development work for Monetary, Non-monetary, and Collection activities related to PUA and PEUC.
    - Development work for Revenue, new General Ledgers, and new Benefit Payment types.
    - Development work for ETA reporting changes to include the new programs and new ETA reports.
    - Development work for CARES reports.
    - Technical team peer review and testing in Test Environments on-going at each migration to the next environment (Development->Test->Staging).
    - Technical team initial integration testing includes:
        - Registration, certifications, and benefit payments as well as integration to existing customers and data validation.
        - Correspondence changes.
        - Interface testing.
        - Regression testing on existing functionality that were modified for PUA and PEUC.

2. **Phase Overview – Testing**
    - Coordinate and facilitate business testing, huddles, and check-ins

- Support testing activities and tracking of issues

Phase Highlights

- Work with the business to create a business testing plan.
- Assist with creating test scenarios and leading testing huddles
- Assist UIA in creating user test scenarios for PUA and PEUC.
- Assist with business testing and provide data when necessary to test, includes:
  - User acceptance testing for PUA application and registration process.
  - User acceptance testing for Certifications.
  - User acceptance testing for Non-monetary.
  - User acceptance testing for Revenue accounting and new General Ledgers.
  - User acceptance testing for correspondence changes.
  - User acceptance testing for Payments and Collection changes.
  - User acceptance testing for ETA reports.
  - User acceptance testing for regression testing.
- Fix issues and failed scenarios found during business testing.

3. Phase Overview – Rollout, Releases, and Support

- Cutover and implementation planning
- Deployment activities and support for Production validation
- Post rollout support and system/batch monitoring

Phase Highlights

- Confirm user acceptance for changes.
- Create detailed deployment plans.
- Schedule meetings to review deployment plans.
- Complete site components and solutions.
- Coordinate and facilitate releases.
  - Release includes migration of components, solutions, apply table scripts, turn on new functionally in Production and production validation with the business.
- Provide system monitoring and job stream monitoring.

CARES Program Timeline

The below timeline is a high-level summary of Production releases for the CARES Act programs.

- **Wednesday, 4/8/2020**
  - Michigan FPUC rollout, started payments of an additional $600
- **Friday, 4/10/2020**
  - Michigan PUA Application rollout for the MiWAM PUA Application process for Michigan workers
- **Saturday, 4/11/2020**
  - Release of changes related to CARES/COVID-19
- **Saturday, 4/18/2020**
  - Release of changes related to CARES/COVID-19
- **Tuesday, 4/21/2020**
  - Michigan rollout of PEUC, additional processing and functionality for PUA program, and processing of PUA Application submitted from 4/10/2020
- **Saturday, 4/25/2020**
  - Release of changes related to CARES/COVID-19
- **Saturday, 5/2/2020**
  - Release of changes related to CARES/COVID-19
- **Sunday, 5/3/2020**
  - Release of changes related to CARES/COVID-19
- **Saturday, 5/9/2020**
  - Release of changes related to CARES/COVID-19
- **Saturday, 5/16/2020**
  - Release of changes related to CARES/COVID-19
- **Saturday, 5/23/2020**
  - Release of changes related to CARES/COVID-19
- **Saturday, 5/30/2020**
  - Release of changes related to CARES/COVID-19
- **Saturday, 6/6/2020**
  - Release of changes related to CARES/COVID-19
- **Saturday, 6/6/2020**
  - Release of changes related to CARES/COVID-19
- **Saturday, 6/13/2020**
  - Release of changes related to CARES/COVID-19
- **Saturday, 6/20/2020**
  - Release of changes related to CARES/COVID-19
- **Saturday, 6/27/2020**
  - Release of changes related to CARES/COVID-19

FAST Information Document for Lost Wage Assistance (LWA/UIPL 27-20)

Overview

This document is the FAST statement of work to implement the new Lost Wages Assistance program for Michigan in the MiDAS/MiWAM applications. While this document will provide a general breakdown of activities provided by FAST to implement LWA, additional details will be established and defined with the Agency and tracked in the Solution Requests (SQRs).

Additional information such as the meeting notes, development items, site-specific programming, testing, and implementation information are stored in the SQRs. This information is visible to anyone with FCR system access and can be exported as needed.

As a background, FEMA approved Michigan for a FEMA grant under the Lost Wages Assistance program (also referred to LWA or UIPL 27-20). The grant funding will allow Michigan to provide those unemployed due to COVID-19 $300 per week on top of their regular unemployment benefit. More information on the program is located here: https://www.fema.gov/press-release/20200821/fema-announces-lost-wages-grant-michigan.

Implementation Approach

As of 8/21/2020, it was determined that the Lost Wage Assistance program will be implemented in a phase approach.

The following has been discussed, based on current assumptions.

Phase 1: Implementation timeline would be 1 week.

- *Assume tax withholding will work the same*
- *Confirmation of revenue/GL accounting*
- *Use $100 weekly benefit amount approach*
- *Notification to claimants that meet the qualifications and no further action is needed*
- *Verbiage will be provided on Monday 8/24*
- *EB claimants are eligible for LWA*
- *Claimants on paper checks are not eligible*
- *Send communication to those claimants to change payment method*
- *Deductions for child support, IRORA, and recoupment are not included in LWA certs*
- *Federal and State withholding will be deducted if claimant indicates on LWA certs*

Phase 2: Implementation timeline would be 1-2 weeks.

- *Self-certification*
    - *Develop process for allowing claimants to indicate COVID impact*

- *Affects old UI claims (prior to 3/15), TRA, workshare, and EFC claims since we do not have COVID impact information for these populations*
  - *Workshare employers can certify on behalf of claimants on their certs*
- *Paper check population will be addressed*

Implementation Activities

The following are implementation activities related to LWA and will be led by FAST in partnership with UIA and DTMB. These activities are integrated into the FCR various tools such as SQRs and FCR solutions.

1. **Overview - Definition and Development**

   - Requirements gathering and research
   - Definition and design meetings
   - Development and validation cycles
   - Technical peer reviews and initial integration testing by developers

   Highlights

   - Requirement gathering meetings to review UIPL 27-20 with business and technical teams.
   - Definition meetings to finalize business scope, business process changes to workflow, and correspondence with business and technical teams.
   - Design meetings to finalize process solution, workflow, and development tasks with technical teams.
   - Prioritization meetings and project check-in meetings with the business and technical teams.
   - Developer design sessions to identify changes to current processes and discuss solutions for the new changes.
   - Development work for LWA program in MiDAS and MiWAM applications.
     - Development work for modifying existing processes.
     - Development work for new processes.
     - Development work to integrate processes.
     - Development work for reporting requirements.
   - Technical team peer review and testing in Test Environments on-going at each migration to the next environment (Development->Test->Staging).

2. **Overview – Testing**
   - Coordinate and facilitate business testing, huddles, and check-ins as needed
   - Support testing activities and tracking of issues

   Highlights

   - Work with the business to create a business testing plan.
   - Support business testing and provide data when necessary to test, includes:
     - User acceptance testing for LWA program in MiDAS.
     - User acceptance testing for LWA program in MiWAM.
     - User acceptance testing for regression testing.
   - Fix issues and failed scenarios found during business testing.

3. **Overview – Rollout and Support**
    - Cutover and implementation planning
    - Deployment activities and support for Production validation
    - Post rollout support and system/batch monitoring

    Highlights
    - Confirm user acceptance for changes.
    - Discuss deployment plans.
    - Schedule meetings to review deployment plans.
    - Complete site components and solutions.
    - Coordinate and facilitate releases.
        - Release includes migration of components, solutions, apply table scripts, turn on new functionally in Production and production validation with the business.
    - Provide system monitoring and job stream monitoring.

Payment Schedule

This is a Time and Material statement of work that is billed monthly with an hourly rate of $200.

SQRs and hours will be tracked under the reference ID of UIPL 27-20 and invoiced monthly with supporting documents.

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget

525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **12**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	DTMB
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY			
UNEMPLOYMENT TAX AND BENEFITS SYSTEM			
INITIAL EFFECTIVE DATE	**INITIAL EXPIRATION DATE**	**INITIAL AVAILABLE OPTIONS**	**EXPIRATION DATE BEFORE**
August 29, 2011	August 28, 2016	5 - 1 Year	December 28, 2020
PAYMENT TERMS		**DELIVERY TIMEFRAME**	
ALTERNATE PAYMENT OPTIONS			**EXTENDED PURCHASING**
☐ P-Card	☐ PRC	☐ Other	☐ Yes ☒ No
MINIMUM DELIVERY REQUIREMENTS			

DESCRIPTION OF CHANGE NOTICE				
OPTION	**LENGTH OF OPTION**	**EXTENSION**	**LENGTH OF EXTENSION**	**REVISED EXP. DATE**
☒		☐		August 28, 2021
CURRENT VALUE	**VALUE OF CHANGE NOTICE**		**ESTIMATED AGGREGATE CONTRACT VALUE**	
$53,520,158.00	$0.00		$53,520,158.00	

DESCRIPTION

Effective 12/28/2020, the State is exercising the balance of the final option year. The revised contract expiration date is 8/28/2021.

All other terms, conditions, specifications and pricing remain the same. Per contractor and agency agreement, and DTMB Central Procurement Services approval.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Akosua Baiden	313-456-3339	BaidenA@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget

525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **11**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	DTMB
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY			
UNEMPLOYMENT TAX AND BENEFITS SYSTEM			
INITIAL EFFECTIVE DATE	**INITIAL EXPIRATION DATE**	**INITIAL AVAILABLE OPTIONS**	**EXPIRATION DATE BEFORE**
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2020
PAYMENT TERMS		**DELIVERY TIMEFRAME**	

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ PRC	☐ Other	☐ Yes	☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE				
OPTION	**LENGTH OF OPTION**	**EXTENSION**	**LENGTH OF EXTENSION**	**REVISED EXP. DATE**
☐		☒		December 28, 2020

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$52,559,820.00	$960,338.00	$53,520,158.00

DESCRIPTION

Effective 10/28/2020, this Contract is extended two (2) months, and is increased by $960,338.00 per the attached statement of work. This extension is for the negotiation of a system upgrade to the UI12 platform and the addition of Service Level Agreement (SLAs). The revised contract expiration date is 12/28/2020.

All other terms, conditions, specifications and pricing remain the same. Per contractor and agency agreement, and DTMB Central Procurement Services approval.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Akosua Baiden	313-456-3339	BaidenA@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

MICHIGAN DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
IT SERVICES
STATEMENT OF WORK

Project Title: **FAST – Maintenance & Support Option Year 5 – (2 Month Extension 10-29-20 thru 12-28-20)**	**Period of Coverage:** **10/29/2020 - 12/28/2020**
Requesting Department: **Labor & Economic Opportunity/Unemployment Insurance Agency**	**Date:** **10/26/2020**
Agency Project Manager: **Akosua Baiden**	**Phone:** **313-456-3339**
DTMB Project Manager: **John Walker**	**Phone:** **313-456-3814**

Brief Description of Services to be provided:

BACKGROUND:

The State of Michigan Department of Labor and Economic Opportunity (LEO), Unemployment Insurance Agency (UIA) executed a multi-year contract with FAST Enterprises, LLC to complete a comprehensive and complex rewrite of Michigan's current Unemployment Insurance Agency (UIA) systems. The base contract period is from 8/29/2011 until 8/28/2016 with 5 one-year options. Currently the contract is in a two-month extension of option year 5 period 8/29/2020 until 10/28/2020.

The LEO/UIA uses the Michigan Integrated Data Automated System (MiDAS) and Michigan Web Account Manager (MiWAM) systems to administer the state's unemployment tax and benefits programs. These systems were implemented using FAST Enterprises' commercial off the shelf (COTS) product named GenTAX. MiDAS is the Michigan's branded name of the GenTAX internal application and MiWAM is the branded name of the GenTAX eServices portal. MiWAM provides self-service options for employers, claimants, and other UI customers.

This Statement of Work consists of two months.

OBJECTIVE:

The purpose of this request is to add funding to MA# 071B1300367 for needed services for option year 5. This request is also to execute the renewal of Option Year 5 Maintenance and Support - Level 3 and Option Year 5 Maintenance and Support – 2 FTE (period 10/29/2020 thru 12/28/2020) of the base contract and other services noted below.

The additional funding of $960,338.00 is needed to support the following services:

- Base Contract Option Year 5 Maintenance and Support - Level 3
  - *Period: 8/28/20 – 8/29/21 – Cost: $2,300,000.00*
  - **Period: 10/29/20 – 11/28/20 – Cost: $191,667**
  - **Period: 11/29/20 – 12/28/20 – Cost: $191,667**

- Base Contract Option Year 5 Maintenance and Support – 2 FTE
    - *Period: 8/28/20 – 8/29/21 – Cost: $142,000.00*
    - **Period: 10/29/20 – 11/28/20 – Cost: $11,834**
    - **Period: 11/29/20 – 12/28/20 – Cost: $11,834**

- FAST Centralized Tech Assistance (CTA)
    - *Period 10/1/20 - 9/30/21 – Cost: $400,000.00*
    - **Period: 10/29/20 – 11/28/20 – Cost: $33,334**
    - **Period: 11/29/20 – 12/28/20 – Cost: $33,334**

- FAST Batch Monitoring Service for Option Year 5
    - *Period: 10/1/20 – 9/30/21 – Cost: $85,000.00*
    - **Period: 11/1/2020 – 11/30/2020 – Cost: $7,084**
    - **Period: 12/1/2020 – 12/31/2020 – Cost: $7,084**

- FAST Supplemental Staff – 7 Staff for Option Year 5
    - *Period: 10/1/20 – 9/30/21 – Cost: $2,835,000.00*
    - **Period: 11/1/2020 – 11/30/2020 – Cost: $236,250**
    - **Period: 12/1/2020 – 12/31/2020 – Cost: $236,250**

FAST SMS Gateway Service is billed separately and additional information on costs is in the FAST SMS Service Terms document. (Based on peak usage during April-June of 2020 max anticipated amount of $18,000 per month).

- FAST SMS Gateway Service (Multi-Factor Authentication)
    - *See attached FAST SMS Service Terms for more information and pricing*
    - **Period: 11/1/20 – 11/30/20 – Cost: Based on usage**
    - **Period: 12/1/20 – 12/31/20 – Cost: Based on usage**

SCOPE OF WORK:

This request is for the annual renewal of Maintenance and Support – Level 3 and Maintenance and Support – 2 FTE for the Option Year 5 of MA# 071B1300367 for the period of 10/29/2020 thru 12/28/2020 as well as the other services noted below:

- Base contract renewal of Option Year 5 Maintenance and Support - Level 3
- Base contract renewal of Option Year 5 Maintenance and Support – 2 FTE
- FAST Batch Monitor Service for Option Year 5
- FAST SMS Gateway Services Option Year 5
- FAST Supplemental 7 Staff for Option Year 5
- FAST Centralized Technical Assistance (CTA) Support Option Year 5

FAST supplemental services staff that will support the UIA and MIDAS/MiWAM system by designing, developing, and implementing solutions in the system for corrections, legislative updates, enhancements, and maintenance type requests. The below tasks are also included, and others may be included also:

Supplemental service staff will perform the following tasks as needed:

- Design, develop and implement solutions in MIDAS/MiWAM for corrections, legislative updates, enhancements, and maintenance type requests

- Assist in prioritization and management of solution requests
- Provide on-call production support
- Assist in coordination with the FAST Development Center to implement core changes
- Provide guidance to client development staff implementing enhancements, including best practice recommendations
- Implement legislative changes to existing programs
- Performance tuning and database maintenance, analysis, and review
- Other consulting services as requested by UIA

TASKS:

Support Services tasks include:

- On-site contractor personnel to support designing, developing, and implementing solutions in MIDAS for corrections, legislative updates, enhancements, and maintenance type requests.
- Seven full-time on-site FAST support resources who will assist in the following system enhancements tasks and other tasks:
    - Key in-flight projects and candidates that will be supported include:
        - UIA MIDAS/MiWAM Priority SQR's
        - UIA Projects
        - UIA MIDAS GenTAX Architecture Maintenance; FCR Maintenance and Service Packs
        - UIA MIDAS/MiWAM Version 12 Upgrade
        - UIA MIDAS/MiWAM System Production Support
    - Prioritization and management of solution requests
    - On-call production support
    - Coordination with the FAST Development Center
    - Configuration assistance
    - Application development
    - Best practices recommendations
    - Implementation of minor legislative/business changes to existing programs
    - Performance tuning
    - Database maintenance, analysis, and review
    - Other consulting and services requested by UIA

FAST SMS Gateway Services for SMS messaging will allow UIA and then MiDAS/MiWAM system to notify recipients via SMS instead of email-to-text options. Maintenance and support of the feature will also be tasked in support of UIA.

DELIVERABLES:

Deliverables will not be considered complete until the Agency Project Manager has formally accepted them. Deliverables for this project include:
ACCEPTANCE CRITERIA: Completion of ongoing maintenance and support requests and activities of the MiDAS/MiWAM system as requested and prioritized by UIA.

PROJECT CONTROL AND REPORTS:

All FAST staff must submit and enter weekly timesheets into the State of Michigan's Project Portfolio Management tool, Clarity PPM, for approval and reporting. The weekly Clarity PPM timesheet will contain hours worked for assigned project tasks.

A monthly progress report must be submitted to the Agency and DTMB Project Managers throughout the life of this project. Each monthly progress report must contain the following:

1. **Accomplishments**: Indicate what was worked on and what was completed during the current reporting period and significant activities for the upcoming month.

SPECIFIC DEPARTMENT STANDARDS:071

Agency standards, if any, in addition to DTMB standards.

PAYMENT SCHEDULE:

- Base Contract Option Year 5 Maintenance and Support - Level 3
  - **Period: 10/29/20 – 11/28/20 – Cost: $191,667**
  - **Period: 11/29/20 – 12/28/20 – Cost: $191,667**
- Base Contract Option Year 5 Maintenance and Support – 2 FTE
  - **Period: 10/29/20 – 11/28/20 – Cost: $11,834**
  - **Period: 11/29/20 – 12/28/20 – Cost: $11,834**
- FAST Centralized Tech Assistance (CTA)
  - **Period: 10/29/20 – 11/28/20 – Cost: $33,334**
  - **Period: 11/29/20 – 12/28/20 – Cost: $33,334**
- FAST Batch Monitoring Service for Option Year 5
  - **Period: 11/1/2020 – 11/30/2020 – Cost: $7,084**
  - **Period: 12/1/2020 – 12/31/2020 – Cost: $7,084**
- FAST Supplemental Staff – 7 Staff for Option Year 5
  - **Period: 11/1/2020 – 11/30/2020 – Cost: $236,250**
  - **Period: 12/1/2020 – 12/31/2020 – Cost: $236,250**
- FAST SMS Gateway Service (Multi-Factor Authentication)
  - *See FAST SMS Service Terms for more information and pricing*
  - **Period: 11/1/20 – 11/30/20 – Cost: Based on usage**
  - **Period: 12/1/20 – 12/31/20 – Cost: Based on usage**

DTMB will pay FAST upon receipt of properly completed invoice(s) which shall be submitted to the billing address on the State issued purchase order not more often than monthly. DTMB Accounts Payable area will coordinate obtaining Agency and DTMB Project Manager approvals. All invoices should reflect actual work completed by payment date and must be approved by the Agency and DTMB Project Manager prior to payment. The invoices shall describe and document to the State's satisfaction a description of the work

performed, the progress of the project, and fees. When expenses are invoiced, receipts will need to be provided along with a detailed breakdown of each type of expense.

Payment shall be considered timely if made by the DTMB within forty-five (45) days after receipt of properly completed invoices.

EXPENSES:

The State will NOT pay for any travel expenses, including hotel, mileage, meals, parking, etc.

PROJECT CONTACTS:

The designated Agency Project Manager is:

Akosua Baiden
Labor & Economic Opportunity, Unemployment Insurance Agency
Agency Services
Cadillac Place
3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202
313-456-3339

The designated DTMB Project Manager is:

John Walker
Department of Technology, Management and Budget
Agency Services
Cadillac Place
3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202
313-456-3814

LOCATION OF WHERE THE WORK IS TO BE PERFORMED:

Consultants will work at Cadillac Place in Detroit, Michigan.

EXPECTED CONTRACTOR WORK HOURS AND CONDITIONS:

Work hours are not to exceed eight (8) hours a day, forty (40) hours a week. Normal working hours of 8:00 am to 5:00 pm are to be observed unless otherwise agreed to in writing.

No overtime will be permitted.

This purchase order is a release from Contract MA #071B1300367. This purchase order, statement of work, and the terms and conditions of Contract MA #071B1300367 constitute the entire agreement between the State and the Contractor.

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **10**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	LEO
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY			
UNEMPLOYMENT TAX AND BENEFITS SYSTEM			
INITIAL EFFECTIVE DATE	**INITIAL EXPIRATION DATE**	**INITIAL AVAILABLE OPTIONS**	**EXPIRATION DATE BEFORE**
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2020
PAYMENT TERMS		**DELIVERY TIMEFRAME**	

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ PRC	☐ Other	☐ Yes	☒ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE				
OPTION	**LENGTH OF OPTION**	**EXTENSION**	**LENGTH OF EXTENSION**	**REVISED EXP. DATE**
☒	2 months	☐		October 28, 2020
CURRENT VALUE	**VALUE OF CHANGE NOTICE**	**ESTIMATED AGGREGATE CONTRACT VALUE**		
$51,806,820.00	$753,000.00	$52,559,820.00		

DESCRIPTION

Effective 8/28/2020, the State is exercising the two months of the fifth and final option year and is increased by $753,000.00 as detailed below and the attached Statement of Work for the period 8/29/2020 - 10/28/2020.

•Base Contract Option Year 5 Maintenance and Support - Level 3
Period: 8/29/20 – 9/28/20 – Cost: $191,667
Period: 9/29/20 – 10/28/20 – Cost: $191,667
•Base Contract Option Year 5 Maintenance and Support – 2 FTE
Period: 8/29/20 – 9/28/20 – Cost: $11,834
Period: 9/29/20 – 10/28/20 – Cost: $11,834
•EAST Centralized Tech Assistance (CTA)
Period: 8/29/20 – 9/28/20 – Cost: $33,334
Period: 9/29/20 – 10/28/20 – Cost: $33,334
•EAST Batch Monitoring Service for Option Year 5
Period: 10/1/2020 – 10/31/2020 – Cost: $7,084
•EAST Supplemental Staff – 7 Staff for Option Year

Period: 10/1/2020 – 10/31/2020 – Cost: $236,250
•EAST SMS Gateway Service (Multi-Factor Authentication) - 2 months - $36,00.00 estimated (billed based on actual usage)

The revised contract expiration date is 10/28/2020.

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/18/2020.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Akosua Baiden	313-456-3339	BaidenA@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

MICHIGAN DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
IT SERVICES
STATEMENT OF WORK

Project Title: **FAST – Maintenance & Support Option Year 5**	**Period of Coverage:** **8/29/2020-10/28/2020**
Requesting Department: **Labor & Economic Opportunity/Unemployment Insurance Agency**	**Date:** **8/12/2020**
Agency Project Manager: **Akosua Baiden**	**Phone:** **313-456-3339**
DTMB Project Manager: **John Walker**	**Phone:** **313-456-3814**

Brief Description of Services to be provided:

BACKGROUND:

The State of Michigan Department of Labor and Economic Opportunity (LEO), Unemployment Insurance Agency (UIA) executed a multi-year contract with FAST Enterprises, LLC to complete a comprehensive and complex rewrite of Michigan's current Unemployment Insurance Agency (UIA) systems. The base contract period is from 8/29/2011 until 8/28/2016 with 5 one-year options. Currently the contract is in the option year 4 period 8/29/2019 until 8/28/2020.

The LEO/UIA uses the Michigan Integrated Data Automated System (MiDAS) and Michigan Web Account Manager (MiWAM) systems to administer the state's unemployment tax and benefits programs. These systems were implemented using FAST Enterprises' commercial off the shelf (COTS) product named GenTAX. MiDAS is the Michigan's branded name of the GenTAX internal application and MiWAM is the branded name of the GenTAX eServices portal. MiWAM provides self-service options for employers, claimants, and other UI customers.

This Statement of Work consists of two months.

OBJECTIVE:

The purpose of this request is to add funding to MA# 071B1300367 for needed services for option year 5. This request is also to execute the renewal of Option Year 5 Maintenance and Support - Level 3 and Option Year 5 Maintenance and Support – 2 FTE (period 8/29/2020 thru 10/28/2020) of the base contract and other services noted below.

The additional funding of $717,004 is needed to support the following services:

- Base Contract Option Year 5 Maintenance and Support - Level 3
  - *Period: 8/28/20 – 8/29/21 – Cost: $2,300,000.00*
  - **Period: 8/29/20 – 9/28/20 – Cost: $191,667**
  - **Period: 9/29/20 – 10/28/20 – Cost: $191,667**

- Base Contract Option Year 5 Maintenance and Support – 2 FTE
  - *Period: 8/28/20 – 8/29/21 – Cost: $142,000.00*
  - **Period: 8/29/20 – 9/28/20 – Cost: $11,834**
  - **Period: 9/29/20 – 10/28/20 – Cost: $11,834**

- FAST Centralized Tech Assistance (CTA)

- *Period 10/1/20 - 9/30/21 – Cost: $400,000.00*
- **Period: 8/29/20 – 9/28/20 – Cost: $33,334**
- **Period: 9/29/20 – 10/28/20 – Cost: $33,334**

- FAST Batch Monitoring Service for Option Year 5
  - *Period: 10/1/20 – 9/30/21 – Cost: $85,000.00*
  - **Period: 10/1/2020 – 10/31/2020 – Cost: $7,084**

- FAST Supplemental Staff – 7 Staff for Option Year 5
  - *Period: 10/1/20 – 9/30/21 – Cost: $2,835,000.00*
  - **Period: 10/1/2020 – 10/31/2020 – Cost: $236,250**

FAST SMS Gateway Service is billed separately and additional information on costs is in the FAST SMS Service Terms document. (Based on peak usage during April-June of 2020 max anticipated amount of $18,000 per month).

- FAST SMS Gateway Service (Multi-Factor Authentication)
  - *See attached FAST SMS Service Terms for more information and pricing*
  - **Period: 9/1/20 – 9/30/20 – Cost: Based on usage**
  - **Period: 10/1/20 – 10/31/2020 – Cost: Based on usage**

SCOPE OF WORK:

This request is for the annual renewal of Maintenance and Support – Level 3 and Maintenance and Support – 2 FTE for the Option Year 5 of MA# 071B1300367 for the period of 8/29/2020 thru 10/28/2020 as well as the other services noted below:

- Base contract renewal of Option Year 5 Maintenance and Support - Level 3
- Base contract renewal of Option Year 5 Maintenance and Support – 2 FTE
- FAST Batch Monitor Service for Option Year 5
- FAST SMS Gateway Services Option Year 5
- FAST Supplemental 7 Staff for Option Year 5
- FAST Centralized Technical Assistance (CTA) Support Option Year 5

FAST supplemental services staff that will support the UIA and MIDAS/MiWAM system by designing, developing, and implementing solutions in the system for corrections, legislative updates, enhancements, and maintenance type requests. The below tasks are also included, and others may be included also:

Supplemental service staff will perform the following tasks as needed:

- Design, develop and implement solutions in MIDAS/MiWAM for corrections, legislative updates, enhancements, and maintenance type requests
- Assist in prioritization and management of solution requests
- Provide on-call production support
- Assist in coordination with the FAST Development Center to implement core changes
- Provide guidance to client development staff implementing enhancements, including best practice recommendations
- Implement legislative changes to existing programs
- Performance tuning and database maintenance, analysis, and review
- Other consulting services as requested by UIA

TASKS:

Support Services tasks include:

- On-site contractor personnel to support designing, developing, and implementing solutions in MIDAS for corrections, legislative updates, enhancements, and maintenance type requests.
- Seven full-time on-site FAST support resources who will assist in the following system enhancements tasks and other tasks:
    - Key in-flight projects and candidates that will be supported include:
        - UIA MIDAS/MiWAM Priority SQR's
        - UIA Projects
        - UIA MIDAS GenTAX Architecture Maintenance; FCR Maintenance and Service Packs
        - UIA MIDAS/MiWAM Version 12 Upgrade
        - UIA MIDAS/MiWAM System Production Support
    - Prioritization and management of solution requests
    - On-call production support
    - Coordination with the FAST Development Center
    - Configuration assistance
    - Application development
    - Best practices recommendations
    - Implementation of minor legislative/business changes to existing programs
    - Performance tuning
    - Database maintenance, analysis, and review
    - Other consulting and services requested by UIA

FAST SMS Gateway Services for SMS messaging will allow UIA and then MiDAS/MiWAM system to notify recipients via SMS instead of email-to-text options. Maintenance and support of the feature will also be tasked in support of UIA.

DELIVERABLES:

Deliverables will not be considered complete until the Agency Project Manager has formally accepted them. Deliverables for this project include:

ACCEPTANCE CRITERIA: Completion of ongoing maintenance and support requests and activities of the MiDAS/MiWAM system as requested and prioritized by UIA.

PROJECT CONTROL AND REPORTS:

All FAST staff must submit and enter weekly timesheets into the State of Michigan's Project Portfolio Management tool, Clarity PPM, for approval and reporting. The weekly Clarity PPM timesheet will contain hours worked for assigned project tasks.

A monthly progress report must be submitted to the Agency and DTMB Project Managers throughout the life of this project. Each monthly progress report must contain the following:

1. **Accomplishments**: Indicate what was worked on and what was completed during the current reporting period and significant activities for the upcoming month.

SPECIFIC DEPARTMENT STANDARDS:071

Agency standards, if any, in addition to DTMB standards.

PAYMENT SCHEDULE:

- Base Contract Option Year 5 Maintenance and Support - Level 3
    - **Period: 8/29/20 – 9/28/20 – Cost: $191,667**
    - **Period: 9/29/20 – 10/28/20 – Cost: $191,667**

- Base Contract Option Year 5 Maintenance and Support – 2 FTE
    - **Period: 8/29/20 – 9/28/20 – Cost: $11,834**
    - **Period: 9/29/20 – 10/28/20 – Cost: $11,834**

- FAST Centralized Tech Assistance (CTA)
    - **Period: 8/29/20 – 9/28/20 – Cost: $33,334**
    - **Period: 9/29/20 – 10/28/20 – Cost: $33,334**

- FAST Batch Monitoring Service for Option Year 5
    - **Period: 10/1/2020 – 10/31/2020 – Cost $7,084**

- FAST Supplemental Staff – 7 Staff for Option Year 5
    - **Period: 10/1/2020 – 10/31/2020 – Cost $236,250**

- FAST SMS Gateway Service (Multi-Factor Authentication)
    - *See FAST SMS Service Terms for more information and pricing*
    - **Period: 9/1/20 – 9/30/20 – Cost: Based on usage**
    - **Period: 10/1/20 – 10/31/2020 – Cost: Based on usage**

DTMB will pay FAST upon receipt of properly completed invoice(s) which shall be submitted to the billing address on the State issued purchase order not more often than monthly. DTMB Accounts Payable area will coordinate obtaining Agency and DTMB Project Manager approvals. All invoices should reflect actual work completed by payment date and must be approved by the Agency and DTMB Project Manager prior to payment. The invoices shall describe and document to the State's satisfaction a description of the work performed, the progress of the project, and fees. When expenses are invoiced, receipts will need to be provided along with a detailed breakdown of each type of expense.

Payment shall be considered timely if made by the DTMB within forty-five (45) days after receipt of properly completed invoices.

EXPENSES:

The State will NOT pay for any travel expenses, including hotel, mileage, meals, parking, etc.

PROJECT CONTACTS:

The designated Agency Project Manager is:

Akosua Baiden
Labor & Economic Opportunity, Unemployment Insurance Agency
Agency Services
Cadillac Place
3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202
313-456-3339

The designated DTMB Project Manager is:

John Walker
Department of Technology, Management and Budget
Agency Services

Cadillac Place
3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202
313-456-4926

LOCATION OF WHERE THE WORK IS TO BE PERFORMED:

Consultants will work at Cadillac Place in Detroit, Michigan.

EXPECTED CONTRACTOR WORK HOURS AND CONDITIONS:

Work hours are not to exceed eight (8) hours a day, forty (40) hours a week. Normal working hours of 8:00 am to 5:00 pm are to be observed unless otherwise agreed to in writing.

No overtime will be permitted.

This purchase order is a release from Contract MA #071B1300367. This purchase order, statement of work, and the terms and conditions of Contract MA #071B1300367 constitute the entire agreement between the State and the Contractor.

FAST SMS Terms of Use

Proprietary and Confidential

Version: 1.2

August 3, 2020

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Agreement

By installing, configuring, and/or using the FAST SMS Gateway Service (the "SMS Service"), _____ (the "Agency") agrees to be bound by these terms (the "Terms of Use") while the SMS Service is used in any environment controlled by the Agency. Fast Enterprises, LLC ("FAST") controls the SMS Service.

What is SMS?

Simple Message Service ("SMS") is the mobile phone protocol that almost all phones use to send text messages. Using an SMS gateway such as the SMS Service removes message delivery uncertainty ensuring that messages, sent to a valid number, have a very high delivery probability. The gateway provides message delivery confirmations for messages sent to recipients on carriers that support delivery notifications.

Third-party Service

FAST provides its SMS Service without additional on-site interface development. The Service depends on a third-party provider FCC registered carrier (the "SMS Provider") to provide third-party services to FAST by relaying messages to carriers and adjudicating adherence to Federal law. The Agency must coordinate with FAST to deploy the SMS Service and set up appropriate configurations with the SMS Provider.

Acceptable Use

The Agency agrees to adhere to the acceptable use policy by FAST's SMS Provider. To maintain functionality for all clients, FAST will temporarily suspend service to the Agency for any violation of this policy. Service will be restored as soon as the Agency takes satisfactory remedial steps to ensure that the prohibited activity will not continue. FAST will not be responsible for any violation of the acceptable use policy by the Agency or its Customers.

Services may not be used for illegal, improper, and/or inappropriate purposes.

- Illegal purposes include, but are not limited to:
  - using any Service to violate any law, rule, or regulation; or
  - engaging in threatening, abusive, harassing, defamatory, libelous, deceptive or fraudulent behavior.
- Improper and/or inappropriate uses include, but are not limited to:
  - posting multiple messages similar in content to Usenet or other newsgroups, listservs, forums, e-mail mailing lists or other similar groups or lists;
  - calling, messaging, storing, posting or transmitting harassing, threatening or abusive materials, e-mail or information;
  - posting or transmitting any information or software that contains a virus worm, cancelbot or other harmful component;
  - without permission from the owner of a system or network, doing any of the following: (a) accessing the system or network, (b) monitoring data or traffic,

(c) probing, scanning, and/or testing firewalls, (d) testing the vulnerability of a system or network or (e) breaching the security or authentication routines of a system or network;

- conducting or forwarding surveys, contests, pyramid schemes, charity requests or chain letters;
- relaying e-mail in an anonymous fashion or forging any TCP-IP packet header;
- mailbombing, flooding, overloading, attacking or otherwise interfering with a system or network;
- sending unsolicited calls, messaging, e-mailings (including, without limitation, commercial advertising and informational announcements) if such unsolicited activities could reasonably be expected to or do in fact provoke complaints;
- operating a server in connection with the Services in an “open relay” configuration (a configuration whereby a mail server processes email messages where neither the sender nor the recipient is a local user);
- falsifying User or other identifying information provided to FAST or its subcontractor or to other Users of the Services;
- use of any Services in violation or any trademark, copyright, or any other intellectual property protection law or provision, or AUP policy of any third party provider;
- use of any Services for the purposes of engaging in an activity in connection or conjunction with any pornographic and/or adult entertainment industry purpose, regardless of whether such activity is lawfully permitted;
- auto-dialing or predictive-dialing (sometimes referred to as “robo-dialing”);
- continuous or extensive chat line or conference call participation,
- use of free conference calling or similar services that FAST or its subcontractor deems to participate in traffic stimulation practices or schemes that result in excessive charges;
- use of an open telephone line as a monitoring, intercom or similar service;
- repetitive and/or continuous messaging or calling to the same destination or number if such activity could reasonably be expected to or in fact does provoke complaints;
- long duration calls (defined as calls to the same number in excess of four continuous or cumulative hours within a 24 hour period) and/or calls placed to specific numbers / destinations for the purpose of generating charges or fees for or with a third party;
- use of call Services which do not consist of uninterrupted live human voice dialog by and between natural human beings;
- restricting or inhibiting any other User or any other person from using and enjoying the Services and/or the Internet; or
- engaging in any of the foregoing activities by using the services of another provider or third party and channeling such activities through an account provided by under this Contract, or otherwise involving the Services or any account in any way with or without another provider or third party for the purpose of facilitating the foregoing activities.

Please direct questions regarding the acceptable use policy to FAST's on-site project manager and/or the FAST Development Center. The basic rules are:

- The receiver of the SMS has chosen to opt-in
- The receiver of the SMS has the option to opt-out
- The message is for a specific agency related activity

Acceptable use examples include two-Factor authentication, vehicle renewal reminder, notice of tax deadline Changes, and unemployment benefit approval notification.

It is critical that the Agency inform users with proper "Opt-in" language explaining what they are opting in to, how often they will receive messages, and a warning about fees. CTIA provides a best practices document that should be reviewed by anyone crafting messages and campaigns using the SMS service. Section 5 of this document contains best practices regarding SMS messaging. Please see examples of long and short opt-in messages for customer enrollment in SMS.

Sample Opt-in Language – Long

By entering your cell phone number and clicking "I consent" (or whatever describes the enrollment website mechanic) I understand that the [Agency Name] will send a text to the number provided to be used to authenticate my identity while signing into the [Agency Name] website. I understand that two factor authentication messages will only be sent during sign-in, and no customer service is being offered from the [Agency Name] via text.

Insert enrollment buttons here

If you have questions or problems with receiving your texts, please contact xxxx@xxx.com (or phone number) or reply HELP to any text message you receive. You may un-enroll from this service by replying with the word STOP to any text message you receive, or by unenrolling your account from your [Agency Name] website.

Standard message and data rates may apply. Please contact your cell phone provider for any questions regarding your rates.

Sample Opt-in Language – Short

[Agency Name] will send you a message each time you access your account. Standard message and data rates may apply; reply STOP to end messages at any time.

Prohibited Use

FAST is acting as the primary customer for the SMS Provider and is obligated to non-negotiable contract terms when implementing the SMS Service for our clients. It is extremely important that none of the prohibited actions below, or any other prohibited use, occur as such an action can result in the SMS Provider blocking all messages for FAST customers and even termination of our contract.

Summary of Prohibited Uses

- Use of third-party "URL shorteners" to send links

    - ex. Bit.ly, TinyURL
- Conducting or forwarding surveys (this may be supported by special request only)
- Repetitive or continuous messaging (excluding authentication codes)
- Activities which conflict with CAN SPAM Act of 2003
- Customers should only receive text if they opt-in
- Customers should always have an option to opt-out
- Using services to interact with law enforcement or emergency services
    - "Text us if you need police assistance" for DMV roadside vehicle emergencies
- Sending PII over text: use the guidelines for e-Services when displaying PII, if at all
- Activities conflicting with HIPPA policies regarding medical information
    - Unemployment Insurance – Health questions or health notifications via text
    - Tax – Disability, healthcare, or medical questions via text
    - DMV – CDL medical certificate or vision scores via text

Prohibited Use examples include sending out coupons for goods or services, forwarding Amber Alerts, messaging political information, or inviting customers to a charity event. To maintain functionality for all clients, FAST will temporarily suspend service to any agency found to be engaging in a prohibited use. FAST will restore service to the agency when the client takes satisfactory remedial steps to ensure that the prohibited use will not continue. Neither FAST nor its SMS Provider will be responsible for any Prohibited Use by our clients or their customers.

Technical requirements

The FAST SMS Gateway utilizes a REST API to send and receive SMS messages and to receive delivery notifications. Each environment utilizing the FAST SMS Gateway must allow outgoing traffic to https://messaging.bandwidth.com/api/v2 and must also provide an environment-specific callback URL. The callback URL must allow https traffic from the static IP addresses listed below. The FAST SMS Gateway requires TLS 1.2 for all traffic and self-signed certificates are not supported.

Static IP Address for Incoming Traffic
18.233.250.246
3.82.123.96
52.72.24.132

Toll-free phone numbers

Each agency, environment, and use-case will be provided a new toll-free number. This is used to ensure traffic for Two Factor codes have a dedicated line and each type of activity is isolated.

FAST will provide these toll-free numbers.

Cost

FAST incurs costs for each SMS message sent and received by the Service and is committed to offering competitive pricing to our clients. The pricing schedule below is based on number of SMS message

segments sent or received monthly. FAST invoices clients in production monthly based on usage with a $500.00 per month minimum charge. Note that International messages can be enabled or disabled.

Pre-Production

Before Agency implements the FAST SMS Gateway in a production environment, Agency may use 1,000 SMS messages per month across non-production environments at no charge. If Agency exceeds 1,000 messages per month, FAST may, at its sole option, bill extra messages at the rates defined in the Production SMS Pricing Schedule.

Anticipated date for use in a production environment: April 2020

Production

Once Agency implements SMS messaging in any production environment, the following pricing schedule applies to all environments (production and non-production).

Monthly Message Rates Counted as message segments sent or received	
Minimum Charge	$500.00 / Month
1 - 1,000,000	$0.007 / Message Segment
1,000,001 - 10,000,000	$0.006 / Message Segment
10,000,001 +	$0.005 / Message Segment
Canada	$0.015 / Message Segment
International	$0.100 / Message Segment
Carrier Fees, Taxes, and Surcharges	Passed through from cellular carriers

Invoicing

FAST bills clients on a message segment basis (incoming and outgoing) each month. There is a $500.00 minimum charge per month.

The SMS Service computes the number of segments contained in each message and provides this information to FAST. Several factors influence the number of segments including, but not limited to, message length, character types, special characters, etc. FAST's invoices will contain the number of segments consumed, the rate per segment, and the total due. FAST will charge applicable tax according to Agency jurisdictional taxation laws.

Change and Termination

FAST reserves the right to change these Terms of Use and/or terminate the SMS Service by providing the Agency thirty (30) days notice in writing.

Agency may opt out of these Terms of Use by discontinuing its use of the SMS Service and informing FAST. Upon opting out, FAST will deliver a final invoice on its normal billing cycle.

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **9**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	7229 South Alton Way
	Centennial, CO 80112
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Various	LEO
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY			
UNEMPLOYMENT TAX AND BENEFITS SYSTEM			
INITIAL EFFECTIVE DATE	**INITIAL EXPIRATION DATE**	**INITIAL AVAILABLE OPTIONS**	**EXPIRATION DATE BEFORE**
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2020
PAYMENT TERMS		**DELIVERY TIMEFRAME**	
Net 45			
ALTERNATE PAYMENT OPTIONS			**EXTENDED PURCHASING**
☐ P-Card	☐ PRC ☐ Other		☐ Yes ☒ No
MINIMUM DELIVERY REQUIREMENTS			

DESCRIPTION OF CHANGE NOTICE				
OPTION	**LENGTH OF OPTION**	**EXTENSION**	**LENGTH OF EXTENSION**	**REVISED EXP. DATE**
☐		☐		August 28, 2020
CURRENT VALUE	**VALUE OF CHANGE NOTICE**	**ESTIMATED AGGREGATE CONTRACT VALUE**		
$51,806,820.00	$0.00	$51,806,820.00		

DESCRIPTION

Effective 4/8/2020, the following amendment is incorporated into this Contract per attached SOW for SMS messaging . This allows the state to notify UI recipients via SMS instead of email-to-text options. This service will be free during the COVID-19 Pandemic. LEO/DTMB have the option to continue the use of this service (for a fee to be determined) or remove this service at no cost.

The parties agree that the State will abide by the acceptable use policy referred to in the attached but the State will have no further obligations and is not bound by legal obligations of Contractor's subcontractor's terms as the services are being provided by Contractor and that State is not a party to such agreement even by use of the Service and that Contractor shall be deemed the User as it relates to Bandwidth and the services provided. As to the parties, the State agrees to use the service in a manner that will not put Contractor in breach of its relationship with its subcontractor service provider Bandwidth

All other terms, conditions, specifications and pricing remain the same. Per contractor and agency agreement, and DTMB Central Procurement Services approval.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
LEO	Michelle Pryor	313-456-3190	pryorm@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov
DTMB	Debra Patterson	313-456-4926	PattersonD6@Michigan.gov

FAST SMS Onboarding

Proprietary and Confidential

Version: 0.3

April 2, 2020

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What is SMS?

SMS is the mobile phone protocol that almost all phones use to text. Many agencies have asked for texting capabilities, which FAST has previously provided using e-mail to text features. While email-to-text features are free, they can be unreliable because customers change phone providers over time and at high volumes. Using an SMS gateway removes much of the uncertainty of message delivery ensuring that messages, sent to a valid number, have a very high probability of delivery to the user's device. This also eliminates the requirement to gather, retain, and update the mobile carrier information of customers who opt-in for messaging. Instead, customers only need to provide their mobile number during the opt-in process. The agency will also be provided with delivery confirmations.

Why is FAST rolling this out so quickly?

FAST has been planning to implement a dedicated, feature-rich, and reliable SMS solution for some time. Due to recent events, many government agencies are scrambling to serve their customers online in new ways. This has also caused a surge in demand for some government services, such as Unemployment Benefits, where agencies are suddenly being inundated with record volumes of requests. In response FAST immediately prioritized the dedicated SMS solution and is prepared to roll it out as an update to any customer running V10 or later.

FAST is offering this new feature in order to support our clients in this time of extraordinary need.

What features are available in the update?

The initial offering of SMS features will be solely for 2-Factor Authentication. Once we are comfortable with the vendor capabilities, FAST will make available additional features such as reminders, message campaigns, and other services. Additional services will each require the use of a standardized opt-in process. Agencies interested in using the SMS gateway should discuss onboarding with their PM, who will work directly with the Dev Center.

What versions will support the new SMS service?

Version 10 and all later versions will support the dedicated SMS solution.

Up-to-date architecture and a minimal number of dependencies may be required to implement, the team on-site can assist with determining what is required to implement the solution.

Is this a third-party service?

Yes and no. The dedicated SMS solution can be integrated with most standard SMS gateways, but this requires on-site gateway interface development. To ease implementation factors FAST will provide a standard SMS gateway service as part the SMS solution to implement this without additional on-site interface development. This standard SMS service is powered by Bandwidth, an FCC registered carrier, that offers many services including 911 services as part of their portfolio. At this time the only consideration with the third party is to ensure network traffic is permitted.

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Acceptable Use

FAST and agency clients using the standard FAST SMS gateway service must adhere to the acceptable use policy provided by Bandwidth. Your PM and the Dev Center can provide guidance regarding appropriate usage, but the basic rules are:

- The receiver of the SMS has chosen to opt-in
- The receiver of the SMS has the option to opt-out
- The message is for a specific agency related activity

Acceptable use examples include 2-Factor Authentication, Vehicle Renewal Reminder, Notice of Tax Deadline Changes, Unemployment Benefit Approval Notification.

It is critical that users be informed with proper "Opt-in" language explaining what they are opting in to, how often they will receive messages, and a warning about fees. CTIA provides a best practices document that should be reviewed by anyone crafting messages and campaigns using the SMS service. Section 5 of this document contains A2P best practices regarding SMS messaging. Below are examples of long and short opt-in messages that can be used for customer enrollment in SMS.

Sample Opt-in Language – Long

By entering your cell phone number and clicking "I consent" (or whatever describes the enrollment website mechanic) I understand that the [Agency Name] will send a text to the number provided to be used to authenticate my identity while signing into the [Agency Name] website. I understand that two factor authentication messages will only be sent during sign-in, and no customer service is being offered from the [Agency Name] via text.

Insert enrollment buttons here

If you have any questions or problems with receiving your texts, please contact xxxx@xxx.com (or phone number) or reply HELP to any text message you receive. You may un-enroll from this service by replying with the word STOP to any text message you receive, or by unenrolling your account from your [Agency Name] website.

Standard message and data rates may apply. Please contact your cell phone provider for any questions regarding your rates.

Sample Opt-in Language – Short

[Agency Name] will send you a message each time you access your account. Standard message and data rates may apply; reply STOP to end messages at any time.

Prohibited Use

FAST is acting as the primary customer for the third-party vendor and is obligated to contract terms that are non-negotiable in our site implementations of this service. It is extremely important that none of the prohibited actions listed below occur, as it could result in our messages being blocked for all sites, and even termination of our contract.

Summary of Prohibited Uses

- Use of third-party "URL shorteners" to send links
- ex. Bit.ly, TinyURL
- Conducting or forwarding surveys (this may be supported by special request only)
- Repetitive or continuous messaging (excluding authentication codes)
- Activities which conflict with CAN SPAM Act of 2003
- Customers should only receive text if the opt-in
- Customers should always have an option to opt-out
- Using services to interact with law enforcement or emergency services
- "Text us if you need police assistance" for DMV roadside vehicle emergencies
- Sending PII over text, use the same guidelines we have for e-Services displaying information
- Activities which conflict with HIPPA policies regarding medical information
- UI – Health questions or health notifications via text
- Tax – Disability, healthcare, or medical questions via text
- DMV – CDL med cert or vision scores via text

Prohibited Use examples include sending out coupons to Turbo-Tax, forwarding Amber Alerts, messaging political information, or inviting customers to a charity event. To maintain functionality for all clients, FAST will temporarily suspend service to any client for to be engaging in a Prohibited Use. Service to that client will be restored as soon as the client takes satisfactory remedial steps to ensure that the Prohibited Use will not continue. Neither FAST nor Bandwidth will be responsible for any Prohibited Use by our clients or their customers.

The full vendor acceptable use policy can be found here:
https://www.bandwidth.com/legal/acceptable-use-policy/

How to on-board your agency

Contact your Project Manager to begin the on-boarding process. The first sites eligible for rollouts of this service are sites that currently use two-step authentication or two factor codes.

The Dev center is creating additional materials to discuss details of the SMS features. Reach out to your Project Manager for the latest information as things are developing in real-time.

Please be patient as we work through this new service. We want to make the best of our opportunities with sites that are identified as good early candidates.

Firewall information

The SMS system can provide feedback on when messages are undeliverable. Receiving these calls is built into the solution, but a local port must be opened to receive these messages. Traffic should be allowed from the following IP addresses and ports:

Outgoing Traffic

https://messaging.bandwidth.com/api/v2

Incoming Traffic

18.233.250.246:443

3.82.123.96:443

52.72.24.132:443

Toll-free phone numbers

Each agency, environment and use-case will be provided a new toll-free number. This is used to ensure traffic for Two Factor codes have a dedicated line and each type of activity is isolated.

FAST will provide these toll-free numbers for use by your agency.

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STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **8**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	6400 S. Fiddler's Green Circle, Suite 1500
	Greenwood Village, CO 80111
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	MULTI	MULTI
		MULTI	
		MULTI	
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT TAX AND BENEFITS SYSTEM

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2019

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS	EXTENDED PURCHASING
☐ P-Card ☐ PRC ☐ Other	☐ Yes ☐ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☒	1 year	☐		August 28, 2020

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$47,526,150.00	$4,280,670.00	$51,806,820.00

DESCRIPTION

Effective 8/27/2019, this Contract is exercising the fourth option year and is increased by $5,848,000.00 with $4,280,670.00 of new funds and $1,567,330.00 of previously authorized funds. These changes per the attached SOW, include the Level 3 Maintenance and Support for Option Year 4, 2 FTE for Maintenance and Support, Batch monitoring Service, and 7 FTE additional Supplemental Staff. The revised contract expiration date is 8/28/2020.

Please note the Program Manager for UIA has been changed to Michelle Pryor.
Please note the Program Manager for DTMB has been changed to John Walker.

All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Central Procurement Services approval, and State Administrative Board approval on 8/27/2019.

Program Managers
for
Multi-Agency and Statewide Contracts

AGENCY	NAME	PHONE	EMAIL
TED	Michelle Pryor	313-456-3190	pryorm@michigan.gov
DTMB	John Walker	313-456-3814	walkerj5@michigan.gov

MICHIGAN DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
IT SERVICES
STATEMENT OF WORK

Project Title: **FAST – Maintenance & Support**	**Period of Coverage:** **8/29/2019-8/28/2020**
Requesting Department: **Talent Investment Agency/Unemployment Insurance**	**Date:** **7/2/2019**
Agency Project Manager: **Michelle Pryor**	**Phone:** **313-456-3190**
DTMB Project Manager: **John Walker**	**Phone:** **313-456-3814**

Brief Description of Services to be provided:

BACKGROUND:

The State of Michigan Department of Talent and Economic Development (TED), Talent Investment Agency (TIA), Unemployment Insurance (UI) executed a multi-year contract with FAST Enterprises, LLC to complete a comprehensive and complex rewrite of Michigan's current Unemployment Insurance (UI) systems. The base contract period is from 8/29/2011 until 8/28/2016 with 5 one-year options. Currently the contract is in the option year 3 period 8/29/2018 until 8/28/2019.

The TIA, UI uses the Michigan Integrated Data Automated System (MiDAS) and Michigan Web Account Manager (MiWAM) systems to administer the state's unemployment tax and benefits programs. These systems were implemented using FAST Enterprises' commercial off the shelf (COTS) product named GenTAX. MiDAS is the Michigan's branded name of the GenTAX internal application and MiWAM is the branded name of the GenTAX eServices portal. MiWAM provides self-service options for employers, claimants, and other UI customers.

OBJECTIVE:

This request is to execute the Option Year 4 for period 8/29/2019 thru 08/28/2020. The additional funding of $4,280,670.00 is to support the following services as needed:

- Base contract renewal of Option Year 4 Maintenance and Support - Level 3
- Base contract renewal of Option Year 4 Maintenance and Support – 2 FTE
- FAST Batch Monitor Service for Option Year 4
- FAST Supplemental Staff for Option Year 4

SCOPE OF WORK:

This request is for the annual renewal of Maintenance and Support – Level 3 and Maintenance and Support – 2 FTE for the Option Year 4 of MA# 071B1300367 for the period of 8/29/2019 thru 8/28/2020. The Batch Monitoring Service for Option Year 4. Ongoing development and support of UIA systems by FAST Supplemental Staff for Option Year 4 including knowledge transfer to SOM staff.

TASKS:

FAST technical support is required to assist with the following tasks:

1. Ongoing development and technical support of all MiDAS and MiWAM functional areas as requested and prioritized by UI.
2. Implementation of GenTAX Architecture Maintenance; FCR Maintenance and Service Pack updates to the MiDAS system as requested and prioritized by UI.
3. Ongoing system knowledge transfer to DTMB staff.

DELIVERABLES:

Deliverables will not be considered complete until the Agency Project Manager has formally accepted them. Deliverables for this project include: ongoing maintenance and support requests and activities of the MiDAS system as requested and prioritized by UI.

ACCEPTANCE CRITERIA: Completion of ongoing maintenance and support requests and activities of the MiDAS system as requested and prioritized by UI.

PROJECT CONTROL AND REPORTS:

A bi-weekly progress report must be submitted to the Agency and DTMB Project Managers throughout the life of this project. This report may be submitted with the billing invoice. Each bi-weekly progress report must contain the following:

1. **Hours**: Indicate the number of hours expended during the past two weeks, and the cumulative total to date for the project. Also, state whether the remaining hours are sufficient to complete the project.

2. **Accomplishments**: Indicate what was worked on and what was completed during the current reporting period.

3. **Funds**: Indicate the amount of funds expended during the current reporting period, and the cumulative total to date for the project.

All FAST staff must submit and enter weekly timesheets into the State of Michigan's Project Portfolio Management tool, Clarity PPM, for approval and reporting. The weekly Clarity PPM timesheet will contain hours worked for assigned project tasks.

SPECIFIC DEPARTMENT STANDARDS:

Agency standards, if any, in addition to DTMB standards.

PAYMENT SCHEDULE:

Renewal of Option Year 4 - Maintenance and Support - Level 3 - $2,300,000.00
Renewal of Option Year 4 - Maintenance and Support – 2 FTE - $770,000.00

DTMB will pay FAST upon receipt of properly completed invoice(s) which shall be submitted to the billing address on the State issued purchase order not more often than monthly. DTMB Accounts Payable area will coordinate obtaining Agency and DTMB Project Manager approvals. All invoices should reflect actual work completed by payment date and must be approved by the Agency and DTMB Project Manager prior to payment. The invoices shall describe and document to the State's satisfaction a description of the work performed, the progress of the project, and fees. When

expenses are invoiced, receipts will need to be provided along with a detailed breakdown of each type of expense.

Payment shall be considered timely if made by the DTMB within forty-five (45) days after receipt of properly completed invoices.

EXPENSES:

The State will NOT pay for any travel expenses, including hotel, mileage, meals, parking, etc.

PROJECT CONTACTS:

The designated Agency Project Manager is:

Michelle Pryor
Talent Investment Agency, Unemployment Insurance
Agency Services
Cadillac Place
3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202
(313) 456-3190

The designated DTMB Project Manager is:

John Walker
Department of Technology, Management and Budget
Agency Services
Cadillac Place
3024 West Grand Blvd. -Suite L-500
Detroit, MI 48202
(313) 456-4926

LOCATION OF WHERE THE WORK IS TO BE PERFORMED:

Consultants will work at Cadillac Place in Detroit, Michigan.

EXPECTED CONTRACTOR WORK HOURS AND CONDITIONS:

Work hours are not to exceed eight (8) hours a day, forty (40) hours a week. Normal working hours of 8:00 am to 5:00 pm are to be observed unless otherwise agreed to in writing.

No overtime will be permitted.

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES
Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **7**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	6400 S. Fiddler's Green Circle, Suite 1500
	Greenwood Village, CO 80111
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Debra Patterson	TED
		313-456-4926	
		PattersonD6@Michigan.gov	
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT INSURANCE AGENCY - INTEGRATED SYSTEM PROJECT (UIA-IS) DESIGN, CONFIGURATION & IMPLEMENTATION (DDI)

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2019

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ Direct Voucher (DV)	☐ Other	☐ Yes	☐ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☐		August 28, 2019

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$47,526,150.00	$0.00	$47,526,150.00

DESCRIPTION

Effective 09/26/2018, the following amendments are incorporated into this Contract per attached SOW's. The batch monitoring for $83,000 and the addition of 7 FTE consultants at $385,000 each for a total of $2,695,000 to provide additonal support work. The total of this change notice is $2,778,000 in previously authorized funds.

All other terms, conditions, specifications and pricing remain the same. Per contractor and agency agreement, and DTMB Procurement approval.

MICHIGAN DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
IT SERVICES
STATEMENT OF WORK

Project Title: **FAST – MIDAS Batch Operations FY19**	**Period of Coverage:** **10/01/2018-9/30/2019**
Requesting Department: **Talent Investment Agency/Unemployment Insurance**	**Date:** **9/11/2018**
Agency Project Sponsor: **Michelle Pryor**	**Phone:** **313-456-3190**
DTMB Project Sponsor: **John Walker**	**Phone:** **313-456-3814**

Brief Description of Services to be provided:

BACKGROUND:

The Department of Talent and Economic Development (TED), Talent Investment Agency (TIA), Unemployment Insurance (UI), is responsible for disbursing Unemployment Insurance benefits to those workers who are eligible and collecting taxes from employers as defined in the Michigan Employment Security Act.

Currently, UI's Information Technology (IT) systems used to administer Unemployment Insurance benefits, taxes and trust fund accounting are configured around a central system based upon FAST LLC's Gentax software. The Department of Technology, Management and Budget (DTMB) staff supports these UI IT systems including the Batch Operations functions of the UI's Michigan Integrated Automated Data System (MIDAS). UI and DTMB are seeking to augment services through FAST LLC to assist with the Batch Operations functions.

PROJECT OBJECTIVE:

The objective of this request is to perform a contract release from MA #071B1300367 for Supplemental Services to assist with the execution and monitoring of the UI's MIDAS batch runs and job streams by FAST LLC operations staff center in Denver, CO.

SCOPE OF WORK:

Supplemental Services to assist with the execution and monitoring of the UI's MIDAS batch runs and job streams by FAST LLC operations staff center in Denver, CO. Work tasks performed under this service offering are to include the execution and monitoring of the full MIDAS Job Stream from start to finish. The normal scheduled Job Stream execution begins daily at 7:00 p.m.
Tasks are identified below.

TASKS:

Supplemental Services for the assistance with the execution and monitoring of the UI's MIDAS batch operations will include the following tasks. Additional task may be added as appropriate:

- Managing Batch Processes
- Searching for Job Streams
- Creating a Job Stream
- Running a Job Stream
- Monitoring the Job Stream
- Pausing or Stopping a Job Stream

- Canceling a Job Stream
- Changing the Scheduled Date of the Job Stream
- Changing Processes Selected to Run
- Obtaining Details of Failed Processes
- Determining the Number of Queued Events
- Analysis and Notification of Failed Processes
- Batch Operations Reporting
- Notification and Escalation of Critical Issues

DELIVERABLES:

Deliverables will not be considered complete until the Agency Project Manager has formally accepted them.

Deliverables for this project include: Acceptance of Monthly Service Level Agreement (SLA) metrics that meet or exceed targets that have been identified.

ACCEPTANCE CRITERIA: Completion of the daily execution and monitoring of the UI's MIDAS Batch Operations functions based upon agreed SLA metrics.

PROJECT CONTROL AND REPORTS:

Status reports must be submitted to the Agency and DTMB Project Managers throughout the life of this batch monitoring engagement period. These status reports must contain the following:

1. Daily Reports:
   a. Job Stream Start and End time notifications and status.
   b. Interventions and Failed Jobs for each job stream run date.

2. Monthly Reports:
   a. SLA Metrics report.
   b. Escalated and Critical Issues report.

PAYMENT SCHEDULE:

This statement of work request is for a release from Contract MA #071B1300367. The resulting purchase order, statement of work, and the terms and conditions of Contract MA #071B1300367 constitute the entire agreement between the State and the Contractor.

Payment will be made based on the fixed price of the quoted services of $83,000.00 for the period of October 1, 2018 through September 30, 2019. DTMB will pay CONTRACTOR upon receipt of properly completed invoices which shall be submitted to the billing address on the State issued purchase order not more often than monthly. DTMB Contracts area will coordinate obtaining Agency Project Manager and DTMB Project Manager approvals. All invoices should reflect actual work completed by payment date and must be approved by the Agency and DTMB Project Manager prior to payment. The invoices shall describe and document to the State's satisfaction a description of the work performed, the progress of the project, and fees. When expenses are invoiced, receipts will need to be provided along with a detailed breakdown of each type of expense.

Payment shall be considered timely if made by the DTMB within forty-five (45) days after receipt of properly completed invoices.

EXPENSES:

The State will NOT pay for any travel expenses, including hotel, mileage, meals, parking, etc.

PROJECT CONTACTS:

The designated Agency Project Manager is:

Michelle Pryor
Talent Investment Agency, Unemployment Insurance
Agency Services
Cadillac Place
3024 West Grand Blvd.
Suite L-500
Detroit, MI 48202
(313) 456-3190

The designated DTMB Project Manager is:

John Walker
Department of Technology, Management and Budget
Agency Services
Cadillac Place
3024 West Grand Blvd.
Suite L-500
Detroit, MI 48202
(313) 456-3814

LOCATION OF WHERE THE WORK IS TO BE PERFORMED:

Consultants will work remotely at FAST LLC's Data Center in Denver, CO.

EXPECTED CONTRACTOR WORK HOURS AND CONDITIONS:

Work tasks performed under this service offering are to include the execution and monitoring of the full MIDAS Job Stream from start to finish. The normal scheduled Job Stream execution begins daily at 7:00 p.m.

This purchase order is a release from Contract MA #071B1300367. This purchase order, statement of work, and the terms and conditions of Contract MA #071B1300367 constitute the entire agreement between the State and the Contractor.

Batch Monitoring Quote for FY 2019

Project Title	FAST – MiDAS Batch Operations FY 2019
In Response To	Michigan DTMB Statement of Work / Request for Quote for Batch Monitoring Services for FY 2019
Agency Project Manager	
DTMT Project Manager	
FAST Project Manager	Katina Radi, Telephone: 313-456-1907

Background

The Department of Talent and Economic Development (TED), Talent Investment Agency (TIA), Unemployment Insurance Agency (UIA), is responsible for disbursing Unemployment Insurance benefits to those workers who are eligible, and collecting taxes from employers as defined in the Michigan Employment Security Act.

Currently, UIA's Information Technology (IT) systems used to administer Unemployment Insurance benefits, taxes and trust fund accounting are configured around a central system based upon FAST LLC's Gentax software. The Department of Technology, Management and Budget (DTMB) staff supports these UIA IT systems including the Batch Operations functions on the UIA Michigan Automated Data system (MiDAS). UIA and DTMB are seeking to augment resources through FAST LLC to assist with the Batch Operations functions.

A contract release from BPO #071B1300367 for Supplemental Services is being requested to assist with the execution and monitoring of the UIA's MiDAS batch runs and job streams by FAST LLC operations staff center in Denver, CO.

Quote

FAST Enterprises is providing a quote for $83,000 for Batch Monitoring Services for the period beginning October 1, 2018 and ending September 30, 2019.

MICHIGAN DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
IT SERVICES
STATEMENT OF WORK

Project Title: **FY19 FAST Supplemental Services – Staff**	**Period of Coverage:** **10/01/2018 – 9/30/2019**
Requesting Department: **Talent Investment Agency/Unemployment Insurance**	**Date:** **9/11/2018**
DTMB Project Sponsor: **John Walker**	**Phone:** **313-456-3814**
Agency Project Sponsor: **Michelle Pryor**	**Phone:** **313-456-3190**

Brief Description of Services to be provided:

BACKGROUND:

The State of Michigan Department of Talent & Economic Development/Talent Investment Agency (TED/TIA), Unemployment Insurance (UI) has completed a multi-year System Integration Project that resulted in a comprehensive rewrite of Unemployment Insurance (UI) systems. The UI Michigan Integrated Data Automated System (MIDAS) is now in production and the system is in the production maintenance and support phase.

PROJECT OBJECTIVE:

The objective of this request is to perform a contract release from Contract MA #071B1300367 for Supplemental Services. The objective is to procure FAST supplemental services staff support for FY19.

SCOPE OF WORK:

The scope of work for this project will provide 7 FAST supplemental services staff that will support the UI Agency and MIDAS system by designing, developing and implementing solutions in the system for corrections, legislative updates, enhancements and maintenance type requests. The below tasks are also included and others may be included also:

Supplemental service staff will perform the following tasks as needed:

- Design, develop and implement solutions in MIDAS for corrections, legislative updates, enhancements and maintenance type requests
- Assist in prioritization and management of solution requests
- Provide on-call production support
- Assist in coordination with the FAST Development Center to implement core changes
- Provide guidance to client development staff implementing enhancements, including best practice recommendations
- Implement legislative changes to existing programs
- Performance tuning and database maintenance, analysis and review
- Other consulting services as requested by UI

TASKS:

Support Services include:

- On-site contractor personnel to support designing, developing and implementing solutions in MIDAS for corrections, legislative updates, enhancements and maintenance type requests.

- Seven full-time on-site FAST support resources who will assist in the following system enhancements tasks and other tasks.
    - Some key in-flight projects and candidates that will be supported include:
        - Data Validation
        - UI MIDAS Agency Priority SQR's
        - UI Projects
        - UI MIDAS Service Pack
        - UI MIDAS Visit Manager & Chat
        - UI MIDAS System Production Support
    - Prioritization and management of solution requests
    - On-call production support
    - Coordinating with the FAST Development Center
    - Configuration assistance
    - Application development
    - Best practices recommendations
    - Implementation of minor legislative/business changes to existing programs
    - Performance tuning
    - Database maintenance, analysis and review
    - Supplemental user, developer and operator training
    - Other consulting and services requested by UI

DELIVERABLES:

Deliverables will not be considered complete until both the Agency and DTMB Project Managers have formally accepted them. Deliverables for this project include:

- Completion of above tasks and activities for corrections, legislative updates, enhancements and maintenance type requests in MIDAS.

ACCEPTANCE CRITERIA: Deliverables will not be considered complete until the Agency and DTMB Project Managers have formally accepted them.

PROJECT CONTROL AND REPORTS:

A weekly meeting with the Agency and DTMB Project Managers throughout the life of this SOW engagement period. Reporting on regular intervals for status, metrics, risks, and accomplishments of agency tasks.

SPECIFIC DEPARTMENT STANDARDS:

Agency standards, if any, in addition to DTMB standards.

PAYMENT SCHEDULE:

This statement of work request is for a release from Contract MA #071B1300367. The resulting purchase order, statement of work, and the terms and conditions of Contract MA #071B1300367 constitute the entire agreement between the State and the Contractor.

Payment will be made based on 7 FAST Staff - $385,000.00 per staff = $2,695,000.00 – Duration period from October 1, 2018 through September 30, 2019. DTMB will pay CONTRACTOR upon receipt of properly completed invoices which shall be submitted to the billing address on the State issued purchase order not more often than monthly. DTMB Contracts area will coordinate obtaining Agency Project Manager and DTMB Project Manager approvals. All invoices should reflect actual work completed by payment date and must be approved by the Agency Project Manager and DTMB Project Manager prior to payment. The invoices shall describe and document to the State's satisfaction a description of the work performed, the progress of the project, and fees. When expenses are invoiced, receipts will need to be provided along with a detailed breakdown of each type of expense.

Payment shall be considered timely if made by the DTMB within forty-five (45) days after receipt of properly completed invoices.

EXPENSES:

The State will NOT pay for any travel expenses, including hotel, mileage, meals, parking, etc.

PROJECT CONTACTS:

The designated Agency Project Manager is:

Michelle Pryor
Talent Investment Agency, Unemployment Insurance
Agency Services
Cadillac Place
3024 West Grand Blvd.
Suite L-500
Detroit, MI 48202
(313) 456-3190

The designated DTMB Project Manager is:

John Walker
Department of Technology, Management and Budget
Agency Services
Cadillac Place
3024 West Grand Blvd.
Suite L-500
Detroit, MI 48202
(313) 456-3814

AGENCY RESPONSIBILITIES:

LOCATION OF WHERE THE WORK IS TO BE PERFORMED:

Consultants will work at Cadillac Place in Detroit, Michigan.

EXPECTED CONTRACTOR WORK HOURS AND CONDITIONS:

Work hours are not to exceed eight (8) hours a day, forty (40) hours a week. Normal working hours of 8:00 am to 5:00 pm are to be observed unless otherwise agreed to in writing.

No overtime will be permitted.

This purchase order is a release from Contract MA #071B1300367. This purchase order, statement of work, and the terms and conditions of Contract MA #071B1300367 constitute the entire agreement between the State and the Contractor.

STATE OF MICHIGAN
CENTRAL PROCUREMENT SERVICES

Department of Technology, Management, and Budget
525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **6**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	6400 S. Fiddler's Green Circle, Suite 1500
	Greenwood Village, CO 80111
	James Harrison
	208-890-6598
	jgh@gentax.com
	CV0002127

STATE			
	Program Manager	Debra Patterson	TED
		313-456-4926	
		PattersonD6@Michigan.gov	
	Contract Administrator	Christopher Martin	DTMB
		(517) 643-2833	
		martinc20@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT INSURANCE AGENCY - INTEGRATED SYSTEM PROJECT (UIA-IS) DESIGN, CONFIGURATION & IMPLEMENTATION (DDI)

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2018

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ Direct Voucher (DV)	☐ Other	☐ Yes	☐ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☒	1 year	☐		August 28, 2019

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$47,526,150.00	$0.00	$47,526,150.00

DESCRIPTION

Effective 9/6/2018, the State is exercising the third option year using $2,930,000.00 of previously authorized funds per contract. This includes $2,200,000.00 for maintenance and support, and an additional $730,000.00 for 2 FTE resources. The revised contract expiration date is 8/28/2019.

Please note the Contract Administrator has been changed to Christopher Martin.

All other terms, conditions, specifications and pricing remain the same. Per contractor and agency agreement, and DTMB Procurement approval.

STATE OF MICHIGAN
ENTERPRISE PROCUREMENT

Department of Technology, Management, and Budget

525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **4**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	6400 S. Fiddler's Green Circle, Suite 1500
	Greenwood Village, CO 80111
	James Harrison
	208-890-6598
	jharrison@gentax.com

STATE			
	Program Manager	Debra Patterson	DTMB-IT
		313-456-4926	
		PattersonD6@Michigan.gov	
	Contract Administrator	Sean Regan	DTMB
		(517) 243-8459	
		regans@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT INSURANCE AGENCY - INTEGRATED SYSTEM PROJECT (UIA-IS) DESIGN, CONFIGURATION & IMPLEMENTATION (DDI)

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE CHANGE(S) NOTED BELOW
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2018

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ Direct Voucher (DV)	☐ Other	☐ Yes	☐ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☐		August 28, 2018

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$47,026,150.00	$500,000.00	$47,526,150.00

DESCRIPTION

Effective 4/13/2018, this Contract is increased by $500,000.00. Per the attached Statement of Work. All other terms, conditions, specifications, and pricing remain the same. Per contractor and agency agreement, DTMB Procurement approval and State Administrative Board approval on 9/25/2017.

MICHIGAN DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
IT SERVICES
STATEMENT OF WORK

Project Title: **MiWAM / MWCI Integration**	**Period of Coverage:** **10/1/2017 – 9/30/2018**
Requesting Department: **Unemployment Insurance Agency**	**Date:** **08/01/2017**
Agency Project Manager: **Michelle Pryor**	**Phone:** **313-456-3190**
DTMB Project Manager: **John Walker**	**Phone:** **313-456-3814**

This Statement of Work is subject to the Terms of Contract 071B1300367.

BACKGROUND:

The State of Michigan Talent Investment Agency (TIA) Unemployment Insurance Agency (UIA) uses the Michigan Integrated Data Automated System (MiDAS) and Michigan Web Account Manager (MiWAM) systems to administer the state's unemployment tax and benefits programs. MiDAS was implemented using FAST Enterprises' commercial off the shelf (COTS) product named FastUI. MiWAM is Michigan's branded name of the FastUI eServices portal. MiWAM provides self-service options for employers, claimants, and other UIA customers.

UIA has issued a change notice requesting a significant update to the current MiDAS and MiWAM implementation: The Agency has requested that the existing login and security functionality that is included in the FastUI COTS product and currently being used in production be replaced with new site-specific functionality that integrates with the State's enterprise single sign-on solution named MILogin. This change is only for claimants, not for employers or other UIA customers.

UIA has engaged FAST Enterprises to implement this change.

PROJECT OBJECTIVE:

This project will implement a major change to the existing MiDAS and MiWAM implementations of the FastUI COTS product: Single Sign On interfacing with MILogin. This change will be made within the existing MiWAM system.

SCOPE OF WORK:

The following outline the scope of work for the initiative and indicate the required deliverables for acceptance.

- In Scope
    - The MiWAM login functionality for Claimants will be replaced with MILogin functionality. Claimant user credentials (logon and password) will no longer be stored in MiWAM, but rather in MILogin. Thus, password resets will also be performed in MILogin.

    - Existing MiWAM users will be migrated to MILogin on the fly rather than through a conversion process. Thus, existing MiWAM users will have to create a MILogin profile, then link their existing MiWAM profile to their MILogin profile by providing their MiWAM credentials one time (the first time they log in).
    - SAML (Security Assertion Markup Language) based authentication between MiWAM and MILogin applications will be set up to ensure the secure exchange of data.
    - Two-channel authentication will be used, where the second channel is administered in MiWAM. Upon signing in to MILogin, a claimant will be able to navigate to MiWAM where they will need to enter their second channel security code in order to gain access. Functionality will be provided to allow the user to have their computer "remembered" in order to bypass the second channel on subsequent logins.
    - The MiWAM Development or Testing environment (only one of the two) will interface with the MILogin Development environment. The MiWAM Staging environment will interface with the MILogin QA environment. The MiWAM Production environment will interface with the MILogon Production environment.
- Out of Scope
    - There will be no automatic or scripted conversion of credentials for existing logins.
    - The MiWAM DR and Training environments will not interface with any MILogin environments.
    - Employers sign-on is out of scope. This project is only for claimants.

ASSUMPTIONS:

The following assumptions have been considered in the scope, tasks & requirements, deliverables, and price for this statement of work:

- Implementation will follow the FAST Implementation Methodology.
- UIA & DTMB are aware that site-specific functionality required for this change will require long-term maintenance that is not covered under the current maintenance agreement or statement of work price.
- DTMB developer(s) will be responsible for long-term maintenance and support of the site-specific functionality.
- We will not use technology that requires any particular/specific web server platform(s) to be used (such as IIS, or any others). Only standard technologies/protocols will be used, which can work with any web server platform.
- The design for the integration implementation will be agreed upon by both the MiWAM team and the MILogin team. The MiWAM team will lead the design of the flow between MiWAM and MILogin, given that UIA's business process will be changing and UIA's business needs have to continue to be met.
- Successful and timely implementation of the project is dependent on consistent successful communication between the MiWAM, and MILogin technical teams.
- MILogin technical staff will be available throughout the lifetime of the project. MILogin staff will work together with MiWAM staff, they will make any configuration changes and updates that may be needed for interfacing, as the design and implementation progress. An interative design-implementation cycle will be used, which implies that the MILogin team will also need to have staff capable of accommodating design and implementation changes in a timely manner, up to and including the time of Production go-live.

DELIVERABLES:

Deliverables will not be considered complete until the Agency and DTMB Project Managers have formally accepted them. Contractor will provide the following deliverable in the form of working system functionality:

- Single Sign On functionality

ACCEPTANCE CRITERIA:

The deliverable will be considered completed once user acceptance testing has been completed and the Agency has marked all related system changes for Migrate to Production. Acceptance of the MiDAS and MiWAM functionality will not depend on external factors such as MILogin's ability to complete and implement new functionality to production.

Additional requests for changes that are made after functionality has been accepted will be considered changes and will be prioritized and implemented according to the established MiDAS production support guidelines.

PROJECT CONTROL AND REPORTS:

A monthly progress report must be submitted to the Agency and DTMB Project Managers throughout the life of this project. Each progress report must contain current status, actions taken, progress made, and any risks identified since the previous progress report.

SPECIFIC DEPARTMENT STANDARDS:

There are no Agency/Department specific standards, therefore DTMB standards will apply.

PAYMENT SCHEDULE:

The deliverables are due to be moved into Production by September 30, 2018. The contractor will provide the above-described project on a firm fixed price deliverable basis as follows:

Definition and Development (schedule items 1-4)	$250,000
Testing (schedule items 5-7)	$150,000
Rollout (schedule items 8-12)	$100,000
Total	$500,000

Contractor will invoice upon the acceptance of the deliverable according to the acceptance critiera. Payment shall be considered timely if made by the DTMB within forty-five (45) days after receipt of properly completed invoices.

EXPENSES:

The State will not pay for any travel expenses, including hotel, mileage, meals, parking, etc.

PROJECT CONTACTS:

The designated Agency Project Manager is:

John Henige
Unemployment Insurance Agency
Office of Technology and Modernization
Cadillac Place
3024 West Grand Blvd.
Suite L-500
Detroit, MI 48202
(313) 456-2341

The designated DTMB Project Manager is:

John Walker
Department of Technology, Management and Budget
Customer Service

Cadillac Place
3024 West Grand Blvd.
Suite L-500
Detroit, MI 48202
(313) 456-3814

AGENCY RESPONSIBILITIES:

Provide all required information the vendor needs to implement the functionality for each phase of the project.

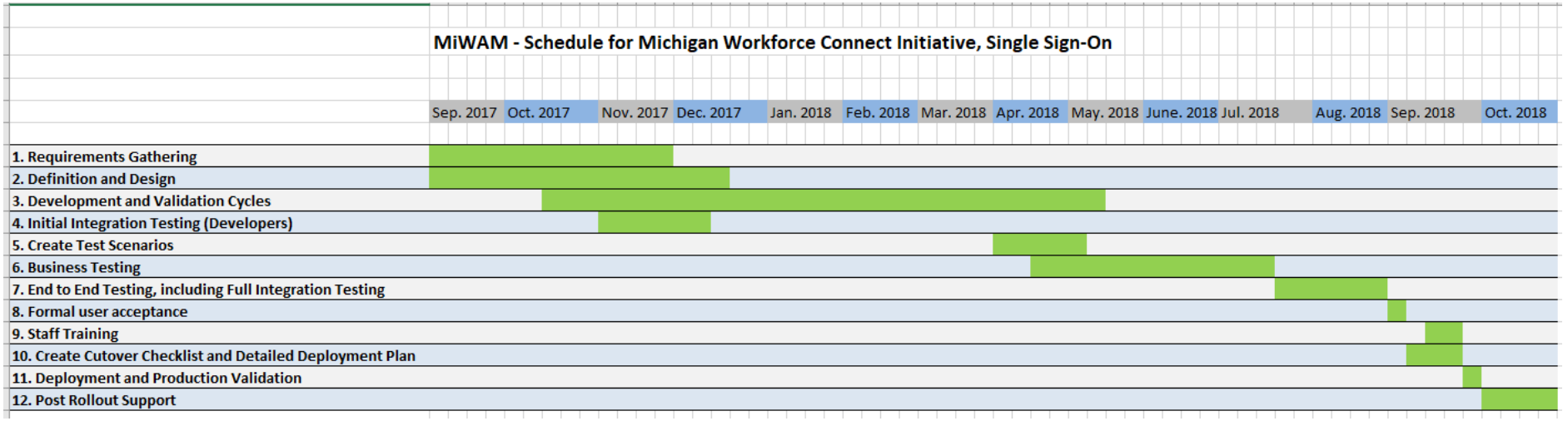
LOCATION OF WHERE THE WORK IS TO BE PERFORMED:

Contractors will work at Cadillac Place in Detroit, Michigan.

EXPECTED CONTRACTOR WORK HOURS AND CONDITIONS:

Work is being performed at a fixed firm price. Contractor hours will align with existing MiDAS core project hours of 9 AM to 4 PM and work may be performed at any time outside of these core hours. Contractor will require 24/7/365 physical access to the work site.

PROJECT SCHEDULE:



STATE OF MICHIGAN
ENTERPRISE PROCUREMENT

Department of Technology, Management, and Budget

525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **5**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	6400 S. Fiddler's Green Circle, Suite 1500
	Greenwood Village, CO 80111
	James Harrison
	208-890-6598
	jgh@gentax.com
	*******8609

STATE			
	Program Manager	Debra Patterson	TED
		313-456-4926	
		PattersonD6@Michigan.gov	
	Contract Administrator	Mahfuzur Rahman	DTMB
		(517) 284-7047	
		rahmanm2@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT INSURANCE AGENCY - INTEGRATED SYSTEM PROJECT (UIA-IS) DESIGN, CONFIGURATION & IMPLEMENTATION (DDI)

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE CHANGE(S) NOTED BELOW
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2018

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ Direct Voucher (DV)	☐ Other	☐ Yes	☐ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☐		August 28, 2018

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$47,026,150.00	$0.00	$47,026,150.00

DESCRIPTION

Effective December 5th, 2017, the following amendment is hereby incorporated into the contract per attached Statement of Work. Please note that the Contract Administrator has been changed to Mahfuzur Rahman. All other terms, conditions, specifications, and pricing remain the same. Per agency, DTMB Procurement, and contractor approval.

MICHIGAN DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
IT SERVICES
STATEMENT OF WORK

Project Title: **FY18 FAST Supplemental Services – Staff**	**Period of Coverage:** **10/01/2017 – 9/30/2018**
Requesting Department: **Talent Investment Agency/Unemployment Insurance**	**Date:** **7/21/2017**
DTMB BRM TED-Detroit, MDCR: **John Walker**	**Phone:** **313-456-3814**
DTMB Project Manager: **Debra Patterson**	**Phone:** **313-456-4926**

Brief Description of Services to be provided:

BACKGROUND:

The State of Michigan Department of Talent & Economic Development/Talent Investment Agency (TED/TIA), Unemployment Insurance (UI) has completed a multi-year System Integration Project that resulted in a comprehensive rewrite of Unemployment Insurance (UI) systems. The UI Michigan Integrated Data Automated System (MiDAS) is now in production and the system is in the production maintenance and support phase.

PROJECT OBJECTIVE:

The purpose of this request is to perform a contract release on the contract from BPO #071B1300367 for Supplemental Services. The objective is to procure 7 FAST supplemental services staff support for FY18.

SCOPE OF WORK:

The contractor will provide 7 FAST supplemental services staff that will support the UI Agency and MiDAS system by designing, developing and implementing solutions in the system for corrections, legislative updates, enhancements and maintenance type requests.

Supplemental service staff will perform the following tasks as needed as well as additional tasks as they arise:

- Design, develop and implement solutions in MiDAS for corrections, legislative updates, enhancements and maintenance type requests
- Assist in prioritization and management of solution requests
- Provide on-call production support
- Assist in coordination with the FAST Development Center to implement core changes
- Provide guidance to client development staff implementing enhancements, including best practice recommendations
- Implement legislative changes to existing programs
- Performance tuning and database maintenance, analysis and review
- Other consulting services as requested by UIA

TASKS:

Support Services include:

- On-site contractor personnel to support designing, developing and implementing solutions in MiDAS for corrections, legislative updates, enhancements and maintenance type requests.
- Seven full-time on-site FAST support resources who will assist in the following system enhancements

tasks and other tasks.

- Some key in-flight projects and candidates that will be supported including but not limited to
  - UIA Operational Excellence Benefits Phase 1
  - UIA Operational Excellence Tax Phase 2
  - UIA MiDAS Sync Pack
  - UIA MiDAS System Production Support
- Prioritization and management of solution requests
- On-call production support
- Coordinating with the FAST Development Center
- Configuration assistance
- Application development
- Best practices recommendations
- Implementation of minor legislative/business changes to existing programs
- Performance tuning
- Database maintenance, analysis and review
- Supplemental user, developer and operator training
- Other consulting and services requested by State of Michigan

DELIVERABLES:

Direction of tasks and work effort will be established by the DTMB or Agency Project Manager

Deliverables will not be considered complete until both the Agency and DTMB Project Managers have formally accepted them. Deliverables for this project include:

- Completion of tasks and activities for corrections, legislative updates, enhancements and maintenance type requests in MiDAS.

ACCEPTANCE CRITERIA: Deliverables will not be considered complete until the Agency and DTMB Project Managers have formally accepted them.

PROJECT CONTROL AND REPORTS:

A weekly meeting with the Agency and DTMB Project Managers throughout the life of this project.

SPECIFIC DEPARTMENT STANDARDS:

Agency standards, if any, in addition to DTMB standards.

PAYMENT SCHEDULE:

Pricing is based on original contract Appendix D for Contract Year 6 Maintenace and Support Staff – 2 Full Time Employee for $ 660,000. Payment will be me made from the supplemental services funds also defined within Appendix D.

7 FAST Staff - $330,000.00 per staff =$2,310,000.00 – Duration period from October 1, 2017 through September 30, 2018. DTMB will pay CONTRACTOR upon receipt of properly completed invoices which shall be submitted to the billing address on the State issued purchase order not more often than monthly. DTMB Contracts area will coordinate obtaining Agency Project Manager and DTMB Project Manager approvals. All invoices should reflect actual work completed by payment date, and must be approved by the Agency Project Manager and DTMB Project Manager prior to payment. The invoices shall describe and document to the State's satisfaction a description of the work performed, the progress of the project, and fees. When expenses are invoiced, receipts will need to be provided along with a detailed breakdown of each type of expense.

Payment shall be considered timely if made by the DTMB within forty-five (45) days after receipt of properly

completed invoices.

EXPENSES:

The State will NOT pay for any travel expenses, including hotel, mileage, meals, parking, etc.

PROJECT CONTACTS:

The designated Agency Project Manager is:

John Henige
Talent Investment Agency, Unemployment Insurance
Office of Technology and Modernization
Cadillac Place
3024 West Grand Blvd.
Suite L-500
Detroit, MI 48202
(313) 456-2341

The designated DTMB Project Manager is:

Debra Patterson
Department of Technology, Management and Budget
Agency Services
Cadillac Place
3024 West Grand Blvd.
Suite L-500
Detroit, MI 48202
(313) 456-4926

AGENCY RESPONSIBILITIES:

LOCATION OF WHERE THE WORK IS TO BE PERFORMED:

Consultant will work at Caddilac Place in Detroit, Michigan.

EXPECTED CONTRACTOR WORK HOURS AND CONDITIONS:

a. Normal State working hours are 8:00 a.m. to 5:00 p.m. EST, Monday through Friday, with work performed as necessary after those hours to meet project deadlines. No overtime will be authorized or paid.

b. The State is not obligated to provide State management of assigned work outside of normal State working hours. The State reserves the right to modify the work hours in the best interest of the project.

c. Contractor shall observe the same standard holidays as State employees. The State does not compensate for holiday pay.

No overtime will be permitted.

This purchase order is a release from Contract Number 071B1300367. This purchase order, statement of work, and the terms and conditions of Contract Number 071B1300367 constitute the entire agreement between the State and the Contractor.

STATE OF MICHIGAN
ENTERPRISE PROCUREMENT

Department of Technology, Management, and Budget

525 W. ALLEGAN ST., LANSING, MICHIGAN 48913
P.O. BOX 30026 LANSING, MICHIGAN 48909

CONTRACT CHANGE NOTICE

Change Notice Number **3**

to

Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	6400 S. Fiddler's Green Circle, Suite 1500
	Greenwood Village, CO 80111
	James Harrison
	208-890-6598
	jgh@gentax.com
	*******8609

STATE			
	Program Manager	Debra Patterson	DTMB-IT
		313-456-4926	
		PattersonD6@Michigan.gov	
	Contract Administrator	Simon Baldwin	DTMB
		(517) 284-6997	
		baldwins@michigan.gov	

CONTRACT SUMMARY

UNEMPLOYMENT INSURANCE AGENCY - INTEGRATED SYSTEM PROJECT (UIA-IS) DESIGN, CONFIGURATION & IMPLEMENTATION (DDI)

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE CHANGE(S) NOTED BELOW
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2017

PAYMENT TERMS	DELIVERY TIMEFRAME

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-Card	☐ Direct Voucher (DV)	☐ Other	☐ Yes	☐ No

MINIMUM DELIVERY REQUIREMENTS

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☒	1 year	☐		August 28, 2018

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$47,026,150.00	$0.00	$47,026,150.00

DESCRIPTION

Effective 8/28/2017, the parties are hereby exercising the second option year of the Contract. The revised Contract expiration date is now 8/28/2018, and the Contract is further amended pursuant to the attached Change Notice No. 3. All other terms, conditions, specifications, and pricing remain the same. Per Contractor and Agency agreement, and DTMB Procurement approval.

CHANGE NOTICE NO. 3 to CONTRACT NO. 071B1300367

This Change Notice No. 3 to Contract No. 071B1300367 (the "**Contract**") is entered into on August 28, 2017 (the "**Effective Date**"), by and between the State of Michigan, Department of Technology, Management and Budget (the "**State**") and FAST Enterprises LLC ("**Contractor**"). The State and Contractor are sometimes referred to herein individually as a ("**party**") and collectively as the ("**parties**").

The parties agree as follows:

1. Pursuant to Section 2.001 of the Contract, the State hereby exercises its second option year under the Contract. The new expiration date for the Contract is now August 28, 2018.

2. Section 2.006 of the Contract is hereby deleted and replaced in its entirety with the following:

2.006 ENTIRETY OF AGREEMENT AND ORDER OF PRECEDENCE

This Contract, together with all Schedules, Exhibits, and the Statement of Work constitutes the sole and entire agreement of the parties to this Contract with respect to the subject matter contained herein, and supersedes all prior and contemporaneous understandings and agreements, representations and warranties, both written and oral, with respect to such subject matter. In the event of any inconsistency between the statements made in the body of this Contract, the Schedules, Exhibits, and the Statement of Work, the following order of precedence governs: (a) first, this Contract, excluding its Exhibits and Schedules, and the Statement of Work; and (b) second, the Statement of Work as of the Effective Date; and (c) third, the Exhibits and Schedules to this Contract as of the Effective Date. NO TERMS ON CONTRACTOR'S INVOICES, WEBSITE, BROWSE-WRAP, SHRINK-WRAP, CLICK-WRAP, CLICK-THROUGH OR OTHER NON-NEGOTIATED TERMS AND CONDITIONS PROVIDED WITH ANY OF THE SERVICES, OR DOCUMENTATION HEREUNDER WILL CONSTITUTE A PART OR AMENDMENT OF THIS CONTRACT OR IS BINDING ON THE STATE OR ANY AUTHORIZED USER FOR ANY PURPOSE. ALL SUCH OTHER TERMS AND CONDITIONS HAVE NO FORCE AND EFFECT AND ARE DEEMED REJECTED BY THE STATE AND THE AUTHORIZED USER, EVEN IF ACCESS TO OR USE OF SUCH SERVICE OR DOCUMENTATION REQUIRES AFFIRMATIVE ACCEPTANCE OF SUCH TERMS AND CONDITIONS.

3. Section 2.023 of the Contract is hereby deleted and replaced in its entirety with the following:

2.023 PROJECT MANAGER

Project Managers for Contractor and the State will be identified in the applicable Statement of Work.

4. Section 2.024 of the Contract is hereby deleted and replaced in its entirety with the following:

2.024 CHANGE CONTROL PROCESS

(a) The State may at any time request in writing (each, a "**Change Request**") changes to the Statement of Work, including changes to the Services and Deliverables (each, a "**Change**"). Upon the State's submission of a Change Request, the parties will evaluate and implement all Changes in accordance with this Section.

(b) As soon as reasonably practicable, and in any case within twenty (20) Business Days following receipt of a Change Request, Contractor will provide the State with a written proposal for implementing the requested Change ("**Change Proposal**"), setting forth:

(i) a written description of the proposed Changes to any Services, Work Product, or Deliverables;

(ii) an amended schedule reflecting: (A) the schedule for commencing and completing any additional or modified Services, Work Product, or Deliverables; and (B) the effect of such Changes, if any, on completing any other Services or Work Product under the Statement of Work;

(iii) any additional Third-Party Materials and State Resources Contractor deems necessary to carry out such Changes; and

(iv) any increase or decrease in fees resulting from the proposed Changes, which increase or decrease will reflect only the increase or decrease in time and expenses Contractor requires to carry out the Change.

(c) Within thirty (30) Business Days following the State's receipt of a Change Proposal, the State will by written notice to Contractor, approve, reject, or propose modifications to such Change Proposal. If the State proposes modifications, Contractor must modify and re-deliver the Change Proposal reflecting such modifications, or notify the State of any disagreement, in which event the parties will negotiate in good faith to resolve their disagreement. Upon the State's approval of the Change Proposal or the parties' agreement on all proposed modifications, as the case may be, the parties will execute a written agreement to the Change Proposal ("**Change Notice**"), which Change Notice will be signed by the State's Contract Administrator and will constitute an amendment to the Statement of Work to which it relates; and

(d) If the parties fail to enter into a Change Notice within fifteen (15) Business Days following the State's response to a Change Proposal, the State may, in its discretion:

(i) require Contractor to perform the Services under the Statement of Work without the Change;

(ii) require Contractor to continue to negotiate a Change Notice; or

(iii) initiate a Dispute Resolution Procedure.; or

(iv) notwithstanding any provision to the contrary in the Statement of Work, terminate this Contract for convenience.

(e) No Change will be effective until the parties have executed a Change Notice. Except as the State may request in its Change Request or otherwise in writing, Contractor must continue to perform its obligations in accordance with the Statement of Work pending negotiation and execution of a Change Notice. Contractor will use its best efforts to limit any delays or fee increases from any Change to those necessary to perform the Change in accordance with the applicable Change Notice. Each party is responsible for its own costs and expenses of preparing, evaluating, negotiating, and otherwise processing any Change Request, Change Proposal, and Change Notice.

(f) The performance of any functions, activities, tasks, obligations, roles and responsibilities comprising the Services as described in this Contract are considered part of the Services and, thus, will not be considered a Change. This includes the delivery of all Deliverables in accordance with their respective specifications, and the diagnosis and correction of any defects discovered in Deliverables prior to their Acceptance by the State or, subsequent to their Acceptance by the State, as necessary for Contractor to fulfill its associated warranty requirements and its maintenance and support Services under this Contract.

(g) Contractor may, on its own initiative and at its own expense, prepare and submit its own

Change Request to the State. However, the State will be under no obligation to approve or otherwise respond to a Change Request initiated by Contractor.

5. Section 2.092 of the Contract is hereby deleted and replaced in its entirety with the following:

2.092 STATE DATA

(a) Ownership. The State's data ("**State Data**," which will be treated by Contractor as Confidential Information) includes the State's data collected, used, processed, stored, or generated as the result of the Services, including but not limited to (a) personally identifiable information ("**PII**") collected, used, processed, stored, or generated as the result of the Services, including, without limitation, any information that identifies an individual, such as an individual's social security number or other government-issued identification number, date of birth, address, telephone number, biometric data, mother's maiden name, email address, credit card information, or an individual's name in combination with any other of the elements here listed; and, (b) personal health information ("**PHI**") collected, used, processed, stored, or generated as the result of the Services, which is defined under the Health Insurance Portability and Accountability Act ("**HIPAA**") and its related rules and regulations. State Data does not include data provided or created by Contractor unless such data is provided or created for the sole use of the State. State Data is and will remain the sole and exclusive property of the State and all right, title, and interest in the same is reserved by the State. This Section survives termination or expiration of this Contract.

(b) Contractor Use of State Data. Contractor is provided a limited license to State Data for the sole and exclusive purpose of providing the Services, including a license to collect, process, store, generate, and display State Data only to the extent necessary in the provision of the Services. Contractor must: (a) keep and maintain State Data in strict confidence, using such degree of care as is appropriate and consistent with its obligations as further described in this Contract and applicable law to avoid unauthorized access, use, disclosure, or loss; (b) use and disclose State Data solely and exclusively for the purpose of providing the Services, such use and disclosure being in accordance with this Contract, any applicable Statement of Work, and applicable law; and (c) not use, sell, rent, transfer, distribute, or otherwise disclose or make available State Data for Contractor's own purposes or for the benefit of anyone other than the State without the State's prior written consent. This Section survives termination or expiration of this Contract.

(c) Loss or Compromise of Data. In the event that Contractor causes the security, confidentiality, or integrity of State Data to be compromised, Contractor must, as applicable: (a) notify the State as soon as practicable but no later than forty-eight (48) hours of becoming aware of such occurrence; (b) cooperate with the State in investigating the occurrence, including making available all relevant records, logs, files, data reporting, and other materials required to comply with applicable law or as otherwise required by the State; (c) in the case of PII or PHI, at the State's sole election, (i) notify the affected individuals who comprise the PII or PHI as soon as practicable but no later than is required to comply with applicable law, or, in the absence of any legally required notification period, within five (5) calendar days of the occurrence; or (ii) reimburse the State for costs in notifying the affected individuals; (d) in the case of PII, provide third-party credit and identity monitoring services to each of the affected individuals who comprise the PII for the period required to comply with applicable law if such services are required to be provided under applicable law; (e) perform or take any other actions required to comply with applicable law as a result of the occurrence; (f) pay for reasonable costs associated with the occurrence, including but not limited to costs incurred by the State in investigating and resolving the occurrence, including reasonable attorney's fees associated with such investigation and resolution; (g) without limiting Contractor's obligations of indemnification as further described in this Contract, indemnify, defend, and hold harmless the State for any and all

third party claims, including reasonable attorneys' fees, costs, and incidental expenses, which may be suffered by, accrued against, charged to, or recoverable from the State in connection with the occurrence; (h) be responsible for recreating lost State Data, if possible, in the manner and on the schedule set by the State without charge to the State; and (i) provide to the State a detailed plan within twenty (20) calendar days of the occurrence describing the measures Contractor will undertake to prevent a future occurrence. Notification to affected individuals, as described above, must comply with applicable law. The State will have the option to review and approve any notification sent to affected individuals prior to its delivery. This Section survives termination or expiration of this Contract.

6. Section 2.092 of the Contract is hereby deleted and replaced in its entirety with the following:

2.092 CONFIDENTIAL INFORMATION

Each party acknowledges that it may be exposed to or acquire communication or data of the other party that is confidential in nature and is not intended to be disclosed to third parties. This Section 21 survives termination or expiration of this Contract.

(a) Meaning of Confidential Information. The term "**Confidential Information**" means all information and documentation of a party that: (a) has been marked "confidential" or with words of similar meaning, at the time of disclosure by such party; (b) if disclosed orally or not marked "confidential" or with words of similar meaning, was subsequently summarized in writing by the disclosing party and marked "confidential" or with words of similar meaning; or, (c) should reasonably be recognized as confidential information of the disclosing party. The term "Confidential Information" does not include any information or documentation that was or is: (a)subject to disclosure under the Michigan Freedom of Information Act (FOIA); (b) already in the possession of the receiving party without an obligation of confidentiality; (c) developed independently by the receiving party, as demonstrated by the receiving party, without violating the disclosing party's proprietary rights; (d) obtained from a source other than the disclosing party without an obligation of confidentiality; or, (e) publicly available when received, or thereafter became publicly available (other than through any unauthorized disclosure by, through, or on behalf of, the receiving party). Notwithstanding the above, in all cases and for all matters, State Data is deemed to be Confidential Information.

(b) Obligation of Confidentiality. The parties agree to hold all Confidential Information in strict confidence and not to copy, reproduce, sell, transfer, or otherwise dispose of, give or disclose such Confidential Information to third parties other than employees, agents, or subcontractors of a party who have a need to know in connection with this Contract. The parties also agree not to use such Confidential Information for any purposes whatsoever other than the performance of this Contract. The parties agree to advise and require their respective employees, agents, and subcontractors of their obligations to keep all Confidential Information confidential. Disclosure to the Contractor's subcontractor is permissible where: (a) the subcontractor is a Permitted Subcontractor; (b) the disclosure is necessary or otherwise naturally occurs in connection with work that is within the Permitted Subcontractor's responsibilities; and (c) Contractor obligates the Permitted Subcontractor in a written contract to maintain the State's Confidential Information in confidence. At the State's request, any of the Contractor's Representatives may be required to execute a separate agreement to be bound by the provisions of this **Section 21.2**. The State will require its third party contractors (non-State employees) who will have access to Contractor Confidential Information to sign a mutually agreed upon non-disclosure agreement.

(c) Cooperation to Prevent Disclosure of Confidential Information. Each party must use its best efforts to assist the other party in identifying and preventing any unauthorized use or disclosure of any Confidential Information. Without limiting the foregoing, each party must

advise the other party immediately in the event either party learns or has reason to believe that any person who has had access to Confidential Information has violated or intends to violate the terms of this Contract. Each party will cooperate with the other party in seeking injunctive or other equitable relief against any such person.

(d) Remedies for Breach of Obligation of Confidentiality. Each party acknowledges that breach of its obligation of confidentiality may give rise to irreparable injury to the other party, which damage may be inadequately compensable in the form of monetary damages. Accordingly, a party may seek and obtain injunctive relief against the breach or threatened breach of the foregoing undertakings, in addition to any other legal remedies which may be available, to include, in the case of the State, at the sole election of the State, the immediate termination, without liability to the State, of this Contract or any Statement of Work corresponding to the breach or threatened breach.

(e) Surrender of Confidential Information upon Termination. Upon termination or expiration of this Contract or a Statement of Work, in whole or in part, each party must, within five (5) calendar days from the date of termination, return to the other party any and all Confidential Information received from the other party, or created or received by a party on behalf of the other party, which are in such party's possession, custody, or control. If Contractor or the State determine that the return of any Confidential Information is not feasible, such party must destroy the Confidential Information and certify the same in writing within five (5) calendar days from the date of termination to the other party.

7. A new Section 2.094 is hereby added to the Contract as follows:

2.094 DATA PRIVACY AND INFORMATION SECURITY

(a) Undertaking by Contractor. Without limiting Contractor's obligation of confidentiality as further described, Contractor is responsible for adhering to and complying with the State's existing data privacy and information security program, including physical, technical, administrative, and organizational safeguards, that is designed to: (a) ensure the security and confidentiality of the State Data; (b) protect against any anticipated threats or hazards to the security or integrity of the State Data; (c) protect against unauthorized disclosure, access to, or use of the State Data; (d) ensure the proper disposal of State Data; and (e) ensure that all Contractor Representatives comply with all of the foregoing. Contractor must at all times comply with all applicable State IT policies and standards, which are available at http://www.michigan.gov/dtmb/0,4568,7- 150-56355_56579_56755---,00.html.

(b) Right of Audit by the State. Without limiting any other audit rights of the State, the State has the right to perform an on-site audit of Contractor's data privacy and information security program with respect to the provision of Services where State Data is located, prior to the commencement of such Services and from time to time during the term of this Contract. In lieu of an on-site audit, upon request by the State, Contractor agrees to complete, within forty-five (45) calendar days of receipt, an audit questionnaire provided by the State regarding Contractor's data privacy and information security program.

(c) Audit Findings. With respect to State Data, Contractor must implement any required safeguards as identified by the State or by any audit of Contractor's data privacy and information security program.

(d) State's Right to Termination for Deficiencies. The State reserves the right, at its sole election, to immediately terminate this Contract or the Statement of Work without limitation and without liability if the State determines that Contractor fails or has failed to meet its obligations under this Section.

8. A new Section 2.095 is hereby added to the Contract as follows:

2.094 IRS REQURIMENTS

(a) Performance. In performance of this contract, the Contractor agrees to comply with and assume responsibility for compliance by his or her employees with the following requirements:

(1) All work will be done under the supervision of the Contractor or the Contractor's employees.
(2) The Contractor and the Contractor's employees with access to or who use FTI must meet the background check requirements defined in IRS Publication 1075.
(3) Any return or return information made available in any format shall be used only for the purpose of carrying out the provisions of this contract. Information contained in such material will be treated as confidential and will not be divulged or made known in any manner to any person except as may be necessary in the performance of this contract. Disclosure to anyone other than an officer or employee of the Contractor will be prohibited.
(4) All returns and return information will be accounted for upon receipt and properly stored before, during, and after processing. In addition, all related output will be given the same level of protection as required for the source material.
(5) The Contractor certifies that the data processed during the performance of this contract will be completely purged from all data storage components of his or her computer facility, and no output will be retained by the Contractor at the time the work is completed. If immediate purging of all data storage components is not possible, the Contractor certifies that any IRS data remaining in any storage component will be safeguarded to prevent unauthorized disclosures.
(6) Any spoilage or any intermediate hard copy printout that may result during the processing of IRS data will be given to the agency or his or her designee. When this is not possible, the Contractor will be responsible for the destruction of the spoilage or any intermediate hard copy printouts, and will provide the agency or his or her designee with a statement containing the date of destruction, description of material destroyed, and the method used.
(7) All computer systems receiving, processing, storing or transmitting FTI must meet the requirements defined in IRS Publication 1075. To meet functional and assurance requirements, the security features of the environment must provide for the managerial, operational, and technical controls. All security features must be available and activated to protect against unauthorized use of and access to Federal Tax Information.
(8) No work involving Federal Tax Information furnished under this contract will be subcontracted without prior written approval of the IRS.
Publication 1075 (September 2016)
(9) The Contractor will maintain a list of employees authorized access. Such list will be provided to the agency and, upon request, to the IRS reviewing office.(10) The agency will have the right to void the contract if the Contractor fails to provide the safeguards described above.
(10) (Include any additional safeguards that may be appropriate.)

(b) Criminal/Civil Sanctions

(1) Each officer or employee of any person to whom returns or return information is or may be disclosed will be notified in writing by such person that returns or return information disclosed to such officer or employee can be used only for a purpose and to the extent authorized herein, and that further disclosure of any such returns or return information for a purpose or to an extent unauthorized herein constitutes a felony punishable upon conviction by a fine of as much as $5,000 or imprisonment for as long as 5 years, or both, together with the costs of prosecution. Such person shall also notify each such officer and employee that any such unauthorized further disclosure of returns or return information may also result in an award of civil damages against the officer or employee in an amount not less than $1,000 with respect to each instance of unauthorized disclosure. These penalties are prescribed by IRCs 7213 and 7431 and set forth at 26 CFR 301.6103(n)-1.

(2) Each officer or employee of any person to whom returns or return information is or may be disclosed shall be notified in writing by such person that any return or return information made available in any format shall be used only for the purpose of carrying out the provisions of this contract. Information contained in such material shall be treated as confidential and shall not be divulged or made known in any manner to any person except as may be necessary in the performance of the contract. Inspection by or disclosure to anyone without an official need-to-know constitutes a criminal misdemeanor punishable upon conviction by a fine of as much as $1,000 or imprisonment for as long as 1 year, or both, together with the costs of prosecution. Such person shall also notify each such officer and employee that any such unauthorized inspection or disclosure of returns or return information may also result in an award of civil damages against the officer or employee (United States for Federal employees) in an amount equal to the sum of the greater of $1,000 for each act of unauthorized inspection or disclosure with respect to which such defendant is found liable or the sum of the actual damages sustained by the plaintiff as a result of such unauthorized inspection or disclosure plus in the case of a willful inspection or disclosure which is the result of gross negligence, punitive damages, plus the costs of the action. These penalties are prescribed by IRC 7213A and 7431 and set forth at 26 CFR 301.6103(n)-1.

(3) Additionally, it is incumbent upon the contractor to inform its officers and employees of the penalties for improper disclosure imposed by the Privacy Act of 1974, 5 U.S.C. 552a. Specifically, 5 U.S.C. 552a(i)(1), which is made applicable to Contractors by 5 U.S.C. 552a(m)(1), provides that any officer or employee of a Contractor, who by virtue of his/her employment or official position, has possession of or access to agency records which contain individually identifiable information, the disclosure of which is prohibited by the Privacy Act or regulations established thereunder, and who knowing that disclosure of the specific material is prohibited, willfully discloses the material in any manner to any person or agency not entitled to receive it, shall be guilty of a misdemeanor and fined not more than $5,000.

(4) Granting a contractor access to FTI must be preceded by certifying that each individual understands the agency's security policy and procedures for safeguarding IRS information. Contractors must maintain their authorization to access FTI through annual recertification. The initial certification and recertification must be documented and placed in the agency's files for review. As part of the certification and at least annually afterwards, contractors must be advised of the provisions of IRCs 7431, 7213, and 7213A (see *Exhibit 4, Sanctions for Unauthorized Disclosure*, and *Exhibit 5, Civil Damages for Unauthorized Disclosure*). The training provided before the initial certification and annually thereafter must also cover the incident response policy and procedure for reporting unauthorized disclosures and data breaches. (See Section 10) For both the initial certification and the annual certification, the contractor must sign, either with ink or electronic signature, a confidentiality statement certifying their understanding of the security requirements.

(c) Inspection

The IRS and the Agency, with 24 hour notice, shall have the right to send its inspectors into the offices and plants of the contractor to inspect facilities and operations performing any work with FTI under this contract for compliance with requirements defined in IRS Publication 1075. The IRS' right of inspection shall include the use of manual and/or automated scanning tools to perform compliance and vulnerability assessments of information technology (IT) assets that access, store, process or transmit FTI. On the basis of such inspection, corrective actions may be required in cases where the contractor is found to be noncompliant with contract safeguards.

9. Section 2.170 of the Contract is hereby deleted and replaced in its entirety with the following**:**

2.170 TRANSITION RESPONSIBILITIES

Upon termination or expiration of this Contract for any reason, Contractor must, for a period of time specified by the State (not to exceed 90 calendar days, unless otherwise agreed to by the parties)(the "**Transition Period**"), provide all reasonable transition assistance requested by the State, to allow for the expired or terminated portion of the Contract to continue without interruption or adverse effect, and to facilitate the orderly transfer of the Services to the State or its designees. Such transition assistance may include but is not limited to: (a) continuing to perform the Services at the established Contract rates; (b) taking all reasonable and necessary measures to transition performance of the Services, including all applicable Services and Deliverables to the State or the State's designee; (c) taking all necessary and appropriate steps, or such other action as the State may direct, to preserve, maintain, protect, or return to the State all State Materials and State Data; (d) transferring title in and delivering to the State, at the State's discretion, all completed or partially completed work product prepared under this Contract for the sole use of the State as of the Contract termination or expiration date; and (e) preparing an accurate accounting from which the State and Contractor may reconcile all outstanding accounts (collectively, the "**Transition Responsibilities**"). This Contract is automatically extended through the end of the Transition Period.

10. Section 2.221 of the Contract is hereby amended and supplemented as follows:

2.221 LIMITATION OF LIABILITY

Neither the Contractor nor the State is liable to each other, regardless of the form of action, for consequential, incidental, indirect, or special damages. This limitation of liability does not apply to claims for infringement of United States patent, copyright, trademark or trade secrets; to claims for personal injury or damage to property caused by the gross negligence or willful misconduct of the Contractor; to claims covered by other specific provisions of this Contract calling for liquidated damages; or to court costs or attorney's fees awarded by a court in addition to damages after litigation based on this Contract.

For claims that arise under the initial Contract term, the Contractor's liability for damages to the State is limited to one time the value of the Contract during that period or $500,000 whichever is higher. For any claims that arise during a renewal year, the Contractor's liability for damages to the State is limited to the greater of $5,000,000 or one time the annual value of the Contract during that renewal year. The foregoing limitation of liability does not apply to claims for infringement of United States patent, copyright, trademarks or trade secrets; to claims for personal injury or damage to property caused by the gross negligence or willful misconduct of the Contractor; to claims covered by other specific provisions of this Contract calling for liquidated damages; or to court costs or attorney's fees awarded by a court in addition to damages after litigation based on this Contract.

For claims that arise under the initial Contract term, the State's liability for damages to the Contractor is limited to the value of the Contract during that period. For any claims that arise during a renewal year, the State's liability for damages to the Contractor is limited to one time the annual value of the Contract during that renewal year.

11. Section 2.263 of the Contract is hereby deleted in its entirety.

12. Section 2.273 of the Contract is hereby deleted and replaced by the following:

2.273 SYSTEMS CHANGES

Contractor is not responsible for and not authorized to make changes to any State production systems without authorization in the Contractor's Solution Request tool from the State's Project Manager or State Project Manager's designee. Any changes Contractor makes to State production

systems with the State's approval must be done according to applicable State procedures, including security, access and configuration management procedures.

The State has no obligation to install or use any Maintenance Release. If the State wishes to install any Maintenance Release, the State shall have the right to have such Maintenance Release installed, in the State's discretion, by Contractor or other authorized party as set forth in the Statement of Work. Contractor shall provide the State, at no additional charge, any existing documentation associated with the Maintenance Release, which has been developed by Contractor. The State's decision not to install or implement a Maintenance Release of the Software will not affect its right to receive support Services throughout the Term of this Contract. For purposes of this Section, "Maintenance Release" means any new version, update, upgrade, release or other adaptation or modification of the Software, that Contractor may generally provide to its licensees from time to time during the Term, which may contain, among other things, error corrections, enhancements, improvements or other changes to the user interface, functionality, compatibility, capabilities, performance, efficiency or quality of the Software.

CONTRACT CHANGE NOTICE

Change Notice Number **2**
to
Contract Number **071B1300367**

CONTRACTOR	
	FAST ENTERPRISES LLC
	6400 S. Fiddler's Green Circle, Suite 1500
	Greenwood Village, CO 80111
	James Harrison
	208-890-6598
	jgh@gentax.com
	*******8609

STATE			
	Program Manager	Debra Patterson	UIA
		(313) 456-4926	
		PattersonD6@michigan.gov	
	Contract Administrator	Malu Natarajan	DTMB
		(517) 284-7030	
		NatarajanM@michigan.gov	

CONTRACT SUMMARY

DESCRIPTION: UNEMPLOYMENT INSURANCE AGENCY - INTEGRATED SYSTEM PROJECT (UIA-IS) DESIGN, CONFIGURATION & IMPLEMENTATION (DDI)

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE CHANGE(S) NOTED BELOW
August 29, 2011	August 28, 2016	5 - 1 Year	August 28, 2016

PAYMENT TERMS	DELIVERY TIMEFRAME
N/A	N/A

ALTERNATE PAYMENT OPTIONS			EXTENDED PURCHASING	
☐ P-card	☐ Direct Voucher (DV)	☐ Other	☐ Yes	☒ No

MINIMUM DELIVERY REQUIREMENTS

N/A

DESCRIPTION OF CHANGE NOTICE

OPTION	LENGTH OF OPTION	EXTENSION	LENGTH OF EXTENSION	REVISED EXP. DATE
☐		☐		August 28, 2017

CURRENT VALUE	VALUE OF CHANGE NOTICE	ESTIMATED AGGREGATE CONTRACT VALUE
$47,026,150.00	$ 0.00	$47,026,150.00

DESCRIPTION: Effective August 29, 2016, this contract is exercising the first option year and utilizing $2,760,000.00 from the existing grant funding for the maintenance and support services per the pricing provided in Appendix D "Payment Table". The revised contract expiration date is August 28, 2017. Please note the Contract Administrator has been changed to Malathi Natarajan and Program manager is changed to Debra Patterson. All other terms, conditions, specifications, and pricing remain the same. Per agency request, Contractor agreement and DTMB Procurement approval.

Form No. DTMB-3521 (Rev. 2/2015)
AUTHORITY: Act 431 of 1984
COMPLETION: Required
PENALTY: Contract change will not be executed unless form is filed

STATE OF MICHIGAN
DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
PROCUREMENT
P.O. BOX 30026, LANSING, MI 48909
OR
525 W. ALLEGAN, LANSING, MI 48933

CHANGE NOTICE NO. 1

to

CONTRACT NO. 071B1300367

Between

THE STATE OF MICHIGAN

and

NAME & ADDRESS OF CONTRACTOR	PRIMARY CONTACT	EMAIL
Fast Enterprises, LLC	**James G. Harrison**	**jgh@gentax.com**
6400 S Fiddler's Green-Circle, Suite 1500	**PHONE**	**VENDOR FEIN # (LAST FOUR DIGITS ONLY)**
Greenwood Village, CO 80111	(208) 890-6598	**8609**

STATE CONTACTS	AGENCY	NAME	PHONE	EMAIL
PROGRAM MANAGER	**DTMB**	Kirt Berwald	**517-335-6487**	**berwaldk@michigan.gov**
CONTRACT ADMINISTRATOR	**DTMB**	**Jarrod Barron**	**517-284-7045**	**Barronj1@michigan.gov**

CONTRACT SUMMARY

DESCRIPTION:
Unemployment Insurance Agency – Integrated System Project (UIA-IS) Design, Configuration and Implementation (DDI).

INITIAL EFFECTIVE DATE	INITIAL EXPIRATION DATE	INITIAL AVAILABLE OPTIONS	EXPIRATION DATE BEFORE CHANGE(S) NOTED BELOW
August 29, 2011	August 28, 2016	5 one year	**August 28, 2016**
PAYMENT TERMS	**F.O.B.**	**SHIPPED TO**	
N/A	N/A	N/A	

ALTERNATE PAYMENT OPTIONS	EXTENDED PURCHASING
☐ P-card ☐ Direct Voucher (DV) ☐ Other	☐ Yes ☒ No
MINIMUM DELIVERY REQUIREMENTS	

DESCRIPTION OF CHANGE NOTICE

EXTEND CONTRACT EXPIRATION DATE	EXERCISE CONTRACT OPTION YEAR(S)	EXTENSION BEYOND CONTRACT OPTION YEARS	LENGTH OF OPTION/EXTENSION	EXPIRATION DATE AFTER CHANGE
☒ No ☐ Yes	☐	☐		

CURRENT VALUE	VALUE/COST OF CHANGE NOTICE	ESTIMATED REVISED AGGREGATE CONTRACT VALUE
$47,026,150.00	$0.00	$47,026,150.00

DESCRIPTION:

Effective June 25, 2015, this contract is amended to utilize $753,300.00 existing grant funding for the services in the attached statement of work and project plan. All other pricing, terms and conditions remain the same. Per contractor and agency agreement and DTMB Procurement approval.

MICHIGAN DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
IT SERVICES
STATEMENT OF WORK

Project Title: **FAST SBR Projects**	**Period of Coverage:** **10/1/2014 – 9/30/2015**
Requesting Department: **Unemployment Insurance Agency**	**Date:** **8/27/14**
Agency Project Manager: **Clay Tierney**	**Phone:** **313-456-3190**
DTMB Project Manager: **Debra Patterson**	**Phone:** **313-456-4926**

This Statement of Work is subject to the Terms of Contract 071B1300367.

BACKGROUND:
The State of Michigan Department of Licensing and Regulatory Affairs (LARA), Unemployment Insurance Agency (UIA) has embarked on a multi-year System Integration Project to complete a comprehensive and complex rewrite of Michigan's current Unemployment Insurance (UI) systems. Due to the challenges UIA faces in administering a complex program with constraints and limitations imposed by the mix of legacy systems, a modernized, integrated system will provide real-time data sharing across functions, increase productivity, enhance customer service and ease of use, and provide flexibility in complying with changing federal mandates and other requirements.

The State has a contract with Fast Enterprises, LLC (071B1300367) to design, configure and implement its GenTax commercial-off-the-shelf application, referred to as Michigan Integrated Data Automated System (MiDAS).

The United States Department of Labor (USDOL) offers Supplemental Budget Request (SBR) funds for USDOL-mandated projects. The UIA applied for and has been granted five SBR funds for MiDAS system functionality enhancements.

PROJECT OBJECTIVE:
The purpose of this project is to add the five below-referenced functionality enhancements and create a PO for Fast to charge the SBR funds against as described in the attached SBR grant application excerpt, the same being incorporated herein by reference. All of the changes will be made within the existing MiDAS system which is a COTS product requiring Agile like methodology.

SCOPE OF WORK:
Contractor will provide the following USDOL-mandated functionality enhancements to the MiDAS system using agile like development within the COTS product:

- UI Decision Support System
- Data Validation
- Shared Work
- Employer TOP Intercepts
- REA

Deliverables will not be considered complete until Agency and DTMB project management have formally accepted them.

TASKS & REQUIREMENTS:
Contractor will perform the tasks listed below. Each of the USDOL-mandated enhancements will meet the following requirements:

<u>UI Decision Support System Project</u>

- Develop code in MiDAS to report on productivity of units and staff

- Unit test new system for accuracy of data reported
- Unit test dashboard reporting and written reports of all productivity levels
- Changes will be required to the following business objects within MiDAS
    - Develop and/or revise the DSS Manager
    - Develop and/or revise DSS Controls
        - DSS Model List
        - DSS Model Springboard
        - DSS Model Details
        - DSS Model Results List
        - DSS Results Detail
    - Develop and/or site DSS Business Objects
        - DSS Model Result BO to collect result information based on a specified date range
        - DSS Model BO to allow users to add and maintain DSS models
    - Develop and/or revise the DSS Springboard
    - Develop and/or revise Site Application Tables
        - Application table to store DSS model information
        - Application table to store DSS model workflow figures
    - Develop and/or revise Site Documents
        - Document to display DSS model details
        - Document to display DSS model results list
        - Document to display DSS model results
        - Document to displays DSS information based on a specified date range
        - Document to allow users to model information for “What If” scenarios

The UI Decision Support project will deliver a tool for UIA managers to measure work item output per staff hour worked. The system will allow the work to be categorized within groups identified by USDOL as the major work areas for a UI agency. The DSS project will allow the agency to measure work performed by individual staff, work unit and division in support of the establishment of performance standards. The new system will also facilitate the accurate reporting of work performed against category for the development of the Resource Justification Model by which the UIA develops budget. Lastly, the DSS project will establish a tool by which, using current work production/staff hour worked ratios, workload forecasting can be accomplished.

<u>Data Validation Project</u>

- Develop code in MiDAS for validation of profiling information and statistics
- Unit test new system for accuracy of data reported
- Unit test generation of all USDOL ETA reports based on new data validation requirements
- Changes will be required to the following business objects within MiDAS
    - Develop and/or revise site Business Objects to collect ETA information to submit to USDOL Sun System
        - BO to collect ETA 581 data
        - BO to collect ETA 204 data
        - BO to collect ETA 218 data
        - BO to collect ETA 586 data
        - BO to collect ETA 9050 data
        - BO to collect ETA 9051 data
        - BO to collect ETA 207 data
        - BO to collect ETA 227 data
    - Develop and/or revise site Business Objects to collect Data Population extract to submit USDOL Sun System
        - BO to collect Tax Population 1 data extract
        - BO to collect Tax Population 2 data extract
        - BO to collect Tax Population 3 data extract
        - BO to collect Tax Population 4 data extract
        - BO to collect Tax Population 5 data extract
        - BO to collect Benefit Population 1 data extract
        - BO to collect Benefit Population 2 data extract
        - BO to collect Benefit Population 3 data extract
        - BO to collect Benefit Population 3a data extract
        - BO to collect Benefit Population 4 data extract
        - BO to collect Benefit Population 5 data extract
        - BO to collect Benefit Population 12 data extract
        - BO to collect Benefit Population 13 data extract
        - BO to collect Benefit Population 14 data extract

        - BO to collect Benefit Population 15 data extract
    - ETA and Populations must pass USDOL Sun System validation

The Data Validation Project will modify the system to collect and report required USDOL measurements of the subject UI Employer and Claimant customer populations. In compliance with the ETA handbook 401, the ETA 581 and 204 reports will be modified to match the new activities definitions for employer tax functions and the Data Validation Tax 1, 2, 3, 4, & 5 populations, which cover the subject populations for different report areas within those two reports, will be modified to reflect the new definitions for report received, payments received and audit dates. Further, the Benefits Data Validation populations will be modified to reflect newly defined fields in the new database to accurately gather populations 1, 2, 3, 3a, 4, 5, 12, 13, 14, and 15. These populations, which are used to confirm the accuracy upon which the ETA 586 (combined wage claims), 9050/9051/207 (Non-monetary adjudication), and 227 (Restitution and overpayments) are based and need modification specific to determination issue, report and payment dates.

Shared Work Project

- Develop code in MiDAS for employer application process to allow shared work
- Develop code in MiDAS for claimant application process receive shared work benefits
- Unit test employer/claimant processes within the new architecture
- Unit test generation of all mandated reports based on new processing requirements
- Changes will be required to the following business objects within MiDAS
    - Develop Shared-Work account type
    - Develop Shared-Work registration case
    - Develop Shared-Work employee import web request
    - Develop Shared-Work weekly certification
    - Develop Shared-Work benefit charging process
    - Develop Shared-Work employer billing process
    - Develop Shared-Work redetermination process
    - Develop Shared-Work benefit payment process
    - Develop Shared-Work online access for employers
    - Develop Shared-Work online access for claimants
    - Develop Shared-Work online help and file upload guide
    - Develop Shared-Work staff work items
    - Develop new Shared-Work forms
        - Notice to Employees of Approval of Shared-Work Plan
        - Notice to Employees of Termination of Shared-Work Plan
        - Employer billing notice
    - Updates to ETA Reporting for Shared-Work
        - Updates to ETA 5159
        - Updates to ETA 207
        - Updates to ETA 539
        - Updates to ETA 5130
        - Updates to ETA 9050
        - Updates to ETA 9051
        - Updates to ETA 9052
        - Updates to ETA 9054
        - Updates to ETA 9055
        - Updates to ETA 227
        - Updates to ETA 9047
- Develop Shared-Work accounting within general ledger

The Shared Work project (referred to hereafter as Workshare) will develop and implement a method by which employers may apply for inclusion in a lay-off reduction program. The Workshare system will evaluate the employer status for potential eligibility for the program, and create tools thru which the employers can manage their participation. The Workshare system will create a method thru which employers will interact thru the life of their Workshare program, and will enable the system to pay the Workshare benefits to the involved employees. The workshare project will establish general ledger entries for tracking and auditing purposes for the above listed 11 ETA reports and create two (2) new ETA reports for USDOL compliance: ETA 9128 and 9129.

Employer TOP Intercepts Project

- Develop code in MiDAS for benefits to the Treasury Offset Program (TOP) as applied to fraudulent overpayments
- Unit test new system for accuracy of data assessed and reported
- Unit test generation of related USDOL and Treasury reports based on the new program
- Changes will be required to the following business objects within MiDAS
    - Develop site query to identify employers that qualify for TOP Intercept

- Develop Employer TOP Intercept type
- Develop new Employer TOP Intercept forms
    - Notice of Employer TOP Intercept
    - Notice of Employer TOP Intercept termination
- Develop new transaction type for Employer TOP Intercept
- Develop new offset process for Employer TOP Intercepts
- Develop Employer TOP Intercept within general ledger

The employer TOPS intercept project will expand on the currently active claimant TOPS intercept program. The program will create a method by which employers who have agency debt can be included in the TOPS interchange with the IRS. The collection case that the staff uses to manage collection activities for employers will be updated to include TOPS information and activity tracking. The letters required for employer notification of inclusion in TOPS will be created, along with the workflow for returned correspondence. General ledger accounting and ETA reports modification will be completed as a part of the project.

REA Project

- Develop code interfaces into MiDAS for increasing in the number of claimants receiving workforce services, Employment Outcome Improvement, Reduction in Average Benefit Duration and Reduction in Improper Payment
- Unit test new system for accuracy of data reported and interfaces with the WDA applications
- Unit test generation of all new USDOL ETA reports based on new registration requirements
- Changes will be required to the following business objects within MiDAS
    - Develop REA case type
    - Develop site query to identify claimant that qualify for REA
    - Develop process to allow REA selection benchmarks to be set
    - Develop outgoing interface with WDA
        - REA Outgoing File
    - Develop incoming interface with WDA
        - REA Response File
    - Develop new REA forms
        - Notification of REA Selection
    - Develop process to exclude REA from NDNH cross match selection
    - Develop REA Work Items
        - Failure to Schedule REA
        - Failure to Participate REA
        - Failure to Complete REA
    - Develop REA Non-Monetary Issues
        - Failure to Schedule REA
        - Failure to Participate REA
        - Failure to Complete REA
    - Develop REA ETA Reports
        - ETA 9128
        - ETA 9129
    - Develop user security access for REA WDA users

The Reemployment Eligibility Assessment (REA) project will establish a method by which claimants will be chosen for referral to one of several select Michigan Works! Agency locations identified by the Workforce Development Agency (WDA) for re-employment services. As the aim of the program is to reduce the duration of unemployment payments to the identified claimants thru the enrollment in special services, the project will identify the claimants in need of services, create a method of interfacing with the WDA/MWA to establish the participants. The project will develop means of notifying the claimants of their inclusion in the program and their rights and responsibilities. The program will develop a means by which the participation results can be transmitted back to the UIA for tracking and follow-up activities. The ETA reports necessary to measure the effectiveness of the program will be developed. Maintenance and support of the program will be required as the parameters may need to be adjusted through the life of the project in order to meet the established participation goals defined in the grant.

DELIVERABLES:

Deliverables will not be considered complete until the Agency and DTMB Project Managers have formally accepted them. Contractor will provide the following deliverables for each of the USDOL-mandated enhancements:

UI Decision Support System Project

Provide a functional system that provides the following reporting functionality:

- MiDAS Task Inventory*

- Genesys Advisor ACD (time on phone calls)
- iCapture inventory indexing and scanning
- Recovery/TOPS funds vs. hours worked
  *need to measure Field Audit/Fraud investigator time in office vs. field

Data Validation Project

- All USDOL requirements integrated into the MiDAS system in the required timeframes

Shared Work Project

- Configuration of new shared work Claim Type
- Configuration of new shared work monetary determination calculation and letter template
- Configuration of new shared work Certification Type
- Configuration of charging for shared work benefit payments
- Development for Employer filed shared work claims (if EFC claims determined to not meet the functionality) - As the initial development for STC assumed the ability to use the same file format as the existing EFC, but that assumption pre-dated the benefits development of our new system. A complete review and potential redesign of the file may be necessary to confirm compatibility with claims functions.
- Development for Employer filed certifications
- Analyze and make changes to the claims filing matrix for claimants that may file normal UI claim after shared work.
- Make changes to processing to allow the overlap of claims types, shared work may overlap with normal UI claims.
- Update monetary calculation on normal UI claim to take into account wages used on prior shared work claims.
- Additional configuration for Revenue Accounting and GL Accounting

Employer TOP Intercepts Project

- Development of configuration in MiDAS for the purposes of identifying and referring only those employers as identified in UIPL 11-14 (sole proprietors and partnerships)

REA Project

- Increase in the number of claimants receiving workforce services
- Employment Outcome Improvement
- Reduction in Average Benefit Duration
- Reduction in Improper Payment

ACCEPTANCE CRITERIA:

Completed and functional interfaces for each of the SBR Projects:

1. UI Decision Support System must provide a functional system that provides the following reporting functionality, including MiDAS inventory information and production processing statistics. This new system functionality will be tested and used by management staff to discover where additional training is required to assist staff with working in the MiDAS and MiWAM systems. Additionally, it will be used to set minimum performance expectations for staff productivity and measure that productivity over time. The system will be considered complete once the system is tested and has been in use by UIA for 30 days.
2. Data Validation must provide new data populations to meet all new USDOL requirements for new ETA reporting. USDOL requires numerous federal reports based on divergent criteria that they establish based on claims load, employer participation and any involved State Of Michigan laws. These criteria change often and the changes are migrated to an USDOL owned and maintained SUN systems. Changes are made to the MiDAS and MiWAM systems and the information is fed into the SUN system to see if they pass the federal mandates. These changes will be considered complete when the populations sent to the SUN system pass UIA Analysis and reporting and USDOL reviews. The project will be considered complete when the system has been tested and in production for 30 days.
3. Shared Work must provide the ability for employers to apply for and claimants to receive shared work claims.
4. Employer TOP Intercepts must allow MiDAS to identifying employers as identified in UIPL 11-14 (sole proprietors and partnerships) for the purposes of intercepting SOM Treasury refunds.
5. REA must interface with the WDA/MWA systems to track how well reemployment services are functioning in conjunction with unemployment insurance payments. Deliverables will meet the USDOL-mandated functionality as described in UIA's SBR grant application.

All five Projects will meet the enhancement requirements mandated by the USDOL.

PROJECT CONTROL AND REPORTS:

A monthly progress report must be submitted to the Agency and DTMB Project Managers throughout the life of this project. Each progress report must contain current status, actions taken, progress made, and any risks identified since the previous report progress report.

SPECIFIC DEPARTMENT STANDARDS:
There are no Agency/Department specific standards, therefore DTMB standards will apply.

PAYMENT SCHEDULE:
Contractor will provide the above-described five projects on a firm fixed price deliverables basis as follows:

UI Decision Support System	$108,000
Data Validation	$194,400
Shared Work	$360,000
Employer TOP Intercepts	$ 18,900
REA	$ 72,000
Total	**$753,300**

Contractor may invoice the State for each of the five respective projects on a lump sum basis after the State has formally accepted that project. All funds for these deliverables are USDOL Federal SBR (Supplemental Budget Requests) dollars that must be expended within given timeframes or the funds must be returned to USDOL. Payment shall be considered timely if made by the DTMB within forty-five (45) days after receipt of properly completed invoices.

EXPENSES:
The State will NOT pay for any travel expenses, including hotel, mileage, meals, parking, etc.

PROJECT CONTACTS:
The designated Agency Project Manager is:

Clayton Tierney
Unemployment Insurance Agency
Office of Technology and Modernization
Cadillac Place
3024 West Grand Blvd.
Suite L-500
Detroit, MI 48202
(313) 456-3190

The designated DTMB Project Manager is:

Debra Patterson
Department of Technology, Management and Budget
Customer Service
Cadillac Place
3024 West Grand Blvd.
Suite L-500
Detroit, MI 48202
(313) 456-4926

AGENCY RESPONSIBILITIES:
Provide all required information the vendor needs to implement the interfaces for each SBR Project.

LOCATION OF WHERE THE WORK IS TO BE PERFORMED:
Contractor consultants will work at Cadillac Place in Detroit, Michigan.

EXPECTED CONTRACTOR WORK HOURS AND CONDITIONS:
Work hours are not to exceed eight (8) hours a day, forty (40) hours a week. Normal working hours of 8:00 am to 5:00 pm are to be observed unless otherwise agreed to in writing.

No overtime will be permitted.

ID	Task Name	Duration	Start	Finish	Predecessors
1	**UI Decision Support System**	**188 days**	**Mon 1/12/15**	**Wed 9/30/15**	
2	**Develop DSS Controls**	**175 days**	**Mon 1/12/15**	**Fri 9/11/15**	
3	DSS Model List	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
4	DSS Model Springboard	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
5	DSS Model Details	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
6	DSS Model Results List	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
7	DSS Results Detail	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
8	**Develop site DSS Business Objects**	**175 days**	**Mon 1/12/15**	**Fri 9/11/15**	
9	DSS Model Result BO to collect result information based on a specified date range	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
10	DSS Model BO to allow users to add and maintain DSS models	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
11	Develop the DSS Springboard	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
12	**Develop Site Application Tables**	**175 days**	**Mon 1/12/15**	**Fri 9/11/15**	
13	Application table to store DSS model information	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
14	Application table to store DSS model workflow figures	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
15	**Develop Site Documents**	**175 days**	**Mon 1/12/15**	**Fri 9/11/15**	
16	Document to display DSS model details	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
17	Document to display DSS model results list	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
18	Document to display DSS model results	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
19	Document to displays DSS information based on a specified date range	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
20	Document to allow users to model information for "What If" scenarios	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
21	**Data Validation**	**175 days**	Mon 1/12/15	**Fri 9/11/15**	
22	**Develop site Business Objects to collect ETA information to submit to USDOL Sun System**	**175 days**	Mon 1/12/15	**Fri 9/11/15**	
23	BO to collect ETA 581 data	175 days?	Mon 1/12/15	**Fri 9/11/15**	
24	BO to collect ETA 204 data	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
25	BO to collect ETA 218 data	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
26	BO to collect ETA 586 data	175 days?	Mon 1/12/15	**Fri 9/11/15**	
27	BO to collect ETA 9050 data	175 days?	Mon 1/12/15	**Fri 9/11/15**	
28	BO to collect ETA 9051 data	175 days?	Mon 1/12/15	**Fri 9/11/15**	
29	BO to collect ETA 207 data	175 days?	Mon 1/12/15	**Fri 9/11/15**	
30	BO to collect ETA 227 data	175 days?	Mon 1/12/15	**Fri 9/11/15**	
31	**Develop site Business Objects to collect Data Population extract to submit USDOL Sun System**	**175 days**	Mon 1/12/15	**Fri 9/11/15**	
32	BO to collect Tax Population 1 data extract	175 days?	Mon 1/12/15	**Fri 9/11/15**	
33	BO to collect Tax Population 2 data extract	175 days?	Mon 1/12/15	**Fri 9/11/15**	
34	BO to collect Tax Population 3 data extract	175 days?	**Mon 1/12/15**	**Fri 9/11/15**	
35	BO to collect Tax Population 4 data extract	175 days?	Mon 1/12/15	**Fri 9/11/15**	
36	BO to collect Tax Population 5 data extract	175 days?	Mon 1/12/15	**Fri 9/11/15**	
37	BO to collect Benefit Population 1 data extract	175 days?	Mon 1/12/15	**Fri 9/11/15**	
38	BO to collect Benefit Population 2 data extract	175 days?	Mon 1/12/15	**Fri 9/11/15**	
39	BO to collect Benefit Population 3 data extract	175 days?	Mon 1/12/15	**Fri 9/11/15**	
40	BO to collect Benefit Population 3a data extract	175 days?	Mon 1/12/15	**Fri 9/11/15**	

ID	Task Name	Duration	Start	Finish	Predecessors
41	BO to collect Benefit Population 4 data extract	175 days?	Mon 1/12/15	Fri 9/11/15	
42	BO to collect Benefit Population 5 data extract	175 days?	Mon 1/12/15	Fri 9/11/15	
43	BO to collect Benefit Population 12 data extract	175 days?	Mon 1/12/15	Fri 9/11/15	
44	BO to collect Benefit Population 13 data extract	175 days?	Mon 1/12/15	Fri 9/11/15	
45	BO to collect Benefit Population 14 data extract	175 days?	Mon 1/12/15	Fri 9/11/15	
46	BO to collect Benefit Population 15 data extract	175 days?	Mon 1/12/15	Fri 9/11/15	
47	ETA and Populations pass USDOL Sun System validation	175 days?	Mon 1/12/15	Fri 9/11/15	
48	**Shared-Work**	**175 days**	Mon 1/12/15	Fri 9/11/15	
49	Develop Shared-Work account type	175 days?	Mon 1/12/15	Fri 9/11/15	
50	Develop Shared-Work registration case	175 days?	Mon 1/12/15	Fri 9/11/15	
51	Develop Shared-Work employee import web request	175 days?	Mon 1/12/15	Fri 9/11/15	
52	Develop Shared-Work weekly certification	175 days?	Mon 1/12/15	Fri 9/11/15	
53	Develop Shared-Work benefit charging process	175 days?	Mon 1/12/15	Fri 9/11/15	
54	Develop Shared-Work employer billing process	175 days?	Mon 1/12/15	Fri 9/11/15	
55	Develop Shared-Work redetermination process	175 days?	Mon 1/12/15	Fri 9/11/15	
56	Develop Shared-Work benefit payment process	175 days?	Mon 1/12/15	Fri 9/11/15	
57	Develop Shared-Work online access for employers	175 days?	Mon 1/12/15	Fri 9/11/15	
58	Develop Shared-Work online access for claimants	175 days?	Mon 1/12/15	Fri 9/11/15	
59	Develop Shared-Work online help and file upload guide	175 days?	Mon 1/12/15	Fri 9/11/15	
60	Develop Shared-Work staff work items	175 days?	Mon 1/12/15	Fri 9/11/15	
61	**Develop new Shared-Work forms**	**175 days**	Mon 1/12/15	Fri 9/11/15	
62	Notice to Employees of Approval of Shared-Work Plan	175 days?	Mon 1/12/15	Fri 9/11/15	
63	Notice to Employees of Termination of Shared-Work Plan	175 days?	Mon 1/12/15	Fri 9/11/15	
64	Employer billing notice	175 days?	Mon 1/12/15	Fri 9/11/15	
65	**Updates to ETA Reporting for Shared-Work**	**175 days**	Mon 1/12/15	Fri 9/11/15	
66	Updates to ETA 5159	175 days?	Mon 1/12/15	Fri 9/11/15	
67	Updates to ETA 207	175 days?	Mon 1/12/15	Fri 9/11/15	
68	Updates to ETA 539	175 days?	Mon 1/12/15	Fri 9/11/15	
69	Updates to ETA 5130	175 days?	Mon 1/12/15	Fri 9/11/15	
70	Updates to ETA 9050	175 days?	Mon 1/12/15	Fri 9/11/15	
71	Updates to ETA 9051	175 days?	Mon 1/12/15	Fri 9/11/15	
72	Updates to ETA 9052	175 days?	Mon 1/12/15	Fri 9/11/15	
73	Updates to ETA 9054	175 days?	Mon 1/12/15	Fri 9/11/15	
74	Updates to ETA 9055	175 days?	Mon 1/12/15	Fri 9/11/15	
75	Updates to ETA 227	175 days?	Mon 1/12/15	Fri 9/11/15	
76	Updates to ETA 9047	175 days?	Mon 1/12/15	Fri 9/11/15	
77	Develop Shared-Work accounting within general ledger	175 days?	Mon 1/12/15	Fri 9/11/15	
78	**Employer TOP**	**69 days**	Tue 6/9/15	Fri 9/11/15	
79	Develop site query to identify employers that qualify for TOP Intercept	69 days?	Tue 6/9/15	Fri 9/11/15	
80	Develop Employer TOP Intercept type	69 days?	Tue 6/9/15	Fri 9/11/15	
81	**Develop new Employer TOP Intercept forms**	**69 days**	Tue 6/9/15	Fri 9/11/15	
82	Notice of Employer TOP Intercept	69 days?	Tue 6/9/15	Fri 9/11/15	

ID	Task Name	Duration	Start	Finish	Predecessors
83	Notice of Employer TOP Intercept termination	69 days?	Tue 6/9/15	Fri 9/11/15	
84	Develop new transaction type for Employer TOP Intercept	69 days?	Tue 6/9/15	Fri 9/11/15	
85	Develop new offset process for Employer TOP Intercepts	69 days?	Tue 6/9/15	Fri 9/11/15	
86	Develop Employer TOP Intercept within general ledger	69 days?	Tue 6/9/15	Fri 9/11/15	
87		69 days?	Tue 6/9/15	Fri 9/11/15	
88	**REA**	69 days	Tue 6/9/15	Fri 9/11/15	
89	Develop REA case type	69 days?	Tue 6/9/15	Fri 9/11/15	
90	Develop site query to identify claimant that qualify for REA	69 days?	Tue 6/9/15	Fri 9/11/15	
91	Develop process to allow REA selection benchmarks to be set	69 days?	Tue 6/9/15	Fri 9/11/15	
92	**Develop outgoing interface with WDA**	69 days	Tue 6/9/15	Fri 9/11/15	
93	REA Outgoing File	69 days?	Tue 6/9/15	Fri 9/11/15	
94	**Develop incoming interface with WDA**	69 days	Tue 6/9/15	Fri 9/11/15	
95	REA Response File	69 days?	Tue 6/9/15	Fri 9/11/15	
96	**Develop new REA forms**	69 days	Tue 6/9/15	Fri 9/11/15	
97	Notification of REA Selection	69 days?	Tue 6/9/15	Fri 9/11/15	
98	Develop process to exclude REA from NDNH cross match selection	69 days?	Tue 6/9/15	Fri 9/11/15	
99	**Develop REA Work Items**	69 days	Tue 6/9/15	Fri 9/11/15	
100	Failure to Schedule REA	69 days?	Tue 6/9/15	Fri 9/11/15	
101	Failure to Participate REA	69 days?	Tue 6/9/15	Fri 9/11/15	
102	Failure to Complete REA	69 days?	Tue 6/9/15	Fri 9/11/15	
103	**Develop REA Non-Monetary Issues**	69 days	Tue 6/9/15	Fri 9/11/15	
104	Failure to Schedule REA	69 days?	Tue 6/9/15	Fri 9/11/15	
105	Failure to Participate REA	69 days?	Tue 6/9/15	Fri 9/11/15	
106	Failure to Complete REA	69 days?	Tue 6/9/15	Fri 9/11/15	
107	**Develop REA ETA Reports**	69 days	Tue 6/9/15	Fri 9/11/15	
108	ETA 9128	69 days?	Tue 6/9/15	Fri 9/11/15	
109	ETA 9129	69 days?	Tue 6/9/15	Fri 9/11/15	
110	Develop user security access for REA WDA users	69 days?	Tue 6/9/15	Fri 9/11/15	

Form No. DMB 234 (Rev. 1/96)
AUTHORITY: Act 431 of 1984
COMPLETION: Required
PENALTY: Contract will not be executed unless form is filed

STATE OF MICHIGAN
DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET **August 30, 2011**
PURCHASING OPERATIONS
P.O. BOX 30026, LANSING, MI 48909
OR
530 W. ALLEGAN, LANSING, MI 48933

NOTICE
OF
CONTRACT NO. 071B1300367
between
THE STATE OF MICHIGAN
and

NAME & ADDRESS OF CONTRACTOR	TELEPHONE (208) 890-6598
Fast Enterprises, LLC. **6400 S. Fiddler's Green Circle, Suite 1500** **Greenwood Village, CO 80111**	**James G. Harrison**
	CONTRACTOR NUMBER/MAIL CODE
Email: jgh@gentax.com	BUYER/CA (517) 373-3993 **Joe Kelly**

Contract Compliance Inspector: Kirt Berwald

Unemployment Insurance Agency – Integrated System Project (UIA-IS)
Design, Configuration and Implementation (DDI)

CONTRACT PERIOD:	From: **August 29, 2011** To: **August 28, 2016**
TERMS **N/A**	SHIPMENT **N/A**
F.O.B. **N/A**	SHIPPED FROM **N/A**

ALTERNATE PAYMENT OPTIONS:

☐ P-card ☐ Direct Voucher (DV) ☐ Other

MINIMUM DELIVERY REQUIREMENTS
N/A

MISCELLANEOUS INFORMATION:

TOTAL ESTIMATED CONTRACT VALUE: $47,026,150.00

Form No. DMB 234 (Rev. 1/96)
AUTHORITY: Act 431 of 1984
COMPLETION: Required
PENALTY: Contract will not be executed unless form is filed

STATE OF MICHIGAN
DEPARTMENT OF TECHNOLOGY, MANAGEMENT AND BUDGET
PURCHASING OPERATIONS
P.O. BOX 30026, LANSING, MI 48909
OR
530 W. ALLEGAN, LANSING, MI 48933

CONTRACT NO. 071B1300367
between
THE STATE OF MICHIGAN
and

NAME & ADDRESS OF CONTRACTOR **Fast Enterprises, LLC.** **6400 S. Fiddler's Green Circle, Suite 1500** **Greenwood Village, CO 80111** **Email: jgh@gentax.com**	TELEPHONE (208) 890-6598 **James G. Harrison** CONTRACTOR NUMBER/MAIL CODE BUYER/CA (517) 373-3993 **Joe Kelly**
Contract Compliance Inspector: Kirt Berwald **Unemployment Insurance Agency – Integrated System Project (UIA-IS)** **Design, Configuration and Implementation (DDI)**	
CONTRACT PERIOD: From: **August 29, 2011** To: **August 28, 2016**	
TERMS **N/A**	SHIPMENT **N/A**
F.O.B. **N/A**	SHIPPED FROM **N/A**
ALTERNATE PAYMENT OPTIONS: ☐ P-card ☐ Direct Voucher (DV) ☐ Other	
MINIMUM DELIVERY REQUIREMENTS **N/A**	
MISCELLANEOUS INFORMATION: **The terms and conditions of this Contract are those of ITB #071I1300012, this Contract Agreement and the vendor's quote. In the event of any conflicts between the specifications, and terms and conditions, indicated by the State and those indicated by the vendor, those of the State take precedence.** **Estimated Contract Value: $47,026,150.00**	

THIS IS NOT AN ORDER: This Contract Agreement is awarded on the basis of our inquiry bearing the ITB No. 071I1300012. Orders for delivery will be issued directly by the Department of Technology Management and Budget through the issuance of a Purchase Order Form.

All terms and conditions of the invitation to bid are made a part hereof.

FOR THE CONTRACTOR:	**FOR THE STATE:**
Fast Enterprises, LLC Firm Name	Signature Jeff Brownlee, Chief Procurement Officer
Authorized Agent Signature	Name/Title DTMB Purchasing Operations
Authorized Agent (Print or Type)	Division
Date	Date



STATE OF MICHIGAN
Department of Technology, Management and Budget
Purchasing Operations

Contract No. **071IB1300367**
Unemployment Insurance Agency – Integrated System Project (UIA-IS)

Buyer Name: Joe Kelly

Telephone Number: (517) 373-3993

E-Mail Address: kellyj@michigan.gov

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ARTICLE 1 - STATEMENT OF WORK (SOW)

1.000 PROJECT IDENTIFICATION

1.001 PROJECT REQUEST

The State of Michigan (State or SOM) through the Department of Licensing and Regulatory Affairs (LARA), Unemployment Insurance Agency (UIA) and the Department of Technology, Management and Budget (DTMB) has issued this Contract for the design, configuration, and implementation of a system to replace the existing Unemployment Insurance Legacy Systems (UI-LS) that administer unemployment insurance tax collection and disburse unemployment insurance benefits. This new system is referred to as the Unemployment Insurance Agency Integrated System (UIA-IS) Project.

The Department's goals associated with this project require the Contractor to provide an integrated Tax and Benefits technology system that meets the following criteria:

- Improve Customer Service
- Eliminate Manual, Labor Intensive Processes
- Increase Data Accuracy
- Improve Security and Privacy
- Provide Ability to Share Data, Real Time, Across Functions
- Improve Ease of System Maintenance and Support
- Implement Common Technical Standards
- Reduce Costs

This contract articulates the State's expectations of the Contractor to replace the UI-LS with a state-of-the-art Unemployment Insurance Agency Integrated System (UIA-IS). The Contractor is responsible for the full lifecycle construction of the UIA-IS, including planning, design, configuration/construction, testing and implementation. Implementation must include conversion, migration, training, warranty, maintenance and support.

The Contractor will implement GenTax, a FAST Enterprises, LLC proprietary commercial-off-the-shelf (COTS) solution, and support the State installation of all necessary associated hardware and software, to replace the unemployment insurance functions provided by the UI-LS and described by the requirements in Appendix A (Technical) and Appendix B (Functional), and any agreed/approved changes. The State requires the Contractor solution to be based in a State operated data center(s).

All project work must be performed in close cooperation with the State, the Project Management Office (PMO) and the Independent Verification and Validation (IV&V) vendor. Refer to Section 1.202 for more information about the State Project Managers, PMO and IV&V.

1.002 BACKGROUND

The Michigan Unemployment Insurance Agency (UIA) is responsible for collecting taxes from Employers and disbursing UI benefits to eligible Claimants as defined in the Michigan Employment Security Act (http://www.michigan.gov/documents/ua_mesact_3103_7.pdf).

AGENCY MISSION STATEMENT: "Everything we do is aimed at providing the highest quality unemployment insurance services, ensuring the economic growth of Michigan – its Employers and its workers."

AGENCY VISION STATEMENT: "We strive to be the best Unemployment Insurance Agency for our customers and employees exemplifying integrity and excellence."

AGENCY VALUES: "Integrity, Trust, Excellence, Employees, Inclusion, Teamwork, Customer Focus, and Communication."

State Project Goals

The State goals for this project are for the Contractor to develop a modern, integrated system able to provide the unemployment services expected by Staff, Claimants, Employers, and Federal partners. Upon project completion, the Contractor solution should strive to meet the following goals, articulated in the Contract:

- Reduce costs of operations, specifically in removal of redundant operations, elimination of data errors, detection and elimination of fraud (where possible), and the introduction of streamlined processes
- Improve ease of system maintenance and support, and provide solid knowledge transfer during system development so that the State can maintain and support the system after full Implementation and the final warranty period
- Improve service to both Claimants and Employers through web-based, self-service activities
- Eliminate manual, labor-intensive processes for Staff, Employers, and Claimants that interact with the system
- Increase data accuracy at "entry point" and remove duplicate data entry
- Improve security and privacy of data and data access
- Eliminate unnecessary manual calculations
- Provide ability to access, share and report on data, real time, across functions, preferably through the use of a single, integrated database
- Implement common technical architecture, complying with applicable State standards
- Ensure compliance with the Michigan Employment Security Act, UI Administrative Rules and Federal Laws and Regulations
- Replace UI's Tax and Benefit System into a fully integrated system that satisfies all functional and technical requirements detailed in Appendix A & Appendix B
- Reduce ongoing maintenance costs
- Utilize technology that meets State standards and criteria
- Develop and implement a project plan and schedule that utilizes UIA's resources
- Improve business process cycle time, service quality, data accuracy, and operating performance
- Simplify workflow and processing of UI business and apply an appropriate level of automation and support, while maintaining the necessary checks and balances for financial transactions

The GenTax implemented Contractor solution must comply with the UIA need for its core tax and benefit business systems to share data, in real time, across functions, including adjudication, trust fund accounting, and field audit. The GenTax solution must have intelligent interfaces to enhance customer service and ease of use. The GenTax solution should strive to reduce paperwork, provide real time data verifications, and reduce duplicate data entry.

Current Status and Issues

Currently, the UI-LS that UIA uses to administer Unemployment Insurance tax and benefits are spread over several legacy systems and platforms of varying ages. Development, maintenance, support, and control have become more challenging as each new system has added a new level of complexity.

While most core UI-LS reside in a mainframe environment, UIA has implemented several remote, self-service applications for use by external parties. These remote applications currently use server-based applications to access Oracle databases, which in turn use WebSphere MQ messaging or FTP to transfer and update the OS390 mainframe IMS databases. UIA uses two (2) separate Interactive Voice Response (IVR) systems to gather claims data, and passes some of these calls to a PBX and ACD system relying on intelligent routing. One IVR system is connected to the mainframe and the other to Oracle. The majority of the data processing transactions occur in the mainframe environment. However, the data entry points - where UIA interacts with internal and external parties - have increasingly relied on newer technologies. These processes need comprehensive review and integration, in an environment that can meet the level of service delivery required by UIA.

The State has developed front-end, web-based applications for Claimants and Employers to access the current system. The functionality of these front-end applications is robust and extensive, and must not be "lost" during phased implementations. It must also be noted that because these applications are already in full

implementation, the State currently receives substantial benefits - negating some of the potential "quick-wins" typically found in a UIA modernization project.

The following information is provided to establish the scale of the project:

- In calendar year (CY) 2007, Michigan's unemployment rate was 7.2% and UIA paid out nearly $1.8 billion in regular State and Federal unemployment benefits.
- For CY 2009 Michigan paid over $3.77 billion in regular State benefits to approximately 914,000 Claimants, and had an average unemployment rate of 15.9%. At 14.1%, Michigan currently has one of the highest unemployment rates in the country. Consequently, in addition to regular UI Benefits, Michigan is paying out State Extended Benefits (EB) as well as Federal Emergency Unemployment Compensation (EUC). The total payment for CY 2009 including State and Federal regular, extended, and emergency benefits totaled over $7.1 billion.
- In addition, the claims load is anticipated to increase though CY 2010, resulting in increased benefit payouts through CY 2011. Michigan has approximately 213,000 Employers registered in the unemployment system.

1.100 SCOPE OF WORK AND DELIVERABLES

1.101 IN SCOPE

The scope of work for this project includes the following services/activities:

Section Ref.	Activity	Overview
1.104.1	Preparation Phase	The Preparation phase develops the roadmap that will define how the implementation is executed.
1.104.2	Definition Phase	The Definition phase is the first step each team takes in defining the work that will be performed to deliver the line of business.
1.104.3	Base Configuration Phase	The Base Configuration phase structures and implements the starting point for the rollout. Once the baseline is in place, the system will support basic navigation and processing. The final output of this phase is a set of finalized Implementation Specifications that define the remaining work.
1.104.4	Development Phase	During Development, the finalized Implementation Specifications are used to produce work packages for developers that specify parameters, select options, thresholds and other types of configuration, enhancements, or programming.
1.104.5	Conversion Phase	Conversion provides the new system with a base set of data against which the business functions operate.
1.104.6	Testing Phase	The Testing phase ensures that the production system is able to meet the business needs in a robust and stable manner. This includes identification of system and specification instabilities or issues.
1.104.7	User Training Phase	During the Training phase, user documentation is prepared and users are trained to use the new system.
1.104.8	Roll-out Phase	The Rollout Phase delivers the lines of business to production.
1.104.9	Operation Services	Operational service activities are those required for the Contractor to operate the implemented UIA-IS system in a production environment.
1.104.10	Knowledge Transfer & Transition	The knowledge Transfer activities ensure that sufficient members of the State receive CBT, hands-on training and/or classroom training to maintain and enhance the new UIA-IS. The transition activities include tasks required to transition the fully implemented system to State control and support.
1.104.11	Warranty	These activities include supporting the system for a continuous period of twelve (12) months after the fully integrated system is operating in a production environment. Warranty phases are necessary for each Implementation.

Section Ref.	Activity	Overview
1.104.12	Maintenance & Support	The maintenance and support activities ensure that support and continuing maintenance of the new UIA-IS is provided by the Contractor under the agreed Level 3 support.
1.104.13	Historical Records Management	The historical records management tasks detail State requirements for project document and artifacts retention, as required by legislation and/or policy.
1.104.14	Supplemental Services	The supplemental services are available during the contract to support change requests, as approved by the state.

A more detailed description of the software, services (work), and deliverables sought for this project is provided in Section 1.104, Work and Deliverables.

1.102 OUT OF SCOPE

Some existing UIA system components will remain as active and integrated components to the Contractor solution. The Contractor must integrate their solution with these components, and any modifications to these components are out-of-scope to the Contractor. The Contractor is required to participate in discussions with the system component Contractor in regards to interface development. The State is responsible for facilitating any modifications to the out-of-scope system components. The following system components fall into this category:

- FileNet: Document management and imaging system repository
  Note: As part of the interface to the FileNet system, the State should be able to use single sign-on capabilities to access the FileNet document management system images.
- IBM InfoPrint: Printers and software to print forms to collect taxes, collect Claimant information, mail Employer information about filed claims and wage reporting, and mail claim information to Claimants
- RightFax: Software that enables the State to accept any unemployment-related documents via fax, process them (converting to the proper format) and route them through the Work Distribution Center (WDC) and into FileNet system
- iCapture: scanning and capture software
- IVR: There are two (2) Interactive Voice Response (IVR) Systems – one used for Telephone Filed Claims (TFC) and one used for Michigan Automated Response Voice Interactive Network (MARVIN)
  Note: Part of the interface to the Call Center Automated Call Distribution (ACD) and IVR systems must pass appropriate data and controls to and from the UIA-IS solution, allowing Call Center workstations to have a "screen pop" of caller information when answering an incoming call. The Contractor must support the IVR maintenance and support Contractor, who is responsible for updating the IVR scripts to support the UIA-IS.
- UIA Call Centers: State telephony architecture
- Organizational Change Management is the responsibility of the State. Except for support for this process from the Contractor, Organizational Change Management is outside the scope of the Contractor's Contract

1.103 ENVIRONMENT

The links below provide information on State Enterprise IT policies, standards and procedures, which include security policy and procedures, the State IT Strategic Plan and the State Unified Information Technology Environment (SUITE).

Enterprise IT Policies, Standards, and Procedures:
http://www.michigan.gov/dmb/0,1607,7-150-56355---,00.html
Information, Communication and Technology (ICT) Strategic Plan:
http://www.michigan.gov/itstrategicplan
IT eMichigan Web Development Standard Tools:
http://www.michigan.gov/documents/Look_and_Feel_Standards_2006_v3_166408_7.pdf
State Unified Information Technology Environment (SUITE):
http://www.michigan.gov/suite.

The Contractor must conform to State IT guidelines, policies and standards. Services and products provided through this contract must comply with all applicable State IT policies and standards in effect at the time the services are provided. The Contractor must request in writing and justify any exception to State IT policies and standards. It is the sole responsibility of the State to deny the exception request or to seek a policy or standards exception.

All software and hardware specified by the Contractor must run on, and be compatible with, the State Standard Information Technology Environment, except where superseded by specific State policies, Federal security standards, and regulations including the NIST SP800-53 moderate controls. Additionally, the State must be able to maintain software and other items produced by the Contract. Therefore, non-standard development tools must not be used, unless approved by the State or required as part of the GenTax COTS solution. The Contractor must request, in writing, approval to use non-standard software development tools, providing justification for the requested change and all costs associated with any change. The State Senior Project Manager(s) must approve (in writing) any tools before use on this project.

The State recognizes that technology changes rapidly, so the Contractor must request, in writing, a change in the standard environment, providing justification for the requested change and all costs associated with any change. Any changes must be approved, in writing, by the State Senior Project Manager(s) and the DTMB Enterprise Architecture office, before work will proceed based on the changed environment.

Solution Platform(s)

The Contractor must install the seven (7) environments as listed below to support the Contractor's implementation strategy:

- Development
- System Testing
- User Acceptance Testing (UAT)
- Training
- Staging
- Production
- eServices

These environments are not required to reside on distinct hardware, and can optionally operate in a Virtual Machine (VM) environment. All hardware and third party software to create the seven (7) environments - plus Disaster Recovery - is contained, as part of this contract, in the Contractor's cost tables and as detailed in the approved EA Solution Assessment Worksheet. The Contractor is responsible for any additional costs if the proposed hardware and third party software is not sufficient to create or maintain the environments with sufficient performance to support the GenTax solution.

The Contractor will be given access to maintain the environments as needed. This includes the necessary security access to the data centers, servers, files, software, and other components of the architecture on a 24x7 schedule. The State will control all accepted Production environments.

The State will provide data center maintenance activities for the new UIA-IS project once it has been accepted into Production. Such activities include backup/recovery of all project servers and databases, failure monitoring and notification, network monitoring and reporting, and telecommunication access.

The State Unified Information Technology Environment (SUITE)

The State will manage the project in accordance with the State Unified Information Technology Environment (SUITE) methodology, which includes standards for project management, systems engineering, and associated forms and templates. The Contractor will fulfill their responsibilities related to the SUITE methodology, as defined herein.

The Fast Implementation Methodology (FIM) will be utilized for COTS configuration and any application development necessary to build the new UIA-IS System. Fast documents may be substituted for SUITE PMM/SEM documents, as long as the requirements of the SUITE PMM/SEM document content are maintained. The State will review any Contractor recommendation and justification for document substitution, and provide appropriate comments, rejection or approval.

The acceptance criteria and approval process is defined in detail in Section 1.501 “Acceptance Criteria” and in Section 2.250 “Approval of Deliverables”.

1.104 WORK AND DELIVERABLES

This section describes the work and deliverables to be provided in support of the UIA-IS Project. The following table lists the high-level phases as well as the milestones, deliverables and tasks.

Ref. #	Phase	Milestone/Deliverable Task or Artifact
1.104.1	**Preparation Phase**	1.1 Project Planning
		1.2 Communication Plan
		1.3 System Overview
		1.4 Business Profiles
		1.5 General Timeline
		1.6 Confirm Infrastructure
		1.7 Inventory Inputs & Outputs
		1.8 Resource Identification
		1.9 Product Installation
1.104.2	**Definition Phase**	2.1 Work Team Assignment
		2.2 Preliminary Implementation Specification
		2.3 Implementation Specification Review
		2.4 Developer Technical Training
		2.5 COBIT Review
1.104.3	**Base Configuration Phase**	3.1 Scope Preliminary Configuration
		3.2 Preliminary Scope
		3.3 Verification
		3.4 Revise Implementation Specifications
		3.5 Implementation Specification Finalization Review
		3.6 Update Requirements Specification Document
		3.7 Update Requirements Traceability Matrix
1.104.4	**Development Phase**	4.1 Letters
		4.2 Reports
		4.3 External Interfaces
		4.4 Site-Specific Programming
		4.5 Review Configuration & Development
		4.6 Application Security
1.104.5	**Conversion Phase**	5.1 Inventory Data Resources
		5.2 Conversion Plan
		5.3 Data Purification
		5.4 Conversion Extracts
		5.5 Conversion Loads
		5.6 Sample Mock Conversions
		5.7 Full Mock Conversions
1.104.6	**Testing**	6.1 Test Planning
		6.2 Test Scenario Development
		6.3 System Testing

		6.4 Converted Data Testing
		6.5 Performance Testing
		6.6 End-to-End Testing
1.104.7	**User Training Phase**	7.1 Training Plan
		7.2 Training Material
		7.3 On-Line User Aids
		7.4 Training Data
		7.5 Classroom Training
		7.6 Collect/Report Training Information
		7.7 Evaluation of Training & Improvement Plan
		7.8 Post Classroom Practice Exercises
		7.9 Train the Trainers
		7.10 Training Facility Locations
1.104.8	**Rollout Phase**	8.1 Disaster Recovery Plan
		8.2 Run Conversion
		8.3 Production Cutover
		8.4 Additional SOM Activities
1.104.9	**Operation Services**	9.1 Operations Transition Plan
		9.2 Operations Services Plan
		9.3 Operations Documentation & Knowledge Base
1.104.10	**Knowledge Transfer & Transition**	10.1 Knowledge Transfer Plan
		10.2 Transition Plan (SEM-0701)
1.104.11	**Warranty**	11.1 Warranty
1.104.12	**Maintenance & Support**	12.1 System Maintenance Plan (SEM-0301)
1.104.13	**Historical Records Management**	13.1 Historical Records Management
1.104.14	**Supplemental Services**	14.1 Change Request

Contractor Written Deliverables

The State – working with the Contractor - will update the project schedule to ensure all deliverables are included and have appropriate completion dates identified. All written deliverables must include the appropriate review cycles, as defined in Contract Section 2.254, or as otherwise agreed.

For deliverables subject to approval, the State will only accept up to 5 documents (DEDs excluded), totaling less than 500 pages, for review and acceptance at any given time. The Contractor will work with the State to create and manage the written deliverables queue.

The State will adjust the project schedule where Federal, Legislative or Court Ordered mandates/changes must be prioritized into the project. In the event this occurs, the impact to deliverables will be subject to Issue, Risk and Change Management.

Required Project Management and IV&V Support
The Contractor shall engage the Project Management Office (PMO) and the Independent Verification and Validation (IV&V) vendors through all phases/stages of this contract, and as specifically described throughout this Contract.

Services (Work) To Be Provided and Deliverables
This system must comply with State and UIA's business and technical requirements. The hardware must be installed and fully operational by the dates specified in the State approved Project Plan. The COTS software must be installed and operate in the designated environments.

FAST Enterprises, LLC Intellectual Property
Contractor hereby asserts that anything provided by Fast that is not for the sole use of the State will constitute preexisting licensed works or GenTax information.

1.104.1 Preparation Phase

Objective
The objective of the Preparation Phase is for the project management team to develop the project definition and planning tools and artifacts.

Description
The following activities are performed during project planning and continue through the project execution, as appropriate and necessary to control and report on the project.

Tasks
- 1.1 Project Planning
- 1.2 Communication Plan
- 1.3 System Overview
- 1.4 Business Profiles
- 1.5 General Timeline
- 1.6 Confirm Infrastructure
- 1.7 Inventory Inputs & Outputs
- 1.8 Resource Identification
- 1.9 Product Installation

Task 1.1 Project Planning

Project Charter (PMM-002)
The Project Charter communicates the existence of a project after a Contractor has been selected for implementation. It contains vital information about the project and its leadership. The State – with Contractor input – will provide this deliverable.

Deliverables
- Project Charter

State Responsibility
- Create and submit Project Charter

Contractor Responsibility
- Provide input and clarifications to the State as needed

Acceptance Criteria
- None required – State Deliverable

Project Orientation & Kick-off Meeting

The Contractor project management staff must attend an orientation meeting to discuss the content and procedures of the Contract. The meeting must be held in Detroit or Lansing, Michigan, at a date and time mutually acceptable to the State and the Contractor, and must be completed within 10 business days of the contract start.

The Project Kickoff meeting provides opportunities to recognize the start of the project formally, meet project participants, communicate a shared view of the project, ensure understanding of the approved project charter, and clarify next steps for staff.

Timeframe

- Project Orientation meeting must be completed within 10 business days of the contract start
- Kick-off meeting must be held within 30 business days of contract start date

Deliverables

- None for this task

State Responsibility

- Develop specific objectives and agenda for Project Orientation meeting
- Schedule and chair Project Orientation meeting
- Generate meeting record for Project Orientation meeting
- Provide input to agenda for Kick-off meeting
- Attend Kick-off meeting

Contractor Responsibility

- Attend Project Orientation meeting
- Develop specific objectives and agenda for Kick-off meeting
- Schedule and chair Kick-off meeting
- Generate meeting record for Kick-off meeting

Acceptance Criteria

- None required

Project Plan (PMM-003)

The Project Plan must address all components of the SUITE PMM-003. The Project Management Plan creates a consistent, coherent document that is used to guide both Project execution and Project control. The State - with input from the Contractor - will create the Project Plan and its subcomponents and maintain the document throughout the life of the project. The State is responsible for establishing the overall Project Management Plan. The Contractor is also responsible for creating these plans, as they relate to their project activities. The State will incorporate the Contractor plan into a State document that will be followed during project execution.

At a minimum, the Project Plan shall include the Contractor's: Project Organization chart, Resource Plan, Risk Management Plan, Quality Management Plan and Communications Plan.

Deliverables

- Project Plan (PMM-003)

State Responsibility

- Create the Project Management Plan (PMM-003) and subcomponent plans
- Provide access to policies and procedures
- Provide State project resource estimates for State specific tasks
- Review and update the Project Management Plan

Contractor Responsibility

- Provide input and clarifications to the State as needed

Acceptance Criteria

- None required – State Deliverable

Risk Management Plan (PMM-006)

The State is responsible for establishing a Risk Management Plan and process, including the identification and recording of risk items, prioritization, definition of mitigation strategies, monitoring of items, and regularly scheduled assessment reviews with the Contractor.

The Contractor is responsible for updating the Risk Management Plan (PMM-006) that was submitted with their Technical Proposal, and providing that update to the State. The State will incorporate the Contractor plan into a State Risk Management Plan (PMM-006) that will be followed during project execution. The Risk Management Plan will be continuously updated during all phases of the project, and must be in accordance with the State PMM methodology. At a minimum, the risks will be updated weekly, utilizing a risk tracking tool provided by the State.

The Contractor and the State are responsible for identification of risks as well as mitigations, and updating or providing input to the risk tracking tool as necessary. Managing, mitigating and/or eliminating risks are the responsibility of the entire project team.

Deliverables

- Risk Management Plan (PMM-006)

State Responsibility

- Create the State Risk Management Plan
- Provide access to policies and procedures related to Contractor deliverables
- Identify and document risk items and mitigations
- Review Contractor's Risk Management Plan and update the State Risk Management Plan

Contractor Responsibility

- Update the Risk Management Plan (PMM-006) submitted with the Technical Proposal
- Provide input and clarifications to the State as needed
- Identify and document risk items and mitigations

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of Contractor prepared Risk Management Plan (PMM-006)

Quality Management Plan (PMM-007)

The quality management approach shall describe how the Quality Management Plan supports the State's quality standards and how they will be enforced on the project.

The Contractor is responsible for creating the Quality Management Plan (PMM-007). The State will incorporate the Contractor plan into a State Quality Management Plan (PMM-007) that will be followed during project execution. The Quality Plan must define activities and include processes, procedures, time frames, and standards that must be used to assure quality and the resources required to conduct quality related activities. When establishing the Quality Management Plan, the State will identify any quality risks, and describe how those risks will be mitigated.

Deliverables

- Quality Management Plan (PMM-007)

State Responsibility

- Create the State Quality Management Plan
- Provide access to policies and procedures related to Contractor deliverables
- Review the Contractor's Quality Management Plan and update the State Quality Management Plan

Contractor Responsibility

- Create the Contractor Quality Management Plan
- Provide input and clarifications to the State as needed

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of Contractor prepared Quality Management Plan (PMM-007)

Change Management Plan (PMM-009)

Change Management is defined as the process to communicate, monitor, and control all changes to project scope and the contract. The Contractor is to support the creation of the Change Management Plan (PMM-009) document to detail this process. The State and the Contractor will utilize the change management tracking tool provided by the State.

The Change Management Plan describes the approach to requirement change control, including the tracking of requirements, software used to track all requirements, reporting of requirements, assignment, resolution, and escalation of requirement change control requests.

Deliverables

- Change Management Plan (PMM-009)

State Responsibility

- Create the Change Management Plan
- Provide access to policies and procedures
- Review and update the Change Management Plan

Contractor Responsibility

- Provide input and clarifications to the State as needed

Acceptance Criteria

- None required – State Deliverable

Perform Scope Planning for Next Implementation Phase

Prior to the end of the production implementation of the Tax Phase, the Contractor must facilitate scope sessions to outline components to be in the Benefits Phase. At a minimum, the scope planning must provide updates (as necessary) to the: Project Charter, Project Plan, Project Schedule, and Implementation Plan.

Deliverables

- None for this task

State Responsibility

- Provide input to the Contractor for the agenda for Scope Planning meeting
- Attend Scope Planning meeting
- Update Project Plan documents and Project Schedule as necessary

Contractor Responsibility

- Develop specific objectives and agenda for Scope Planning meeting
- Schedule and chair Scope Planning meeting
- Generate meeting record for Scope Planning meeting

Acceptance Criteria

- None Required

Create Status Report - Weekly Reporting

The Contractor must prepare a weekly project status report and submit it to the State project management team. The weekly status report must follow the PMM defined format and content, and cover the previous weekly period.

As part of the Weekly Status Report, the Contractor must submit Action Items, Issues and Risk items, identify any staffing problems (unless best addressed confidentially) and other issues that may affect the project scope, schedule, budget or work products.

Deliverables

- Weekly Status Report

State Responsibility

- Review weekly status reporting format and content
- Review the Weekly Status Reports
- Attend the Weekly Status Reporting meeting

Contractor Responsibility
- Comply with the PMM defined Status Report format and content
- Completion of Weekly Project Status Reports
- Chair Weekly Status Reporting meetings

Acceptance Criteria
- None required

Create Status Report – Monthly Reporting

In this task, the Contractor must provide Monthly Status Reports. The monthly status report must follow the PMM or jointly agreed upon defined format and content, and cover the previous month period. The Monthly Status Report will summarize schedule performance to compare actual project performance with plan(s).

The Monthly Status Reports must also contain at a minimum:

- A narrative Status Report summarizing the project's status and any areas of concern
- Accomplishments and activities during the period
- Problems identified or encountered during the reporting period
- Outstanding issues from a consolidated issues log. Each issue (such as: contractual, technical, staffing, policy) will be annotated with expected State and Contractor actions for resolution during the next reporting period. Issues resolved since the last report also will be noted.
- Status of risks identified and active
- Planned activities for the next reporting period
- Milestones met and planned
- Create an executive dashboard (State 4-up report) that contains status on Milestones

Deliverables
- Monthly Status Report

State Responsibility
- Review monthly status reporting format and content
- Review Monthly Status Reports
- Attend Monthly Status Reporting meeting

Contractor Responsibility
- Comply with the PMM or jointly agreed upon defined Status Report format and content
- Completion of Monthly Project Status Reports
- Chair Monthly Status Reporting meetings

Acceptance Criteria
- None required

Create/Update Issue & Risk Report – Weekly Reporting

The State is responsible for establishing issues and risk reporting and process, including the identification and recording of issues/risk items, prioritization, definition of mitigation strategies, monitoring of items, and regularly scheduled assessment reviews with the Contractor.

The State will provide a tool for issue and risk tracking. All project staff are requested and encouraged to identify and report issues and risks. Managing, mitigating and/or eliminating assigned issues/risks are the responsibility of the State, with assistance from the Contractor.

Deliverables
- Issue/risk report and process

State Responsibility
- Provide the issue and risk tracking tool
- Identify the criteria to categorize, prioritize and determine the severities for issues and risks
- Submit issues and risks, and determine mitigations/resolutions
- Determine how issues shall be assigned
- Include escalation procedures for issues and risks

Contractor Responsibility
- Submit Issues and Risks, and recommend mitigations/resolutions
- Collaborate with State on tools and processes for issue and risk management
- Provide input to the criteria to categorize, prioritize and determine the severities for issues and risks
- Correction of all issues and risks assigned to the Contractor
- Inclusion of issue/risk reporting as part of the weekly/monthly status meetings
- Identify timeframes for resolution and mitigation plans for issues and risks

Acceptance Criteria
- None required - State deliverable

Task 1.2 Communication Plan

The Communications Plan identifies the approach to communicating upcoming changes throughout the agency.

Communications Plan (PMM-008)

The Contractor is responsible for creating a Communications Plan (PMM-008). The Communication Plan will document what, when and how information must be disseminated to stakeholders and the project team throughout the project lifecycle. The State will incorporate the Contractor plan into a State Communications Plan (PMM-008) that will be followed during project execution. The Communications Plan will be continuously updated during all phases of the project, and must be in accordance with the State PMM methodology.

Deliverables
- Communications Plan (PMM-008)

State Responsibility
- Create the State Communications Plan
- Provide access to policies and procedures related to Contractor deliverables
- Review Contractor's Communication Plan and update the State Communications Plan

Contractor Responsibility
- Create Contractor Communication Plan (PMM-008)
- Provide input and clarifications to the State as needed

Acceptance Criteria
- Per section 1.501, 2.253, 2.254 & 2.255, approval of Contractor prepared Communication Plan (PMM-008)

Task 1.3 System Overview

The Contractor provides an introduction of the functional capabilities of the solution to agency technical, administrative, and end user full- and part-time team members. Each of the modules to be implemented is demonstrated. Participants develop a common understanding of the approach and terminology.

System Overview

The contractor must provide an introduction of the functional capabilities of the base Fast solution to agency technical, administrative, and end user full- and part-time team members. The purpose of the overview is to develop a common understanding of the Contractor implementation approach and terminology. Each of the modules to be implemented in support of the system must be demonstrated. The Tax system modules will be demonstrated in Phase I Planning phase; the Benefits system modules will be demonstrated in Phase II Planning phase.

Deliverables
- Demonstration of Contractor functional capabilities

State Responsibilities
- Identify session attendees
- Secure meeting rooms
- Attend scheduled overview sessions

Contractor Responsibilities
- Schedule overview sessions
- Conduct system overview sessions

Acceptance Criteria
- Completion of all scheduled overview sessions

Task 1.4 Business Profiles

A Business Profile is prepared to document high-level statistical and processing information for each in-scope line of business – in this case, unemployment insurance tax and benefits. Relevant information provided with the RFP is validated and elaborated.

Business Profile

A Business Profile document must be prepared to document high-level statistical information and provide an overview of the business processes that will be replaced by the Contractor solution. Relevant information provided with the RFP is validated and elaborated.

Deliverable
- Business Profile Document

State Responsibilities
- Create Business Profile Document

Contractor Responsibilities
- Provide example template(s) of Business Profile Document
- Review document for clarity

Acceptance Criteria
- None required – State Deliverable

Task 1.5 General Timeline

The proposed rollout plan approach and dates are validated, refined, and confirmed. The GenTax detailed Project Schedule artifact is prepared.

Project Schedule

The Contractor is required to provide a GenTax project schedule that details the tasks and resources (including State and Contractor staff) loads.

The Contractor must work with the State to update the GenTax Project Schedule. The updated Project Schedule must contain, at a minimum, the following level of detail:

- Deliverables and Milestone tasks
- Task expected start and finish dates
- Task actual start and finish dates
- Task durations
- Task actual work effort (percent complete)
- Task description
- Resource allocation (by individual role) for each task, including State positions

This detailed DDI schedule will feed or link to the master project schedule, which will be prepared and maintained by the State.

Timeframe
- The final baseline GenTax Project Schedule must be completed within thirty (30) days from Contract start.

Deliverables
- GenTax Project Schedule

State Responsibility
- Incorporate the GenTax Project schedule into Master Project Schedule
- Provide status and clarifications to the project team, as needed
- Provide access to policies and procedures related to Contractor deliverables
- Review, maintain and report on the Master Project Schedule

Contractor Responsibility
- Update the GenTax Project Schedule
- Review, maintain and report on the GenTax Project Schedule
- Provide input and clarifications to the State as needed
- Correct any issues identified by the State

Acceptance Criteria
- Per section 1.501, 2.253, 2.254 & 2.255, approval of GenTax Project Schedule

Update Project Schedule – Weekly/Monthly Reporting

The Contractor is responsible for updating the GenTax detailed project schedule (at a minimum) on a weekly basis, and providing any changes to the State, for incorporation into the master project schedule, to maintain accurate status and reporting. The most current project schedules must be available for distribution and review with each Weekly and Monthly Status report.

Deliverables
- Updated GenTax detailed Project Schedule

State Responsibility
- Create and update the Master Project Schedule

Contractor Responsibility
- Update the GenTax detailed Project Schedule

Acceptance Criteria
- Per section 1.501, 2.253, 2.254 & 2.255, approval of the initial GenTax detailed Project Schedule

Task 1.6 Confirm Infrastructure

This step ensures that the project infrastructure is in place. This includes location, network, hardware, development software, and associated logistics. The Technical Architecture Plan artifact is prepared.

Confirmation of the project infrastructure is usually done in parallel with a review of the technical infrastructure. This review includes network, hardware, operating system and desktop software, and determination of what changes in infrastructure, if any, are required for the production system.

EA Assessment Worksheet

This step ensures that the project infrastructure is in place. Confirmation of the project infrastructure is done in parallel with a review of the technical infrastructure. This review includes network, hardware, operating system and desktop software, and determination of what changes in infrastructure, if any, are required for the production system.

The Contractor must update (if necessary) the EA Solution Assessment Worksheet submitted with their proposal. This worksheet documents the Contractor's proposed tools and provides the number of licenses needed for the project team. The EA Assessment Worksheet will be reviewed and approved during the work sessions which will be chaired by the DTMB Enterprise Architecture (EA) group during project start-up. Any exceptions to the preferred software/tools listed in the Contractor EA Solution Assessment Worksheet require documented justification from the Contractor.

The Contractor must participate in EA solution assessment workshops with the EA group to review, discuss and complete the EA Assessment Worksheet. The State will assign a liaison from the State project team to work with the EA group and track the overall progress of the work sessions and approval of the EA Assessment. The Contractor will provide a complete Enterprise Architecture Solution Assessment Worksheet to the State for their review and approval.

Deliverables

- EA Solution Assessment Worksheet

State Responsibility

- Assign a project liaison to work with the EA Assessment group
- Provide input and clarifications to the Contractor as needed
- Collaborate with Contractor to complete the EA Solution Assessment Worksheet
- Review and approve the Contractor's EA Solution Assessment Worksheet

Contractor Responsibility

- Collaborate with State on the necessary hardware and software provisions
- Document all necessary hardware and software
- Document the use of all hardware and software
- Create EA Solution Assessment Worksheet

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of EA Solution Assessment Worksheet

Data Center Hosting Solution

The Contractor is responsible for working with the State to develop the Data Center Hosting solution, which details the hardware/software environment configuration that are installed in the State managed data center.

Deliverables

- Data Center Hosting Solution

State Responsibility

- Provide State staff to work with the Contractor to finalize the IT environments
- Review and approve the Contractor's Data Center Hosting Solution document

Contractor Responsibility

- Responsible for working with the State to finalize the IT environments
- Create Data Center Hosting Solution document

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 &2.255, approval of Data Center Hosting Solution document

Procurement Management Plan

The State will develop a Procurement Management Plan for the UIA-IS project. The Contractor is responsible for providing hardware and software component details to support their solution, sufficient to support the seven (7) environments, plus Disaster Recovery. The plan must be based upon and/or consider the Appendix A non-functional requirements, the defined performance metrics, and specify at a minimum:

- All proposed hardware, software and/or services to procure
- The intent/justification for using the proposed hardware, software or services
- The timing of when the IT commodities and/or services will be needed for the project
- All associated cost

For procurement purposes, the Contractor is required to provide the following tools as part of its overall design, development and monitoring of the solution. The Contractor must make available all internal and proprietary tools within their solution as part of the perpetual site-licensing. If any 3rd party tools are required and not identified in the approved EA Assessment worksheet, then the Contractor is responsible for those costs.

Tool	Number of Licenses for State Use
UAT Testing	50
Performance Testing	15
Regression Testing	15
Software Configuration Management	1 per environment
Application Monitoring	1 per environment
Development Tools	25
Database Modeling	5
Job Scheduler	5
Requirements Management Tracking	50
Defect Tracking Tool	100

To facilitate procurement planning the Contractor must work jointly with appropriate State staff to estimate acquisition, installation, maintenance and service costs throughout the life of the contract.

In addition, the Contractor must review the State Disaster Recovery provisions, and help ensure that the software and hardware for disaster recovery operations is procured by the State and available for use in the State's hosting centers. Disaster Recovery provisioning must be consistent with the States Strategic IT Plan which can be located at: http://www.michigan.gov/itstrategicplan

Deliverables
- Procurement Management Plan

State Responsibility
- Create the Procurement Management Plan
- Procure all hardware and software services
- Provide input and clarifications to the Contractor as needed
- Collaborate with Contractor on the necessary hardware and software and disaster recovery provisions

Contractor Responsibility
- Documentation of the inventory for hardware and software services
- Identify and document intent for using the hardware and software services
- Collaborate with State on the necessary hardware and software and disaster recovery provisions
- Collaborate with State to identify licensing and other requirements for proposed software

Acceptance Criteria
- None Required – State deliverable

Create Project Security Plan & Assessment (DIT-0170)

The Contractor must provide input to the Office of Enterprise Security (OES) to support the development of the initial draft of the Security Plan and Assessment for the UIA-IS project. In this task, the Contractor must engage the Project's Security Liaison, review State and Agency Security Policies, and initiate the process to complete the Security Plan and Assessment (DIT-0170), including Data Classification and System Criticality sections. When establishing the Security Plan, identify any security risks, and describe how those risks will be mitigated.

Deliverables
- Security & Assessment Plan (DIT-0170)

State Responsibility
- Create the Security Plan & Assessment
- Describe acceptable Contractor security access to project environments

Contractor Responsibility
- Provide input to the Security Plan & Assessment
- Collaborate with State on the necessary security architecture, features, processes and procedures
- Comply with the State's described security approach for the project environments

Acceptance Criteria
- None Required – State deliverable

Create Installation Plan (SEM-0702)

The Contractor is required to develop the installation plan, which provides detailed instructions that would enable a team to install the complete solution operating systems, application infrastructure software, and deploy the complete system.

This activity defines and establishes the appropriate hardware and software environments to support application development and configuration. There are seven (7) environments plus Disaster Recovery that need to be installed for this project: development, system testing, training, User Acceptance Testing (UAT), staging, eServices and production.

In addition to servers and software required to support the Contractor required environments, the Installation Plan must also identify how the environments will support, as appropriate, the following:

- Source code control system
- Defect tracking system
- Unit testing software
- Build software
- Job Scheduling software
- Application monitoring software

Deliverables
- Installation Plan (SEM-0702)

State Responsibility
- Review and approve the Installation Plan

Contractor Responsibility
- Develop and document the “release packages” structure and methodology for moving builds into the appropriate environments
- Support State in incorporating the environment hardware and software into standard backup procedures per the Business Continuity Plan
- Create Installation Plan (SEM-0702)

Acceptance Criteria
- Per section 1.501, 2.253, 2.254 & 2.255, approval of the Installation Plan (SEM-0702)

Software Configuration Management (SCM) Plan (SEM-0302)

The purpose of the SCM Plan is to provide an overview of the organization, activities, overall tasks, and objectives of Configuration Management for the UIA-IS project.

The Contractor is responsible for defining the contents of an SCM artifact (e.g. builds and baselines/releases), uniquely identifying each artifact, and managing deployment to each or all applicable environments. The division of responsibility and processes for promoting baselines/releases to the seven (7) different environments must be clearly defined in the SCM plan.

The Contractor will create the Software Configuration Management (SCM) plan in accordance with State of Michigan SEM-302. The purpose of the SCM plan is to establish and maintain the integrity of work products using:

- Configuration Identification
- Configuration Control
- Configuration Status Accounting
- Configuration Audit

Deliverables
- Software Configuration Management Plan (SEM-0302)

State Responsibility
- Review and approve the Software Configuration Management Plan
- Provide input and clarifications to the Contractor

- Perform QA reviews

Contractor Responsibility

- Document the software configuration methods
- Execute all software configuration and supporting activities in accordance with the approved Software Configuration Management Plan
- Create Software Configuration Management Plan (SEM-0302)

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of Software Configuration Management Plan (SEM-0302)

Compile and Document Requirements Specifications (SEM-0402 Section 4)

The Contractor will document in Section 4 of the Requirement Specifications (SEM-0402) document the system infrastructure to ensure it is in compliance with all technical requirements. This includes all network resources, hardware, storage, operating system, database and system software.

This step ensures that the project infrastructure is in place. This includes location, network, hardware, development software, and associated logistics.

Confirmation of the project infrastructure is usually done in parallel with a review of the technical infrastructure. This review includes network, hardware, operating system and desktop software, and determination of what changes in infrastructure, if any, are required for the production system

Deliverables

- Section 4 of the Requirements Specifications as per Appendix A

State Responsibility

- Verification of the Requirements Specifications - Appendix A

Contractor Responsibility

- Provide input and clarifications to the State as needed
- Create section 4 of the Requirements Specifications as per Appendix A

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of section 4 of the Requirements Specifications (SEM-0402)

Technical Architecture Plan

The Contractor must provide a Technical Architecture Plan containing detailed technical architectural diagrams with textual support describing the system, its function, software deployed to it, and how the UIA-IS interacts with the other systems contained in the overall architecture. This information must be provided for each of the seven (7) environments plus Disaster Recovery required for the project: Development, System Test, UAT, Training, Staging, eServices, and Production. The Technical Architecture Plan must be kept up to date throughout the project if any changes are made to the technical architecture. The technical architecture plan must include:

- Overall detailed architectural diagrams, including network topology, protocols and features, such as encryption, connection types and transfer rates where appropriate
- Required servers and their general specifications, identifying each server by its purpose, security zone, and environment
- Required software for each server, including number of licenses and versions
- Encryption for sensitive data in flight and at rest
- Touch points to other systems
- Security Policy, Access Control and Auditing
- Obfuscation of sensitive data and session security
- All major system components, data flows and how they are installed in each server environment
- Any clustering or redundancy between servers
- Additional hardware required such as routers and load balancers

- Other software required, such as client licensing, including the total number of licenses and the structure of pricing and usage of the licenses (floating vs. workstation)

Deliverables

- Technical Architecture Plan

State Responsibility

- Provide input and clarifications to the Contractor as needed
- Provide State of Michigan standards for existing Enterprise Architecture
- Make available the appropriate personnel per the resource plan, to attend in the Technical Architecture requirement/design sessions
- Review and approve the Technical Architecture Plan

Contractor Responsibility

- Review State of Michigan architecture and technical standards
- Compliance with the technical requirements documented in Appendix A
- Create Technical Architecture Plan that is compliant with the State's Enterprise Architecture

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of Technical Architecture Plan

Task 1.7 Inventory Inputs & Outputs

Each implementation is required to support site-specific forms, letters, interfaces, and functions. An Inventory of Inputs and Outputs is prepared to document the in-scope letters, forms, and reports.

Inventory of Inputs & Outputs

Each implementation is required to support site-specific forms, letters, interfaces, and functions. An Inventory of Inputs and Outputs must be prepared to document the in-scope letters, forms, and reports for each implementation. This inventory will be updated throughout the life-cycle of the project as State requirements for forms, letters and reports will change as the State becomes more familiar with the functionality of the Contractor's solution.

The State shall work with the Contractor to identify each piece of correspondence (both forms and letters), electronic and paper, that must be generated by the system. In addition to the mandatory Federal reports that are identified in the Functional Requirement (Appendix B), the Contractor must complete the necessary internal reports, including Management dashboard reports, to obtain data needed to support the system. The State shall work with the Contractor to define the reports that must be developed.

Deliverables

- Inventory of Inputs & Outputs

State Responsibility

- Make available the appropriate personnel per the resource plan, to work with the Contractor on the Inventory of Inputs & Outputs
- Identify each piece of correspondence that must be generated by the system
- Verify the mandatory Federal reports required of the system
- Identify additional reports, including Dashboard Reports, required of the system
- Identify the recipient type for each correspondence/letter generated by the system
- Review and approve Inventory of Inputs and Outputs

Contractor Responsibility

- Facilitate sessions to identify inventory of correspondence and reports
- Create Inventory of Inputs & Outputs
- Provide updates based upon State review and comments

Acceptance Criteria

- None required

Task 1.8 Resource Identification

Project Resources must be identified and documented in a Resource Plan. The Resource Plan must identify and quantify the resources needed to perform project activities/tasks and when those resources are required.

Resource Plan (PMM-005)

The Contractor must develop a project Resource Plan (PMM-005) that details the Contractor and State staff (by roles) that is required to support this project. The Resource Plan must identify and quantify the resources needed to perform project activities/tasks and when those resources are required.

The Resource Plan will be created employing a function-centric organizational structure. The organization structure must identify key personnel by name, title and job function. The structure will be created along the following lines:

- Customer Registration
- UI Tax-specific functions (Rollout One)
  - ✓ Experience Rating, Returns, Payments, Refunds, Trust Fund, etc
- UI Benefits-specific functions (Rollout Two)
  - ✓ Claims, Adjudication, Benefits Schedule, Benefits Payment, etc
- Financials & Revenue Accounting
- Audit
- Collections
- Conversion and Bridging
- Security Administration
- Testing & Training
- Support Functions and Technical

Time Frame

- Must be completed within thirty (30) days from contract start date.

Deliverables

- Resource Plan (PMM-005)

State Responsibilities

- Provide input - roles, responsibilities, time frames for State resources
- Provide state resources, as identified in the resource plan, with the skill level/knowledge required of the role/responsibilities
- Review and ensure project resources match Project Schedule
- Review and approve Resource Plan

Contractor Responsibilities

- Create the Resource Plan
- Correct any conflicting issues identified with staff

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 &2.255, Approval of the Fast Resource Plan

Task 1.9 Product Installation

The installation of the environment platforms and FAST software occurs in parallel with the Preparation Phase of the Fast Implementation Methodology, normally within the first weeks after project start. Although not formally a part of the Fast Implementation Methodology, Product Installation is called out here to enable mapping to activities and deliverables of the State of Michigan Systems Engineering Methodology.

Environment Installation

The Contractor is responsible for working with the State to install the necessary hardware and software in accordance with the environment installation plans. The Contractor must ensure that all operating systems, services, security controls, and software are properly installed. The contractor must document the results of each environment build when installed, as per the approved project schedule.

Deliverables
- Environments built

State Responsibility
- Provide Contractor access to server environments
- Install all hardware and operating systems as necessary
- Configure hardware and software as necessary
- Configure any network devices as necessary
- Create users as needed and configure users into necessary security groups
- Apply security policy to permit or deny access by Contractor staff
- Install system certificates
- Review and approve all environment builds

Contractor Responsibility
- Install and configure the application and support software once the State has physically installed the hardware and operating systems
- Assist the State with configuration of hardware and software as necessary
- Assist the State with configuration of any network devices as necessary
- Create end-users as needed and configure end-users into necessary security groups
- Establish batch jobs in accordance with necessary schedules and dependencies
- Deploy final build of all environments
- Create documentation of successful build

Acceptance Criteria
- Completion of all environment builds

Environment Installation Testing

Upon completion of the installation of the environment, the Contractor must execute their installation tests to validate that installation was executed successfully.

The installation testing must include testing the connectivity to the State network infrastructure, as well as testing of the security access appropriate to the security zone that the environment is installed within. The Contractor must define and document the plan for testing failure points and the appropriate mitigation strategies. The Contractor is expected to work with State to conduct these runs and review the results.

The Contractor is responsible for creating a software back-ups, so that the complete environment can be restored to a fully operation state, with efficiency. The contractor must test the “restored” system to validate that the restore is complete and accurate.

Deliverables
- Environments fully tested

State Responsibility
- Support the Contractor installation tests
- Review the Contractor’s backup and restore plan
- Communicate any issues and defects to the Contractor for resolution

Contractor Responsibility
- Creation of the backup and recovery processes and procedures
- Complete the environment installation tests

Acceptance Criteria
- Completion of environment installation tests

1.104.2 Definition Phase

Objective

The Definition phase is the first step each team takes in defining the work that will be performed to deliver the functionality required by the State.

Description

The Definition Phase begins the execution of the project. Project Teams are defined and the Contractor begins the definition sessions to understand the State's requirements and overall functionality of the UIA System. The Contractor begins development of their Implementation Specification documents, which will include requirements, functional and design specification components.

Tasks

- 2.1 Work Team Assignment
- 2.2. Preliminary Implementation Specifications
- 2.3 Implementation Specification Review
- 2.4 Developer Technical Training
- 2.5 COBIT Review

Task 2.1 Work Team Assignment

Project resource allocations were defined and detailed in the Resource Plan (PMM-005) created in the Preparation Phase. These resources are assigned to teams in this Phase. The Contractor must coordinate with State management in terms of work assignments for State staff. However, the Contractor must not rely on these individuals to reduce Contractor staffing levels. State staff must only be expected to work 40 hours per week.

The Resource Plan should be updated by the Contractor to detail these work teams, high-level schedule and resource allocations. The State must review and agree to the allocations.

Deliverables

- Updated Resource Plan

State Responsibility

- Assign qualified staff to appropriate work teams
- Review and approval of the updated Resource Plan

Contractor Responsibility

- Assign qualified staff to appropriate work teams
- Update the Resource Plan

Acceptance Criteria

- Approval of Contractor updated Resource Plan

Task 2.2 Preliminary Implementation Specifications

The Contractor must conduct design sessions with State subject matter experts (SMEs) to develop the preliminary Implementation Specifications. The Contractor will review the detailed business and technical requirements (Appendix A & Appendix B) and associated rules provided by the State and facilitate definition sessions demonstrating how the COTS system will be configured to the Michigan business processes. The Contractor will identify changes to the requirements and business rules discovered in the sessions. The State will create the Requirements Traceability Matrix (RTM), based on the reviewed requirements. The Implementation Specifications must describe how the COTS system will be configured for Michigan.

The team creates the preliminary Implementation Specification artifacts which include:

- Implementation scope/context diagram
- High-level business flow diagrams (Business Activity Charts)
- For each functional area of the solution:
  - ✓ Terminology to be used
  - ✓ Configuration to be done
  - ✓ Site components to be developed

- ✓ Letters to be configured, along with any associated site components, including:
  - Purpose (usage context)
  - Sample template
  - Use of common and specific letter data from database or user
- ✓ Reports to be implemented through configuration or site components, including:
  - Purpose (usage context)
  - Data selection criteria
  - Specification of ordering, grouping, subtotaling, totaling, etc.
  - Recipient – who needs the report
  - Frequency – daily, monthly, quarterly, on-demand, etc.
  - Mode of delivery (email, print, available for review online)
- ✓ Interfaces to be implemented, including:
  - Purpose (usage context)
  - Conceptual approach
  - Technical approach
  - Record layout
  - Flow diagram, if applicable

Also in this phase, the Data Configuration Specifications - which are the logical equivalent of the Logical Models – are produced. The GenTax products' configurable data structures are predefined, and these definitions are documented in the data dictionary provided with the GenTax product. The Data Dictionary will include: business definition of each data element, attribute definition, size, type, and constraints.

The Contractor is responsible for creating the Back Bridging Plan. The Contractor must develop a high-level strategy Back Bridging Plan that lists and describes the developing, managing, testing and supporting of the temporary interfaces that will function as bridges between implemented and legacy systems. In addition, the Contractor will create a cross-walk of mainframe modifications to Implementation Specification sections to support the Back Bridging.

Any site-specific code needed that is identified in this Phase will require a Decision Request form to be developed by the Contractor. This form will be presented to the State for review, to ensure the direction is approved. All approved site-specific code requests will also be documented within the Implementation Specifications.

Deliverables

- Produce Data Dictionary
- Preliminary Implementation Specifications
- Data Configuration Specifications
- Back Bridging Plan
- Back Bridging Cross-Walk document
- Requirement Traceability Matrix
- Decision Request form, if necessary

State Responsibility

- Provide technical and functional requirements
- Provide business rules by functional area
- Review Data Dictionary
- Assist in scheduling definition sessions
- Attendance of appropriate personnel in definition sessions

- Review meeting notes and provide feedback
- Review and approve Decision Request form (if any)
- Create Requirement Traceability Matrix (RTM) tool - which is Rational RequisitePro - through the life of the project
- Provide input and clarifications to the Contractor as needed
- Assist the Contractor in creating the Data Configuration Specifications
- Assist the Contractor in creating the Back Bridging Plan
- Assist the Contractor in creating the Preliminary Implementation Specifications

Contractor Responsibility

- Identification and traceability of requirements to Implementation Specification
- Create Data Dictionary
- Provide updates to RTM
- Schedule definition sessions
- Facilitate definition sessions
- Create Meeting Notes for definition sessions
- Create Preliminary Implementation Specifications
- Create Back Bridging Plan
- Create Back Bridging Cross-Walk document
- Create Data Configuration Specifications
- Create Decision Request form
- Provide input and clarifications to the State as needed

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of Contractor prepared Data Dictionary
- Per section 1.501, 2.253, 2.254 & 2.255, approval of Contractor prepared Back Bridging Plan
- Per section 1.501, 2.253, 2.254 & 2.255, approval of Contractor prepared Data Configuration Specifications document
- Review and approval/rejection of Contractor prepared Decision Request form

Task 2.3 Implementation Specification Review

The Implementation Specification Review consists of one or more meetings organized by the team lead(s) to communicate and verify the Implementation Specification among the other teams and associated user representatives. The Implementation Specification Review is also used to modify the resource allocation based on the tasks that are identified.

Deliverables

- Updated Implementation Specification

State Responsibility

- Review the Preliminary Implementation Specifications document
- Provide feedback to the Contractor
- Attend Implementation Specification meetings

Contractor Responsibility

- Address feedback provided by reviewers of the Preliminary Implementation Specifications
- Schedule and facilitate Implementation Specification meetings

Acceptance Criteria

- None required

Task 2.4 Developer Technical Training

The State developers assigned to the project are trained by the Contractor in the GenTax development and configuration environment and tools. The Contractor will develop a skills requirements matrix, so that the State may provide the most suitable staff. The skills matrix must include the prerequisite skills that the State IT staff must possess prior to joining the team. The Contractor will educate the State on how to identify core versus extensions versus site-specific code. Technical training may also start in this Phase.

Deliverables

- Skills Matrix
- Provide Training on configuration, environment and tools

State Responsibility

- Attend scheduled training
- Actively participate in training
- Review and comment on Skills Matrix

Contractor Responsibility

- Prepare a skills requirement matrix
- Schedule and conduct training
- Perform initial evaluation (after Training Class) of State staff skill sets

Acceptance Criteria

- Review of Contractor prepared Skills Matrix
- Completion of Contractor prepared Training of State developers

Task 2.5 COBIT Review

COBIT stands for Control Objectives for Information and related Technology. COBIT is recognized as a generally applicable and accepted standard for IT security and control practices. It provides a reference framework for management, users, and Information Security (IS) audit, control, and security practitioners. The COBIT Audit form can be found at www.isaca.org/.

The Contractor must conduct an initial COBIT review of the base system proposed by the Contractor four months from contract initiation. The extent of this review must be limited to the questions and information contained in Appendix L of the COBIT Audit Form. The intent of this review is to identify gaps between the COBIT requirements and the base system proposed by the Contractor.

Timeframe

- Conduct & complete a COBIT Review per approved project schedule

Deliverables

- COBIT Audit Form

State Responsibility

- Verify that the Contractor is applying the current COBIT Audit Form.
- Assist Contractor is completing the COBIT document
- Assist Contractor in conducting the COBIT Review

Contractor Responsibility

- Contractor must complete COBIT mandated audit reviews (as applicable to a COTS solution) and submit to review verification and validation if requested by the State
- Conduct COBIT Review

Acceptance Criteria

- Completion of COBIT Review
- Per section 1.501, 2.253, 2.254 & 2.255, approval of Contractor prepared COBIT Audit Form

1.104.3 Base Configuration Phase

Objective

The Objective of the Base Configuration Phase is to identify the functional baseline of the solution and to configure that baseline to meet the State's functional requirements.

Description

The GenTax solution is an integrated tax and benefit processing software package that must be adapted to State requirements through configuration. The software is designed to support configuration of almost all aspects of the system, including tax returns, benefit claims, letters, penalty, interest, transactions, customer types, workflow, screen layouts, window flow, and much more.

Core Processing modules include:

- Customer
- UI Tax
- UI Benefits
- Returns Issue
- Non-Filer
- Returns
- Payments
- Transaction
- Collections
- Refund
- Revenue
- Audit
- E-Services

Support Functions include:

- Work Items
- Security
- Correspondence
- Reports
- Calendar
- System Manager

The Contractor must use the following approach to evaluate business processes in terms of configuration requirements and process improvement:

- Demonstrate the solution's functionality using the base configuration offered by GenTax. State users will gain a firsthand understanding of how the solution works to handle the process in question
- The process is discussed among the team, including current business procedures and practices as well as the State's functional requirements as described in Appendix B
- Implementation decisions are recorded (meeting notes) and the resulting decisions are configured in the solution by the implementation team
- State staff verifies and evaluates the functionality in the context of the new business procedures to determine if the solution has met the business need
- Implementation Specifications are finalized based on configuration changes, including the updated mapping of the appropriate State Functional Requirements (Appendix B) to the Implementation Specification
- Business changes and solution configuration are communicated to the training team for incorporation in training materials

Tasks

- 3.1 Scope Preliminary Configuration
- 3.2 Preliminary Configuration
- 3.3 Verification
- 3.4 Revise Implementation Specifications
- 3.5 Implementation Specification Finalization Review
- 3.6 Update Requirements Specification document (SEM-0402)
- 3.7 Update Requirements Traceability Matrix

Task 3.1 Scope Preliminary Configuration

Using the preliminary Implementation Specifications, a list of high-level business activities within the GenTax solution are identified. These activities will be implemented as the preliminary base configuration. The Contractor must confirm with the State what activities (functions) will be part of the preliminary base configuration using standard activities that are normally associated with the modules. The Contractor must review the Functional Requirements in Appendix B as part of this determination process. The preliminary base configuration normally consists of items that do not require site components, but some site-specific activities may be included, particularly if they are high profile or critical to business operation. The base preliminary configuration will be used as the starting point for Task 3.3 Verification.

Deliverable

- Scope Preliminary Configuration document

State Responsibilities

- Provide input and clarification to the Contractor on the Functional Requirements (Appendix B), as needed
- Review the Scope Preliminary Configuration

Contractor Responsibilities

- Review Functional Requirements (Appendix B)
- Prepare Scope Preliminary Configuration document

Acceptance Criteria

- Approval of Contractor prepared Scope Preliminary Configuration document

Task 3.2 Preliminary Configuration

The Contractor will then configure the preliminary base solution to include all business activities identified within the Scope Preliminary Configuration task. This configuration will be the starting point for the Verification task.

Deliverable

- Base Configuration of the GenTax software

State Responsibilities

- Provide input to Contractor on the Preliminary Configuration document
- Perform preliminary reviews of configuration within the system

Contractor Responsibilities

- Update Implementation Specifications for business activities included in the solution baseline
- Configure software for solution baseline based upon the Scope Preliminary Configuration document

Acceptance Criteria

- None

Task 3.3 Verification

At Verification, State team members get their first hands-on exposure to the GenTax solution. This task is both a communication and revision mechanism for the teams.

The Contractor must use iterative cycles to complete this task. The Contractor must perform small increments of work, submit those for review and verification, incorporate the feedback from the reviews back into the next small increment of work and continue in this manner until the task is complete and the configuration is deemed acceptable. While State BAs will be empowered to make decisions on requirements/configuration issues, the Contractor must produce meeting notes of each review session. State management must review meeting notes and provide feedback in a timely fashion if there is an issue with a requirement/configuration change. This approach ensures that incremental adjustments or changes required to stay on track can be made without retracing too many steps.

Deliverable

- Meeting Notes from Review Sessions
- Updated Baseline Configuration

State Responsibilities

- Become familiar with the system processing and the configuration in place for the State
- Review Meeting notes from Review Sessions
- Provide timely feedback to Contractor on issues/changes to notes
- Attend configuration review sessions
- Provide input and clarifications to the Contractor on requirements, policies, and procedures, as needed
- Verify and evaluate the functionality meets the business need based on the new business procedures
- Provide feedback on configuration changes
- Make decisions related to configuration/requirement changes
- Escalate configuration/requirement change issues to management, as appropriate
- Provide timely resolution of configuration/requirement issues

Contractor Responsibilities

- Produce meeting notes for each review session which identify configuration and requirements changes
- Solicit information to obtain understanding of the State's business needs
- Make configuration changes based on input from State staff and understanding of business needs
- Update configuration based on State feedback
- Escalate configuration/requirement change issues to management, as appropriate
- Finalized baseline configuration based upon Scope Preliminary Configuration document

Acceptance Criteria

- The baseline configuration incorporates the baseline Scope Preliminary Configuration document

Task 3.4 Revise Implementation Specifications

The Contractor must revise the Implementation Specifications to incorporate input obtained, and configuration changes made during Step 3.3 Verification. The updated specifications must contain the implementation specifications and configuration details, as agreed upon during the Verification task.

The Revised Implementation Specifications will reflect:

a. A mapping of the Implementation Specification to the applicable functional requirements in the Functional Requirements document (Appendix B)

b. All Business Activities (and descriptions of such activities) now contained within the Implementation Specification

c. An updated Processing Summary which must include revised Assumptions and Dependencies, outstanding Decision Request(s); Open Issues (and corresponding Resolution, if resolved), Business Process Changes resulting from the configuration changes, and all additional information relevant to the business process changes

d. Detailed narrative of each functional area, describing navigation, inputs, features, and processes

e. Flow diagram of each functional area, identifying all major inputs, actors, workflow, processes and outputs

f. Inclusion of all requirements and business rules

g. Documentation of all workflow items

h. All identified Interfaces to the modules with high-level identifying information such as Interface Name, type of interface (input/output), file type and file extension

i. All retired interfaces resulting from the Verification task

j. All Configuration changes and a description of the change

Deliverables
- Updated Implementation Specifications

State Responsibilities
- None

Contractor Responsibilities
- Update Implementation Specifications

Acceptance Criteria
- None – acceptance occurs in the Implementation Specification Finalization Review Task

Task 3.5 Implementation Specification Finalization Review

The revised Implementation Specifications are reviewed and this artifact is finalized in one or more meetings organized by the Fast team lead(s) to verify the updated Implementation Specifications are complete and correct. The finalized Implementation Specifications provide the team with the roadmap for site-specific development including interfaces, reports and correspondence.

Deliverables
- Finalized Implementation Specification

State Responsibilities
- Identify State meeting attendees
- Attend Implementation Specification Finalization Review Meetings
- Review Updated/Finalized Implementation Specification documents
- Provide Feedback to Contractor
- Approve Implementation Specification

Contractor Responsibilities
- Schedule Implementation Specification Finalization Review Meetings
- Provide copies of the updated Implementation Specifications to the Training Team
- Conduct walkthrough of updated Implementation Specification documents
- Update Implementation Specification documents based on State feedback

Acceptance Criteria
- Per section 1.501, 2.253, 2.254 & 2.255, approval of Finalized Implementation Specifications

Task 3.6 Update Requirements Specification Document (SEM-0402)

Upon approval of the Finalized Implementation Specifications, the State must update the Requirements Specification document (SEM-0402) based on changes agreed upon during the Verification Phase.

Deliverables
- Updated Requirements Specification document (SEM-0402)

State Responsibilities
- Review Finalized Implementation Specifications
- Update Requirements Specification document

Contractor Responsibilities
- Provide input and clarification to the State on modified requirements, as configured within the base solution

Acceptance Criteria
- None required – State Deliverable

Task 3.7 Update Requirements Traceability Matrix

Upon approval of the Finalized Implementation Specifications, the State must update the Requirements Traceability Matrix (using the IBM Requisite Pro software), based on Requirement changes agreed upon during the Verification Phase.

Deliverables
- Updated Requirements Traceability Matrix

State Responsibilities
- Review Updated Requirements Specification document (SEM-0402)
- Review Finalized Implementation Specifications
- Update Requirements Traceability Matrix/Software based on updated requirements and Finalized Implementation Specifications

Contractor Responsibilities
- Provide input and clarification to the State on modified requirements, as configured within the base solution

Acceptance Criteria
- None required – State Deliverable

1.104.4 Development Phase

Objective

Perform the configuration and development needed to implement and unit/integration test the in-scope letters, reports and interfaces. In addition, any as required site-specific programs are developed and unit/integration tested.

Description

During Development, the finalized Implementation Specifications are used to produce work packages for developers that specify parameters, select options, thresholds and other types of configuration or programming.

Prior to completing the Development Phase, each unit-tested module is made available to the users to allow hands-on review of the implementation. An Application Security Plan is developed.

Tasks
- 4.1 Letters
- 4.2 Reports
- 4.3 External Interfaces
- 4.4 Site-Specific Programming
- 4.5 Review Configuration and Development
- 4.6 Application Security

Task 4.1 Letters

The Contractor is responsible for developing a set of correspondence templates for general types of correspondence. The Contractor will work with the State to assign each identified correspondence, form or letter to a template. There may be separate templates for electronic and paper correspondence along with separate templates for major categories of each (e.g. Email to a claimant, email to a claimant/employer, portrait correspondence to a claimant, portrait correspondence to an employer). The templates must comply with Federal and State mailing and electronic delivery requirements.

The Contractor will then be responsible for creating the Correspondence/Letter items.

Deliverables
- Correspondence/Letter Templates
- Correspondence/Letters

State Responsibility
- Make available the appropriate personnel per the resource plan, to conduct and attend correspondence design and review sessions
- Provide text for each correspondence/letter generated by the system
- Identify the recipient type for each correspondence/letter generated by the system
- Review and approve the correspondence/letter templates
- Finalizing the list of letters to be created
- Finalizing the format of letters to be created
- Creation of a Word document for each letter, with finalized text and format
- Determining the rules for generation, printing and review for each letter
- Assisting with the development and unit testing of letters
- Review and approve the correspondence/letters

Contractor Responsibility
- Comply with all established federal and state mailing and electronic delivery requirements
- Creating the generic letter templates
- Configuration of letter rules
- Creation of correspondence/letters
- Developing and unit testing of correspondence/letters

Acceptance Criteria
- Approval of Contractor prepared Correspondence/Letter Templates

Task 4.2 Reports

The Contractor is responsible for developing detailed report layouts for the agreed upon reports. The contractor must create each identified Federal report, and follow the Employment and Training Administration (ETA) standards when designing the reports. For all other agreed upon reports, the Contractor must work with State SMEs to complete the detail layouts for each report.

In addition to the mandatory Federal reports that are identified in the Functional Requirement (Appendix B), the State requires the Contractor to minimally complete one hundred (100) reports, including Management dashboard reports. The State shall define the reports that must be developed. The Contractor must work with State to gather requirements for the identified reports, define the data, and design the layout of the reports.

The Contractor must provide a pool of hours to generate a minimum of one hundred (100) reports.

The State will review the FAST GenTax reporting tools available for use, prior to determining the reports that may be desired.

Deliverables
- Federal Report layouts
- Federal reports, as defined in Appendix B
- State Reports & Dashboard layouts
- State Reports & Dashboards, as defined by the State

State Responsibility
- Define the reports/dashboards that must be developed by the contractor
- Work with the contractor to complete the detail layouts for each report/dashboard
- Gather requirements for the identified reports and provide to the contractor
- Determining the delivery method of each report
- Assisting with the development and unit testing of reports
- Approve Federal reports
- Approve State reports/dashboards

Contractor Responsibility
- Develop detailed report layouts for the agreed upon reports
- Complete up to 100 reports, including Management dashboard reports
- Follow the Employment and Training Administration (ETA) standards for Federal Reports

- Developing and unit testing of reports
- Set the delivery method of each report created

Acceptance Criteria

- Approval of Contractor prepared Federal Reports layouts
- Preliminary approval of Management Dashboards layouts

Task 4.3 External Interfaces

The Contractor solution must interface with the systems, applications, and databases identified in the RFP and Appendices B, K, L M and N. The interfaces must be automated, and run in real-time where supported. The system must also have the ability to support ftp and batch interfaces.

The Contractor is responsible for documenting, developing, and testing internal and external interfaces (including back-bridging) to support communication with internal and external applications and entities. The data requirements and protocols for each must be defined. The interfaces to be developed along with the communications protocol will be based on the approved Implementation Specifications and Interface Designs created during the Base Configuration and Development Phases. Electronic notifications of success or failure are generated from each interface to/from the State.

The scope of this task includes integration with any required middleware, and testing through the middleware and through the internal and external systems components. A small number of these interfaces are currently magnetic tape media, but will need to be transitioned to File Transfer Protocol (FTP) in the UIA-IS.

The Contractor will work with the State's partner agencies to identify formatted messages that will be exchanged for each interface, if needed. The UIA-IS will utilize the existing format for interfaces, unless directed otherwise by the State. The Contractor will perform unit testing to validate the transaction messages match the data layouts.

Deliverables

- Interface Design documents
- Developed Interfaces

State Responsibility

- Assist in creating the interface design documents
- Assist in developing the interfaces
- Assist in unit testing the interfaces
- Provide documentation on required interfaces
- Coordinate meetings between the State, Contractor and partner departments or organizations required to gather information on existing interfaces
- Provide input and clarifications to the Contractor as needed
- Develop and unit test legacy components of Back Bridging Interfaces

Contractor Responsibility

- Coordinate with the State on questions and problems relating to interfaces
- Identify modifications needed to required interfaces
- Attend meetings with partner departments and organizations to gather information on existing interfaces
- Identify Back Bridging interfaces required
- Develop and test non-legacy components of Back Bridging Interfaces
- Create interface design documents
- Develop interfaces
- Perform unit testing on interfaces

Acceptance Criteria

- Approval of Contractor prepared Interface Design document

Task 4.4 Site-Specific Programming

The Contractor must perform site-specific programming, as required, to meet the approved Michigan implementation specifications. The Contractor will create the site-specific programs for business needs that cannot be met by the "core" GenTax software. Changes to "core" GenTax software, if needed, will be addressed in the Base Configuration Phase.

Deliverables
- Developed Site-Specific code, as required

State Responsibility
- State will conduct quality assurance code reviews

Contractor Responsibility
- Create and unit test site-specific code

Acceptance Criteria
- Quality Assurance review meets State standards

Task 4.5 Review Configuration & Development

Prior to completing the Development Phase, each unit-tested module is made available to the users to allow hands-on review of the implementation. This allows the project team to quickly identify and remedy issues prior to moving the configuration to the more controlled and stable system-testing environment.

Deliverables
- None

State Responsibility
- Review configuration and provide feedback
- Re-review configuration for any modifications made

Contractor Responsibility
- Support review of configuration
- Address feedback provided by the Sate

Acceptance Criteria
- Not Applicable

Task 4.6 Application Security

An Application Security Plan is developed to define user role/responsibility authorities. The State begins to gather user functional access requirements. The State will define the roles and responsibilities required to support the UIA operations.

The Contractor is responsible for designing appropriate security controls to prevent unauthorized access and fraud. The security and access controls must be designed based on the security access and identity management requirements listed in Appendix A, and ensure compliance with the guidelines published by DTMB.

Deliverables
- Application Security Plan

State Responsibility
- Assist in creating the Application Security Plan
- Define roles and responsibilities
- State takes first cut on functional access requirements
- State reviews functional access requirements
- State reviews and approves Application Security Plan

Contractor Responsibility
- Conduct meetings with State to determine functional access requirements

- Define the solution's security structure (functions and groups)
- Implement the solution's security structure (functions and groups)
- Create the application Security Plan

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of Contractor prepared Application Security Plan

1.104.5 Conversion Phase

Objective

The Objective of the Conversion Phase is to identify, extract and load the data from UIA legacy systems into the GenTax solution.

Description

Data conversion is a process designed to make data in one or more legacy software applications useable by a new system.

The Contractor's conversion approach is comprised of multiple primary steps, including: identify data to convert; define the conversion approach; purify the data; transfer the data; test the converted data; cut over from legacy.

Tasks

- 5.1 Inventory Data Resources
- 5.2 Conversion Approach
- 5.3 Data Purification
- 5.4 Conversion Extracts
- 5.5 Conversion Loads
- 5.6 Sample Mock Conversions
- 5.7 Full Mock Conversions

Task 5.1 Inventory Data Resources

The existing data resources are inventoried. This defines the scope of agency data that is available to the conversion process. Each data source is reviewed for integrity and quality.

Deliverables

- None

State Responsibility

- Identification of the data to be converted and the best source of "live" data

Contractor Responsibility

- Define the scope of data extraction and transformation for each phase

Acceptance Criteria

- None required

Task 5.2 Conversion Plan (SEM-0601)

The Conversion Plan defines how the data will be converted:

- Manual versus automated processes
- Registration information
- Approach to historical data
- Number of years of financial data
- Financial detail versus summaries
- Approach to work in progress
- Impact on new system processes
- Interim conversion manual or automated processes

The Contractor will create a conversion schedule that contains high-level activities and a conversion task list that provides an inventory of the tasks to be carried out.

The Conversion Plan must describe the strategy, data conversion approach, method, tools, roles and responsibilities, and the extent of legacy data cleanup required for a seamless migration of data from the legacy system(s) to the integrated UIA-IS.

The Conversion Plan must include a mapping of data elements from the UIA-IS screens to the GenTax system. This mapping may include an inventory of legacy sources, a cross reference of source and target data, schema, metadata and all self-describing files.

The Conversion Plan must include a process for data extraction, transformation and loading for each data source; tools needed to execute the conversion; and strategy for data quality assurance and control. Additionally, it must specify the strategy for testing and validating data conversions prior to full data conversion, and the strategy for addressing and resolving data conversion errors.

This plan must identify the approach to completing all conversion activities. The plan document must be updated by the Contractor for subsequent phases and as conversion details change. The Conversion Plan must address such items as how and when data cleansing is performed, timing issues in converting to the new UIA-IS while continuing to support the existing business, back-end data reporting and existing interfacing.

The elements of the Contractor's conversion plan must include:

- Appropriate "reference" data attributes to support history and research
- An iterative approach to development and testing of the conversion process, with each successive "partial mock" conversion being applied to a broader scope and larger volume of data in order to expose additional conversion anomalies for resolution while concurrently regression testing previous iterations
- Approach to at least two "full mock" conversion runs on successive extracts of legacy data as final confirmation of the process as well as to provide an accurate estimate of the duration of the overall process. The timing of these runs will be determined once the Conversion Approach is finalized.
- Document the rollback strategy which should identify the tasks, required resources, roles, and responsibilities for each identified task in the plan and procedures to bring the system back to a previous point in time
- Development of a strategy to "quiesce" the legacy data and business processes to the greatest possible degree to minimize the level of "in progress" activity
- An "over the weekend" conversion schedule that has the twin objectives of keeping the old systems available as long as possible before conversion weekend and making the system available for at least limited use as soon as possible in the following week
- Description of the corrective action steps that will be taken to prevent data loss and data integrity issues
- Define how to address post conversion data cleanup, including identifying (flagging) data that requires manual intervention
- A Conversion Task List

Deliverables

- Conversion Plan (SEM-0601)
- Completion of structured walkthrough of Conversion Plan
- Conversion Task List

State Responsibility

- Review and approved the Conversion Plan (SEM-0601)
- Provide functional and technical staff to support the creation of the Conversion Plan
- Review and assist with performing items on the Conversion Task List

Contractor Responsibility

- Recommending the tools and/or software requirements to execute the data conversion
- Identify the approach to ensure data will not be lost in conversion
- Create Conversion Plan (SEM-0601)
- Conduct structured walkthrough of Conversion Plan
- Create the Conversion Task List
- Create Meeting Record for Conversion Plan walkthrough

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of Conversion Plan (SEM-0601)
- Approval of Meeting Record for Conversion Plan walkthrough
- Per section 1.501, 2.253, 2.254 & 2.255, approval of Conversion Task List

Task 5.3 Data Purification

Prior to the execution of the conversion, the data from each source is inspected to determine if there are inconsistencies. These must be resolved by developing and executing strategies to purify the data prior to conversion.

Perform Data Cleansing

The cleansing of data during the conversion process is the responsibility of both the State and Contractor. The Contractor and State shall work together to perform data cleansing activities, to remove data inconsistencies and redundancies, and to minimize data integrity issues. The State shall perform pre-conversion data cleanup, only when automated means of interpreting and accurately converting the UI-LS data is not feasible. The Contractor must create the scripts/reports to analyze the legacy data for potential errors. The Contractor must identify all legacy data requiring cleansing and document such in a report for the State.

Deliverables

- Report of all legacy data requiring cleansing

State Responsibility

- Perform pre-conversion, non-automated data cleanup on legacy data.
- Provide staff to support the transforming of the legacy data and migration to the integrated UIA-IS database.

Contractor Responsibility

- Support the State data cleansing activities
- Create scripts/reports to identify, transform and cleanup legacy data
- Create report of all legacy data requiring cleansing

Acceptance Criteria

- None required – State responsibility

Task 5.4 Conversion Extracts

Conversion extract processes are developed to access conversion data sources and create standard extract files.

The conversion extract process also provides control reports that detail the extraction process and can be used to confirm the load processes.

Data Conversion Extracts

The State must extract and Contractor must transform the legacy data for conversion to the integrated UIA-IS database as described in the Data Conversion Plan using automated scripts/software. The State must provide Staff to support this effort. The State, with support from the Contractor, must develop and execute the scripts to extract data from the legacy systems. The Contractor and State Staff must work collaboratively to complete the data conversion activities outlined in the approved data conversion plan.

Deliverables

- Develop and execute software and scripts to extract data from the legacy systems.
- Perform tests to validate the extracted data
- Data Extraction Report
- Automated conversion software and scripts for data transformation
- Extract layouts

State Responsibility

- Provide input and clarifications to the Contractor as needed
- Remedy any data cleanup issues requiring manual intervention
- Develop and execute software and scripts to extract data from the legacy systems

- Create Extraction Report, including timings and extract statistics

Contractor Responsibility

- Responsible for the accurate conversion of data
- Compliance with all conversion requirements
- Support all extract conversion activities
- Develop and execute automated conversion software and scripts for data transformation
- Data converted as identified in the Data Conversion Plan
- Prepare extract layouts
- Perform extract testing activities

Acceptance Criteria

- None required – State responsibility

Task 5.5 Conversion Loads

Conversion loads include functionality to:

- Validate the extract files
- Reformat and load the extract files into the new data structures
- Produce Conversion Load control reports detailing the validation and load process

Data Conversion Loads

The Contractor must convert the extracted legacy data to the integrated UIA-IS database as described in the Data Conversion Plan using automated scripts/software. The State must provide Staff to support this effort. The State must validate the converted data by performing post-conversion tests. If issues are discovered with converted data, the State must decide if change to the load process is required or make a decision to accept the data as is. The Contractor and State Staff must work collaboratively to complete the data conversion activities outlined in the approved data conversion plan.

For post-conversion data cleanup, Contractor must identify (flag) data that requires manual intervention and State Staff must take the appropriate action to remedy the situation. The Contractor and the State must make reasonable efforts to minimize the amount of manual post-conversion data cleanup.

The Contractor must conduct an audit of data to be converted before and after conversion to verify the accuracy and correctness of the data conversion process. State approval of the results is required.

Deliverables

- Data converted as identified in the Data Conversion Plan
- Perform post-migration tests to validate the migrated data
- Identification of data requiring post-conversion cleanup

State Responsibility

- Provide input and clarifications to the Contractor as needed
- Remedy any data cleanup issues requiring manual intervention.
- Review of data accuracy
- Confirm the conversion test results

Contractor Responsibility

- Conduct an audit of data to be converted before and after conversion to verify the accuracy and correctness of the data conversion process
- Identification of data requiring post-conversion clean up
- Develop and execute automated conversion software and scripts for data loads
- Accurately convert data as identified in the Data Conversion Plan
- Perform post-migration tests to validate the migrated data

Acceptance Criteria

- Approval of Reconciliation Report

Task 5.6 Sample Mock Conversions

Conversion is not a one-time event. For high volume data, mock conversions are performed repeatedly on increasingly large subsets of the data.

Sample Mock Conversion

The Contractor is responsible for performing multiple mock conversions, as needed, to test the conversion process for increasingly large sets of data. The Contractor must document Sample Mock results and develop mitigation strategies for identified issues. The Contractor is expected to work with the State to conduct these runs and review the results with the State.

Deliverables

- Perform Sample Mock Conversion Activities
- Reconciliation Report

State Responsibility

- Provide input and clarifications to the Contractor as needed
- Review and approve mock conversion test(s)
- Remedy any data cleanup issues requiring manual intervention
- Review of data accuracy
- Confirm the conversion test results
- Review Reconciliation Report

Contractor Responsibility

- Conduct an audit of data to be converted before and after conversion to verify the accuracy and correctness of the data conversion process
- Responsible for the accurate conversion of data
- All agreed upon data converted to the mock environment
- Compliance with all conversion requirements
- Identification of data requiring post-conversion clean up
- Data converted as identified in the Data Conversion Plan
- Perform Sample Mock Conversion
- Perform validation of converted data
- Create Reconciliation Report

Acceptance Criteria

- None required

Task 5.7 Full Mock Conversions

Two or more complete mock conversions are performed to provide the basis for user checkout of the converted data. Checkout is supported by a Reconciliation Document artifact that describes how converted data is reconciled to its legacy source.

Full Mock Conversion

The Contractor is responsible for performing two (or more) mock conversions over separate weekends as per the project plan. The mock conversions must be conducted to test the performance and the stability of the system prior to full rollout. For a phased implementation, the first complete end-to-end mock conversion must be conducted in the staging environment and the second run in the production-like environment to allow for validating both staging and production environments. The Contractor must document Full Mock results and develop mitigation strategies for identified issues. The Contractor is expected to work with the State to conduct these runs and review the results with the State.

Perform Rollback Testing

The Contractor is responsible for conducting a rollback test for each rollout phase to the production-like environment. The rollback tests will validate the backup and recovery procedures to bring the system back to a previous point in time as defined in the Conversion Plan. The Contractor will be responsible for testing the system with the converted data in the UIA-IS environment to validate the rollback strategy to restore to a previous point in time.

Deliverables
- Perform Full Mock Conversion Activities
- Reconciliation Report

State Responsibility
- Provide input and clarifications to the Contractor as needed
- Review and approve mock conversion test(s)
- Review and approve roll-back test(s)
- Remedy any data cleanup issues requiring manual intervention
- Review of data accuracy
- Confirm the conversion test results, including system processing
- Review Reconciliation Report

Contractor Responsibility
- Conduct an audit of data to be converted before and after conversion to verify the accuracy and correctness of the data conversion process
- Responsible for the accurate conversion of data
- All agreed upon data converted to the staging and production-like environments
- Compliance with all conversion requirements
- Identification of data requiring post-conversion clean up
- Data converted as identified in the Data Conversion Plan
- Perform Full Mock Conversion
- Perform roll back testing activities
- Perform validation of the converted data
- Create Reconciliation Report

Acceptance Criteria
- Approval of Reconciliation Report

1.104.6 Testing

Objective

The Testing phase ensures that the production system is able to meet the business needs in a robust and stable manner. This includes identification of system and specification instabilities or issues.

Description

During the Testing Phase, the Contractor must demonstrate that the GenTax solution - as delivered - will fulfill its intended use, and that it properly reflects the specified requirements and meets the business needs of the State. The Contractor must use test artifacts created in previous stages to execute required testing deemed necessary and approved in the Test Plan.

Tasks
- 6.1 Test Planning
- 6.2 Test Scenario Development
- 6.3 System Testing
- 6.4 Converted Data Testing
- 6.5 Performance Testing
- 6.6 End-to-End Testing

Task 6.1 Test Planning

Towards the end of the Development Phase, while unit testing is taking place, test planning begins. Test Planning will cover testing for all phases of testing including System Testing, Converted Data Testing, Performance Testing, and End-to-End Testing.

The Contractor must create a Test Plan that addresses the overall testing strategy and outlines the plan for all levels of testing.

The following defect definitions and severity levels will apply for the project. These definitions are to be used by the Contractor when communicating the severity of a computing system defect. The definitions will be included in the Test Plan.

Severity = Critical

Reserved for fatal errors that mean testing cannot continue without being fixed and/or the State is unable to use the GenTax application or is unable to operate the system. There is no workaround and the defect must be fixed.

Severity = Major

There is a problem or defect with testing, but it can continue with difficult workaround(s). The problem significantly impacts the State's ability to use the GenTax application or to operate the system. The problem or defect must be fixed immediately.

Severity = Medium

There is a problem or defect with testing, but it can continue with a defined workaround. The problem or defect has minor impact on the State's ability to use the GenTax application or to operate the system. The problem or defect must be fixed and scheduled for implementation.

Severity = Minor

There is a problem or defect with testing that does not impact the State's ability to use the GenTax application or to operate the system. The problem or defect resolution will be scheduled for implementation.

The Test Plan must include the following:

- Approach to testing including testing philosophy, test standards, verification approach, approach to non-testable requirements, test phases, test techniques and methods, time-sensitive testing
- Business test conditions
- Business test cycles
- System testing execution approach
- Identify test locations
- Components targeted for performance testing
- End-to-end testing approach
- Acceptance criteria for each testing activity
- Reporting strategy
- Defect classification and tracking process
- Resources / Roles and responsibilities for each type of testing
- Testing processes
- Test environments
- Identification of all equipment required to execute testing
- Approach to capture, track, monitor, maintain, and report on software defects
- Goals and objectives of each phase of testing
- Security requirements for testing
- Staffing requirements for each phase of testing
- Training requirements for staff participating in the testing
- Creation and use of valid test data
- Which automated testing tools will be used
- How regression tests will be performed
- How systems and integration tests will be designed and performed
- How test results will be evaluated and tracked
- How software deficiencies will be identified, defined, analyzed, prioritized, and tracked
- How software deficiencies will be communicated to designers and developers
- How software deficiencies will be retested when corrected

Deliverables
- Test Plan

State Responsibility
- Review and approve Test Plan
- Secure test locations and equipment
- Identify staff who will be performing testing
- Provide input to identification of test data
- Provide input and clarifications to the Contractor as needed

Contractor Responsibility
- Create the Test Plan
- Collaborate with the State to develop a strategy for testing
- Identification of the tools and reports that will be used to support all testing efforts
- Identification of the environments and test data that will be used for each testing stage

Acceptance Criteria
- Per section 1.501, 2.253, 2.254 & 2.255, approval of Test Plan

Task 6.2 Test Scenario Development

The Contractor is responsible for creating Michigan specific test scenarios for System Testing, Conversion Data Testing, Performance Testing and End-to-end Testing. This effort includes identifying the requirement(s) covered by each scenario. The State is responsible for adapting the Contractor provided test scenarios for System and End-to-End Testing. The State will update the RTM to map the scenario to the requirements.

The Contractor is also responsible for setting up their Defect Tracking Tool (SQR).

Deliverables
- System Test Scenarios
- Conversion Test Scenarios
- Performance Test Scenarios
- End-to-End Test Scenarios

State Responsibility
- Update of System Test scenarios
- Assist with the identification of Performance Test scenarios
- Performing the trace of the Test Scenarios to the Implementation Specifications (requirements)

Contractor Responsibility
- Provide system, performance and end-to-end test scenarios
- Identify scenario by Implementation Specification
- Provide input and clarification to the State as requested
- Set up the Defect Tracking tool (SQR)

Acceptance Criteria
- None required

Task 6.3 System Testing

The Test Plan is executed for System Testing. Anomalies identified at this step are recorded and tracked to resolution. System Testing is analogous with User Acceptance Testing in SEM.

The Contractor must schedule, coordinate, and monitor all System Testing activities. The State is responsible for providing end users and SMEs to perform System Testing

The Contractor is responsible for generating all test data for the System Testing and Training activities. The state will provide assistance and input to assist Contractor with the development of appropriate test data.

The Contractor must provide support for the duration of System Testing. The system testing process must include the ability to advance the testing clock to provide for a complete test of the lifecycle of cases over many simulated months or years.

The Contractor must also correct defects discovered during System Testing by following normal application development procedures – modifying the appropriate configuration items in the Development environment, unit and integration testing the change, and promoting the configuration and new development items to the Testing environment. Promotions to the testing environment must occur on a regularly scheduled basis (e.g., daily) unless it is an emergency (e.g., UAT cannot continue until the problem is resolved).

System Testing must occur for each scheduled rollout of the system.

The State will take the lead on conducting System Testing. The Contractor is responsible for participating and supporting the State users in System Testing of the entire UIA-IS. This activity includes specifying dates and time for end users to conduct testing, training on any tools to assist end users on how test results will be produced, viewed, and reported. Also the Contractor will assist and support the State in completing, all daily, weekly, quarterly, and annual processing cycles.

The Contractor will train the State system test team in the functionality and capabilities of Michigan UIA-IS before conducting the System Testing task. The State will lead periodic problem review meetings with the Contractor, to analyze defects and failed scenarios.

The Contractor will review common defects and failed scenarios reported in system testing and collaborate with the State to improve configuration, development and testing processes with the objective of minimizing the occurrence of these issues and improving the efficiency of both configuration and testing phases.

Deliverables

- System Testing Results

State Responsibility

- Schedule State system testers for training (UIA-IS solution, Test Slice creation and use, Incident Reporting Process)
- Attend training (UIA-IS solution, Test Slice creation and use, Incident Reporting Process)
- Provide input to Contractor on data necessary to support testing
- Review test data
- Create System Test schedule and test procedures
- Conduct tests and validate results
- Document test results
- Record defects
- Document defect using Incident Reports
- Conduct Problem Review meeting
- Modify the Test Scenarios, if needed
- Create additional Test Scenarios, if needed
- Retest resolved defects and perform regression testing
- Update RTM as needed

Contractor Responsibility

- Ensure that all modifications to the UIA-IS software or files are thoroughly unit tested prior to transferring new versions to System Testing
- Ensure that the converted data is loaded to the Test Environment
- Provide customized data or interface files to the State, as needed, to complete test scenario execution
- Provide training (UIA-IS solution, Test Slice creation and use, Incident Reporting Process)
- Provide training on the use of the SQR tool to identified users
- Assist with the creation of the System Test schedule and test procedures
- Create and execute Batch test schedule
- Review failed test scenarios and recommend most efficient and accurate resolutions
- Participate in Problem Review meeting
- Correct test defects found
- Assist with coordination of regression testing as needed
- Conduct daily test status meetings

Acceptance Criteria

- System Testing completed

Task 6.4 Converted Data Testing

When the system goes live, it will be operating on converted data. Converted data testing is for end users to validate that legacy data has been properly loaded into the UIA-IS. The end users confirm the converted data by utilizing the UIA-IS functionality and ensuring that system operates as designed.

Deliverables
- Converted Data Testing Results

State Responsibility
- Conduct converted data testing
- Verify the converted data testing results
- Identify and enter conversion defects (communicate to the data clean-up team).
- Identify areas were conversion expectations were not met (communicate to the data conversion team)
- Retest as applicable with new converted data.

Contractor Responsibility
- Create converted data for validation (create test slices)
- Support staff performing converted data testing
- Correct issues identified in the conversion load
- Rerun mock conversions or create new mock conversions

Acceptance Criteria
- **Converted data testing completed**

Task 6.5 Performance Testing

The Test Plan is executed. Anomalies identified at this step are recorded and tracked to resolution.

A selection of high volume items, both online and batch, are selected and used to:

- Plan background processes
- Ensure response times
- Validate network throughput

The Contractor and the State will execute the Performance testing per the Test Plan. During this testing, the Contractor must analyze and evaluate performance of critical components of the system to be delivered, including the technical infrastructure as well as the actual application.

The Contractor must be responsible for system modifications required to ensure performance meets documented standards.

Performance test scripts and results will be created and executed by the Contractor with assistance from the State. Unacceptable results will be documented into SQR for tracking. Once corrected, retesting will be performed. Contractor will provide the State with training, if needed, or an overview of any automated testing / performance monitoring tools used by the Contractor during this testing.

The Contractor should work to ensure State testing staff is adequately trained in the use of the testing products and, to the extent possible, actively involved in testing the various implementation phases.

Deliverables
- Performance Testing Results

State Responsibility
- Assist as needed with the creation of the Performance Test scripts
- Assist as needed with the creation of test data
- Support Performance Testing
- Attend training/knowledge transfer on any testing/performance monitoring tools used
- Review and approve the performance, volume, and stress test results
- Provide input and clarifications to the Contractor as needed

Contractor Responsibility
- Develop Performance Test scripts

- Provide test data as needed
- Conduct Performance Testing
- Document results of testing
- Correct incidents found during Performance Testing
- Perform retesting if needed
- Train State staff
- Coordinate with State on questions and problems relating to performance, volume, and stress testing
- Prepare specifications for the environments in which the tests will be performed

Acceptance Criteria

- Testing completed

Task 6.6 End-to-End Test

The Test Plan is executed (for End to End Testing). Anomalies identified at this step are recorded and tracked to resolution.

The end-to-end test is the final step prior to implementation. During this step, the system is cycled through standard business processing. This test simulates anticipated production processing schedules including receiving inputs and generating output to external sources.

Deliverables

- End-to-End Testing Results

State Responsibility

- Co-lead End-to-End testing activities
- Conduct tests and validate results
- Document test results
- Record defects
- Document defect in SQR tool
- Assist with the creation of the End-to-End Test schedule and test procedures
- Conduct Problem Review meeting
- Modify the Test Scenarios, if needed
- Create additional Test Scenarios, if needed
- Retest resolved defects and perform regression testing
- Update RTM as needed

Contractor Responsibility

- Co-lead End-to-End testing activities
- Create End-to-End Test schedule and test procedures
- Reload the converted data to the Test Environment
- Provide interface files to the State, as needed, to complete test scenario execution
- Create and execute Batch test schedule
- Provide appropriate staff for End-to-End Testing to provide technical and/or business assistance
- Review failed test scenarios and recommend most efficient and accurate resolutions
- Participate in Problem Review meeting
- Correct test defects found
- Assist with coordination of regression testing as needed
- Conduct daily test status meetings

Acceptance Criteria

- End-to-End Testing completed

1.104.7 User Training Phase

Objective

Ensure all end users from both UIA and DTMB agencies receive comprehensive training on the UIA-IS. The training must be implemented with a “Just-In-Time” approach to training delivery according to the training plan.

Description

The purpose of training is to educate DTMB and UIA staff on the UIA-IS, and ensure their ability to deliver service. The Contractor is responsible for training forty (40) State Trainers, creating documentation for these State Trainers to utilize when they train the end-user staff, and supporting all end-user training activities which will be performed by the State.

The Contractor must provide a detailed Training Plan and this plan must include a comprehensive approach to conducting the training. Detailed requirements for the training plan are included below.

Tasks

- 7.1: Training Plan (SEM-0703)
- 7.2: Training Material
- 7.3: On-Line User Aids
- 7.4: Training Data
- 7.5: Classroom Training
- 7.6: Collect/Report Training Information
- 7.7: Evaluation of Training & Training Improvement Plan
- 7.8: Post Classroom Practice Exercises
- 7.9: Train the Trainers
- 7.10: Training Facility Locations

The Contractor must provide a test/demo environment for training users that can be updated and rebuilt on demand with standardized sets of data. This environment must provide a training database sufficient to meet the requirements for classroom training.

Task 7.1 Training Plan (SEM-0703)

The Training Plan must include an assessment of the target audience and its knowledge, skills, abilities, attitudes and readiness for training. The analysis must take into consideration available resources and project time frames. Staff members that attend training must have the required skills and knowledge identified in the training needs analysis. The needs analysis must define and drive the specific components and composition of the training plan.

The Training Plan must include a comprehensive approach to conducting the UIA Staff training. The Training Plan will include the following:

- Training Curriculum
- Facilitated classroom training
- Practical, hands-on exercises
- Computer-based (CBT), Web-based and/or webcast training (WBT)
- Videoconference training events
- Help references, podcast, and/or desk guides

The Contractor must offer these or other components and tailor them based on the SOM implementation of GenTax. The State shall evaluate and approve the Training Plan.

The State requires that UIA Staff must receive primary instruction away from normal work environments, under the guidance of and personal interaction with UIA Office of Management Services (OMS) Center for Learning and Development (CLD) and/or other State Staff, and Contractor training personnel. The Contractor must create a detailed Training Plan using instructional design standards.

The Training Plan must describe facilitator-led training supported by a training database and technology solutions. The instructional strategies must include meaningful hands-on training exercises, allowing the student to build on simple processes and working to processes that are more complex. The training shall be skills-based and emphasize how to use the system to accomplish specific UIA tasks rather than how the system works.

The Training Plan must also recommend the type and scope of classroom curriculum (by functionality), associate the curriculum to user type (i.e., who must get what training), the number of trainers required, a proposed schedule, by worksite location, for the classroom training, and the general training approach. The training approach must be flexible to account for the adult learning theory. The six (6) industry standard assumptions about adult learning include benefit, self-direction, experience, relevance, time orientation, and self-esteem. The plan must identify how the training covers the principles and identify the various means to which the principles are used (i.e., reading, observing, practicing).

Deliverables

- Training Plan (SEM-0703)

State Responsibility

- Provide training facilities
- Review and approve the Training Plan
- Collaborate with the contractor regarding the training plan including training location availability
- Collaborate on training curriculum audience, schedule, locations, duration, dates and training materials

Contractor Responsibility

- Create a comprehensive Training Plan that ensures end-users are trained prior to implementation
- Plan, schedule and conduct meetings with appropriate UIA staff to collaborate on training curriculum audience, schedule, locations, duration, dates and training materials
- Create prototypes of the types of training materials that will be developed for training
- Maintain training environment(s) in accordance with the State's environment security model, and resources including projectors, and software
- Collaborate with the State regarding the overall training plan including training location availability
- Inclusion of a description of the group(s) who will receive training
- Provide system documentation, on-site support and other resources to familiarize trainer with the system
- Provision of an overview of the training curriculum, objectives and approach to providing training across the state (such as: localized training, train-the-trainer)
- Description of the training logistics including schedule, location, duration and dates, roles and responsibilities and identify persons/groups who will serve as trainers
- Documentation of the training environment(s) and resources including facilities, hardware, software, system documentation, on-site support and other resources
- Inclusion of the description and format of the types of training materials that will be developed for training
- Integrate State training location availability into training schedule

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of Training Plan

Task 7.2 Training Material

The Contractor is responsible for creating Instructor Training Guides and Student Modules to be used during classroom sessions in conjunction with the Center for Learning and Developments Module Writers. The Contractor must provide an electronic version of end-user training material, as well as one original hard copy of this material for the clearance process.

The clearance process includes allowing time for review by the SMEs, executives and the legal team. The Contractor is responsible for providing all required copies of the Student Modules and Instructor Trainer Guides for classroom sessions.

Modules must include curriculum by functionality, with sufficient examples and exercises to accomplish the stated training objective and assure that end users gain the skills necessary to perform job functions in the UIA-IS framework. The Contractor must also create any other necessary training aids such as presentation outlines and audiovisual materials.

As previously stated, all materials must be developed using the six assumptions of adult learning theory; benefit, self-direction, experience, relevance, time orientation, and self-esteem. Training design must account for visual learners, auditory learners, and kinesthetic learners.

All training materials must be delivered to and will become licensed property of the State on the completion of the training.

Deliverables
- Training Materials

State Responsibility
- Review and approve the Training Material
- Provide input and clarifications to the Contractor as needed
- Provide input into the curriculum
- Provide examples best suited for training curriculum
- Attend demonstration of Training Materials presented
- Manually Test Computer Based (CBT) or Web Based Training (WBT) Materials
- Collaborate with Contractor on content

Contractor Responsibility
- Establish a training curriculum by functionality with examples
- Create instructor's manual and a student user manual to be used during all classroom sessions
- Provide an electronic copy and one original hard copy of all Training Material
- Revise Contractor provided training material, as needed
- Collaborate with State on content
- Develop CBT/WBT for training
- Train staff on the use and maintenance of the CBT/WBT
- Documentation and delivery of materials listed in the Contract requirements and the Training Strategy and Plan
- Delivery of curriculum by functionality
- Materials that support end user and instructor needs
- Delivery of an electronic version and hard copy of all Training Material
- Delivery of necessary training aids such as presentation outlines and audiovisual materials and include CBT/WBTs, videos, and virtual classrooms
- Demonstration of the CBT/WBT
- Documentation of maintenance and change procedures for the CBT/WBT

Acceptance Criteria
- Per section 1.501, 2.253, 2.254 & 2.255, approval of Training Materials

Task 7.3 On-Line User Aids

The Contractor must produce internal/external on-line user aids including screen help and an on-line User Interface Guide, all functioning as an integral part of the UIA-IS. The On-line User Interface Guide must be delivered in electronic format, but be printable by the end user if proposed. The Contractor must design and develop the On-line User Interface Guide to include:

- Features most used in the UIA-IS
- Features hardest to understand
- Problems most significant to the end user
- Features that cause the most calls to a help desk
- Supplemental training features not included in classroom or the On-line User Interface Guide
- Simulations to help the user learn a task

The Fast GenTax Online Help System will serve as the basis for the Online User Guide. Online Help is context-sensitive and provides users with information on windows, fields, and action and navigation buttons. The system also serves as a task-oriented help system that describes how to accomplish specific end-user tasks with the system. The Online Help System must be specific to the Michigan configuration and features.

Online Help is tailored to the needs of the agency during the implementation project. This tailoring will transform the generic Online Help into the Online User Guide that the State envisions.

The On-line User Guide shall link to the UIA Policy Manuals to allow the user to identify the policy or regulation directing or yielding an eligibility outcome. The On-line User Guide must be available in conjunction with User Acceptance Test (UAT) tasks to allow for testing of the user instructions and access to policies in parallel to the software.

Deliverables
- Electronic On-line User Aids

State Responsibility
- Review and approve the Online User Aids
- Incorporate online aids in System Test (UAT) test scripts
- Provide input and clarifications to the Contractor as needed
- Identify appropriate Policies/Procedures for inclusion in On-Line Help
- Collaborate with Contractor on content

Contractor Responsibility
- Create Online User Aids
- Incorporate online aids in system test scripts and end user training manuals
- Incorporate into Online User Guide UIA Policy and Procedures where appropriate
- Demonstrate Online User Aids
- Revise as needed
- Collaborate with State on content
- Delivery of an electronic version of all online user aids that are customized to the job task as an integral part of the UIA-IS

Acceptance Criteria
- Per section 1.501, 2.253, 2.254 & 2.255, approval of On-Line User Aids

Task 7.4 Training Data

The Contractor is responsible for developing and maintaining base data for all training activities and for creating scripts. The Contractor must refresh the training data to its base state on request. The Contractor must schedule as many data refresh requests as possible in advance to ensure base data is available at the start of each training activity. The Contractor must create scripts to “de-identify” or ‘scramble;” the test data. The responsibility for the training data continues for the duration of the contract. The Contactor must create documentation of how training data is created, “de-identified” and refreshed in the training environment.

Deliverables
- Training data
- Successfully loaded training data into the training environment
- De-identification Scripts, as required
- Documentation of training data structure and creation

State Responsibility
- Attend training on how to maintain the training data
- Test and approve the training data
- Provide criteria for identifying training data

Contractor Responsibility
- Build the end-user training database with training data
- Provide specifications required for State to add the training data to the training database
- Create and execute de-identification scripts to training data as required, ensuring that the data still emulates production
- Provide training on how to maintain training data
- Reset training data as needed
- Documentation on how the training data is loaded including the de-identification scripts
- Documentation of trainers’ ability to refresh training data and environment without State intervention

Acceptance Criteria
- Approval of the training data as defined in Training Plan

Task 7.5 Classroom Training

The Contractor must provide both system and business process (workflow as it relates to the automated processes) training to the State Trainers identified by the Center for Learning and Development. The Contractor is not required to provide training in navigating in a browser-based environment or in basic keyboard skills.

Training for the State Trainers must coincide with the schedule in the Project Work Plan for system deployment. The Contractor must complete training to State Trainers prior to deployment (rollout).

Training must be conducted by the Contractor and State Trainers in coordination with the State rollout plan. The Contractor is responsible for scheduling State staff using State Training facilities as per the approved Training Plan. The Contractor must minimize travel time/cost for trainees when developing the location and training facility portion of the Training Plan. Costs for training facilities and the establishment of temporary training facilities - as mutually agreed by the State and the Contractor to conduct training - are the responsibility of the State.

The Contractor must provide initial training for all State Trainers via hands-on Classroom/PC Lab, and modular written materials based on identified curriculum in the Training Plan. Each trainee must have exclusive access to a dedicated PC. The Classroom training must begin with a high-level introduction and interaction with the system and then progress deeper into low-level end-user system functionality and business workflows.

Pre- and post-classroom training must be conducted using computer based training methods and must be done at an agreed schedule. Classroom training must be business process driven and use a practice database and the actual application (i.e., not a mocked-up version or pre-release version). The larger percentage of classroom training must be hands-on and job-related. The ideal class size is twelve (12) students. Each class should have at least one Contractor facilitator, one Center for Learning and Development Staff and a State assistant.

The Center for Learning and Development (CLD) trains State Employees who are process and procedure experts on how to instruct other workers. These experts are called Learning League Members. The State expects to have up to forty (40) Learning League Members throughout the agency to attend classroom training no more than eighty (80) hours.

The Contractor and the State must make reasonable efforts to ensure that State Trainers who have completed the training curriculum have the ability to correctly complete activities and functions within the UIA-IS environment. The State expects that at least ninety-five percent (95%) of the trainees must achieve this level of proficiency.

An option to repeat the training must be available, but the Contractor can assume that these repeats are included in the staff counts.

Minimizing time away from the office, yet ensuring each user is properly skills-based trained, is the challenge presented. The State is very interested in Contractor approaches to accomplishing these seemingly conflicting objectives. The Contractor must explore other training options in which they have had success, including pre-classroom training or tasks.

Deliverable

- Train the Trainer Classroom Training

State Responsibility

- Attend Train the Trainer Classroom Training
- Identify training issues and collaborate with Contractor on possible modifications to resolve issues

Contractor Responsibility

- Schedule Train the Trainer Classroom Training
- Provide training and track attendance in a Learning Management System (LMS)
- Identify training issues and collaborate with State on possible modifications to resolve issues

Acceptance Criteria

- Completion of Train the Trainer classroom training, per project schedule

Task 7.6 Collect/Report Training Information

The Contractor must be responsible for collecting and reporting information on Train the Trainer and End User classroom training, using a training management system. Training and Progress Report includes:

- Progress to Schedule, including classes scheduled compared to the classes actually held, total planned to be trained compared to the number actually trained
- Number and category of staff trained
- Material covered by trainee
- Proficiency attained in each section and module by trainee, based on an analysis of evaluation levels one and two, described below

Deliverable

- Contractor's Weekly Training and Progress Report (for Train the Trainer sessions)
- State's Weekly Training and Progress Report (for End User sessions)

State Responsibility

- Track attendance in a Learning Management System (LMS) (End User sessions)
- Create State's weekly Training and Progress Report including proficiency analysis based on Level 1 and 2 Training Evaluation for End User sessions
- Review Contractor's weekly Training and Progress Report (Train the Trainer sessions)

Contractor Responsibility

- Track attendance in a Learning Management System (LMS) (Train the Trainer sessions)
- Create Contractor's weekly Training and Progress Report including proficiency analysis based on Level 1 and 2 Training Evaluation for Train the Trainer sessions
- Review State's weekly Training and Progress Report (End User sessions)

Acceptance Criteria

- None

Task 7.7 Evaluation of Training & Improvement Plan

The Contractor must be responsible for designing a method to collect information from trainees and supervisors for the State to use to evaluate the effectiveness of the training. The State will evaluate the effectiveness of training, using a standard four-level evaluation approach:

Level One:	Trainee Satisfaction, collected at completion of training
Level Two:	Pre-Test and Post-Test Skills, evaluated at the point of training measuring the change in skills and knowledge
Level Three:	Impact on Job Performance, evaluated randomly based on OTJ evaluations when the trainee is back on the job
Level Four:	Organizational Training Impact sampled randomly and measured throughout the life of the contract

This evaluation process will yield updates and modifications to improve the training approach, curriculum, and materials to ensure training goals are met. A Final Training Report of Level 1 and 2 is required two (2) weeks after the conclusion of the classroom training. This report must cover all aspects of the training activity, including:

- Final information from the weekly classroom training reporting
- Demonstration that all training sessions were held, that training covered all the areas required in the approved Training Plan, and that the Contractor made a concerted effort to include all personnel required to be trained by UIA
- Gap analysis of the difference between the pre-training state and proposed state of user proficiency in using the system to perform daily responsibilities

Deliverable
- Completion Training Survey
- Evaluation of Training and Improvement Plan

State Responsibility
- Survey State employees following completion of each End User training session and deliver results to State
- Review all Training Survey results and identify training issues
- Collaborate with Contractor to make recommendations for improvement to the training approach, curriculum, and materials and any short term solutions to improve the following week's training sessions
- Review the Evaluation of Training and Improvement Plan; make recommendations as necessary
- Evaluate training effectiveness using the level 3 evaluation approach
- Report on training effectiveness using the level 3 evaluation approach

Contractor Responsibility
- Survey State employees following completion of the Train the Trainer training each session and deliver results to State
- Review Training Survey results and identify training issues
- Collaborate with State to make recommendations for improvement to the training approach, curriculum, and materials and any short term solutions to improve the following week's training sessions
- Evaluate training effectiveness using the levels 1, 2 and 4 evaluation approach
- Report on training effectiveness using the levels 1, 2 and 4 evaluation approach
- After training sessions are complete, plan, schedule and conduct meetings with appropriate UIA staff to collaborate on changes needed for User Training Materials
- Gap analysis of the difference between the pre-training state and desired state of worker proficiency in using the system to perform their daily responsibilities
- Create Evaluation of Training and Improvement Plan
- Work with the State to update the Training Materials

Acceptance Criteria
- Approval of Evaluation of Training and Improvement Plan

Task 7.8 Post Classroom Practice Exercises

The Contractor must provide the capability for post-classroom, self-directed practice to allow recently trained end users to build on the initial classroom training. The post-classroom practical exercises must enable the State Trainers to practice and develop further end user, role-based skills by training in the sandbox environment. Trainees must be supported in practice efforts via the On-line User Aids, Web Based Tutorials (WBT), and/or classroom training material (Student Modules).

Deliverable
- Post Classroom Training Exercises

State Responsibility
- Review and approve Post-Classroom Practice Exercises
- The State will provide trainees and supervisors who will undergo the training and be available to evaluate the effectiveness of the training in post-classroom, self-directed practice to allow recently trained end users to build on the initial classroom training

Contractor Responsibility
- Provide Post-Classroom Practice Exercises
- The Contractor must provide post-classroom practical exercises that enable the State Trainers to practice and develop further end user, role-based skills by training in the sandbox environment
- The Contractor must provide the capability for post-classroom, self-directed practice to allow recently trained end users to build on the initial classroom training

Acceptance Criteria
- Approval of Post Classroom Training Exercises

Task 7.9 Train the Trainers

The Contractor is responsible for training the UIA OMS CLD trainers and State Staff trainers. The responsibility for training of new system users brought on-board after the final rollout shall be transitioned to the UIA OMS Center for Learning and Development.

The Contractor must work with Staff from the CLD throughout all training-related planning and delivery activities. At the outset of the contract, the Contractor must plan to work with approximately three CLD Staff. This number is expected to increase to approximately forty (40) Learning League Staff by the transfer of training responsibility to the State. The Contractor must use appropriate techniques to ensure a transfer of knowledge to these Staff. Pairing State Staff with Contractor Staff to facilitate the knowledge transfer is preferred. The UIA OMS Center for Learning and Development shall assume training responsibility at the completion of training for the final rollout.

On transition of training responsibility to the CLD, the Contractor must provide consulting support to the CLD throughout the life of the contract. The CLD-identified trainers are intended to be the first line of support for end users after the post-implementation support period has ended.

Deliverable

- Train forty State Trainers

State Responsibility

- Provide experienced Trainers for the Train-the-Trainers sessions
- Identify training issues and collaborate on possible modifications to resolve issues

Contractor Responsibility

- Provide training and track attendance
- Identify training issues and collaborate on possible modifications to resolve issues
- Survey State employees following completion of Train-the-Trainer training and deliver results to State but unseen by instructors

Acceptance Criteria

- Completion of all training sessions for State Trainers
- Provision of recommendations for improvement to the training approach, curriculum, and materials and any short term solutions to improve the following week's training sessions

Task 7.10 Training Facility Locations

The Contractor must use the State Training facilities for facilitator led classroom training. The following are State supported Training Centers:

Cadillac Place
3024 West Grand Blvd.
Suite 12-200
Detroit, MI 48202-3096

Grand Rapids Remote Initial Claims Center
One Division N.W., 4th Floor
Grand Rapids, MI 49503-3132

Saginaw Remote Initial Claims Center
999 South Washington, Second Floor Suite #3
Saginaw, Michigan 48601-2573

Lansing Problem Resolution Office
5015 South Cedar Street
Lansing, MI 48917-2112

1.104.8 Rollout Phase

Objective

The Objective of the Rollout Phase is to completely prepare a production environment for deployment of the system.

Description

The Rollout Phase involves verification that the production environment hardware and software is production ready. The system security plan is finalized to ensure the production environment meets all security requirements for the system and data, including data at rest and data in transit. The plans for system maintenance and software configuration support are put in place so that work done on the system can be tracked. The disaster recovery procedures for the system are added to the State business continuity plan for the State.

Once this preparation is complete, a detailed cutover task list and schedule are prepared. Each step to be performed is included, along with checkpoints and rollback procedures. The data is converted, and post-conversion testing is performed. The production software goes live, and the system data and functionality is validated. The results of this validation will drive a "go/no go" decision from the State. If there are significant issues, the system deployment may be rolled back, per procedures.

Tasks

- 8.1 Disaster Recovery Plan
- 8.2 Run Conversion
- 8.3 Production Cutover
- 8.4 Additional SOM Activities

Task 8.1 Disaster Recovery Plan

The agency's existing Disaster Recovery Plan and Business Continuity Plans are updated to cover the solution and its platform. It details what strategies the agency has or will implement to mitigate the impact of unforeseen events.

Update Business Continuity Plan (DIT-0208) & Disaster Recovery Plan

The State currently has defined plans and procedures in place for physical security, extended power loss, natural disasters, IT System failures and physical loss of a data center. The Contractor must review the State's existing disaster recovery and business continuity plans. It is the Contractor's responsibility to identify and document all additional disaster recovery and business continuity requirements as related to the UIA-IS Project. Specific UIA-IS disaster recovery and business continuity requirements must be documented.

As the project evolves and new software and hardware are introduced, or existing hardware and system software are upgraded and modified, both the Disaster Recovery Plan and Business Continuity Plan must be updated. The Contractor is responsible for addressing only the UI System related issues for each phase in the plans.

Revisions/updates that the Contractor must consider include the following scenarios:

- Failure of a single disk in the storage subsystem
- Failure of a single disk in any single server
- Failure of a single CPU in any individual database, web, or application server
- Single failure of any network interface on any server or appliance, including interfaces to external storage systems
- Failure of the supply in any individual power supply
- Failure of any single circuit used to power the servers and appliances used in the system
- Failure of any switch or hub essential to the system
- Complete loss of any single server
- Complete loss of any single appliance such as a load balance, security device
- Complete loss of the primary storage system

The Contractor - with the State's support - is responsible for performing test activities and agreed upon other activities to ensure successful execution of the Disaster Recovery Plan for each production release at the end of System Testing. The Disaster Recovery Plan must be retested at least three (3) months prior to the end of the contract.

The Contractor must perform the retest activities. The State must provide the necessary resources and work to ensure successful execution of the Disaster Recovery Plan. The tests in both instances must be performed either on the staging environment or in a State operated Disaster Recovery Center to prevent disruption of the production systems. Actual timelines for these tasks will comply with those detailed in the approved Project Schedule.

Timeframe

- Tests of Disaster Recovery Plan – three (3) months prior to implementation of Tax Phase
- Tests of Disaster Recovery Plan – three (3) months prior to implementation of Benefits Phase
- Disaster Recovery Plan must be retested at least three (3) months prior to the end of the contract

Deliverables

- Amended Disaster Recovery Plan
- Amended Business Continuity Plan
- Completion of three (3) Disaster Recovery Tests

State Responsibility

- Review and approve Disaster Recovery Plan
- Review and approve Business Continuity Plan
- Clarify, at the Contractor's request, Michigan's policy, regulations, and procedures
- Provide the appropriate staff to support Disaster Recovery Testing in the State data center
- Review and approve the results of the Disaster Recovery Testing
- Schedule State Participants

Contractor Responsibility

- Review existing business continuity and disaster recovery documentation
- Create Disaster Recovery Plan, with UIA-IS updates
- Create Business Continuity Plan, with UIA-IS updates
- Completion of three (3) Disaster Recovery Tests
- Creation of documentation for results of disaster recovery tests

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of amended Disaster Recovery Plan
- Per section 1.501, 2.253, 2.254 & 2.255, approval of amended Business Continuity Plan
- Approval of documentation of results for three (3) Disaster Recovery Tests

Task 8.2 Run Conversion

The conversion processes are executed, databases are backed up, application servers are readied, and user desktop access is confirmed.

Perform Data Conversion

The Contractor must transform the legacy data and convert the data to the integrated UIA-IS database as described in the Data Conversion Plan using automated scripts/software. The State must provide Staff to support this effort. The State must develop and execute the scripts to extract data from the legacy systems. The State must validate the converted data by performing post-migration tests. If issues are discovered with converted data, the State must decide if a rollback is required or make a decision to accept the data as is. The Contractor and State Staff must work collaboratively to complete the data conversion activities outlined in the approved data conversion plan.

For post-conversion data cleanup, Contractor must identify (flag) data that requires manual intervention and State Staff must take the appropriate action to remedy the situation. The Contractor and the State must make reasonable efforts to minimize the amount of manual post-conversion data cleanup.

The Contractor must conduct an audit of data to be converted before and after conversion to verify the accuracy and correctness of the data conversion process. State approval of the results is required.

Deliverables

- Data converted as identified in the Data Conversion Plan
- Reconciliation Report

State Responsibility

- Provide input and clarifications to the Contractor as needed
- Remedy any data cleanup issues requiring manual intervention.
- Execute software and scripts to extract data from the legacy systems
- Review Reconciliation Report
- Review of data accuracy
- Confirm the conversion results
- Initiate rollback, if needed

Contractor Responsibility

- Conduct an audit of data to be converted before and after conversion to verify the accuracy and correctness of the data conversion process
- Responsible for the accurate conversion of data
- Data converted to the new environment
- Compliance with all conversion requirements
- Create Reconciliation Report
- Identification of data requiring post-conversion clean up
- Execute automated conversion software and scripts for data conversion
- Data converted as identified in the Data Conversion Plan
- Perform roll back, if needed
- Verify / validate the migrated data

Acceptance Criteria

- Review and approval of converted data
- Approval of Reconciliation Report

Task 8.3 Production Cutover

The system goes live. Desk-side support is provided to end users and operations are carefully monitored.

The Contractor develops a Cutover Checklist which provides the list of interrelated steps and activities that must be coordinated to ensure a smooth and successful rollout.

A high-level checklist is prepared for general consumption within the agency to communicate the general schedule. A detailed, step-by-step, hour-by-hour checklist is prepared for the project team to follow.

The Cutover Checklist / Installation Plan (SEM-0702) are followed during the Production Phase.

Perform Software Implementation

The Contractor must provide the necessary resources to install UIA-IS COTS application software onto the production hardware per the Cutover Checklist / Installation Plan. Any and all issues must be resolved during the installation procedures prior to cutover to the new software.

Deliverable

- Installation of the UIA-IS COTS application software onto the production environment
- Cutover Check List
- “Go/no go” Check List

State Responsibility

- Prepare legacy systems for implementation, including any work in progress
- Provide support during the implementation
- Attendance of Appropriate Personnel in the “go/no-go” review meeting
- Review Cutover Check List

- Prepare the “go/no-go” checklist
- Make “go/no go” decision

Contractor Responsibility

- Prepare the Cutover Checklist
- Follow the Cutover Checklist / Installation Plan
- Review the “go/no-go” Check List
- On-site support for the cutover to the new software
- Installation of the UIA-IS COTS application software onto the production environment

Acceptance Criteria

- Approval of Cutover Check List

Approval of UIA-IS COTS installation

Conduct Installation Tests

The Contractor must test the UIA-IS COTS software in the State production environment to ensure the software is installed and functioning properly. These tests should:

- Ensure the environment is properly installed and configured
- Ensure the System is completely functional
- Ensure conversion is complete and data is completely converted to the production environment
- Identify any defects or problems in the environment against expected results for all tests

Deliverable

- Conduct Installation Testing

State Responsibility

- Provide staff to assist the Contractor in the Installation Testing activity
- Review and approval of Installation Test results

Contractor Responsibility

- Properly test the production environment to ensure it is fully installed and operating properly
- Ensure conversion is complete and data is migrated to the production environment
- Resolve any issues/problems for installation

Acceptance Criteria

- Approval of Installation Testing result

Transition to Operational Status

Once installation tests have been verified, the Contractor must begin transition to operational status. This activity releases the production system to end users and begins operational maintenance, support, and completion of knowledge transfer activities. The Contractor must provide onsite support during the warranty period to ensure a successful transition to the UIA-IS.

Deliverable

- None

State Responsibility

- Begin final knowledge transfer from Contractor

Contractor Responsibility

- Provide onsite production support
- Begin final knowledge transfer to State personnel

Acceptance Criteria

- None required

Task 8.6 Additional SOM Activities

Complete Phase and Stage Exits (SEM-0189)

The State is responsible for scheduling and facilitating Phase/Stage Exit Reviews at the end of each individual rollout. All deliverables must be reviewed by the State staff. Any comments or non-compliant issues must be

documented in writing and provided to the deliverable owner. The owner is responsible for making any identified corrections.

Deliverable
- Complete Phase/Stage Exit Review

State Responsibility
- Review and approve project Phase/Stage Exit reporting protocols
- Schedule and facilitate Phase/Stage Exit meetings
- Review and approve the Phase/Stage Exit reports

Contractor Responsibility
- Participate in the Phase/Stage Exit reviews
- Correct any identified deficiencies
- Complete Phase/Stage Exit reports

Acceptance Criteria
- None required – State deliverable

Complete Post Implementation Evaluation Report (PMM-016)

The Contractor is responsible – with input from the State and the PMO – for completing the Post-Implementation Evaluation Report. All deliverables shall be reviewed by the State, PMO, IV&V Project Manager, and Selected Bidder staff. Any comments or noncompliant issues will be documented in writing and provided to the Contractor. The Contractor is responsible for making any corrections.

State Responsibility
- Review the Post Implementation Evaluation Report
- Provide feedback to Contractor
- Approve the Post Implementation Evaluation Report

Contractor Responsibility
- Complete the Post Implementation Evaluation Report
- Correct any identified deficiencies

Deliverable
- Post Implementation Evaluation Report

Acceptance Criteria
- Per section 1.501, 2.253, 2.254 & 2.255, approval of Post Implementation Evaluation Report

1.104.9 Operation Services

Objective

The goal of the Operation Services activity is for the Contractor to provide the State all the information necessary for the State to assume full production and maintenance/support responsibility for the new UIA Integrated System.

Description

The Contractor is required to support the system, once implemented in the production environment, for the duration of the warranty period(s). At the end of the twelve (12) month warranty period following full implementation of the complete integrated solution, the State is expected to support the operations and all State users. This support shall include the following categories:

- Application and hardware start-up, operation and shutdown
- Monitor and execute batch processes and schedule
- Execution of all back-up processes, and recovery
- Monitor system operations, performance

The Contractor is responsible for providing all technical and business documentation necessary for the State to properly operate and maintain the UIA-IS. The Contractor must provide all documentation (including error codes), instructions necessary to execute all interface and batch processes. Additionally, the Contractor must provide documentation necessary for the State to perform backup and recovery of the applications, data, and environment(s).

During the warranty period, the Contractor is responsible for all these activities, and for providing knowledge transfer to State Staff. Within sixty (60) days prior to the end of warranty, the State staff should be sufficiently trained to operate and maintain the UIA-IS.

Tasks

- 9.1 Operations Transition Plan
- 9.2 Operational Services Plan
- 9.3 Operations Documentation and Knowledgebase

Task 9.1 Operations Transition Plan

The plan to complete the operations transition must be documented by the Contractor in the Operations Transition Plan. This plan shall include, at a minimum:

- Transition Schedules and Tasks
- Hardware and Software
- Personnel Requirements
- Facilities
- Risk Mitigation Strategies
- Management Controls
- Reporting
- Acceptance Criteria

Deliverable

- Operations Transition Plan

State Responsibility

- Review and approve the Operations Transition Plan
- Provide input and clarifications to the Contractor as needed

Contractor Responsibility

- Develop an Operations Transition Plan
- Define the relationships and responsibilities between the Contractor and State personnel for UIA-IS operations

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of Operations Transition Plan

Task 9.2 Operational Services Plan

The Selected Contractor is required to support the system, once implemented in the production environment, for the duration of the warranty period(s). At the end of the twelve (12) month warranty period following full implementation of the complete integrated solution, the State is expected to support the operations and all State users. This support shall include the following categories:

- Application and hardware start-up, operation and shutdown
- Monitor and execute batch processes and schedule
- Execution of all back-up processes, and recovery
- Monitor system operations, performance
  - ✓ Application
  - ✓ Database
  - ✓ Jobs
  - ✓ Hardware

Deliverable

- Operational Services Plan

State Responsibility
- Review and approve the Operational Service Plan
- Identify and finalize approval of the Contractors onsite support schedule
- Identify State project personnel to assist with onsite support
- Provide input and clarifications to the Contractor as needed

Contractor Responsibility
- Develop and perform Operational Services Plan
- Define the relationships and responsibilities between the Contractor and State personnel for UIA-IS operations
- Prepare the communication, coordination and training activities, assessment tools, and feedback processes for preparing for and conducting Operations

Acceptance Criteria
- Per section 1.501, 2.253, 2.254 & 2.255, approval of Operational Services Plan

Task 9.3 Operations Documentation & Knowledgebase

The Contractor is responsible for providing all technical and business documentation necessary for the State to properly operate the UIA-IS. The Contractor must provide all documentation (including error codes), instructions necessary to execute all interface and batch processes, including back-bridges to legacy systems. Additionally, the Contractor must provide documentation necessary for the State to perform backup and recovery of the applications, data, and environment(s).

The Operations Training details the processes associated with the day-to-day operations required, including:
- Bringing the application up or down
- Executing scheduled tasks
- Diagnosing and remedying common problems
- Scheduling backups

Agency operators are trained in carrying out these tasks.

During the warranty period, the Contractor is responsible for providing knowledge transfer to State Staff. Within sixty (60) days prior to the end of warranty or end of contract, the State staff should be sufficiently trained to operate and maintain the UIA-IS.

Timeframe
- Within sixty (60) days prior to the end of warranty, the State staff must be sufficiently trained to operate the UIA-IS

Deliverable
- Operations Documentation & Knowledge Base
- Operations Training

State Responsibility
- Review and approve the Operations Documentation and Knowledgebase
- Identify and finalize approval of the Contractors onsite support schedule
- Identify State project personnel to assist with onsite support
- Attend Operations Training
- Provide input and clarifications to the Contractor as needed

Contractor Responsibility
- Develop and provide Operations Documentation and Knowledgebase
- Prepare the communication, coordination and training activities, assessment tools, and feedback processes for preparing for and conducting Operations
- Provide Operations Training
- Prepare operational facilities and equipment, production and operating procedures, quality control procedures, and help desk procedures

Acceptance Criteria
- Per section 1.501, 2.253, 2.254 & 2.255, approval of Operations Documentation & Knowledgebase

1.104.10 Knowledge Transfer & Transition

Objective
The State intends to accept all responsibility for the support of the system at the completion of the Maintenance and Support Services of this contract. The Contractor must work with the State to transition support for the system to State staff. This must include involving State personnel in a variety of areas such as: ongoing production support, data conversion, requirements definition, application development, disaster recovery and warranty during the life of this contract.

Description
The State expects the Contractor to pair State Staff with key individuals from the Contractor team creating a joint project team. Through the experience and knowledge gained as part of the joint project team, State personnel will become expert in various functional and technical areas of the system. The Contractor will work to ensure that State personnel are involved in virtually all areas of the system during the life of the contract so that the State has an in-house team of employees who have experience and knowledge in all aspects of the UIA-IS by the end of the contract. The State personnel will be "paired" with key Contractor team members with expertise in relevant areas of responsibility for State project personnel.

The plan to complete the transfer of knowledge must be documented by the Contractor in the Transition Plan. This plan shall include mandatory and recommended training - business, system, and toolset – by role (e.g., Database Administrator, Business Analyst, or System Developer) to complete the formal transition of system support responsibility to the State. The plan must also identify the estimated Staff, by role, required to support the system adequately in the long term.

The Contractor must also identify the desired minimum training and experience requirements for State DTMB Staff prior to participating in the UIA-IS project activities. The desired minimum training, experience requirements, or requisite skills, must be provided for State Staff targeted for participation on the technical planning and support, application development, and ongoing production support teams. Desired requisite skills for other areas for State participation proposed by the Contractor must also be identified.

A Requisite Skills Document must be submitted with the Transition Plan, including the following:
- Programming languages and tools
- Database languages and tools
- System debugging and configuration
- Deployment and migration processes

Tasks
- 10.1 Knowledge Transfer Plan
- 10.2 Transition Plan (SEM-0701)

Task 10.1 Knowledge Transfer Plan

The Contractor will provide and implement the Knowledge Transfer Plan. The Knowledge Transfer Plan must include:
- Minimum training and experience requirements for participation by role
- Mentoring plan for State staff
- Technical knowledge transfer and mentoring plan for:
  - ✓ GenTax System debugging and configuration
  - ✓ GenTax Deployment and migration processes
  - ✓ GenTax System Architecture
- Knowledge transfer and on-the-job training for the DTMB system administrators and technical staff
- Mandatory and recommended training by role
- Estimated staff, by role

- Requisite skills document, including the following:
  - ✓ Programming languages and tools
  - ✓ Database languages and tools
  - ✓ System debugging and configuration
  - ✓ Deployment and migration processes
  - ✓ System Architecture

Deliverable
- Knowledge Transfer Plan

State Responsibility
- Provide qualified State resource to pair with Contractors
- Provide training for the State Staff as required
- Review and approval of the Knowledge Transfer Plan

Contractor Responsibility
- Creation and implementation of Knowledge Transfer Plan
- Detail on all required transition activities
- Timelines for all transition activities
- A list of all required State personnel necessary for transition
- A list of all required Contractor personnel required for transition
- Assigned activities for all transition personnel
- Identification of outstanding risks
- Development of recommendations for staffing, procedural, and operations changes that may be needed to address outstanding risks
- Schedule for delivery of final documentation of artifacts to be transferred to State control, including source code, system documentation, operations documentation, production control documentation, user documentation, and training material.
- Description and delivery of a transition status report that details the results of transition activities
- Description of a turnover status report
- Correction of any outstanding material defects in the system prior to transition

Acceptance Criteria
- Per section 1.501, 2.253, 2.254 & 2.255, approval of Knowledge Transfer Plan

Task 10.2 Transition Plan (SEM-0701)

The Contractor is responsible for developing the Transition Plan that will describe and document how the Contractor will transition daily support and maintenance activities of the UIA Integrated System to the State. This Plan will be executed during the Warranty period(s). At the end of the Warranty period(s), the State must be sufficiently trained to independently operate the Integrated System.

The Transition Plan must contain, at a minimum, the following:
- Detail on all required transition activities
- Timelines for all transition activities
- List of all required State personnel necessary for transition
- List of all required Contractor personnel required for transition
- Assigned activities for all transition personnel
- Identification of outstanding risks
- Schedule for delivery of final documentation of artifacts to be transferred to State control, including escrow and site-specific source code, system documentation, operations documentation, production control documentation

Deliverable
- Transition Plan (SEM-0701)

State Responsibility
- Provide qualified State resource to pair with Contractors
- Review and approval of the Transition Plan

Contractor Responsibility
- Develop a Transition Plan
- Prepare operational facilities and equipment, production and operating procedures, quality control procedures, and help desk procedures
- Provision of a final turnover report
- Correction of any outstanding material defects in the system prior to transition

Acceptance Criteria
- Per section 1.501, 2.253, 2.254 & 2.255, approval of Transition Plan (SEM-0701)

1.104.11 Warranty

Objective

The Contractor is required to support the system for the duration of the twelve (12) month warranty period, which begins after the implementation of the final phase is completed. The Contractor is required to provide maintenance and support until final contract completion.

Description

For the twelve (12) month warranty following statewide deployment of the UIA-IS or any portion of the system (the warranty period), Contractor warrants that the system must conform in all material respects to the requirements of the system as set out in the Contract and the accepted deliverables.

If, within the warranty period, the UIA-IS fails to comply with this warranty, Contractor must repair defects as necessary at no cost to bring the system into compliance with the warranty.

The State is responsible for notifying the Contractor of the failure in writing, describing the correct operation, providing the Contractor with adequate documentation and evidence to reproduce the failure, and, when necessary, demonstrating the failure so that the cause of the failure may be traced and corrected. The Contractor must make such warranty repairs as expeditiously as necessary, following written notification or such longer period as may be necessary using diligence and dispatch. For the purpose of this project, “Defect” means any material error in the UIA-IS that prevents the UIA-IS from performing materially in compliance with the required functionality.

The Contractor shall have no obligation to make warranty repairs attributable to:
- Misuse or modification of the UIA-IS by the State
- State use of the UIA-IS in combination with any product other than those specified by the Contractor or agreed to in the Contract
- The quality or integrity of data from other automated or manual systems with which the system interfaces; hardware, systems software, telecommunications equipment, or software not a part of the UIA-IS which is inadequate to allow proper operation of the system or which is not operating in accordance with manufacture specifications
- Operation or utilization of the system in a manner not contemplated by the Contract

The Contractor does not warrant that all non-conformities, errors or defects have been or can be eliminated from the UIA-IS or that operation of the system must be error-free. With respect to any third-party hardware or software product, the terms and conditions of the warranty shall be identical to the terms and conditions of the warranty provided by the manufacturer or software developer of the product, subject to all limitations contained therein. The Contractor bears no responsibility of any kind for those products and the warranties for those products must be passed through to the State. The terms of this warranty do not apply to those third-party products.

The performance warranties expressly included in this Contract are the exclusive warranties with respect to the UIA-IS and its performance, and all other warranties are waived.

Warranty Period
- GenTax maintenance through the end of the warranty period
- One year warranty for the benefits module

- Two year warranty for the tax module

Tasks

- 11.1 Warranty

Task 11.1 Warranty

For the duration of the three-year implementation and warranty period, the Contractor will ensure that the new system is current on GenTax service packs as well as any new versions and/or releases. In this way, at the end of the three years, the State will be running the latest version of GenTax.

The contractor must create the Warranty Services Plan which must include:

- How the contractor must provide UIA-IS performance tuning, defect repair and service pack releases
- How the contractor must provide warranty services such as:
  - ✓ Service packs are installed
  - ✓ Upgrades are installed
  - ✓ Defects with GenTax core code are resolved
  - ✓ Defects with custom site programs are resolved
  - ✓ Defects with extensions are resolved
  - ✓ Defects resulting from configurations are resolved

The Contractor must include on-site support services during the warranty period at sufficient levels to ensure, at a minimum that UIA-IS:

- Service packs are installed
- Upgrades are installed
- Defects with GenTax core code are resolved
- Defects with custom site programs are resolved
- Defects with extensions are resolved
- Defects resulting from configurations are resolved
- The overall system is kept in good running order

Deliverable

- Warranty Services Plan
- Warranty Services

State Responsibility

- Review and approval of the Warranty Services Plan
- Provide space for Contractor on-site support team
- Report and classify all defects in the defect-tracking tool
- Approval of Release packages
- Retest all reported defects before releasing back into production
- Participation in system changes during warranty period

Contractor Responsibility

- Create Warranty Services Plan
- Provide warranty services as defined in the Warranty Service Plan
- Provide UIA-IS performance tuning, defect repair and service pack releases
- Maintain and monitor the system

Acceptance Criteria

- Documentation of the Warranty Services Plan
- Execution of Warranty Services Plan
- Implementation of UIA-IS release packages as agreed upon by the State
- UIA-IS is functional, in production and current on all service pack and upgrades at the end of the Warranty Period

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of Warranty Services Plan
- End of Warranty Period

1.104.12 Maintenance & Support

Objective

The Contractor will provide maintenance and support from the end of the Contract Warranty Period until the end of the Contract Maintenance and Support period, as defined in the approved project schedule.

The State intends to perform ongoing enhancement with assistance from the Contractor Maintenance and Support team at the completion of the Warranty Period. The Contractor must work with the State to perform a knowledge transfer on the UIA-IS system. This knowledge transfer shall include involving State personnel in ongoing configuration and State custom extension activities.

Description

The Contractor will provide Level 3 of on-site maintenance and support which is inclusive of Levels 1 and 2, which are:

- Level 1 - Annual Maintenance only. This level includes items such as:
  - ✓ Access to service packs
  - ✓ Access to new versions of GenTax
  - ✓ Access to new and revised documentation
  - ✓ Phone support
  - ✓ Defect repair - core GenTax bugs repaired at no cost to State

As part of Level 1 Maintenance, Contractor also commits that should any federal UI mandates require changes to licensed software provided by Contractor, then Contractor will make such changes to the software and distribute the new/modified software as part of a Service Pack or Upgrade in a manner so as to timely comply with the federal mandate.

- Level 2 - In addition to what is included in Level 1, this level provides on-site Contractor personnel to ensure that defects in site code, extensions, and configurations (defects not covered by Maintenance) are resolved.
- Level 3 - In addition to what is included in Levels 1and 2, this level provides on-site Contractor personnel to ensure that service packs and upgrades are installed.

As part of Level 3 Maintenance, Contractor also commits that should Contractor provide a Service Pack or Upgrade that contains modifications/enhancements necessary to comply with a federal UI mandate, then Contractor will install, configure, test, and implement the new/modified software provided the federal mandate involves a routine change to an existing UI program and not a new program or a substantially modified program.

Additionally, the Contractor will provide two (2) full-time on-site FAST support resources who will assist the State in performing the following enhancement tasks:

- ✓ Prioritization and management of solution requests
- ✓ On-call production support (24x7)
- ✓ Coordinating with the FAST Development Center
- ✓ Configuration assistance
- ✓ Application development
- ✓ Best practices recommendations
- ✓ Implementation of minor legislative/business changes (e.g., tax rates, interest rates, reports, letters, return line items, check-offs) to existing programs
- ✓ Performance tuning

- ✓ Database maintenance, analysis and review
- ✓ Supplemental user, developer, or operator training
- ✓ Other consulting and services requested by UIA

Deliverable
- Maintenance and Support

State Responsibility
-

Contractor Responsibility
-

Acceptance Criteria
- End of System Maintenance Period

Task 12.1 System Maintenance Plan (SEM-0301)

The Contractor is required to develop a System Maintenance Plan (SEM-0301). The Contractor will include a complete description of their maintenance and support services within the Plan.

The State intends to identify individuals to participate on a full-time basis in ongoing production support activities. Staff shall have the requisite skills to participate on the team as identified by the Contractor in the Transition Plan. The Contractor must communicate concerns regarding specific areas/individuals if the Contractor feels there is an elevated level of schedule risk. The State shall pursue other methods of performing the knowledge transfer for the given area in this situation.

For the duration of the contract, the Contractor will ensure that the new system is current on GenTax service packs as well as any new versions and / or releases. In this way, at the end of the contract period, the State will be running the latest version of GenTax.

The Contractor must include on-site support services during the maintenance and support period at sufficient levels to ensure, at a minimum, that:

- service packs are installed
- upgrades are installed
- hot fixes are installed
- defects with GenTax core code are resolved
- defects with custom site programs are resolved
- defects with extensions are resolved
- defects resulting from configurations are resolved
- the overall system is kept in good running order

Deliverable
- System Maintenance Plan (SEM-0301)

State Responsibility
- Provide space for Contractor Maintenance and Support Services Team
- Provide qualified State resources to assist in Maintenance and Support
- Provide qualified State resources to assist in performing upgrades
- Report and classify all defects in the defect-tracking tool
- Approval of Release packages
- Retest all reported defects before releasing back into production
- Review and approval of the System Maintenance Plan

Contractor Responsibility
- Develop System Maintenance Plan (SEM-0301)
- Provide services as defined in the System Maintenance Plan
- Provide UIA-IS performance tuning, defect repair and service pack releases

- Maintain and monitor the system

Acceptance Criteria

- Implementation of UIA-IS release packages as agreed upon by the State
- Per section 1.501, 2.253, 2.254 & 2.255, approval of System Maintenance Plan
- UIA-IS is functional, in production and current on all service pack and upgrades at the end of the Maintenance and Support Services Period

1.104.13 Historical Records Management

Objective

The goal of this activity is for the Contractor to maintain all contract documents and artifacts in a manner that satisfies the State's records retention criteria.

Description

All claims and tax records must be maintained as described in the UA Manual, Part V, and Section 8112. Retention periods are detailed below.

Tasks

- 13.1 Historical Records Management

Task 13.1 Historical Records Management

Claims Records

- UI, IB, CWC-P Claims: The retention period is three years after the benefit year ending date
- UCX, UCFE, EB, DUA, and FSC Claims: The retention period for these claims is five years after the benefit year ending date
- TRA Claims: The retention period for these claims is seven years after the benefit year ending date
- Restitution records (crosses all benefits programs): The retention period for these claims is three (3) years after the date of the last action

Tax Office Records

Employer files are retained six (6) years from termination date. Financial (Batch) files are retained for ten (10) years from the creation of the financial file. Financial files must be retained longer if involved in a collection process.

Project-Related Records

For information on records related to the UIA-IS project, see RFP Section 2.113 - Retention of Records.

Deliverables

- None

State Responsibility

- Review and approve the Historical Records Management Schedule

Contractor Responsibility

- Comply with Historical Records Management Schedule

Acceptance Criteria

- None required

1.104.14 Supplemental Services

Objective

The State anticipates that requests for new functionality and/or changes to the proposed system, as well as new services and/or changes to existing services provided via this contract will occur throughout this project. This section is intended to facilitate the handling of these requests so that only those with a solid business case can be efficiently incorporated into the project.

Description

The Contractor is advised that any changes during the life of the project that affect UIA may result in changes to the UIA-IS system. If changes affect UIA functions, the State will be responsible for making appropriate changes to the applications on the mainframe. The Contractor must perform an impact analysis to determine the functional areas impacted by the change, and the associated requirements and deliverables that must be modified to incorporate the change. Once the impact analysis has been completed, the Contractor must submit a change request detailing the proposed changes to incorporate the new/changed functionality. A change request should additionally include impact to the project schedule, and FTEs required to incorporate and implement the change. The change request will follow the defined and approved process.

Tasks

- 14.1 Change Request

Task 14.1 Change Request

The State intends to establish funding for ten thousand (10,000) hours per year for system enhancements and services from the Contractor beyond those listed in the RFP, such as additional enhancements and legislative changes. Actual funding for enhancements shall occur on a yearly basis, and there is no guarantee as to the level of funding for enhancements, if any, available to the project. Enhancement requests must go through a rigorous review process established by the State before being submitted to the Contractor for impact assessment and estimates.

A limited amount of Contractor time will be required in this review process, but only to provide a cursory review of the request. The requests considered potentially viable shall then be passed to the Contractor for impact assessment (i.e., impact on existing plans and estimates). Requests may be considered for inclusion in an existing release, for a future planned release or bundled for an entirely new release. Requests for impact assessment and estimates may be made on an individual (request-by-request) basis or on a request group basis.

The Change Management Plan must be followed if the Contractor requests the use of Supplemental Services, which are part of this contract. Enhancements must not affect the schedule, service level, or cost of the other activities and tasks requested in this Contract without the express acknowledgement and consent of the State.

The Cost Tables in Appendix I submitted with the Contractor's response provided staffing positions, rates and a calculated overall cost for these Supplemental Services.

Deliverable

- Change Request

State Responsibility

- The State will review and either approve or deny a change request based on impact to the project schedule, resources and budget

Contractor Responsibility

- The Contractor must submit a change request detailing the proposed changes to incorporate the new/changed functionality; a change request should additionally include impact to the project schedule, and FTEs required to incorporate and implement the change; the change request will follow the defined and approved process

Acceptance Criteria

- Per section 1.501, 2.253, 2.254 & 2.255, approval of Change Request

1.200 ROLES AND RESPONSIBILITIES

1.201 CONTRACTOR STAFF, ROLES, AND RESPONSIBILITIES

The Contractor – in response to the State's request – has identified their Key Staff and satisfied all skill set, education, certification, and affiliation requirements. This information is included in the submitted Personnel Resume Summary Templates.

The Contractor must commit that staff identified as Key Staff will actually report to the project site and perform the assigned work.

Contractor has not proposed any subcontractor personnel.

The Contractor must provide an organization chart of their proposed team, and specifically identify Key Personnel as part of the Resource Plan (PMM-005).

Single Point of Contact (SPOC)

The Contractor Single Point of Contact has been identified as Mr. James Harrison. The duties of the SPOC must include, but not be limited to:

- Supporting the management of the contract
- Facilitating dispute resolution
- Advising the State of performance issues under the terms and conditions of the contract

The State reserves the right to require a change in the current SPOC if the assigned SPOC is not, in the opinion of the State, adequately serving the needs of the State.

Key Personnel

The Contractor must provide, and update when changed, an organizational chart indicating lines of authority for personnel involved in performance of this Contract and relationships of this staff to other programs or functions of the Contractor. This chart must also show lines of authority to the next senior level of management and indicate who within the Contractor organization has prime responsibility and final authority for the work.

Any Key Personnel substitution must have the prior approval of the State. The State has identified the following as key personnel for this project:

- Senior Project Manager - Jennifer Tuvell
- Senior Business Architect - Kristen Araki-Tokushige
- Senior Technical Architect - Brad Allan
- Development Manager - Tracie Atkinson
- Conversion Manager - Scott Jones
- Implementation Manager - Mike Patterson
- Infrastructure Manager - Aric Shirar
- Test Manager - Allison Forgie-McClurg

The Contractor cannot combine these Key Personnel roles; each role must be filled by a specific resource. Key Staff may be assigned to other tasks as required.

Senior Project Manager

The Contractor must provide a Sr. Project Manager, certified in project management methodologies, to interact with the designated personnel from the State to ensure a smooth transition to the UIA-IS. The Sr. Project Manager must coordinate all of the activities of the personnel assigned to the project and create all reports required by the State.

Senior Business Architect
The Contractor must provide a Sr. Business Architect, who will be responsible for providing functional expertise throughout the lifecycle of the project. The Sr. Business Architect must have a thorough knowledge of unemployment insurance. This includes all tasks and deliverables previously identified.

Senior Technical Architect
The Contractor must provide a Sr. Technical Architect who will be responsible for providing technical expertise throughout the lifecycle of the project. This includes all tasks and deliverables previously identified.

Development Manager
The Contractor must provide a Development Manager to interact with the designated personnel from the State to ensure a smooth transition to the UIA-IS. The Development Manager must coordinate all of the activities of the development staff to the project.

Conversion Manager
The Contractor must provide a Conversion Manager to interact with the designated personnel from the State to ensure a smooth transition to the UIA-IS. The Conversion Manager must coordinate all of the activities of the conversion team.

Implementation Manager
The Contractor must provide an Implementation Manager experienced in large-scale development projects. The Implementation Manager must possess technical acumen with particular focus on system integration technologies, and must have experience with rollout of complex system integration projects. The Implementation Manager must be able identify/resolve deployment issues encountered during the implementation release.

Infrastructure Manager
The Infrastructure Manager will be the focal point for communications between the UIA-IS team and the State infrastructure team. This role is expected to have skills and experience in the areas of project management, configuration management and contingency planning.

Test Manager
The role of the Test Manager is to plan and define all testing activities and oversee the testing effort to validate and ensure the delivered system meets defined requirements and business needs. The person in this role must understand the discipline of system/software testing and how to effectively implement a testing process while fulfilling the traditional leadership role of a manager.

Location of Work
The UIA Integrated System project office is the Cadillac Place State office building located at 3024 West Grand Boulevard, Detroit, Michigan. Additional work will be performed at any of the State data centers or office buildings in Lansing, Michigan. During scheduled assignments or tasks, all Contractor project staff must be on-site at their designated State project site a minimum of eighty percent (80%) of every week. Key staff must be full-time, on-site at the project office.

UIA has four Remote Initial Claims Centers (RICCs) that are located in Detroit, Grand Rapids, Lansing, and Saginaw. RICCs are responsible for delivering benefit payments, adjudication, claim filing, and other services to Michigan's unemployed workers. In addition, seven Problem Resolution Offices (PROs), located in Detroit, Marquette, Gaylord, Saginaw, Grand Rapids and Lansing, provide access to filing technologies and problem resolution staff. The support functions for the RICCs and PROs are concentrated in the Detroit Cadillac Place location, as are the Tax Office functions including employer compliance, tax rates establishment, benefit charging, the collection of taxes, and Trust Fund accounting.

Hours of Operation
Normal State working hours are 8:00 am to 5:00 pm EST, Monday through Friday, with work performed as necessary after those hours to meet project deadlines. The State is not obligated to provide State

management of assigned work outside of normal State working hours. The State reserves the right to modify the work hours in the best interest of the project. The Contractor must observe the same standard holidays as State Employees.

Additional Security and Background Check Requirements

After contract award, the State may request Contractor present certifications evidencing satisfactory results or completion of the following:

- Michigan State Police Background Checks, using the Michigan Internet Criminal History Access Tool (ICHAT)
- Drug test results for staff identified for assignment to this project
- Complete and submit an RI-8 Fingerprint Card for the National Crime Information Center (NCIC) Finger Prints

Contractors must pay for all costs associated with ensuring Contractor staff meets all these testing and reporting requirements.

1.202 STATE STAFF ROLES AND RESPONSIBILITIES

The State will provide the following resources for Contractor use on this project:

- Cubicle work space, chair, file cabinet(s)
- Telephone for local and project related long distance calls
- PC workstation with Microsoft Windows and Office (Word, Excel, Outlook, and PowerPoint)
- Access to network printer(s) and normal stock of paper (letter and legal); the Contractor is required to supply any oversized paper required
- Access to copiers, fax machine and scanner
- Access to and use of conference rooms
- No clerical support
- White Boards
- PC Projector(s)

State Project Managers (DTMB and UIA)

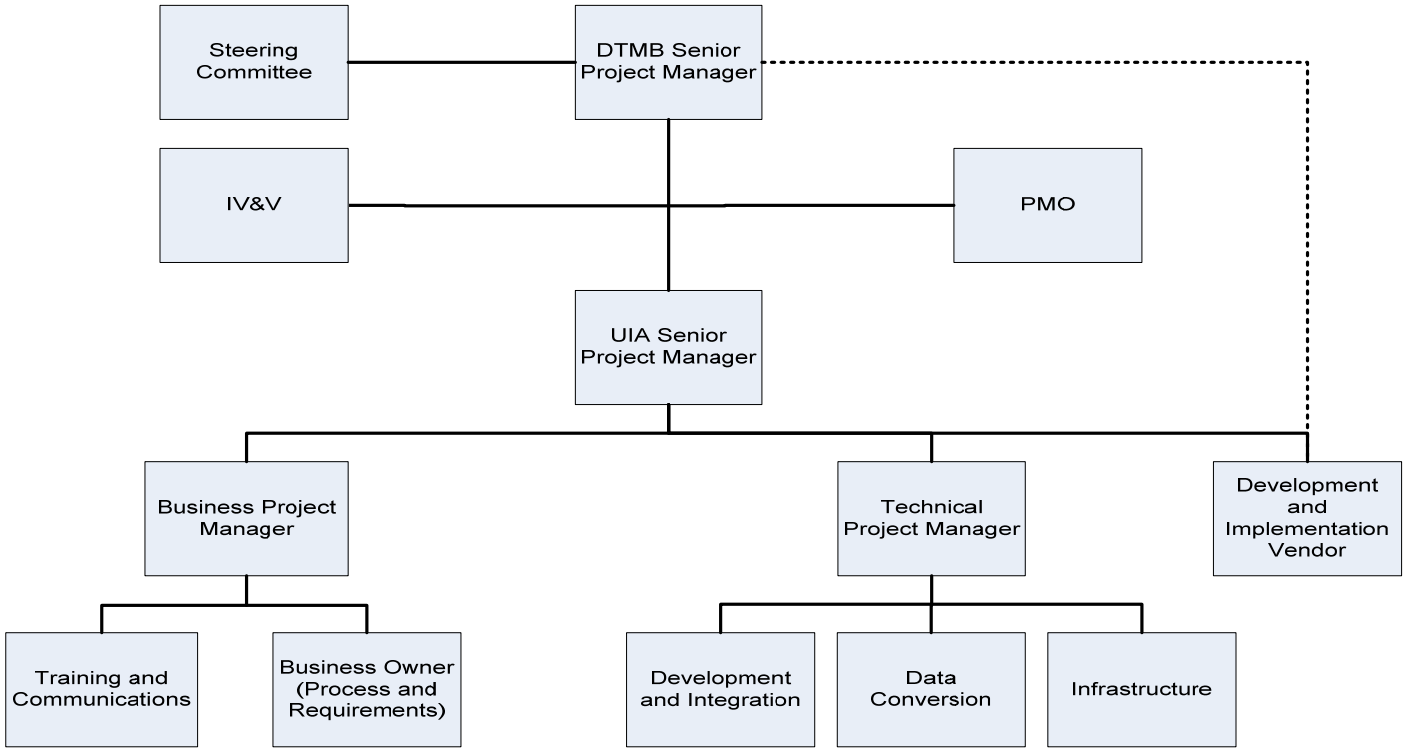
DTMB and UIA State Project Managers will provide the following services:

- Provide State facilities, as needed
- Coordinate the State resources necessary for the project
- Facilitate coordination between various external Contractors
- Facilitate communication between different State departments or divisions
- Provide acceptance and sign-off of deliverable or milestone
- Review and sign-off of invoices
- Resolve project issues
- Escalate outstanding and high priority issues
- Use change control procedures
- Conduct regular and ongoing review of the project to confirm that it meets original objectives and requirements
- Document and archive all important project decisions
- Arrange, schedule and facilitate State Staff attendance at all project meetings

In addition, the State will provide a Business Project Manager and a Technical Project Manager, who are responsible for assisting and directing the Contractor on project requirements and the business and technology of the UIA-IS project. The State Business and Technical Project Managers will manage the State staff assigned to the project.

The table below identifies the State Senior Project Managers:

Name	Agency or Division	Title
Debra J. Patterson	DTMB	Senior Project Manager
Clayton F. Tierney	UIA	Senior Project Manager



UIA-IS Organization Chart

DTMB will provide a Contract Administrator whose duties must include, but not be limited to, supporting the management of the Contract.

Name	Agency or Division	Title
TBD	DTMB/Agency Services	Contract Administrator

Subject Matter Experts

SMEs representing the involved business units must provide information to the Contractor on an as-needed basis. The SMEs must be empowered to:

- Resolve project issues in a timely manner
- Review project plan, status, and issues
- Resolve deviations from project plan
- Provide acceptance sign off
- Ensure timely availability of State resources
- Make key implementation decisions

The following table lists the key Subject Matter Experts:

Name	Agency or Division	Title
Susan Easton	UIA Benefit Services	Director, Federal Programs and Policy
Shirley Heaslip	UIA Benefits System Control	Benefit System Control/Manager
Linda Kalinowski	UIA Tax System	Employer System Support/Manager

Other DTMB and UIA Roles and Responsibilities

The State intends to support the system on its own at the completion of this contract. The Contractor must work with the State to transition support for the system to SOM business (UIA) and technical (DTMB) Staff. This must include involving State personnel in a variety of areas such as – ongoing production support, data conversion, requirements definition, application development during the life of this contract.

For informational purposes, the State intends to assign twenty to twenty-five (20-25) DTMB Staff and twenty to thirty (20-30) UIA Staff to the project on a full-time basis for the duration of the project. Please note that testers identified will only be available during UAT (System and End-to-End Testing). These individuals are expected to become the SMEs for various areas of the system. The intent is for the State to have experience and knowledge in all aspects of the UIA-IS by the end of the contract. The State expects the Contractor to pair these individuals up with key individuals from the Contractor team.

The Contractor must coordinate with State management in terms of work assignments for State Staff. However, the Contractor must not rely on these individuals to reduce Contractor staffing levels. State staff must only be expected to work 40 hours per week.

The Contractor must also work and coordinate with the State of Michigan Data Center Staff, Office of Enterprise Security, Enterprise Architecture, and Enterprise Program Management Office and other organizations as needed.

Project Management Office (PMO)

The State has retained an independent contractor to perform Project Management Office (PMO) responsibilities during the UIA-IS Project lifecycle. The major role of the PMO is to manage and control all aspects of the UIA-IS Project. The PMO is in place to ensure the overall goals and objectives of the project are met, which must entail periodic reviews of the overall strategy with the Contractor and the State. The PMO will review all deliverables prior to approval.

The PMO is staffed with four full-time staff (plus other staff as required) to manage and oversee all Contractor activities. The four full-time key resources include a Senior Project Manager (PM), Technical Architect (TA), Business Analyst (BA) and Project Scheduler (PS). These key positions must have accountability for administering procedural controls, reviewing content and quality of deliverables and ensuring progress of all activities in their respective areas of responsibility and expertise.

The PMO must ultimately be responsible for the governance of project management and system engineering activities in order to provide guidance and strategic decisions on all aspects of the project. UIA-IS Project governance includes strong adherence to the State Unified Information Technology Environment (SUITE) and the associated Project Management Methodology (PMM) and Systems Engineering Methodology (SEM).

The PMO will work jointly with the Contractor to facilitate and oversee the communication and the delivery of the functional requirements, business rules and UAT. As functional requirements are refined from requirements definition through implementation, the PMO will be responsible to ensure all artifacts are traced back to the State's UIA-IS functional requirements. The State must create and update the Requirement Traceability Matrix (RTM) and – with the support of the Contractor - the PMO will ensure the accuracy and quality of the RTM.

The PMO will work jointly with the Contractor to facilitate and oversee the communication and execution of the technical requirements for the UIA-IS. The PMO will review the Contractor's architecture and designs to ensure the solution complies with State's infrastructure and standards. In addition, the PMO will examine all

deployment and conversion plans to ensure compliance with the project plan. It is the responsibility of the PMO to ensure that development methods are correct and practical, and that key architectural decisions concerning the platform and supporting technologies comply with the State's Information, Communications and Technology (ICT) Plan for the UIA Integrated System.

The PMO Project Scheduler will work jointly with the Contractor to ensure the project schedule milestones, activities and tasks accurately and comprehensively define the UIA-IS project work, timelines and resources. The Contractor must create and update the project schedule as required per the Contractor's project plan. The Project Scheduler will oversee all project scheduling activities to ensure project tasks are consistently tracked and status is reported. The PMO Scheduler will work with the Contractor to identify risks, issues, critical paths, scheduling delays and opportunities for improvement.

Independent Verification and Validation (IV&V)

The full-time, onsite IV&V Project Manager provides an objective assessment of software products and processes throughout the project lifecycle. This objective assessment is to ensure requirements (such as system and software) are complete, accurate, consistent, and testable. The IV&V Project Manager also provides management insight into processes and risks, objective views of compliance or non-compliance with program performance, schedule, and budget requirements.

Represented State Employees

The Contractor should be aware that some UIA Staff are members of one of three (3) union organizations that operate within DTMB and/or DLARA/UIA. These Employees have defined roles, responsibilities, skills, experience, and work hours.

1.300 PROJECT PLANNING

Project Planning covers those activities that require ongoing administrative oversight throughout all the UIA-IS implementation processes, from initiation to completion of the project. Planning also includes a number of plan documents that guide and govern the project from requirements validation and refinement through deployment, as well as for preparing for the eventual assumption of responsibilities by the State.

1.301 PROJECT PLAN MANAGEMENT

In cooperation with the Contractor, the State must develop a detailed Project Management Plan (PMM-003) as part of the Project Preparation Phase. The Contractor should review Section 1.104: Scope of Work and Deliverables, Subsection I: Project Management Methodology for more details on the Project Management Plan.

Orientation Meeting

The Contractor is required to attend an orientation meeting to discuss the content and procedures of the Contract. The meeting must be held in Detroit or Lansing, Michigan, at a date and time mutually acceptable to the State and the Contractor. The State must bear no cost for the time and travel of the Contractor for attendance at the meeting.

Performance Review Meetings

The State will require the Contractor to attend monthly meetings, at a minimum, to review Contractor performance under the Contract. The State will prepare the performance criteria and facilitate this meeting. The meetings must be held in Detroit or Lansing, Michigan, or by teleconference, as mutually agreed by the State and the Contractor. The State must bear no cost for the time and travel of the Contractor for attendance at the meeting.

Project Control

- The Contractor must carry out this project under the direction and control of DTMB and UIA Senior Project Managers, with strong support and advice from the Project Management Office (PMO) and the Independent Verification and Validation (IV&V) Project Manager.

- The State will manage the project in accordance with the State Unified Information Technology Environment (SUITE) methodology, and as applicable to a COTS solution, which includes standards for project management, systems engineering, and the associated forms and templates (these are available at http://www.michigan.gov/suite).
- The Contractor will perform its work in accordance with both the FAST Implementation Methodology (FIM) and the SUITE methodology, as defined and detailed in this contract.
- Any tool(s) used by Contractor for such purposes must produce information of a type and in a manner and format that supports reporting in compliance with State standards, or as mutually agreed

1.302 REPORTS

At a minimum, during the implementation the Contractor must provide the following identified reports. The Contractor must use the State-defined templates, or other forms as mutually agreed upon for the following reports.

- Weekly Project Status Reports must be provided to the State Senior Project Managers, the Executives, Sponsors, and other key project personnel as identified by the State
- Monthly Project Plan updates must be provided to the State Senior Project Managers, the Executives, Sponsors, and other key project personnel as identified by the State
- Monthly Performance Reports must be provided to the State Senior Project Managers, the Executives, Sponsors, and other key project personnel as identified by the State
- Quarterly Project Evaluation Reports must be provided to the State Senior Project Managers, the Executives, Sponsors, and other key personnel as identified by the State
- Monthly Standards Review Reports must be provided to the State Senior Project Managers, the Executives, Sponsors, and other key personnel as identified by the State
- Weekly Issue logs must be provided to the State Senior Project Managers, the Executives, Sponsors, and other key personnel as identified by the State

1.400 PROJECT MANAGEMENT

1.401 ISSUE MANAGEMENT

An issue is an identified event that if not addressed will affect schedule, scope, quality, or budget.

The Issues Management tool to be used on the UIA-IS Project and the number of software licenses to be purchased by procurement must be identified. Refer to section 1.104 I:B – Create a Procurement Management Plan for more details.

The State must maintain an issue log for issues relating to the provision of services under this Contract. The Contractor must update the issue log, including the following minimum elements:

- Description of issue
- Issue identification date
- Responsibility for resolving issue
- Priority for issue resolution (to be mutually agreed by the State and the Contractor)
- Resources assigned responsibility for resolution
- Resolution date
- Resolution description

Issues must be escalated for resolution from level one through level three, as defined below:

Level One:	Business Leads
Level Two:	Project Managers
Level Three:	Executives and Project Sponsors

The State must document a detailed standard issue management process for managing the project. This process must identify how issues must be captured, reported and escalated. This process must also include whether escalation processes are based on age, severity, or budget impact, and where the escalation levels are. The State must also identify the issue management process in terms of responsible parties and processes.

1.402 RISK MANAGEMENT

A risk is an unknown circumstance or event that, if it occurs, will have a positive or negative impact on the project.

The State is responsible for establishing a risk management plan and process, including the identification and recording of risk items, prioritization of risks, definition of mitigation strategies, monitoring of risk items, and periodic risk assessment reviews with the Contractor.

The Risk Management Plan is developed during the initial Preparation Phase of the project, and must be in accordance with the State PMM methodology. Once both parties have agreed to the format of the plan, it must become the standard to follow for the duration of the contract. The plan must be updated bi-weekly, or as agreed.

The State must provide the tool to track risks. The risk management tool to be used on the UIA-IS Project and the number of software licenses to be purchased by procurement must be identified. Refer to section 1.104 I:B – Create a Procurement Management Plan for more details.

The Contractor is responsible for identification of risks for each phase of the project. Mitigating or eliminating project risks are the responsibility of both the State and the Contractor.

1.403 CHANGE MANAGEMENT

Change Management is defined as the process to communicate, assess, monitor, and control all changes to project scope and the contract. The State also employs a change management process as defined within the SUITE Project Management Methodology (PMM). The State is to complete the Change Management Plan (PMM-009) document to detail this process.

Whenever an adjustment is requested for any portion of the SOW, approved deliverables, previously approved changes, project baseline schedule and/or project cost, a formal change request form must be completed and tracked through closure. The purpose of the Change Management Plan is to document and describe:

- The change management approach
- Triggers/Sources of change requests
- Categories and priorities for change requests
- How changes will be processed and tracked
- Roles and Responsibilities related to change management activities
- Documentation required for each change request
- Tools needed to support the Change Management Process

The State must ensure all changes that occur within the project are promptly identified, coordinated, agreed upon, and properly managed. The Change Management Plan must be followed if the Contractor requests the use of Optional Services, which must be part of this contract.

For proposed contract changes outside the scope of the current approved Purchase Order, the Contract Administrator (with approval of the State Senior Project Managers) must submit a change request to the Department of Technology, Management and Budget (DTMB), Purchasing Operations Buyer, who must make recommendations to the Director of Purchasing Operations regarding ultimate approval or disapproval of the change request. If the DTMB Purchasing Operations Director agrees with the proposed modification, and all required approvals are obtained (including State Administrative Board), the Purchasing Operations Buyer must issue an addendum to the Contract, via a Contract Change Notice.

If products or services are provided prior to the issuance of a Contract Change Notice by the DTMB Purchasing Operations, the Contractor risks non-payment for out-of-scope pricing, products, or services.

The Contractor is advised that any legislative changes during the life of the project that affect UIA will result in changes to the UIA-IS system under development. In the event the legislative changes affect UIA functions; the State will be responsible for making appropriate changes to the applications on the mainframe. The Contractor must perform an impact analysis to determine the functional areas impacted by the change, and the associated requirements and deliverables that must be modified to incorporate the change. Once the impact analysis has been completed, the Contractor must submit a change request detailing the proposed changes to incorporate the new/changed functionality. The change request should additionally include impact to the project schedule, and FTEs required to incorporate and implement the change. The change request must follow the defined and approved process.

Any additional approved hours required to complete the activities to include and incorporate a change will be drawn from the Optional Services pool of hours.

1.500 ACCEPTANCE

1.501 ACCEPTANCE CRITERIA

The acceptance criteria for document and software deliverables are specified in the standard terms and conditions of the contract, in Article 2, Section 2.253 – 2.254. The Contractor shall follow this prescribed process for the review and approval of deliverables, milestones and stage exit reviews as required under the Contract.

The Contractor shall create a Deliverable Expectation Document (DED) for each deliverable identified in the Project Schedule. The DED shall define and document the following minimum attributes:

- Document Table of Content (TOC) outline and content
- Acceptance criteria
- Review criteria
- Review Timeframe
- List of reviewers
- Identification of the approvers

If a PMM or SEM template exists, the Contractor shall use the template as the DED. If a template does not exist, then the Contractor shall develop the deliverable template and define the aforementioned attributes. If the Contractor is recommending replacing a PMM/SEM document, the Contractor must demonstrate how the information in the PMM/SEM document being replaced is contained in the DED.

Prior to starting work on any deliverable, the Contractor shall schedule a meeting with the State to review the DED and gain State approval on the content for the deliverable(s) to be drafted.

Upon completion of the deliverable(s), the Contractor shall distribute the document to the reviewers and approvers in accordance with the DED. If previously noted in the DED, the Contractor shall schedule and facilitate a follow-up meeting to collectively walkthrough the deliverable and review feedback from the State. During the review meeting all deliverable comments, issues and defects should be discussed, resolved and the disposition documented in accordance with the acceptance criteria.

The Contractor PM is responsible for ensuring the approved changes resulting from the deliverable review are documented and incorporated in the appropriate deliverable(s). The review process is iterative until all changes are accepted. Any Deliverable for which agreement cannot be reached after the second (2nd) facilitated review shall follow the defined project escalation process.

The deliverable shall be circulated for signature approval once the deliverable is updated to reflect the agreed upon changes. Once signatures are received, the deliverable shall then be scanned and placed in the electronic project repository.

1.502 FINAL ACCEPTANCE

Payment will be made after final acceptance has been granted by the State for each system, i.e.; tax, benefit. Final Acceptance of the Tax and/or Benefit system shall be in accordance with Section 2.256

1.600 COMPENSATION AND PAYMENT

1.601 COMPENSATION AND PAYMENT

This contract is a fixed, firm priced contract, and shall be paid on completion of milestones, deliverables and Phase/Stage. The Contractor shall be compensated as per Section 1.502 and Appendix D–Payment Schedule. Contractor shall be paid according to the terms and conditions defined within the negotiated contract.

Warranty payments will be made 1 year after the warranty period begins for each system (tax, benefits), per Section 1.104.11 Warranty.

Travel

Travel by Contractor staff between the Detroit project office and other State offices (including RICCs and PROs) shall not be reimbursed by the State. Travel for the Contractor staff to or from any of the State Training Centers for the purposes of providing contracted training shall not be reimbursed directly or separately. In no instance shall travel time be reimbursed by the State.

Out-of-Pocket Expenses

Out-of-pocket expenses incurred by the Contractor are not separately reimbursable by the State unless, on a case-by-case basis for unusual expenses, the State has agreed in advance and in writing to reimburse Contractor for such an expense at the State current travel reimbursement rates.

In the event travel other than that described above is requested by the State, then all pre-approved travel reimbursement shall be paid according to the State of Michigan Standardized Travel Rates and Regulations. This information shall be found at http://www.michigan.gov/DTMB/0,1607,7-150-9141_13132---,00.html.

If travel is requested and approved by the State, all air, car and hotel reservations shall be made through the State Contract with Passageways Travel at (517) 333-5880 or (800) 915-8729. All original receipts shall be included with travel vouchers and invoices, which shall include the purchase order number. Failure to follow this policy shall result in reduced reimbursement.

If Contractor reduces its prices for any of the software or services during the term of this Contract, the State shall have the immediate benefit of such lower prices for new purchases. The Contractor shall send notice to the State DTMB Contract Administrator with the reduced prices within fifteen (15) business days of the reduction taking effect.

Statements of Work and Issuance of Purchase Orders

Unless otherwise agreed by the parties, each Statement of Work shall include:

- Background
- Project Objective
- Scope of Work
- Deliverables
- Acceptance Criteria
- Project Control and Reports
- Specific Department Standards
- Payment Schedule
- Travel and Expenses
- Project Contacts
- State Responsibilities and Assumptions
- Location of Where the Work is to be performed
- Contractor Work Hours and Conditions

The parties agree that the Services and Deliverables to be rendered by Contractor pursuant to this Contract (and any future amendments of it) shall be defined and described in detail in Statements of Work or Purchase Orders (PO) executed under this Contract. The Contractor shall not be obliged or authorized to commence any work to implement a Statement of Work until authorized via a PO issued against this Contract. The Contractor

shall perform in accordance with this Contract, including the Statements of Work and Purchase Orders executed under it.

Invoicing

The Contractor shall submit properly itemized invoices to the "Bill To" Address on the Purchase Order. Invoices shall provide and itemize, as applicable:

- Contract number
- Purchase Order number
- The name, address, phone number, and Federal Tax Identification Number of the Contractor
- Description of any commodities and hardware, including quantity ordered
- Date(s) of delivery or date(s) of installation and set up
- Price for each item, or the Contractor list price for each item and applicable discounts
- Maintenance charges
- Net invoice price for each item
- Shipping costs
- Other applicable charges
- Total invoice price
- Payment terms, including any available prompt payment discount

The State shall pay maintenance and support charges on a monthly basis, in arrears. Payment of maintenance service and support of less than one (1) month duration shall be prorated at one-thirtieth (1/30th) of the basic monthly maintenance charges for each calendar day.

Incorrect or incomplete invoices shall be returned to Contractor for correction and reissue.

1.602 HOLDBACK - RESERVED

1.700 ADDITIONAL TERMS AND CONDITIONS SPECIFIC TO THIS SOW

1.701 STATE UNEMPLOYMENT TAX AVOIDANCE (SUTA) DUMPING

The Contractor shall agree that during the period of this engagement/contract, it shall refrain from conducting training seminars or publishing instructional or promotional materials in any form that instructs or encourages its clients or potential clients about any aspect of the practice known as "SUTA Dumping." SUTA Dumping is the practice of manipulating the UI Tax Rate to achieve a lower rate and then using the lower rate to pay lower UI taxes, which is prohibited by Section 22b of the MES Act.

ARTICLE 2 - TERMS AND CONDITIONS

2.000 CONTRACT STRUCTURE AND TERM

2.001 CONTRACT TERM

This Contract is for a period of five (5) years beginning August 29, 2011 through August 28, 2016 with options for five (5) additional one (1) year extensions. All outstanding Purchase Orders must also expire upon the termination (cancellation for any of the reasons listed in Section 2.150) of the Contract, unless otherwise extended under the Contract. Absent an early termination for any reason, Purchase Orders issued but not expired, by the end of the Contract's stated term, must remain in effect for the balance of the fiscal year for which they were issued.

2.002 OPTIONS TO RENEW

This Contract may be renewed in writing by mutual agreement of the parties not less than 30 days before its expiration. The Contract may be renewed for up to five (5) additional one (1) year periods.

2.003 LEGAL EFFECT

Contractor shall show acceptance of this Contract by signing two copies of the Contract and returning them to the Contract Administrator. The Contractor shall not proceed with the performance of the work to be done under the Contract, including the purchase of necessary materials, until both parties have signed the Contract to show acceptance of its terms, and the Contractor receives a contract release/purchase order that authorizes and defines specific performance requirements.

Except as otherwise agreed in writing by the parties, the State assumes no liability for costs incurred by Contractor or payment under this Contract, until Contractor is notified in writing that this Contract (or Change Order) has been approved by the State Administrative Board (if required), approved and signed by all the parties, and a Purchase Order against the Contract has been issued.

2.004 ATTACHMENTS AND EXHIBITS

All Attachments and Exhibits affixed to any and all Statement(s) of Work, or appended to or referencing this Contract, are incorporated in their entirety and form part of this Contract.

2.005 ORDERING

The State shall issue a written Purchase Order, Blanket Purchase Order, Direct Voucher or Procurement Card Order, which must be approved by the Contract Administrator or the Contract Administrator's designee, to order any Services/Deliverables under this Contract. All orders are subject to the terms and conditions of this Contract. No additional terms and conditions contained on either a Purchase Order or Blanket Purchase Order apply unless they are also specifically contained in that Purchase Order or Blanket Purchase Order's accompanying Statement of Work. Exact quantities to be purchased are unknown; however, the Contractor must be required to furnish all such materials and services as may be ordered during the CONTRACT period. Quantities specified, if any, are estimates based on prior purchases, and the State is not obligated to purchase in these or any other quantities.

2.006 ORDER OF PRECEDENCE

The Contract, including any Statements of Work and Exhibits, to the extent not contrary to the Contract, each of which is incorporated for all purposes, constitutes the entire agreement between the parties with respect to the subject matter and supersedes all prior agreements, whether written or oral, with respect to the subject matter and as additional terms and conditions on the purchase order must apply as limited by Section 2.005.

In the event of any inconsistency between the terms of the Contract and a Statement of Work, the terms of the Statement of Work must take precedence (as to that Statement of Work only); provided, however, that a Statement of Work may not modify or amend the terms of the Contract, which may be modified or amended only by a formal Contract amendment.

2.007 HEADINGS

Captions and headings used in the Contract are for information and organization purposes. Captions and headings, including inaccurate references, do not, in any way, define or limit the requirements or terms and conditions of the Contract.

2.008 FORM, FUNCTION AND UTILITY

If the Contract is for use of more than one State agency and if the Deliverable/Service does not the meet the form, function, and utility required by that State agency, that agency may, subject to State purchasing policies, procure the Deliverable/Service from another source.

2.009 REFORMATION AND SEVERABILITY

Each provision of the Contract is severable from all other provisions of the Contract and, if one or more of the provisions of the Contract is declared invalid, the remaining provisions of the Contract remain in full force and effect.

2.010 CONSENTS AND APPROVALS

Except as expressly provided otherwise in the Contract, if either party requires the consent or approval of the other party for the taking of any action under the Contract, the consent or approval must be in writing and must not be unreasonably withheld or delayed.

2.011 NO WAIVER OF DEFAULT

If a party fails to insist upon strict adherence to any term of the Contract then the party has not waived the right to later insist upon strict adherence to that term, or any other term, of the Contract.

2.012 SURVIVAL

Any provisions of the Contract that impose continuing obligations on the parties, including without limitation the parties' respective warranty, indemnity and confidentiality obligations, survive the expiration or termination of the Contract for any reason. Specific references to survival in the Contract are solely for identification purposes and not meant to limit or prevent the survival of any other section.

2.020 CONTRACT ADMINISTRATION

2.021 ISSUING OFFICE

This Contract is issued by the Department of Technology, Management and Budget, Purchasing Operations and the Unemployment Insurance Agency (collectively, including all other relevant State of Michigan departments and agencies, the "State"). Purchasing Operations is the sole point of contact in the State with regard to all procurement and contractual matters relating to the Contract. The Purchasing Operations Contract Administrator for this Contract is:

Joe Kelly, Buyer
Purchasing Operations
Department of Technology, Management and Budget
Mason Bldg, Second Floor
PO Box 30026
Lansing, MI 48909
(517) 373-3993
kellyj@michigan.gov

2.022 CONTRACT COMPLIANCE INSPECTOR

The Director of Purchasing Operations directs the person named below, or his or her designee, to monitor and coordinate the activities for the Contract on a day-to-day basis during its term. Monitoring Contract activities does not imply the authority to change, modify, clarify, amend, or otherwise alter the prices, terms, conditions and specifications of the Contract. Purchasing Operations is the only State office authorized to change,

modify, amend, alter or clarify the prices, specifications, terms and conditions of this Contract. The Contract Compliance Inspector for this Contract is:

TBD
DTMB Contract Administrator
Cadillac Place, Suite 12-100
3024 West Grand Blvd.
Detroit, MI 48202

2.023 PROJECT MANAGER

The following individuals must oversee the project:

Debra J. Patterson
DTMB Integrated System, Project Manager
Cadillac Place, Suite 12-142
3024 West Grand Blvd.
Detroit, MI 48202
Office Phone 313.456.2602

Clayton F. Tierney
UIA Integrated System, Project Manager
Cadillac Place, Suite 13-650
3024 West Grand Blvd.
Detroit, MI 48202
Office Phone 313.456.2402

2.024 CHANGE REQUESTS

The State reserves the right to request from time to time any changes to the requirements and specifications of the Contract and the work to be performed by the Contractor under the Contract. During the course of ordinary business, it may become necessary for the State to discontinue certain business practices or create Additional Services/Deliverables. At a minimum, to the extent applicable, the State would like the Contractor to provide a detailed outline of all work to be done, including tasks necessary to accomplish the Services/Deliverables, time frames, listing of key personnel assigned, estimated hours for each individual per task, and a complete and detailed cost justification.

If the State requests or directs the Contractor to perform any Services/Deliverables that are outside the scope of the Contractor's responsibilities under the Contract ("New Work"), the Contractor must notify the State promptly, and before commencing performance of the requested activities, that it believes the requested activities are New Work. If the Contractor fails to notify the State before commencing performance of the requested activities, any such activities performed before the Contractor gives notice shall be conclusively considered to be in-scope Services/Deliverables, not New Work.

If the State requests or directs the Contractor to perform any services or provide deliverables that are consistent with and similar to the Services/Deliverables being provided by the Contractor under the Contract, but which the Contractor reasonably and in good faith believes are not included within the Statements of Work, then before performing such services or providing such deliverables, the Contractor shall notify the State in writing that it considers the services or deliverables to be an Additional Service/Deliverable for which the Contractor should receive additional compensation. If the Contractor does not so notify the State, the Contractor shall have no right to claim thereafter that it is entitled to additional compensation for performing that service or providing that deliverable. If the Contractor does so notify the State, then such a service or deliverable shall be governed by the Change Request procedure in this Section.

In the event prices or service levels are not acceptable to the State, the Additional Services or New Work shall be subject to competitive bidding based upon the specifications.

1. Change Request at State Request: If the State should require Contractor to perform New Work, Additional Services or make changes to the Services that would affect the Contract completion schedule or the amount of compensation due Contractor (a "Change"), the State shall submit a written request for Contractor to furnish a proposal for carrying out the requested Change (a "Change Request")
2. Contractor Recommendation for Change Requests: Contractor shall be entitled to propose a Change to the State, on its own initiative, should it be of the opinion that this would benefit the Contract.
3. Upon receipt of a Change Request or on its own initiative, Contractor shall examine the implications of the requested Change on the technical specifications, Contract schedule, and price of the Deliverables and Services and shall submit to the State without undue delay a written proposal for carrying out the Change. Contractor's proposal must include any associated changes in the technical specifications, Contract schedule and price and method of pricing of the Services. If the Change is to be performed on a time and materials basis, the Amendment Labor Rates shall apply to the provision of such Services. If Contractor provides a written proposal and should Contractor be of the opinion that a requested Change is not to be recommended, it shall communicate its opinion to the State but shall nevertheless carry out the Change as specified in the written proposal if the State directs it to do so.
4. By giving Contractor written notice within a reasonable time, the State shall be entitled to accept a Contractor proposal for Change, to reject it, or to reach another agreement with Contractor. Should the parties agree on carrying out a Change, a written Contract Change Notice must be prepared and issued under this Contract, describing the Change and its effects on the Services and any affected components of this Contract (a "Contract Change Notice").
5. No proposed Change must be performed until the proposed Change has been specified in a duly executed Contract Change Notice issued by the Department of Technology, Management and Budget, Purchasing Operations.
6. If the State requests or directs the Contractor to perform any activities that Contractor believes constitute a Change, the Contractor must notify the State that it believes the requested activities are a Change before beginning to work on the requested activities. If the Contractor fails to notify the State before beginning to work on the requested activities, then the Contractor waives any right to assert any claim for additional compensation or time for performing the requested activities. If the Contractor commences performing work outside the scope of this Contract and then ceases performing that work, the Contractor must, at the request of the State, retract any out-of-scope work that would adversely affect the Contract.

2.025 NOTICES

Any notice given to a party under the Contract must be deemed effective, if addressed to the party as addressed below, upon: (i) delivery, if hand delivered; (ii) receipt of a confirmed transmission by facsimile if a copy of the notice is sent by another means specified in this Section; (iii) the third Business Day after being sent by U.S. mail, postage pre-paid, return receipt requested; or (iv) the next Business Day after being sent by a nationally recognized overnight express courier with a reliable tracking system.

State:

State of Michigan
Purchasing Operations
Attention: Mr. Joe Kelly, Buyer Specialist
PO Box 30026
530 West Allegan
Lansing, Michigan 48909

Contractor:

Fast Enterprise, LLC.
Attention: Mr. James Harrison
6400 S. Fiddler's Green Circle, Suite 1500
Greenwood Village, CO 80111

Either party may change its address where notices are to be sent by giving notice according to this Section.

2.026 BINDING COMMITMENTS

Representatives of Contractor must have the authority to make binding commitments on Contractor's behalf within the bounds set forth in the Contract. Contractor may change the representatives from time to time upon written notice.

2.027 RELATIONSHIP OF THE PARTIES

The relationship between the State and Contractor is that of client and independent contractor. No Agent, Employee, or Servant of Contractor or any of its Subcontractors must be or must be deemed to be an Employee, agent or servant of the State for any reason. Contractor must be solely and entirely responsible for its acts and the acts of its Agents, Employees, servants and Subcontractors during the performance of the Contract.

2.028 COVENANT OF GOOD FAITH

Each party must act reasonably and in good faith. Unless stated otherwise in the Contract, the parties must not unreasonably delay, condition or withhold the giving of any consent, decision, or approval that is either requested or reasonably required of them in order for the other party to perform its responsibilities under the Contract.

2.029 ASSIGNMENTS

Neither party may assign the Contract, or assign or delegate any of its duties or obligations under the Contract, to any other party (whether by operation of law or otherwise), without the prior written consent of the other party; provided, however, that the State may assign the Contract to any other State agency, department, division or department without the prior consent of Contractor and Contractor may assign the Contract to an affiliate so long as the affiliate is adequately capitalized and can provide adequate assurances that the affiliate can perform the Contract. The State may withhold consent from proposed assignments, Subcontracts, or novations when the transfer of responsibility would operate to decrease the State's likelihood of receiving performance on the Contract or the State's ability to recover damages.

Contractor may not, without the prior written approval of the State, assign its right to receive payments due under the Contract. If the State permits an assignment, the Contractor is not relieved of its responsibility to perform any of its contractual duties, and the requirement under the Contract that all payments must be made to one entity continues.

If the Contractor intends to assign the contract or any of the Contractor's rights or duties under the Contract, the Contractor must notify the State in writing at least 90 days before the assignment. The Contractor also must provide the State with adequate information about the assignee within a reasonable amount of time before the assignment for the State to determine whether to approve the assignment.

2.030 GENERAL PROVISIONS

2.031 MEDIA RELEASES

News releases (including promotional literature and commercial advertisements) pertaining to the RFP and Contract or project to which it relates shall not be made without prior written State approval, and then only in accordance with the explicit written instructions from the State. No results of the activities associated with the RFP and Contract are to be released without prior written approval of the State and then only to persons designated.

2.032 CONTRACT DISTRIBUTION
Purchasing Operations retains the sole right of Contract distribution to all State agencies and local units of government unless other arrangements are authorized by Purchasing Operations.

2.033 PERMITS
Contractor must obtain and pay any associated costs for all required governmental permits, licenses and approvals for the delivery, installation and performance of the Services. The State must pay for all costs and expenses incurred in obtaining and maintaining any necessary easements or right of way.

2.034 WEBSITE INCORPORATION
The State is not bound by any content on the Contractor's website, even if the Contractor's documentation specifically referenced that content and attempts to incorporate it into any other communication, unless the State has actual knowledge of the content and has expressly agreed to be bound by it in a writing that has been manually signed by an authorized representative of the State.

2.035 FUTURE BIDDING PRECLUSION
Contractor acknowledges that, to the extent this Contract involves the creation, research, investigation or generation of a future RFP; it may be precluded from bidding on the subsequent RFP. The State reserves the right to disqualify any Vendor if the State determines that the Vendor has used its position (whether as an incumbent Contractor, or as a Contractor hired to assist with the RFP development, or as a Vendor offering free assistance) to gain a competitive advantage on the RFP.

2.036 FREEDOM OF INFORMATION
All information in any proposal submitted to the State by Contractor and this Contract is subject to the provisions of the Michigan Freedom of Information Act, 1976 Public Act No. 442, as amended, MCL 15.231, *et seq* (the "FOIA").

2.037 DISASTER RECOVERY
Contractor and the State recognize that the State provides essential services in times of natural or manmade disasters. Therefore, except as so mandated by Federal disaster response requirements, Contractor personnel dedicated to providing Services/Deliverables under this Contract must provide the State with priority service for repair and work around in the event of a natural or manmade disaster.

2.040 FINANCIAL PROVISIONS

2.041 FIXED PRICES FOR SERVICES/DELIVERABLES
Each Statement of Work or Purchase Order issued under this Contract shall specify (or indicate by reference to the appropriate Contract Exhibit) the firm, fixed prices for all Services/Deliverables, and the associated payment milestones and payment amounts. The State may make progress payments to the Contractor when requested as work progresses, but not more frequently than monthly, in amounts approved by the Contract Administrator, after negotiation. Contractor must show verification of measurable progress at the time of requesting progress payments.

2.042 ADJUSTMENTS FOR REDUCTIONS IN SCOPE OF SERVICES/DELIVERABLES
If the scope of the Services/Deliverables under any Statement of Work issued under this Contract is subsequently reduced by the State, the parties shall negotiate an equitable reduction in Contractor's charges under such Statement of Work commensurate with the reduction in scope.

2.043 SERVICES/DELIVERABLES COVERED
For all Services/Deliverables to be provided by Contractor (and its Subcontractors, if any) under this Contract, the State shall not be obligated to pay any amounts in addition to the charges specified in this Contract.

2.044 INVOICING AND PAYMENT – IN GENERAL

A. Each Statement of Work issued under this Contract shall list (or indicate by reference to the appropriate Contract Exhibit) the prices for all Services/Deliverables, equipment and commodities to be provided, and the associated payment milestones and payment amounts.

B. Each Contractor invoice must show details as to charges by Service/Deliverable component and location at a level of detail reasonably necessary to satisfy the State's accounting and charge-back requirements. Invoices for Services performed on a time and materials basis must show, for each individual, the number of hours of Services performed during the billing period, the billable skill/labor category for such person and the applicable hourly billing rate. Prompt payment by the State is contingent on the Contractor's invoices showing the amount owed by the State minus any holdback amount to be retained by the State in accordance with Section 1.602.

C. Correct invoices must be due and payable by the State, in accordance with the State's standard payment procedure as specified in 1984 Public Act No. 279, MCL 17.51 *et seq.,* within 45 days after receipt, provided the State determines that the invoice was properly rendered.

D. Contract Payment Schedule

1. Contractor request for performance-based payment

   The Contractor may submit requests for payment of performance-based payments not more frequently than monthly, in a form and manner acceptable to the Contract Administrator. Unless otherwise authorized by the Contract Administrator, all performance-based payments in any period for which payment is being requested shall be included in a single request, appropriately itemized and totaled.

2. Approval and payment of requests

   The Contractor shall not be entitled to payment of a request for performance-based payment prior to successful accomplishment of the event or performance criterion for which payment is requested. The Contract Administrator shall determine whether the event or performance criterion for which payment is requested has been successfully accomplished in accordance with the terms of the contract. The Contract Administrator may, at any time, require the Contractor to substantiate the successful performance of any event or performance criterion, which has been or is represented as being payable.

   A payment under this performance-based payment clause is a contract financing payment under the Quick Payment Terms in Section 1.061 of this Contract.

   The approval by the Contract Administrator of a request for performance-based payment does not constitute an acceptance by the Government and does not excuse the Contractor from performance of obligations under this Contract.

2.045 PRO-RATION

To the extent there are any Services that are to be paid for on a monthly basis, the cost of such Services shall be pro-rated for any partial month.

2.046 ANTITRUST ASSIGNMENT

The Contractor assigns to the State any claim for overcharges resulting from antitrust violations to the extent that those violations concern materials or services supplied by third parties to the Contractor, toward fulfillment of this Contract.

2.047 FINAL PAYMENT

The making of final payment by the State to Contractor does not constitute a waiver by either party of any rights or other claims as to the other party's continuing obligations under the Contract, nor must it constitute a waiver of any claims by one party against the other arising from unsettled claims or failure by a party to comply with this Contract, including claims for Services and Deliverables not reasonably known until after acceptance to be defective or substandard. Contractor's acceptance of final payment by the State under this Contract shall

constitute a waiver of all claims by Contractor against the State for payment under this Contract, other than those claims previously filed in writing on a timely basis and still unsettled.

2.048 Electronic Payment Requirement

Electronic transfer of funds is required for payments on State Contracts. Contractors are required to register with the State electronically at http://www.cpexpress.state.mi.us. As stated in Public Act 431 of 1984, all contracts that the State enters into for the purchase of goods and services shall provide that payment must be made by electronic fund transfer (EFT).

2.050 Taxes

2.051 Employment Taxes

Contractors are expected to collect and pay all applicable Federal, State, and local employment taxes, including the taxes.

2.052 Sales and Use Taxes

Contractors are required to be registered and to remit sales and use taxes on taxable sales of tangible personal property or services delivered into the State. Contractors that lack sufficient presence in Michigan to be required to register and pay tax must do so as a volunteer. This requirement extends to: (1) all members of any controlled group as defined in § 1563(a) of the Internal Revenue Code and applicable regulations of which the company is a member, and (2) all organizations under common control as defined in § 414(c) of the Internal Revenue Code and applicable regulations of which the company is a member that make sales at retail for delivery into the State are registered with the State for the collection and remittance of sales and use taxes. In applying treasury regulations defining "two or more trades or businesses under common control" the term "organization" means sole proprietorship, a partnership (as defined in § 701(a) (2) of the Internal Revenue Code), a trust, an estate, a corporation, or a limited liability company.

2.060 Contract Management

2.061 Contractor Personnel Qualifications

All persons assigned by Contractor to the performance of Services under this Contract must be employees of Contractor or its majority-owned (directly or indirectly, at any tier) subsidiaries (or a State-approved Subcontractor) and must be fully qualified to perform the work assigned to them. Contractor must include a similar provision in any subcontract entered into with a Subcontractor. For the purposes of this Contract, independent contractors engaged by Contractor solely in a staff augmentation role must be treated by the State as if they were employees of Contractor for this Contract only; however, the State understands that the relationship between Contractor and Subcontractor is an independent contractor relationship.

2.062 Contractor Key Personnel

A. The Contractor must provide the Contract Compliance Inspector with the names of the Key Personnel.

B. Key Personnel must be dedicated as defined in the Statement of Work to the Project for its duration in the applicable Statement of Work with respect to other individuals designated as Key Personnel for that Statement of Work.

C. The State must have the right to recommend and approve in writing the initial assignment, as well as any proposed reassignment or replacement, of any Key Personnel. Before assigning an individual to any Key Personnel position, Contractor must notify the State of the proposed assignment, must introduce the individual to the appropriate State representatives, and must provide the State with a resume and any other information about the individual reasonably requested by the State. The State reserves the right to interview the individual before granting written approval. In the event the State finds a proposed individual unacceptable, the State must provide a written explanation including reasonable detail outlining the reasons for the rejection.

D. Contractor must not remove any Key Personnel from their assigned roles on the Contract without the prior written consent of the State. The Contractor's removal of Key Personnel without the prior written consent

of the State is an unauthorized removal ("Unauthorized Removal"). Unauthorized Removals does not include replacing Key Personnel for reasons beyond the reasonable control of Contractor, including illness, disability, leave of absence, personal emergency circumstances, resignation or for cause termination of the Key Personnel's employment.

Unauthorized Removals does not include replacing Key Personnel because of promotions or other job movements allowed by Contractor personnel policies or Collective Bargaining Agreement(s) as long as the State receives prior written notice before shadowing occurs and Contractor provides 30 days of shadowing unless parties agree to a different time period. The Contractor with the State must review any Key Personnel replacements, and appropriate transition planning must be established. Any Unauthorized Removal may be considered by the State to be a material breach of the Contract, in respect of which the State may elect to exercise its termination and cancellation rights.

E. The Contractor must notify the Contract Compliance Inspector and the Contract Administrator at least 10 business days before redeploying non-Key Personnel, who are dedicated to primarily to the Project, to other projects. If the State does not object to the redeployment by its scheduled date, the Contractor may then redeploy the non-Key Personnel.

2.063 Re-assignment of Personnel at the State's Request

The State reserves the right to require the removal from the Project of Contractor personnel found, in the judgment of the State, to be unacceptable. The State's request must be written with reasonable detail outlining the reasons for the removal request. Additionally, the State's request must be based on legitimate, good faith reasons. Replacement personnel for the removed person must be fully qualified for the position. If the State exercises this right, and the Contractor cannot immediately replace the removed personnel, the State agrees to an equitable adjustment in schedule or other terms that may be affected by the State's required removal. If any incident with removed personnel results in delay not reasonably anticipatable under the circumstances and which is attributable to the State, the applicable SLAs for the affected Service must not be counted for a time as agreed to by the parties.

2.064 Contractor Personnel Location

All staff assigned by Contractor to work on the Contract must perform their duties either primarily at Contractor's offices and facilities or at State facilities. Without limiting the generality of the foregoing, Key Personnel may, at a minimum, spend at least the amount of time onsite at State facilities as indicated in the applicable Statement of Work. Subject to availability, selected Contractor personnel may be assigned office space to be shared with State personnel.

2.065 Contractor Identification

Contractor employees must be clearly identifiable while on State property by wearing a State-issued badge, as required. Contractor employees are required to clearly identify themselves and the company they work for whenever making contact with State personnel by telephone or other means.

2.066 Cooperation with Third Parties

Contractor agrees to cause its personnel and the personnel of any Subcontractors to cooperate with the State and its agents and other contractors including the State's Quality Assurance personnel. As reasonably requested by the State in writing, the Contractor must provide to the State's agents and other contractors reasonable access to Contractor's Project personnel, systems and facilities to the extent the access relates to activities specifically associated with this Contract and must not interfere or jeopardize the safety or operation of the systems or facilities. The State acknowledges that Contractor's time schedule for the Contract is very specific and agrees not to unnecessarily or unreasonably interfere with, delay or otherwise impeded Contractor's performance under this Contract with the requests for access.

2.067 Contract Management Responsibilities

Contractor shall be responsible for all acts and omissions of its employees, as well as the acts and omissions of any other personnel furnished by Contractor to perform the Services. Contractor shall have overall responsibility for managing and successfully performing and completing the Services/Deliverables, subject to

the overall direction and supervision of the State and with the participation and support of the State as specified in this Contract. Contractor's duties must include monitoring and reporting the State's performance of its participation and support responsibilities (as well as Contractor's own responsibilities) and providing timely notice to the State in Contractor's reasonable opinion if the State's failure to perform its responsibilities in accordance with the Project Plan is likely to delay the timely achievement of any Contract tasks.

The Contractor must provide the Services/Deliverables directly or through its affiliates, subsidiaries, Subcontractors or resellers. Regardless of the entity providing the Service/Deliverable, the Contractor must act as a single point of contact coordinating these entities to meet the State's need for Services/Deliverables. Nothing in this Contract, however, shall be construed to authorize or require any party to violate any applicable law or regulation in its performance of this Contract.

2.068 CONTRACTOR RETURN OF STATE EQUIPMENT/RESOURCES

The Contractor must return to the State any State-furnished equipment, facilities and other resources when no longer required for the Contract in the same condition as when provided by the State, reasonable wear and tear excepted.

2.070 SUBCONTRACTING BY CONTRACTOR

2.071 CONTRACTOR FULL RESPONSIBILITY

Contractor shall have full responsibility for the successful performance and completion of all of the Services and Deliverables. The State must consider Contractor to be the sole point of contact with regard to all contractual matters under this Contract, including payment of any and all charges for Services and Deliverables.

2.072 STATE CONSENT TO DELEGATION

Contractor shall not delegate any duties under this Contract to a Subcontractor unless the Department of Technology, Management and Budget, Purchasing Operations has given written consent to such delegation. The State shall have the right of prior written approval of all Subcontractors and to require Contractor to replace any Subcontractors found, in the reasonable judgment of the State, to be unacceptable. The State's request shall be written with reasonable detail outlining the reasons for the removal request. Additionally, the State's request shall be based on legitimate, good faith reasons. Replacement Subcontractor(s) for the removed Subcontractor shall be fully qualified for the position. If the State exercises this right, and the Contractor cannot immediately replace the removed Subcontractor, the State must agree to an equitable adjustment in schedule or other terms that may be affected by the State's required removal. If any such incident with a removed Subcontractor results in delay not reasonable anticipatable under the circumstances and which is attributable to the State, the applicable SLA for the affected Work must not be counted for a time agreed upon by the parties.

2.073 SUBCONTRACTOR BOUND TO CONTRACT

In any subcontracts entered into by Contractor for the performance of the Services, Contractor shall require the Subcontractor, to the extent of the Services to be performed by the Subcontractor, to be bound to Contractor by the terms of this Contract and to assume toward Contractor all of the obligations and responsibilities that Contractor, by this Contract, assumes toward the State. The State reserves the right to receive copies of and review all subcontracts, although Contractor may delete or mask any proprietary information, including pricing, contained in such contracts before providing them to the State. The management of any Subcontractor must be the responsibility of Contractor, and Contractor shall remain responsible for the performance of its Subcontractors to the same extent as if Contractor had not subcontracted such performance. Contractor shall make all payments to Subcontractors or suppliers of Contractor. Except as otherwise agreed in writing by the State and Contractor, the State must not be obligated to direct payments for the Services other than to Contractor. The State's written approval of any Subcontractor engaged by Contractor to perform any obligation under this Contract shall not relieve Contractor of any obligations or performance required under this Contract. A list of the Subcontractors, if any, approved by the State as of the execution of this Contract, together with a copy of the applicable subcontract is attached.

2.074 FLOW DOWN

Except where specifically approved in writing by the State on a case-by-case basis, Contractor shall flow down the obligations in Sections 2.031, 2.060, 2.100, 2.110, 2.120, 2.130, and 2.200 in all of its agreements with any Subcontractors.

2.075 COMPETITIVE SELECTION

The Contractor shall select Subcontractors (including suppliers) on a competitive basis to the maximum practical extent consistent with the objectives and requirements of the Contract.

2.080 STATE RESPONSIBILITIES

2.081 EQUIPMENT

The State must provide only the equipment and resources identified in the Statements of Work and other Contract Exhibits.

2.082 FACILITIES

The State must designate space as long as it is available and as provided in the Statement of Work, to house the Contractor's personnel whom the parties agree must perform the Services/Deliverables at State facilities (collectively, the "State Facilities"). The Contractor must have reasonable access to, and unless agreed otherwise by the parties in writing must observe and comply with all rules and regulations relating to each of the State Facilities (including hours of operation) used by the Contractor in the course of providing the Services. Contractor agrees that it must not, without the prior written consent of the State, use any State Facilities or access any State information systems provided for the Contractor's use, or to which the Contractor otherwise gains access in the course of performing the Services, for any purpose other than providing the Services to the State.

2.090 SECURITY

2.091 BACKGROUND CHECKS

On a case-by-case basis, the State may investigate the Contractor's personnel before they may have access to State facilities and systems. The scope of the background check is at the discretion of the State and the results must be used to determine Contractor personnel eligibility for working within State facilities and systems. The investigations must include Michigan State Police Background checks (ICHAT) and may include the National Crime Information Center (NCIC) Finger Prints. Proposed Contractor personnel may be required to complete and submit an RI-8 Fingerprint Card for the NCIC Finger Print Check. Any request for background checks must be initiated by the State and must be reasonably related to the type of work requested.

All Contractor personnel must also be expected to comply with the State's security and acceptable use policies for State IT equipment and resources. See http://www.michigan.gov/dtmb. Furthermore, Contractor personnel must be expected to agree to the State's security and acceptable use policies before the Contractor personnel must be accepted as a resource to perform work for the State. It is expected the Contractor must present these documents to the prospective employee before the Contractor presents the individual to the State as a proposed resource. Contractor staff must be expected to comply with all Physical Security procedures in place within the facilities where they are working.

2.092 SECURITY BREACH NOTIFICATION

If the Contractor breaches this Section, the Contractor must (i) promptly cure any deficiencies and (ii) comply with any applicable Federal and State laws and regulations pertaining to unauthorized disclosures. Contractor and the State must cooperate to mitigate, to the extent practicable, the effects of any breach, intrusion, or unauthorized use or disclosure. Contractor must report to the State in writing any use or disclosure of Confidential Information, whether suspected or actual, other than as provided for by the Contract within 10 days of becoming aware of the use or disclosure or the shorter time period as is reasonable under the circumstances.

2.093 PCI DATA SECURITY REQUIREMENTS

Contractors with access to credit/debit card cardholder data must adhere to the Payment Card Industry (PCI) Data Security requirements. Contractor agrees that they are responsible for security of cardholder data in their possession. Contractor agrees that data can ONLY be used for assisting the State in completing a transaction, supporting a loyalty program, supporting the State, providing fraud control services, or for other uses specifically required by law. Per the Michigan Department of Treasury, applications ***not*** store credit card numbers in any way (processing and transmitting is allowed), even though the storage of credit card numbers can be done securely and conform to PCI requirements.

Contractor agrees to provide business continuity in the event of a major disruption, disaster or failure.

The Contractor must contact the Department of Technology, Management and Budget, Financial Services immediately to advise them of any breaches in security where card data has been compromised. In the event of a security intrusion, the Contractor agrees the Payment Card Industry representative, or a Payment Card Industry approved third party, must be provided with full cooperation and access to conduct a thorough security review. The review must validate compliance with the Payment Card Industry Data Security Standard for protecting cardholder data. Contractor agrees to properly dispose sensitive cardholder data when no longer needed. The Contractor must continue to treat cardholder data as confidential upon contract termination.

The Contractor agrees that the solution will be subject to a PCI scan and will address any detected vulnerabilities. The Contractor must advise the Department of Technology, Management and Budget, Financial Services of all failures to comply with the PCI Data Security Requirements. Failures include, but are not limited to system scans and self-assessment questionnaires. The Contractor must provide a time line for corrective action.

2.100 CONFIDENTIALITY

2.101 CONFIDENTIALITY

Contractor and the State each acknowledge that the other possesses and must continue to possess confidential information that has been developed or received by it. As used in this Section, “Confidential Information” of Contractor must mean all non-public proprietary information of Contractor (other than Confidential Information of the State as defined below), which is marked confidential, restricted, proprietary, or with a similar designation, or which the recipient knows or should know to be confidential. “Confidential Information” of the State must mean any information which is retained in confidence by the State (or otherwise required to be held in confidence by the State under applicable Federal, State and local laws and regulations) or which, in the case of tangible materials provided to Contractor by the State under its performance under this Contract, is marked as confidential, proprietary or with a similar designation by the State. “Confidential Information” excludes any information (including this Contract) that is publicly available under the Michigan FOIA.

2.102 PROTECTION AND DESTRUCTION OF CONFIDENTIAL INFORMATION

The State and Contractor must each use at least the same degree of care to prevent disclosing to third parties the Confidential Information of the other as it employs to avoid unauthorized disclosure, publication or dissemination of its own confidential information of like character, but in no event less than reasonable care. Neither Contractor nor the State must (i) make any use of the Confidential Information of the other except as contemplated by this Contract, (ii) acquire any right in or assert any lien against the Confidential Information of the other, or (iii) if requested to do so, refuse for any reason to promptly return the other party's Confidential Information to the other party. Each party must limit disclosure of the other party’s Confidential Information to employees and Subcontractors who must have access to fulfill the purposes of this Contract. Each party shall ensure that anyone provided access to confidential information of the other party shall be made aware of and shall be bound by the obligations set forth in this section. Disclosure to, and use by, a Subcontractor is permissible where (A) use of a Subcontractor is authorized under this Contract, (B) the disclosure is necessary or otherwise naturally occurs in connection with work that is within the Subcontractor's scope of responsibility, and (C) each party obligates the Subcontractor in a written Contract to maintain the other party’s Confidential Information in confidence. At either party’s request, any employee of the other party and of any Subcontractor

having access or continued access to the requesting party's Confidential Information may be required to execute an acknowledgment that the employee has been advised of the other party's and the Subcontractor's obligations under this Section and of the employee's obligation to the other party or Subcontractor, as the case may be, to protect the Confidential Information from unauthorized use or disclosure.

Promptly upon termination or cancellation of the Contract for any reason, each party must certify to the other that it has destroyed all the other party's Confidential Information.

2.103 EXCLUSIONS

Notwithstanding the foregoing, the provisions in this Section must not apply to any particular information which the State or Contractor can demonstrate (i) was, at the time of disclosure to it, in the public domain; (ii) after disclosure to it, is published or otherwise becomes part of the public domain through no fault of the receiving party; (iii) was in the possession of the receiving party at the time of disclosure to it without an obligation of confidentiality; (iv) was received after disclosure to it from a third party who had a lawful right to disclose the information to it without any obligation to restrict its further disclosure; or (v) was independently developed by the receiving party without reference to Confidential Information of the furnishing party. Further, the provisions of this Section must not apply to any particular Confidential Information to the extent the receiving party is required by law to disclose the Confidential Information, provided that the receiving party (i) promptly provides the furnishing party with notice of the legal request, and (ii) assists the furnishing party in resisting or limiting the scope of the disclosure as reasonably requested by the furnishing party.

2.104 NO IMPLIED RIGHTS

Nothing contained in this Section must be construed as obligating a party to disclose any particular Confidential Information to the other party, or as granting to or conferring on a party, expressly or impliedly, any right or license to the Confidential Information of the other party.

2.105 RESPECTIVE OBLIGATIONS

The parties' respective obligations under this Section must survive the termination or expiration of this Contract for any reason.

2.110 RECORDS AND INSPECTIONS

2.111 INSPECTION OF WORK PERFORMED

The State's authorized representatives must at all reasonable times and with 10 days prior written request, have the right to enter Contractor's premises, or any other places, where the Services are being performed, and must have access, upon reasonable request, to interim drafts of Deliverables or work-in-progress. Upon 10 Days prior written notice and at all reasonable times, the State's representatives must be allowed to inspect, monitor, or otherwise evaluate the work being performed and to the extent that the access must not reasonably interfere or jeopardize the safety or operation of the systems or facilities. Contractor must provide all reasonable facilities and assistance for the State's representatives.

2.112 EXAMINATION OF RECORDS

For seven years after the Contractor provides any work under this Contract (the "Audit Period"), the State may examine and copy any of Contractor's books, records, documents and papers pertinent to establishing Contractor's compliance with the Contract and with applicable laws and rules. The State must notify the Contractor 20 days before examining the Contractor's books and records. The State does not have the right to review any information deemed confidential by the Contractor to the extent access would require the confidential information to become publicly available. This provision also applies to the books, records, accounts, documents and papers, in print or electronic form, of any parent, affiliated or subsidiary organization of Contractor, or any Subcontractor of Contractor performing services in connection with the Contract.

2.113 RETENTION OF RECORDS

Contractor must maintain at least until the end of the Audit Period all pertinent financial and accounting records (including time sheets and payroll records, and information pertaining to the Contract and to the Services, equipment, and commodities provided under the Contract) pertaining to the Contract according to generally

accepted accounting principles and other procedures specified in this Section. Financial and accounting records must be made available, upon request, to the State at any time during the Audit Period. If an audit, litigation, or other action involving Contractor's records is initiated before the end of the Audit Period, the records must be retained until all issues arising out of the audit, litigation, or other action are resolved or until the end of the Audit Period, whichever is later.

2.114 AUDIT RESOLUTION

If necessary, the Contractor and the State must meet to review each audit report promptly after issuance. The Contractor must respond to each audit report in writing within 30 days from receipt of the report, unless a shorter response time is specified in the report. The Contractor and the State must develop, agree upon and monitor an action plan to promptly address and resolve any deficiencies, concerns, and/or recommendations in the audit report.

2.115 ERRORS

If the audit demonstrates any errors in the documents provided to the State, then the amount in error must be reflected as a credit or debit on the next invoice and in subsequent invoices until the amount is paid or refunded in full. However, a credit or debit may not be carried for more than four invoices. If a balance remains after four invoices, then the remaining amount must be due as a payment or refund within 45 days of the last quarterly invoice that the balance appeared on or termination of the contract, whichever is earlier.

In addition to other available remedies, the difference between the payment received and the correct payment amount is greater than 10%, then the Contractor must pay all of the reasonable costs of the audit.

2.120 WARRANTIES

2.121 WARRANTIES AND REPRESENTATIONS

The Contractor represents and warrants:

A. It is capable in all respects of fulfilling and must fulfill all of its obligations under this Contract. The performance of all obligations under this Contract must be provided in a timely, professional, and workman-like manner and must meet the performance and operational standards required under this Contract.

B. The Contract Appendices, Attachments and Exhibits identify the equipment and software and services necessary for the Deliverable(s) to perform and Services to operate in compliance with the Contract's requirements and other standards of performance.

C. It is the lawful owner or licensee of any Deliverable licensed or sold to the State by Contractor or developed by Contractor under this Contract, and Contractor has all of the rights necessary to convey to the State the ownership rights or licensed use, as applicable, of any and all Deliverables. None of the Deliverables provided by Contractor to the State under neither this Contract, nor their use by the State must infringe the patent, copyright, trade secret, or other proprietary rights of any third party.

D. If, under this Contract, Contractor procures any equipment, software or other Deliverable for the State (including equipment, software and other Deliverables manufactured, re-marketed or otherwise sold by Contractor under Contractor's name), then in addition to Contractor's other responsibilities with respect to the items in this Contract, Contractor must assign or otherwise transfer to the State or its designees, or afford the State the benefits of, any manufacturer's warranty for the Deliverable.

E. The contract signatory has the power and authority, including any necessary corporate authorizations, necessary to enter into this Contract, on behalf of Contractor.

F. It is qualified and registered to transact business in all locations where required.

G. Neither the Contractor nor any Affiliates, nor any employee of either, has, must have, or must acquire, any contractual, financial, business, or other interest, direct or indirect, that would conflict in any manner or degree with Contractor's performance of its duties and responsibilities to the State under this Contract or otherwise create an appearance of impropriety with respect to the award or performance of this

Agreement. Contractor must notify the State about the nature of the conflict or appearance of impropriety within two days of learning about it.

H. Neither Contractor nor any Affiliates, nor any employee of either has accepted or must accept anything of value based on an understanding that the actions of the Contractor or Affiliates or employee on behalf of the State would be influenced. Contractor must not attempt to influence any State employee by the direct or indirect offer of anything of value.

I. Neither Contractor nor any Affiliates, nor any employee of either has paid or agreed to pay any person, other than bona fide employees and consultants working solely for Contractor or the Affiliate, any fee, commission, percentage, brokerage fee, gift, or any other consideration, contingent upon or resulting from the award or making of this Contract.

J. The prices proposed by Contractor were arrived at independently, without consultation, communication, or agreement with any other Vendor for the purpose of restricting competition; the prices quoted were not knowingly disclosed by Contractor to any other Vendor; and no attempt was made by Contractor to induce any other person to submit or not submit a proposal for the purpose of restricting competition.

K. All financial statements, reports, and other information furnished by Contractor to the State as part of its response to the RFP or otherwise in connection with the award of this Contract fairly and accurately represent the business, properties, financial condition, and results of operations of Contractor as of the respective dates, or for the respective periods, covered by the financial statements, reports, other information. Since the respective dates or periods covered by the financial statements, reports, or other information, there have been no material adverse changes in the business, properties, financial condition, or results of operations of Contractor.

L. All written information furnished to the State by or for the Contractor in connection with this Contract, including its bid, is true, accurate, and complete, and contains no untrue statement of material fact or omits any material fact necessary to make the information not misleading.

M. It is not in material default or breach of any other contract or agreement that it may have with the State or any of its departments, commissions, boards, or agencies. Contractor further represents and warrants that it has not been a party to any contract with the State or any of its departments that was terminated by the State or the department within the previous five years for the reason that Contractor failed to perform or otherwise breached an obligation of the contract.

N. If any of the certifications, representations, or disclosures made in the Contractor's original bid response change after contract award, the Contractor is required to report those changes immediately to the Department of Technology, Management and Budget, Purchasing Operations.

2.122 WARRANTY OF MERCHANTABILITY

Goods provided by Contractor under this agreement shall be merchantable. All goods provided under this Contract shall be of good quality within the description given by the State, shall be fit for their ordinary purpose, shall be adequately contained and packaged within the description given by the State, shall conform to the agreed upon specifications, and shall conform to the affirmations of fact made by the Contractor or on the container or label.

2.123 WARRANTY OF FITNESS FOR A PARTICULAR PURPOSE

When the Contractor has reason to know or knows any particular purpose for which the goods are required, and the State is relying on the Contractor's skill or judgment to select or furnish suitable goods, there is a warranty that the goods are fit for such purpose.

2.124 WARRANTY OF TITLE

Contractor shall, in providing goods to the State, convey good title in those goods, whose transfer is right and lawful. All goods provided by Contractor shall be delivered free from any security interest, lien, or encumbrance of which the State, at the time of contracting, has no knowledge. Goods provided by Contractor, under this Contract, shall be delivered free of any rightful claim of any third person by of infringement or the like.

2.125 Equipment Warranty

To the extent, Contractor is responsible under this Contract for maintaining equipment and system(s), Contractor represents and warrants that it must maintain the equipment and system(s) in good operating condition and must undertake all repairs and preventive maintenance according to the applicable manufacturer's recommendations for the period specified in this Contract.

The Contractor represents and warrants that the equipment/system(s) are in good operating condition and operates and performs to the requirements and other standards of performance contained in this Contract, when installed, at the time of Final Acceptance by the State, and for a period of (1) one year commencing upon the first day following Final Acceptance.

Within thirty (30) business days of notification from the State, the Contractor must adjust, repair, or replace all equipment that is defective or not performing in compliance with the Contract. The Contractor must assume all costs for replacing parts or units and their installation including transportation and delivery fees, if any.

The Contractor must provide a toll-free telephone number to allow the State to report equipment failures and problems to be remedied by the Contractor.

The Contractor agrees that all warranty service it provides under this Contract must be performed by Original Equipment Manufacturer (OEM) trained, certified and authorized technicians.

The Contractor is the sole point of contact for warranty service. The Contractor warrants that it must pass through to the State any warranties obtained or available from the original equipment manufacturer, including any replacement, upgraded, or additional equipment warranties.

2.126 Equipment to be New

If applicable, all equipment provided under this Contract by Contractor shall be new where Contractor has knowledge regarding whether the equipment is new or assembled from new or serviceable used parts that are like new in performance or has the option of selecting one or the other. Equipment that is assembled from new or serviceable used parts that are like new in performance is acceptable where Contractor does not have knowledge or the ability to select one or other, unless specifically agreed otherwise in writing by the State.

2.127 Prohibited Products

The State must not accept salvage, distressed, outdated or discontinued merchandise. Shipping of such merchandise to any State agency, as a result of an order placed against the Contract, shall be considered default by the Contractor of the terms and conditions of the Contract and may result in cancellation of the Contract by the State. The brand and product number offered for all items shall remain consistent for the term of the Contract, unless Purchasing Operations has approved a change order pursuant to Section 2.024.

2.128 Consequences for Breach

In addition to any remedies available in law, if the Contractor breaches any of the warranties contained in this section, the breach may be considered as a default in the performance of a material obligation of this Contract.

2.130 Insurance

2.131 Liability Insurance

The Contractor must provide proof of the minimum levels of insurance coverage as indicated below. The insurance must protect the State from claims that may arise out of or result from the Contractor's performance of services under the terms of this Contract, whether the services are performed by the Contractor, or by any Subcontractor, or by anyone directly or indirectly employed by any of them, or by anyone for whose acts they may be liable.

The Contractor waives all rights against the State of Michigan, its departments, divisions, agencies, offices, commissions, officers, employees and agents for recovery of damages to the extent these damages are covered by the insurance policies the Contractor is required to maintain under this Contract.

All insurance coverage provided relative to this Contract/Purchase Order is PRIMARY and NON-CONTRIBUTING to any comparable liability insurance (including self-insurances) carried by the State.

The insurance must be written for not less than any minimum coverage specified in this Contract or required by law, whichever is greater.

The insurers selected by Contractor must have an AM Best rating of A or better, or as otherwise approved in writing by the State, or if the ratings are no longer available, with a comparable rating from a recognized insurance rating agency. All policies of insurance required in this Contract must be issued by companies that have been approved to do business in the State. See www.michigan.gov/dleg.

Where specific limits are shown, they are the minimum acceptable limits. If Contractor's policy contains higher limits, the State must be entitled to coverage to the extent of the higher limits.

The Contractor is required to pay for and provide the type and amount of insurance checked ☑ below:

☑ 1. Commercial General Liability with the following minimum coverage:
$2,000,000 General Aggregate Limit other than Products/Completed Operations
$2,000,000 Products/Completed Operations Aggregate Limit
$1,000,000 Personal and Advertising Injury Limit
$1,000,000 Each Occurrence Limit

The Contractor must list the State of Michigan, its departments, divisions, agencies, offices, commissions, officers, employees, and agents as ADDITIONAL INSUREDS on the Commercial General Liability certificate. The Contractor also agrees to provide evidence that insurance policies contain a waiver of subrogation by the insurance company.

☑ 2. If a motor vehicle is used to provide services or products under this Contract, the Contractor must have vehicle liability insurance on any auto including owned, hired and non-owned vehicles used in Contractor's business for bodily injury and property damage as required by law.

The Contractor must list the State of Michigan, its departments, divisions, agencies, offices, commissions, officers, employees and agents as ADDITIONAL INSUREDS on the vehicle liability certificate. The Contractor also agrees to provide evidence that insurance policies contain a waiver of subrogation by the insurance company.

☑ 3. Workers' compensation coverage must be provided according to applicable laws governing the employees' and employers' work activities in the State of the Contractor's domicile. If a self-insurer provides the applicable coverage, proof must be provided of approved self-insured authority by the jurisdiction of domicile. For employees working outside of the State of qualification, Contractor must provide appropriate certificates of insurance proving mandated coverage levels for the jurisdictions where the employees' activities occur.

Any certificates of insurance received must also provide a list of States where the coverage is applicable.

The Contractor also agrees to provide evidence that insurance policies contain a waiver of subrogation by the insurance company. This provision must not be applicable where prohibited or limited by the laws of the jurisdiction in which the work is to be performed.

☑ 4. Employers liability insurance with the following minimum limits:

$100,000 each accident
$100,000 each employee by disease
$500,000 aggregate disease

☑ 5. Employee Fidelity, including Computer Crimes, insurance naming the State as a loss payee, providing coverage for direct loss to the State and any legal liability of the State arising out of or related to fraudulent or dishonest acts committed by the employees of Contractor or its Subcontractors, acting alone or in collusion with others, in a minimum amount of one million dollars ($1,000,000.00) with a maximum deductible of fifty thousand dollars ($50,000.00).

☑ 6. Umbrella or Excess Liability Insurance in a minimum amount of ten million dollars ($10,000,000.00), which must apply, at a minimum, to the insurance required in Subsection 1 (Commercial General Liability) above.

☑ 7. Professional Liability (Errors and Omissions) Insurance with the following minimum coverage: three million dollars ($3,000,000.00) each occurrence and three million dollars ($3,000,000.00) annual aggregate.

☐ 8. Fire and Personal Property Insurance covering against any loss or damage to the office space used by Contractor for any reason under this Contract, and the equipment, software and other contents of the office space, including without limitation, those contents used by Contractor to provide the Services to the State, up to its replacement value, where the office space and its contents are under the care, custody and control of Contractor. The policy must cover all risks of direct physical loss or damage, including without limitation, flood and earthquake coverage and coverage for computer hardware and software. The State must be endorsed on the policy as a loss payee as its interests appear.

2.132 SUBCONTRACTOR INSURANCE COVERAGE

Except where the State has approved in writing a Contractor subcontract with other insurance provisions, Contractor must require all of its Subcontractors under this Contract to purchase and maintain the insurance coverage as described in this Section for the Contractor in connection with the performance of work by those Subcontractors. Alternatively, Contractor may include any Subcontractors under Contractor's insurance on the coverage required in this Section. Subcontractor(s) must fully comply with the insurance coverage required in this Section. Failure of Subcontractor(s) to comply with insurance requirements does not limit Contractor's liability or responsibility.

2.133 CERTIFICATES OF INSURANCE AND OTHER REQUIREMENTS

Contractor must furnish to DTMB Purchasing Operations, certificate(s) of insurance verifying insurance coverage or providing satisfactory evidence of self-insurance as required in this Section (the "Certificates"). The Certificate must be on the standard "accord" form or equivalent. The Contract Number or the Purchase Order Number must be shown on the Certificate of Insurance To Assure Correct Filing. All Certificate(s) are to be prepared and submitted by the Insurance Provider. All Certificate(s) must contain a provision indicating that coverage afforded under the policies MUST NOT BE CANCELLED, MATERIALLY CHANGED, OR NOT RENEWED without 30 days prior written notice, except for 10 days for non-payment of premium, having been given to the Director of Purchasing Operations, Department of Technology, Management and Budget. The notice must include the Contract or Purchase Order number affected. Before the Contract is signed, and not less than 20 days before the insurance expiration date every year thereafter, the Contractor must provide evidence that the State and its agents, officers and employees are listed as additional insured under each commercial general liability and commercial automobile liability policy. In the event the State approves the representation of the State by the insurer's attorney, the attorney may be required to be designated as a Special Assistant Attorney General by the Attorney General of the State of Michigan.

The Contractor must maintain all required insurance coverage throughout the term of the Contract and any extensions and, in the case of claims-made Commercial General Liability policies, must secure tail coverage for at least three years following the expiration or termination for any reason of this Contract. The minimum limits of coverage specified above are not intended, and must not be construed; to limit any liability or indemnity of Contractor under this Contract to any indemnified party or other persons. Contractor is responsible for all deductibles with regard to the insurance. If the Contractor fails to pay any premium for required insurance as specified in this Contract, or if any insurer cancels or significantly reduces any required insurance as specified in this Contract without the State's written consent, then the State may, after the State has given the Contractor at least 30 days written notice, pay the premium or procure similar insurance coverage from another company or companies. The State may deduct any part of the cost from any payment due the Contractor, or the Contractor must pay that cost upon demand by the State.

2.140 INDEMNIFICATION

2.141 GENERAL INDEMNIFICATION

To the extent permitted by law, the Contractor must indemnify, defend and hold harmless the State from liability, including all claims and losses, and all related costs and expenses (including reasonable attorneys' fees and costs of investigation, litigation, settlement, judgments, interest and penalties), accruing or resulting to any person, firm or corporation that may be injured or damaged by the Contractor in the performance of this Contract and that are attributable to the negligence or tortious acts of the Contractor or any of its Subcontractors, or by anyone else for whose acts any of them may be liable.

2.142 CODE INDEMNIFICATION

To the extent permitted by law, the Contractor shall indemnify, defend and hold harmless the State from any claim, loss, or expense arising from Contractor's breach of the No Surreptitious Code Warranty.

2.143 EMPLOYEE INDEMNIFICATION

In any claims against the State of Michigan, its departments, divisions, agencies, sections, commissions, officers, employees and agents, by any employee of the Contractor or any of its Subcontractors, the indemnification obligation under the Contract must not be limited in any way by the amount or type of damages, compensation or benefits payable by or for the Contractor or any of its Subcontractors under worker's disability compensation acts, disability benefit acts or other employee benefit acts. This indemnification clause is intended to be comprehensive. Any overlap in provisions, or the fact that greater specificity is provided as to some categories of risk, is not intended to limit the scope of indemnification under any other provisions.

2.144 PATENT/COPYRIGHT INFRINGEMENT INDEMNIFICATION

To the extent permitted by law, the Contractor must indemnify, defend and hold harmless the State from and against all losses, liabilities, damages (including taxes), and all related costs and expenses (including reasonable attorneys' fees and costs of investigation, litigation, settlement, judgments, interest and penalties) incurred in connection with any action or proceeding threatened or brought against the State to the extent that the action or proceeding is based on a claim that any piece of equipment, software, commodity or service supplied by the Contractor or its Subcontractors, or the operation of the equipment, software, commodity or service, or the use or reproduction of any documentation provided with the equipment, software, commodity or service infringes any United States patent, copyright, trademark or trade secret of any person or entity, which is enforceable under the laws of the United States.

In addition, should the equipment, software, commodity, or service, or its operation, become or in the State's or Contractor's opinion be likely to become the subject of a claim of infringement, the Contractor must at the Contractor's sole expense (i) procure for the State the right to continue using the equipment, software, commodity or service or, if the option is not reasonably available to the Contractor, (ii) replace or modify to the State's satisfaction the same with equipment, software, commodity or service of equivalent function and performance so that it becomes non-infringing, or, if the option is not reasonably available to Contractor, (iii) accept its return by the State with appropriate credits to the State against the Contractor's charges and reimburse the State for any losses or costs incurred as a consequence of the State ceasing its use and returning it.

Notwithstanding the foregoing, the Contractor has no obligation to indemnify or defend the State for, or to pay any costs, damages or attorneys' fees related to, any claim based upon (i) equipment developed based on written specifications of the State; (ii) use of the equipment in a configuration other than implemented or approved in writing by the Contractor, including, but not limited to, any modification of the equipment by the State; or (iii) the combination, operation, or use of the equipment with equipment or software not supplied by the Contractor under this Contract.

2.145 CONTINUATION OF INDEMNIFICATION OBLIGATIONS

The Contractor's duty to indemnify under this Section continues in full force and effect, notwithstanding the expiration or early cancellation of the Contract, with respect to any claims based on facts or conditions that occurred before expiration or cancellation.

2.146 INDEMNIFICATION PROCEDURES

The procedures set forth below must apply to all indemnity obligations under this Contract.

A. After the State receives notice of the action or proceeding involving a claim for which it must seek indemnification, the State must promptly notify Contractor of the claim in writing and take or assist Contractor in taking, as the case may be, any reasonable action to avoid the imposition of a default judgment against Contractor. No failure to notify the Contractor relieves the Contractor of its indemnification obligations except to the extent that the Contractor can prove damages attributable to the failure. Within 10 days following receipt of written notice from the State relating to any claim, the Contractor must notify the State in writing whether Contractor agrees to assume control of the defense and settlement of that claim (a "Notice of Election"). After notifying Contractor of a claim and before the State receiving Contractor's Notice of Election, the State is entitled to defend against the claim, at the Contractor's expense, and the Contractor must be responsible for any reasonable costs incurred by the State in defending against the claim during that period.

B. If Contractor delivers a Notice of Election relating to any claim: (i) the State is entitled to participate in the defense of the claim and to employ counsel at its own expense to assist in the handling of the claim and to monitor and advise the State about the status and progress of the defense; (ii) the Contractor must, at the request of the State, demonstrate to the reasonable satisfaction of the State, the Contractor's financial ability to carry out its defense and indemnity obligations under this Contract; (iii) the Contractor must periodically advise the State about the status and progress of the defense and must obtain the prior written approval of the State before entering into any settlement of the claim or ceasing to defend against the claim and (iv) to the extent that any principles of Michigan governmental or public law may be involved or challenged, the State has the right, at its own expense, to control the defense of that portion of the claim involving the principles of Michigan governmental or public law. But the State may retain control of the defense and settlement of a claim by notifying the Contractor in writing within 10 days after the State's receipt of Contractor's information requested by the State under clause (ii) of this paragraph if the State determines that the Contractor has failed to demonstrate to the reasonable satisfaction of the State the Contractor's financial ability to carry out its defense and indemnity obligations under this Section. Any litigation activity on behalf of the State, or any of its subdivisions under this Section, must be coordinated with the Department of Attorney General. In the event the insurer's attorney represents the State under this Section, the insurer's attorney may be required to be designated as a Special Assistant Attorney General by the Attorney General of the State of Michigan.

C. If Contractor does not deliver a Notice of Election relating to any claim of which it is notified by the State as provided above, the State may defend the claim in the manner as it may deem appropriate, at the cost and expense of Contractor. If it is determined that the claim was one against which Contractor was required to indemnify the State, upon request of the State, Contractor must promptly reimburse the State for all the reasonable costs and expenses.

2.150 TERMINATION/CANCELLATION

2.151 NOTICE AND RIGHT TO CURE

If the Contractor breaches the contract, and the State in its sole discretion determines that the breach is curable, then the State must provide the Contractor with written notice of the breach and a time period (not less than 30 days) to cure the Breach. The notice of breach and opportunity to cure is inapplicable for successive or repeated breaches or if the State determines in its sole discretion that the breach poses a serious and imminent threat to the health or safety of any person or the imminent loss, damage, or destruction of any real or tangible personal property.

2.152 TERMINATION FOR CAUSE

A. The State may terminate this contract, for cause, by notifying the Contractor in writing, if the Contractor (i) breaches any of its material duties or obligations under this Contract (including a Chronic Failure to meet any particular SLA), or (ii) fails to cure a breach within the time period specified in the written notice of breach provided by the State

B. If this Contract is terminated for cause, the Contractor must pay all costs incurred by the State in terminating this Contract, including but not limited to, State administrative costs, reasonable attorneys' fees and court costs. Re-procurement costs are not consequential, indirect or incidental damages, and cannot be excluded by any other terms otherwise included in this Contract, provided the costs are not in excess of 50% more than the prices for the Service/Deliverables provided under this Contract.

C. If the State chooses to partially terminate this Contract for cause, charges payable under this Contract must be equitably adjusted to reflect those Services/Deliverables that are terminated and the State must pay for all Services/Deliverables for which Final Acceptance has been granted provided up to the termination date. Services and related provisions of this Contract that are terminated for cause must cease on the effective date of the termination.

D. If the State terminates this Contract for cause under this Section, and it is determined, for any reason, that Contractor was not in breach of contract under the provisions of this section, that termination for cause must be deemed to have been a termination for convenience, effective as of the same date, and the rights and obligations of the parties must be limited to that otherwise provided in this Contract for a termination for convenience.

2.153 TERMINATION FOR CONVENIENCE

The State may terminate this Contract for its convenience, in whole or part, if the State determines that a termination is in the State's best interest. Reasons for the termination must be left to the sole discretion of the State and may include, but not necessarily be limited to (a) the State no longer needs the Services or products specified in the Contract, (b) relocation of office, program changes, changes in laws, rules, or regulations make implementation of the Services no longer practical or feasible, (c) unacceptable prices for Additional Services or New Work requested by the State, or (d) falsification or misrepresentation, by inclusion or non-inclusion, of information material to a response to any RFP issued by the State. The State may terminate this Contract for its convenience, in whole or in part, by giving Contractor written notice at least 30 days before the date of termination. If the State chooses to terminate this Contract in part, the charges payable under this Contract must be equitably adjusted to reflect those Services/Deliverables that are terminated. Services and related provisions of this Contract that are terminated for cause must cease on the effective date of the termination.

2.154 TERMINATION FOR NON-APPROPRIATION

A. Contractor acknowledges that, if this Contract extends for several fiscal years, continuation of this Contract is subject to appropriation or availability of funds for this Contract. If funds to enable the State to effect continued payment under this Contract are not appropriated or otherwise made available, the State must terminate this Contract and all affected Statements of Work, in whole or in part, at the end of the last period for which funds have been appropriated or otherwise made available by giving written notice of termination to Contractor. The State must give Contractor at least 30 days advance written notice of termination for non-appropriation or unavailability (or the time as is available if the State receives notice of the final decision less than 30 days before the funding cutoff).

B. If funding for the Contract is reduced by law, or funds to pay Contractor for the agreed-to level of the Services or production of Deliverables to be provided by Contractor are not appropriated or otherwise unavailable, the State may, upon 30 days written notice to Contractor, reduce the level of the Services or the change the production of Deliverables in the manner and for the periods of time as the State may elect. The charges payable under this Contract must be equitably adjusted to reflect any equipment, services or commodities not provided by reason of the reduction.

C. If the State terminates this Contract, eliminates certain Deliverables, or reduces the level of Services to be provided by Contractor under this Section, the State must pay Contractor for all Work-in-Process performed through the effective date of the termination or reduction in level, as the case may be and as

determined by the State, to the extent funds are available. This Section must not preclude Contractor from reducing or stopping Services/Deliverables or raising against the State in a court of competent jurisdiction, any claim for a shortfall in payment for Services performed or Deliverables finally accepted before the effective date of termination.

2.155 Termination for Criminal Conviction

The State may terminate this Contract immediately and without further liability or penalty in the event Contractor, an officer of Contractor, or an owner of a 25% or greater share of Contractor is convicted of a criminal offense related to a State, public or private Contract or subcontract.

2.156 Termination for Approvals Rescinded

The State may terminate this Contract if any final administrative or judicial decision or adjudication disapproves a previously approved request for purchase of personal services under Constitution 1963, Article 11, § 5, and Civil Service Rule 7-1. In that case, the State must pay the Contractor for only the work completed to that point under the Contract. Termination may be in whole or in part and may be immediate as of the date of the written notice to Contractor or may be effective as of the date stated in the written notice.

2.157 Rights and Obligations upon Termination

A. If the State terminates this Contract for any reason, the Contractor must (a) stop all work as specified in the notice of termination, (b) take any action that may be necessary, or that the State may direct, for preservation and protection of Deliverables or other property derived or resulting from this Contract that may be in Contractor's possession, (c) return all materials and property provided directly or indirectly to Contractor by any entity, agent or employee of the State, (d) transfer title in, and deliver to, the State, unless otherwise directed, all Deliverables intended to be transferred to the State at the termination of the Contract and which are resulting from the Contract (which must be provided to the State on an "As-Is" basis except to the extent the amounts paid by the State in respect of the items included compensation to Contractor for the provision of warranty services in respect of the materials), and (e) take any action to mitigate and limit any potential damages, or requests for Contractor adjustment or termination settlement costs, to the maximum practical extent, including terminating or limiting as otherwise applicable those subcontracts and outstanding orders for material and supplies resulting from the terminated Contract.

B. If the State terminates this Contract before its expiration for its own convenience, the State must pay Contractor for all charges due for Services provided before the date of termination and, if applicable, as a separate item of payment under this Contract, for Work In Process, on a percentage of completion basis at the level of completion determined by the State. All completed or partially completed Deliverables prepared for the sole use of the State by Contractor under this Contract, at the option of the State, becomes the State's property, and Contractor is entitled to receive equitable fair compensation for the Deliverables. Regardless of the basis for the termination, the State is not obligated to pay, or otherwise compensate, Contractor for any lost expected future profits, costs or expenses incurred with respect to Services not actually performed for the State.

C. Upon a good faith termination, the State may assume, at its option, any subcontracts and agreements for services and deliverables provided under this Contract, and may further pursue completion of the Services/Deliverables under this Contract by replacement contract or otherwise as the State may in its sole judgment deem expedient.

2.158 Reservation of Rights

Any termination of this Contract or any Statement of Work issued under it by a party must be with full reservation of, and without prejudice to, any rights or remedies otherwise available to the party with respect to any claims arising before or as a result of the termination.

2.160 TERMINATION BY CONTRACTOR

2.161 TERMINATION BY CONTRACTOR

If the State breaches the Contract, and the Contractor in its sole discretion determines that the breach is curable, then the Contractor must provide the State with written notice of the breach and a time period (not less than 30 days) to cure the breach. The Notice of Breach and opportunity to cure is inapplicable for successive and repeated breaches.

The Contractor may terminate this Contract if the State (i) materially breaches its obligation to pay the Contractor undisputed amounts due and owing under this Contract, (ii) breaches its other obligations under this Contract to an extent that makes it impossible or commercially impractical for the Contractor to perform the Services, or (iii) does not cure the breach within the time period specified in a written notice of breach. But the Contractor must discharge its obligations under Section 2.160 before it terminates the Contract.

2.170 TRANSITION RESPONSIBILITIES

2.171 CONTRACTOR TRANSITION RESPONSIBILITIES

If the State terminates this contract, for convenience or cause, or if the Contract is otherwise dissolved, voided, rescinded, nullified, expires or rendered unenforceable, the Contractor agrees to comply with direction provided by the State to assist in the orderly transition of equipment, services, software, leases, etc. to the State or a third party designated by the State. If this Contract expires or terminates, the Contractor agrees to make all reasonable efforts to effect an orderly transition of services within a reasonable period of time that in no event must exceed 360 days. These efforts must include, but are not limited to, those listed in Sections 2.141, 2.142, 2.143, 2.144, and 2.145.

2.172 CONTRACTOR PERSONNEL TRANSITION

The Contractor must work with the State, or a specified third party, to develop a transition plan setting forth the specific tasks and schedule to be accomplished by the parties, to effect an orderly transition. The Contractor must allow as many personnel as practicable to remain on the job to help the State, or a specified third party, maintain the continuity and consistency of the services required by this Contract. In addition, during or following the transition period, in the event the State requires the Services of the Contractor's Subcontractors or vendors, as necessary to meet its needs, Contractor agrees to reasonably, and with good-faith, work with the State to use the Services of Contractor's Subcontractors or vendors. Contractor must notify all of Contractor's Subcontractors of procedures to be followed during transition.

2.173 CONTRACTOR INFORMATION TRANSITION

The Contractor agrees to provide reasonable detailed specifications for all Services/Deliverables needed by the State, or specified third party, to properly provide the Services/Deliverables required under this Contract. The Contractor must provide the State with asset management data generated from the inception of this Contract through the date on which this Contractor is terminated in a comma-delineated format unless otherwise requested by the State. The Contractor must deliver to the State any remaining owed reports and documentation still in Contractor's possession subject to appropriate payment by the State.

2.174 CONTRACTOR SOFTWARE TRANSITION

The Contractor must reasonably assist the State in the acquisition of any Contractor software required to perform the Services/use the Deliverables under this Contract. This must include any documentation being used by the Contractor to perform the Services under this Contract. If the State transfers any software licenses to the Contractor, those licenses must, upon expiration of the Contract, transfer back to the State at their current revision level. Upon notification by the State, Contractor may be required to freeze all non-critical changes to Deliverables/Services.

2.175 TRANSITION PAYMENTS

If the transition results from a termination for any reason, the termination provisions of this Contract must govern reimbursement. If the transition results from expiration, the Contractor must be reimbursed for all

reasonable transition costs (i.e., costs incurred within the agreed period after contract expiration that result from transition operations) at the rates agreed upon by the State. The Contractor must prepare an accurate accounting from which the State and Contractor may reconcile all outstanding accounts.

2.176 STATE TRANSITION RESPONSIBILITIES

In the event that this Contract is terminated, dissolved, voided, rescinded, nullified, or otherwise rendered unenforceable, the State agrees to reconcile all accounts between the State and the Contractor, complete any pending post-project reviews and perform any others obligations upon which the State and the Contractor agree.

A. Reconciling all accounts between the State and the Contractor

B. Completing any pending post-project reviews

2.180 STOP WORK

2.181 STOP WORK ORDERS

The State may, at any time, by written stop work order to Contractor, require that Contractor stop all, or any part, of the work called for by the Contract for a period of up to 90 calendar days after the stop work order is delivered to Contractor, and for any further period to which the parties may agree. The stop work order must be identified as a stop work order and must indicate that it is issued under this Section 2.150. Upon receipt of the stop work order, Contractor must immediately comply with its terms and take all reasonable steps to minimize incurring costs allocable to the work covered by the stop work order during the period of work stoppage. Within the period of the stop work order, the State must either: (a) cancel the stop work order; or (b) terminate the work covered by the stop work order as provided in Section 2.130.

2.182 CANCELLATION OR EXPIRATION OF STOP WORK ORDER

The Contractor must resume work if the State cancels a Stop Work Order or if it expires. The parties must agree upon an equitable adjustment in the delivery schedule, the Contract price, or both, and the Contract must be modified, in writing, accordingly, if: (a) the stop work order results in an increase in the time required for, or in Contractor's costs properly allocable to, the performance of any part of the Contract; and (b) Contractor asserts its right to an equitable adjustment within 30 calendar days after the end of the period of work stoppage; provided that, if the State decides the facts justify the action, the State may receive and act upon a Contractor proposal submitted at any time before final payment under the Contract. Any adjustment must conform to the requirements of Section 2.024.

2.183 ALLOWANCE OF CONTRACTOR COSTS

If the stop work order is not canceled and the work covered by the stop work order is terminated for reasons other than material breach, the termination must be deemed to be a termination for convenience under Section 2.153, and the State must pay reasonable costs resulting from the stop work order in arriving at the termination settlement. For the avoidance of doubt, the State is not liable to Contractor for loss of profits because of a stop work order issued under this Section.

2.190 DISPUTE RESOLUTION

2.191 IN GENERAL

Any claim, counterclaim, or dispute between the State and Contractor arising out of or relating to the Contract or any Statement of Work must be resolved as follows. For all Contractor claims seeking an increase in the amounts payable to Contractor under the Contract, or the time for Contractor's performance, Contractor must submit a letter, together with all data supporting the claims, executed by Contractor's Contract Administrator or the Contract Administrator's designee certifying that (a) the claim is made in good faith, (b) the amount claimed accurately reflects the adjustments in the amounts payable to Contractor or the time for Contractor's performance for which Contractor believes the State is liable and covers all costs of every type to which Contractor is entitled from the occurrence of the claimed event, and (c) the claim and the supporting data are current and complete to Contractor's best knowledge and belief.

2.192 INFORMAL DISPUTE RESOLUTION

All disputes between the parties must be resolved under the Contract Management procedures in this Contract. If the parties are unable to resolve any disputes after compliance with the processes, the parties must meet with the Director of Purchasing Operations, DTMB, or designee, for the purpose of attempting to resolve the dispute without the need for formal legal proceedings, as follows:

The representatives of Contractor and the State must meet as often as the parties reasonably deem necessary to gather and furnish to each other all information with respect to the matter in issue that the parties believe to be appropriate and germane in connection with its resolution. The representatives must discuss the problem and negotiate in good faith in an effort to resolve the dispute without the necessity of any formal proceeding.

During the course of negotiations, all reasonable requests made by one party to another for non-privileged information reasonably related to the Contract must be honored in order that each of the parties may be fully advised of the other's position.

The specific format for the discussions must be left to the discretion of the designated State and Contractor representatives, but may include the preparation of agreed upon statements of fact or written statements of position.

Following the completion of this process within 60 calendar days, the Director of Purchasing Operations, DTMB, or designee, must issue a written opinion regarding the issue(s) in dispute within 30 calendar days. The opinion regarding the dispute must be considered the State's final action and the exhaustion of administrative remedies.

This Section must not be construed to prevent either party from instituting, and a party is authorized to institute, formal proceedings earlier to avoid the expiration of any applicable limitations period, to preserve a superior position with respect to other creditors, or under Section 2.193.

The State must not mediate disputes between the Contractor and any other entity, except State agencies, concerning responsibility for performance of work under the Contract.

2.193 INJUNCTIVE RELIEF

The only circumstance in which disputes between the State and Contractor must not be subject to the provisions of Section 2.192 is where a party makes a good faith determination that a breach of the terms of the Contract by the other party is the that the damages to the party resulting from the breach must be so immediate, so large or severe and so incapable of adequate redress after the fact that a temporary restraining order or other immediate injunctive relief is the only adequate remedy.

2.194 CONTINUED PERFORMANCE

Each party agrees to continue performing its obligations under the Contract while a dispute is being resolved except to the extent the issue in dispute precludes performance (dispute over payment must not be deemed to preclude performance) and without limiting either party's right to terminate the Contract as provided in Section 2.150, as the case may be.

2.200 FEDERAL AND STATE CONTRACT REQUIREMENTS

2.201 NONDISCRIMINATION

In the performance of the Contract, Contractor agrees not to discriminate against any employee or applicant for employment, with respect to his or her hire, tenure, terms, conditions or privileges of employment, or any matter directly or indirectly related to employment, because of race, color, religion, national origin, ancestry, age, sex, height, weight, and marital status, physical or mental disability. Contractor further agrees that every subcontract entered into for the performance of this Contract or any purchase order resulting from this Contract must contain a provision requiring non-discrimination in employment, as specified here, binding upon each Subcontractor. This covenant is required under the Elliot Larsen Civil Rights Act, 1976 PA 453, MCL 37.2101, et seq., and the Persons with Disabilities Civil Rights Act, 1976 PA 220, MCL 37.1101, et seq., and any breach of this provision may be regarded as a material breach of the Contract.

2.202 UNFAIR LABOR PRACTICES

Under 1980 PA 278, MCL 423.321, et seq., the State must not award a Contract or subcontract to an employer whose name appears in the current register of employers failing to correct an unfair labor practice compiled under section 2 of the Act. This information is compiled by the United States National Labor Relations Board. A Contractor of the State, in relation to the Contract, must not enter into a contract with a Subcontractor, manufacturer, or supplier whose name appears in this register. Under section 4 of 1980 PA 278, MCL 423.324, the State may void any Contract if, after award of the Contract, the name of Contractor as an employer or the name of the Subcontractor, manufacturer or supplier of Contractor appears in the register.

2.203 WORKPLACE SAFETY AND DISCRIMINATORY HARASSMENT

In performing Services for the State, the Contractor must comply with the Department of Civil Services Rule 2-20 regarding Workplace Safety and Rule 1-8.3 regarding Discriminatory Harassment. In addition, the Contractor must comply with Civil Service regulations and any applicable agency rules provided to the Contractor. For Civil Service Rules, see http://www.mi.gov/mdcs/0,1607,7-147-6877---,00.html.

2.204 PREVAILING WAGE

The rates of wages and fringe benefits to be paid each class of individuals employed by the Contractor, its Subcontractors, their Subcontractors, and all persons involved with the performance of this Contract in privity of contract with the Contractor shall not be less than the wage rates and fringe benefits established by the Michigan Department of Labor and Economic Development, Wage and Hour Bureau, schedule of occupational classification and wage rates and fringe benefits for the local where the work is to be performed. The term Contractor shall include all general contractors, prime contractors, Project Managers, trade contractors, and all of their contractors or Subcontractors and persons in privity of contract with them.

The Contractor, its Subcontractors, their Subcontractors and all persons involved with the performance of this contract in privity of contract with the Contractor shall keep posted on the work site, in a conspicuous place, a copy of all wage rates and fringe benefits as prescribed in the contract. You must also post, in a conspicuous place, the address and telephone number of the Michigan Department of Labor and Economic Development, the office responsible for enforcement of the wage rates and fringe benefits. You shall keep an accurate record showing the name and occupation of the actual wage and benefits paid to each individual employed in connection with this contract. This record shall be available to the State upon request for reasonable inspection.

If any trade is omitted from the list of wage rates and fringe benefits to be paid to each class of individuals by the Contractor, it is understood that the trades omitted shall also be paid not less than the wage rate and fringe benefits prevailing in the local where the work is to be performed.

2.210 GOVERNING LAW

2.211 GOVERNING LAW

The Contract must in all respects be governed by, and construed according to, the substantive laws of the State of Michigan without regard to any Michigan choice of law rules that would apply the substantive law of any other jurisdiction to the extent not inconsistent with, or pre-empted by Federal law.

2.212 COMPLIANCE WITH LAWS

Contractor shall comply with all applicable State, Federal and local laws and ordinances in providing the Services/Deliverables.

2.213 JURISDICTION

Any dispute arising from the Contract must be resolved in the State of Michigan. With respect to any claim between the parties, Contractor consents to venue in Ingham County, Michigan, and irrevocably waives any objections it may have to the jurisdiction on the grounds of lack of personal jurisdiction of the court or the laying of venue of the court or on the basis of forum *non conveniens* or otherwise. Contractor agrees to appoint agents in the State of Michigan to receive service of process.

2.220 LIMITATION OF LIABILITY

2.221 LIMITATION OF LIABILITY

Neither the Contractor nor the State is liable to each other, regardless of the form of action, for consequential, incidental, indirect, or special damages. This limitation of liability does not apply to claims for infringement of United States patent, copyright, trademark or trade secrets; to claims for personal injury or damage to property caused by the gross negligence or willful misconduct of the Contractor; to claims covered by other specific provisions of this Contract calling for liquidated damages; or to court costs or attorney's fees awarded by a court in addition to damages after litigation based on this Contract.

The Contractor's liability for damages to the State is limited to one time the value of the Contract or $500,000 which ever is higher. The foregoing limitation of liability does not apply to claims for infringement of United States patent, copyright, trademarks or trade secrets; to claims for personal injury or damage to property caused by the gross negligence or willful misconduct of the Contractor; to claims covered by other specific provisions of this Contract calling for liquidated damages; or to court costs or attorney's fees awarded by a court in addition to damages after litigation based on this Contract.

The State's liability for damages to the Contractor is limited to the value of the Contract.

2.230 DISCLOSURE RESPONSIBILITIES

2.231 DISCLOSURE OF LITIGATION

Contractor must disclose any material criminal litigation, investigations or proceedings involving the Contractor (and each Subcontractor) or any of its officers or directors or any litigation, investigations or proceedings under the Sarbanes-Oxley Act. In addition, each Contractor (and each Subcontractor) must notify the State of any material civil litigation, arbitration or proceeding which arises during the term of the Contract and extensions, to which Contractor (or, to the extent Contractor is aware, any Subcontractor) is a party, and which involves: (i) disputes that might reasonably be expected to adversely affect the viability or financial stability of Contractor or any Subcontractor; or (ii) a claim or written allegation of fraud against Contractor or, to the extent Contractor is aware, any Subcontractor by a governmental or public entity arising out of their business dealings with governmental or public entities. The Contractor must disclose in writing to the Contract Administrator any litigation, investigation, arbitration or other proceeding (collectively, "Proceeding") within 30 days of its occurrence. Details of settlements that are prevented from disclosure by the terms of the settlement may be annotated. Information provided to the State from Contractor's publicly filed documents referencing its material litigation must be deemed to satisfy the requirements of this Section.

If any Proceeding disclosed to the State under this Section, or of which the State otherwise becomes aware, during the term of this Contract would cause a reasonable party to be concerned about:

A. the ability of Contractor (or a Subcontractor) to continue to perform this Contract according to its terms and conditions, or

B. whether Contractor (or a Subcontractor) in performing Services for the State is engaged in conduct which is similar in nature to conduct alleged in the Proceeding, which conduct would constitute a breach of this Contract or a violation of Michigan law, regulations or public policy, then the Contractor must provide the State all reasonable assurances requested by the State to demonstrate that:

   1. Contractor and its Subcontractors must be able to continue to perform this Contract and any Statements of Work according to its terms and conditions, and

   2. Contractor and its Subcontractors have not and must not engage in conduct in performing the Services which is similar in nature to the conduct alleged in the Proceeding.

C. Contractor must make the following notifications in writing:

   1. Within 30 days of Contractor becoming aware that a change in its ownership or officers has occurred, or is certain to occur, or a change that could result in changes in the valuation of its capitalized assets in the accounting records, Contractor must notify DTMB Purchasing Operations.

2. Contractor must also notify DTMB Purchasing Operations within 30 days whenever changes to asset valuations or any other cost changes have occurred or are certain to occur as a result of a change in ownership or officers.
3. Contractor must also notify DTMB Purchase Operations within 30 days whenever changes to company affiliations occur.

2.232 CALL CENTER DISCLOSURE

Contractor and/or all Subcontractors involved in the performance of this Contract providing call or contact center services to the State must disclose the location of its call or contact center services to inbound callers. Failure to disclose this information is a material breach of this Contract.

2.233 BANKRUPTCY

The State may, without prejudice to any other right or remedy, terminate this Contract, in whole or in part, and, at its option, may take possession of the "Work in Process" and finish the Works in Process by whatever appropriate method the State may deem expedient if:

A. The Contractor files for protection under the bankruptcy laws
B. An involuntary petition is filed against the Contractor and not removed within 30 days
C. The Contractor becomes insolvent or if a receiver is appointed due to the Contractor's insolvency
D. The Contractor makes a general assignment for the benefit of creditors
E. The Contractor or its affiliates are unable to provide reasonable assurances that the Contractor or its affiliates can deliver the services under this Contract

Contractor must fix appropriate notices or labels on the Work in Process that is for the sole use of the State to indicate ownership by the State. To the extent reasonably possible, materials and Work in Process that is for the sole use of the State must be stored separately from other stock and marked conspicuously with labels indicating ownership by the State.

2.240 PERFORMANCE

2.241 TIME OF PERFORMANCE

A. Contractor must use commercially reasonable efforts to provide the resources necessary to complete all Services and Deliverables according to the time schedules contained in the Statements of Work and other Exhibits governing the work, and with professional quality.
B. Without limiting the generality of Section 2.241, Contractor must notify the State in a timely manner upon becoming aware of any circumstances that may reasonably be expected to jeopardize the timely and successful completion of any Deliverables/Services on the scheduled due dates in the latest State-approved delivery schedule and must inform the State of the projected actual delivery date.
C. If the Contractor believes that a delay in performance by the State has caused or must cause the Contractor to be unable to perform its obligations according to specified Contract time periods, the Contractor must notify the State in a timely manner and must use commercially reasonable efforts to perform its obligations according to the Contract time periods notwithstanding the State's failure. Contractor must not be in default for a delay in performance to the extent the delay is caused by the State.

2.242 SERVICE LEVEL AGREEMENT (SLA)

A. SLAs must be completed with the following operational considerations:
    1. SLAs must not be calculated for individual Incidents where any event of Excusable Failure has been determined; Incident means any interruption in Services.
    2. SLAs must not be calculated for individual Incidents where loss of service is planned and where the State has received prior notification or coordination.

3. SLAs must not apply if the applicable Incident could have been prevented through planning proposed by Contractor and not implemented at the request of the State. To invoke this consideration, complete documentation relevant to the denied planning proposal must be presented to substantiate the proposal.

4. Time period measurements must be based on the time Incidents are received by the Contractor and the time that the State receives notification of resolution based on 24x7x365 time period, except that the time period measurement must be suspended based on the following:

   a. Time period(s) must not apply where Contractor does not have access to a physical State Location and where access to the State Location is necessary for problem identification and resolution.

   b. Time period(s) must not apply where Contractor needs to obtain timely and accurate information or appropriate feedback and is unable to obtain timely and accurate information or appropriate feedback from the State.

B. Chronic Failure for any Service(s) must be defined as three unscheduled outage(s) or interruption(s) on any individual Service for the same reason or cause or if the same reason or cause was reasonably discoverable in the first instance over a rolling 30 day period. Chronic Failure must result in the State's option to terminate the effected individual Service(s) and procure them from a different vendor for the chronic location(s). The termination of the Service must not affect any tiered pricing levels.

C. Root Cause Analysis must be performed on any Business Critical outage(s) or outage(s) on Services when requested by the Contract Administrator. Contractor must provide its analysis within two (2) weeks of outage(s) and provide a recommendation for resolution.

D. All decimals must be rounded to two decimal places with five and greater rounding up and four and less rounding down unless otherwise specified.

2.243 Liquidated Damages

A. The State and the Contractor hereby agree to the specific standards set forth in this Contract. It is agreed between the Contractor and the State that the actual damages to the State as a result of Contractor's failure to provide promised services would be difficult or impossible to determine with accuracy. The State and the Contractor therefore agree that liquidated damages as set out herein shall be a reasonable approximation of the damages that shall be suffered by the State as a result thereof. Accordingly, in the event of such damages, at the written direction of the State, the Contractor shall pay the State the indicated amount as liquidated damages, and not as a penalty. Amounts due the State as liquidated damages, if not paid by the Contractor within fifteen (15) days of notification of assessment, may be deducted by the State from any money payable to the Contractor pursuant to this Contract. The State will notify the Contractor in writing of any claim for liquidated damages pursuant to this paragraph on or before the date the State deducts such sums from money payable to the Contractor. No delay by the State in assessing or collecting liquidated damages shall be construed as a waiver of such rights.

B. The Contractor shall not be liable for liquidated damages when, in the opinion of the State, incidents or delays result directly from causes beyond the control and without the fault or negligence of the Contractor. Such causes may include, but are not restricted to, acts of God, fires, floods, epidemics, and labor unrest; but in every case the delays must be beyond the control and without the fault or negligence of the Contractor.

C. Liquidated damages will be assessed as follows:

- For the Unauthorized Removal of any Key Personnel designated in the applicable Statement of Work, the liquidated damages amount is $50,000.00 per individual.
- The State may grant to the Contractor one 30-day exemption to liquidated damages.

2.244 Excusable Failure

Neither party must be liable for any default, damage or delay in the performance of its obligations under the Contract to the extent the default, damage or delay is caused by government regulations or requirements (executive, legislative, judicial, military or otherwise), power failure, electrical surges or current fluctuations,

lightning, earthquake, war, water or other forces of nature or acts of God, delays or failures of transportation, equipment shortages, suppliers' failures, or acts or omissions of common carriers, fire; riots, civil disorders; strikes or other labor disputes, embargoes; injunctions (provided the injunction was not issued as a result of any fault or negligence of the party seeking to have its default or delay excused); or any other cause beyond the reasonable control of a party; provided the non-performing party and its Subcontractors are without fault in causing the default or delay, and the default or delay could not have been prevented by reasonable precautions and cannot reasonably be circumvented by the non-performing party through the use of alternate sources, workaround plans or other means, including disaster recovery plans.

If a party does not perform its contractual obligations for any of the reasons listed above, the non-performing party must be excused from any further performance of its affected obligation(s) for as long as the circumstances prevail. But the party must use commercially reasonable efforts to recommence performance whenever and to whatever extent possible without delay. A party must promptly notify the other party in writing immediately after the excusable failure occurs, and also when it abates or ends.

If any of the above-enumerated circumstances substantially prevent, hinder, or delay the Contractor's performance of the Services/provision of Deliverables for more than 10 Business Days, and the State determines that performance is not likely to be resumed within a period of time that is satisfactory to the State in its reasonable discretion, then at the State's option: (a) the State may procure the affected Services/Deliverables from an alternate source, and the State is not be liable for payment for the unperformed Services/Deliverables not provided under the Contract for so long as the delay in performance continues; (b) the State may terminate any portion of the Contract so affected and the charges payable must be equitably adjusted to reflect those Services/Deliverables terminated; or (c) the State may terminate the affected Statement of Work without liability to Contractor as of a date specified by the State in a written notice of termination to the Contractor, except to the extent that the State must pay for Services/Deliverables provided through the date of termination.

The Contractor must not have the right to any additional payments from the State as a result of any Excusable Failure occurrence or to payments for Services not rendered/Deliverables not provided as a result of the Excusable Failure condition. Defaults or delays in performance by Contractor which are caused by acts or omissions of its Subcontractors must not relieve Contractor of its obligations under the Contract except to the extent that a Subcontractor is itself subject to an Excusable Failure condition described above and Contractor cannot reasonably circumvent the effect of the Subcontractor's default or delay in performance through the use of alternate sources, workaround plans or other means.

2.250 APPROVAL OF DELIVERABLES

2.251 DELIVERY OF DELIVERABLES

A list of the Deliverables to be prepared and delivered by Contractor including, for each Deliverable, the scheduled delivery date and a designation of whether the Deliverable is a document ("Written Deliverable") or a Custom Software Deliverable is attached, if applicable. All Deliverables shall be completed and delivered for State review and written approval and, where applicable, installed in accordance with the State-approved delivery schedule and any other applicable terms and conditions of this Contract.

Prior to delivering any Deliverable to the State, Contractor must first perform all required quality assurance activities, and, in the case of Custom Software Deliverables, System Testing to verify that the Deliverable is complete and in conformance with its specifications. Before delivering a Deliverable to the State, Contractor shall certify to the State that (1) it has performed such quality assurance activities, (2) it has performed any applicable testing, (3) it has corrected all material deficiencies discovered during such quality assurance activities and testing, (4) the Deliverable is in a suitable state of readiness for the State's review and approval, and (5) the Deliverable/Service has all Critical Security patches/updates applied.

In discharging its obligations under this Section, Contractor shall be at all times (except where the parties agree otherwise in writing) in compliance with Level 3 of the Software Engineering Institute's Capability Maturity Model for Software ("CMM Level 3") or its equivalent.

2.252 CONTRACTOR SYSTEM TESTING

Contractor must be responsible for System Testing each Custom Software Deliverable in Contractor's development environment prior to turning over the Custom Software Deliverable to the State for User Acceptance Testing and approval. Contractor's System Testing shall include the following, at a minimum, plus any other testing required by CMM Level 3 or Contractor's system development methodology:

Contractor must be responsible for performing Unit Testing and incremental Integration Testing of the components of each Custom Software Deliverable.

Contractor's System Testing must also include Integration Testing of each Custom Software Deliverable to ensure proper inter-operation with all prior software Deliverables, interfaces and other components that are intended to inter-operate with such Custom Software Deliverable, and must include Regression Testing, volume and stress testing to ensure that the Custom Software Deliverables are able to meet the State's projected growth in the number and size of transactions to be processed by the Application and number of users, as such projections are set forth in the applicable Statement of Work.

Contractor's System Testing must also include Business Function Testing and Technical Testing of each Application in a simulated production environment. Business Function Testing must include testing of full work streams that flow through the Application as the Application must be incorporated within the State's computing environment. The State shall participate in and provide support for the Business Function Testing to the extent reasonably requested by Contractor. Within ten (10) days before the commencement of Business Function Testing pursuant to this Section, Contractor shall provide the State for State review and written approval Contractor's test plan for Business Function Testing.

Within five (5) Business Days following the completion of System Testing pursuant to this Section, Contractor shall provide to the State a testing matrix establishing that testing for each condition identified in the System Testing plans has been conducted and successfully concluded. To the extent that testing occurs on State premises, the State shall be entitled to observe or otherwise participate in testing under this Section as the State may elect.

2.253 APPROVAL OF DELIVERABLES, IN GENERAL

All Deliverables (Written Deliverables and Custom Software Deliverables) require formal written approval by the State, in accordance with the following procedures. Formal approval by the State requires that the Deliverable be confirmed in writing by the State to meet its specifications, which, in the case of Custom Software Deliverables, must include the successful completion of State User Acceptance Testing, to be led by the State with the support and assistance of Contractor. The parties acknowledge that the approval process set forth herein must be facilitated by ongoing consultation between the parties, visibility of interim and intermediate Deliverables and collaboration on key decisions.

The State's obligation to comply with any State Review Period is conditioned on the timely delivery of Deliverables being reviewed. If Contractor fails to provide a Deliverable to the State in a timely manner, the State must nevertheless use commercially reasonable efforts to complete its review or testing within the applicable State Review Period.

Before commencement of its review or testing of a Deliverable, the State may inspect the Deliverable to confirm that all components of the Deliverable (e.g., software, associated documentation, and other materials) have been delivered. If the State determines that the Deliverable is incomplete, the State may refuse delivery of the Deliverable without performing any further inspection or testing of the Deliverable. Otherwise, the review period must be deemed to have started on the day the State receives the Deliverable and the applicable certification by Contractor in accordance with this Section.

The State must approve in writing a Deliverable upon confirming that it conforms to and, in the case of a Custom Software Deliverable, performs in accordance with, its specifications without material deficiency. The State may, but shall not be required to, conditionally approve in writing a Deliverable that contains material deficiencies if the State elects to permit Contractor to rectify them post-approval. In any case, Contractor must be responsible for working diligently to correct within a reasonable time at Contractor's expense all deficiencies in the Deliverable that remain outstanding at the time of State approval.

If, after three (3) opportunities (the original and two repeat efforts), Contractor is unable to correct all deficiencies preventing State approval of a Deliverable, the State may: (i) demand that Contractor cure the failure and give Contractor additional time to cure the failure at the sole expense of Contractor; or (ii) keep this Contract in force and do, either itself or through other parties, whatever Contractor has failed to do, in which event Contractor shall not be compensated for such Deliverable; or (iii) terminate this Contract for default, either in whole or in part by notice to Contractor (and without the need to afford Contractor any further opportunity to cure). Notwithstanding the foregoing, the State shall not use, as a basis for exercising its termination rights under this Section, deficiencies discovered in a repeat State Review Period that could reasonably have been discovered during a prior State Review Period.

The State, at any time and in its own discretion, may halt the UAT or approval process if such process reveals deficiencies in or problems with a Deliverable in a sufficient quantity or of a sufficient severity as to make the continuation of such process unproductive or unworkable. In such case, the State may return the applicable Deliverable to Contractor for correction and re-delivery prior to resuming the review or UAT process and, in that event, Contractor must correct the deficiencies in such Deliverable in accordance with the Contract, as the case may be.

Approval in writing of a Deliverable by the State shall be provisional; that is, such approval shall not preclude the State from later identifying deficiencies in, and declining to accept, a subsequent Deliverable based on or which incorporates or inter-operates with an approved Deliverable, to the extent that the results of subsequent review or testing indicate the existence of deficiencies in the subsequent Deliverable, or if the Application of which the Subsequent Deliverable is a component otherwise fails to be accepted pursuant to Section 2.080.

2.254 Process for Approval of Written Deliverables

The State Review Period for Written Deliverables must be the number of days set forth in the applicable Statement of Work following delivery of the final version of the Written Deliverable (failing which the State Review Period, by default, shall be ten (10) Business Days for Written Deliverables of one hundred (100) pages or less and fifteen (15) Business Days for Written Deliverables of more than one hundred (100) pages). The duration of the State Review Periods must be doubled if the State has not had an opportunity to review an interim draft of the Written Deliverable prior to its submission to the State. The State agrees to notify Contractor in writing by the end of the State Review Period either stating that the Written Deliverable is approved in the form delivered by Contractor or describing any deficiencies that must be corrected prior to approval of the Written Deliverable (or at the State's election, subsequent to approval of the Written Deliverable). If the State delivers to Contractor a notice of deficiencies, Contractor must correct the described deficiencies and within five (5) Business Days resubmit the Deliverable in a form that shows all revisions made to the original version delivered to the State. Contractor's correction efforts must be made at no additional charge. Upon receipt of a corrected Written Deliverable from Contractor, the State must have a reasonable additional period of time, not to exceed the length of the original State Review Period, to review the corrected Written Deliverable to confirm that the identified deficiencies have been corrected.

2.255 Process for Approval of Custom Software Deliverables

The State must conduct UAT of each Custom Software Deliverable in accordance with the following procedures to determine whether it meets the criteria for State approval – i.e., whether it conforms to and performs in accordance with its specifications without material deficiencies.

Within thirty (30) days (or such other number of days as the parties may agree to in writing) prior to Contractor's delivery of any Custom Software Deliverable to the State for approval, Contractor shall provide to the State a set of proposed test plans, including test cases, scripts, data and expected outcomes, for the State's use (which the State may supplement in its own discretion) in conducting UAT of the Custom Software Deliverable. Contractor, upon request by the State, shall provide the State with reasonable assistance and support during the UAT process.

For the Custom Software Deliverables listed in an attachment, the State Review Period for conducting UAT must be as indicated in the attachment. For any other Custom Software Deliverables not listed in an attachment, the State Review Period shall be the number of days agreed in writing by the parties (failing which it shall be forty-five (45) days by default). The State Review Period for each Custom Software Deliverable

must begin when Contractor has delivered the Custom Software Deliverable to the State accompanied by the certification required by this Section and the State's inspection of the Deliverable has confirmed that all components of it have been delivered.

The State's UAT must consist of executing test scripts from the proposed testing submitted by Contractor, but may also include any additional testing deemed appropriate by the State. If the State determines during the UAT that the Custom Software Deliverable contains any deficiencies, the State must notify Contractor of the deficiency by making an entry in an incident reporting system available to both Contractor and the State. Contractor must modify promptly the Custom Software Deliverable to correct the reported deficiencies, conduct appropriate System Testing (including, where applicable, Regression Testing) to confirm the proper correction of the deficiencies and re-deliver the corrected version to the State for re-testing in UAT. Contractor must coordinate the re-delivery of corrected versions of Custom Software Deliverables with the State so as not to disrupt the State's UAT process. The State must promptly re-test the corrected version of the Software Deliverable after receiving it from Contractor.

Within three (3) business days after the end of the State Review Period, the State must give Contractor a written notice indicating the State's approval or rejection of the Custom Software Deliverable according to the criteria and process set out in this Section.

2.256 FINAL ACCEPTANCE

"Final Acceptance" for each rollout shall be considered to occur when the UIA-IS has been operating in production without any material deficiency for thirty (30) consecutive days. The State in its sole discretion shall determine if and when to approve moving the UIA-IS to production for each rollout.

2.260 OWNERSHIP

2.261 OWNERSHIP OF WORK PRODUCT BY STATE

The State owns all Deliverables created for the sole use of the State, as they are work made for hire by the Contractor for the State. The State owns all United States and international copyrights, trademarks, patents or other proprietary rights in such Deliverables.

2.262 VESTING OF RIGHTS

With the sole exception of any preexisting licensed works identified in the SOW and any GenTax information identified in the SOW, the Contractor assigns, and upon creation of each Deliverable automatically assigns, to the State, ownership of all United States and international copyrights, trademarks, patents, or other proprietary rights in each and every Deliverable, whether or not registered by the Contractor, insofar as any the Deliverable, by operation of law, may not be considered work made for hire by the Contractor for the State. From time to time upon the State's request, the Contractor shall confirm the assignment by execution and delivery of the assignments, confirmations of assignment, or other written instruments as the State may request. The State may obtain and hold in its own name all copyright, trademark, and patent registrations and other evidence of rights that may be available for Deliverables.

2.263 RIGHTS IN DATA

The State is the owner of all data made available by the State to the Contractor or its agents, Subcontractors or representatives under the Contract. The Contractor must not use the State's data for any purpose other than providing the Services, nor must any part of the State's data be disclosed, sold, assigned, leased or otherwise disposed of to the general public or to specific third parties or commercially exploited by or on behalf of the Contractor. No employees of the Contractor, other than those on a strictly need-to-know basis, have access to the State's data. Contractor must not possess or assert any lien or other right against the State's data. Without limiting the generality of this Section, the Contractor must only use personally identifiable information as strictly necessary to provide the Services and must disclose the information only to its employees who have a strict need-to-know the information. The Contractor must comply at all times with all laws and regulations applicable to the personally identifiable information.

The State is the owner of all State-specific data under the Contract. The State may use the data provided by the Contractor for any purpose. The State must not possess or assert any lien or other right against the

Contractor's data. Without limiting the generality of this Section, the State may use personally identifiable information only as strictly necessary to utilize the Services and must disclose the information only to its employees who have a strict need to know the information, except as provided by law. The State must comply at all times with all laws and regulations applicable to the personally identifiable information. Other material developed and provided to the State for the State's sole use remains the State's sole and exclusive property.

2.264 OWNERSHIP OF MATERIALS

The State and the Contractor must continue to own their respective proprietary technologies developed before entering into the Contract. Any hardware bought through the Contractor by the State, and paid for by the State, must be owned by the State. Any software licensed through the Contractor and sold to the State, must be licensed directly to the State.

2.270 STATE STANDARDS

2.271 EXISTING TECHNOLOGY STANDARDS

The Contractor must adhere to all existing standards as described within the comprehensive listing of the State's existing technology standards at http://www.michigan.gov/dtmb.

2.272 ACCEPTABLE USE POLICY

To the extent that Contractor has access to the State computer system, Contractor must comply with the State's Acceptable Use Policy, see http://www.michigan.gov/ditservice. All Contractor employees must be required, in writing, to agree to the State's Acceptable Use Policy before accessing the State system. The State reserves the right to terminate Contractor's access to the State system if a violation occurs.

2.273 SYSTEMS CHANGES

Contractor is not responsible for and not authorized to make changes to any State systems without written authorization from the Project Manager. Any changes Contractor makes to State systems with the State's approval must be done according to applicable State procedures, including security, access and configuration management procedures.

2.280 EXTENDED PURCHASING

2.281 MIDEAL (MICHIGAN DELIVERY EXTENDED AGREEMENTS LOCALLY) - RESERVED

2.282 STATE EMPLOYEE PURCHASES

The State allows State employees to purchase from this Contract. Unless otherwise stated, it is the responsibility of the Contractor to ensure that the State employee is an authorized purchaser before extending the Contract pricing.

The Contractor must supply Contract Services and Deliverables at the established State of Michigan contract prices and terms to the extent applicable and where available. The Contractor must send its invoices to and pay the State employee on a direct and individual basis.

To the extent that authorized State employees purchase quantities of Services or Deliverables under this Contract, the quantities of Services and/or Deliverables purchased must be included in determining the appropriate rate wherever tiered pricing based on quantity is provided.

2.290 ENVIRONMENTAL PROVISION

2.291 ENVIRONMENTAL PROVISION

Energy Efficiency Purchasing Policy: The State seeks wherever possible to purchase energy efficient products. This includes giving preference to U.S. Environmental Protection Agency (EPA) certified 'Energy Star' products for any category of products for which EPA has established Energy Star certification. For other purchases, the State may include energy efficiency as one of the priority factors to consider when choosing among comparable products.

Environmental Purchasing Policy: The State of Michigan is committed to encouraging the use of products and services that impact the environment less than competing products. The State is accomplishing this by including environmental considerations in purchasing decisions, while remaining fiscally responsible, to promote practices that improve worker health, conserve natural resources, and prevent pollution. Environmental components that are to be considered include: recycled content and recyclables; energy efficiency; and the presence of undesirable materials in the products, especially those toxic chemicals which are persistent and bioaccumulative. The Contractor should be able to supply products containing recycled and environmentally preferable materials that meet performance requirements and is encouraged to offer such products throughout the duration of this Contract. Information on any relevant third party certification (such as Green Seal, Energy Star, etc.) should also be provided.

Hazardous Materials: For the purposes of this Section, "Hazardous Materials" is a generic term used to describe asbestos, ACBMs, PCBs, petroleum products, construction materials including paint thinners, solvents, gasoline, oil, and any other material the manufacture, use, treatment, storage, transportation or disposal of which is regulated by the Federal, State or local laws governing the protection of the public health, natural resources or the environment. This includes, but is not limited to, materials the as batteries and circuit packs, and other materials that are regulated as (1) "Hazardous Materials" under the Hazardous Materials Transportation Act, (2) "chemical hazards" under the Occupational Safety and Health Administration standards, (3) "chemical substances or mixtures" under the Toxic Substances Control Act, (4) "pesticides" under the Federal Insecticide Fungicide and Rodenticide Act, and (5) "hazardous wastes" as defined or listed under the Resource Conservation and Recovery Act.

A. The Contractor must use, handle, store, dispose of, process, transport and transfer any material considered a Hazardous Material according to all Federal, State and local laws. The State must provide a safe and suitable environment for performance of Contractor's Work. Before the commencement of Work, the State must advise the Contractor of the presence at the work site of any Hazardous Material to the extent that the State is aware of the Hazardous Material. If the Contractor encounters material reasonably believed to be a Hazardous Material and which may present a substantial danger, the Contractor must immediately stop all affected Work, notify the State in writing about the conditions encountered, and take appropriate health and safety precautions.

B. Upon receipt of a written notice, the State must investigate the conditions. If (a) the material is a Hazardous Material that may present a substantial danger, and (b) the Hazardous Material was not brought to the site by the Contractor, or does not result in whole or in part from any violation by the Contractor of any laws covering the use, handling, storage, disposal of, processing, transport and transfer of Hazardous Materials, the State must order a suspension of Work in writing. The State must proceed to have the Hazardous Material removed or rendered harmless. In the alternative, the State must terminate the affected Work for the State's convenience.

C. Once the Hazardous Material has been removed or rendered harmless by the State, the Contractor must resume Work as directed in writing by the State. Any determination by the Michigan Department of Community Health or the Michigan Department of Environmental Quality that the Hazardous Material has either been removed or rendered harmless is binding upon the State and Contractor for the purposes of resuming the Work. If any incident with Hazardous Material results in delay not reasonable anticipatable under the circumstances and which is attributable to the State, the applicable SLAs for the affected Work must not be counted in a time as mutually agreed by the parties.

D. If the Hazardous Material was brought to the site by the Contractor, or results in whole or in part from any violation by the Contractor of any laws covering the use, handling, storage, disposal of, processing, transport and transfer of Hazardous Material, or from any other act or omission within the control of the Contractor, the Contractor must bear its proportionate share of the delay and costs involved in cleaning up the site and removing and rendering harmless the Hazardous Material according to Applicable Laws to the condition approved by applicable regulatory agency(ies).

Labeling: Michigan has a Consumer Products Rule pertaining to labeling of certain products containing volatile organic compounds. For specific details visit http://www.michigan.gov/deq/0,1607,7-135-3310_4108-173523--,00.html

Refrigeration and Air Conditioning: The Contractor shall comply with the applicable requirements of Sections 608 and 609 of the Clean Air Act (42 U.S.C. 7671g and 7671h) as each or both apply to this contract.

Environmental Performance: Waste Reduction Program - Contractor shall establish a program to promote cost-effective waste reduction in all operations and facilities covered by this contract. The Contractor's programs shall comply with applicable Federal, State, and local requirements, specifically including Section 6002 of the Resource Conservation and Recovery Act (42 U.S.C. 6962, *et seq.*).

2.300 DELIVERABLES

2.301 SOFTWARE

A list of the items of software the State is required to purchase for execution the Contract is attached. The list includes all software required to complete the Contract and make the Deliverables operable; if any additional software is required in order for the Deliverables to meet the requirements of this Contract, such software shall be provided to the State by Contractor at no additional charge (except where agreed upon and specified in a Statement of Work or Contract Change Notice). The attachment also identifies certain items of software to be provided by the State.

2.302 HARDWARE

A list of the items of hardware the State is required to purchase for execution the Contract is attached. The list includes all hardware required to complete the Contract and make the Deliverables operable; if any additional hardware is required in order for the Deliverables to meet the requirements of this Contract, such hardware shall be provided to the State by Contractor at no additional charge (except where agreed upon and specified in a Contract Change Notice). The attachment also identifies certain items of hardware to be provided by the State.

2.303 EQUIPMENT TO BE NEW

If applicable, all equipment provided under this Contract by Contractor shall be new where Contractor has knowledge regarding whether the equipment is new or assembled from new or serviceable used parts that are like new in performance or has the option of selecting one or the other. Equipment that is assembled from new or serviceable used parts that are like new in performance is acceptable where Contractor does not have knowledge or the ability to select one or other, unless specifically agreed otherwise in writing by the State.

2.304 EQUIPMENT TO BE NEW AND PROHIBITED PRODUCTS

The State must not accept salvage, distressed, outdated or discontinued merchandise. Shipping of such merchandise to any State agency, as a result of an order placed against the Contract, shall be considered default by the Contractor of the terms and conditions of the Contract and may result in cancellation of the Contract by the State. The brand and product number offered for all items shall remain consistent for the term of the Contract, unless Purchasing Operations has approved a change order pursuant to Section 2.024.

2.310 SOFTWARE WARRANTIES

2.311 PERFORMANCE WARRANTY

The Contractor represents and warrants that Deliverables, after Final Acceptance, must perform and operate in compliance with the requirements and other standards of performance contained in this Contract (including all descriptions, specifications and drawings made a part of the Contract) for a period of (90) ninety days. In the event of a breach of this warranty, Contractor must promptly correct the affected Deliverable(s) at no charge to the State.

2.312 NO SURREPTITIOUS CODE WARRANTY

The Contractor represents and warrants that no copy of licensed Software provided to the State contains or must contain any Self-Help Code or any Unauthorized Code as defined below. This warranty is referred to in this Contract as the “No Surreptitious Code Warranty.”

As used in this Contract, “Self-Help Code” means any back door, time bomb, drop dead device, or other software routine designed to disable a computer program automatically with the passage of time or under the

positive control of a person other than the licensee of the software. Self-Help Code does not include Software routines in a computer program, if any, designed to permit an owner of the computer program (or other person acting by authority of the owner) to obtain access to a licensee's computer system(s) (e.g. remote access via modem) for purposes of maintenance or technical support.

As used in this Contract, "Unauthorized Code" means any virus, Trojan horse, spyware, worm or other Software routines or components designed to permit unauthorized access to disable, erase, or otherwise harm software, equipment, or data; or to perform any other such actions. The term Unauthorized Code does not include Self-Help Code. Unauthorized Code does not include Software routines in a computer program, if any, designed to permit an owner of the computer program (or other person acting by authority of the owner) to obtain access to a licensee's computer system(s) (e.g. remote access via modem) for purposes of maintenance or technical support.

In addition, Contractor must use up-to-date commercial virus detection software to detect and remove any viruses from any software prior to delivering it to the State.

2.313 CALENDAR WARRANTY

The Contractor represents and warrants that all software for which the Contractor either sells or licenses to the State of Michigan and used by the State prior to, during or after the calendar year 2000, includes or shall include, at no added cost to the State, design and performance so the State shall not experience software abnormality and/or the generation of incorrect results from the software, due to date oriented processing, in the operation of the business of the State of Michigan.

The software design, to ensure calendar year rollover compatibility, shall include, but is not limited to: data structures (databases, data files, etc.) that provide 4-digit date century; stored data that contain date century recognition, including, but not limited to, data stored in databases and hardware device internal system dates; calculations and program logic (e.g., sort algorithms, calendar generation, event recognition, and all processing actions that use or produce date values) that accommodates same century and multi-century formulas and date values; interfaces that supply data to and receive data from other systems or organizations that prevent non-compliant dates and data from entering any State system; user interfaces (i.e., screens, reports, etc.) that accurately show 4 digit years; and assurance that the year 2000 shall be correctly treated as a leap year within all calculation and calendar logic.

2.314 THIRD-PARTY SOFTWARE WARRANTY

The Contractor represents and warrants that it must disclose the use or incorporation of any third-party software into the Deliverables. At the time of Delivery, the Contractor shall provide in writing the name and use of any Third-party Software, including information regarding the Contractor's authorization to include and utilize such software. The notice shall include a copy of any ownership agreement or license that authorizes the Contractor to use the Third-party Software.

2.315 PHYSICAL MEDIA WARRANTY

Contractor represents and warrants that each licensed copy of the Software provided by the Contractor is free from physical defects in the media that tangibly embodies the copy. This warranty does not apply to defects discovered more than (30) thirty days after that date of Final Acceptance of the Software by the State. This warranty does not apply to defects arising from acts of Excusable Failure. If the Contractor breaches this warranty, then the State shall be entitled to replacement of the non-compliant copy by Contractor, at Contractor's expense (including shipping and handling).

2.320 SOFTWARE LICENSING

2.321 CROSS-LICENSE, DELIVERABLES ONLY, LICENSE TO CONTRACTOR

The State grants to the Contractor, the royalty-free, world-wide, non-exclusive right and license under any Deliverable now or in the future owned by the State, or with respect to which the State has a right to grant such rights or licenses, to the extent required by the Contractor to market the Deliverables and exercise its full rights in the Deliverables, including, without limitation, the right to make, use and sell products and services based on or incorporating such Deliverables.

2.322 CROSS-LICENSE, DELIVERABLES AND DERIVATIVE WORK, LICENSE TO CONTRACTOR

The State grants to the Contractor, the royalty-free, world-wide, non-exclusive right and license under any Deliverable and/or Derivative Work now or in the future owned by the State, or with respect to which the State has a right to grant such rights or licenses, to the extent required by the Contractor to market the Deliverables and/or Derivative Work and exercise its full rights in the Deliverables and/or Derivative Work, including, without limitation, the right to make, use and sell products and services based on or incorporating such Deliverables and/or Derivative Work.

2.323 LICENSE BACK TO THE STATE

Unless otherwise specifically agreed to by the State, before initiating the preparation of any Deliverable that is a Derivative of a preexisting work, the Contractor shall cause the State to have and obtain the irrevocable, nonexclusive, worldwide, royalty-free right and license to (1) use, execute, reproduce, display, perform, distribute internally or externally, and prepare Derivative Works based upon all preexisting works and Derivative Works thereof, and (2) authorize or sublicense others from time to time to do any or all of the foregoing.

2.324 LICENSE RETAINED BY CONTRACTOR

Contractor grants to the State a non-exclusive, royalty-free, site-wide, irrevocable, limited transferable license to use the Software and related documentation according to the terms and conditions of this Contract. For the purposes of this license, “site-wide” includes any State of Michigan office regardless of its physical location. The limited transfer rights will allow the State to transfer the license to other State of Michigan agencies for purposes of administering the unemployment insurance functions that are the subject of this contract.

The State may modify the Software and may combine such with other programs or materials to form a derivative work. The State must own and hold all copyright, trademarks, patent and other intellectual property rights in any derivative work created for the state’s sole use, excluding any rights or interest in Software other than those granted in this Contract.

The State may copy each item of Software to multiple hard drives or networks unless otherwise agreed by the parties.

The State must make and maintain no more than one archival copy of each item of Software, and each copy must contain all legends and notices and must be subject to the same conditions and restrictions as the original. The State may also make copies of the Software in the course of routine backups of hard drive(s) for the purpose of recovery of hard drive contents.

In the event that the Contractor shall, for any reason, cease to conduct business, or cease to support the Software, the State shall have the right to convert these licenses into perpetual licenses, with rights of quiet enjoyment, but subject to payment obligations not to exceed the then current rates.

2.325 PRE-EXISTING MATERIALS FOR CUSTOM SOFTWARE DELIVERABLES

Neither Contractor nor any of its Subcontractors shall incorporate any preexisting materials (including Standard Software) into Custom Software Deliverables or use any pre-existing materials to produce Custom Software Deliverables if such pre-existing materials must be needed by the State in order to use the Custom Software Deliverables unless (i) such pre-existing materials and their owners are identified to the State in writing and (ii) such pre-existing materials are either readily commercially available products for which Contractor or its Subcontractor, as the case may be, has obtained a license (in form and substance approved by the State) in the name of the State, or are materials that Contractor or its subcontractor, as the case may be, has the right to license to the State and has licensed to the State on terms and conditions approved by the State prior to using such pre-existing materials to perform the Services.

2.330 SOURCE CODE ESCROW

2.331 DEFINITION

"Source Code Escrow Package" shall mean:

A. A complete copy in machine-readable form of the source code and executable code of the Licensed Software, including any updates or new releases of the product;
B. A complete copy of any existing design documentation and user documentation, including any updates or revisions; and/or
C. Complete instructions for compiling and linking every part of the source code into executable code for purposes of enabling verification of the completeness of the source code as provided below. Such instructions shall include precise identification of all compilers, library packages, and linkers used to generate executable code.

2.332 DELIVERY OF SOURCE CODE INTO ESCROW

Contractor shall deliver a Source Code Escrow Package to the Escrow Agent, pursuant to the Escrow Contract, which shall be entered into on commercially reasonable terms subject to the provisions of this Contract within (30) thirty days of the execution of this Contract.

2.333 DELIVERY OF NEW SOURCE CODE INTO ESCROW

If at anytime during the term of this Contract, the Contractor provides a maintenance release or upgrade version of the Licensed Software, Contractor shall within ten (10) days deposit with the Escrow Agent, in accordance with the Escrow Contract, a Source Code Escrow Package for the maintenance release or upgrade version, and provide the State with notice of the delivery.

2.334 VERIFICATION

The State reserves the right at any time, but not more than once a year, either itself or through a third party contractor, upon thirty (30) days written notice, to seek verification of the Source Code Escrow Package.

2.335 ESCROW FEES

The Contractor must pay all fees and expenses charged by the Escrow Agent. The Contractor is allowed to utilize their existing Lincoln-Parry agreement, and will allow the State – at a minimum - quarterly audits of the escrowed software.

2.336 RELEASE EVENTS

The Source Code Escrow Package may be released from escrow to the State, temporarily or permanently, upon the occurrence of one or more of the following:

A. The Contractor becomes insolvent, makes a general assignment for the benefit of creditors, files a voluntary petition of bankruptcy, suffers or permits the appointment of a receiver for its business or assets, becomes subject to any proceeding under bankruptcy or insolvency law, whether domestic or foreign;

B. The Contractor has wound up or liquidated its business voluntarily or otherwise and the State has reason to believe that such events must cause the Contractor to fail to meet its warranties and maintenance obligations in the foreseeable future;

C. The Contractor voluntarily or otherwise discontinues support of the provided products or fails to support the products in accordance with its maintenance obligations and warranties.

2.337 RELEASE EVENT PROCEDURES

If the State desires to obtain the Source Code Escrow Package from the Escrow Agent upon the occurrence of an Event in this Section, then:

A. The State shall comply with all procedures in the Escrow Contract;
B. The State shall maintain all materials and information comprising the Source Code Escrow Package in confidence in accordance with this Contract;

C. If the release is a temporary one, then the State shall promptly return all released materials to Contractor when the circumstances leading to the release are no longer in effect.

2.338 LICENSE

Upon release from the Escrow Agent pursuant to an event described in this Section, the Contractor automatically grants the State a non-exclusive, irrevocable license to use, reproduce, modify, maintain, support, update, have made, and create Derivative Works. Further, the State shall have the right to use the Source Code Escrow Package in order to maintain and support the Licensed Software so that it can be used by the State as set forth in this Contract.

2.339 DERIVATIVE WORKS

Any Derivative Works to the source code released from escrow that are made by or on behalf of the State shall be the sole property of the State. The State acknowledges that its ownership rights are limited solely to the Derivative Works and do not include any ownership rights in the underlying source code.

2.300 OTHER PROVISIONS

2.411 FORCED LABOR, CONVICT LABOR, OR INDENTURED SERVITUDE MADE MATERIALS

Vendor represents and certifies that, to the best of its knowledge and belief no foreign (outside of the U.S.) made equipment, materials, or supplies, must be furnished to the State under any resulting Contract, that have been produced in whole or in part by forced labor, convict labor, or indentured servitude.

2.421 KNOWLEDGE OF CHILD LABOR FOR LISTED END PRODUCTS

A. "Forced or indentured child labor" means all work or service:

1. Exacted from any person under the age of 18 under the menace of any penalty for its nonperformance and for which the worker does not offer himself voluntarily; or
2. Performed by any person under the age of 18 under a contract the enforcement of which can be accomplished by process or penalties.

B. Listed end products. The following end product(s) being acquired under this solicitation is (are) included in the List of Products Requiring Contractor Certification as to Forced or Indentured Child Labor, identified by their country of origin. There is a reasonable basis to believe that listed end products from the listed countries of origin may have been mined, produced, or manufactured by forced or indentured child labor.

Listed End Product	Listed Country of Origin

C. Certification. The State must not make award to a Vendor unless the Vendor, by checking the appropriate block, certifies to one of the following:

☐ The Vendor must not supply any end product listed in paragraph (b) of this provision that was mined, produced, or manufactured in a corresponding country as listed for that end product.

☐ The Vendor may supply an end product listed in paragraph (b) of this provision that was mined, produced, or manufactured in the corresponding country as listed for that product. The Vendor certifies that it has made a good faith effort to determine whether forced or indentured child labor was used to mine, produce, or manufacture the end product. On the basis of those efforts, the Vendor certifies that it is not aware of any the use of child labor.

APPENDIX A: TECHNICAL REQUIREMENTS

The following is an explanation of response columns for Appendix A Technical Requirements.

1. Check boxes **Yes**, **Yes with Modifications**, **No:**

   a. **Yes** – solution complies with all aspects of the requirement by means of a current, standard feature. The comments box provides confirmation that the solution complies with the requirement and, where appropriate, describes how it does so.

   b. **Yes with Modification** – solution does not currently comply with the requirement, but will be fully compliant as a result of the action/approach that are describe in the comment box.

   c. **No** – the solution does not comply.

2. **Requirement Response (REQ Response):**

   A. Currently provided as a standard feature
   B. Not currently provided but is a planned enhancement or will be added at no additional cost and will be supported in future releases
   C. Not currently provided but will be added at the additional cost detailed in the cost proposal and will require additional cost to transfer to future releases
   D. Not currently provided but will be added at the additional cost detailed in the cost proposal and will be supported in future releases at no additional cost
   E. Not supportable

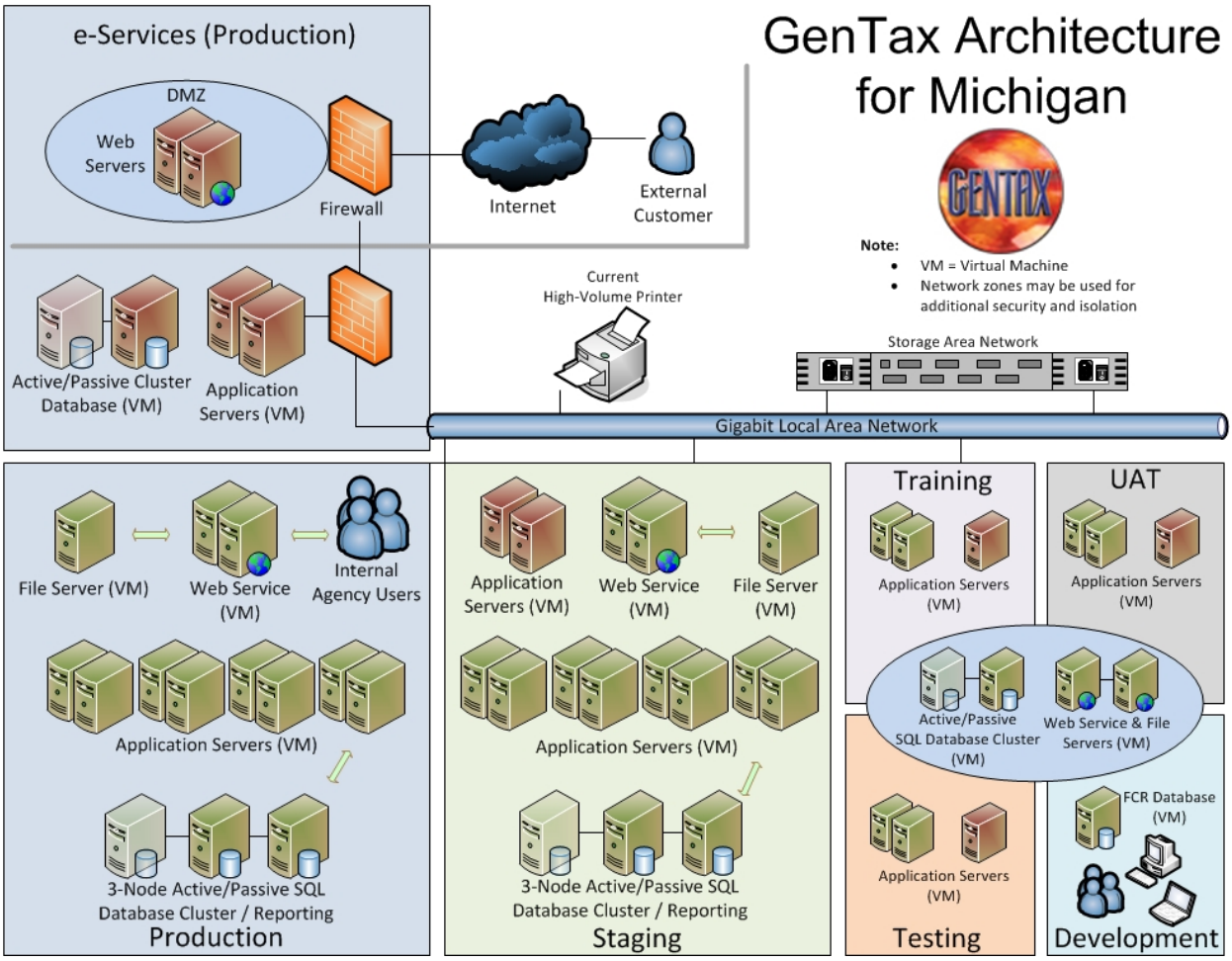
APPENDIX A: TECHNICAL REQUIREMENTS

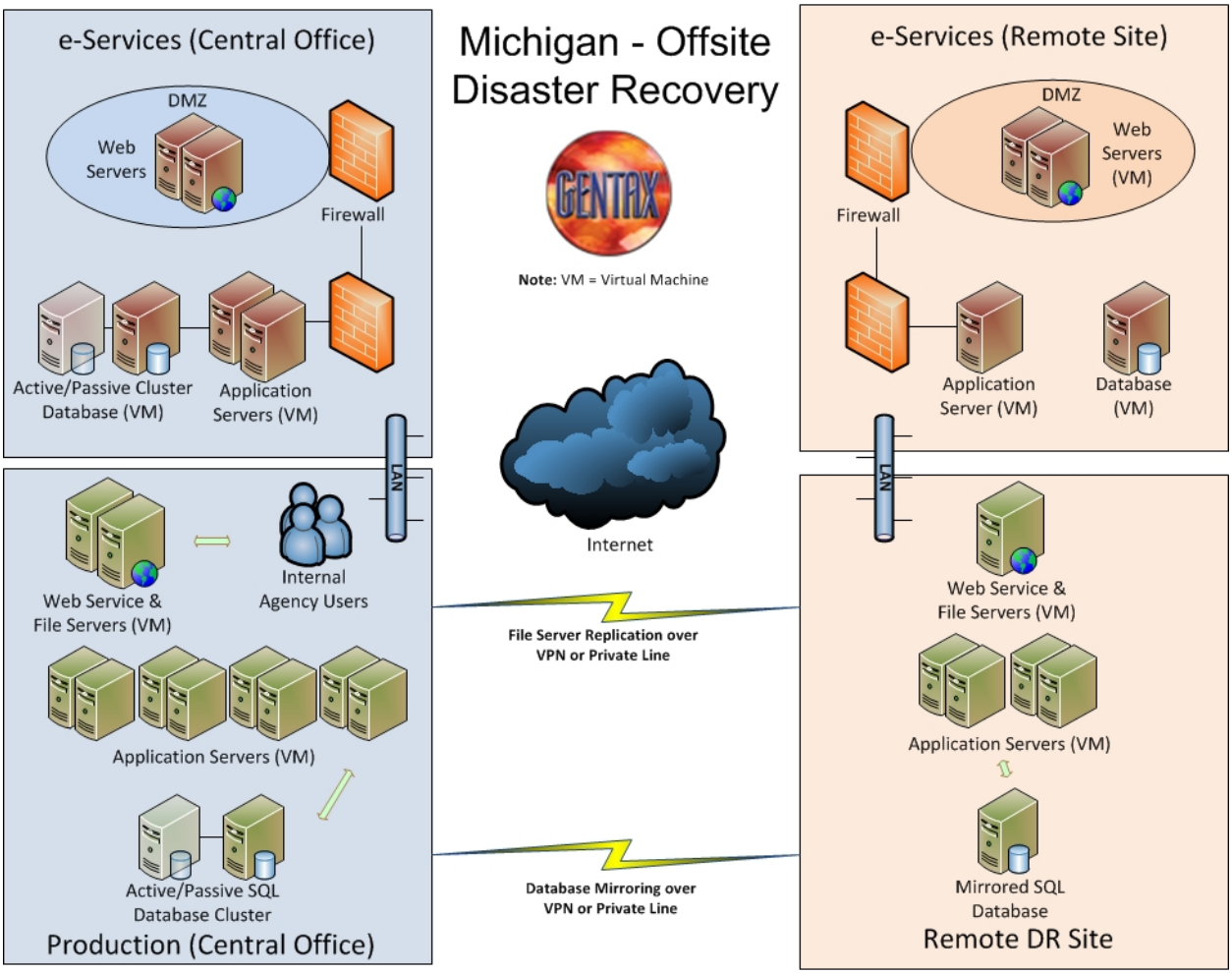
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Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
a. 1. Client / Workstation					
a. The Application must function with the following web browser(s) in an Intranet environment: Microsoft IE 6.0	**X**			**A**	The proposed solution uses Microsoft Silverlight in an intranet environment which is compatible with Microsoft IE 6.0 using Windows XP SP2/SP3. Windows Vista or Windows 7 require IE 7.0 or greater.
b. The Application must function with the following web browser(s) in an Internet environment: Microsoft IE 6.0 or above Firefox 3.0 and above Chrome 3.0 and above Safari 4.x and above	**X**			**A**	The proposed solution uses Microsoft Silverlight when accessed through a web browser. The following web browsers and client operating systems are compatible: • Microsoft IE 6 o Windows XP SP 2/3 Microsoft IE 7 o Windows Vista Microsoft Internet Explorer 8 o Windows Vista o Windows 7 o Windows XP SP 2/3 Firefox 3+ o Windows Vista o Windows 7 o Windows XP SP 2/3 o Mac OS 10.4.11+ (Intel-based) Chrome 3+ o Windows Vista o Windows 7 o Windows XP SP2/3 Safari 4+ o Mac OS 10.4.11+ (Intel-based)
c. The Application must function with the following desktop Operating System (OS): Windows 7	**X**			**A**	The proposed solution is fully compatible with Windows 7 and utilizes the Microsoft .NET Framework.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
d. The Application's desktop client install must function on the following standard SOM desktop hardware: Link to SOM Desktop Standard: http://www.michigan.gov/dit/0,1607,7-139-34305-108231--,00.html	**X**			**A**	The SOM Desktop standard meets the solution's minimum requirements for client hardware and software.
b. 2. Documentation and Standards					
a. Provide a logical network diagram that describes how the infrastructure components will meet the functional requirements.	**X**			**A**	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
b. Provide conceptual and logical data-flow diagrams.	**X**			**A**	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
c. Provide a complete installation and configuration documentation library.	**X**			**A**	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
d. Provide a high-level architecture diagram, including logical and physical components.	**X**			**A**	Please see the deployment architecture diagrams on the two pages following.


GenTax Architecture for Michigan
e-Services (Production)
DMZ
Web Servers
Firewall
Internet
External Customer
Active/Passive Cluster Database (VM)
Application Servers (VM)
Current High-Volume Printer
Storage Area Network
Note:
VM = Virtual Machine
Network zones may be used for additional security and isolation
Gigabit Local Area Network
File Server (VM)
Web Service (VM)
Internal Agency Users
Application Servers (VM)
3-Node Active/Passive SQL Database Cluster / Reporting
Production
Application Servers (VM)
Web Service (VM)
File Server (VM)
Application Servers (VM)
3-Node Active/Passive SQL Database Cluster / Reporting
Staging
Training
Application Servers (VM)
Active/Passive SQL Database Cluster (VM)
Application Servers (VM)
Testing
UAT
Application Servers (VM)
Web Service & File Servers (VM)
FCR Database (VM)
Development


e-Services (Central Office)
DMZ
Web Servers
Firewall
Active/Passive Cluster Database (VM)
Application Servers (VM)
LAN
Web Service & File Servers (VM)
Internal Agency Users
Application Servers (VM)
Active/Passive SQL Database Cluster
Production (Central Office)
Michigan - Offsite Disaster Recovery
GENTAX
Note: VM = Virtual Machine
Internet
File Server Replication over VPN or Private Line
Database Mirroring over VPN or Private Line
e-Services (Remote Site)
DMZ
Web Servers (VM)
Firewall
Application Server (VM)
Database (VM)
LAN
Web Service & File Servers (VM)
Application Servers (VM)
Mirrored SQL Database
Remote DR Site

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
e. System documentation must describe error logging and how to access the error logs.	**X**			**A**	The included system documentation repository contains a variety of helpful information and tutorials based on topics of interest including descriptions of error logging and how to access error logs.
f. System documentation must describe Disaster Recovery capabilities (including Hot and Cold standby options, licensing implications, and critical vs. non-critical functionality and data).	**X**			**A**	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
g. System documentation must describe any batch processing requirements for the application.	**X**			**A**	The included system documentation repository contains a variety of helpful information and tutorials based on topics of interest including batch processing requirements for the application.
c. 3. Installation					
a. Provide a detailed work plan (in hours) and duration (in days) of a typical installation of the base package, including all modules. Include both SOM and vendor effort.	**X**			**A**	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
b. Provide a high-level project plan outlining activity descriptions, work effort, duration and resources for a typical base-package installation.	**X**			**A**	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
d. 4. Product Development					
a. The application must follow the SUITE testing processes and documentation of testing and testing types/levels must be provided.	**X**			**A**	The proposed solution will meet this requirement.
b. Software development must adhere to the System Engineering Methodology (SEM) described in the State Administrative Guide (Section 1360): http://www.michigan.gov/documents/dmb/1360.00_281429_7.pdf	**X**			**A**	The proposed solution will meet this requirement.
e. 5. Reporting					
a. The reporting product technology must be compatible with n-Tier architecture (client-server and Web)	**X**			**A**	The proposed solution operates in an n-Tiered architecture.
f. 6. Application Security					
a. The solution must have a completed DTMB Project Security Plan and Assessment (DIT-0170). ***Note 1:*** The DIT-170 should be started during the requirements gathering phase and be authored by DTMB staff. ***Note 2:*** Security requirements listed in this section are guidelines only and may be superseded by the DIT-0170		**X**		**B**	The proposed solution will comply with this requirement.
b. The solution must have built-in security controls and meet or exceed current SOM security requirements as described in the State Administrative Guide.	**X**			**A**	The proposed solution will comply with this requirement. Security Manager applies security controls to all functions and is configurable to meet security requirements described in the State Administrative Guide.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
c. Application access must be loggable and have a viewable audit trail(s).	X			A	The proposed solution will comply with this requirement. User activities in the system may be logged. Each system action performed by a user can be reviewed online. A high-level view shows how frequently a user performs various functions over a given period of time. The solution can track all actions performed by a user, including accessing an account for inquiry purposes only. The tracking tool can provide information about a user, such as the date and time they accessed an account, how many times the account was accessed, and if the user was allowed or denied access. Security Manager will also track user logon and logoff activity.
d. Changes to user permissions must be loggable and have a viewable audit trail(s).	X			A	The proposed solution will comply with this requirement. All actions within the system may be tracked including user permission changes. The audit trails generated by these changes are viewable in Security Manager and using logging tools.
e. Access to audit trail logs must be able to be restricted to approved administrators.	X			A	The proposed solution will comply with this requirement. The solution includes Security Manager, in which individuals with proper permissions are given the necessary security tools to maintain and administer authentication and access management. The audit trail logs are restricted to authorized individuals.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
f. Application access and changes to application access must log the following information: Date/time Nature of operation Name of changed item Name of who made the change Before and after value of the changed item	**X**			**A**	The proposed solution will comply with this requirement. Security Manager provides the capability to log all user actions within the system. All data insert, view, and modification data is tracked. The solution uses a data versioning approach so that existing data is never modified. Instead, a new version of the data is inserted leaving prior information intact as a previous version. This creates a full audit trail of the data as well as the view of the data at any point in time it was modified. Several audit trails are provided: • Date/time and machine name are recorded for each user login and logout. • Username and date/time of all updates are recorded. • History records preserve the state of information before the addition/update. • Access to specific application tables, including those in the Data Warehouse, can be tracked.
g. The following application change event(s) must be logged: Changes to individual permission level Changes to role membership Changes to role permissions Changes to access to application functions	**X**			**A**	The proposed solution will comply with this requirement. Security Manager supports configuration of change events based on specific security and audit needs.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
h. The System Administrator must be able to control access to audit trail logs.	**X**			**A**	The proposed solution will comply with this requirement. The solution includes Security Manager, in which authorized individuals have access to the necessary security tools to maintain and administer authentication and access management. The audit trail logs are restricted to authorized individuals.
i. Access to program libraries (e.g. base code) must be restricted and controlled.	**X**			**A**	The proposed solution will comply with this requirement. The solution includes a source code management system – the Fast Code Repository (FCR) – to store, control, and track instances of the software configuration items developed for the sole use of SOM. SOM's instance of FCR will address the site-specific components and custom extensions developed for the sole use of SOM. The FCR tool is a restricted and controlled environment where administrators control access based on function requirements.
j. Passwords and User ID's must be able to: Protect sensitive data Restrict access to only those intended Meet State/Agency Security Standards Be encryptable	**X**			**A**	The proposed solution will comply with this requirement. UserIDs and passwords follow industry security standards and best practices. They can be maintained separately from network logins or authentication can be via LDAP. If using the solution's security, all passwords are encrypted within the database.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
k. Client application must support encryption of data both at rest and in motion, in accordance with the data classification.	X			A	The proposed solution will comply with this requirement. The solution implements message security that protects the privacy, integrity and confidentiality of all personal, confidential, and sensitive information sent across the network. This is achieved by using secure authentication and the SSL/TLS protocol to ensure message integrity and encryption. No sensitive data is stored on client workstations. If requirements specify the necessity of storing data on workstations in any form then the proposed solution ensures data is encrypted using FIPS compliant algorithms.
l. Applications and systems must adhere to SOM Policy 1350.10 regarding Access to Networks, Systems, Computers, Databases, and Applications: http://www.michigan.gov/documents/dmb/1350.10_184594_7.pdf	X			A	The proposed solution will comply with this requirement.
m. Applications and systems must adhere to SOM Policy 1350.20 regarding Access to Protected Data Resources: http://www.michigan.gov/documents/dmb/1350.20_184600_7.pdf	X			A	The proposed solution will comply with this requirement.
n. End-user software applications, or components thereof, must not require privileged, super-user or administrator mode in order to function properly.	X			A	The proposed solution will comply with this requirement. The solution functions in a Microsoft .NET and Silverlight environment which does not require privileged, super-user, or administrator mode in order to function on user workstations.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
o. A security assessment of the purchased application, and its components, must be provided that has been verified by an independent third-party.		**X**		**B**	FAST will comply with this requirement. We will contract with an independent third-party to obtain a security assessment of the purchased application and its components. This assessment will be provided at no additional cost and is included in proposed solution. Note: The proposed solution has an IRS-approved Safeguard Computer Security Evaluation Matrix (SCSEM) used on the IRS Safeguards Program to help agencies stay in compliance with IRS rules regarding the use of Federal Tax Information (FTI).
g. **7. Identity Management**					
a. Application authentication and authorization must be by individual user. User account information must be stored securely in a database. Users may belong to groups and roles.	**X**			**A**	The proposed solution will comply with this requirement. The solution supports two authentication methods, Lightweight Directory Access Protocol (LDAP) and internal authentication. Each account is unique to a specific user. Security is handled through the use of groups and roles. Passwords are stored in a non-reversible hashed encryption format. The encryption scheme is used for transmission and storage of passwords. Note: Security and user identification are discussed in more detail in our response *Section 3 Solution Overview*, topic *h. Security, User Identification, Screen Navigation, and Other Common Services.*

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
b. The application must enforce the following rules on individual passwords for allowable characters, length and expiration period: Standard Window characters allowed Minimum of 8 characters in length Expires every 90 days Cannot reuse password for 1 year	**X**			**A**	The proposed solution will comply with this requirement. The solution has a rich set of password configuration rules available. To include, password length, password construction, password expiration, password reuse, validation against common password mistakes, etc. All requested password rules are supported. Note: Password management for internal authentication is discussed in more detail in our response *Section 3 Solution Overview*, topic *h. Security, User Identification, Screen Navigation, and Other Common Services.*
c. The application must lock out users after five invalid login attempts due to bad passwords.	**X**			**A**	The proposed solution will comply with this requirement. Administrators may set user account lock out thresholds in Security Manager password policies. Note: User lockout for internal authentication is discussed in more detail in our response *Section 3 Solution Overview*, topic *h. Security, User Identification, Screen Navigation, and Other Common Services.*

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
d. The application must provide the system administrators with the capabilities to define different roles with different privileges.	X			A	The proposed solution will comply with this requirement. Security is based on groups. The group is defined as having access to one or more security identifiers. Users can be assigned to one or more groups. Users are granted access to a function if they belong to a group that has access to the security identifier for the function. A default group feature can be configured that allows any new users to automatically have limited access to only default function areas and saves time for administrators. Administrators may define different security roles and privileges from the security manager.
h. 8. Network Security					
a. Client applications must adhere to SOM Policy 1340.00 regarding "Information Security": http://www.michigan.gov/documents/dmb/1340_193162_7.pdf	X			A	The proposed solution will comply with this requirement.
b. Applications and systems must adhere to SOM Policy 1350.10 regarding "Access to Networks, Systems, Computers, Databases, and Applications": http://www.michigan.gov/documents/dmb/1350.10_184594_7.pdf	X			A	The proposed solution will comply with this requirement.
c. Applications and systems must conform with SOM Policy 1345.00 regarding "Network and Infrastructure": http://www.michigan.gov/documents/dmb/1345.00_282982_7.pdf	X			A	The proposed solution will comply with this requirement.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
d. Applications and systems must adhere to SOM Policy 1350.20 regarding "Access to Protected Data Resources": http://www.michigan.gov/documents/dmb/1350.20_184600_7.pdf	**X**			**A**	The proposed solution will comply with this requirement.
i. 9. Server Security					
a. Application servers must be hardened prior to placing in production. The hardening process is handled by DTMB Infrastructure Services, in conjunction with OES.	**X**			**A**	The proposed solution will comply with this requirement.
b. End-user software applications, or components thereof, must not require privileged, super-user or administrator mode in order to function properly.	**X**			**A**	The proposed solution will comply with this requirement. The solution functions in a Microsoft .NET and Silverlight environment which does not require privileged, super-user, or administrator mode in order to function on servers. Our software is not dependent on any other solutions that may require elevated server permissions. Server services operate under a network user identity however this user does not require privileged, super-user or administrator mode to function.
c. Servers must have the most recent security patches applied to them and be configured in least privileged mode prior to placing in production in a non-secure environment.	**X**			**A**	The proposed solution will comply with this requirement. The solution is compatible with current publically available Windows Server platforms and updated security patches. Our application service accounts will be configured with only the required privileges for operation and do not require administrative permissions.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
j. 10. Application Server					
a. Systems running on the application server must support horizontal scaling.	**X**			**A**	The proposed solution will comply with this requirement. Application servers support horizontal scaling by providing the ability to add additional servers into a pool of load balance member servers to help with increased performance demand. We have generally found that scaling horizontally in this tier, by adding additional low cost, high performance servers, produces significant performance results without the need for replacing existing hardware or more expensive database servers.
b. Systems running on the application server must support vertical scaling.	**X**			**A**	The proposed solution will comply with this requirement. The solution supports application servers that have been scaled vertically for increased performance such as upgrading memory, processor(s), or hard drive(s)
c. End-user software applications, or components thereof, must not require privileged, super-user or administrator mode in order to function properly.	**X**			**A**	The proposed solution will comply with this requirement. The solution functions in a Microsoft .NET and Silverlight environment which does not require privileged, super-user, or administrator mode in order to function on servers. Our software is not dependent on any other solutions that may require elevated server permissions. Server services operate under a network user identity however this user does not require privileged, super-user or administrator mode to function.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
k. 11. Database Server					
a. The database server must support horizontal scaling.	**X**			**A**	The proposed solution will comply with this requirement. Database servers can be scaled horizontally by using a clustered database environment. This configuration provides high-availability and failover protection.
b. The database server must support vertical scaling.	**X**			**A**	The proposed solution will comply with this requirement. The solution supports database servers that have been scaled vertically for increased performance such as upgrading memory, processor(s), or hard drive(s)
c. The database tier must support a shared connection with connection pooling.	**X**			**A**	The proposed solution will comply with this requirement. The solution architecture handles connection pooling to the database and allows multiple managed transactions.
d. All data fields containing sensitive data in a database must be encrypted.	**X**			**A**	The proposed solution will comply with this requirement. The solution provides the ability to encrypt and mask any marked field containing sensitive data. This data remains masked and will not display in reports, letters, screenshots, or other visual references. In addition to masking sensitive data, the preferred DBMS will encrypt any data at rest in the database.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
e. The database must support data deletion.	X			A	The proposed solution will comply with this requirement. The solution uses a data versioning approach so that existing data is never modified or deleted. Instead, a new version of the data is inserted leaving prior information intact as a previous version. This creates a full audit trail of the data as well as the view of the data at any point in time it was modified. The database itself supports the deletion of data however only from an authorized database administrator. Deleting data is typically discouraged and should be managed on a case by case basis.
f. The database must operate in an n-Tier server architecture.	X			A	The proposed solution will comply with this requirement. Only the components executing at the application server have access to the database. Client machines and end users have no direct access to the database thereby making the database its own layer of an n-Tiered architecture.
g. The database transaction strategies must be configurable, allowing growth, shrinkage, and backup-recovery.	X			A	The proposed solution will comply with this requirement. We allow for growth by sizing recommended database storage amount to accommodate a 200% growth of data and transaction volumes. Tools and backup utilities are provided with the proposed RDBMS and used to implement a database backup-recovery plan used with existing backup procedures.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
h. The database must not require users to have elevated database privileges/accounts for normal operation.	X			A	The proposed solution will comply with this requirement. The solution operates in an n-Tiered architecture isolating the database from users. All data transactions commit at the application server layer. The application server services run with a network service account that requires permission to the database. This account is for server use only and is not accessible by users. Users do not have permission to access the database in a production environment.
l. **12. Web Server**					
a. The Web Server components must operate the same without regard to the hosting platform or OS.		X		C	Our web server components use html and Silverlight XAP files that may be served from other hosting platforms however our proposal is based on Windows 2008 Web Server.
b. The Web Server must support horizontal scaling.	X			A	The proposed solution will comply with this requirement. Web servers support horizontal scaling by providing the ability to add additional servers into a cluster of web servers configured for load balancing. We have generally found that scaling horizontally in this tier, by adding additional low cost, high performance servers, produces significant performance results without the need for replacing existing hardware.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
c. The Web Server must support vertical scaling.	**X**			**A**	The proposed solution will comply with this requirement. The solution supports web servers that have been scaled vertically for increased performance such as upgrading memory, processor(s), or hard drive(s).
d. The application should support clustering and/or load balancing across several servers.	**X**			**A**	The proposed solution will comply with this requirement. The solution supports web servers in a load-balanced configuration using Network Load Balancing. Web requests are equally balanced between two or more web servers.
m. 13. Solution Architecture					
a. A detailed network/server diagram must be provided illustrating the relative architecture of the proposed system. It should include: Network security zones and firewalls Server types and network components (e.g., switches) Ports and protocols used to cross security zones How users will access the system Clustering of servers	**X**			**B**	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
b. The solution/application must utilize the features and capabilities of the SOM enterprise data storage services for the following data storage needs: Storage Area Network (SAN) Network Attached Storage (NAS) Content Addressable Storage (CAS)	**X**			**A**	The proposed solution will comply with this requirement, however the solution does not require Content Addressable Storage.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
c. The solution/ application must have an approved Enterprise Architect (EA) Solution Assessment, prior to production.	X			B	We will comply with this requirement. A preliminary Enterprise Architecture (EA) Solution Assessment is provided behind Tab 31 of our response. If we are the selected vendor, we will work with the State to have this approved prior to production rollout.
d. Provide conceptual and logical application data-flow models.	X			B	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
e. Provide a logical network diagram that describes how the infrastructure components will meet the functional requirements.	X			B	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
f. Provide a technology roadmap for the proposed system showing a five (5) year plan for new software version releases, support window, and sun setting.	X			B	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
g. Provide a high-level architecture diagram, including logical and physical components.	X			A	Please see Item 2.d. on Page 28.7 of this section of our response.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
h. Systems operating on an application server must interoperate with CA UniCenter monitoring agents	**X**			**A**	The proposed solution will comply with this requirement and is compatible with CA UniCenter monitoring agents.
i. Systems operating on an application server must interoperate with Veritas Backup and Recovery agents.	**X**			**A**	The proposed solution will comply with this requirement.
j. Minimum FIPS 140-2 compliant encryption algorithm (AES-256) during transmission of data.	**X**			**A**	The proposed solution will comply with this requirement. The solution encrypts all data transmissions using industry standard encryption algorithms.
n. 14. System Administration and Licensing					
a. Documentation must indicate recommended staffing requirements to administer and support the system.	**X**			**B**	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This item is unique to the installation and configuration of the solution at a specific site.
b. Documentation describing how to take the system off-line for maintenance, updates and upgrades must be provided.	**X**			**B**	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This item is unique to the installation and configuration of the solution at a specific site.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
c. Documentation must describe the level of effort, and anticipated downtime for product upgrade installation.	X			B	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
d. Documentation must address upgrade paths and procedures for each component/tier.	X			B	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
e. Provide a complete configuration and set-up documentation library.	X			B	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
f. System documentation must clearly describe any special requirements (such as middleware, Operating System (OS), hardware, etc.) that could affect the capabilities or performance of the system.	X			B	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
g. System documentation must clearly describe all critical factors in sizing or configuring the application (e.g., number of concurrent users, specific transaction volumes, number of products, number of layers in the product hierarchy, etc.).	X			B	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
o. **15. System Performance**					
a. The application must provide performance-optimization capabilities.	**X**			**A**	The proposed solution will comply with this requirement. Performance statistics are captured and viewable within the System Manger. Statistics such as database read/writes, application server utilization, network response time, and object call times help provide optimization capabilities.
b. The application must maintain optimum performance over both Wide Area Network (WAN) and Local Area Network (LAN).	**X**			**A**	The proposed solution will comply with this requirement. The solution is optimized for LAN and WAN network infrastructures by compressing each message retrieved from a server source before transmitting over the wire. The solution only loads components and configuration based on user needs. This approach increases load times and overall client application performance.
c. System documentation must clearly describe all versions of the package that are deployed for different scaling situations.	**X**			**B**	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.
d. System documentation must clearly describe all activities that affect optimum performance such as service recycling, rebooting, or batch jobs and their frequency.	**X**			**B**	We will comply and provide all required diagrams, plans, etc. requested in Appendix A as the selected vendor after contract award and during project execution. This material is unique to the installation and configuration of the solution at a specific site.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
e. The solution can provide real-time data transfer of identified data.	**X**			**A**	The proposed solution allows data to be transferred real-time from the operational database. In most cases, however it should be sufficient to transfer data from the reporting database which contains near real-time data.
p. 16. Application Configuration Management – (PCI-DSS)					
a. All known security vulnerabilities must be addressed in accordance with industry-accepted system hardening standards. Industry-accepted standards include: SysAdmin Audit Network Security (SANS) National Institute of Standards Technology (NIST) Center for Internet Security (CIS)	**X**			**A**	The proposed solution will comply with this requirement.
b. Only one primary function can be implemented per server (i.e. web, database, domain, etc.).	**X**			**A**	The proposed solution will comply with this requirement.
c. All unnecessary and unsecured services and protocols (those not directly needed to perform the device's specified function) are disabled.	**X**			**A**	The proposed solution will comply with this requirement.
d. System security parameters must be configured to prevent misuse (see 16.a for guidance).	**X**			**A**	The proposed solution will comply with this requirement.
e. All unnecessary functionality is removed, such as: Scripts Drivers Features Subsystems File Systems Unnecessary Web Servers	**X**			**A**	The proposed solution will comply with this requirement.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
q. 17. Application Development Management – (PCI-DSS)					
r. Software applications must be developed in accordance with PCI-DSS (for example, secure authentication and logging) and based on industry best practices. Information security must be incorporated throughout the Systems Development Life Cycle (SDLC).	**X**			**A**	The proposed solution will comply with this requirement. We will provide a source code management system (the Fast Code Repository - FCR) to store, control, and track instances of the software configuration items that are developed for SOM. FCR will address the site specific components and custom extensions developed for SOM. This management system is both secure and logs all activity for future reference.
s. All security patches and system and software configuration changes must be tested before deployment, including but not limited to: All input must be validated to prevent such things as cross-site scripting, injection flaws and malicious file execution. Proper error handling must be incorporated into the software. Data at rest must use secure cryptographic storage. Data in motion must use secure communications. Role-based access control (RBAC) must be used to control and audit user actions.	**X**			**A**	The proposed solution will comply with this requirement. Our overall solution approach incorporates the use of non-production environments for the purpose of testing security patches and system software configuration changes before deploying to a production environment.
t. There must be separate development, test, UAT, staging, training, and production environments.	**X**			**A**	The proposed solution will comply with this requirement.
u. There must be a separation of duties between development, test, UAT, staging, training, and production environments.	**X**			**A**	The proposed solution will comply with this requirement.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
v. Production data (live Primary Account Numbers – PANs) are not used for testing or development purposes.	X			A	The proposed solution will comply with this requirement.
w. All test data and accounts must be removed before production systems become active.	X			A	The proposed solution will comply with this requirement. The Production environment does not contain any test data as each environment is completely separate.
x. All custom and developer accounts, user IDs, and passwords must be removed before applications become active or are released to agencies.	X			A	The proposed solution will comply with this requirement.
y. A code review must be performed of custom code prior to release to production or agencies, in order to identify any potential coding vulnerabilities.	X			A	The proposed solution will comply with this requirement. We will provide a source code management system (Fast Code Repository - FCR) to store, control, and track instances of the software configuration items that are developed for SOM. FCR will address the site specific components and custom extensions developed for SOM. FCR is secure and logs all activity for future reference. Developers require approval before custom code is migrated to higher environments. The SOM may incorporate a code review procedure as a dependency of migration approvals.
z. All web applications (internal, external, and web administrative access to applications) must be developed based on secure coding guidelines such as the *Open Web Application Security Project Guide.* (http://www.owasp.org)	X			A	The proposed solution will comply with this requirement. Web servers utilize industry standard security protocols and SSL encrypting communication to all web servers. We do not use any proprietary or third party security software.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
aa. Prevention of common coding vulnerabilities must be covered in software development processes, including: Cross-side scripting (XSS). Injection flaws, particularly SQL injection. Also consider LDAP and Xpath injection flaws. Malicious file execution. Unsecured direct object references. Cross-site request forgery (CSRF). Information leakage and improper error handling. Broken authentication and session management. Unsecured cryptographic storage. Unsecured communications. Failure to restrict URL access.	**X**			**A**	The proposed solution will comply with this requirement. We will provide a source code management system (Fast Code Repository - FCR) to store, control, and track instances of the software configuration items that are developed for SOM. The source code management system will address the site specific components and custom extensions developed for SOM. FCR is secure and logs all activity for future reference. Developers require approval before custom code is migrated to higher environments. During the site-specific software development process, code reviews will be implemented to prevent the introduction of security flaws.
bb. 18. Application Password Management (PCI-DSS)					
a. Only DTMB approved personnel may add, delete, or modify user IDs, credentials, and other identifier objects on systems containing PCI data.	**X**			**A**	The proposed solution will comply with this requirement.
b. A user's identity must be verified before performing a password reset.	**X**			**A**	The proposed solution will comply with this requirement.
c. First-time passwords must be set to a unique value for each user and each user change this initial password immediately upon first use.		**X**		**A**	The proposed solution will comply with this requirement. We recommend that passwords be managed in Active Directory or other LDAP authentication source. In the event that internal authentication is preferred then the assignment of unique password should be managed as a security policy followed by the security administrator.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
d. Access rights for any terminated user must be immediately revoked.	X			A	The proposed solution will comply with this requirement.
e. Inactive user accounts must be removed or disabled at least every 90 days.	X			A	The proposed solution will comply with this requirement.
f. All accounts used by vendors for remote maintenance must be enabled only during the time period needed and remain disabled otherwise.	X			A	The proposed solution will comply with this requirement.
g. Password procedures and policies must be communicated to all users who have access to cardholder data.	X			A	The proposed solution will comply with this requirement.
h. Group, shared, or generic accounts and passwords are prohibited.	X			A	The proposed solution will comply with this requirement.
i. User passwords must be changed at least every 90 days.	X			A	The proposed solution will comply with this requirement.
j. All passwords must have a minimum password length of at least eight (8) characters.	X			A	The proposed solution will comply with this requirement.
k. All passwords must contain a mix of both numeric (0-9) and alphabetic (a-z, A-Z) characters. Optional non-alphanumeric characters (e.g.,!$#%) should be allowed.	X			A	The proposed solution will comply with this requirement.
l. A new individual password for a specific user account must be different from any of the last four passwords for that user account.	X			A	The proposed solution will comply with this requirement.
m. Repeated access attempts must be limited by locking out the user after six (6) consecutive unsuccessful attempts.	X			A	The proposed solution will comply with this requirement.
n. The user lockout duration must be set to a minimum of 30 minutes or until administrator re-enables the user ID.	X			A	The proposed solution will comply with this requirement.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
o. A user must re-enter his or her password to re-activate the session after more than 15 minutes of idle time.	**X**			**A**	The proposed solution will comply with this requirement.
p. All access to any database containing cardholder data must be authenticated (this includes access by applications, administrators, and all other users.).	**X**			**A**	The proposed solution will comply with this requirement.
q. The password cannot at any time be the same as a user ID.	**X**			**A**	The proposed solution will comply with this requirement.
cc. 19. COTS Software (If Applicable)					
a. Commercial Off-The-Shelf (COTS) third-party libraries included within the application must be owned and supportable by the State. Inclusion of any third-party code library or tool must be approved by the SOM Contract Manager or Project Manager.	**X**			**A**	The proposed solution will comply with this requirement. Third party libraries used within the solution do not require the SOM to purchase or own separate third-party library licenses.
b. COTS software which handles credit card data or transactions must be certified to be Payment Card Industry - Data Security Standard (PCI-DSS) and PCI Payment Application - Data Security Standard (PA-DSS) compliant. Certification must be provided upon request.	**X**			**A**	The proposed solution will comply with this requirement.
c. COTS software must have maintenance and support available from the developer, vendor or an approved 3rd party.	**X**			**A**	The proposed solution will comply with this requirement.
d. COTS software providers must make available for inspection the End User License Agreement (EULA) prior to purchase or contract signing.	**X**			**A**	The proposed solution will comply with this requirement.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
e. COTS software not already listed on the Enterprise Architecture Roadmaps must have an approved EA Solution Assessment completed prior to use or implementation.	**X**			**A**	The proposed solution will comply with this requirement.
dd. 20. Hosting (If Applicable)					
a. A documented Media Protection policy that addresses purpose scope, roles, responsibilities, and procedures, developed and distributed to all employees.					Not applicable. We are not proposing a hosted solution.
b. Media is sanitized and disposed of based on DTMB and Vendor policies and procedures.					Not applicable. We are not proposing a hosted solution.
c. A documented Physical and Environmental protection policy that addresses purpose scope, roles, responsibilities, and procedures, developed and distributed to all employees.					Not applicable. We are not proposing a hosted solution.
d. The solution delivers standard reports/information useful for assessing the overall status, operation and debugging of the solution.					Not applicable. We are not proposing a hosted solution.
e. A documented Systems and Information Integrity policy that addresses purpose scope, roles, responsibilities, and procedures, developed and distributed to all employees.					Not applicable. We are not proposing a hosted solution.
f. Vendor identifies, reports, and corrects information system flaws.					Not applicable. We are not proposing a hosted solution.
g. Vendor implements malicious code protection and techniques.					Not applicable. We are not proposing a hosted solution.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
ee. 21. General					
a. The system must provide a response time of less than 2 seconds for accessing low complexity pages composed of mostly static text and other non-computationally intensive elements.	**X**			**A**	The proposed solution will comply with this requirement.
b. The system must provide a response time of less than 5 seconds for accessing medium complexity pages composed of some static text along with dynamic text related to a single entity retrieved from the database.	**X**			**A**	The proposed solution will comply with this requirement.
c. The system must provide a response time of less than 5 seconds for 90% of all searches. The remaining 10% must complete in less than 15 seconds.	**X**			**A**	The proposed solution will comply with this requirement.
d. The system must provide a response time of less than 15 seconds for accessing any level of complexity pages composed of dynamically generated text, images, multimedia elements, many computationally intensive elements, and calls to external, non-cacheable services.	**X**			**A**	The proposed solution will comply with this requirement.
e. The system must support 1500 simultaneous staff users with an average of 15 seconds think time between page requests	**X**			**A**	The proposed solution will comply with this requirement.
f. The system must support 4000 simultaneous claimants with an average think time of 30 seconds between page requests.	**X**			**A**	The proposed solution will comply with this requirement.
g. The system must support 800 simultaneous employers with an average think time of 30 seconds	**X**			**A**	The proposed solution will comply with this requirement.

Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
between page requests					
h. The system must support 1,500,000 claims per year	**X**			**A**	The proposed solution will comply with this requirement.
i. The system must maintain 10 years of claim and claimant history	**X**			**A**	The proposed solution will comply with this requirement.
j. The system must be available to internal staff between 6:00am and 8:00pm Monday through Saturday. Occasional planned Saturday outages are acceptable.	**X**			**A**	The proposed solution will comply with this requirement.
k. The system must be available to claimants and employers 24 hours a day, 7 days a week, with a maximum 2 hour maintenance window per day.	**X**			**A**	The proposed solution will comply with this requirement.

APPENDIX B: FUNCTIONAL REQUIREMENTS

The following is an explanation of response columns for Appendix B Functional Requirements.

3. Check boxes **Yes, Yes with Modifications, No**:

   a. **Yes** – solution complies with all aspects of the requirement by means of a current, standard feature. In the comment box, the module(s), function(s), or feature(s) that satisfy the requirement are identified. These modules are described in the "Notes" section attached to Appendix B.

   b. **Yes with Modification** – solution does not currently comply with the requirement, but will be modified through configuration, extension (site-specific programming), or enhancement (new product development) which will result in full compliance.

      The comments box identifies the probable nature of the configuration, extension, or enhancement. All such configurations, extensions, and enhancements will be considered part of the solution being implemented and included in the fixed contract price, as described in Requirement Response column B, C, or D described below. The configurations, extensions, and enhancements will be complete by the "go live" on which they are needed.

   c. **No** – the solution does not comply.

4. **Requirement Response (REQ Response):**

   F. Currently provided as a standard feature
   G. Not currently provided but is a planned enhancement or will be added at no additional cost and will be supported in future releases
   H. Not currently provided but will be added at the additional cost detailed in the cost proposal and will require additional cost to transfer to future releases
   I. Not currently provided but will be added at the additional cost detailed in the cost proposal and will be supported in future releases at no additional cost
   J. Not supportable

APPENDIX B: FUNCTIONAL REQUIREMENTS

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	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
•	**Benefits Functions**					
•	**A. Claims**					
1	The system must provide the ability to file a claim for unemployment benefits through multiple channels (i.e. web, IVR, file submit)	**X**			**A**	Accepting incoming interfaces from a variety of sources such as web, IVR, and file submission is a standard feature of the solution. A web-sourced unemployment benefit claim would be submitted via our e-Services. Due to the tight integration between e-Services and the agency-facing elements of the solution, the initiation of a benefit claim case in our proposed solution would be implemented entirely through configuration. For other sources such as IVR and file submit, a straightforward site-specific interface component may be required. Many examples of such interfaces are in production at existing sites.
2	The system must provide the ability for staff and claimants to file a claim for unemployment benefits through a common claims intake applications		**X**		**A**	e-Services: Web Request
3	The system must be able to automatically post unemployment claim records contained in files submitted by an employer on behalf of their employees.		**X**		**B**	UI Benefits Module: Claims
4	The system must be able to automatically transfer a claimant filing a claim for benefits via the IVR to a staff person.		**X**		**A**	IVR Interface
5	The system must provide the ability for claimants filing a claim for benefits via the IVR to transfer to a staff person for assistance with the filing process.		**X**		**A**	IVR Interface

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
6	The system must be able to submit and process 'no touch' claims filed via a self-service claimant option (IVR, Claim Portal).		X		B	UI Benefits Module: Claims
7	The system must provide the ability for claimants and staff to request (and display) an on-line pre-monetary determination prior to the unemployment claims filing process to estimate potential benefit entitlement.		X		B	UI Benefits Module: Monetary Determinations
8	The system must provide the ability for staff and claimants to file a claim for benefits for all entitlement programs (UI, Federal/State Extensions, TRA, DUA).		X		A	e-Services: Web Request
9	The system must collect all information needed to establish claim type, program of filing, and potential eligibility for benefits (monetary and non-monetary).		X		B	UI Benefits Module: Claim Attributes
10	The system must be able to automatically provide specific information to the claimant regarding why an unemployment claim cannot be filed. (e.g. claimant already has an existing benefit year with zero balance and no extensions are available).		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
11	The system must be able to save partially completed unemployment claims and allow the return for completion of such claim during the remaining calendar week.		X		B	UI Benefits Module: Claims
12	The system must allow staff to access partially completed (claims in progress).		X		B	UI Benefits Module: Claims

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
13	The system must be able to dynamically display information and perform data capture and edits/validations based on the type of user filing the claim.		X		B	UI Benefits Module: Claims
14	The system must be able to automatically identify and establish the type of claim that must be filed (i.e. New Claim, Additional Claim, Reopened Claim, Transitional Claim, Extended Benefits (state or federal), TRA, DUA).		X		B	UI Benefits Module: Claims
15	The system must automatically establish a transitional new for unemployment claim benefits when an existing unemployment claim is reopened (Additional or Reopened) and the effective date is the last week of the existing claim.		X		B	UI Benefits Module: Claims
16	The system must dynamically display data entry screens based on the claim type and program under which the unemployment claim is filed.		X		B	UI Benefits Module: Claims
17	The system must dynamically collect information to establish the claim based on responses to questions asked during the claims filing process.		X		A	e-Services: Configure Web Request IVR Configuration
18	The system must provide an electronic interface with various State and Federal Agencies to validate information collected as part of the claims filing process. Information to be validated includes SSN, Driver License ID and legal alien status.		X		A	Architecture: Interfaces

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
19	The system must be able to electronically interface with external software (during the unemployment claims filing process) to obtain an occupational code to the claimant based on the type of work previously performed.		**X**		**A**	Architecture: Interfaces
20	The system must be able to electronically interface with external software (during the unemployment claims filing process) to validate address information.		**X**		**A**	Architecture: Interfaces
21	The system must be able to automatically process and electronically transmit interstate unemployment claims where Michigan acts as an agent on behalf of the paying state.		**X**		**A**	Architecture: Interfaces
22	The system must be able to automatically set the effective date of an unemployment claim.		**X**		**B**	UI Benefits Module: Claims
23	The system must be able to collect information to establish a claim for unemployment benefits using non-Michigan employment wages. (i.e. Military, Federal, Out-of-State)		**X**		**A**	Architecture: Interfaces
24	The system must be able to automatically assign a claim designation based on source of wages (federal employment, military service, out-of-state or in-state employment) attached to the unemployment claim. (i.e. UCX, UCFE-UI; UCFE-UCX)		**X**		**B**	UI Benefits Module: Claims

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
25	The system must initiate an electronic request to Interstate Connection system (ICON) to validate employment and receive information needed to establish a claim if there is military, federal or out-of-state employment on the unemployment claim.		X		A	Architecture: Interfaces
26	The system must provide the ability to electronic interface to the Interstate Benefits Inquiry (IBIQ) system to verify claimant wages earned in another state or the status of an unemployment claim filed in another state.		X		A	Architecture: Interfaces
27	The system must allow staff to perform a search to identify the state to which wages were reported for claimants working in maritime employment.		X		B	UI Benefits Module: Claims
28	The system must support the filing of a claim for unemployment benefits when the claimant is fully employed at the time of filing.		X		B	UI Benefits Module: Claims
29	The system must provide the ability for claimants and staff to combine wages earned by the claimant under multiple Social Security Numbers into a single unemployment claim.		X		B	UI Benefits Module: Claims
30	The system must provide the ability for claimants and staff to add employment/wage information to the claim when there is missing base period or separating employer employment and/or wage information.		X		B	UI Benefits Module: Claims

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
31	The system must be able to automatically attach an employer to a claim for benefits where there is no valid account (UIA) number for employers (employment added to an unemployment claims by claimants or staff.)		X		B	UI Benefits Module: Claims
32	The system must be able to automatically generate a notice to employers to obtain a valid FEIN or UIA employer account number when an employer is added to a claim without a FEIN or UIA employer account number.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
33	The system must track wage information as self-reported when employment/wages are added to the claim by the claimant or staff.		X		B	UI Benefits Module: Claims
34	The system must be able to automatically create appropriate nonmonetary issue(s) identified during the claims filing process.		X		B	UI Benefits Module: Claims
35	The system must be able to bypass the creation of a nonmonetary issue based on a separation from employment when there are sufficient earnings subsequent to the last date worked to override any potential disqualification period.		X		B	UI Benefits Module: Claims
36	The system must be able to dynamically display fact finding questions specific to an opened issue (and circumstances attached to the issue) as part of the unemployment claims filing process.		X		B	UI Benefits Module: Claims
37	The system must be able to automatically allocate a post-separation employment remuneration payment to a specific future time period.		X		B	UI Benefits Module: Claims

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
38	The system must be able to automatically preserve a claimant's benefit entitlement when they are laid off and unable to work due to a disability.		X		B	UI Benefits Module: Claims
39	The system must provide the ability for claimants or staff to select the method by which the claimant will receive the UIA Claimant Booklet.		X		B	UI Benefits Module: Claims
40	The system must be able to automatically inform a claimant of the requirement to register for work based on the claimant's job/Michigan labor market attachment.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
41	The system must be able to automatically inform a claimant or staff when the claimant is required to certify for weeks of unemployment benefits.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
42	The system must be able to display an estimated (tentative) monetary determination at the end of the claims filing process.		X		B	UI Benefits Module: Claims Monetary Determination
43	The system must provide the ability for claimants to select a benefit payment method upon completion of the claims filing process.	X			A	e-Services: Make Payments
44	The system must have the ability, upon completion of the claims filing process, to automatically terminate a prior issue disqualification when the claimant has satisfied the rework provision attached to the disqualification through subsequent employment.		X		B	UI Benefits Module: Claims

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
45	The system must have the ability, upon completion of the claims filing process, to terminate a prior issue disqualification when the claimant has satisfied the requalification provision attached to the disqualification through subsequent weekly certification.		X		B	UI Benefits Module: Claims
46	The system must have the ability, upon completion of the claims filing process, to automatically, generate a notice to the claimant to provide proof of earnings when there is a prior issue disqualification where the claimant has not satisfied the rework/requalification		X		B	UI Benefits Module: Claims Correspondence Manager: Design Letter Templates Create Letters Automatically
47	The system must be able to automatically generate a notice to claimants and employers when there is a discrepancy between the family employment designation as reported by the claimant and the employer.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
48	The system must be able to automatically generate the Notice to Chargeable Employer of Claim Renewal to the last employer and chargeable employers only (not to all employers) when an additional claim for benefits is filed.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
• **B. Monetary Determinations**		•	•	•	•	•
1	The system must be able to automatically calculate benefit entitlement for all submitted claims for unemployment benefits.		X		B	UI Benefits Module: Benefit Calculation

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
2	The system must be able to automatically establish the base period within which wages will be used to calculate monetary entitlement on a claim (using 1 of 4 different base periods in a defined order until entitlement is established.)		**X**		**B**	UI Benefits Module: Benefit Calculation
3	The system must be able to automatically calculate monetary entitlement based on usable base period wages. (Usable wages are allowable wages for all or part of a benefit year)		**X**		**B**	UI Benefits Module: Benefit Calculation
4	The system must be able to automatically disallow wages to be used to establish entitlement on a claim if wages were previously used to establish a claim for unemployment benefits (either in Michigan or transferred for use in another state).		**X**		**B**	UI Benefits Module: Monetary Determinations
5	The system must be able to automatically calculate and add a dependency allowance to the calculated weekly entitlement.		**X**		**B**	UI Benefits Module: Benefit Calculation
6	The system must be able to automatically calculate the potential employer charge for the claim separating employer and all base period claim employers.		**X**		**B**	UI Benefits Module: Benefit Calculation
7	The system must be able to automatically calculate monetary entitlement and employer chargeability for Federal and State extended benefit claims.		**X**		**B**	UI Benefits Module: Benefit Calculation
8	The system must be able to automatically generate a monetary determination to the claimant, the separating employer and all based period employers.		**X**		**B**	UI Benefits Module: Monetary Determinations

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
9	The system must be able to automatically suppress the generation of a monetary determination to employers based on the program under which the monetary entitlement is calculated or wage source.		X		B	UI Benefits Module: Monetary Determinations
10	The system must be able to automatically hold the generation of a monetary determination (i.e. there based period employers on the claim without a valid UIA Account Number, Federal Employment on the claim).		X		B	UI Benefits Module: Monetary Determinations
11	The system must be able to automatically recalculate monetary entitlement and employer chargeability when certain claim information is changed (examples: wages, employer account number, dependency).		X		B	UI Benefits Module: Monetary Determinations
12	The system must be able to automatically recalculate monetary entitlement and employer chargeability after a specified number of weeks of benefit payments when there are wages on the claim earned in family employment.		X		B	UI Benefits Module: Monetary Determinations
13	The system must be able to automatically recalculate monetary entitlement and employer chargeability when wages have been removed from the claim due to a finding that wages were earned in non-liable employment.		X		B	UI Benefits Module: Monetary Determinations

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
14	The system must be able to automatically recalculate monetary entitlement and employer chargeability when wages have been transferred from one employer to another as a result of a nonmonetary determination (i.e. quit to accept recall or new employment).		X		B	UI Benefits Module: Monetary Determinations
15	The system must be able to automatically recalculate monetary entitlement when there is a nonmonetary determination which excludes the use of wages for defined periods of time.		X		B	UI Benefits Module: Monetary Determinations
16	The system must be able to automatically recalculate monetary entitlement and employer chargeability when the effective date of a claim is modified which results in a change to the base period.		X		B	UI Benefits Module: Monetary Determinations
17	The system must be able to automatically recalculate monetary entitlement when there is a nonmonetary determination which excludes the use of wages for defined periods of time.		X		B	UI Benefits Module: Monetary Determinations
18	The system must be able to automatically recalculate entitlement on the claim or set it to zero when a nonmonetary determination is issued resulting in the reduction of weeks of benefit entitlement or in a denial of a claim.		X		B	UI Benefits Module: Monetary Determinations
19	The system must be able to automatically recalculate the monetary entitlement and employer chargeability when a claim is withdrawn.		X		B	UI Benefits Module: Monetary Determinations

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
20	The system must be able to automatically generate a monetary redetermination when there is a change to the monetary entitlement or employer chargeability.		X		B	UI Benefits Module: Monetary Determinations
21	The system must be able to automatically suppress the generation of a monetary redetermination when nonmonetary determinations are made which exclude wages used to establish the claim.		X		B	UI Benefits Module: Monetary Determinations
22	The system must be able to automatically associate a redetermination with the original monetary determination.		X		B	UI Benefits Module: Monetary Determinations
23	The system must be able to automatically notify employers when the effective date of a claim is modified and the employer is no longer a base period employer.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
24	The system must be able to notify the transferring state when a claim is withdrawn and there are out-of-state wages transferred for use on the claim.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically Create Letters Online
25	The system must be able to delete any open issues associated with a claim when a monetary redetermination results in the denial of a claim.		X		B	UI Benefits Module: Monetary Determinations
26	The system must be able to automatically charge the UIA's Non-Chargeable Benefit Account when an employer is relieved of charges/liability due to a non-charge situation.		X		A	Revenue Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
27	The system must be able to automatically relieve charges on a subsequent claim for any wages earned during the period of employment for which the employer was granted relief from benefit charges.		X		B	UI Benefits Module: Benefit Calculation
28	The system must be able to automatically generate a Trade Readjustment Assistance (TRA) Monetary Determination when the system determines the claimant is eligible for TRA and there is no remaining entitlement for benefits under any other program.		X		B	UI Benefits Module: Monetary Determinations
29	The system must be able to automatically associate the TRA claim with an existing UI claim and calculate the TRA entitlement based on the most recent monetary determination under the regular UI program entitlement.		X		B	UI Benefits Module: Monetary Determinations
30	The system must be able to automatically generate a monetary determination for Additional TRA entitlement upon exhaustion of Basic TRA benefit entitlement.		X		B	UI Benefits Module: Monetary Determinations
31	The system must be able to automatically generate a monetary determination for Remedial/Prerequisite TRA entitlement upon exhaustion of Additional TRA benefit entitlement.		X		B	UI Benefits Module: Monetary Determinations
32	The system must be able to automatically generate a Trade Readjustment Assistance (TRA) Monetary re-determination when a change is made to a TRA Claim or an associated Unemployment Insurance Monetary Determination (examples: changes to the effective date, weeks entitlement).		X		B	UI Benefits Module: Monetary Determinations

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
33	The system must be able to automatically calculate entitlement and employer chargeability for Disaster Unemployment Insurance (DUA) claims and generate a monetary determination to claimants.		**X**		**B**	UI Benefits Module: Benefit Calculation Monetary Determinations
•	**C. Benefit Charging**	•	•	•	•	•
1	The system must be able to automatically calculate the amount to be charged for all base period and separating employers for each benefit payment.		**X**		**B**	UI Benefits Module: Benefit Calculation
2	The system must be able to automatically apply an employer's benefit charge to the employer's business unit where the wages used to establish monetary entitlement on a claim were earned.		**X**		**B**	UI Benefits Module: Benefit Calculation
3	The system must be able to automatically recalculate the amount to be charged for all base period and separating employers for each benefit payment based on a monetary redetermination.		**X**		**B**	UI Benefits Module: Benefit Calculation
4	The system must be able to automatically charge the first two payable weeks on the claim to the separating employer (provided the employer is not determined to be non-chargeable).		**X**		**B**	UI Benefits Module: Benefit Calculation
5	The system must be able to automatically calculate and apply charges against the employer's account according to the liability percentage for all base period employers (provided the employer is not determined to be non-chargeable).		**X**		**B**	UI Benefits Module: Benefit Calculation

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
6	The system must be able to automatically calculate and apply charges for the first two payable weeks on the claim against all base period employer accounts when the claimant's earnings with the separating employer which failed to meet the minimum threshold for liability.		**X**		**B**	UI Benefits Module: Benefit Calculation
7	The system must be able to automatically calculate and charge benefits to the applicable account(s) when benefits are paid under a Trade Readjustment Allowance/Trade Adjustment Assistance/Alternative Adjustment Assistance (TRA/TAA/ATAA) program.		**X**		**B**	UI Benefits Module: Benefit Calculation
8	The system must be able to automatically calculate and charge benefits to the applicable account(s) when benefits are paid under a Federal Extended Benefits (EUC) program.		**X**		**B**	UI Benefits Module: Benefit Calculation
9	The system must be able to automatically calculate and charge benefits to the applicable account(s) when benefits are paid under a State Extended Benefits (EB) program.		**X**		**B**	UI Benefits Module: Benefit Calculation
10	The system must calculate and automatically charge benefits to the applicable account when benefits are paid under a Disaster Unemployment Assistance (DUA) program.		**X**		**B**	UI Benefits Module: Benefit Calculation
11	The system must allow staff to automatically adjust a calculated charge amount based on a Circuit Court or ALJ decision.	**X**			**A**	UI Benefits Module: Benefit Calculation

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
12	The system must be able to automatically relieve an employer account of benefit charges when a nonmonetary determination results in a finding of nonchargeability on a claim for benefits.		X		B	UI Benefits Module: Benefit Calculation
13	The system must be able to automatically charge the employer's liability percentage to the non-chargeable benefits account (NBA) when the employer is found non-chargeable on a claim for benefits.		X		B	UI Benefits Module: Benefit Calculation
14	The system must be able to automatically calculate and apply charges and/or credits to the employer accounts or the non-chargeable benefits account (NBA) when a benefit payment is adjusted.		X		B	UI Benefits Module: Benefit Calculation
15	The system must be able to track the detail of charges and/or credits for the amount of the charge/credit that was associated with the payment disbursements for federal and state taxes and/or friend of the court.		X		B	UI Benefits Module: Benefit Calculation
16	The system must be able to automatically apply benefit charges and/or credits for non-reimbursing employers to a suspense account when benefit charges and/or credits are in dispute.		X		B	UI Benefits Module: Benefit Calculation
17	The system must be able to automatically apply suspended benefit charges and/or credits to the employer account when the determination affecting the employer's chargeability is final.		X		B	UI Benefits Module: Benefit Calculation

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
18	The system must be able to automatically reassign and reallocate benefit charges and/or credits as a result of a full, partial, or multiple employer account succession (transfer of business to a new owner).		**X**		**B**	UI Benefits Module: Benefit Calculation
19	The system must be able to automatically reassign and reallocate benefit charges when a succession of an employer's account is reversed or otherwise cancelled (transfer of business to a new owner).		**X**		**B**	UI Benefits Module: Benefit Calculation
20	The system must be able to automatically transfer benefit charges and/or credits to a newly set-up/transferred reimbursing employer's account when an employer converts from contributing (taxable) employer to a reimbursing employer.		**X**		**B**	UI Benefits Module: Benefit Calculation
21	The system must be able to automatically charge and/or credit a Michigan employer account when benefits are paid to a claimant by another state using wages earned with the Michigan employer.		**X**		**B**	UI Benefits Module: Benefit Calculation
22	The system must be able to automatically charge and/or credit an out-of-state employer account when benefits are paid to a claimant by Michigan using wages earned with the out-of-state employer.		**X**		**B**	UI Benefits Module: Benefit Calculation
23	The system must be able to automatically generate a weekly record of charges and/or credits for benefits paid against an employer account.		**X**		**A**	Reports Manager: Create Report Templates

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
24	The system must be able to automatically generate a quarterly record of charges and/or credits for benefits paid against an employer account.		**X**		**A**	Reports Manager: Create Report Templates
25	The system must be able to automatically generate a weekly/quarterly record of charges and/or credits for benefits paid by business unit within an employer account.		**X**		**A**	Reports Manager: Create Report Templates
26	The system must be able to automatically transfer benefit charges and/or credits at a claim or program level for an individual claimant/claim or across multiple claimants.		**X**		**B**	UI Benefits Module: Benefit Calculation
•	**D. Certifications**					
1	The system must provide the ability for claimants or staff to file weekly certifications for benefits by various methods including phone, web, fax and mail for all programs.		**X**		**A**	e-Services: File Returns and Reports IVR Interface
2	The system must be able to automatically verify the identity of a claimant certifying for benefits via telephone.		**X**		**A**	IVR Interface
3	The system must be able to automatically transfer a claimant certifying for benefits via the IVR to a staff person.		**X**		**A**	IVR Interface
4	The system must only allow a certification for benefits to be filed if a valid claim exists for the SSN.		**X**		**B**	UI Benefits Module: Certifications
5	The system must provide the ability for claimants or staff to certify for multiple weeks during a certification session. (i.e. backdating a claim, retroactive eligibility and extended benefits.)		**X**		**B**	UI Benefits Module: Certifications

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
6	The system must be able to automatically create a nonmonetary issue when the weeks being claimed are untimely during the certification process.		X		B	UI Benefits Module: Certifications
7	The system must provide the ability for claimants or staff to certify for a week or waive certification for a week during the certification process.		X		B	UI Benefits Module: Certifications
8	The system must be able to dynamically display questions required for certification for benefits based on criteria such as job attachment, claim program type and military status.		X		B	UI Benefits Module: Certifications
9	The system must provide the ability for claimants or staff to record a return to full-time employment date during the certification process.		X		B	UI Benefits Module: Certifications
10	The system must be able to display previously entered remuneration payments attached to a week for which a claimant is certifying for benefits.		X		B	UI Benefits Module: Certifications
11	The system must provide the ability for claimants or staff to enter remuneration payments attached to a week for which the claimant is certifying for benefits (earnings and types of earnings such as earnings, holiday pay, vacation pay, severance pay, wage continuation pay, or casual self-employment earnings).		X		B	UI Benefits Module: Certifications
12	The system must be able to automatically create a nonmonetary issue based on the responses to the questions answered during the certification process.		X		B	UI Benefits Module: Certifications

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
13	The system must be able to automatically create a nonmonetary issue during the certification process when the claimant has failed to register for work and there is no waiver of the registration for work requirement.		**X**		**B**	UI Benefits Module: Certifications
14	The system must be able to automatically create an issue when a claimant is certifying for benefits under the TRA program if the claimant is not enrolled in training and there is no valid training waiver for the certified weeks.		**X**		**B**	UI Benefits Module: Certifications
15	The system must be able to automatically create an issue when a claimant is certifying for benefits under the Additional TRA program and the weeks being claimed fall within an extended school break period greater than 30 days.		**X**		**B**	UI Benefits Module: Certifications
16	The system must be able to automatically prompt claimants or staff to validate responses to eligibility questions prior to final submission during the certification process.		**X**		**B**	UI Benefits Module: Certifications
17	The system must be able to automatically inform claimants or staff that a certified week(s) is not payable at the completion of the certification process.		**X**		**B**	UI Benefits Module: Certifications
18	The system must be able to automatically inform the claimant or staff of the estimated payment amount for the certified week(s) upon completion of the certification process.		**X**		**B**	UI Benefits Module: Certifications

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
19	The system must be able to automatically inform the claimant or staff the estimated remaining benefits balance upon completion of the certification process.		X		B	UI Benefits Module: Certifications
20	The system must provide the ability for claimants or staff to respond to questions specific to an opened nonmonetary issue (and circumstances attached to the issue) as part of the certification process.		X		B	UI Benefits Module: Certifications
21	The system must be able to automatically establish an additional claim for benefits when the weeks claimed are not payable due to excessive earnings or a break in certifications claimed.		X		B	UI Benefits Module: Certifications
22	The system must be able to automatically establish the new (transitional) claim for benefits when the benefit year has ended with the current certification.		X		B	UI Benefits Module: Certifications
23	The system must be able to automatically notify the claimant to file a claim for extended benefits (State or Federal) when the benefit year has not ended but the entitlement on the claim is exhausted with the current certification, provided an extension is available.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
24	The system must be able to automatically establish a new claim for benefits when a claimant can establish eligibility for regular state UI payments when filing under an extended benefit program.		X		B	UI Benefits Module: Certifications

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
25	The system must be able to automatically terminate a prior disqualification from benefits when the required number of certified weeks to requalify have been met during the certification process.		**X**		**B**	UI Benefits Module: Certifications
26	The system must provide the ability for claimants or staff to retrieve payment information, entitlement, weeks paid, balance and important payment messages.		**X**		**B**	Financials Manager e-Services: Publish Customer/Account Information
27	The system must be able to automatically initiate the Eligibility Review Program questionnaire upon completion of the certification process for selected claimants.		**X**		**B**	UI Benefits Module: Certifications
28	The system must be able to automatically create a nonmonetary issue based on the responses to the Eligibility Review Program questionnaire during the certification process.		**X**		**B**	UI Benefits Module: Certifications
29	The system must provide the ability for claimants or staff to respond to questions specific to an opened nonmonetary issue (and circumstances attached to the issue) as part of the Eligibility Review Program process.		**X**		**B**	UI Benefits Module: Certifications
•	**E. Benefit Payments**					
1	The system must be able to automatically issue a benefit payment for weeks certified which are not waived/cancelled/withdrawn.		**X**		**B**	UI Benefits Module: Benefit Payments
2	The system must be able to prevent issue of a benefit payment if the week claimed falls within a period of non-monetary disqualification/ineligibility.		**X**		**B**	UI Benefits Module: Benefit Payments

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
3	The system must be able to prevent issue of a benefit payment if there is an open issue associated with the week and the claimant is not in continuous payment status.		X		B	UI Benefits Module: Benefit Payments
4	The system must be able to prevent issue of a benefit payment if the week claimed is greater than the back to work date and there is no additional claim greater than the back to work date.		X		B	UI Benefits Module: Benefit Payments
5	The system must be able to prevent issue of a benefit payment if there is a valid training waiver on file and the claimant has not submitted the required work search information for the program upon which benefits are payable.		X		B	UI Benefits Module: Benefit Payments
6	The system must be able to prevent issue of a benefit payment when there is an ongoing fraud investigation.		X		B	UI Benefits Module: Benefit Payments
7	The system must be able to prevent issue of a benefit payment within 10 days from the generation date of the monetary determination.		X		B	UI Benefits Module: Benefit Payments
8	The system must be able to automatically sequence benefit entitlement for a claimant based on program type.		X		B	UI Benefits Module: Benefit Payments
9	The system must be able to automatically calculate the benefit payment based on the applicable monetary determination.		X		B	UI Benefits Module: Benefit Payments
10	The system must be able to only issue a benefit payment if there is an entitlement balance on the payable monetary determination.		X		B	UI Benefits Module: Benefit Payments

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
11	The system must be able to automatically calculate net benefit payment for the certified week, reducing the claimant's weekly benefit amount by deductible income attached to the payable week. (examples: retirement income, earnings)		X		B	UI Benefits Module: Benefit Payments
12	The system must be able to automatically reduce the net benefit payment by all other deductions/disbursements attached to the claimant. (i.e. Federal/State Income Tax, restitution, Income Withholding Notice).		X		B	UI Benefits Module: Benefit Payments
13	The system must automatically generate a benefit payment when an issue is closed and the claimant is found not disqualified or not ineligible and there are no other holds on the weeks payable.		X		B	UI Benefits Module: Benefit Payments
14	The system must be able to automatically remit a benefit payment using the payment method selected by the claimant.		X		B	UI Benefits Module: Benefit Payments
15	The system must be able to automatically recalculate a benefit payment when there is a change to any variable used to calculate payment.		X		B	UI Benefits Module: Benefit Payments
16	The system must have the ability automatically adjust a benefit payment with all applicable deductions/disbursements to rectify an underpayment for previously paid week (examples: earnings, pensions, Friend of the Court, Taxes).		X		B	UI Benefits Module: Benefit Payments

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
17	The system must be able to automatically issue a benefit payment adjustment for a week found to be underpaid, if the week is otherwise payable.		**X**		**B**	UI Benefits Module: Benefit Payments
18	The system must be able to automatically remit payment of funds withheld from benefit payments. (i.e. Federal/State Income Tax, restitution, Income Withholding Notice)		**X**		**B**	UI Benefits Module: Benefit Payments
19	The system must be able to automatically issue a benefit payment to the estate or inheritors of a deceased claimant who had payable weeks for unemployment benefits.		**X**		**B**	UI Benefits Module: Benefit Payments
20	The system must be able to automatically issue benefit payments to a third party on behalf of a claimant who is determined to be disabled (incapacitated) and had payable weeks for unemployment benefits.		**X**		**B**	UI Benefits Module: Benefit Payments
21	The system must be able to automatically generate an Automated Clearing House (ACH) file containing the benefit payment information (examples: claimant information, account information, amount of the payment and payment method) for each certified week to disburse payment via direct deposit.		**X**		**A**	UI Benefits Module: Process ACH Benefit Payments

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
22	The system must automatically generate a file containing the benefit payment information (examples: claimant information, amount of the payment) for each certified week to disburse payment via paper check (payments processed by State of Michigan Department of Technology, Management and Budget).		**X**		**B**	UI Benefits Module: Benefit Payments
23	The system must be able to automatically reissue a benefit/tax payment to the claimant or employer and update the status of the case and payment when claimant/employer account has been credited for a lost payment.		**X**		**B**	UI Benefits Module: Benefit Payments
24	The system must be able to automatically redeposit funds and issue benefit payment corrections based on amended information when a payment is returned.		**X**		**B**	UI Benefits Module: Benefit Payments
25	The system must be able to automatically transfer benefit payments at a claim or program level for an individual claimant/claim or across multiple claimants.		**X**		**B**	UI Benefits Module: Benefit Payments
• **F. Non-Monetary Determination**		•	•	•	•	•
1	The system must allow staff to open non-monetary issues independent of the claims filing and certification processes.		**X**		**B**	UI Benefits Module: Non-Monetary Determinations
2	The system must be able to automatically prevent duplicate non-monetary issues (same claimant, same issue code, same time period, same employer, same separation date) from being created.		**X**		**B**	UI Benefits Module: Non-Monetary Determinations

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
3	The system must be able to automatically establish when rework has been satisfied by subsequent employment and if so, do not allow an issue to be opened, if opened disallow adjudication.		X		B	UI Benefits Module: Non-Monetary Determinations
4	The system must be able to automatically establish when requalification has been satisfied by subsequent weekly certification and if so, do not allow issue to be opened or if opened, disallow adjudication.		X		B	UI Benefits Module: Non-Monetary Determinations
5	The system must be able to collect information related to the non-monetary issue. Information includes: issue identification date, SSN, employer (employer attached issues), separating circumstances, separation date, etc.		X		B	UI Benefits Module: Non-Monetary Determinations
6	The system must be able to automatically generate fact-finding questionnaire(s) to claimants/employers for issues opened independent of the claims filing or certification processes, with questions specific to the issue that was created.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
7	The system must be able to automatically generate a fact-finding questionnaire(s) to claimants for issues opened as part of the claims filing or certification processes, with questions specific to the issue that was created when the claimant fails to answer the questions, during the claims filing/certification process.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
8	The system must be able to automatically generate a fact-finding questionnaire(s) to non-separating employers (accepting employer) when a claimant quits to accept recall or new employment.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
9	The system must be able to automatically generate supplemental forms in relation to a non-monetary issue for selected fact-finding codes.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
10	The system must allow staff to customize fact-finding questions and generate an additional fact-finding questionnaire.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Online
11	The system must be able to automatically set and track the adjudication level for newly opened issues. Levels include determination, redetermination, appeals and board of review.		**X**		**B**	UI Benefits Module: Non-Monetary Determinations
12	The system must be able to automatically maintain the status of a non-monetary issue. (i.e. opened, closed and deleted.)		**X**		**B**	UI Benefits Module: Non-Monetary Determinations
13	The system must be able to automatically determine when an issue is ready for adjudication (i.e. all parties attached to the issue have responded or have been given an appropriate amount of time to respond to fact-finding questionnaires).		**X**		**B**	UI Benefits Module: Non-Monetary Determinations
14	The system must be able to automatically adjudicate all issue types without staff intervention (system auto-adjudication).		**X**		**B**	UI Benefits Module: Non-Monetary Determinations

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
15	The system must be able to automatically issue a non-monetary determination based on existing information when all or one party has not responded to the fact-finding questionnaires.		X		B	UI Benefits Module: Non-Monetary Determinations
16	The system must allow staff to modify the issue code/fact-finding code and/or employer attached to the issue as part of the adjudication process.		X		B	UI Benefits Module: Non-Monetary Determinations
17	The system must allow staff to respond to pre-defined questions to record statement of facts attached to the non-monetary issue.		X		B	UI Benefits Module: Non-Monetary Determinations
18	The system must allow staff to enter and attach rebuttal/follow-up responses to the non-monetary issue.		X		B	UI Benefits Module: Non-Monetary Determinations
19	The system must be able to automatically create a recommended determination, reasoning for determination, the impact of the determination and legal citation based on analysis of recorded statement of facts attached to the non-monetary issue, (all issue types) system guided adjudication.		X		B	UI Benefits Module: Non-Monetary Determinations
20	The system must allow staff to modify the system recommended determination and reasoning for determination for a non-monetary issue.		X		B	UI Benefits Module: Non-Monetary Determinations
21	The system must allow staff to adjudicate a non-monetary issue (staff manual adjudication).		X		B	UI Benefits Module: Non-Monetary Determinations

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
22	The system must be able to automatically establish the beginning and ending dates for any period of disqualification/ineligibility associated with a non-monetary issue.		X		B	UI Benefits Module: Non-Monetary Determinations
23	The system must allow staff to add interested parties to an issue.		X		B	UI Benefits Module: Non-Monetary Determinations
24	The system must be able to automatically generate a non-monetary determination to all interested parties attached to the non-monetary issue.		X		B	UI Benefits Module: Non-Monetary Determinations
25	The system must be able to automatically generate a single notice with multiple non-monetary determinations contained within the notice.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
26	The system must be able to automatically produce an overall results statement when there are multiple non-monetary determinations generated for a claimant.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
27	The system must be able to automatically calculate the amount of earnings required to satisfy the rework/requalification amount for selected non-monetary issues.		X		B	UI Benefits Module: Non-Monetary Determinations
28	The system must be able to automatically establish the number of certifications for weeks of claimed benefits required to satisfy the requalification for selected non-monetary issues.		X		B	UI Benefits Module: Non-Monetary Determinations
29	The system must be able to automatically terminate the benefit year attached to a non-monetary issue resulting in fraud determination.		X		B	UI Benefits Module: Non-Monetary Determinations

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
30	The system must be able to automatically terminate a claim and/or cancel wages for use on any claim when there is a determination of fraud attached to the claim or wages.		X		B	UI Benefits Module: Non-Monetary Determinations
31	The system must be able to automatically transfer wages (for charging/non-charging purposes) from one employer to another when a claimant is not disqualified for benefits based on a quit to accept, recall or new employers non-monetary determination.		X		B	UI Benefits Module: Non-Monetary Determinations
32	The system must be able to automatically delete an issue if fact-finding information indicates no issue exists.		X		B	UI Benefits Module: Non-Monetary Determinations
33	The system must allow staff to delete an issue if determined that no issue exists.		X		B	UI Benefits Module: Non-Monetary Determinations
34	The system must be able to automatically delete open work items related to an issue when the issue has been deleted.		X		B	UI Benefits Module: Non-Monetary Determinations
35	The system must allow staff to make same day corrections to non-monetary (re)determinations.		X		B	UI Benefits Module: Non-Monetary Determinations
36	The system must allow staff to automatically modify generated non-monetary (re)determinations.		X		B	UI Benefits Module: Non-Monetary Determinations
37	The system must allow staff to redetermine a non-monetary determination.		X		B	UI Benefits Module: Non-Monetary Determinations
38	The system must be able to automatically associate an issue with multiple claimants (multi-claimant issues) with like separating circumstances (i.e. same employer, same separation reason, same separation date).		X		B	UI Benefits Module: Non-Monetary Determinations

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
39	The system must allow staff to associate an issue with multiple claimants (multi-claimant issues).		X		B	UI Benefits Module: Non-Monetary Determinations
40	The system must be able to automatically adjudicate a multi-claimant issue using the associated master determination result when the non-monetary issue is closed.		X		B	UI Benefits Module: Non-Monetary Determinations
41	The system must be able to prevent staff from adjudicating a multi-claimant issue until the master determination result is issued.		X		B	UI Benefits Module: Non-Monetary Determinations
42	The system must be able to associate an open non-monetary issue with a quality assurance case.		X		B	UI Benefits Module: Non-Monetary Determinations
43	The system must be able to automatically update an associated quality assurance case when a non-monetary determination is issued.		X		B	UI Benefits Module: Non-Monetary Determinations
•	**G. Overpayment**					
1	The system must be able to automatically detect when a week(s) of benefit payments has been overpaid and create an overpayment issue.		X		B	UI Benefits Module Benefit Payments
2	The system must be able to automatically calculate the amount of the potential overpayment for each overpaid week.		X		B	UI Benefits Module: Benefit Payments
3	The system must be able to automatically group weeks of benefits overpaid into a single overpayment/issue.		X		B	UI Benefits Module: Benefit Payments
4	The system must provide the ability to automatically track the reason and the total amount for each established overpayment.		X		B	UI Benefits Module: Benefit Payments

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
5	The system must be able to automatically record overpayment information such as claimant, claim, type of overpayment, amount overpaid, weeks overpaid, detection reason, status, program and sub-program code (or their equivalent).		X		B	UI Benefits Module: Benefit Payments
6	The system must be able to automatically establish multiple overpayments for the same week (i.e. one week may have overpayment due to a "change to monetary determination" and an "administrative error").		X		B	UI Benefits Module: Benefit Payments
7	The system must be able to automatically create a misrepresentation of fact issue (fraud/non-fraud) when an overpayment issue is created.		X		B	UI Benefits Module: Benefit Payments
8	The system must be able to automatically calculate the amount owed due to penalty(ies) as a result of a fraud determination.		X		A	Financials Manager: Calculate Penalty & Interest
9	The system must be able to automatically calculate penalties as a result of a fraud determination when no weeks have been overpaid.		X		A	Financials Manager: Calculate Penalty & Interest
10	The system must be able to suppress restitution activities until all protest/appeal periods have expired for the overpayment issue.		X		B	UI Benefits Module: Benefit Payments
11	The system must be able to automatically restore the overpaid weeks to the balance of weeks entitled on the claim when all protest/appeal periods have expired for the overpayment issue.		X		B	UI Benefits Module: Benefit Payments

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
12	The system must be able to automatically credit the employer account(s) for the overpaid weeks when all protest/appeal periods have expired for the overpayment issue.		X		B	UI Benefits Module: Benefit Payments
13	The system must be able to automatically remove fraud penalties based on the result of a non-monetary determinations or an appeals determination.	X			A	Financials Manager: Remove Penalty Transactions
14	The system must be able to automatically generate a payment due notice on newly established restitution account when all protest/appeal periods have expired for the overpayment issue.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
15	The system must be able to automatically remove penalties attached to an overpayment case based on a non-monetary/appeal (re)determination.	X			A	Financials Manager: Calculate Penalty and Interest
16	The system must allow staff to override calculated overpayments or penalties based on a court case (i.e. fraud cases, attorney general judgment, and circuit court decisions).		X		B	UI Benefits Module: Benefit Payments
• **H. Claimant Maintenance - Staff Options**						
1	The system must allow staff to view and update identification information attached to the claimant's profile. Information includes Name, SSN, Driver's License, State ID, and birth date.		X		A	Customer Manager: Maintain Customer Attributes
2	The system must allow staff to view outgoing and incoming correspondence attached to the claimant/claim.	X			A	Outgoing correspondence: Customer Manager: View Correspondence History Incoming correspondence: FileNet Interface

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
3	The system must allow staff to update the SSN.	**X**			**A**	Customer Manager: Maintain Identities
4	The system must be able to automatically update all instances of the old SSN with the new SSN in the system when an SSN is updated.	**X**			**A**	Customer Manager: Maintain Identities
5	The system must allow staff to view and update contact information within the claimant profile. Information includes address, multiple phone numbers, e-mail address, preferred method of communication.	**X**			**A**	Customer Manager: Maintain Contacts
6	The system must allow staff to view and update demographic information within the claimant profile. Information includes citizenship, gender, race, education level, and occupational code.		**X**		**A**	Customer Manager: Maintain Customer Attributes
7	The system must provide an electronic interface with various State and Federal Agencies to validate updated claimant information. Information to be validated includes SSN, Driver License ID and legal alien status.		**X**		**A**	Architecture: Interfaces
8	The system must be able to electronically interface with external software to obtain an updated occupational code when claimant occupational information is updated.		**X**		**A**	Architecture: Interfaces
9	The system must be able to electronically interface with external software to validate updated address information.		**X**		**A**	Architecture: Interfaces

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
10	The system must allow staff to view and update federal/state income tax withholding information within the claimant profile.		X		A	Customer Manager: Maintain Customer Attributes
11	The system must allow staff to update the number of dependents on a claim.		X		B	UI Benefits Module: Claims
12	The system must allow staff to view all claims filed for benefits.		X		B	UI Benefits Module: Claims
13	The system must be able to display a snapshot of a claim status identifying factors that currently prevent payment on the claim.		X		B	UI Benefits Module: Claims
14	The system must allow staff to withdraw a claim for benefits if no payments have been issued on the claim.		X		B	UI Benefits Module: Claims
15	The system must allow staff to view the detailed claim information for any claims filed. Information includes claim source, date filed, most recent claim type, input date, beginning and end date of the claim.		X		B	UI Benefits Module: Claims
16	The system must allow staff to update the effective date (Beginning date) of the claim.		X		B	UI Benefits Module: Claims
17	The system must allow staff to update select claim information for any claims filed. Information includes date through which the claimant will be exempt from seeking and registering for work and date of the week in which the claimant is required to certify for weeks of benefits.		X		B	UI Benefits Module: Claims
18	The system must allow staff to enter/update/view retirement benefit information.		X		B	UI Benefits Module: Claims

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
19	The system must be able to automatically create a nonmonetary issue when pension information is entered/updated subsequent to the generation of the initial monetary determination.		X		B	UI Benefits Module: Non-Monetary Determinations
20	The system must allow staff to enter/update the back to work date.		X		A	Customer Manager: Maintain Customer Attributes
21	The system must be able to automatically create an issue if there are improperly paid weeks when a back to work date is entered or updated.		X		B	UI Benefits Module: Claims
22	The system must allow staff to view information for all programs established under the claim. Information includes program type, beginning and end date and the entitlement balance for the most recent monetary for the program under which eligibility was established.		X		B	UI Benefits Module: Claims
23	The system must allow staff to view a history of all monetary determinations attached to a claim. The view of the history will include the program, effective date, end date and date created.		X		B	UI Benefits Module: Claims
24	The system must allow staff to view the detail of any monetary determination attached to a claim. The detail will include the program, effective date, end date and date created, weekly benefit amount, dependency allowance, benefit entitlement balances and benefits paid, the beginning and end date of the claim to which it is attached as well as any messages contained on the monetary determination.		X		B	UI Benefits Module: Claims

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
25	The system must allow staff to update a monetary determination when there is a decision by an administrative law judge on an issue related to monetary entitlement.		X		B	UI Benefits Module: Monetary Determinations
26	The system must allow staff to view all employer/employment information attached to a claim. Information includes employer name, address and UIA Account Number.		X		B	UI Benefits Module: Claims
27	The system must allow staff to view reported wages and wages used to calculate the monetary determination separately.		X		B	UI Benefits Module: Monetary Determinations
28	The system must allow staff to view separation from employment information for all employers attached to a claim. Information includes last day worked, separation date, and separation reason.		X		B	UI Benefits Module: Claims
29	The system must allow staff to update the UIA Employer Account number attached to a claim.		X		B	UI Benefits Module: Claims
30	The system must allow staff to view all nonmonetary information attached to a claim.		X		B	UI Benefits Module: Claims
31	The system must allow staff to view the detailed information attached to a nonmonetary issue/determination including issue, fact finding code, issue date and status.		X		B	UI Benefits Module: Non-Monetary Determinations
32	The system must allow staff to view all certifications and payments for a claim.		X		B	UI Benefits Module: Claims

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
33	The system must allow staff to view the detail of certified weeks including certification week status, program, payable amount, actual amount paid, line item deductions (i.e. Retirement, earnings, etc.) and disbursements (i.e. FOC, Taxes, etc.).		X		B	UI Benefits Module: Certifications
34	The system must allow staff to view multiple versions of weeks paid if an overpayment or adjustment exists and provide a side by side comparison.		X		B	UI Benefits Module: Benefit Payments
35	The system must provide the ability for staff to make same day updates to claimant responses to eligibility questions for a certified week.		X		B	UI Benefits Module: Certifications
36	The system must be able to automatically create and delete nonmonetary issues based on changes made to claimant responses for eligibility questions on a certified week.		X		B	UI Benefits Module: Non-Monetary Determinations
37	The system must allow staff to make updates to claimant reported earnings on a certified week.		X		B	UI Benefits Module: Claims
38	The system must allow staff to enter fact finding responses online when changes are made to claimant responses/earnings for a certified week resulting in the creation of an issue.		X		B	UI Benefits Module: Claims
39	The system must allow staff to unwaive a certified week previously waived during the certification process.		X		B	UI Benefits Module: Certifications
40	The system must be able to automatically pay a certified week when the status has been updated from waived to unwaived provided the week is eligible for payment.		X		B	UI Benefits Module: Benefit Payments

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
41	The system must allow staff to record information related to a lost, missing or returned payment.		X		B	UI Benefits Module: Benefit Payments
42	The system must allow staff to view and update information relating to lost, missing, or returned payments. Information includes the status of a lost or missing payment.		X		B	UI Benefits Module: Benefit Payments
43	The system must allow staff to place a stop payment with the contracted financial institution when a lost payment has not been cashed.		X		B	UI Benefits Module: Benefit Payments
44	The system must allow staff to view the distribution of benefit charges and credits to employers (including those charged to the Non-chargeable Benefits Account) for each paid week, including the break out of charges attributed to state and federal taxes, FOC, recoupment, garnishments and IB restitution - Adjust Transactions.		X		B	UI Benefits Module: Benefit Payments
45	The system must allow staff to complete an Eligibility Review Program (ERP) questionnaire independent of the certification process.		X		B	UI Benefits Module: Certifications
46	The system must be able to automatically open a nonmonetary issue based on answers to the Eligibility Review Program (ERP) questions, failure to respond to questions or failure to respond timely to the ERP.		X		B	UI Benefits Module: Non-Monetary Determinations
47	The system must allow staff to view all overpayments for a claimant.		X		B	UI Benefits Module: Benefit Payments

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
48	The system must allow staff to view the detail of each overpayment for the claimant, including overpayment status, week(s) overpaid, amount of overpayment (per week and total), reason for overpayment, program under which overpayment occurred, and balances.		**X**		**B**	UI Benefits Module: Benefit Payments
49	The system must allow staff to view all restitution and payment collections associated with an overpayment for a claimant.		**X**		**B**	UI Benefits Module: Benefit Payments
50	The system must provide the ability for staff to view the detail of each restitution/payment collection, including the restitution week and amount of restitution per week, method of payment.		**X**		**B**	UI Benefits Module: Benefit Payments
51	The system must be able to electronically interface with the Michigan Department of Human Services to receive Income Withholding Notices (IWN).		**X**		**A**	Architecture: Interfaces
52	The system must allow staff to create, view or update information for Income Withholding Notices (IWN) involving child support and alimony orders. Information includes beginning date, ending date, and sequestration percentage.		**X**		**B**	UI Benefits Module: Claims
53	The system must be able to assign the beginning and end date of the sequestration and the percentage based on the dates provided within the IWN.		**X**		**B**	UI Benefits Module: Claims

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
54	The system must set the sequestration end date as the Benefit Year Expiration date when there is an indefinite end date for the IWN or the end date is greater than the Benefit Year Expiration date.		**X**		**B**	UI Benefits Module: Claims
55	The system must allow staff to enter, update and delete (inactivate) Bankruptcy (Chapter 13) orders.	**X**			**A**	Bankruptcy Manager
56	The system must allow staff to view Form 1099-G information for unemployment payments received during previously completed calendar years.		**X**		**B**	UI Benefits Module: Benefit Payments
57	The system must provide the ability for staff to view and update information related to the claimant's benefit payment method. Information includes payment method, account number, routing number, and bank name.		**X**		**B**	UI Benefits Module: Benefit Payments
58	The system must be able to electronically submit any new or modified information related to debit cards or electronic fund transfers to the benefits payment vendor.		**X**		**A**	Architecture: Interfaces
59	The system must provide the ability for staff to respond electronically to claimant submitted inquiries.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Online Send e-mail Messages e-Services: Publish Customer/Account Information
60	The system must allow staff to view agency responses to all claimant submitted inquiries.		**X**		**A**	Correspondence Manager: View Correspondence History
61	The system must allow staff to view/update DUA certification information.		**X**		**B**	UI Benefits Module: Certifications

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
62	The system must allow staff to view/update information related to a DUA claimant/claim.		X		B	UI Benefits Module: Claims
63	The system must provide the ability for staff to view/update TAA/TRA certification information.		X		B	UI Benefits Module: Certifications
64	The system must provide the ability for staff to view/update information related ATAA/RTAA claims.		X		B	UI Benefits Module: Claims
65	The system must allow staff to record weekly pay information and calculate amount payable under ATAA/RTAA.		X		B	UI Benefits Module: Benefit Payments
66	The system must be able to score the likelihood that each new claim will result in utilization of the full entitlement. Note - this result will be used in selecting claimants to undergo reemployment services (a.k.a. profiling).		X		B	UI Benefits Module: Claims
67	The system must be able to generate a list of claimants required to complete reemployment services.		X		A	Reports Manager: Create Report Templates
68	The system must be able to electronically send a list of claimants required to participate in reemployment services to the Michigan Works! Agency.		X		A	Architecture: Interfaces
69	The system must be able to receive electronic updates from the Michigan Works! Agency indicating scheduling and completion of reemployment activities for individual claimants.		X		A	Architecture: Interfaces
70	The system must allow staff to update reemployment information within the claimant profile.		X		A	Customer Manager: Maintain Customer Attributes

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
71	The system must allow staff to access the ICON transaction screens. (Example IBIQ, WIC, SIDI, Interstate Benefits Handbook).		X		A	Architecture
72	The system must be able to automatically update the outstanding check record and payment status, when a refund payment is re-issued.		X		B	UI Benefits Module: Benefit Payments
•	**I. Claimant - Self-Service**					
1	The system must provide the ability for claimants to access information and perform services related to their claim through a secure web portal.	X			A	e-Services: Initiate and Maintain Benefit Claim
2	The system must dynamically display links within the claim portal based on the services which the claimant can perform.	X			A	e-Services
3	The system must provide the ability for claimants to view incoming and outgoing correspondence within their claim portal.	X			A	e-Services: Publish Benefit Claim Information
4	The system must provide claimants access to file a claim for benefits on all programs and extensions through a secure web portal.		X		A	e-Services: Initiate and Maintain Benefit Claim
5	The system must provide the ability for claimants to view all claims filed, displaying high level identifying information.		X		A	e-Services: Initiate and Maintain Benefit Claim
6	The system must provide the ability for claimants to view identification information within the claimant profile. Information includes Name, Drivers License, State ID, and birth date.	X			A	e-Services: Maintain a Web Profile Maintain Account Details

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
7	The system must provide the ability for claimants to enter/update/view contact information within the claimant profile. Information includes address, multiple phone numbers, e-mail address, preferred method of communication.		**X**		**A**	e-Services: Maintain Account Details
8	The system must provide the ability for claimants to manually override the validation process when an address cannot be validated.	**X**			**A**	e-Services: Maintain Account Details
9	The system must automatically send an email confirmation to the old and new email address when an email address is changed.		**X**		**A**	e-Services: Maintain a Web Profile Maintain Account Details
10	The system must provide the ability for claimants to view certain demographic information within the claimant profile. Information includes citizenship, gender, race, education level, and occupational code.	**X**			**A**	e-Services: Maintain Account Details
11	The system must provide the ability for claimants to view and update tax withholding information through the claim portal. Information includes number of exemptions and withholding status.		**X**		**A**	e-Services: Maintain Account Details
12	The system must provide the ability for claimants to drill down to view the detail claim information for any claims filed. Information includes claim source, date filed, most recent claim type, input date, beginning and end date of the claim.		**X**		**B**	e-Services: Publish Benefit Claim Information

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
13	The system will provide the ability for claimants to view and update the deductible pension amount attached to a claim.		X		B	e-Services: Initiate and Maintain Benefit Claim
14	The system must provide the ability for claimants to enter/update the back to work date through the claim portal independent of the certification process.		X		B	e-Services: Initiate and Maintain Benefit Claim
15	The system must provide the ability for claimants to view information for all programs established under the claim. Information includes program type, beginning and end date and the entitlement balance for the most recent monetary for the program under which		X		B	e-Services: Publish Benefit Claim Information
16	The system must provide the ability for claimants to view a history of all monetary determinations attached to a claim. The view of the history will include the program, effective date, end date and date created.		X		B	e-Services: Publish Benefit Claim Information
17	The system must provide the ability for claimants to view the detail of any monetary determination attached to a claim. The detail will include the program, effective date, end date and date created, weekly benefit amount, dependency allowance, benefit entitle		X		B	e-Services: Publish Benefit Claim Information
18	The system must provide the ability for claimants to view all employer/employment information, wage information and benefit charge distribution for all employers attached to the monetary determination.		X		B	e-Services: Publish Benefit Claim Information

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
19	The system must provide the ability for claimants to view reported wages and wages used to calculate the monetary determination separately.		X		B	e-Services: Publish Benefit Claim Information
20	The system must provide the ability for claimants to view separation information. Information includes last day worked, separation date, and separation reason.		X		B	e-Services: Publish Benefit Claim Information
21	The system will provide the ability for claimants to view all nonmonetary information attached to a claim.		X		B	e-Services: Publish Benefit Claim Information
22	The system must provide the ability for claimants to view the detailed information attached to nonmonetary including: issue, fact finding code, issue date and status.		X		B	e-Services: Publish Benefit Claim Information
23	The system must provide the ability for claimants to view all certifications and payments for a claim.		X		B	e-Services: Publish Benefit Claim Information
24	The system must provide the ability for claimants to view the detail of certified weeks including certification week status, program, payable amount, actual amount paid, line item deductions (i.e. Retirement, earnings, etc.) and disbursements (i.e. FOC, Taxes		X		B	e-Services: Publish Benefit Claim Information
25	The system must automatically display the Eligibility Review Program (ERP) questionnaire upon completion of the certification if the claimant is required to complete the ERP.		X		B	e-Services: Initiate and Maintain Benefit Claim

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
26	The system must provide the ability for claimants to complete Eligibility Review Program (ERP) questionnaire independent of the certification process.		X		A	e-Services: Initiate and Maintain Benefit Claim
27	The system must provide the ability for claimants to view multiple versions of weeks paid if an overpayment or adjustment exists and provide a side by side comparison with the change displayed in last column.		X		B	e-Services: Publish Benefit Claim Information
28	The system must provide the ability for claimants to make same day updates to claimant responses for eligibility questions on a certified week.		X		B	e-Services: Initiate and Maintain Benefit Claim
29	The system must provide the ability for claimants to enter fact finding responses online when a change to the claimant responses for eligibility questions on a certified week results in the creation of an issue.		X		B	e-Services: Initiate and Maintain Benefit Claim
30	The system must provide the ability for claimants to make updates to claimant reported earnings on a certified week.		X		B	e-Services: Initiate and Maintain Benefit Claim
31	The system must provide the ability for claimants to enter fact finding responses to an issue created as a result of updates to earnings for a paid week.		X		B	e-Services: Initiate and Maintain Benefit Claim
32	The system must provide the ability for claimants to unwaive a certified week previously waived during the certification process.		X		B	e-Services: Initiate and Maintain Benefit Claim
33	The system must provide the ability for claimants to view all overpayments for a claim.		X		B	e-Services: Publish Benefit Claim Information

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
34	The system must provide the ability for claimants to view the detail of each overpayment including overpayment status, week(s) overpaid, amount of overpayment (per week and total), reason for overpayment, program under which overpayment occurred, and balance		**X**		**B**	e-Services: Publish Benefit Claim Information
35	The system must provide the ability for claimants to view all restitution and payment collections associated with an overpayment on a claim.		**X**		**B**	e-Services: Publish Benefit Claim Information
36	The system must provide the ability for claimants to view the detail of each restitution/payment collection including the restitution week and amount of restitution per week, method of payment.		**X**		**B**	e-Services: Publish Benefit Claim Information
37	The system must provide claimants with an access point through the portal to establish an electronic payment account to submit payments.	**X**			**A**	e-Services: Initiate and Maintain Benefit Claim
38	The system must provide the ability for claimants to submit documentation with updates of claimant information, name, and date of birth.		**X**		**A**	e-Services: Initiate and Maintain Benefit Claim
39	The system must provide the ability for claimants to view claim information for any claims filed. Information includes date through which the claimant will be exempt from seeking and registering for work and the date required to certify for weeks of benefits		**X**		**B**	e-Services: Publish Benefit Claim Information

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
40	The system must provide the ability for claimants to view certain information about Income Withholding Notices (IWN) involving child support and alimony orders. Information includes beginning date, ending date, and sequestration percentage.		X		B	e-Services: Publish Benefit Claim Information
41	The system must provide the ability for claimants to enter responses to fact finding questions on-line, independent of the certification or claims filing process.		X		A	e-Services: Initiate and Maintain Benefit Claim
42	The system must provide the ability for claimants to view all responses entered to fact finding questions.		X		A	e-Services: Publish Benefit Claim Information
43	The system must provide the ability for claimants to submit a protest/appeal of monetary or nonmonetary (re)determinations.		X		B	e-Services: Initiate and Maintain Benefit Claim
44	The system must provide the ability for claimants to view 1099 G information for UI payments received during previously completed calendar years.		X		B	e-Services: Publish Benefit Claim Information
45	The system must provide the ability for claimants to view the status of a lost or missing payment.		X		B	e-Services: Publish Benefit Claim Information
46	The system must provide the ability for claimants to enter and submit a bi-weekly record of work search through the claim portal.		X		A	e-Services: Initiate and Maintain Benefit Claim
47	The system must provide the ability for claimants to view and update information related to the Claimant's benefit payment method. Information includes payment method, account number, routing number, and bank name.		X		A	e-Services: Initiate and Maintain Benefit Claim

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
48	The system must provide the ability for claimants to access certain information and perform certain services related to their claim through an interactive voice response (IVR) system. For example, the Claimant must be able to update their benefit payment method.		**X**		**A**	IVR Interface
49	The system must provide the ability for claimants to submit inquiries regarding claim related information via their claim web account.		**X**		**A**	e-Services: Web Request
50	The system must provide the ability for claimants to view agency responses to the inquiries submitted via their claim web account.		**X**		**A**	e-Services: Publish Benefit Claim Information
51	The system must provide the ability for claimants to view information about ATAA/RTAA claims. Information includes previous wage information, current wage information, current employment status, all involved employers, current training status, and relevant dates.		**X**		**B**	e-Services: Publish Benefit Claim Information
•	**J. Special Programs**					
1	The system must provide the ability to electronically interface with the Michigan Works Agency to receive Trade Adjustment Assistance petition certifications.		**X**		**A**	Architecture: Interfaces
2	The system must allow staff to enter/update Trade Adjustment Assistance petition certification information.		**X**		**B**	UI Benefits Module: Certifications

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
3	The system must provide the ability to electronically interface with the Michigan Works Agency to receive Trade Reemployment Assistance Request for Determination of Entitlement.		X		A	Architecture: Interfaces
4	The system must provide the ability for staff to enter/view/update information on a TRA Request for Determination of Entitlement.		X		B	UI Benefits Module: Claims
5	The system must be able to automatically create a TRA claim for claimants who have a TRA Request for Determination of Entitlement on file in the system.		X		B	UI Benefits Module: Claims
6	The system must be able to automatically generate the TRA Request for Wages and Separation Information for all claimants on the petition attached to the employer associated with TAA petition.		X		B	UI Benefits Module: Claims
7	The system must provide the ability to electronically receive responses to the TRA Request for Wages and Separation Information from the employer.		X		A	Architecture: Interfaces
8	The system must allow staff to enter/update the TRA Request for Wages and Separation Information responses from the employer.		X		B	UI Benefits Module: Claims
9	The system must provide the ability to electronically interface with the Michigan Works Agency to receive training information and waiver to enroll in training.		X		A	Architecture: Interfaces
10	The system must allow staff to enter/update training information, waiver to enroll in training and return to work date for the claimant.		X		B	UI Benefits Module: Claims

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
11	The system must allow staff to establish a TRA claim for ATAA/RTAA programs only.		X		B	UI Benefits Module: Claims
12	The system must allow staff to create a TRA Determination of Trade Readjustment Allowances (Monetary Determination) for ATAA/RTAA claims.		X		B	UI Benefits Module: Claims
13	The system must be able to automatically generate a monthly statement with weekly ATAA/RTAA pay detail to claimants containing information on amount paid, date paid and remaining program balance.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
14	The system must be able to automatically generate a notice to claimants when claimant exhausts Basic TRA and is not eligible for Additional TRA benefits,		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
15	The system must be able to automatically generate a Certification of Completion of Approved Training to the claimant at a specified period prior to the claimant completing an approved training course or semester.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
16	The system must allow staff to issue payments under the ATAA/RTAA programs.		X		B	UI Benefits Module: Benefit Payments
17	The system must be able to electronically transmit claim information to the IRS for all claimants who established eligibility under a TAA/ATAA/RTAA program.		X		A	Architecture: Interfaces

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
18	The system must be able to electronically submit a monthly report to the IRS, for all TRA/ATAA/RTAA claimants that received payment for TRA/ATAA/RTAA benefits or benefits under a federal/state extended benefits program for that month.		**X**		**A**	Architecture: Interfaces
19	The system must be able to electronically transmit reports to the IRS for claimants eligible for the Health Coverage Tax Credit program.		**X**		**A**	Architecture: Interfaces
20	The system must be able to maintain an electronic record of the reports transmitted to the IRS for the Health Coverage Tax Credit program.	**X**			**A**	Architecture Audit Trail
21	The system must allow staff to file a claim on behalf of the claimant for Disaster Unemployment Assistance (DUA).		**X**		**B**	UI Benefits Module: Claims
22	The system must be able to automatically establish eligibility for DUA claim.		**X**		**B**	UI Benefits Module: Claims
23	The system must allow staff to enter/update DUA/FEMA certifications for disaster relief (including area for disaster relief, project number and eligible workers, the start and stop date of the disaster period, and work search requirements).		**X**		**B**	UI Benefits Module: Certifications

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
24	The system must be able to electronically interface with the ICON system to exchange claim, wage, benefit charge, payment and overpayment information for Combined Wage (CWC) and Federal Ex-Service Members (UCX) and Federal Employees (UCFE) claims.		**X**		**A**	Architecture: Interfaces
25	The system must be able to automatically generate correspondence resulting in a request for information from an ICON transaction.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
•	**Tax Functions**					
•	**A. Employer Registration**					
1	The system must provide employers the ability to electronically register for Michigan Taxes (Treasury and Unemployment Insurance) through a single online business registration application.	**X**			**A**	e-Services: New User Registration Initiate Web Request
2	The system must provide employers the ability to electronically register new acquisitions and business transfers (for Unemployment Insurance) through the online business registration application.		**X**		**A**	e-Services: Maintain Account Details
3	The system must provide employers the ability to access the online business registration application through the Michigan Business One Stop (MiBOS)		**X**		**A**	Architecture: Interfaces

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
4	The system must provide the ability to electronically interface with the Michigan Business One Stop (MiBOS) to verify and validate employers accessing the online business registration application and to exchange online business registration information.		X		A	Architecture: Interfaces
5	The system must be able to electronically process online business registrations.	X			A	e-Services: Web Request
6	The system must be able to electronically transmit the online business registration to the appropriate state agency (Treasury or Unemployment Insurance).		X		A	Architecture: Interfaces
7	The system must allow staff to register a new business with the Unemployment Insurance Agency (UIA).	X			A	Customer Manager: Maintain Customer Attributes Maintain Account Attributes
8	The system must be able to capture and record the source document used to create an employer account when an employer registers a new business with the Unemployment Insurance Agency (UIA).	X			A	Interface to FileNET Customer Manager: Maintain Customer Attributes Maintain Account Attributes
9	The system must be able to electronically interface with the State of Michigan Bureau of Commercial Services and Corporation to validate business organizational types.		X		A	Architecture: Interfaces
10	The system must provide employers and staff the ability to create multiple business locations on a registration for a new business.	X			A	Customer Manager: Maintain Customer Attributes Maintain Account Attributes e-Services: New User Registration Initiate Web Request

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
11	The system must provide employers and staff the ability to request payroll and benefit charging information to be separated by business location or payroll type.		X		A	Customer Manager: Maintain Customer Attributes Maintain Account Attributes e-Services: New User Registration Initiate Web Request
12	The system must provide employers the ability to elect to have benefit charges against their UIA employer account separated by employer defined business units.		X		A	Customer Manager: Maintain Customer Attributes Maintain Account Attributes e-Services: New User Registration Initiate Web Request
13	The system must be able to automatically create an employer account upon completion of the registration when an employer registers a business with (or is registered with) the Unemployment Insurance Agency (UIA).		X		A	e-Services: Initiate Web Request
14	The system must be able to assign a unique employer account number to all created unemployment employer accounts.	X			A	Customer Manager: Maintain Identities
15	The system must be able to automatically process the acquisition or transfer of a business and transfer the appropriate unemployment insurance business experience/financial data.		X		A	Customer Manager: Transfer Account
16	The system must be able to electronically interface with external software (during the employer registration process) to validate address information.		X		A	e-Services: Initiate Web Request The solution is CASS certified. The underlying business requirement for address validation is met without the need for an interface to third party address validation software.

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
17	The system must provide employers and staff the ability to create a Power of Attorney as part of the employer registration process.	**X**			**A**	Customer Manager: Maintain Contacts
18	The system must provide employers and staff the ability to register the employer for Seasonal Designation. (A designated seasonal employer is one who does not have to pay unemployment benefits between seasons)	**X**			**A**	Customer Manager: Maintain Customer Attributes Maintain Account Attributes
19	The system must provide employers and staff the ability to save a partially completed employer registration.		**X**		**A**	Customer Manager: Maintain Customer Attributes Maintain Account Attributes e-Services: New User Registration Initiate Web Request
20	The system must provide employers and staff the ability to complete partially saved employer registrations within a configurable time period.		**X**		**A**	Customer Manager: Maintain Customer Attributes Maintain Account Attributes e-Services: New User Registration Initiate Web Request
21	The system must be able to automatically hold the processing of an employer registration until the specific thresholds is met in order to be found liable to pay unemployment taxes.		**X**		**A**	Customer Manager: Maintain Customer Attributes Maintain Account Attributes Case Manager
22	The system must be able to automatically complete the registration process when the specific threshold is met in order to be found liable to pay unemployment taxes.		**X**		**A**	Customer Manager: Maintain Customer Attributes Maintain Account Attributes Case Manager
23	The system must provide employers and staff the ability to modify completed but not yet processed employer registrations.	**X**			**A**	Customer Manager: Maintain Customer Attributes Maintain Account Attributes e-Services: New User Registration Initiate Web Request

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
24	The system must provide employers and staff the ability to view the status of an employer registration.	X			A	Customer Manager: Maintain Customer Attributes Maintain Account Attributes e-Services: New User Registration Initiate Web Request
25	The system must be able to electronically interface with the IRS to validate tax exempt status for unemployment purposes.		X		A	Architecture: Interfaces
26	The system must be able to electronically interface with the Social Security Administration to validate the SSN of owner/corporate officers for an employer registration.		X		A	Interface with Social Security Administration
27	The system must be able to automatically create an employer web account for employers when an employer account number is assigned.		X		A	e-Services: New User Registration
•	**B. Rate Determination**					
1	The system must be able to automatically calculate and assign tax rates using the appropriate employer experience and tax rate calculation.		X		A	UI Tax Module: Experience Rating
2	The system must have the ability automatically calculate and assign construction tax rates to employers identified as a construction business.		X		A	UI Tax Module: Experience Rating Customer Manager: - Maintain Customer Attributes
3	The system must be able to automatically assign a tax rate to an employer account when the employer type is changed from 'Reimbursing' to 'Contributing'.		X		A	Customer Manager: Maintain Customer Attributes
4	The system must be able to automatically assign a temporary tax rate to new employers.		X		A	UI Tax Module: Experience Rating

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
5	The system must allow staff to view the information used in the calculation of a tax rate for an employer (history of benefit charges, taxable payroll and taxes paid).	X			A	UI Tax Module: Experience Rating
6	The system must allow staff to perform 'What If' scenarios to view the outcome of new tax rate calculations prior to the outcome becoming official.		X		A	UI Tax Module: Experience Rating
7	The system must allow staff to suspend the automated rate calculation on an employer account.		X		A	Customer Manager: Maintain Indicators
8	The system must allow staff to manually restart the automated rate calculation on an employer account.		X		A	Customer Manager: Maintain Indicators
9	The system must be able to automatically calculate the components (history of benefit charges, taxable payroll and taxes paid) used in the rate calculation before calculating the employer tax rate.		X		A	UI Tax Module: Experience Rating
10	The system must be able to automatically calculate the tax rate of a successor employer account when there is a full or partial transfer of business assets.		X		A	UI Tax Module: Experience Rating
11	The system must provide the ability to combine two or more transfers of employer experience/financial data when calculating tax rates.		X		A	UI Tax Module: Experience Rating
12	The system must be able to automatically calculate and assign tax rate penalties to the appropriate employer accounts.		X		A	UI Tax Module: Experience Rating

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
13	The system must be able to automatically calculate and add/apply solvency tax to the appropriate employer tax rate.		X		A	UI Tax Module: Experience Rating
14	The system must be able to automatically recalculate tax rates when a benefit charge/credit is applied/moved to or from an employer account.		X		A	UI Tax Module: Experience Rating
15	The system must be able to automatically recalculate the employer's rate upon receipt of a voluntary payment.		X		A	UI Tax Module: Experience Rating
16	The system must be able to automatically process the appropriate tax rate recalculation, when multiple liability and tax rate (re)determinations occur on the same business day.		X		A	UI Tax Module: Experience Rating
17	The system must be able to automatically recalculate and remove tax rate penalties and solvency tax when applicable.		X		A	UI Tax Module: Experience Rating Financials Manager: Calculate Penalty & Interest
18	The system must allow staff to modify an employer's rating experience based on an Administrative Decision/Administrative Law Judge Ruling.	X			A	Customer Manager: Maintain Customer Attributes
19	The system must allow staff to remove penalties based on an Administrative Decision/Administrative Law Judge Ruling.	X			A	Financials Manager: Calculate Penalties and Interest
20	The system must allow staff to change tax rate component information based on an Administrative Decision/Administrative Law Judge Ruling.		X		A	Customer Manager: Maintain Customer Attributes

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
21	The system must allow staff to suppress the generation of a tax rate notice.		X		A	Customer Manager: Maintain Indicators
22	The system must be able to automatically exclude protested charges from the current yearly employer unemployment tax rate calculation.		X		A	UI Tax Module: Experience Rating
•	**C. Quarterly Reporting**					
1	The system must be able to automatically generate a Quarterly Wage/Tax Report form to contributing employers by their preferred method contact.		X		A	Reports Manager: Create Report Templates
2	The system must be able to automatically generate a Quarterly Wage/Payroll Report form to reimbursing employers by their preferred method of contact.		X		A	Reports Manager: Create Report Templates
3	The system must be able to automatically pre-populate the Quarterly Wage/Tax Report form or the Quarterly Wage/Payroll Report form with employee/wage information reported for the previous calendar quarter.		X		A	Reports Manager: Create Report Templates
4	The system must be able to automatically notify the employer on the Quarterly Wage/Tax Report form or the Quarterly Wage/Payroll Report form of any outstanding account balance or missing quarterly reports.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
5	The system must provide the ability for employers to submit the Quarterly Wage/Tax Report form or the Quarterly Wage/Payroll Report form online through the employer web portal.	X			A	e-Services

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
6	The system must be able to automatically calculate taxable wages and taxes due based on entered wages from the Quarterly Wage/Tax Report form.		X		A	Returns Manager Calculate/Validate Line Items
7	The system must be able to automatically calculate any penalties resulting from an untimely filing of the Quarterly Wage/Tax Report form or the Quarterly Wage/Payroll Report form.		X		A	Calculate Penalty & Interest
8	The system must provide the employer the option to electronically pay taxes due upon submission of the Quarterly Wage/Tax Report.		X		A	e-Services
9	The system must be able to automatically display a printable payment coupon if the employer elects not to pay taxes due electronically.		X		A	e-Services
10	The system must provide the ability for employers who set up Chargeable Multi Units within their employer account to submit a Quarterly Wage Report for each of their multi units.		X		A	e-Services
11	The system must be able to calculate taxable wages based on the sum of wages on all submitted Quarterly Wage Reports when an employer submits a report for each of their Chargeable Multi Units.		X		A	Returns Manager Calculate/Validate Line Items
12	The system must provide the ability for employers to submit a file of Quarterly Wage/Tax Reports or the Quarterly Wage/Payroll Reports (for multiple employers) through the employer web portal.	X			A	e-Services

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
13	The system must be able to electronically interface with the financial institution vendor to accept a file of Quarterly Wage/Tax Reports or the Quarterly Wage/Payroll Reports.		**X**		**A**	Architecture: Interfaces
14	The system must be able to automatically post Quarterly Wage/Tax Reports or the Quarterly Wage/Payroll Reports records contained within a file submission.		**X**		**A**	Architecture: Interfaces
15	The system must allow staff to enter Quarterly Wage/Tax Reports or the Quarterly Wage/Payroll Reports.		**X**		**A**	Returns Manager Create Report (Return) Batches Online
16	The system must be able to calculate and post calculated gross wages, taxable wages and the tax due when the Quarterly Wage/Tax Report is submitted via a file (from the financial institution vendor) or entered by staff.		**X**		**A**	Returns Manager Calculate/Validate Line Items Post Financial Transactions
17	The system must be able to automatically generate a notice to the employer if the system calculated gross wages, excess wages, taxable wages or tax due is different than the reported tax due.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
18	The system must be able to prevent the filing of a duplicate Quarterly Wage/Tax Reports or the Quarterly Wage/Payroll Reports.		**X**		**A**	Returns Manager Process Batches Key Returns Online
19	The system must provide the ability for employers and staff to submit/enter Amended Quarterly Wage/Tax Reports or Amended Quarterly Wage/Payroll Reports.		**X**		**A**	Returns Manager Create Report (Return) Batches Online

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
20	The system must be able to automatically recalculate taxable wages and taxes due based on entered wages from the Amended Quarterly Wage/Tax Report form.	**X**			**A**	Returns Manager Calculate/Validate Line Items
21	The system must provide the employer the option to electronically pay taxes due upon submission of the Amended Quarterly Wage/Tax Report if the amended taxes due is greater than the previously calculated taxes due.	**X**			**A**	e-Services
22	The system must be able to automatically display a printable payment coupon if the employer elects not to pay amended taxes due electronically.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
23	The system must be able to electronically interface with the financial institution vendor to accept a file of Amended Quarterly Wage/Tax Reports or Amended Quarterly Wage/Payroll Reports.		**X**		**A**	Architecture: Interfaces
24	The system must be able to automatically post Amended Quarterly Wage/Tax Reports or the Amended Quarterly Wage/Payroll Reports records contained within a file submission.		**X**		**A**	Architecture: Interfaces
25	The system must be able to calculate and post calculated amended gross wages, amended taxable wages and the amended tax due when the Amended Quarterly Wage/Tax Report is submitted via a file (from the financial institution vendor) or entered by staff.		**X**		**A**	Returns Manager Post Report (Return) Batches

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
26	The system must be able to automatically generate a notice to the employer if the system calculated gross wages, excess wages, taxable wages or tax due is different than the reported amended tax due.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
27	The system must be able to automatically generate a notice to the employer if the system calculated amended gross wages, excess wages, taxable wages or tax due is different than the reported amended tax due.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
28	The system must be able to automatically create and generate an estimated Quarterly Wage/Tax Reports or the Quarterly Wage/Payroll Reports to an employer.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
29	The system must be able to automatically post an estimated Quarterly Wage/Tax Reports or the Quarterly Wage/Payroll Reports to an employer.		**X**		**A**	Non-Filer Manager Calculate Estimated Assessments
30	The system must automatically initiate the employer registration process when a Quarterly Wage/Tax Reports or the Quarterly Wage/Payroll Reports is submitted from an employer for whom there is no valid unemployment employer account.		**X**		**A**	Customer Manager: Employer Registration
31	The system must be able to automatically inactivate an employer account if an employer indicates that the Quarterly Wage/Tax Reports or the Quarterly Wage/Payroll Reports is the final report.		**X**		**A**	Customer Manager: Maintain Account Attributes

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
32	The system must be able to automatically generate a Notice of Discontinuance to an employer if an employer indicates that the Quarterly Wage/Tax Reports or the Quarterly Wage/Payroll Reports is the final report.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
33	The system must be able to automatically post the Quarterly Wage/Tax Reports or the Quarterly Wage/Payroll Reports to the 'consolidated with' employer account if the report is submitted by a cancelled employer.		**X**		**A**	Returns Manager
34	The system must be able to automatically post the Amended Quarterly Wage/Tax Reports or the Amended Quarterly Wage/Payroll Reports to the 'consolidated with' employer account if the report is submitted by a cancelled employer.		**X**		**A**	Returns Manager
35	The system must generate a Notice of Assessment to the Employers after a delinquency is posted to the Employer account.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
36	The system must generate a Notice of Delinquent Wage/Tax report to the contributing Employers who fail to file their Quarterly Wage/Tax report.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
37	The system must generate a Notice of Delinquent Wage/Payroll report to the reimbursing Employers who fail to file their Quarterly Wage/Payroll report.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
• **D. Employer Maintenance - Staff Options**						
1	The system must allow staff to view all incoming and outgoing correspondence attached to an employer account.	**X**			**A**	Customer Manager: View Letters

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
2	The system must allow staff to search for an employer account.	X			A	Customer Manager: Search for Customers
3	The system must allow staff to view all financial/non-financial information attached to an employer account.	X			A	Customer Manager: Financials Manager
4	The system must allow staff to update contact information attached to an employer account (i.e. address(es), location(s), phone).	X			A	Customer Manager: Maintain Contacts Maintain Addresses
5	The system must allow staff to modify the employer's FEIN.	X			A	Customer Manager: Maintain Identities
6	The system must allow staff to the view the history of modifications to an employer's FEIN.	X			A	Customer Manager: Maintain Identities Architecture Audit Trail
7	The system must allow staff to enter multiple business locations for an employer account.	X			A	Customer Manager: Maintain Addresses
8	The system must allow staff to maintain the liability status for an employer account.	X			A	Customer Manager: Maintain Account Attributes
9	The system must be able to automatically update an employer account status (i.e. active, inactive, terminated).		X		A	Customer Manager: Maintain Account Attributes
10	The system allow staff to update/view an employer account status (i.e. active, inactive, terminate, cancel).	X			A	Customer Manager: Maintain Account Attributes
11	The system must allow staff to transfer the positive reserve balance of terminated employer for the Non-Chargeable Benefits Account.		X		A	Customer Manager: Transfer Account
12	The system must allow staff to change the employer type from contributing to reimbursing or reimbursing to contributing.	X			A	Customer Manager: Maintain Customer Attributes

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
13	The system must be able to apply all financial data (and perform all necessary calculations) when the employer type is changed from contributing to reimbursing or reimbursing to contributing.		X		A	Financials Manager
14	The system must allow staff to modify non-financial information related to an employer account (i.e. report received/posting dates, number of employees, statute date, current interest date).	X			A	Customer Manager: Maintain Account Attributes
15	The system must allow staff to modify financial data resulting from a tax protest or waiver determination.	X			A	Financials Manager Adjust Transactions
16	The system must allow staff to post, cancel, and adjust penalties and interest on an employer account resulting from a bankruptcy settlement, SUTA settlement agreement, protest determination, or an approved collections Payment Plan.	X			A	Financials Manager: Adjust Transactions
17	The system must be able to automatically (re)calculate employer account balance when financial - Adjust Transactions have been made on the employer account.	X			A	Financials Manager
18	The system must allow staff to view the tax payment history for an employer account.	X			A	Architecture: Audit Trail
19	The system must allow staff to post a payment from a suspense account to an employer account.	X			A	Payments Manager: Post Payments
20	The system must allow staff to transfer the posting of a payment to a different tax quarter.	X			A	Payments Manager: Transfer Payments

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
21	The system must be able to automatically refund payment to employers for payments in excess of balance due.	X			A	Refunds Manager: Automatic Refunds
22	The system must allow staff to record information related to a lost, missing or returned refund payment.	X			A	Refunds Manager
23	The system must allow staff to view and update information relating to lost, missing, or returned refund payments. Information includes the status of a lost or missing payment.	X			A	Refunds Manager
24	The system must allow staff to view the tax rate history for an employer account.	X			A	Architecture: Audit Trail
25	The system must allow staff to view the Quarterly Wage/Tax Report (Quarterly Wage/Payroll Report) history for an employer account.	X			A	Architecture: Audit Trail
26	The system must allow staff to update/correct a Quarterly/Wage Tax Report, Quarterly Wage/Payroll Report, Amended Quarterly Wage/Tax Report, or Amended Quarterly Wage/Payroll Report posted to an administrative account.	X			A	Returns Manager: Adjust Returns Online
27	The system must allow staff to transfer a completed/correct Quarterly Wage/Tax Report, Quarterly Wage/Payroll Report, Amended Quarterly Wage Tax Report, or Amended Quarterly Wage/Payroll Report from an administrative account to an employer account.	X			A	Returns Manager
28	The system must allow staff to adjust quarterly wages attached to an employer account.	X			A	Returns Manager: Adjust Returns Online

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
29	The system must allow staff to enter/modify/view requests for FUTA tax credits for an employer account.		X		A	Case Manager
30	The system must be able to automatically generate an eligibility determination on a request for a FUTA tax credit for an employer account.		X		B	UI Benefits Module: Monetary Determinations Non-Monetary Determinations
31	The system must allow staff to view benefit charges and credits for an employer account.		X		B	UI Benefits Module: Benefits Manager
32	The system must allow staff to create/modify/view a Power of Attorney for an employer account	X			A	Customer Manager: Maintain Contacts
33	The system must allow staff to enter/update/view a Request for Registration and Seeking Work Waiver through the employer web portal.		X		A	e-Services Case Manager
34	The system must allow staff to inactivate/terminate an employer account.	X			A	Customer Manager: Account Attributes
35	The system must allow staff to request and/or view statements for an employer account (i.e. IRS Certification of Accounts, Summary of Benefit Charges and Credits).	X			A	Correspondence Manager: Design Letter Templates Create Letters Online
36	The system must allow staff to generate e employer account statements (i.e. Clearance of Account, Disclosure of Accounts).	X			A	Correspondence Manager: Design Letter Templates Create Letters Online
37	The system must allow staff to view the tax protest history for an employer account.	X			A	Architecture: Audit Trail

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
38	The system must allow staff to enter/update/view a tax protest (tax rate, tax liability, and/or assessment/collection) or a protest of a Statement of Account for an employer account.	X			A	Customer Manager: Maintain Indicators
39	The system must allow staff to enter/update/view an employer request to file for a Michigan tax credit for an employer account.		X		A	Case Manager
40	The system must allow staff to enter/update/view information related to an employer's request/designation as a Seasonal Employer.	X			A	Case Manager
41	The system must be able to automatically generate a determination to designate an employer as a seasonal employer.		X		A	Customer Manager: Maintain Customer Attributes
42	The system must allow staff to enter/update/view yearly school calendar information for an employer (educational institutions).		X		B	Calendar Manager
43	The system must allow staff to enter/update/view information related to classifying an employer as an Employee Leasing Company, Captive Provider, Common Paymaster, Payroller, Localization, or Misclassification.		X		A	Customer Manager: Maintain Customer Attributes
44	The system must be able to automatically designate/undesignate an employer as an Employee Leasing Company, Captive Provider, Common Paymaster, Payroller, Localization, or Misclassification.		X		A	Customer Manager: Maintain Customer Attributes
45	The system must allow staff to create/terminate an employer's client company's Employee Leasing Agreement.	X			A	Customer Manager: Maintain Customer Attributes

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
46	The system must allow staff to enter/update/view information for a business transfer (whole or partial).	X			A	Customer Manager: Transfer Account
47	The system must be able to automatically create a transfer of a business(s) (whole or partial) to an existing employer account(s) (successor).		X		A	Customer Manager: Transfer Account
48	The system must be able to automatically create a new employer account (successor) when creating a transfer of a business(s)	X			A	Customer Manager: Transfer Account
49	The system must be able to automatically reverse a business transfer.		X		A	Customer Manager: Transfer Account
50	The system must allow staff to cancel an employer account.	X			A	Customer Manager: Maintain Account Attributes
51	The system must be able to automatically consolidate a cancelled employer account with an existing employer account.		X		A	Customer Manager: Transfer Account
52	The system must allow staff to unconsolidate a cancelled employer from an existing employer account.		X		A	Customer Manager: Transfer Account
53	The system must allow staff to view assessment/collection cases and associated collection activities attached to an employer account.	X			A	Collection Manager
54	The system must allow staff to apply court fees and damages on an employer account when a judgment case decision has been rendered.	X			A	Financials Manager
55	The system must allow staff to create/view a Reciprocity Agreement on behalf of an employer with other states (for reporting of wages).		X		A	Customer Manager: Maintain Indicators

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
•	**E. Employer Maintenance - Reimbursing**					
1	The system must be able to automatically calculate when a security bond is required of a reimbursing employer account.		**X**		**A**	Query-driven Bulk Processing
2	The system must be able to automatically generate a notice to a reimbursing employer when a security bond is required (for initial security as well as renewal of security).		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
3	The system must provide the ability for an employer to designate a single security bond to be attached to multiple employer accounts.		**X**		**A**	Customer Manager: Maintain Customer Attributes
4	The system must allow staff to enter/update/view security bond information for a reimbursing employer account.		**X**		**A**	Customer Manager: Maintain Customer Attributes
5	The system must be able to automatically generate security correspondence to all reimbursing employers attached to the security bond.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
6	The system must be able to automatically generate an amended security notice when the annual gross payroll for a reimbursing employer is amended.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
7	The system must be able to automatically generate a notice to a reimbursing employer who is delinquent in payment on the employer account requesting a cash-in of the security bond.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
8	The system must provide the ability to automatically generate reimbursing employer billing statements on a quarterly or annual basis.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
9	The system must be able to automatically calculate the total payment due on a reimbursing employer billing statement.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
10	The system must be able to automatically itemize the state of charges for an employer on a reimbursing employer billing statement.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
11	The system must be able to automatically calculate and itemize penalties and interest due on a reimbursing employer billing statement.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
12	The system must allow staff to adjust penalties and interest on a reimbursing employer account based on an Administrative Law Judge (ALJ) decision.		X		A	Financials Manager: Adjust Transactions
13	The system must be able to automatically generate an amended reimbursing employer billing statement when an adjustment in benefits paid/penalties/interest is made on a reimbursing employer account.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
14	The system must allow staff to create/update/view a Group Account for reimbursing employers (who elect to share the cost of reimbursing unemployment benefits paid to former employees.)		X		A	Customer Manager: Maintain Customer Attributes
15	The system must allow staff to add/remove employers from a reimbursing employers Group Account.		X		A	Customer Manager: Maintain Customer Attributes

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
16	The system must allow staff to designate the employer who will serve a group representative for the reimbursing employers Group Account.		**X**		**A**	Customer Manager: Maintain Customer Attributes
17	The system must be able to automatically recognize the representative reimbursing employer on a Group Account as Power of Attorney holder for each employer within the group.		**X**		**A**	Customer Manager: Maintain Customer Attributes
18	The system must provide the ability to automatically generate correspondence to all reimbursing employers within a Group Account.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
19	The system must be able to generate reimbursing billing statements to the representative reimbursing employer within a Group Account.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Online
20	The system must be able to itemize the reimbursing billing statement for each employer within the Group Account.		**X**		**A**	Correspondence Manager: Design Letter Templates
•	**F. Employer Self-Service**					
1	The system must provide employers the ability to access information and perform services related to their claim through a secure web portal.	**X**			**A**	e-Services
2	The system must dynamically display links within the employer portal based on the services which the web account owner can perform.	**X**			**A**	e-Services
3	The system must provide employers the ability to add users to their web account through the employer web portal.	**X**			**A**	e-Services

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
4	The system must provide employers the ability to grant permissions to added users to perform services at a task level.	X			A	e-Services
5	The system must provide employers the ability to view users added to their web account and modify permissions to perform services.		X		A	e-Services
6	The system must provide employers the ability to view all activities performed through their web account by users added to the account.		X		A	e-Services
7	The system must provide employers the ability to view all incoming and outgoing correspondence attached to their employer account through the employer web portal.		X		A	e-Services
8	The system must provide employers the ability to modify contact information attached to their employer account (i.e. address, phone) through the employer web portal.	X			A	e-Services
9	The system must provide employers the ability to enter multiple business locations for their employer account through the employer web portal.		X		A	e-Services
10	The system must provide employers the ability to change their liability status (liable to non-liable or non-liable to liable) through the employer web portal.		X		A	e-Services
11	The system must provide employers the ability to view their tax payment history through the employer web portal.		X		A	e-Services

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
12	The system must provide employers the ability to view their tax rate history the employer web portal.		X		A	e-Services
13	The system must provide employers the ability to view their Quarterly Wage/Tax Report (Quarterly Wage/Payroll Report) history.		X		A	e-Services
14	The system must provide employers the ability to create/modify/view a Power of Attorney through the employer web portal.		X		A	e-Services
15	The system must provide employers the ability to file a Quarterly Wage/Tax Report through the employer web portal.		X		A	e-Services
16	The system must provide employers the ability to submit a file containing multiple Quarterly Wage/Tax Reports through the employer web portal.	X			A	e-Services
17	The system must provide employers the ability to file a Quarterly Wage/Payroll Report through the employer web portal.		X		A	e-Services
18	The system must provide employers the ability to submit a file containing multiple Quarterly Wage/Payroll Reports through the employer web portal.	X			A	e-Services
19	The system must provide employers the ability to file an Amended Quarterly Wage/Tax Report through the employer web portal.		X		A	e-Services

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
20	The system must provide employers the ability to submit a file containing multiple Amended Quarterly Wage/Tax Reports through the employer web portal.	**X**			**A**	e-Services
21	The system must provide employers the ability to file an Amended Quarterly Wage/Payroll Report through the employer web portal.		**X**		**A**	e-Services
22	The system must provide employers the ability to submit a file containing multiple Amended Quarterly Wage/Payroll Reports through the employer web portal.	**X**			**A**	e-Services
23	The system must provide employers the ability to make electronic tax payments through the employer web portal.	**X**			**A**	e-Services
24	The system must provide employers the ability to submit a file of tax electronic payments through the employer web portal.	**X**			**A**	e-Services
25	The system must provide employers the ability to submit a Request for Registration and Seeking Work Waiver through the employer web portal.		**X**		**A**	e-Services
26	The system must provide employers the ability to file a Discontinuance of Business through the employer web portal.		**X**		**A**	e-Services
27	The system must provide employers the ability to Request and/or View Statements through the employer web portal. (i.e. IRS Certification of Accounts, Summary of Benefit Charges and Credits)	**X**			**A**	e-Services

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
28	The system must provide the ability for employers to submit a file of Employer Filed Claims (for unemployment benefits for separated employees) through the employer web portal.	X			A	e-Services
29	The system must provide employers the ability to submit and view a Response for Separation Information for nonmonetary issues through the employer web portal.		X		A	e-Services
30	The system must provide employers the ability to view nonmonetary determinations for which they are an interested party through the employer web portal.		X		A	e-Services
31	The system must provide employers the ability to protest a nonmonetary determination through the employer web portal.		X		A	e-Services
32	The system must provide employers the ability to file a tax protest (tax rate, tax liability, and/or assessment/collection) through the employer web portal.		X		A	e-Services
33	The system must provide employers the ability to file for a Michigan tax credit through the employer web portal.		X		A	e-Services
34	The system must provide employers the ability to submit a Work Opportunity Tax Credit (WOTC) application through the employer web portal.		X		A	e-Services
35	The system must provide employers the ability to submit an Application for Designation as a Seasonal Employer through the employer web portal.		X		A	e-Services

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
36	The system must provide employers (educational institutions) the ability to submit a yearly school calendar through the employer web portal.		X		A	e-Services: Initiate Web Request
37	The system must provide employers the ability to request to be classified as an Employee Leasing Company, Captive Provider, Common Paymaster or Payroller through the employer web portal.		X		A	e-Services
38	The system must provide employers the ability to request a termination of a client company's Employee Leasing Agreement through the employer web portal.		X		A	e-Services
39	The system must provide employers the ability to submit a request for a transfer of business through the employer web portal.		X		A	e-Services
40	The system must provide employers the ability to request cancellation of interest and/or penalties through the employer web portal.		X		A	e-Services
41	The system must provide employers the ability to protest their Statement of Account (payment applied to employer account/balance on account).		X		A	e-Services
42	The system must provide employers the ability to view assessment/collection activity attached to their employer account through the employer web portal.		X		A	e-Services
43	The system must provide an online 'wizard' for employers to assist in determining future liability/tax account balances.		X		B	e-Services: Configure a Liability/Balance Worksheet

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
44	The system must provide an online 'wizard' for employers to assist the employer in determining if a worker should be classified as an employee or independent contractor.		X		B	e-Services: Configure an Employee/Contractor Worksheet
45	The system must provide an online 'wizard' for employers to assist the employer in determining if they qualify as an Employee Leasing Company.		X		B	e-Services: Configure an Employee Leasing Company Worksheet
• **G. Work Opportunity Tax Credit (WOTC)**						
1	The system must provide the ability for employers to submit an application for a Work Opportunity Tax Credit (WOTC) application through the employer portal.		X		A	e-Services
2	The system must allow staff to enter/update/view WOTC applications.	X			A	Case Manager: Configure a WOTC Application Case
3	The system must allow staff to maintain the status of a WOTC application.	X			A	Case Manager: Configure a WOTC Application Case
4	The system must be able to automatically reject a WOTC application due to untimely submissions.		X		A	Case Manager Configure a WOTC Application Case
5	The system must be able to automatically reject a WOTC application when one has already been submitted for the SSN by the employer.		X		A	Case Manager: Configure a WOTC Application Case
6	The system must be able to automatically reject WOTC applications for employees rehired by the same employer (same FEIN or different FEIN when the employer is a subsidiary with the same owner).		X		A	Case Manager: Configure a WOTC Application Case

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
7	The system must be able to automatically reject WOTC applications when the eligibility period for the target group has expired.		X		A	Case Manager: Configure a WOTC Application Case
8	The system must be able to automatically process WOTC applications when the previously expired eligibility period for the target group is extended.		X		A	Case Manager: Configure a WOTC Application Case
9	The system must be able to only allow a WOTC application to be submitted by a party other than the employer when there is a valid Power of Attorney for the submitting party.		X		A	Case Manager: Configure a WOTC Application Case
10	The system must be able to automatically calculate WOTC eligibility based on wage information, rehire status indicator, and claims information.		X		A	Case Manager: Configure a WOTC Application Case
11	The system must allow staff to prioritize the order in which eligibility is validated with various government entities.		X		A	Case Manager: Configure a WOTC Application Case
12	The system must be able to electronically interface with the Michigan Department of Human Services to validate target group eligibility for WOTC program.		X		A	Architecture: Interfaces
13	The system must be able to automatically determine eligibility for U.S. military veterans when a claim for unemployment benefits based on military service exists.		X		A	Case Manager: Configure a WOTC Application Case
14	The system must be able to electronically interface with the U.S. Bureau of Veteran Affairs to validate veterans target group eligibility.		X		A	Architecture: Interfaces

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
15	The system must be able to electronically interface with the U.S. Department of Veterans Administration (VA) to validate veterans target group eligibility.		**X**		**A**	Architecture: Interfaces
16	The system must be able to electronically interface with U.S. HUD Empowerment Zone/Enterprise Community Locator System to validate selected target group eligibility.		**X**		**A**	Architecture: Interfaces
17	The system must be able to electronically interface with Michigan Secretary of State to validate selected target group eligibility.		**X**		**A**	Architecture: Interfaces
18	The system must be able to electronically interface with Michigan Rehabilitation Services (MRS) to validate selected target group eligibility.		**X**		**A**	Architecture: Interfaces
19	The system must be able to electronically interface with Maximus Ticket to Work System (SSA) to validate selected target group eligibility.		**X**		**A**	Architecture: Interfaces
20	The system must be able to electronically interface with the State of Michigan Department of Corrections to validate selected target group eligibility.		**X**		**A**	Architecture: Interfaces
21	The system must update WOTC application status for each employee based upon validation process for each target group selected.		**X**		**A**	Case Manager Configure a WOTC Application Case
22	The system must allow staff to reverse eligibility status for WOTC based on regulation changes for each target group.	**X**			**A**	Case Manager Configure a WOTC Application Case

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
23	The system must provide the ability to automatically generated notices of eligibility for WOTC to employers.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
• **H. Proof of Claim - Bankruptcy**						
1	The system must provide the ability to electronically interface with the U.S. Bankruptcy Courts Centralized Electronic Bankruptcy Notifying (EBN) system to receive notification and updates of bankruptcy filings for Michigan employers.	X			A	Bankruptcy Manager: Electronic Bankruptcy Notification
2	The system must allow staff to search for (and view) a bankruptcy case.	X			A	Bankruptcy Manager
3	The system must provide the ability to view all bankruptcy cases attached to an employer.	X			A	Bankruptcy Manager
4	The system must allow staff to enter, update, and view bankruptcy case.	X			A	Bankruptcy Manager
5	The system must allow staff to attach multiple employers to a bankruptcy case.		X		A	Bankruptcy Manager
6	The system must be able to associate documents and correspondences with a bankruptcy case.	X			A	Bankruptcy Manager
7	The system must allow staff to maintain the status of a bankruptcy case.	X			A	Bankruptcy Manager
8	The system must be able to suspend normally automated processes if there is an active bankruptcy case attached to an employer.	X			A	Bankruptcy Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
9	The system must allow staff to file/modify/amend a proof of claim on the bankruptcy case.	**X**			**A**	Bankruptcy Manager
10	The system must allow staff to electronically submit a proof of claim with associated attachments to the U.S. Bankruptcy Courts Centralized Electronic Bankruptcy Notifying (EBN) system.	**X**			**A**	Bankruptcy Manager: Electronic Bankruptcy Notification
11	The system must be able to electronically interface to the U.S. Bankruptcy Courts Centralized Electronic Bankruptcy Notifying (EBN) system to receive reports when assets have become available or the trustee has filed a Trustee Final Accounting.	**X**			**A**	Bankruptcy Manager: Electronic Bankruptcy Notification
12	The system must be able to electronically receive payments from U.S. Bankruptcy Courts Centralized Electronic Bankruptcy Notifying (EBN) system.	**X**			**A**	Bankruptcy Manager: Electronic Bankruptcy Notification
13	The system must allow staff to enter notification/updates of bankruptcy filings for Michigan employers.	**X**			**A**	Bankruptcy Manager
• **I. Employer Compliance - Field Audit**						
1	The system must allow staff to create/update/view employer compliance audit cases.	**X**			**A**	Audit Manager
2	The system must allow staff to select the type of employer compliance audit cases (Tax Audit, Claims Investigation, Delinquent Reports).		**X**		**A**	Audit Manager
3	The system must allow staff to maintain the status of an employer compliance audit case.	**X**			**A**	Audit Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
4	The system must provide staff the ability to associate and view documents attached to an employer compliance audit case.	X			A	Audit Manager
5	The system must be able to automatically assign an employer compliance audit case to staff based on the zip code of the employer's business address.		X		A	Audit Manager
6	The system must provide a laptop audit component that is in sync with the audited employer account (bi-directional).	X			A	Audit Standalone
7	The system must allow staff to create and update an online audit action plan for employer compliance audit cases.	X			A	Audit Manager
8	The system must have the ability for staff to approve/deny the findings resulting from the employer compliance audit case.	X			A	Audit Manager
9	The system must allow staff to generate a (re)determination on the outcome of the employer compliance audit case.		X		A	Audit Manager
10	The system must be able to automatically select a configurable subset of completed employer compliance audit cases for peer review.		X		A	Audit Manager
11	The system must allow staff to enter time usage and travel (ex. mileage) related to a specific employer compliance audit case.	X			A	Audit Manager: Timekeeping
12	The system must be able to create sample files of employer accounts selected for (random) Tax Audits.		X		A	Audit Manager
13	The system must be able to electronically receive referrals for Claims Investigation.		X		A	Architecture: Interfaces

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
14	The system must be able to automatically update claim information based on the entry/update of the findings of the investigation in the employer compliance audit case.		X		A	Audit Manager
•	**Common Functions**	•	•	•	•	
•	**Appeals**					
1	The system must be able to receive and process a protest/appeal via fax, mail or electronically.		X		A	Architecture: Interfaces Case Manager
2	The system must be able to automatically associate a protest/appeal to a nonmonetary determination, a monetary determination or a tax-related issue.		X		A	Case Manager
3	The system must be able to not allow a protest/appeal to be created when a protest/appeal already exists for the attached nonmonetary determination, monetary determination or a tax-related issue.		X		A	Case Manager
4	The system must not allow a protest/appeal to be created when the protesting/appealing party has not been adversely affected by the most recent determination on the monetary, nonmonetary or tax-related issue.		X		A	Case Manager
5	The system must be able to automatically create a 'timeliness' issue when a protest/appeal is not received within a configurable time period.		X		A	Case Manager
6	The system must allow staff to bypass the redetermination of a nonmonetary issue and process an appeal when all interested parties have consented to the bypass.		X		A	Case Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
7	The system must be able to electronically interface with the appeals division case management system to transmit the information and documents related to the appeal when an appeal is created.		X		A	Architecture: - Interfaces
8	The system must provide the ability for staff to manually enter/update/view/delete a protest/appeal.	X			A	Case Manager
9	The system must provide the ability for staff to add an additional issue to an appeal.	X			A	Case Manager
10	The system must be able to automatically generate a notice of appeals hearing to all interested parties.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
11	The system must allow staff to enter/update an advocacy case (to provide claimant representation for an appeal hearing)	X			A	Case Manager
12	The system must allow staff to enter/update advocate profile and status information including demographic, employment, and contract information.		X		A	Case Manager
13	The system must be able to automatically establish a level of service for the advocacy case and allow staff to override the level of service.		X		A	Case Manager
14	The system must be able to automatically generate an informational packet for the claimant including a description of eligible services and list of advocates when an advocacy case is created.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
15	The system must allow staff to designate an advocate to an advocacy case.	X			A	Case Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
16	The system must be able to automatically add the designated advocate as an interested party to the appeal.		X		A	Case Manager
17	The system must be able to automatically generate the information and documents related to the appeal to the designated advocate.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
18	The system must be able to process each of the appeal request types; ALJ hearing, ALJ rehearing, Board of Review, Appeal to Circuit Court		X		A	Case Manager
•	**Quality Assurance**	•	•	•	•	
•	**A. QA - General**	•	•	•	•	
1	The system must allow staff to create quality assurance cases for Benefits Accuracy Management (BAM), Fraud, Cross-Matching, Benefits Timeliness Quality (BTQ), Employee Misclassification, State Unemployment Tax Act (SUTA) and Tax Performance System (TPS) based on specified criteria.		X		A	Case Manager
2	The system must allow staff to search for quality assurance cases.	X			A	Case Manager
3	The system must allow staff to view/update a quality assurance case.	X			A	Case Manager
4	The system must allow staff to associate/attach documents to a quality assurance case.	X			A	Case Manager: Attachments
5	The system must allow staff to maintain the status of a quality assurance case.	X			A	Case Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
•	**B. QA - Benefits Accuracy Measurement (BAM)**					
1	The system must be able to create a sample case file of claimant selected for BAM assessment.		**X**		**A**	Query-driven Bulk Processing
2	The system must be able to create a 'snapshot' of the data attached to the claimant record at the time the record is selected for assessment.		**X**		**A**	Data Mart Manager
3	The system must be able to automatically generate a form to employers and claimant requesting verification of information attached to the case.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
4	The system must be able to electronically transmit a file of BAM cases selected for assessment to the USDOL Federal Data Entry System.		**X**		**A**	Architecture: Interfaces
5	The system must allow staff to access Data Collection Instrument (DCI) (Federal Data Entry System) to input the results of the BAM assessment.		**X**		**A**	Configure an action button or hyperlink in the solution's GUI to open another application
6	The system must be able to create a 'snapshot' of the data attached to the claimant record at the time the case is closed.		**X**		**A**	Data Mart Manager
7	The system must be able to atomically produce a summary report of BAM assessment finding for each same file.		**X**		**A**	Reports Manager: Create Report Templates
•	**C. QA - Benefits Timeliness and Quality (BTQ) Measures**					
1	The system must be able to create sample files of claimant selected for BTQ assessment.		**X**		**A**	Query-driven Bulk Processing

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
2	The system must be able to automatically calculate if a record met the federal timeliness criteria for that target population for the selected benefit function.		X		A	Query-driven Bulk Processing
3	The system must allow staff to enter multiple scores for a Benefit Timeliness and Quality (BTQ) Review case.		X		A	Case Manager
4	System must establish an electronic interface to the Federal Data Entry System to allow transmittal of BTQ sample file and receiving the Quality and Timeliness scores.		X		A	Architecture: Interfaces
5	The system must be able to electronically transmit a file of BTQ cases selected for assessment to the USDOL Federal Data Entry System.		X		A	Architecture: Interfaces
6	The system must allow staff to access Data Collection Instrument (DCI) (Federal Data Entry System) to input the results of the BTQ assessment.		X		A	Architecture Open another application via the solution's GUI
7	The system must be able to automatically produce a summary report of BTQ assessment finding for each same file.		X		A	Reports Manager: Create Report Templates
•	**D. QA – CrossMatch**					
1	The system must be able to cross-match benefit payments against the UIA Quarterly Wage data.		X		A	Data Warehouse Discovery
2	The system must be able to cross-match benefit payments against the quarterly wage data in other states through the ICON system.		X		A	Data Warehouse Discovery
3	The system must be able to cross-match benefit payments against the National Directory of New Hires for wages and dates of hire.		X		A	Data Warehouse Discovery

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
4	The system must be able to cross-match benefit payments against the State Directory of New Hires.		**X**		**A**	Data Warehouse Discovery
5	The system must be able to automatically generate a form to employers and claimant requesting a breakdown of claimant wages for the weeks of benefit payments identified in a quarterly wage cross-match.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
6	The system must be able to cross-match claimant SSN/Name/Date of Birth with the Social Security Administration (SSA) to verify the identity of the claimant.		**X**		**A**	Data Warehouse Discovery
7	The system must be able to cross-match claimant Drivers License ID/Name with the Michigan Secretary of State to verify the identity of the claimant.		**X**		**A**	Data Warehouse Discovery
8	The system must be able to automatically generate a form to claimant requesting verification of SSN/Name/Date of Birth/Drivers License ID if the cross match with the SSA or the Michigan Secretary of State results in a mismatch.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Automatically
9	The system must be able to cross-match Interstate Billing (through ICON) with claimants who have outstanding overpayments who may have relocated to another state.		**X**		**A**	Data Warehouse Discovery
• **E. QA - Fraud Investigations**						
1	The system must allow staff to refer potential fraud cases for investigation.	**X**			**A**	Case Manager
2	The system must be able to automatically analyze data to discover potential fraud.		**X**		**A**	Data Warehouse Discovery

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
3	The system must allow staff to refer potential fraud cases for prosecution.	X			A	Case Manager
4	The system must be able to atomically produce a summary fraud report for each case file.		X		A	Reports Manager: Create Report Templates
5	The system must allow staff to enter Warrant Recommendation.		X		A	Case Manager
•	**F. QA - Misclassification**					
1	The system must be able to electronically interface with the IRS to receive Form 1099-MISC data.		X		A	Architecture: Interfaces
2	The system must be able to generate misclassification determinations to employers.		X		A	Case Manager
3	The system must allow staff to transmit the result of an employer compliance audit case related to employee misclassification to the IRS.		X		A	Architecture: Interfaces
•	**G. QA - State Unemployment Tax Act (SUTA)**					
1	The system must be able to cross-match employer records and quarterly wage data to identify employers who meet the criteria for potential SUTA dumping.		X		A	Data Warehouse Discovery
2	The system must interface with SUTA Dumping Detection Software (SDDS) to identify employers who meet the criteria for potential SUTA dumping.		X		A	Architecture: Interfaces
3	The system must provide the ability for staff to associate multiple employers to a SUTA case.		X		A	Case Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
4	The system must be able to identify the core (master) employer when multiple employers are associated with a SUTA case.		X		A	Case Manager
5	The system must be able to discontinue automated processes for an employer when a case is created for SUTA investigation.		X		A	Case Manager
6	The system must be able to prevent the archiving or deleting of an employer record if the employer account is under SUTA investigation.		X		A	Case Manager Architecture Audit Trail
7	The system must be able to create a SUTA summary document of the findings of a SUTA investigation.		X		A	Correspondence Manager: Design Letter Templates Create Letters Online
8	The system must provide the ability for staff to generate a determination to employers with the disposition of the SUTA case.		X		A	Correspondence Manager: Design Letter Templates Create Letters Online
•	**H. QA - Tax Performance System (TPS)**					
1	The system must be able to create files of employer accounts selected for TPS review for the following function: Status Determinations, Cashiering, Report Delinquency, Collections, Field Audit and Account Maintenance.		X		A	Query-driven Bulk Processing
2	The system must be able to create a 'snapshot' of the data attached to the employer record at the time the record is selected for review.		X		A	Data Mart Manager
3	The system must allow staff to request replacement cases from the selected sample set.	X			A	Case Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
4	The system must be able to automatically calculate if a record met the federal timeliness criteria for that target population for the selected tax function.		X		A	Query-driven Bulk Processing
5	The system must have an electronic interface to the Federal Data Entry System to allow staff to transmit the TPS review findings, validated data for federal reports and, revised audit results.		X		A	Architecture: Interfaces
•	**Reporting Functions**	•	•	•	•	
•	**A. Reports - Internal**					
1	The system must provide a configurable system of reporting, dashboard and score-card reporting capabilities.	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
2	The system must be able to produce multiple types of internal reports (i.e. production reports, error reports, statistical reports, metrics reports (including Performance measurement/Key Performance Indicators Reports))	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard Architecture - Exception/Errors
3	The system must be able to produce both on-demand and regularly scheduled internal reports.	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
4	The system must allow staff to access available internal reports to run via a variety of methods (displayed list of available reports, ability to search for a specific report or type of report, etc.)	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
5	The system must allow staff to run parameterized on-demand reports	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
6	The system must allow staff to maintain a run-time schedule for internal reports.	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
7	The system must be able to produce internal reports based on staff defined intervals (daily, weekly, monthly, etc.)	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
8	The system must allow staff to select the delivery method for available internal reports.	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
9	The system must allow staff to pre-define the number of records to be returned per page on an internal report.		X		B	Reports Manager Query Manager Data Mart Manager Executive Dashboard
10	The system must provide logical navigation for multi-page reports.	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
11	The system must allow staff to retrieve on-demand reports real time or in overnight batch mode.	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
12	The system must be able to regulate the production of on-demand report based on system usage/performance.		X		A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
13	The system must be able to notify staff when an on-demand internal report is available when the generation of the report was delayed due to system usage/performance	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
14	The system must be able to automatically route internal report results to staff (both regularly scheduled reports and on-demand reports)	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
15	The system must be able to display reports in multiple formats (i.e. table, chart, graph)	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
16	The system must allow staff to save reports in various formats including XLS, DOC, PDF, CSV, TXT, and Image files.	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
17	The system must provide a printable view of internal reports (with no truncating report data).	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
18	The system must be able to archive internal reports.	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
19	The system must provide an ad-hoc query tool.	X			A	Query Manager My Search
20	The system must allow staff to run queries using logical operators.	X			A	Query Manager My Search
21	The system must allow staff to export query ad-hoc query results.	X			A	Query Manager My Search
22	The system must allow staff to save named queries.	X			A	Query Manager My Search
•	**B. Federal Reporting**					
1	The system must allow staff to schedule (and manage the schedule for) producing Federal ETA Reports (at an individual report level).	X			A	Reports Manager
2	The system must be able to automatically produce Federal ETA Reports in adherence to scheduled production dates.		X		A	Reports Manager
3	The system must allow staff to retrieve and view federal report data on-demand and at scheduled intervals.	X			A	Reports Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
4	The system must provide a printable view of Federal ETA Reports (with no truncating report data).		X		A	Reports Manager
5	The system must allow staff to make annotations on Federal ETA Reports.		X		B	Reports Manager
6	The system must allow staff to modify data on Federal ETA Reports.		X		B	Reports Manager
7	The system must allow staff to modify the data requirements of Federal ETA Reports.	X			A	Reports Manager
8	The system must collect the data necessary to produce required Federal ETA reports.	X			A	Reports Manager
9	The system must be able to automatically retrieve report data and perform the required calculations prescribed in the ETA Federal Reporting Handbook.		X		A	Reports Manager
10	The system must be able to automatically produce federal reports in the format prescribed in the ETA Federal Report Handbook.		X		A	Reports Manager
11	The system must be able to electronically interface with the Employment and Training Administration reporting system to electronically submit Federal ETA Reports.		X		A	Reports Manager
12	The system must automatically produce the ETA 191 Report, Statement of Expenditures and Financial Adjustment of Federal Funds for Unemployment Compensation for Federal Employees and Ex-Service - members.		X		A	Reports Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
13	The system must automatically produce the ETA 203 Report, Characteristics of the Insured Unemployed.		X		A	Reports Manager
14	The system must automatically produce the ETA 204 Report, Experience Rating.		X		A	Reports Manager
15	The system must automatically produce the ETA 205 Report, Preliminary Estimates of Average Employer Contribution Rates.		X		A	Reports Manager
16	The system must automatically produce the ETA 207 Report, Nonmonetary Determination Activities.		X		A	Reports Manager
17	The system must automatically produce the ETA 218 Report, Benefit Rights and Experience.		X		A	Reports Manager
18	The system must automatically produce the ETA 227 Report, Overpayment Detection and Recovery Activity.		X		A	Reports Manager
19	The system must automatically produce the ETA 269 Report, Continuous Improvement Plan Report.		X		A	Reports Manager
20	The system must automatically produce the ETA 538 Report, Advance Weekly Initial and Continued Claims Report.		X		A	Reports Manager
21	The system must automatically produce the ETA 539 Report, Weekly Claims and Extended Benefits Triggers.		X		A	Reports Manager
22	The system must automatically produce the ETA 563 Report, Trade Adjustment Assistance (TAA) Quarterly Activities Report.		X		A	Reports Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
23	The system must automatically produce the ETA 581 Report, Contribution Operations.		X		A	Reports Manager
24	The system must automatically produce the ETA 586 Report, Interstate Arrangement for Combining Employment and Wages.		X		A	Reports Manager
25	The system must automatically produce the ETA 2112 Report, UI Financial Transaction Summary.		X		A	Reports Manager
26	The system must automatically produce the ETA 5130 Report, Benefit Appeals Report.		X		A	Reports Manager
27	The system must automatically produce the ETA 5159 Report, Claims and Payment Activities.		X		A	Reports Manager
28	The system must automatically produce the ETA 8401 Report, Monthly Analysis of Benefit Payment Account.		X		A	Reports Manager
29	The system must automatically produce the ETA 8403 Report, Summary of Financial Transactions Title IX Funds (Reed Act money).		X		A	Reports Manager
30	The system must automatically produce the ETA 8405 Report, Monthly Analysis of Clearing Account.		X		A	Reports Manager
31	The system must automatically produce the ETA 8413 Report, Income-Expense Analysis, UC Fund, Benefit Payment Account.		X		A	Reports Manager
32	The system must automatically produce the ETA 8414 Report, Income-Expense Analysis, UC Funds, Clearing Account.		X		A	Reports Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
33	The system must automatically produce the ETA 9000 Report, Internal Fraud Activities.		X		A	Reports Manager
34	The system must automatically produce the ETA 9016 Report, Alien Claimant Activity Report.		X		A	Reports Manager
35	The system must automatically produce the ETA 9047 Report, Reemployment of UI Benefit Recipients		X		A	Reports Manager
36	The system must automatically produce the ETA 9048 Report, Worker Profiling and Reemployment Services Activity.		X		A	Reports Manager
37	The system must automatically produce the ETA 9049 Report, Worker Profiling and Reemployment Services Outcomes.		X		A	Reports Manager
38	The system must automatically produce the ETA 9050 Report, First Payment Time Lapse.		X		A	Reports Manager
39	The system must automatically produce the ETA 9051 Report, Continued Weeks Compensated Time Lapse.		X		A	Reports Manager
40	The system must automatically produce the ETA 9052 Report, Nonmonetary Determinations Time Lapse, Detection Date.		X		A	Reports Manager
41	The system must automatically produce the ETA 9053 Report, Nonmonetary Determinations Time Lapse.		X		A	Reports Manager
42	The system must automatically produce the ETA 9054 Report, Appeals Time Lapse.		X		A	Reports Manager
43	The system must automatically produce the ETA 9055 Report, Appeals Case Aging.		X		A	Reports Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
44	The system must automatically produce the ETA 9056 Report, Nonmonetary Determinations Quality Review.		X		A	Reports Manager
45	The system must produce the ETA 9057 Report, Lower Authority Appeals Quality Review.		X		A	Reports Manager
46	The system must automatically produce the ETA 9058 Report, Certification Workload and Characteristics of Certified Individuals, Work Opportunity and Welfare-to-Work Tax Credits.		X		A	Reports Manager
47	The system must automatically produce the ETA 9128 Report, Reemployment and Eligibility Assessments Activities.		X		A	Reports Manager
48	The system must automatically produce the ETA 9129 Report, Reemployment and Eligibility Assessments Outcomes.		X		A	Reports Manager
49	The system must automatically produce the ETA 9130 Report, Financial Report.		X		A	Reports Manager
50	The system must be able to automatically generate forecasting models using federal report data.		X		A	Data Mart Manager
•	**Payments and Collections**					
•	**A. Payments and Collections**					
1	The system must be able to automatically recalculate a claimant overpayment balance when there is a payment or recoupment against the amount overpaid or there is a full/partial write-off of the balance on the overpayment.	X			A	Financials Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
2	The system must be able to automatically recalculate the employer account balance, including penalties and interest, when there is a payment on the account or there is a full/partial write-off of the balance on the account.	**X**			**A**	Financials Manager
3	The system must allow staff to request the recalculation of the employer account balance including penalties and interest (total interest accrual as well as daily interest accrual rate).	**X**			**A**	Financials Manager
•	**B. Payments**					
1	The system must be able to electronically interface with the Michigan Centralized Electronic Payment Authorization System (CEPAS) to process electronic tax and restitution payments submitted online through the employer/claim web portals.		**X**		**A**	Architecture: Interfaces
2	The system must provide the ability for employers/ claimants to create/update/terminate an electronic payment account through the employer/claim web portals.	**X**			**A**	e-Services
3	The system must provide the ability for employers/claimants to submit tax and restitution payments to the Unemployment Insurance Agency (UIA) through the employer/claim web portals.		**X**		**A**	e-Services
4	The system must provide the ability for an employer to allocate an electronic payment to a specific period of time.	**X**			**A**	e-Services

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
5	The system must provide the ability for a claimant to allocate an electronic payment to a specific overpayment and indicate if the payment is to be applied to the overpayment or to a penalty.		**X**		**A**	e-Services
6	The system must provide the ability for employers/claimants to post-date an electronically payment made through the employer/claim web portals.	**X**			**A**	e-Services
7	The system must provide the ability for employers/claimants to create/update/terminate a schedule for automated payment of tax and restitution owed through the employer/claim web portals.	**X**			**A**	e-Services
8	The system must provide the ability for employers to submit a single payment for taxes for multiple employer accounts through the employer web portal.	**X**			**A**	e-Services
9	The system must provide the ability for employers to submit a file detailing the distribution of a single payment for taxes across multiple employer accounts through the employer web portal.	**X**			**A**	e-Services
10	The system must be able to inform an employer/claimant if an electronic payment was rejected and provide the reason for rejection.		**X**		**A**	e-Services
11	The system must provide an electronic interface to the Michigan Department of Treasury to receive a posting file which includes electronic payment transmission from employers/claimants through the employer/claim web portal.		**X**		**A**	Architecture: Interfaces

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
12	The system must electronically interface with the financial institution vendor to receive payment files for tax or restitution payments mailed to their Lockbox.		X		A	Architecture: Interfaces
13	The system must allow staff to enter payment information for a tax or restitution payment.	X			A	Payments Manager
14	The system must be able to automatically generate a receipt for tax or restitution payments.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
15	The system must allow staff to scan and create images of checks received at UIA for tax or restitution payments.		X		A	Interface to FileNET
16	The system must allow staff to store the scanned image of checks in the document imaging system.		X		A	Interface to FileNET
17	The system must be able to electronically submit a deposit to the financial institution vendor of tax and restitution payments received at UIA.		X		A	Architecture: Interfaces
18	The system must be able to create a daily deposit summary of all deposits of tax and restitution payments to the financial institution vendor.		X		A	Reports Manager: Create Report Templates
19	The system must be able to automatically track invalid payments against the employer account/claimant overpayment.		X		A	Payments Manager
20	The system must be able to automatically generate a Notice of Delinquency when a payment is not received within a configurable time period.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
•	**C. Post**					
1	The system must allow staff to post tax or restitution payments received (manually and electronically) against the employer account/claimant overpayment.	**X**			**A**	Architecture: Interfaces Payments Manager: Apply Payments
2	The system must be able to distribute the posting of a single payment across multiple employer accounts.	**X**			**A**	Architecture: Interfaces Payments Manager: Apply Payments
3	The system must be able to automatically apply tax or restitution payments to the appropriate employer/claimant overpayment account.	**X**			**A**	Architecture: Interfaces Payments Manager: Apply Payments
4	The system must allow staff to reassign the designation of a tax or restitution payment.	**X**			**A**	Architecture: Interfaces Payments Manager: Apply Payments
5	The system must be able to automatically apply tax payments received on a cancelled employer account to a "consolidated with" employer account.	**X**			**A**	Architecture: Interfaces Payments Manager: Apply Payments
6	The system must be able to automatically apply SUTA payments, including penalties, collected under SUTA dumping legislation to the appropriate employer account or UIA Tax and Trust account.		**X**		**A**	Architecture: Interfaces Payments Manager: Apply Payments
7	The system must be able to automatically apply "voluntary type tax payments" to the employer's reserve ending balance.		**X**		**A**	Architecture: Interfaces Payments Manager: Apply Payments
8	The system must be able to automatically convert “voluntary type tax payments" into solvency tax payments.		**X**		**A**	Architecture: Interfaces Payments Manager: Apply Payments

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
9	The system must be able to automatically post a payment to a suspense account if a tax or restitution payment cannot be applied to an employer account/claimant overpayment.		X		A	Architecture: Interfaces Payments Manager: Apply Payments
10	The system must be able to automatically post income tax refund payments against a claimant's overpayment of benefits.		X		A	Architecture: Interfaces Payments Manager: Apply Payments
11	The system must automatically adjust an employer account when a tax payment fails to clear.		X		A	Architecture: Interfaces Financials Manager
•	**D. Recoupment**					
1	The system must be able to automatically recoup a claimant overpayment with all or part of a subsequent benefit payment.		X		A	Refunds Manager
2	The system must be able to automatically enforce the order of offset against a claimant overpayment if there are multiple overpayments for a claimant or if there are penalties attached to the overpayment.		X		A	Financials Manager
3	The system must apply be able to automatically recoup an overpayment based on the monetary program under which the overpayment was established and the monetary program in which current benefit payments are paid.		X		A	Financials Manager
•	**E. Collection Case**					
1	The system must allow staff to create/update/view a collection case against an employer/claimant.	X			A	Collections Manager
2	The system must allow staff to select the quarters an employer account to be included within the collection case.	X			A	Collections Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
3	The system must allow staff to select the restitution week's penalties on a claimant overpayment to be included within the collection case.		X		A	Collections Manager
4	The system must allow staff to place or remove an administrative "stop" of automated lien/assessment processes on employer accounts/claimant overpayments.	X			A	Collections Manager Maintain Indicators
5	The system must be able to automatically generate a Statement of Account to employers/claimants to reflect payments and balances on accounts/overpayments.	X			A	Financials Manager: Issue Statement of Account
•	**F. Assessment**					
1	The system must allow staff to generate a Notice of Assessment to an employer or to a claimant for a collection case.	X			A	Correspondence Manager: Design Letter Templates Create Letters Automatically
2	The system must be able to automatically generate a Notice of Assessment to a successor employer.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
3	The system must be able to automatically suspend recoupment and/or collections activity pending a protest on the Notice of Assessment.	X			A	Customer Manager Maintain Indicators
4	The system must be able to automatically suspend recoupment and/or collections activity if a timely protest is filed on the Notice of Assessment.	X			A	Customer Manager Maintain Indicators
•	**G. Payment Plan**					
1	The system must be able to automatically generate a Payment Plan to a claimant (employer must request a Payment Plan).		X		A	Collections Manager: Maintain Payment Plans

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
2	The system must allow staff to create/update/view a Payment Plan for a collection case.	X			A	Collections Manager: Maintain Payment Plans
3	The system must allow staff to view all payments made against a specific Payment Plan for a collection case.		X		A	Collections Manager: Maintain Payment Plans
4	The system must be able to automatically calculate required initial and minimum payment amounts on a Payment Plan.	X			A	Collections Manager: Maintain Payment Plans
5	The system must be able to automatically generate a determination of approval/denial of a Payment Plan to an employer/claimant.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
6	The system must be able to automatically cancel a Payment Plan.		X		A	Collections Manager: Maintain Payment Plans
7	The system must be able to automatically generate a Notice of Delinquency to an employer/claimant when the party fails to timely remit a payment according to the terms of the Payment Plan.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
•	**H. Lien**					
1	The system must allow staff to create/update/view lien information for collections against an employer/claimant.	X			A	Liens Manager
2	The system must be able to automatically generate a Lien Warning Letter to an employer/claimant.		X		A	Correspondence Manager: Design Letter Templates Create Letters Automatically
3	The system must allow staff to generate a Lien Warning Letter to a successor employer if a lien is set up with the predecessor employer.		X		A	Correspondence Manager: Design Letter Templates Create Letters Online

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
4	The system must be able to electronically interface with the appropriate County and Michigan Secretary of State to file a lien against an employer/claimant.		**X**		**A**	Architecture: Interfaces
5	The system must be able to electronically transfer funds to the appropriate County and Michigan Secretary of State for applicable fees related to the filing of a lien against an employer/claimant.		**X**		**A**	Architecture: Interfaces
6	The system must be able to electronically interface with the appropriate County to electronically receive information related to a lien.		**X**		**A**	Architecture: Interfaces
7	The system must allow staff to generate a Discharge of Lien to the affected employer or claimant.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Online
•	**I. Withhold**					
1	The system must allow staff to generate a Notice to Withhold and a Disclosure of Information to the appropriate financial institution(s).		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Online
2	The system must allow staff to enter/update/view Notice to Withhold information on a collection case.		**X**		**A**	Collections Manager
3	The system must have the ability for staff to generate a warrant to the appropriate financial institution(s) to request funds to satisfy payment on a collection case.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Online
4	The system must be able to electronically receive funds from a financial institution related to a warrant to satisfy payment on a collection case.		**X**		**A**	Architecture: Interfaces

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
•	**J. Judgment**					
1	The system must allow staff to generate a letter to the employer/claimant informing them of the intent to initiate legal action on a collection case.		**X**		**A**	Correspondence Manager: Design Letter Templates Create Letters Online
2	The system must allow staff to enter/update/view legal action taken on a collection case.		**X**		**A**	Collections Manager
3	The system must be able to electronically interface with the Michigan Attorney General Office to transmit and receive information related to legal action on a collection case.		**X**		**A**	Architecture: Interfaces
4	The system must allow staff to modify the statute of limitation dates on a collections case based on a legal judgment on the case.		**X**		**A**	Collections Manager
•	**K. Waiver**					
1	The system must provide the ability for claimants to request a waiver of recovery of the balance of an overpayment.		**X**		**A**	Case Manager
2	The system must allow staff to enter/update/view requests for waiver of an overpayment.	**X**			**A**	Case Manager
3	The system must allow staff to maintain the status of a request for waiver of an overpayment.	**X**			**A**	Case Manager
4	The system must provide the ability for employers to request a waiver of recovery of the balance due on an employer account.		**X**		**A**	Case Manager
5	The system must allow staff to enter/update/view requests for waiver of balance due on an employer account.	**X**			**A**	Case Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
6	The system must allow staff to maintain the status of a request for waiver of balance due on an employer account.	X			A	Case Manager
•	**L. Intercept**					
1	The system must be able to create a file containing claimant accounts where money is owed due to delinquent in the restitution payment of an overpayment of benefits.		X		A	
2	The system must be able to electronically interface with the Michigan Treasury Department to transmit a file of delinquencies for an intercept of a claimant's income tax refund.		X		A	
3	The system must be able to electronically receive claimant income tax refund payments from the Michigan Treasury Department.		X		A	
•	**M. Write-Off**					
1	The system must provide the ability to automatically write-off claimant overpayment balances.		X		A	Financials Manager: Write Off Debts in Bulk
2	The system must provide the ability to automatically write-off taxes owed on an employer account.		X		A	Financials Manager: Adjust Transactions
3	The system must provide the ability for staff to write-off claimant overpayment balances.	X			A	Financials Manager: Adjust Transactions
4	The system must allow staff to write-off taxes owed on an employer account.	X			A	Financials Manager: Adjust Transactions
5	The system must be able to automatically recalculate a claimant overpayment balance/employer tax balance as a result of a full or partial write-off.		X		A	Financials Manager: Adjust Transactions

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
•	**Trust Fund**					
1	The system must be able to automatically balance and reconcile all systems financial records at a given time or for a specific time period.	**X**			**A**	Financials Manager Revenue Manager General Ledger
2	The system must allow staff to enter financial transaction information from the UI system and outside systems, Federal and other State systems.	**X**			**A**	General Ledger
3	The system must allow staff to make entries and updates to the General Ledger.	**X**			**A**	General Ledger
4	The system must be able to automatically make the corresponding accounting updates throughout the system when financial entries are entered or updated.	**X**			**A**	Revenue Manager
5	The system must allow staff to view financial information from the system and external account fund balances.	**X**			**A**	General Ledger
6	The system must be able to display the detailed financial information for each accounting transaction.	**X**			**A**	Revenue Manager
7	The system must allow staff to perform trial balances calculations.	**X**			**A**	GAAP-Compliant Accounting Architecture Reports Manager Data Mart - A Trial Balance Report Data Cube can be configured
8	The system must allow staff to transfer funds between various financial institutions and confirm the account balance.	**X**			**A**	Payments Manager Financials Manager
9	The system must be able to electronically interface with the Michigan MAIN financial system.		**X**		**A**	Architecture: Interfaces

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
10	The system must be able to electronically interface with the UIA financial institution vendor.		**X**		**A**	Architecture: Interfaces
11	The system must be able to automatically update the Michigan Main financial system when a credit is entered into the UI system.		**X**		**A**	Architecture: Interfaces
12	The system must be able to automatically update the General Ledger when funds are transferred between the various financial institutions (i.e. Michigan MAIN, USDOL, UIA financial institution vendor).	**X**			**A**	General Ledger
13	The system must allow staff to close a specified account period and establish the next accounting period.	**X**			**A**	Revenue Manager General Ledger
14	The system must be able to electronically interface with various systems (Federal Reserve (ASAO-Automated Standard Application for Payments.) and the Treasury (PMS-Payments Management System) to receive and request grant monies, transfer monies to other states and receive and transfer monies with the Federal Government.		**X**		**A**	Architecture: Interfaces
15	The system must allow staff to receive and allocate funds, including grant monies, to the proper trust fund accounts.		**X**		**A**	Revenue Manager
16	The system must allow staff to calculate reserves and allocate funds to the UIA reserve account/balance.		**X**		**A**	Revenue Manager
17	The system must allow staff to apply grant monies to an account.		**X**		**A**	Revenue Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
18	The system must allow staff to receive, track and manage unidentified (employer/claimant) payments.		X		A	Payments Manager
19	The system must allow staff to estimate receivables for a configurable time period, and make periodical updates to the estimated receivables.		X		A	Revenue Manager
20	The system must allow staff to enter a manual deposit (payments, cash, and refunds) and generate a deposit slip for the bank.		X		A	Revenue Manager
21	The system must allow staff to schedule future banking transactions (deposits and transfers).		X		B	Revenue Manager
22	The system must allow staff to cancel or modify scheduled banking transactions.		X		A	Revenue Manager
23	The system must be able to automatically calculate the necessary amount of funds needed to be transferred daily between the UIA accounts, federal accounts, and other state accounts based upon account balances and program activities.		X		A	Revenue Manager
24	The system must allow staff to release financial transfers of funds (i.e., bank, federal, state, etc.).		X		A	Revenue Manager
25	The system must allow staff to cancel financial transactions prior to the release of financial transfers.		X		A	Revenue Manager
26	The system must allow staff to reverse the release of financial transfers.		X		A	Revenue Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
27	The system must be able to automatically maintain a collective check registry consisting of information such as outstanding/cleared/returned checks and cash on hand.		X		A	Revenue Manager
28	The system must be able to automatically record all returned payment information and update the appropriate employer or claimant account.	X			A	Financials Manager
29	The system must be able to automatically reissue lost payments when the banking/payment information has been updated.		X		A	Refunds Manager
30	The system must allow staff to generate a forgery affidavit to an employer/claimant if a lost payment has been cashed/paid out.		X		A	Correspondence Manager: Design Letter Templates Create Letters Online
31	The system must allow staff to reissue a payment when the UI account has been credited for a lost payment.		X		A	Refunds Manager
32	The system must allow staff to place a 'stop payment' on a lost payment when the UI account has not been credited for a lost payment to the UI account.		X		A	Customer Manager: Maintain Indicators
33	The system must be able to automatically reissue payment when a 'stop payment' is placed on a lost payment.		X		A	Refunds Manager
34	The system must be able to automatically create a daily positive pay file for all checks issued by the system.		X		A	Query-driven Bulk Processing

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
35	The system must be able to automatically verify if the UIA financial institution vendor can redeem a payment (positive pay decision).		X		A	Architecture: Interfaces
36	The system must be able to electronically transmit the positive pay file to the UIA financial institution vendor.		X		A	Architecture: Interfaces
37	The system must allow staff to authorize payment redemption by the UIA financial institution vendor.		X		A	Revenue Manager
39	The system must allow staff to enter/update estimated receivables during end of year processing.		X		A	Revenue Manager
40	The system must allow staff to make system wide program/payment/funding - Adjust Transactions due to audit trial balances and reconciliation findings.		X		A	Revenue Manager
41	The system must allow staff to reconcile the UI System with UI Trust Fund Accounts, Federal Account, Federal Statements.		X		A	Revenue Manager
42	The system must be able to calculate revenue averages for multiple years.		X		A	Revenue Manager
43	The system must allow staff to reconcile accounts at fiscal year end, while allowing the transactions for the future year to occur.	X			A	Revenue Manager
44	The system must be able to automatically calculate daily, weekly and monthly balances for such things as profit loss, detail balances for all accounts and monthly bank statements.		X		A	Data Mart Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
45	The system must allow staff to perform searches on financial information such as check number, check returns, transfers, and general ledger entries.	**X**			**A**	Payments Manager Financials Manager Revenue Manager General Ledger
46	The system must be able to display multiple years of data for comparable views/queries (i.e. display what was paid in benefits under a certain program for year 1, year 2, year 3, and current year-to-date).	**X**			**A**	Financials Manager Revenue Manager General Ledger
•	**Correspondence**					
1	The system must allow staff to create correspondence templates.	**X**			**A**	Correspondence Manager: Manage Letter Templates Design Letter Templates
2	The system must allow staff to search for and retrieve correspondence templates.	**X**			**A**	Correspondence Manager: Manage Letter Templates Design Letter Templates
3	The system must allow staff to enter free-form text into correspondence templates.	**X**			**A**	Correspondence Manager: Design Letter Templates Create Letters Online
4	The system must allow staff to select variable text to insert into correspondence templates.	**X**			**A**	Correspondence Manager: Design Letter Templates Create Letters Online
5	The system must be able to prevent staff from selecting mutually exclusive variable text within a correspondence template. (e.g., selecting text for a denial in a document with a determination of eligibility).	**X**			**A**	Correspondence Manager: Design Letter Templates Create Letters Online
6	The system must be able to automatically insert variables (data) into correspondence templates.	**X**			**A**	Correspondence Manager: Design Letter Templates
7	The system must be able to automatically merge file data (i.e. names, addresses) with correspondence templates.	**X**			**A**	Correspondence Manager: Design Letter Templates

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
8	The system must be able to automatically retrieve and replace variable text for unpublished correspondence when the correspondence is reopened for additional editing.		X		B	Correspondence Manager: Reprint/Reissue Correspondence Items
9	The system must allow staff to review correspondence prior to generating the correspondence.	X			A	Correspondence Manager: Preview Letters
10	The system must be able to automatically generate correspondence.	X			A	Correspondence Manager: Create Letters Automatically
11	The system must allow staff to generate correspondence.	X			A	Correspondence Manager: Create Letters Online
12	The system must generate correspondence to the employer/claimant defined method of delivery.	X			A	Correspondence Manager: Address Letters
13	The system must generate an email notification to the employer/claimant who elects electronic receipt of correspondence when correspondence is posted to their web account.		X		B	e-Services: Publish Customer/Account Information A site component will be required to generate an e-mail notification when the relevant correspondence item has been published.
14	The system must allow staff to attach existing images/correspondence to new correspondence.		X		A	Existing Correspondence: Correspondence Manager Existing Images: FileNet
15	The system must automatically date-time stamp all generated correspondence.	X			A	Correspondence Manager
16	The system must be able to automatically send an email notification to the party (employer/claimant) advising them to retrieve correspondence within the claim/employer portal when the party elects to receive correspondence electronically.		X		B	e-Services: Publish Customer/Account Information A site component will be required to generate an e-mail notification when the relevant correspondence item has been published.

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
17	The system must be able to automatically create an image of all outgoing correspondence.	X			A	Correspondence Manager: View Correspondence History
18	The system must be able to automatically store all generated correspondence in the document management system and associate the correspondence with the appropriate account and/or record.	X			A	Correspondence Manager: View Correspondence History
19	The system must be able to automatically store published correspondence in non-editable format (e.g., .pdf).	X			A	Correspondence Manager: View Correspondence History
20	The system must be able to automatically record transmittal and identifying information on all outgoing correspondence.	X			A	Correspondence Manager: Track Issued Letters
21	The system must allow staff to resend correspondence.	X			A	Correspondence Manager: Reprint/Reissue Correspondence Items
22	The system must allow staff to designate whether resent correspondence is a reproduction or a duplicate of the original correspondence.		X		A	Correspondence Manager: Reprint/Reissue Correspondence Items
23	The system must be able to automatically manage dates that correspondence was generated, reproduced or resent.	X			A	Correspondence Manager: View Correspondence History
24	The System must be able to electronically stamp a generated piece of resent correspondence as "Duplicate".		X		A	Correspondence Manager: Reprint/Reissue Correspondence Items
25	The system must be able to automatically update 'due dates' when a previously generated correspondence is reproduced.		X		A	Correspondence Manager: Reprint/Reissue Correspondence Items
26	The system must allow staff to send copies of correspondence to additional parties.	X			A	Correspondence Manager: Manage Letter Templates

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
27	The system must be able to automatically generate correspondence via an alternative method if correspondence is returned as undeliverable using the employers/claimants preferred method of communication.		**X**		**A**	Correspondence Manager: Reprint/Reissue Correspondence Items
28	The system must be able to automatically resend returned correspondence (nor previously resent) when an address (postal or email) is updated.		**X**		**A**	Correspondence Manager: Reprint/Reissue Correspondence Items The trigger to reissue the letter must be configured.
29	The system must be able to automatically track and calculate the total number of mail returned as not deliverable by correspondence type.		**X**		**A**	Correspondence Manager: Track Issued Letters
30	The system must be able to support printing of correspondence in batch at a central location.	**X**			**A**	Correspondence Manager: Manage Letter Batch Printing
31	The system must allow staff to preview and print certain documents locally.	**X**			**A**	Correspondence Manager: Preview Letters Print Letters Locally
32	The system must have the ability automatically to bar code outgoing correspondence with identifying information and alignment marks, with appropriate indexes.	**X**			**A**	Correspondence Manager: Intelligent Mail Barcode (IMB)
33	The system must be able to prefill and bar code identifying information and alignment marks, with appropriate indexes, on all forms requested within the web portals.	**X**			**A**	Correspondence Manager: Intelligent Mail Barcode (IMB)
34	The system must provide the ability for employers/claimants to enter identifying information when requesting a form via the UIA public web site.		**X**		**A**	e-Services: Print Forms

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
35	The system must be able to prefill and bar code identifying information and alignment marks, with appropriate indexes, on all forms requested within the web portals when the requestor provides identifying information.		X		A	e-Services: Print Forms
36	The system must be able to scan and digitally index incoming correspondence.		X		A	FileNet Interface
37	The system must be able to store images in the document management system in the appropriate files based on indexes attached to the incoming correspondence.		X		A	FileNet Interface
38	The system must allow staff to manually index incoming correspondences which does not contain recognizable or readable information.		X		A	FileNet Interface
39	The system must be able to automatically record the received date for all incoming correspondence.		X		A	FileNet Interface
40	The system must be able to read incoming correspondence using Optical Character Reader (OCR) or Optical Mark Recognition (OMR) technology.		X		A	FileNet Interface
41	The system must be able to automatically insert data/create database records based on read information within the bar code and on the incoming correspondence.		X		A	FileNet Interface

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
•	**Workflow**					
1	The system must be able to automatically accept images from various imaging/scanning sources, fax servers, system processes, email accounts, staff and web applications.		**X**		**A**	FileNet Interface
2	The system must allow staff to assign attributes to images and work items. The attributes may consist of business area, employer number, claimant SSN, and date received. The attributes are used to distinguish one image from another image.		**X**		**A**	FileNet Interface
3	The system must be able to automatically distribute only work items that are able to be processed using assigned attributes. (i.e. if a future liability date is used, the work items will be distributed on or after the future date)		**X**		**A**	Work Items Manager
4	The system must be able to automatically distribute work items to the appropriate staff using staff's profile and configurable work item attributes.		**X**		**A**	Work Items Manager
5	The system must be able to automatically start and stop the distribution of work items when the configurable limits for a work type are reached in the staff's inbox.		**X**		**A**	Work Items Manager
6	The system must allow staff to adjust the distribution of work items.	**X**			**A**	Work Items Manager
7	The system must allow staff to search, select, and assign selected work items to a staff inbox.	**X**			**A**	Work Items Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
8	The system must allow staff to view work items distributed by team, role, area and staff members.	X			A	Work Items Manager
9	The system must allow staff to re-assign selected work items to staff or allow the system to distribute the selected work items.	X			A	Work Items Manager
10	The system must be able to automatically associate images and work items with other work items based upon similar work item attributes.		X		A	FileNet Interface
11	The system must be able to automatically alert staff when a work item is approaching or past the work item's desired date of completion.		X		A	Work Items Manager
12	The system must allow staff to process a work item.	X			A	Work Items Manager
13	The system must allow staff to place a work item on hold for a predetermined period of time or until requested additional information is received.	X			A	Work Items Manager
14	The system must be able to automatically re-distribute a work items placed on hold when additional information is received or the predetermined time period have passed.		X		A	Work Items Manager
15	The system must allow staff to sort work items by work item attributes.	X			A	Work Items Manager
16	The system must allow staff to search for images or work items using single or multiple search criteria.	X			A	For Work Items: Work Items Manager For Images: FileNet
17	The system must allow staff to limit the number of results returned for an image/work item search.	X			A	For Work Items: Work Items Manager For Images: FileNet

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
18	The system must be able to automatically display the results of a search for images/work items.	X			A	For Work Items: Work Items Manager For Images: FileNet
19	The system must be able to automatically display the search criteria used for the image/work item search on the search result screen.	X			A	For Work Items: Work Items Manager For Images: FileNet
20	The system must allow staff to select an image/work item or multiple images/work items to perform a selected action.	X			A	For Work Items: Work Items Manager For Images: FileNet
21	The system must allow staff to enter, modify or remove attributes for selected image(s) and work items.	X			A	For Work Items: Work Items Manager For Images: FileNet
22	The system must allow staff to select the attributes to be printed on the image.	X			A	FileNet
23	The system must allow staff to print, fax or email multiple images/work items in a single transaction. A page break will be placed between each document if more than one work item and or image was selected.	X			A	For Work Items: Work Items Manager For Images: FileNet
24	The system must be able to automatically place a page break between each document when multiple images/work items are printed/faxed/emailed in a single transaction.	X			A	For Work Items: Work Items Manager For Images: FileNet
25	The system must allow staff to add, edit and delete notes to an image or work item.	X			A	For Work Items: Work Items Manager For Images: FileNet

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
26	The system must be able to automatically mask sensitive information for correspondences or images being sent to employers, employer representatives, claimants, and other interested parties.	X			A	Correspondence Manager Images: FileNET
27	The system must allow staff to create a work item, clone a work item or recreate a completed work item.		X		A	Work Items Manager
28	The system must allow staff to consolidate images and work items from a cancelled account to the employer account that was retained.		X		A	For Work Items: Work Items Manager For Images: FileNet
29	The system must allow staff to view work items and images 'related to' or 'associated with' a selected image or work item.		X		A	For Work Items: Work Items Manager For Images: FileNet
30	The system must allow staff to associate or disassociate images and work items from a selected work item or image.		X		A	For Work Items: Work Items Manager For Images: FileNet
31	The system must allow staff to rotate, enhance, annotate and page through an images.	X			A	FileNet
32	The system must be able to automatically update the status of a work item each time an action is taken on the work item.		X		A	Work Items Manager
33	The system must be able to automatically distribute work items requiring approval to designated staff.		X		A	Work Items Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
34	The system must be able to automatically process a work item requiring approval once approval is granted. If approved action can't be automatically processed the system will distribute the work item to staff to complete.		X		A	Work Items Manager
35	The system must be able to automatically distribute a work item to staff to complete when a work item is approved.		X		A	Work Items Manager
36	The system must be able to support common image formats (i.e. pdf, html, tif, excel, word).	X			A	FileNet
37	The system must have the ability email all images in PDF format.	X			A	FileNet Interface
38	The system must be able to retain images until the images retention period has passed.	X			A	FileNet
39	The system must be able to automatically capture and record when images are emailed or faxed, where the images were sent and who sent the images.		X		A	FileNet Interface
•	**General Functions**	•	•	•	•	•
A.	**Account Management**					
1	The system must provide the ability for external customers to create a secure web account to access the employer/claim web portal.	X			A	e-Services: New User Registration
2	The system must be able to prevent more than one employer web account to be created for a UIA employer account.	X			A	e-Services: New User Registration
3	The system must be able to prevent more than one claim web account to be created for a Social Security Number.	X			A	e-Services: New User Registration

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
4	The system must be able to assign functionality accessible to external customers based on their customer category (i.e., claimants, employers, third-party administrators).		X		A	e-Services: New User Registration
5	The system must be able to capture customer specific information (e.g. demographics, contact) to be associated to an external customer account.	X			A	e-Services integration with the solution
6	The system must generate a confirmation number to external customers when a transaction is successfully submitted through the web portal.		X		A	e-Services: Initiate Web Request File Returns and Reports Make Payments
7	The system must provide the ability for external customers to define a preferred method of delivery for all correspondence associated with their web account		X		A	e-Services: Maintain a Web Profile
8	The system must provide the ability for external customers to maintain information and permissions associated with their web account.	X			A	e-Services: Maintain a Web Profile
9	The system must provide the ability for external customers to reset the password/username associated with their web account.	X			A	e-Services: Log On to e-Services
10	The system must provide the ability for external customers to request a new web account password and receive the password via email.	X			A	e-Services: Log On to e-Services
11	The system must provide external customers an alternative means to login to their web account if they have forgotten their username.		X		A	e-Services: Log On to e-Services

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
12	The system must allow staff to search for, view and maintain external customer web accounts.	X			A	Customer Manager: Search for Customers Maintain Account Attributes
13	The system must allow staff to post messages to the claim/employer web portal for a specific claimant/employer, all claimants/employers or a subset of claimants/employers.		X		A	e-Services
14	The system must allow staff to maintain the status of a claim/employer web account.	X			A	Customer Manager: Maintain Account Attributes
15	The system must allow staff to view activities (details of activities) performed by claimants/employers within the claim/employer web portal.	X			A	Customer Manager: e-Services Reports Manager
16	The system must allow staff to search by confirmation number for activities performed through the claim/employer web accounts.		X		A	Customer Manager: e-Services Reports Manager
17	The system must allow staff to manage employer permission to submit files for unemployment claims on behalf of their employees.	X			A	e-Services
18	Deleted					
19	The system must allow staff to maintain system and program parameters and code values.	X			A	Architecture Configuration
20	The system must provide the ability for staff to specify archive rules according to retention policies.	X			A	Reports Manager Query Manager Data Mart Manager Executive Dashboard
21	The system must allow staff to enter/update the Statute of Limitation dates on specified processes.	X			A	Architecture Configuration
22	The system must allow staff to maintain rate penalty tables.	X			A	Architecture Configuration

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
23	The system must allow staff to modify the tax rate components and calculations use in the tax rate formula due to changes in law and trust fund balance.	X			A	Architecture Configuration
24	The system must allow staff to enter/update tax rates and tax rate calculation rate components (Chargeable Benefit Components (CBC), Nonchargeable Benefit Components (NBC), Nonchargeable Benefit Account (NBA) and Account Building Components (ABC).	X			A	Architecture Configuration
25	The system must allow staff to maintain internal NAICS code tables	X			A	NAICS code maintenance is a standard product feature. NAICS code validation / translation tables are maintained automatically from an inbound interface and human intervention is not normally required.
26	The system must allow staff to update the accounting structure in the system and general ledger entries when new programs are added. (i.e. new extended benefit program)	X			A	Architecture: Tools
27	The system must allow staff to create and maintain a registry of Employer Representatives.	X			A	Customer Manager: Maintain Contacts
28	The system must allow staff to create/maintain a master list of employer leasing companies.	X			A	Customer Manager: Maintain Customer Attributes
29	The system must allow staff to create/maintain a listing of client companies for an employer leasing company.	X			A	Customer Manager: Maintain Links
30	The system must provide an online 'wizard' for staff to assist in determining future liability/tax balances for an employer account.	X			A	Configure a suitable worksheet.

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
31	The system must allow staff to maintain issue and fact finding codes.	**X**			**A**	Architecture: Tools
32	The system must allow staff to maintain fact finding questions.	**X**			**A**	Architecture: Tools
33	The system must allow staff to maintain system determination logic by issue and fact finding code.	**X**			**A**	Architecture: Tools
34	The system must allow staff to maintain the determination language by issue and fact finding code.	**X**			**A**	Architecture: Tools
35	The system must allow staff to maintain categories/topics to support online customer service.	**X**			**A**	Architecture: Tools
36	The system must allow staff to enter/update the scoring algorithm used to evaluate risk and identify claimants that need to go through profiling/reemployment services.	**X**			**A**	Architecture: Tools
37	The system must allow staff to create and update Advocacy Master Service Information for appeal hearings.	**X**			**A**	Architecture: Tools
38	The system must allow staff to generate correspondence to academic institutions to request information regarding school breaks.		**X**		**A**	Correspondence Manager: Create Letters Online
39	The system must allow staff to enter/update information related to a school's yearly calendar.		**X**		**A**	Customer Manager: Maintain Customer Attributes
40	The system must allow staff to enter/updated information related to a labor dispute.		**X**		**A**	Customer Manager: Maintain Indicators

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
41	The system must allow staff to set criteria/parameters to define selection criteria for Quality Assurance (QA) Cases (investigation).		**X**		**A**	Architecture Configurability
42	System must allow staff to create and update on-line System Review questionnaires and coding sheets to record the TPS review findings for the State's quality assurance procedures.		**X**		**A**	Architecture Configurability
43	System must allow staff to create and update analytical worksheets used in quality assurance cases.		**X**		**A**	Architecture Configurability
44	The system must allow staff to manage eligibility requirements, including expiration dates, for target groups for the Work Opportunity Tax Credit program.		**X**		**A**	Architecture Configurability
B.	**Audits**					
1	The system must create an audit history and capture all changes to auditable data including the date of the change and who made the change.	**X**			**A**	Audit Manager Architecture Audit Trail
2	The System must be able to archive federal/purge reports.		**X**		**B**	Reports Manager Query Manager Data Mart Manager Executive Dashboard
3	The system must allow staff to view the audit history for a selected claimant/employer, function or data.	**X**			**A**	Architecture Audit Trail
C.	**Forms Maintenance**	•	•	•	•	•
1	The system must allow staff to create, add, delete and update form template(s) and associated auto text inserts.	**X**			**A**	Correspondence Manager: Manage Letter Templates Design Letter Templates

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
2	The system must be able to maintain an inventory of form templates, associated auto text inserts, date of last update and identification of who made update.	**X**			**A**	Correspondence Manager: Manage Letter Templates
3	The system must be able to retain a copy of the previous versions of updated forms.	**X**			**A**	Correspondence Manager: Manage Letter Templates
4	The system must have the ability prevent staff from selecting mutually exclusive variable text within a forms template. (e.g., selecting text for a denial in a document with a determination of eligibility).		**X**		**A**	Correspondence Manager: Design Letter Templates
5	The system must be able to automatically monitor date sensitive information and maintain timers based on the date/time of distribution for correspondence		**X**		**A**	Correspondence Manager: Design Letter Templates
6	The system must allow staff to associate form with desired action and associated auto text inserts.		**X**		**A**	Correspondence Manager: Design Letter Templates
D. Edits / Validation / Business Rules		•				
1	The system will use State of Michigan business rules in implementing functional requirements.		**X**		**A**	Architecture Configurability
2	The system must be able to enforce edits and validations (on both the client and server side).		**X**		**A**	Architecture Configurability
3	The system must be able to automatically reject incomplete transactions as well as submit and save partially completed transactions.	**X**			**A**	Architecture Configurability
4	The system must be able to display appropriate message(s) to the user when data does not meet the edit/validation requirements.		**X**		**A**	Architecture Configurability

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
5	The system must provide the ability for staff, claimants and employers to click on an error message link at the top of the screen and be taken to the point in which the error occurred.		X		A	The underlying business requirement is met by the use of field background colors to flag warning and error conditions.
6	The system must be able to automatically update all references related to data field when a change has been made to that field.	X			A	Architecture Configurability
E.	**Events / Scheduling**					
1	The system must be able to provide a calendar system for staff to schedule and track assignments/appointments.		X		B	Calendar Manager
2	The system must allow staff to schedule an appointment. (e.g., date, time, location, participants)		X		B	Calendar Manager
3	The system must allow staff to attach documentation to the scheduled appointment.		X		B	Calendar Manager
4	The system must be able to automatically generate appointment confirmation notifications.		X		B	Calendar Manager
5	The system must be able to automatically generate appointment notification and associated correspondence to staff and external customers via preferred method when an appointment is scheduled or cancelled.		X		B	Calendar Manager
6	The system must be able to automatically schedule events (e.g., reminders, auto-alerts)		X		B	Calendar Manager
7	The system must allow staff to schedule an event.		X		B	Calendar Manager

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
8	The system must allow staff to modify existing scheduled events (e.g., begin date, end date, frequency, business process specific information).		X		B	Calendar Manager
9	The system must allow staff to suspend a scheduled event.		X		B	Calendar Manager
10	The system must allow staff to cancel a scheduled event.		X		B	Calendar Manager
11	The system must allow staff to associate comments with scheduled events.		X		B	Calendar Manager
12	The system must allow staff to associate a scheduled event with a system record (e.g., case record to an appointment).		X		B	Calendar Manager
13	The system must be able to maintain historical information related to scheduled events.		X		B	Calendar Manager
14	The system must be able to notify a user of a scheduled event based on user-defined criteria (e.g., reminder time, delivery mechanism).		X		B	Calendar Manager
15	The system must allow staff to set dates for the automatic generation of forms and reminder notices to claimants/employers based on type of notice/letter.	X			A	Architecture: Tools
16	The system must be able to provide the option for employers and claims (with web accounts) to receive an email reminder notification in advance of a due date.		X		A	e-Services: A site component will be required to generate an appropriate e-mail notification.
17	The system must be able to automatically generate correspondence at a determined interval to claimants/employers whose transaction is incomplete or pending;	X			A	Correspondence Manager: Configure correspondence item

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
F.	**Interfaces / Interoperability**					
1	The system must be able to automatically export data from the system in multiple formats (e.g., csv, fixed length ASCII, tab-delimited).	**X**			**A**	Architecture: Interfaces
2	The system must be able to automatically import data into the system in multiple formats (e.g., csv, fixed length ASCII, tab-delimited).	**X**			**A**	Architecture: Interfaces
3	The system must be able to automatically maintain external system information for interfaces (e.g., connection strings, file paths).	**X**			**A**	Architecture: Interfaces
4	The system must be able to automatically transmit/receive imported/exported data through multiple methods (e.g., file output, web service, single and batch transactional (e.g., ICON).		**X**		**A**	Architecture: Interfaces
5	The system must be able to automatically generate and execute scripts to import and export data.		**X**		**A**	Architecture: Interfaces
6	The system must be able to automatically present a result list for data imports and exports (e.g., success or failure, time started, time completed).		**X**		**A**	Architecture: Interfaces
7	The system must be able to automatically report on interface transmissions (e.g., total number of records loaded, date of interface transmission, amount of time to execute the interface transmission, errors, failures).		**X**		**A**	Architecture: Interfaces

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
8	The system must be able to automatically isolate records within a file that contain an error condition and process the file excluding the error records.		X		A	Architecture: Interfaces
9	The system must be able to automatically create a report of records that could be successfully processed within a batch file.		X		A	Architecture: Interfaces
10	The system must be able to automatically restart an interface transmission from a specific point (e.g., restart at failed record, restart from beginning).		X		A	Architecture: Interfaces
11	The system must be able to automatically associate information received via interface with the line-of-business record which generated the information request.		X		A	Architecture: Interfaces
12	The system must be able to support the exchange of bulk data information to be printed and mailed.		X		A	Architecture: Interfaces
13	The system must be able to support real time data exchange with external systems (i.e. other state agencies, federal government, vendors).		X		A	Architecture: Interfaces
14	The system must provide an electronic interface with address validation software.	X			A	The solution is CASS certified. The underlying business requirement is met without the need for an interface to third party address validation software.
15	The system must provide an electronic interface with occupational coding software.		X		A	Architecture: Interfaces
16	The system must provide an electronic interface with the SUTA Dumping Detection Software (SDDS).		X		A	Architecture: Interfaces

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
17	The system must provide an electronic interface with the Michigan Appeals Division's case management system.		X		A	Architecture: Interfaces
18	The system must provide an electronic interface with the Michigan Bureau of Commercial Services and Corporations.		X		A	Architecture: Interfaces
19	The system must provide an electronic interface with the Michigan Main Financial System.		X		A	Architecture: Interfaces
20	The system must provide an electronic interface with the Michigan Rehabilitation Services.		X		A	Architecture: Interfaces
21	The system must provide an electronic interface with the Michigan Department of Human Services.		X		A	Architecture: Interfaces
22	The system must provide an electronic interface with the Michigan Department of the Treasury.		X		A	Architecture: Interfaces
23	The system must provide an electronically interface Michigan Treasury PMS-Payments Management System.		X		A	Architecture: Interfaces
24	The system must provide an electronic interface with the Michigan Secretary of the State.(Michigan Drivers License)		X		A	Architecture: Interfaces
25	The system must provide an electronic interface with the Michigan Department of Corrections.		X		A	Architecture: Interfaces
26	The system must provide an electronic interface with the Michigan Central Electronic Payment Authorization System. (CEPAS)		X		A	Architecture: Interfaces

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
27	The system must provide an electronic interface with the State Information Data Exchange System (SIDES)		X		A	Architecture: Interfaces
28	The system must provide an electronic interface with the Michigan Works Agency.		X		A	Architecture: Interfaces
29	The system must provide an electronic interface with the State Directory of New Hires.		X		A	Architecture: Interfaces
30	The system must provide an electronic interface with the Interstate Connections Network. (ICON)		X		A	Architecture: Interfaces
31	The system must provide an electronic interface with the National Directory of New Hires.		X		A	Architecture: Interfaces
32	The system must provide an electronic interface with contracted UIA financial institution vendor		X		A	Architecture: Interfaces
33	The system must provide an electronic interface with the U.S. Internal Revenue Service.		X		A	Architecture: Interfaces
34	The system must provide an electronic interface with the U.S. Department of Homeland Security. (Legal alien status)		X		A	Architecture: Interfaces
35	The system must provide an electronic interface with the Federal Data Entry System.		X		A	Architecture: Interfaces
36	The system must provide an electronic interface with the U.S. Federal Housing and Urban Development - Empowerment Zone/Enterprise Community Locator System.		X		A	Architecture: Interfaces

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
37	The system must provide an electronic interface with the U.S. Department of Veterans Administration.		X		A	Architecture: Interfaces
38	The system must provide an electronic interface to the U.S. Bankruptcy Courts Centralized Electronic Bankruptcy Noticing (EBN) system		X		A	Architecture: Interfaces
39	The system must provide an electronic interface with the Federal Reserve (ASAP-Automated Standard Application for Payments).		X		A	Architecture: Interfaces
40	The system must provide an electronic interface with the U.S. Social Security Administration.		X		A	Architecture: Interfaces
41	The system must provide an electronic interface with the Federal Maximus Ticket to Work System.		X		A	Architecture: Interfaces
42	The system must provide an electronic interface with the U.S. Department of Labor TAA System.		X		A	Architecture: Interfaces
43	The system must provide an electronic interface with the Federal Reserve (ASAO-Automated Standard Application for Payments).		X		A	Architecture: Interfaces
44	The system must provide on-line services to claimants in English and in Spanish (and have the capability to add more languages in the future)		X		A	e-Services Correspondence Configure customer language preference and customer-facing functions, forms, and correspondence in both English and Spanish languages as part of initial implementation. The solution's language support allows for additional languages to be configured in the future.

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
45	The system must be able to automatically post an activity to the event Log/history log when transaction occurs.	X			A	Architecture: Audit Trail
46	The system must provide the ability for staff, claimants and employers to view the most recent activities on a claim/employer record (Event log/history log).	X			A	Architecture: Audit Trail
47	The system must provide the ability for external customers to electronically transmit documents.	X			A	e-Services: Initiate Web Requests File Returns and Reports
48	The system must provide the ability for external customers to electronically sign correspondence for correspondence submitted via the web portals.	X			A	e-Services requests have a confirmation step in which the customer is asked to confirm the action being taken (filing a return or report, making a payment, and so on). This confirmation step usually presents appropriate waiver language and the customer can be re-prompted for a password. This approach meets legal requirements in many jurisdictions.
49	The system must utilize standard US Postal Service guidelines for formatting address data.	X			A	Customer Manager: Validate Addresses The solution is CASS certified.
50	The system must be able to provide for word wrap for text fields.	X			A	Word wrapping is supported in text fields.
51	The system must allow staff to perform spelling and grammatical checks on correspondence and text entered online.		X		A	Customer Manager: Customer Relationship Management Correspondence Manager: Maintain Letter Templates Text fields include spell checking support. Grammar checking is not supported.
52	The system must be able to automatically produce an error report if any job does not run to completion.	X			A	System Manager Run Job Stream

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
53	The system must be able to automatically create and store images of online transactions.	X			A	Audit Trail
54	The system must be able to automatically create a work item when conditions exist that do not allow a transaction to be processed automatically.		X		A	Work Items Manager
55	The system must be able to automatically track due dates and create work item at set intervals		X		A	Work Items Manager
56	The system must be able to perform database purges based on predefined criteria and time frames.		X		A	Architecture: Purge
57	The system must allow staff to restore purged data.		X		A	Architecture: Purge
G.	**Notes**					
1	The system must allow staff to enter and display notes at a function level as well as a record level.	X			A	Customer Manager: Customer Relationship Management
2	The system must allow staff to sort notes based on the characteristics of the note (e.g., date created, staff).	X			A	Customer Manager: Customer Relationship Management
3	The system must be able to 'thread' notes.	X			A	Customer Manager: Customer Relationship Management
4	The system must allow staff to modify/delete notes.		X		B	Customer Manager: Customer Relationship Management Notes can be “invalidated” (i.e. logically deleted), but are maintained as an historical audit trail.
H.	**Online Help**	•	•	•	•	•
1	The system must be able to provide context sensitive, on-demand help.	X			A	Online Help Context Sensitive Help

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
2	The system must maintain a repository that contains instructions, examples, and templates for running queries and reports.	X			A	Online Help: Site-specific Help
3	System must provide a repository of Best Practices that contains examples and templates for users to follow when creating reports and queries.		X		A	Online Help: Site-specific Help
4	The system must provide immediate, searchable and relevant on-line access to all Unemployment Insurance (UI) policy and procedure manuals and new updates.		X		A	Online Help: Site-specific Help
5	The system must provide an online general subject index, process and procedure guide and field-level help guide.		X		A	Online Help Context Sensitive Help Site-specific Help The Online Help delivery software provides indexing and search capabilities.
6	The system must provide a full glossary of all UI terms.		X		A	Online Help: Site-specific Help
7	The system must provide online prescriptive guidance such as checklists and procedural guidance for conducting quality assurance activities.		X		A	Online Help: Site-specific Help
I.	**Search**	•	•	•	•	•
1	The system must allow staff to perform online searches using a variety of parameters (text, dates, etc.).	X			A	Customer Manager: Search for Customers
2	The system must allow staff to perform keyword searches.		X		A	Customer Manager: Search for Customers
3	The system must allow staff to sort search results returned data.	X			A	Customer Manager: Search for Customers
4	The system must allow staff to filter search results.	X			A	Customer Manager: Search for Customers

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
5	The system must allow staff to combine multiple search criteria using logical operators such as 'AND', 'OR', BETWEEN' and 'LIKE'.	X			A	My Search
6	The system must allow staff to search and retrieve records (or logical groups of records) matching compound search criteria.	X			A	My Search
7	The system must display search result sets in a paged manner based on a user-defined number of records per page.	X			A	The underlying business requirement is met by a "scrollable list" presentation of search results.
8	The system must provide pagination when the number of returned search results exceeds the number of records to be displayed per page.	X			A	The underlying business requirement is met by a "scrollable list" presentation of search results.
9	The system must provide query searching capabilities that can be used to search within a result set.	X			A	Online query results are presented in a list window. The result set can be searched using the filtering capabilities of the list window.
10	The system must allow staff to perform advanced searches to filter search results.	X			A	Customer Manager: Search for Customers
11	The system must allow staff to configure the number of returned search results.	X			A	Customer Manager: Search for Customers
J.	**Security**	•	•	•	•	•
1	The system must enforce security roles at a function level to determine users (internal/external) ability to enter, update, view and/or delete.	X			A	Security Manager: Define Application Security Controls Maintain Security Groups Associate Functions Directly
2	The system must provide staff one login identification (ID) for all applications within the UIA system.	X			A	The proposed UIA-IS solution is single, integrated application with a single login identification (ID) for all functional modules.

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
3	The system must provide staff one password for all applications within the UIA system.	X			A	Security Manager: LDAP-based User Authentication Internal User Authentication The proposed UIA-IS solution is single, integrated application with a single login identification (ID) for all functional modules.
4	The system must provide staff access to data and functionality at the most granular level available (i.e. field level for data and screen access, document type for documents, individual menu item for functionality).	X			A	Security Manager: Define Application Security Controls
5	The system must allow staff to establish standard "user profiles" consisting of one or more security roles from which individual staff may inherit privileges.	X			A	Security Manager: Maintain Security Groups
6	The system must allow staff to modify the roles of a single staff or group of staff without modifying the original profile or role.	X			A	Security Manager: Associate Functions Directly
7	The system must allow staff to assign role(s) to staff effective for a specified date range.	X			A	Security Manager: Maintain Security Groups Associate Functions Directly
8	The system must provide the ability for staff, claimants and employers to logout of the system/web account on all screens/pages.	X			A	Logoff function in Security Manager (for agency users) and in the e-Services module (for claimants and employers)
9	The system must be able to automatically log security events (e.g., failed/successful logon attempts, amendment of user rights, inactivation of users).	X			A	Security Manager: Track User Activity Summarize User Activities

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
K.	**User Interface**	•	•	•	•	•
1	The system must have a consistent look and feel for all web enabled user interfaces (for staff, employers and claimants).	**X**			**A**	All user interfaces have same look and feel and navigation is consistent throughout the solution.
2	The system must provide logical navigation and menuing for each screen.	**X**			**A**	All user interfaces have same look and feel and navigation is consistent throughout the solution.
3	The system must allow full screen display of information without horizontal scrolling.	**X**			**A**	The solution offers a graphical user interface that meets this requirement. A query result set is displayed in a "list" window. If the query result has a large number of columns of particularly wide columns, horizontal scrolling may be unavoidable.
4	The system must be flexible with dynamic displays of information, data capture, edits/validations, instructional messages etc. based on security roles.	**X**			**A**	Security Manager
5	The system must allow staff to access the menu structure or a navigation path while executing business functionality.	**X**			**A**	Security Manager
6	The system must support a hierarchical presentation (view) of information attached to a claimant or employer, providing the ability to 'drill-down' to detailed information.	**X**			**A**	The solution is based on a customer centric data structure, which allows users to drill down to more detailed information.
7	The system be able to pre-populate data on screens (eliminate redundant/duplicate data entry).	**X**			**A**	Data entry screens allow for the option of choosing what data is pre-populated.
8	The system must support the use of user defined short-cut keys to move between functions and menus.	**X**			**A**	The user interface supports configuration of shortcut keys.

	Functional Requirement	Yes	Yes, with Modification	No	Requirements Response (A, B, C, D, E)	Comments
9	The system must allow the ability for staff to navigate between related functionality within a line-of-business record without reentering the original search criteria.	**X**			**A**	Navigation between functions carries customer, account, period, and other contextual information as appropriate.
10	The system must be able to automatically display claimant information screens for staff when claimants are routed out through the IVR.		**X**		**A**	IVR Interface
11	The system must allow staff to review and confirm prior to submitting a transaction.		**X**		**A**	A "confirmation" prompt can be configured as part of the "save/submit" dialog.
12	The system must be able to automatically display a progress indicator to staff, claimants and employers for all processes requiring multiple steps or screens.	**X**			**A**	Case Manager
13	The system must be able to highlight for staff the employer/claimant accounts which require critical attention.		**X**		**A**	Customer Manager: Maintain Indicators Work Items Manager
14	The system must have all navigation for self-service applications occur within the application (disable use of back browser button).		**X**		**A**	The browser's "back" button can be disabled in the e-Services module.

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APPENDIX C: FUNCTIONAL REQUIREMENTS – NOTES

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- **Unemployment Insurance Tax Module**

The Unemployment Insurance Tax module has recently undergone its first implementation at the California Employment Development Department.

Unemployment Insurance (UI) functionality manages the experience rating and reimbursable methods of funding UI. This includes managing employers' reserve accounts, managing UI contribution rates, and generating statements and notices.

UI tax administration leverages other functional areas such as Customer Manager for employer maintenance, Returns Issue and Returns Manager to process UI tax returns, and the e-Services module for employer self-service over the Internet. These modules are described later in this section of our response. Below, we describe unemployment insurance tax-specific functions of the solution.

- **Maintain Experience Rating and Reserve Account**

When a tax-rated employer first registers and obtains an employer account number, an employer-specific reserve account is established. This reserve account maintains a cumulative record of credits and charges and forms the basis for the experience rating method.

The employer's reserve account and UI contribution rate for all periods (quarters) are displayed in the system. When a rate period-specific detail line is selected, the detailed reserve balance activity and UI rate calculations are shown.

- **Calculate Reserve Account Balances**

Reserve account credits, charges, and balances are updated on an annual basis and when mid-year changes are made that require the account to be re-rated (for example, reserve account transfers, changes to the benefit charges, manual adjustments made by an examiner, SUTA or fraud exceptions, and so on).

The system determines reserve account balances for tax-rated employers based on employer UI contributions, benefit charges, shared credits and charges, prior reserve account balance, and eligible voluntary UI payments. The shared credits and charges are prorated for each employer based on a percentage that is calculated using wage data. The UI rating component stores and displays a detailed history of reserve account factors (for example, individual UI contributions included in the rate calculation).

- **Calculate UI Contribution Rates for Tax-Rated Employers**

UI contribution rates are calculated on an annual basis and when mid-year changes are made that require the account to be re-rated (e.g. reserve account transfers or adjustments).

The employer's UI contribution rate is determined by the rate schedule being used for the year and the employer's reserve ratio. The employer's reserve ratio is based on the reserve account balance and average base payroll for a specified period.

- **Generate Statements**

Reimbursable employers are responsible for repaying all UI benefits claimed by their former employees. They receive a quarterly notice indicating any former employees that were paid UI benefits as well as any credits applied (for example, overpayments returned by claimants). A billing statement is sent for all reimbursable UI charges established.

A tax-rated employer's reserve account balance significantly impacts their UI contribution rate. A notice is generated on an annual basis so that an employer may verify or protest benefit charges by former employees to their UI reserve account. Employers also have a right to petition charges if they do not agree with the determination concerning their protest.

A tax-rated employer is notified of their reserve account balance, their UI contribution rates for the upcoming calendar year, and other pertinent information such as annual taxable wage limits per employee, the tax schedule that is in effect for the rate year, and the factors used to calculate the UI rate.

- **Reserve Account Transfers**

When an employer acquires all or part of another employer's business, the employer who acquired the business may file an application to request a transfer for all or part of the former owner's UI reserve account. A transfer of a reserve account balance requires a recalculation of the UI contribution rate(s) and generates a new UI notice.

The same functionality used for a tax-rated employer reserve account transfer is used for SEF participant "mergers". Merging SEF reserve accounts requires a recalculation of the LEC rate and reserve account and generates a new UI notice.

- **Voluntary Unemployment Insurance Contributions**

In states that allow employers to voluntarily pay an additional UI contribution to obtain a lower rate, a Voluntary UI Contribution Notice can be generated for eligible employers. This Notice indicates the additional contribution amounts payable to obtain a lower rate.

- **Special Programs**

In some cases, an employer's experience rating determination, schedule, approach, or other business rules and processes vary from the norm. Such special programs are handled in a site-specific manner, seamlessly within the UI Tax module.

Examples of special programs in the State of California include:

- Pacific Maritime Association (PMA) Employers – tax-rated employers that also need to be rated outside of the regular annual rating process. Their charges are manually distributed and they are rated after that process is complete.
- School Employees Fund (SEF) Participants:
  - UI contribution rates are calculated in January and provided to all SEF participants by March 31st. The SEF UI contribution rate is calculated by using the total benefit charges, claims management fees, administrative support fees, SEF balance, and total subject wages. The calculated SEF UI contribution rate applies to all SEF employers for the following fiscal year.
  - Local Experience Charge (LEC) Rate – Each employer is assigned a LEC rate of 0%, 5%, 10%, or 15% of total benefits paid by the employer. A ratio is determined for each SEF employer on an annual basis. This ratio is based on UI contributions paid, LEC paid, interest distributed, and UI benefit charges. The ratio determines the rank of the SEF employer, which correlates to their LEC rate for the following fiscal year.
  - SEF employers are sent a notice for the UI contribution rate and their LEC rate for the fiscal year. SEF employers also receive a quarterly notice indicating any former employees that were paid UI benefits as well as any credits applied (for example, overpayments returned by claimants). A billing statement is sent out, billing the SEF employer for their LEC charges for the period.

- **Unemployment Insurance Benefits Module**

The solution's Unemployment Insurance Benefits module is currently under development.

This fully-integrated subsystem will support the following functional areas specific to US state-level administration of unemployment insurance:

- Claims
- Monetary Determinations
- Non-Monetary Determinations
- Certifications
- Benefit Calculation
- Benefit Charging
- Benefit Payments, including processing ACH benefit payments
- Overpayment
- Special Programs

Unemployment insurance benefits administration will also leverage other functional modules within the solution such as Customer Manager for claimant maintenance and e-Services to provide claimant self-service. These modules are described later in this section of our response.

- **Customer Manager**

Maintains customers, their respective accounts, and all demographic information in a customer-centric data model on which all other modules, features, and functions are based.

- **Add New Customers**

A *customer* is a legal entity such as an employer, benefit claimant, or other legal entity of interest to the agency. Customer types (for example, corporation, individual, non-profit corporation, or government) are configured to define what information must be provided and the account types that the customer may have.

- **Maintain Identities**

An *identity* is a string of characters used to identify either a customer or an account. Multiple identities can be maintained both at the customer level and the account level. A unique Customer Identification Number and account number are assigned to all customers and accounts. Customer identities can be masked for privacy purposes.

- **Maintain Names**

A customer may have one or more names of various types (for example, legal name or "doing business as" name) as well as different names for individual accounts. The name type participates in a configurable hierarchy that is used to select the appropriate name when issuing correspondence. Names are commence/cease dated to support recording of official changes of name.

- **Maintain Addresses**

A customer may have one or more addresses of various types (for example, location address or mailing address). A variety of address formats are supported, including military and foreign (non-US). Customers may have the same address type at different levels of their profile – for example, a mailing address can exist at the customer level and a different mailing address can be active for a specific account. The address type participates in a configurable hierarchy that is used to select the appropriate address when issuing correspondence. Addresses are commence/cease dated to support changes of address.

- **Validate Addresses**

Address validation standardizes the capture of address information. The solution supports validation for US and Canadian addresses. Users can enter a US ZIP Code or Canadian Postal Code to ensure that addresses entered are always valid. Address validation also allows the system to retrieve the ZIP+4 Code or Canadian Postal Code for the address. The solution is Coding Accuracy Support System (CASS) certified by the United States Postal Service. Interfaces with NCOA-certified third party vendors have been implemented in which the solution produces an address file that a vendor can process and then return results.

- **Maintain Customer Attributes**

Customer attributes are configurable data fields that contain descriptive information or demographic data about customers. A wide variety of data types are supported. Different customer types may have different sets of attributes.

- **Maintain Contacts**

A contact is a name, telephone number, and e-mail address record for a person who is associated with the customer or account in some way. Customers and accounts may have multiple contacts – for example, a corporate officer, secretary, or corporate accountant. Contacts are searchable.

- **Maintain Links**

A link is a reference between two customer and/or account records to indicate a relationship. For example, an "Attorney" link can be configured to associate a claimant customer with his/her attorney. Links may affect the addressing of correspondence. For example, all accounting-related correspondence for an account may be directed to the customer identified by an "Accountant" link; precedent/successor employers can be related via a link.

- **Maintain Indicators**

An indicator is a time-limited alert. Indicators act as flags on customers, accounts, and periods.

Indicators can be informational only or have an impact on system processes – for example, a "Stop Correspondence" indicator can prevent the system from issuing mail to a customer while the indicator is in effect.

- **Maintain Account Attributes**

Accounts are created for a customer to reflect that customer's participation as an employer, benefit claimant, or in some other way. Account attributes may be configured to record relevant information such as an employer's business start and end dates and whether it is a reimbursable employer account.

- **Transfer Account**

Accounts may be transferred from one customer to another. When an account is transferred from a source customer to a target customer, all account-related information – such as financials, contacts, addresses, NAICS, names, indicators, correspondence, customer relationship management notes, experience ratings, and precedent/successor links – are also transferred.

- **Maintain Profiles**

For customers with multiple locations or corporate subdivisions, account types, along with their attributes, can be grouped under a profile that represents a specific location or subdivision.

- **Search for Customers**

Customer searches are supported out-of-the-box by:

- Identity – Search using an alphanumeric string that identifies the customer or account. For example, US Social Security Number (SSN), Employer Identification Number (EIN), or Canadian Social Insurance Number (SIN)
- Name – Search using some or all of a customer name
- Name and account – Search using some or all of a customer name and a specific type of account
- Address – Search using postal coding schemes (for example, US ZIP Code, UK Post Code, Canadian Postal Code) or street, city, and state
- Phone Number – Search using contact phone numbers
- Name and Address – Search using the customer name and either city or postal coding scheme
- Correspondence – Search using unique correspondence ID

The asterisk (*) can be used as a wildcard character when performing any of the customer searches.

Searches by other attributes, including site-specific attributes, can be configured.

- **Maintain Industry Codes**

Industrial classification coding schemes such as Standard Industrial Classification (SIC) code and the North American Industry Classification System (NAICS) code can be used to classify customers. Searching for customers and accounts by NAICS is supported.

- **Maintain Attachments**

Attachments are external files that are stored in the database as part of a customer's record. Users can view a list of attachments as well as export, import, and edit an attachment.

- **Customer Relationship Management (CRM)**

An integrated CRM capability records both user and system activities. Users can make manual CRM entries to record information relevant to their work.

- **Returns Issue Manager**

Returns Issue Manager establishes, supports, and maintains filing expectation and obligation information for employer customers. Many of the functions of the Returns Issue module operate automatically "behind the scenes".

- **Issue Returns**

The Issue Returns function identifies the filing obligation for each account and issues a physical return form. In situations where a filing obligation exists but a physical form need not be created, an appropriate account attribute is configured.

An issued return may bear a media number – a system-generated unique number that identifies the account and filing period into which the return will be processed when it is filed by the customer.

- **Maintain Filing Records**

Each filing period has a filing record that contains the date that the filing requirement was identified, when the return is due, and the current status of the return. These are managed automatically as events such as receipt of returns and identification of delinquent filers occur.

- **Maintain Filing Requirements and Extensions**

Users can maintain filing records to reflect changes in requirements to file, extension of due dates, and so on.

- **Create Returns Online**

Users can create returns online on demand. This option would be used, for example, when an employer customer registers as having been in business for several months. The customer may request to have their returns printed right away instead of waiting for the automatic batch process.

- **Non-Filer Manager**

Non-filer Manager follows up and takes action on unfulfilled filing expectations and obligations for employer customers. Many of the functions of Non-filer Manager operate automatically, "behind the scenes".

- **Identify Delinquent Accounts**

When a return is issued to a customer, the system creates a return filing record to track the return's status. It monitors the return filing records and flags returns that are outstanding or overdue. Users can view delinquent return filing records online by specifying the return type and the periods to be searched.

- **Calculate Estimated Assessments**

Once a return has been identified as delinquent and any preliminary action has been taken (for example, a reminder letter issued), the system automatically calculates an estimated assessment based on the information available in the system. In general, the estimated assessment results in a liability that is posted to the account. Collection activity may then be taken on the resulting debt.

- **Calculate Penalties**

The system can calculate and post penalties for failure to file. These penalties are posted to the customer's account at each of the stages through the work item processing for the delinquent return.

- **Manage Processing of Delinquent Accounts**

Each agency has a series of actions that are performed according to an enforcement schedule to ensure filing of returns. General steps include issuing reminders and posting estimated assessments to trigger collection activity. In general, most agencies require that customers file returns, regardless of whether the estimated assessment is paid. The system is configured to support the automated and manual actions that are required to ensure the filing of the return.

- **Returns Manager**

Returns Manager processes incoming UI tax returns and other documents filed by customers.

- **Receive Return Batches**

Batches of returns can be received from external sources. A batch of returns consists of a header record, usually containing control amount and total information, and a series of detail records, each of which is a return. Batches are receipted and the Batch ID is captured.

- **Create Return Batches Online**

The Online Batch function supports data entry of batches of forms, which can be a cost-effective alternative for small volumes.

- **Validate Batches**

The system validates each batch of returns to ensure that:

  - it is from a recognized data source ,
  - the header information is consistent with the detail records, and
  - the batch has not already been processed.

- **Process Batches**

When batches of returns are processed, error-free returns are posted to an account and filing period. Returns that contain errors or warnings are flagged and a work item is created for user action. The system automatically updates filing records to indicate that a return has been received. If appropriate, duplicate returns can be configured to suspend.

- **Search for Batches**

Search for return batches by Batch ID, Status, or Type.

- **Key Returns Online**

Returns can be added directly into an account and period. Return and line item rules are applied. A tax return can be saved with errors, if necessary due to incomplete or incorrect information on the source form. In this case, an error correction work item would be created automatically. If appropriate, duplicate returns can be configured to suspend.

- **Auto-populate Data on Returns**

Data can be populated from the database into return line items through configuration. Such data can then be used in business rules that depend on existing data and conditions in the system as well as incoming data on the tax document.

- **Calculate/Validate Line Items**

Business rules such as arithmetic calculations, validation, application of thresholds, enforcing required fields, and automatic error correction can be configured into return/form documents.

- **Post Financial Transactions**

The financial effect of a return/form document is automatically posted to the customer account. The transaction types and individual amounts are configurable.

- **Analyze Line Item Errors**

Return line items causing processing errors are tracked in order to support analysis of common form mistakes or calculation errors that may reveal a common mistake by a vendor or insight on the need for form redesign.

- **Identify Suspect Returns**

Suspected fraudulent IDs, addresses, and bank account information and fraud lists from sources such as Texas Scam can be loaded into the system for fraud detection purposes. Incoming filings can be matched against fraud information and suspected fraud cases are flagged for review, investigation, or both.

- **Adjust Returns Online**

When additional information is available, the line items on a return may need to be adjusted and the tax recalculated. Authorized users can make online corrections to the return line item information.

- **Automatic Amendment**

Returns can be amended automatically, if so configured. The system will modify an existing return to reflect the new return information as well as update demographic information such as an address change. All versions of a return are maintained as an historical audit trail.

- **Search for Returns**

Users can search for a specific return via the media number that was assigned to the return when it was issued.

- **Direct Returns for Manual Review**

Work items are created automatically for returns that contain errors or have triggered warning review rules. Returns that require correction or review can be assigned, tracked, and corrected online.

- **Issue Correction Notices (Notices of Adjustment)**

When returns must be adjusted due to arithmetic errors or other errors made by the filer, a correction notice can be issued to inform the filer of the changes, why changes were necessary, and the resulting financial impacts on the account.

- **Change Addresses Automatically**

If a return carries an indication that an address has changed, the system can recognize this notification, capture the information, and direct it to a user for review and entry into the customer's record.

- **Automatically Register Customers and Create Accounts**

A customer can be registered and an account created from a return without user intervention. Payments that accompany the return can be held until the account is created and then posted automatically to the new account.

- **Payments Manager**

Payments Manager processes incoming payment information and posts payment details to customer accounts.

- **Receive Payment Batches**

Interfaces with external sources such as electronic funds transfer, e-check, remittance processing, and credit card payments can be used to upload payment information and process these transactions to customer accounts. Payment batches include details such as source, deposit date, validation capabilities, and more.

- **Create Payment Batches Online**

Payment batches may be created and captured directly online using the Online Batch Payment function. Online payment batches are queued for processing in the same manner as payment batches that are received from incoming payment batch interfaces. The same controls, including batch validation, are applied to batches processed using this function.

- **Validate Batches**

Payment batches are validated to ensure that:

- the batch has not already been processed,
- it is from a recognized data source, and
- the header information is consistent with the detail records.

- **Apply Payments**

Valid payments are directed and applied to customer accounts.

- **Correct Payments**

Work items are created for batches and payments that are in error. Payments in error can be assigned, tracked, and corrected online using Work Items Manager.

- **Reverse Payments**

When a payment is reversed, all transactions that are sourced from that payment are reversed. For example, reversing the payment from a dishonored check that was used to pay debt in two separate accounts will result in the payment transaction from both those accounts being reversed. When reversing a payment, a configurable reason is specified to facilitate reporting and additional consequential processes.

- **Reapply Payments**

If a payment is incorrectly applied, a user to can “unapply” the payment and reapply it to the correct account(s).

- **Split Payments**

A single payment can be directed to multiple debt targets. Directions can include multiple periods on the same account, multiple accounts on the same customer, or multiple periods/accounts on different customers. Splitting a payment may be necessary when a customer uses a single check to remit taxes for separate bill items.

- **Search for Batches**

Users can locate batches, including processed, invalid, and queued batches. Batches can be searched using the Batch ID/Date, Deposit Date, or Source.

- **Search for Payments**

Users can search for a given payment using various combinations of known information: check number, bank information, receipt date ranges, amount, or media number.

- **Print Vouchers**

Users can create and print vouchers to direct the processing of payments that are not included in payment batches. Vouchers can be used to direct a single payment in multiple directions when necessary.

- **Track Customer Banking Information**

Customer banking information from checks received as payments can be captured and maintained.

- **Process Automated Clearing House (ACH) and International ACH Transaction (IAT) Payments**

ACH or IAT payments initiated by the customer or the system to debit the customer's bank account are supported. Change and correction files can be processed to update existing bank account information in the system or to determine if specific ACH or IAT payments failed. Standard reason codes are used to identify specific processing conditions, such as failure or acceptance.

- **Financials Manager**

Financials Manager maintains financial accounting at the customer account level.

- **Issue Notices of Assessment**

A customer is provided legal notification that a UI tax assessment, with corresponding penalties and interest, has been calculated and posted to an account.

- **Calculate Penalty and Interest**

Penalty and interest charges are calculated automatically on overdue debt. Penalties are automatically updated monthly and on every occasion when financial activity takes place on an account.

- **Post Penalty and Interest Manually**

Users can manually post penalty and/or interest transactions to a period.

- **Forecast Penalty and Interest**

The "Forecast P&I" function applies user-specified events to the actual transactions posted to a customer's account to determine future financial effect. For example, the penalty and interest transactions that would apply if a hypothetical payment were applied to an existing debt at some future date. This function is available within a given tax period or across all tax periods for a given account.

- **Adjust Transactions**

An adjustment is a debit or credit financial transaction that is applied to an account. All adjustment transactions are linked to the original transaction. This allows the system to calculate summary information for adjustments that show the corrected values for adjusted amounts. Examples of adjustments include waivers, write-offs, and protests.

- **Reverse Transactions**

A reversal is a special type of adjustment transaction that completely reverses a particular transaction from an account. The reversal transaction is associated with the original transaction to record the action.

- **Maintain Periods**

In general, the system automatically creates a period for an account whenever it issues (and receipts) returns for that period. The Maintain Period function is used in any situation in which a period is incorrectly created or additional periods other than the standard periods are required.

- **Maintain Period Attributes**

Additional attributes can be configured for a filing period. These attributes are populated at period creation time to provide a "snapshot" of information that can be used in business rules configured into the return or for later reporting purposes.

- **Validate Write-Offs**

Each write-off is validated to ensure that the criteria specified meet the criteria established for the transaction type. For example, a write-off criterion could be "no payments received for 36 months or more".

- **Write Off Debts in Bulk**

Write-offs are used to retire uncollectible debt (note: an abatement transaction is used whenever a penalty or tax is forgiven). The system identifies debts that are approved for write-off, and creates write-off requests that are grouped into batches. Authorized users can approve these batches as a whole. Once a batch has been approved, the individual write-off requests are processed and the associated transactions are posted to the appropriate accounts.

- **Process Bill Items**

Multiple period bill items can be created in a filing period. Period bill items are used to track different assessment types or adjustments that have separate billing streams. They also support different notices of assessment, different rules for penalty and/or interest, and targeting of payments or credits to specific bill items.

- **Issue Statement of Account**

Depending on the type of financial activity that occurs in an account, the issuing of a Statement of Account may be required. The statement processing function ensures that the appropriate balance is carried forward, and that associated new transactions are shown on the statement.

- **Automatic and Manual Offsets**

Business rules can be configured to automatically govern the offset of debt. Offsets can occur across periods, customers, and tax types. Automatic offsets can be overridden by authorized users to handle exceptional situations. Offsetting debt ensures the agency does not send a refund to a customer with a balance due on a different account or period.

- **Track Offsetting Credits and Debits**

Transaction Manager provides tools to identify the offset and allocation of credits and debits within an account. For example, a user may select a specific credit transaction to see a list of the debts that have been offset by the transaction.

- **Adjust Small Balances**

Configurable business rules determine if small credit balances or debit balances in accounts should be adjusted to zero.

- **Appeals**

Appeals can be handled through configuration according to department policy. When an account is in appeal, all billing and other assessment processes are typically stopped until the discrepancy is resolved. The system can stop those processes automatically by using an indicator.

- **Collections Manager**

Collections Manager provides a workbench from which users can comprehensively view and manage Collections. Risk scoring, stages, payment plans, correspondence, and financial data are available.

- **Create Collections**

Collections are created automatically based on configurable criteria such as age of debt and cycle activity. Collections may be "staged" (see "Set Collection Stages" below) at creation time based on risk scores. A collection can be created online for special circumstances such as bankruptcy. Designated delinquent returns for a customer or for a specific account can be added to a collection.

Collection cases can also be created according to customer relationships such as parent/owned company or responsible parties. Collection cases have a system-assigned unique identification number.

- **Set Collection Stages**

The stage is a way for the agency to track where a particular collection case is within its life cycle. Staging can also be used to group a particular set of collection cases. Stages may be configured to influence certain system activity.

- **Automate Collections**

Based on configuration, the system will act on a defined set of automatic stages. Once the stages are completed, the system notifies users that a collection is ready for assignment or determines the next appropriate action. Actions such as issuing letters may be associated with the stages.

- **Predict Stages**

Collections in an automated Stage Program are eligible for Stage Prediction. The system uses a "tree" view to show the structure of possible stages as they relate to one another. Users may view the successive stages to which the collection may move. Users can check stage criteria against current financial data, view when the stage will happen, and read explanations of stages or rules.

- **Assign Collections**

A variety of criteria can be used to search for collections to be assigned. Assignments may be made one collection or one customer at a time. As collections are assigned to a user, statistics show the number of collections and customers for which the user is responsible. If additional collections are created for a customer, they can be automatically assigned to the user who owns the existing collections. Automatically staged collections do not require an owner.

- **List Collections**

Users can view all collection activities for a customer, including closed collections.

- **Track Collection Activities**

This feature allows users to record notes about collection activities, including time, contact information, and description of the activity. All users can view the notes so everyone is informed about the dealings with the customer.

- **Issue Remittance Advice Documents**

A remittance advice is issued to a customer. It contains information that allows the remittance to be processed automatically by the payment processing section.

- **Calculate Collection Risk**

A collection's risk score is a point value assigned at the time the collection is created. It is based on configurable criteria and users can add risk points manually to increase or decrease the total risk. Some examples of risk factors include number of late returns, transactions of a given type, number of letters sent, and customer or account balances. Risk may also be used to position a collection at the time of its creation. External risk factors can be included by interfacing with other systems through site-specific extensions.

- **Create Collection Letters**

Letters can be created, sent, and associated with a collection. Based on the configuration of the collection, letters may be sent automatically or upon user intervention.

- **Collection Recoveries**

Application of payments and credits are tracked against collection cases in order to appropriately credit the collection proceeds to the case owner or responsible process.

- **Maintain Collection Work Items**

A work item is a single task to be completed within a defined timeframe. Work items specific to a collection can be created and assigned to a user.

- **Maintain Payment Plans**

A collector might reach an agreement with a customer to settle an outstanding debt with a schedule of partial payments. The collector sets up and maintains a payment schedule for the customer and the system tracks the payment plan to ensure compliance with the agreed terms and notifies an appropriate user if attention is required. Automated actions, such as issuing correspondence, can also be used to notify the customer of a required action.

- **Consolidate Liabilities into One Collection**

Periods with outstanding liabilities can be grouped within a single collection or put into distinct collection cases.

- **Treasury Offset Program**

The system is compatible with the Internal Revenue Service (IRS) Treasury Offset Program (TOP). Customer debts meeting established criteria can be sent to the IRS for offset with a federal refund. Monies collected from this program are automatically transferred into the system.

- **Liens Manager**

Enables users to create, search, and view liens. A user can add and remove periods, manage correspondence, and set stages.

- **Create Liens**

Liens can be created automatically according to configured criteria. Users may also create liens online within a collection or directly for a customer. Customers can be linked to make one entity responsible for the debt of another such as in the case of joint filers or trust tax responsible persons.

All liens created in the system have a unique identification number. The ID can be system-generated or entered online.

- **Search for Liens**

Users may retrieve liens either by searching for a customer and viewing liens for that customer, or by entering a unique lien identifier. The identifier may be the system's internal lien number or a number assigned by an outside agency.

- **View Liens**

Users can view all of a customer's liens and jump from one lien's details to another.

- **Add/Remove Financial Periods**

Users can modify which periods are included in the lien, adding and removing them as necessary. Users may also modify how much of a debt to lien.

- **Set Lien Stages**

Liens may be configured to progress through multiple stages of activity and review.

- **Add Lien Letters**

Letters associated with the lien can be added.

- **Lien History**

Users may view the history of changes made to the lien such as its status, source, transmittal details, and lien details. Lien history can be ordered by date and the UserID that made the change is displayed.

- **Lien Extensions**

The system can be configured to determine when a lien must be renewed, if applicable.

- **Share Lien Information**

Lien information can be shared with outside agencies. Files can be produced, information received, and lien data updated accordingly.

- **Mass Lien Release**

Users can enter a debt threshold (liens whose total debt is below that value), status, and program in order to manually release all liens meeting the criteria. Alternatively, the user may select individual liens from a search list and release them with a single mouse click.

- **Garnishments Manager**

Maintains garnishments, enabling users to create and search for garnishments, add debt sources, issue correspondence, and apply payments.

- **Create Garnishments**

Garnishments can be created within a collection or directly for a customer through use of the Garnishments Manager.

- **Search for Garnishments**

Users may retrieve garnishments either by searching for a customer and viewing garnishments for that customer, or by searching directly for the garnishment by owner, type, or work date.

- **Add Debt Sources**

By default, the customer whose wages or bank accounts are being garnished is added as a debt source to the garnishment. Subsequent debt sources may be added, when necessary, to reflect joint accounts or corporations.

- **Correspond with Garnishees**

Letters can be issued to garnishees informing them of the terms of the garnishments, any amendments to the garnishments, and release from the terms of the garnishment.

- **Add Garnishment Vouchers**

A bank or employer who is a garnishee may send in a lump-sum garnishment payment to satisfy garnishments for multiple customers. A garnishment voucher is used to direct these funds to the proper accounts.

- **Bankruptcy Manager**

Tracks balances (tax, penalty, and interest) owed to the revenue agency by customers who have declared bankruptcy. Supports bankruptcy types, statute date, pre- and post-petition periods, and custom interest rates

- **Create Bankruptcy Cases**

When users create a bankruptcy case they can capture three groups of information about the case:

- Bankrupt customer information (and any associated co-debtor), court filing information (such as bankruptcy type), and case information (such as stage and trustee)
- Supplemental data, which is displayed in a configurable data window that can be localized to the needs of the agency
- Periods, into which the system will add pre-petition filing periods to the bankruptcy case
- Users can update certain bankruptcy case data as it proceeds through the legal process. All bankruptcy cases have a unique, system-assigned identification number.

- **Add Claims**

A bankruptcy claim is added in two steps. First, the claim detail (such as identification, date, and type) and configurable claim information are added. Second, filing periods are added to the claim by selecting filing periods from those available in the account and associating them with the specific claim. Users can revise claim details and the filing periods in the claim.

- **Add Custom Penalty and Interest Calculations**

The agency's normal penalty and interest calculation can be overridden so that the system will use court-designated rates to calculate penalty and interest for designated filing periods.

- **Maintain Filing Periods**

At creation time, all pre-petition filing periods are added to the case. Often, users may need to add more filing periods, remove some filing periods, or deactivate existing filing periods. These tasks are supported by the Bankruptcy Period Management window.

- **Track Bankruptcy Activities**

Bankruptcy Manager provides easy links to other tools that allow users to record the progress of a bankruptcy case and keep track of customer and case activity.

- **Display Assigned Cases**

Bankruptcy Manager opens at a "To-Do List", a window where work can be initiated and progress seen. Users wishing to schedule work may adjust work dates so that they only see the bankruptcy cases that require their attention before the specified work date.

- **Create Case Letters**

Standard bankruptcy letters such as a Pre-Petition Claim are prepared through the Correspondence module. Bankruptcy letters are configured to the unique needs of the agency, including the template content, database information to be included, and input that users provide at the time they create the letters.

- **Close Bankruptcy Cases**

When a bankruptcy case is dismissed, discharged, or closed by the bankruptcy court, users should close the bankruptcy case. Users provide a Discharge Date, Dismiss Date, or Case Closed Date.

- **Electronic Bankruptcy Notification (EBN)**

The system supports Electronic Bankruptcy Notification (EBN), a free service provided by the Bankruptcy Noticing Center. EBN enables federal bankruptcy courts to send notices electronically instead of in paper form. The EBN

interface enables the system to automatically create or dismiss bankruptcy cases and link customers to their co-debtors and/or trustees.

- **Refunds Manager**

Refunds Manager manages a business-rule-driven refunding process for accounts that satisfy the relevant criteria. Depending on configurable refund amount thresholds, the credit will be sent out automatically or directed for user review and approval. Refunds can be initiated via a refund application submitted by the customer, completed online, and sent individually when necessary.

- **Validate Refunds**

If a refund fails any of the configured review criteria, a work item is created to trigger user intervention. Rules focus on reducing potentially fraudulent refunds.

- **Track Refund Approvals**

Refunds may be batched together for approval as a group.

- **Maintain Refunds**

The system maintains information relevant to the refund, including the amount and the name and address of the payee.

- **Consolidate Refunds**

Refunds can be consolidated from eligible credits in several periods or accounts.

- **Process Credit Applications**

Configurable rules are applied to a credit before it can be considered for refund. This feature allows credits within accounts to be applied to customer debt and external credit claims before being refunded.

- **Post Refunds**

Once a refund batch has been approved, the individual refunds contained in the batch are posted to the customer account.

- **Refund Attributes**

Refund detail information such as associated customer information, refund type, check number, check date, and deposit information is tracked throughout the refund process.

- **Support Refunds Outside of the System**

Although rare and requiring careful scrutiny, there are situations where refunds may be issued outside the system. In these cases, a refund debit is recorded in the customer account.

- **Support External Credit Claims**

Claims from external entities for customer credits that might otherwise be refunded to the customer can be tracked. For example, the system can direct a credit to a child support agency instead of refunding it to the customer.

- **Divert Refunds to Trustees**

Refunds can be directed to trustees such as executors of estates rather than to the customer.

- **Support Direct Deposit of Refunds**

Refunds can be deposited electronically into customers' bank accounts, validating direct deposit information and handling bank deposit errors.

- **Process ACH Refund Transactions**

An ACH transaction can be initiated to issue electronic refunds to customers by crediting the customer's bank account. ACH correction files can be processed to determine if specific ACH transactions failed.

- **Revenue Manager**

Revenue Manager transforms customer account financial activity into revenue account activity. Provides the capability to create revenue models, define revenue periods, make adjustments, and interface with a general ledger system to distribute funds. The Revenue module supports revenue accounting and distribution.

- **Create Revenue Models**

A revenue model is a set of rules that determines where money is to be distributed based on the financial transactions occurring, the returns that were filed, and any audits that were posted within a period. A given account type can have one or more models, including:

- Cash accounting, which disburses only taxes, penalties, and interest that have been paid
- Accrual accounting, which disburses taxes, penalties, and interest as they are assessed

The system distributes customer liability transactions to revenue accounts (funds) based on a revenue model. A single customer transaction may result in multiple revenue transactions depending on the distribution rules – for example, a single sales tax return might be distributed to multiple jurisdictions.

- **Define Revenue Periods**

Financial activity is posted to revenue accounts on the day that it occurs. Revenue days are associated with a revenue period for reporting purposes and journal vouchers. The system provides the flexibility of defining which days are associated with a period.

- **Make Manual Adjustments**

Users can adjust revenue accounts online. All such adjustments must undergo an approval process before they can affect an account.

- **Add Revenue Transactions Online**

Both a processing date and a filing period are included in the transaction record. This enables the user to differentiate collections that might have been made on the same day, but were intended for different periods. Revenue transactions can also be added online for revenue that is processed outside the system.

- **Interface with General Ledger Systems to Distribute Funds**

The system supports automated interfaces with external general ledger systems to distribute funds to counties, programs, etc.

- **General Ledger**

The system General Ledger is an optional subsystem that tracks and reports general ledger accounts. Designed for use without an external general ledger, the General Ledger module integrates with the system's Revenue Manager.

- **Chart of Accounts**

Create and maintain a chart of accounts. Support account segments, normal balance, account category and type, account names, identifiers, addresses and bank accounts.

- **Reporting Periods**

Support multiple reporting periods and fiscal years. Accounts maintain a starting balance, debit and credit totals, and an ending balance within each reporting period.

- **Reporting Periods Closing**

Perform period closing and reconciliations.

- **Make Manual Adjustments**

Users can post transactions to the general ledger online. Security, approval, and audit tracking is provided for transactions posted in this manner.

- **Post Revenue Accounting Data**

The general ledger is fully integrated with the system's revenue accounting engine. Full tracking from the general ledger transactions to the source transactions is maintained. Users can navigate directly from the General Ledger to the source transactions or from the source transactions to the general ledger posting documents.

- **Distribution of Funds Calculations**

Calculate distributions based on a percentage or population to transfer funds between revenue accounts.

- **Interface with External Systems**

Data can be accepted from banks and other external stakeholders to update general ledger accounts.

- **Interface with External General Ledger Systems**

The system supports automated interfaces with external general ledger systems to receive or distribute funds to other jurisdictions, programs, etc.

- **Create Outgoing payments**

The general ledger can be used to produce physical checks or ACH payment files to distribute money to external stakeholders.

- **Supporting Documentation**

Store supporting documentation in the system with the posting documents as attachments.

- **Work Items and Notes**

Work items and notes are supported at the reporting period and posting document level.

- **Reporting**

Produce trial balance, income statement, and daily balance reports.

- **Audit Manager**

Provides a workbench for creating, working, reviewing, and approving audits. Provides a comprehensive view of a customer audit and includes a timekeeping function. The Audit Standalone (ASA) module allows auditors who work in the field to download audit information that can be viewed and updated when disconnected.

- **Audit Procedure and Approvals**

Audit Manager provides a configurable workflow to guide the audit team though the stages of an audit, from initial assignment through approval, to finalization and posting.

- **Assign Audit Resources**

Each audit is assigned one audit lead who is responsible for coordinating execution of the audit. One or more other auditors may be assigned to the audit.

- **Track Audit Work Papers**

For each type of audit, audit work papers are defined and configured in the system. Some or all of the work papers will contribute to the financial impact of the audit. Each work paper must undergo an approval process before it can affect the audit.

There are two types of audit work papers: work papers that apply to the entire audit period and work papers that apply to each filing period in the audit period. The type to be used depends on the account type as well as the audit and revenue accounting practices employed by an agency.

Work papers are comprised of the auditor's calculations, statistical information, and calculations that result in audit findings and adjustments. The work papers may be complex, taking into account external audit data, or a simple recording of findings from an external audit mechanism.

- **Handle Prepayments**

Users can view and track payments made to the periods being examined while an audit is in process.

- **Track Audit Recoveries**

At the completion of an audit, the change in liability identified by the audit is recorded and tracked.

- **Timekeeping**

Time spent executing audits can be tracked to measure recoveries produced against the efforts expended.

- **Audit Standalone Module (ASA)**

ASA equips users with the tools to complete audit work while disconnected from the network.

audit check-out/in, receipt book, data download/upload, making and requesting updates, issuing correspondence, and viewing images.

- **Check Out Audit Case**

Check-out of an Audit case is restricted to the logged-in user, who can only check out an Audit that he or she owns. An Audit may be checked out indefinitely, however frequent check-in is advisable in order to upload updates made while disconnected. The Audit springboard shows that an Audit is checked out.

- **Issue Receipt**

The ASA receipt book is used to issue a receipt to the customer in the field. For example, a receipt can be issued for payments received or for an inventory list of seized property. Receipts are then automatically uploaded into the customer's letter inventory upon check-in.

The receipt book also helps enforce check-out on only one machine at a time. If an Audit is checked out on one machine and an attempt is made to check it out on another, the check-out process will fail and the user will be informed of which machine has the Audit checked out. Within the system, a receipt book check-out can be voided in order to recover from the situation of a damaged, destroyed, or lost machine.

- **Download Data**

Download Data

Auditors going into the field may download audit information to laptop computers. Check-out and check-in functionality ensure that an audit can only be downloaded by one user at a time.

The following data can be downloaded to ASA as defined/restricted through configuration:

- Customer names, addresses, contacts, and identities
- Name and balance of all of the customer's accounts
- All financial data for the account associated with the audit: transactions posted to the account, tax, penalty, interest, payments, refunds, and so on
- All tax returns for the account associated with the audit
- Images
- List of all active Indicators
- Audit attachments
- Active audit work items
- Audit CRM notes
- Timesheets

When reconnected, the auditor can upload any data that was updated during work in standalone mode. The auditor can also queue work item tasks, such as address changes, to be performed after uploading.

- **Request Updates**

While in ASA, updates to customer data can be "requested". When the Audit is uploaded, such data can be configured either to be automatically applied or to create a work item to be worked by an authorized user. Support is provided for:

- Adding and updating Names, Addresses, Identities, and Contacts
- Closing an account
- Changing collection work date, owner, and stage

ASA also supports generic requests such as a reminder notice that creates a work item that includes comments made by the ASA user. Additional change request types can be configured to meet an agency's specific needs.

- **Prepare Correspondence**

An ASA user can create and print letters while disconnected. Upon check-in the letter is automatically uploaded to the customer's letter history and can be viewed from the Letters panel in the Collection springboard. All letters issued to the customer via the Correspondence module are also downloaded and can be viewed and reprinted. The fact that the letter has been reprinted is also uploaded to the system upon check-in.

- **Add Attachments**

An ASA user can add attachments. These are automatically uploaded to the system when the Audit is checked in.

- **Apply Security Controls**

Security controls are available in ASA. Field auditors can be restricted to specific access and update rights while working in disconnected mode.

- **Work Items Manager**

Tasks to be completed in the system are referred to as Work Items. Work Items are created and tracked by the system and can be assigned and prioritized. Work Items Manager provides workflow support for single-step business tasks. It forms the backbone of the users' workbenches.

- **Create Work Items**

Work items can be created automatically when there is a need for user intervention. For example, a work item is created for a return in error so that a user can review and correct the item.

Work items can be created and assigned to users online.

- **Maintain Work Items**

Work item maintenance covers a broad range of functions that deal with the completion of work items in the system, including completing work items, maintaining due dates, and requesting supervisor intervention.

- **Assign Work Items**

Two main work item assignment methods are supported:

  - Pull – Users may take a work item from a pool of unassigned items
  - Push – Supervisors may assign work items to users

- **View Work Lists**

Supervisors can manage work by viewing work items assigned to a user. Details of the work items are displayed as well as the number of work items completed.

- **Track Work Statistics**

Work items are managed in a list by type and category. For each work item type, the user can see how many items are overdue, pending, assigned, available, upcoming, and the total.

- **Case Manager**

A case organizes a set of related Work Items that comprise a multi-stage business process. Case management helps the agency to complete work through a flow of events using process stages. Agencies can define what type of work should be managed by a case (such as registration). Cases enforce rules defined by the agency, and can directly relate to any account within the system. Case Manager supports multi-stage business activities such as due diligence and approval workflows.

- **Define Case Rules**

A case is a business activity comprised of several steps, stages, decisions, and actions that must be taken to complete the activity. The agency defines the stages and rules to be followed when performing a given activity. The system monitors the progress of the case and directs it to the attention of appropriate users, according to the configured rules.

- **Create Cases**

Cases can be created both automatically and by online users. Configured business rules can determine if a case should be automatically created, such as the system receiving a batch of registration documents.

- **Case Data**

Case data attributes record information about the case and its progress.

- **Link Cases to Customers or Accounts**

Based on the rules configured for a given case type, a case can stand independently and need not be associated with a particular customer or account. Alternatively, a case can be linked with a case with a customer or an account, either when it is created or at a particular stage of the case.

- **Generate Work Items**

Based on a case type's rules, work items are created automatically at particular stages to direct users to take actions or make decisions.

- **Create Correspondence**

Based on rules and events that occur during the life of a case, letters can be created automatically to seek customer input, announce decisions, or record other aspects of the case.

- **Track Resolution of Cases**

The progress of each case through its various stages is tracked, including who performed the tasks and when the tasks were completed.

- **Case – Process Modeling**

Process Manager provides tools to document and configure multi-stage business activities for Case Manager.

- **Business Process Flow Chart**

Users can document business processes through a flow chart. Multiple flow charts can be developed. Flow charts can be linked to the appropriate window in the system to perform the specified functionality.

- **Written Business Processes**

Users have the option to provide written explanation along with business process flow charts.

- **My Work Manager**

Provides the user with a list of assigned tasks. Through My Work, the user can access, reassign, and complete tasks. Management can also use the information to benchmark employee performance.

My Work Manager provides the user with a list of assigned tasks including work items, refunds, audits, collection, garnishments, leads, and other cases. Through My Work, the user can access, reassign, and complete tasks.

- **Search for Tasks**

Users can search for their own tasks by date and sort the search results by type or status. Administrators can search for individual users' tasks by date or search globally for open or closed tasks and group them by date, source, category, type, or account type.

- **Group Assignments**

A manager can create groupings of specific task types into task queues to which users can be assigned as members. For example, a manager could group together all Collections and Audit tasks for a particular NAICS code. Once the task group has been defined, users can be associated as members of the task queue. When the task assignment process is run, these users are automatically assigned tasks according to the criteria defined in the grouping.

- **Access Functions**

Users can click the hyperlinks in the My Work manager to directly access the functions needed to complete their assigned tasks.

- **Benchmark Employee Performance**

Benchmarking provides a way to define and measure employee performance by completed tasks. Benchmarks describe the expected number of tasks (quota) to be completed by an employee. Employees can also be benchmarked against other users to see how much work each employee is completing.

- **Security Manager**

Security Manager defines and enforces application function security.

- **LDAP-based User Authentication**

The system supports integration with an external Lightweight Directory Access Protocol (LDAP) repository such as Active Directory for user authentication. When a user logs into the system, the system will use the LDAP application programming interface to communicate with Active Directory for authentication. This feature enables single sign-on across the enterprise and central management and enforcement of authentication policies.

- **Internal User Authentication**

When internal user authentication is used, password strength is enforced through configurable password complexity and management rules. Password complexity is governed by the following configurable parameters:

- When changing the password, allowing or disallowing users to use the same password that is currently in use
- The minimum number of characters required in a password
- Requiring use of a numeric digit in the password
- Requiring use of both upper- and lower-case letters in the password
- Requiring use of non-alphanumeric (special) characters in the password
- Allowing use of the UserID as the password

Password management is governed by the following configurable parameters:

- Expiry Period: The number of days that a password remains valid
- Expiry Warning Period: The number of days to start reminding users that a password change is required before expiration

Passwords are stored in a non-reversible, hashed encryption format governed by the following configurable parameters:

- The encryption scheme used for transmission of passwords
- The encryption scheme used for long-term storage (that is, in databases) of passwords

- **Define Application Security Controls**

Each function within the system can have an associated security identifier. The system can manage which functions are associated with the various security identifiers, and the creation and maintenance of security identifiers. Security can be applied down to the individual field level via predefined "modes" of the same window. The system also provides a standard interface for other applications to use in determining if a user is permitted access to a selected function.

- **Maintain Security Groups**

Security is based on groups. The group is defined as having access to one or more security identifiers within effective dates. Users can be assigned to one or more groups. Users are granted access to a function if they belong to a group that has access to the security identifier for the function.

To save administrators time, a default group feature can be configured to automatically grant new users limited access to only default function areas.

- **Associate Functions Directly**

This feature is for user roles that are so specific that they do not need a separate group to define their access points. Users do not need to be associated with a group for access, but rather can be directly granted individual access within effective dates.

- **Identify and Protect "VIP" Customers**

Some customers, such as agency or government employees, political figures, and celebrities, merit special security and privacy measures. The system provides a "VIP" customer attribute that can be used in security configuration to prevent access to such customers' information. In addition to the usual functional security controls, a user would need to be granted specific access to customers that have this "VIP" attribute.

- **Maintain User**

The system maintains information about each user, including name, address, contact numbers, and user ID.

- **Delegate Work**

The system's security enables management to delegate specific work types to users.

- **Maintain User Access**

Users are defined as belonging to a group. This function maintains the group connections for a user.

- **Track User Activities**

User activities in the system may be logged. Each system action performed by a user can be reviewed online.

- **Track User Activity**

The system can track all actions performed by a user, including inquiry access to an account. The tracking tool can provide information about a user, such as the date and time they accessed an account, how many times the account was accessed, and whether or not the user was denied access.

- **Summarize User Activities**

A higher-level overview identifies how frequently a user performs various functions over a given period of time.

- **Exception Tracking**

When the system encounters a disruption during processing, a message is displayed to the user and recorded for review by system developers. The system tracks and reports all exceptions encountered.

- **Correspondence Manager**

Correspondence Manager provides facilities to prepare letters, tax returns and reports, statements of account, and other outgoing correspondence to customers and interested parties. Outbound correspondence is generated in PDF form and retained in the system for historical purposes.

- **Manage Letter Templates**

Template management is simplified by the use of mail categories. Each mail category uses a default template, but may contain multiple templates, with some currently in use and others no longer in use (retired). Rules are specified for a particular group of templates (such as direction to primary and related customers and name, address, and identity selection rules), as well as the particular account types to which the templates apply. Templates that have been retired are still available to be "cloned" – that is, copied to create new templates.

- **Design Letter Templates**

Letter templates are created using a drag-and-drop interface – users drag and drop the desired data fields onto the template, resizing and formatting as necessary. Templates can use data from a database field (such as customer and account information) or external user-defined data, entered when the letter is created. In addition to data fields, users can add images, text, watermarks, bar codes, shapes and lines, and format headers, footers and page breaks, using familiar design tools that enable elements to be "drawn" onto the template. A toolbox provides a variety of property options that can be selected for each element. When a letter is created from the template, the system automatically populates the data fields with the appropriate information.

- **Create Letters Automatically**

Correspondence can be configured for automatic generation based on trigger events in the system such as failure to file and pay or reaching a specific stage of a multi-stage business process implemented in Case Manager, Audit Manager, etc.

- **Create Letters Online**

Users can create a new letter online. Letter types are grouped according to customer type and account type information. Letters can be secured to only allow users with the appropriate rights to create a given letter type.

- **Print Letters Locally**

Letters can be printed or reprinted locally on request.

- **Manage Letter Batch Printing**

Mail Manager controls the generation and printing of letter batches based on the letter templates. Print groups simplify batch generation of letters by saving combinations of user-defined batch settings, including the types of letters being mailed, the size of the batch, and other attributes that may be configured at the site. When a batch is generated, the user selects the appropriate group, and matching letters are retrieved for printing. Once a batch is generated, users can view a list of all the letters in the batch, view summary data for any of the letters, preview a letter, e-mail a letter, or export a letter to a PDF file. Users can also print the batch or an individual letter online or let the batch of letters print overnight.

- **Track Issued Letters**

The system displays the list of all letters that have been issued, or are waiting to be issued, for each customer.

- **Address Letters**

The name and address to be used on a correspondence item are selected according to the account type, the indicators that are in effect for the customer, account, or period, and the name and address selection hierarchy configured for the specific letter type.

- **Intelligent Mail Barcode (IMB)**

Outgoing correspondence can use IMB functionality to assist with mail efficiency.

- **Preview Letters**

Users can preview all correspondence before issue.

- **Stop Letters**

Users can set a generated letter to "invalid", signifying that it should never have been generated. In addition, a letter can be marked "not ready", signifying that it should not yet be printed. Indicators, such as a "Stop Mail" indicator can also be set to temporarily suspend outgoing correspondence.

- **Edit Letters**

Each letter type is configured as "may edit", "may not edit", or "must edit". If a letter is "may edit" or "must edit", users may edit it only before it is printed. Once printed, a letter cannot be edited.

- **View Correspondence History**

Correspondence generated in the system is kept in the original form indefinitely. Historical correspondence can be retrieved and viewed online.

- **Reprint/Reissue Correspondence Items**

A correspondence item can be reprinted from its historical copy in the exact form of the original. An item can also be reissued, picking up the current values of database fields and the current date.

- **Send E-Mail Messages**

The system uses a standard SMTP interface with e-mail systems to facilitate communication with customers. A saved customer e-mail address can be used to initiate messages.

- **Reports Manager**

Provides facilities to implement, manage, and execute pre-configured reports. Reports can be implemented according to the agency's formatting standards and they can be requested online, or run automatically according to a predefined schedule. Reports may be viewed, searched, exported, and printed.

- **Create Report Templates**

Report templates can be designed to use any combination of base system and Data Warehouse data, such as customer and account information, collections information, and payment information. Users drag and drop the desired data fields onto the report template, resizing and formatting as necessary to include textboxes, images, watermarks, shapes, and lines. This tool reduces the involvement of programmers in the preparation and editing of custom-usage reports, while still restricting design and the selection of data to users with appropriate permissions. Reports are produced in portable document format (PDF) and, optionally, as Microsoft Excel spreadsheets. The report definition detail window maintains an e-mail distribution list for the report.

- **Request Reports Online**

Users request reports online using customized parameter entry windows. Report requests can be processed immediately or queued for processing later.

- **Set Parameters for a Report**

Reports can be configured with parameters to be supplied at run time.

- **Generate Reports**

On immediate request, queued request, or according to an established schedule, The system retrieves the necessary data, formats the report, and stores it in the database for online viewing and printing.

- **View Reports Online**

Generated reports may be viewed online, printed, or exported. Security can be configured to restrict access on a case-by-case basis.

- **Search for Reports**

Users can search a list of generated reports and pending requests by report identifier, requestor, and date requested.

- **Scheduled Reports**

A report can be scheduled to run automatically according to a predefined schedule.

- **Query Manager**

Query Manager provides a "shell" for the definition, execution, and sharing of ad hoc SQL queries. Query Manager provides end users with access to raw data while still enforcing security controls and restricting access to the databases themselves. Queries are also used to retrieve and display data not supported by out-of-the-box list windows by applying them to site-specific data. Users will not usually notice a difference between a query result window and a list window. Queries can be run in real time and both the queries and the query results can be saved for use by other users, providing a quick way to develop the answers to "on-the-fly" questions.

- **Create a Query**

Query Manager provides an environment in which ad hoc SQL queries are defined and maintained.

- **Execute a Query**

Queries can be initiated from a list of available queries in Query Manager. Often, queries are configured as security-controlled navigation objects in the user interface.

- **Edit Existing Queries**

Existing queries can be modified by authorized staff as needs change.

- **Search for a Query**

Users will normally access queries from flows and action buttons configured in the Manager in which they are working. Authorized users may also search for queries by category, type, or date within Query Manager.

- **Set Parameters for a Query**

Queries can be configured with parameters to be supplied at run time. For example, if a user only wants to view financial data for a given date range, the query can be configured to prompt for and apply "from" and "to" date parameters.

- **Open Detail Windows from a Query**

The user can select a specific item in the query result list window and access a detail window for the item in the same manner as in an out-of-the-box list window.

- **Sort, Group and Export Query Result**

Query result list windows support the usual sorting, filtering, outline, grouping and exporting functions associated with out-of-the-box list windows.

- **Tailor Query Presentation**

The size of a query result list window can be defined to fit the data in the result. The column width can be manipulated and most windows are also user-resizable. Users can change the default color of the window title bar to make the list match the color scheme for the current window.

- **Compare Query Results**

Query Manager can be used to compare the results of different queries, or different versions of a query.

- **Data Mart Manager**

Data Mart Manager provides the ability to visualize, analyze, and manipulate selected data from the system's databases using a "pivot table" paradigm. A data cube is a business intelligence tool that allows financial analysts, economists, or managers to spot trends within a set of data to support business decisions or to develop answers to "on-the-fly" questions.

More complex than an ad hoc query and more flexible than a formal report, data cubes provide an enhanced and flexible view of data.

- **Produce Data Cubes**

After their initial definition, instances of data cubes are generated and maintained by authorized users. An instance of a data cube is a compact extract of data and metadata as of the date and time the underlying query was run. Users can generate as many cube instances as necessary. If information is needed again in a slightly different way on the same set of data, however, it is not necessary to repeat the extract process.

- **Search for Existing Data Cube Types**

Users can search for an existing data cube by category, type, or name. The search result list shows the number of times that data cube has been generated, its last generation date, and the average generation time.

- **Select an Instance of a Data Cube**

After selecting a data cube with which to work, the user selects the instance of the data cube based on information provided about that instance. Each instance of the cube contains static data based on the data in the system's databases at the time of generation.

- **Generate a New Instance of a Data Cube**

To gather updated information for an existing data cube, the user generates a new instance of the cube.

- **Request a New Data Cube**

Data Cubes can be configured to use any combination of data. They are created by defining and maintaining SQL queries, without programming.

- **Access Dynamic Data Cubes**

Pre-defined, dynamic data cubes can be configured for access from within other Managers to provide a current version of the data cube. Like ad hoc queries, these data cubes are accessible through security-controlled navigation via action buttons.

- **Generate Views**

Views provide an alternative way of looking at the data. Many views of the same dataset can be made available to reduce the manipulation necessary to produce repeated information between instances of the cube. Each view can be configured to display or hide specific subsets of data.

- **Sort and Analyze the Data**

With a data cube, users can analyze data using an interactive report with a grid. Data Mart Manager presents the data in an interactive interface that enables advanced analysts to see data in new ways.

Data cube manipulation tools allow the user to:

- Interactively drill down into data and filter data values
- Instantly switch between ascending and descending sort orders in the grid
- Interactively pivot hundreds of thousands of data points in a fraction of a second
- Convert numeric values to a percentage of the whole and then sort the data to determine relationships among the values
- Suppress the zero values contained in the extracted facts to concentrate on the data that has varied from the zero baselines
- Filter the values in a data cube using relational operators
- View cubed data as a customized, interactive graph or chart
- Export data to Microsoft Excel or as a PDF
- Print the data cube
- Produce presentation-quality HTML reports
- Save custom views of the data

- **My Search**

The My Search facility allows end users to develop queries online by using a pre-configured data navigation tree. The user can select specific data items and specify selection criteria while traversing the tree. The resulting query is executed in real time, usually on a "reporting" database. The query results are presented in a "list" window from which further manipulations such as sorting, grouping, and additional filtering are possible. The result can also be exported to Microsoft Word or Excel.

Queries can be saved for later re-use and may also be "published" for use by other authorized users.

- **Executive Dashboard**

Enables users to view information at a glance, see historical trends in data, and highlight areas of concern.

The Executive Dashboard enables users to view information at a glance, see historical trends in data, and highlight areas of concern.

- **Analyzing Data Statistics**

Users can configure areas to be analyzed on a regular basis. The Executive Dashboard displays statistical information in summary form. Each item can be analyzed further by choosing to view the history, target, detail, or relevant data cube.

- **Calendar Manager**

Calendar Manager is a new module that will be integrated into the FAST product suite to support the following functions:

- Agency Officer Event/Appointment Calendar
- Employer Business Calendar
- Automatic and Manual Scheduling
- Event/Appointment Maintenance, including revision, suspension, cancellation

This new calendar functionality will leverage other functional modules within the solution as well as the interfacing capabilities available within the product architecture.

- **System Manager**

Provides the tools necessary to define, execute, monitor, and maintain batch processing within the system.

System Manager provides the tools necessary to define, execute, monitor, maintain, and manage batch processing.

- **Run Job Streams**

System Manager defines, schedules, and executes system batch jobs. The execution of the jobs can be monitored through the System Manager.

- **Manage Job Queues**

System Manager displays an overview of system work that is scheduled for processing. Exceptions that occur during processing can be viewed and researched.

- **Support Internal and External Check Printing**

Checks can be printed on printers directly under the system's control, or output files can be provided to external systems for printing.

- **Alerts**

Alerts are pre-configured checks of various measures which occur automatically at defined intervals. The system e-mails subscribers to notify them of the alert severity using a color coded system defined by the alert. Some examples of alerts include:

- Low disk space on the database server
- Financial integrity checks (fraud detection)
- Work queue size reaching established limits
- Expected file not received

- **e-Services**

The e-Services module of the solution provides integrated customer self-service capabilities. An employer customer can view account summaries and transaction lists, file returns online, make Automated Clearing House (ACH) and International ACH Transaction (IAT) payments, and link to a payment portal to make other types of payments. A benefit claimant customer can initiate and manage a benefit claim. Customers can also update contact information and revise names and addresses.

The customer uses a web browser to reach e-Services inside the agency's web services environment. For enhanced security, e-Services does not communicate directly with the system. Instead, e-Services makes requests that are then processed into the system.

- **New User Registration**

To access e-Services for the first time, the customer provides an assortment of agency-configured details to confirm identity. If the system verifies that the provided details are valid, it sends an e-mail message to the customer with a confirmation code, enabling the customer to log on to e-Services.

- **Log on to e-Services**

Registered customers log into e-Services using a login name and a password. A forgotten password can be reset by providing the Web LogonID, the answer to a secret question, and a new password. A known password can be similarly changed.

- **Maintain a Web Profile**

The web profile includes information relevant to the specific customer, such as a list of registered accounts, banking information, and ACH payment sources. The customer can modify the web profile in e-Services and can enable additional accounts to be accessible through e-Services. The list of web-accessible accounts can vary depending on the particular web profiles that are established. A customer can use this feature to register a restricted profile that reaches only a subset of the customer's accounts – for example, for an accountant or tax preparer's use.

- **Maintain Account Details**

Account information, such as addresses and doing-business-as names, can be viewed and modified from e-Services. Recent account activity and recent requests are displayed and can be searched. If a request has yet to be processed into the system, it can be withdrawn or modified.

- **Publish Customer/Account Information**

Customer, account, and activity information can be published to the e-Services module for viewing by customers and their agents.

- **Initiate Web Requests**

Customers may initiate requests to an agency and receive a confirmation number for such a submission.

Configured request types allow submission of inquiries, requests, and confirmations over the Internet. Web requests can be configured to be processed within the system in real time, or in a batch processing mode. Results of web requests may create workflow, action items, or correspondence as they are processed in the system.

- **File Returns and Reports**

Customers can select an account to see a summary of the account and a list of active filing or reporting periods. Those periods that require immediate attention are shown separately to allow quick access.

The customer (or customer-authorized agent) can view any existing returns or reports for any existing period and can file a return or report for a specific period. A confirmation number is issued for such filings.

- **Print Forms**

PDF versions of employer tax returns, claimant reports, or other filing documents can be printed from e-Services.

- **Make Payments**

The e-Services module can link to a payment portal to enable customers to make payments on accounts and periods.

Customers can also initiate an ACH payment. Once an ACH payment method is entered, it can be saved for future use. ACH and IAT payments may be scheduled for processing immediately, or can be warehoused for future dates.

A confirmation number is issued for such payments.

- **View e-Services Screens from the System**

An authorized user can launch e-Services in the context of a given customer in order to provide customer service, guidance, or explanation about tax accounts. This feature is especially useful when providing telephone customer support.

- **Data Warehouse**

Data Warehouse Manager loads and manages data that an agency can obtain from sources outside the system. These sources can include both external agencies' systems and other systems within the agency.

- **Setting up Data Stores**

Data stores are relational database tables configured to hold data from an incoming source file. A data store can hold any type of incoming data in its original form or incoming data can be further transformed to populate a new column.

For agencies in the United States, Data Warehouse Manager is preconfigured to accept the majority of files provided by the Internal Revenue Service (IRS), including CP2000, IMF, IRTF, BMF, BRTF, SRFMI, and SITLP. Out-of-the-box configurations are also available for data from providers such as Dun and Bradstreet, LexisNexis/Accurint, and Equifax.

Pre-existing configurations provide agencies with fully and consistently defined and user-friendly sets of data quickly, with less risk, and with greater overall benefit. Lessons learned from each site are incorporated into the master configuration for these sources. For sources not supported out-of-the-box, intuitive, graphical user interface (GUI) tools provide end users and database administrators the ability to build and maintain the configuration of additional data sources.

- **Loading Data**

Data Warehouse Manager includes a comprehensive set of extract, profile, transform, cleanse, conform, aggregate, and load utilities that are designed specifically for tax data sources. A wide variety of file types and data formats are supported, including fixed width, delimited, hierarchical, and XML.

Incoming data may be picked up automatically from a specific folder or it may be loaded by user selection.

- **Browsing Data**

Users can search Data Stores by customer identities, names, addresses, or other information. A search returns all associated information for that customer from both the Data Store being searched and from the system. Users can then drill down for more detail within the Data Store or within the system. Users can also navigate directly from a springboard to all the Data Warehouse information available for a Customer or Account.

- **Editing Data**

Data cleansing that can be incorporated in the load process to resolve most incoming data errors or inconsistencies. Where manual intervention is required, tools are available to correct or update Warehouse data. The original record is maintained and users can browse prior records for a complete history of changes.

- **Mining Data**

Data mining tools help users to understand the data in the repository, an important capability when researching criteria to create effective selection plans.

Users can build queries dynamically to analyze and view data in the Data Warehouse. Data from any data store can be compared to data in the system, to data in other data stores, or to user-supplied values.

Query results are displayed in list form, allowing further manipulation such as sorting, filtering, and exporting. Reports and data cubes can be run from within the system on data in the Data Warehouse.

- **Leveraging Warehouse Data**

Full integration supports capabilities that would otherwise be difficult to achieve, such as:

- Referring to warehouse data in business rules configured into tax returns
- Using LexisNexis/Accurint property sale information to support a collection activity

- **Discovery**

The Discovery Manager allows the user to create a tax discovery plan that filters the data in the Data Warehouse to produce information that can be further acted upon within the system. The filtered data can be ranked by score to facilitate the creation of Leads or can be used to directly create Leads based on specific criteria.

Leads are tracked using stages and assignments, allowing an agency to create audits or cases, amend returns, or send mail based on data loaded into Leads Management. Actions can be taken individually or in groups through user initiation or automatically on specified dates.

- **Discovery Plans and Discoveries**

Users create discovery plans that use custom rules and calculations to find, filter, augment, or score matching data from the system and/or the Data Warehouse. Matching processes can be configured to execute immediately when customer, identity, name, address, and account records are added or updated. This means a new customer can be registered and that data is immediately matched across all Data Warehouse sources. Identity, identity type, filing period, and other matches are supported by out-of-the-box matching processes.

Discovery supports a number of tax audit selection programs. Business users are able to 'own' the application, allowing users from different business areas to control many aspects of Discovery. Users can make effective use of the software with limited support from information technology staff. A variety of scenarios can be modeled, allowing the user to expand, modify, refine, or clear any part of a Discovery at any point in the definition or execution processes. A Discovery can be processed during business hours and the user can see and analyze Discovery results during processing. A log of user changes and the effect of each change is maintained.

Pre-configured discoveries and cases are provided. Agencies can utilize these as starting points to address their specific needs and sites can share their Discovery programs, configuration, and practices with one another. Examples of advanced fraud scenarios that can be configured and shared among sites include:

- Identifying employers that issue wage statements to employees but do not remit withheld funds
- Identifying returns that are likely from tax protestors
- Identifying returns that have a large number of values with unusual distributions
- Identifying returns that have discrepancies with federal or other data sources

- **Leads Management**

A Lead is the product of the Discovery process. It is comprised of specific information about a customer and a workflow. Leads can be created from the Discovery Manager in bulk or may be added individually online. Leads are integrated into workflow and can be worked on from the My Work Manager like other tasks.

- **Review Leads**

Initially, users build and execute a query with the My Searches tool. They then add all or some of the Leads in the query result to Discovery, where they can be browsed, sorted, filtered, and analyzed.

Since Leads are matched with Warehouse data as well as customers in the system, data for analysis from both sources is available in a matter of seconds. Users can customize and organize how they see and use the data and save data presentation preferences for future use.

As part of the review process, a user can move leads into Leads Management individually or in bulk for the appropriate case management action to take place. Business users can:

- Add Leads to a Discovery program
- Define, model, test, and refine a variety of rules to perform Leads definition and processing
- Analyze data sets that have been defined and built with Discovery
- Prioritize Leads using Discovery scoring rules such as "points-based" or "expected recovery-based" scoring methods
- Move Leads in bulk or individually into Leads Management for automated or manual action

- **Lead Actions**

After Leads have been added to Discovery, users can define a variety of rules and rule types to perform additional analysis and processing. There are specific types of rules that support Lead definition, scoring, filtering, segmenting, workflow,

and analysis. These rules can be used to perform sophisticated calculations. A variety of mathematical, logical, statistical, and data mining functions are built into the tool. The tool helps users define rules by presenting an interactive directory of all available data elements, rule types, parameters, functions, and instructions.

Many requirements are met through the basic out-of-the-box configuration. Site-specific configuration and site-specific code extensions can be added easily.

- **Architecture**

- **Configurability**

Configuration is driven by over 1,700 reference tables stored in a relational database. Almost every aspect of the system is configurable. Reference tables contain the options, settings, and criteria for an agency to administer their taxes. Where appropriate, business rules are date dependent and prior versions can remain in effect indefinitely.

Examples of the flexibility of the product suite include:

- Screen Flow. Each time a user clicks a hyperlink or an action button, the screen that will be displayed and/or the action that will be taken can be changed through configuration. In this way, there are no "hard-coded" screen navigations whose alteration would compromise the base product. Agencies can direct their employees to specific screens, configure new navigation options, or even add online reports to view specific information – all without program coding or base product modifications.
- Forms. Each customer filing or reporting form, worksheet, or other type of document can be configured without the need for programming. Specialized reference tables allow for configuration of fields, rules, and calculations to be performed. A Graphical User Interface (GUI) tool is provided for designing such documents. This tool interacts with the appropriate reference tables to provide an intuitive maintenance interface.
- Rates. Changing rates of all types is supported through configuration. Each rate type is entered in a reference table along with its effective date range and other rules. Computations are supported over extended time periods when different rates and rules were in effect.
- Language. Multiple languages are supported for both agency users and customers. All screen text is created from reference table "decodes" that tell the system what to display. These decodes can be configured for multiple natural languages (for example, English, Spanish, or French) based on user preferences. Language decodes are also used to customize terminology to the agency. Customers can indicate their natural language preference for correspondence and, if the correspondence template exists in that language, it is used automatically.

Maximum flexibility is a primary design goal of the software, but not every aspect of the product is configurable. Some truly unique variations may require programming to support specialized functions. Approximately 75 to 90 percent of an implementation can be accomplished through configuration.

There is significant motivation for, and the value to a solution that will allow easy, quick, and dynamic configuration. Indeed, a primary design goal in the architecture, function, and features of our product set is the ability initially to implement and subsequently to maintain the system with no programming changes. A highly structured and disciplined approach is, however, vital. Adding to and changing configuration can have a huge impact on system functions. That's what it is supposed to do, after all – our goal is to do almost everything with configuration. That kind of potential impact demands a structured environment that incorporates unit, system, end-to-end, regression, and acceptance testing. It also demands controlled migration through development, test, pre-production, and production environments. Configuration is not programming, but it can have the same kind of effect and needs to be subjected to the same kinds of rigor.

- **Tools**

The solution includes "management studio" of proprietary tools that support the configuration, extension, and management of its implementation. Examples are provided in the table below.

Tool	Description
Flow Manager	View, create and change navigation configuration.
Reference Table Editor	View, create and change reference table data.

Tool	Description
Event Queue Tool	Used to process/run events.
Test Data Management Tool	Copy, delete, back up, and clear database slices. Create views on Application Tables.
Component Version Tool	Check and compare component versions in multiple file locations and in the Fast Code Repository.
Document Configuration Tool	Configure attributes, returns and other documents.
Document Analyzer (Preview) Tool	View, analyze and test documents.
Fast Database Compare Tool	Compare database schemas between environments.
Reference Table Migration Tool	Compare reference table content between environments.
Flow Compare Tool	Compare flows (navigation) between environments.
Document Compare Tool	Compare documents between environments.
.NET Business Object Test Form	Testing harness for .NET business objects.
Customer Extract and Load Agent	Extract all the records that pertain to a specific customer. Insert records into a slice.
Customer Refresh Tool	Used to manage an output file of customer records that need to be re-uploaded due to some issue.
Event Manager	Generates code for calling business objects from controls and also allows the user to search for, add, edit, and delete events.
Reference Log Viewer	View the audit trail of reference table changes. The audit trail includes before and after snapshots as well as the UserID and date/time of the changes.
Fast Code Repository	Examine, view, check in, and check out source code.
Solution Request Manager Tool	Create, manage, and search Solution Requests.
Fast Documentation Tool	Manage code and data documentation.

- **Extensibility**

Extensibility is supported through site-specific components. Site components are programmed during the implementation project and can be maintained, enhanced, or augmented by the agency over time. Site components work seamlessly within the software without compromising the product upgrade path. Site components are transparent to the user. A single, consistent, and integrated solution makes the user unaware of when they are accessing a core product or site-specific function.

The component object model on which the software is based encapsulates discrete business functions into separate program modules with published interfaces. For example, an agency programmer implementing a unique correspondence item can develop a site component which invokes the "generate correspondence" program module. This approach supports extension of the software while taking advantage of existing capabilities and without compromising the upgradability.

There are three primary areas in which extensions are common:

- Interfaces. In many cases, program logic is required to implement interfaces between the system and other automated systems within and external to the agency.

- Letters, notices, and other outbound correspondence. Although a variety of correspondence items are provided as core product models, most agencies have unique requirements that cannot be satisfied by pre-existing templates. Specific letter, notice, and correspondence needs, based on user requirements, are identified during implementation. Simple correspondence typically requires only a template and a few configuration rules related to security, requesting, and printing. More complex items may require program code.
- Reports. Some reports are provided with the base product. Unique reporting requirements that cannot be satisfied by pre-existing reports are met through site-specific configuration or development during implementation.

- **Interfaces**

In order to take advantage of specialized software products and to integrate with or bridge to other systems both within and outside an agency, the solution architecture is designed for ease of interface implementation. For example, the system can receive data from a remittance processor or data capture software then process the information in the usual fashion in the Payments and Returns Managers respectively.

The following protocols are supported:

- XML
- SOAP 1.1 or 1.2
- WSDL
- .NET 3.5+ Windows Communication Foundation (WCF)
- OASIS WS-Security standards
- Universal Description, Discovery and Integration (UDDI)

The solution supports Service Oriented Architecture (SOA) by its ability to expose and consume web services.

- **GAAP-Compliant Accounting**

The solution includes an integrated accounting subsystem to conform to Generally Accepted Accounting Principles (GAAP). The following sections summarize the features and controls implemented for GAAP compliance.

- *Balanced Double Entry Transactions*
  - Every transaction posted to a customer account will simultaneously post a double entry transaction (debit/credit) to the financial accounts.
  - Every customer transaction type is required to define the debit and credit transaction types for financial accounts. The system will not allow customer transactions to be posted without defining the debit/credit financial transactions.
  - All revenue accounting transactions originating from a customer account and filing period can be viewed.
  - All revenue activity from a payment can be viewed.
- *Timely Reporting*
  - Since transactions are posted to the financial accounts at the same time as the customer accounts, the financial reporting can be accomplished in a timely manner.
  - Transactions are generally summarized and posted to the revenue accounts on a daily basis. This includes all processed activity from both the online day and nightly processing.
  - Reports can be produced at the summary and detail level for all posted revenue transactions.
  - Revenue accounts maintain balances for every accounting period to facilitate summary and executive reporting.
- *Journal Vouchers*
  - Detailed financial transactions are summarized into “Journal Vouchers” and posted to revenue accounts. “Journal Vouchers” provide the primary mechanism for interfacing with the state wide GL system.
  - All detailed financial transactions are associated with the journal voucher and are reportable and verifiable.
  - External identifiers can be recorded on all Journal Vouchers to provide reconciliation with COFRS.
  - All Journal Vouchers record a type, debit and credit revenue account, accounting period and fiscal year as well as the amounts.

- *Auditable Detail for Financial Transactions*
  - All financial transactions record the source payment (if applicable), the customer account, customer transaction, customer filing period, accounting period, fiscal year, revenue transaction type, debit revenue account, credit revenue account and amount of transaction.
  - The link to the payment allows for reporting by any attribute of the payment such as source, deposit date, payment type, etc.
- *GASB Modified Accrual Support*
  - The UI Tax module primarily deals with derived tax revenue, non-exchange transactions as defined by GASB Rule 33.
  - The GASB 34 modified accrual method requires that revenues be reported in the period they are available and measurable. This is generally done within 60 days of the fiscal year end.
  - The system has native support for recognizing revenue received after the fiscal year end but before the modified accrual period end in the prior fiscal year if the financial activity occurred in the prior fiscal year.
  - Revenue collected during the modified accrual period for filing periods in the current fiscal year will be recognized in the current fiscal year.
  - Once the modified accrual period is completed, all activity will be recognized in the current fiscal year.
- *Support for Internal Controls*
  - Security Manager can secure access to any function based on a user's defined role.
  - Additional approval level workflows are provided to facilitate both security and processing requirements.
  - Manual adjustments to revenue accounts require appropriate security and record the UserID and date/time stamp.
- *Audit Trail*
  - All customer transactions record the UserID of the individual initiating the transaction and a date/time stamp.
  - No transaction is ever deleted from a customer account. All adjustments are achieved with reversal or adjusting transactions.
  - All transaction offsets (for example a payment applied to an original return) are retained, even if the offset changes.
  - All financial double entry transactions retain a UserID and date/time stamp.
  - Payments provide additional dates to track the received date, deposit date, source, and effective dates.

- **Online Help**
- *Context Sensitive Help*

Users can press the F1 key at anytime while using to access help. The Online Help system is context sensitive and will display information for the active screen whenever executed.

- *Site Specific Help*

Online Help can be configured to include site specific information, business processes, and configuration. Site specific information can be included within generic Online Help or can be linked to an outside site.

- **Audit Trail**

A key feature of the system is that no data is deleted. All saved versions of data are retained with the "who/when" of the update – the UserID that made the change and the date/time on which the change was made. The GUI window frame shows the "who/when" information for the current or historical version of data being shown.

Mechanisms exist for data to be "logically" deleted, with the specific mechanism depending on the type and context of the data. For example, financial transactions can be reversed, addresses can be marked "invalid", accounts can be "ceased", and an "invalid" correspondence item cannot be printed. In each case, the superseded data no longer has an effect on processing, but it is always visible as an historical record and audit trail.

- **Query-driven Bulk Processing**

This feature allows for the configuration of a system process to be triggered for each row in the result set of a configured data base query. This can be used for predefined as well as ad hoc bulk processes.

- **Purge**

Purge provides the ability to move financial periods from the operational database to an archive database. Selection criteria can be configured to meet the specific needs of an agency. Archived data is stored in separate databases from operational data thus allowing an agency to use lower cost storage medium. Archived data can be easily and quickly restored by an authorized user.

APPENDIX D: PAYMENT TABLE

(CY = Contract Year)

		Base Contract: 5 years						Optional: 5 - one year options			
Payment Item	**Total**	**CY 1**	**CY 2**	**CY 3**	**CY 4**	**CY 5**	**CY 6**	**CY 7**	**CY 8**	**CY9**	**CY 10**
GenTax Software License	$3,000,000	3,000,000	-	-	-	-	-	-	-	-	-
GenTax Implementation - Tax	$7,614,656	7,614,656	-	-	-	-	-	-	-	-	-
GenTax Implementation - Benefits	$9,099,464	-	9,099,464	-	-	-	-	-	-	-	-
Warranty	$3,000,000	-		1,000,000	2,000,000	-	-	-	-	-	-
Maintenance & Support - 2 FTE	$4,222,000	-			600,000	630,000	660,000	690,000	730,000	770,000	142,000
Maintenance & Support - Level 3	$15,200,000	-			2,000,000	2,100,000	2,100,000	2,200,000	2,200,000	2,300,000	2,300,000
Total Payment	**$42,136,120**	**$10,614,656**	**$9,099,464**	**$1,000,000**	**$4,600,000**	**$2,730,000**	**$2,760,000**	**$2,890,000**	**$2,930,000**	**$3,070,000**	**$2,442,000**
			$19,714,120	$20,714,120	$25,314,120	$28,044,120	$30,804,120	$33,694,120	$36,624,120	$39,694,120	$42,136,120
		25%	22%	2%	11%	6%	7%	7%	7%	7%	6%

100%

GenTax Software License	**$3,000,000**
Prof. Services - Tax & Benefits	**$16,714,120**
Warranty	**$3,000,000**
Maintenance & Support - Level 3	**$15,200,000**
Maintenance & Support - Staff (2)	**$4,222,000**
Supplemental Services	**$4,890,000**
sub-total	**$47,026,120**

$47,026,150
$ (30)

State Hardware/Software Purchase	**$4,222,030**

Note 1: Implementation Complete defined as: 30 days in Produciton w/o

major outage

Note 2: Maintenance & Support provided at Fast Level 3 support

Phase/Deliverable	Responsible Party	Formal Approval
1. Preparation Phase		
Project Charter	State	-
Project Plan (PMM-003)	State	-
Risk Management Plan (PMM-006)	Fast & State	-
Quality Management Plan (PMM-007)	Fast & State	-
Change Management Plan (PMM-009)	State	-
Weekly Status	Fast	-
Monthly Status	Fast	-
Issue & Risk Management & Reporting	State	-
Communication Plan (PMM-008)	Fast	-
Demonstration of GenTax System	Fast	-
Business Profile Doc	State	-
GenTax Project Schedule	Fast	-
EA Solution Assessment	Fast	-
Data Center Hosting Solution	Fast	-
Procument Mgmt Plan	State	-
Security & Assessmenet Plan (DIT-0170)	State	-
Installation Plan (SEM-0702)	Fast	-
Software Configuration Management Plan (SEM-0302)	Fast	-
Requirements Specificaiton, Section 4 (SEM-0402)	Fast	-
Tech Architectural Plan	Fast	-
Inventory of Inputs/Outputs	Fast	-
Resource Plan (PMM-005)	Fast	-
Environments Built	Fast	-
Environments Tested	Fast	-
2. Definition Phase		
Updated Resource Plan (PMM-005)	Fast	-
Data Dictionary	Fast	-
Prelim Implementation Specifications	Fast	-
Data Configuration Specifications document	Fast	-
Back Bridging Plan	Fast	-
Requirement Traceability Matrix (RTM)	State	-
Decision Request Form (if needed)	Fast	-
Update Requirements Specifications, Section 4 (SEM-0402)	Fast	-
Skills Requirements Matrix	Fast	-
Technical Training on GenTax (configuration, environments, tools)	Fast	-
COBIT Audit Form	Fast	-
3. Base Configuration Phase		
Scope Preliminary Configuration document	Fast	-
Base Configuration	Fast	-

Review Session meeting notes	Fast	-
Updated Implementation Specification	Fast	-
Finalized Implementation Specifications	Fast	-
Updated Requirement Specification doc (SEM-0402)	State	-
Updated Requirement Traceabilty Matrix (RTM)	State	-

4. Development Phase

Correspondence/Letter Templates	Fast	-
Correspondence/Letters	Fast	-
Federal Reports Layouts	Fast	-
Federal Reports	Fast	-
State Reports & Dashboard Layouts	Fast	-
State Reports & Dashboard	Fast	-
Interface Design document	Fast	-
Interfaces Developed	Fast	-
Site-Specific Code Developed	Fast	-
Application Security Plan	Fast	-

5. Conversion Phase

Conversion Mapping document	Fast	-
Conversion Plan (SEM-0601)	Fast	-
Conversion Plan walkthrough	Fast	-
Conversion Task List	Fast	-
Data Extract Software/Scripts (developed/executed)	State	-
Data Extract Tests	State	-
Data Extraction Report	State	-
Reconciliation Report	Fast	-

6. Testing

Test Plan	Fast	-
System Test Scenarios	Fast	-
Updated System Test Scenarios	State	-
Conversion Test Scenarios	Fast	-
Performance Test Scenarios	Fast	-
End-to-End Test Scenarios	Fast	-
Test Data Created	Fast	-
System Testing Results	State	-
Converted Data Testing Results	State	-
Performance Testing Results	Fast	-
End-to-End Testing	State	-

7. Training

Training Plan (SEM-0703)	Fast	-
Training Materials	Fast	-
Electronic On-line User Aids	Fast	-
Training Data	Fast	-

	Load of data into Training Env.	Fast	-
	De-identification Scripts (as required)	Fast	-
	Doc. Of training data structure/creation	Fast	-
	User Training & Progress Reports	Fast	-
	Training Survey	Fast	-
	Eval. Of Training & Improvement Plan	Fast	-
	Post Classroom Training Exercises	Fast	-
	Train 40 State Trainers	Fast	-
8. Rollout			
	Ammended Disaster Recover Plan	Fast	-
	Ammended Business Continuity Plan	Fast	-
	Three (3) Disaster Recovery Tests Completed	Fast	-
	Data Converted	Fast	-
	Reconcilitaiton Report	Fast	-
	Post Migration Tests	Fast	-
	Post Migration Reports	Fast	-
	Installation of GenTax configured COTS Application into Production Environment	Fast	-
	Installation Testing	Fast	-
	Post Implemenation Evaluation Report (PMM-016)	Fast	-
	Stage Exit Review (SEM-0189)	State	-
9. Operation Services			
	Operations Transition Plan	Fast	-
	Operational Service Plan	Fast	-
	Operations Doc. & Knowledge Base	Fast	-
	Operations Training	Fast	-
10. Knowledge Transfer & Transition			
	Knowledge Transfer Plan	Fast	-
	Transition Plan (SEM-0701)	Fast	-
11. Warranty			
	Warranty Services Plan	Fast	-
	Warranty Services	Fast	-
12. Maintenance & Support			
	Maintenance & Support	Fast	-
	System Maintenance Plan (SEM-0301)	Fast	-
13. Historical Records Management			
	None required	-	-
14. Supplemental Services			
	Change Request (as required)	Fast	-

APPENDIX E: EA SOLUTION ASSESSMENT WORKSHEET

Michigan DTMB - Purchasing Operations Fast Enterprises, LLC
RFP 071I1300012:

Unemployment Insurance Agency (UIA) - Integrated System Project

ENTERPRISE ARCHITECTURE SOLUTION ASSESSMENT

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Enterprise Architecture Solution Assessment

Contact Info & Purpose (FAST version)

FAST Version [TBD]

Solution/Project Name	*UI System Integration Project*
RFP Name/Number	*DTMB / UIA System Integration Project / RFP #* 071I1300012
Date Submitted	January 18, 2011
Vendor Name	Fast Enterprises, LLC
Vendor City and State	Greenwood Village (Denver), Colorado
Vendor Phone No.	877-275-3278
Vendor eMail	JHarrison@GenTax.com
A brief description of the proposed solution and business purpose/process. *(please keep the description brief)*	*The State of Michigan (SOM), through the Unemployment Insurance Agency (UIA), as part of the Department of Energy, Labor, and Economic Growth (DELEG), with the assistance and support of the Michigan Department of Technology, Management and Budget (DTMB), has issued this Request for Proposal (RFP) to obtain proposals from qualified firms to replace its existing Unemployment Insurance (UI) system.* Fast Enterprises, LLC (FAST) proposes to implement our commercial, off-the-shelf (COTS) product suite to replace the Unemployment Insurance Agency's existing Unemployment Insurance (UI) tax and benefit systems.
Additional description of the solution and business purpose. *(please expand the row as much as needed)*	The proposed solution will support the business functions called for in the RFP, as articulated under the following topics in RFP Appendix B (Functional Requirements): • Benefits Functions: o Claims o Monetary Determinations o Benefit Charging o Certifications o Benefit Payments o Non-Monetary Determination o Overpayment o Claimant Maintenance - Staff Options o Claimant – Self-Service o Special Programs • Tax Functions: o Employer Registration o Rate Determination o Quarterly Reporting o Employer Maintenance - Staff Options o Employer Maintenance – Reimbursing o Employer Self-Service o Work Opportunity Tax Credit (WOTC) o Proof of Claim - Bankruptcy o Employer Compliance - Field Audit • Common Functions

Enterprise Architecture Solution Assessment

Contact Info & Purpose (FAST version)

- Appeals
- Quality Assurance
  - General
  - Benefits Accuracy Measurement (BAM)
  - Benefits Timeliness and Quality (BTQ) Measures
  - CrossMatch
  - Fraud Investigations
  - Misclassification
  - State Unemployment Tax Act (SUTA)
  - Tax Performance System (TPS)
- Reporting Functions
  - Reports - Internal
  - Federal Reporting
- Payments and Collections
  - Payments
  - Post
  - Recoupment
  - Collection Case
  - Assessment
  - Payment Plan
  - Lien
  - Withhold
  - Judgment
  - Waiver
  - Intercept
  - Write-Off
- Trust Fund
- Correspondence
- Workflow
- General Functions

- Account Management
  - Audits
  - Forms Maintenance
  - Edits / Validation / Business Rules
  - Events / Scheduling
  - Interfaces / Interoperability
  - Notes
  - Online Help
  - Search
  - Security
  - User Interface

In addition, the solution's Data Warehouse functionality will be utilized to support converted reference data and data received from external sources for use within the proposed solution.

✓= Applies	Enterprise Architecture Solution Assessment	
	• Architecture Overview (FAST Version)	
1	• **Server/Application Hosting**	*Comments*
✓	Internally Hosted	
✓	Externally Hosted	
	Internally & Externally Hosted	
2	• **User Interface Type**	*Comments (e.g. version or release)*
✓	Browser	
	Citrix	
✓	Client	
	Mobile Browser	
	Mobile Client	
	Terminal	
	Other (explain =>)	
3	• **Supported Browsers (Internet)**	*Comments*
✓	Internet Explorer 6.x (intranet)	• Internet Explorer 6.0 under Windows XP • Internet Explorer 7 or 8 under Windows Vista or Windows 7
✓	Firefox 3.0.x (internet)	• Firefox 3.0 or higher
✓	Chrome 3.0 (internet)	• Chrome 3.0 or higher
✓	Safari 4.x (internet)	• Safari 2.0 or higher
	Other (explain =>)	
4	• **Data Exchange Interface**	*Comments (e.g. version or release)*
	EDI (industry protocol)	
✓	Flat File (private protocol)	
✓	Web Service	
✓	XML	
	Other (explain =>)	
5	• **System Access**	*Comments*
✓	Internal (SOM)	GenTax
	External (public)	
✓	External (authorized)	e-Services (Taxpayer Access Point)
	Mixed (internal-external)	
6	• **User Access**	*Comments*
✓	Internet	• GenTax and Discovery
✓	Intranet	• GenTax and Discovery
	Local Government (LGNet)	
✓	Public facing internet	• e-Services
	Kiosk terminal	
	Vendor Net	
✓	VPN	• GenTax

✓= Applies	Enterprise Architecture Solution Assessment	
	• Architecture Overview (FAST Version)	
	Other (explain =>)	
7	• Data Classification	Comments
✓	Non-sensitive	
✓	Sensitive w/ personal ID info	
✓	Sensitive w/ no personal ID info	
	Not classified	
	Other (explain =>)	
8	• PCI-DSS Compliance Needed?	Comments
	Yes	
✓	No	The proposed solution does not store, track, or record credit card information.
9	• Data Audit Trail Implementation	Comments
✓	Application Code	
✓	Database Audit Files	
	Database Triggers	
	Stored Procedures	
	Other (explain =>)	
10	• IT Services (Centers of Excellence)	Comments
✓	x86 Virtualization	• VMware vSphere 4.1 Enterprise • VMware vCenter Server 4 Std. • VMware hosts licensed for Windows 2008 R2 Datacenter (Per CPU)
	Address Verification	
	Business Objects Reporting	
	Extract Transform Load (ETL)	
	Citrix Virtualization	
11	• Enterprise Data Storage	Comments
✓	SAN	
	CAS / NAS	
	Internal Disk	
	Other (explain =>)	
12	• Database (RDBMS)	Comments
✓	MS SQL Server 2008	Recommend SQL Server 2008 R2
	MySQL 5.1	
	Oracle 11g	
	TeraData A28V2R6.2 / 12.0	
	Other (explain =>)	
13	• Database Modeling Tools	Comments
	Erwin 7.x	
✓	MSSQL Server Mgmt Studio (match db)	
	MySQL Workbench (match db)	
	Oracle Designer (match db)	

✓= Applies	Enterprise Architecture Solution Assessment • Architecture Overview (FAST Version)	
	TeraData Utilities (match db)	
	Other (explain =>)	
14	• **Development Framework**	***Comments***
✓	.NET Framework 3.5	
	Java J2EE 5.x	
	Other (explain =>)	
15	• **Development Platform**	***Comments***
	Eclipse 3.x	
	Hibernate 3.x	
	IBM Websphere Integration Developer 6.x	
	Microsoft SilverLight Expression 2.x	
✓	Microsoft Visual Studio 2008	Visual Studio 2008/2010 Professional
	Oracle JDeveloper 11g	
	Spring 2.5	
	Struts 2.x	
	XML Spy 2009	
✓	Other (explain =>)	• Adobe Robo Help • Adobe Captivate • IDM Ultra Edit
16	• **Development Language**	***Comments***
	ASP .NET	
	CSS Level 2	
	Microsoft C#	
✓	Microsoft VB.Net	
	Java	
	JavaScript	
	JDK 6.x	
	PHP 5.2	
	Other (explain =>)	
17	• **Markup Languages**	***Comments***
	HTML 4.x	
	XML Schema 1.1	
	XSLT 2.0	
	XHTML 2.0	
18	• **Presentation (Web) Server**	***Comments***
	Apache HTTPD 2.2.x	
	IBM Websphere IHS 6.1	
✓	Microsoft IIS 7.0	e-Services Web Server with Windows 2008 Web Edition
✓	Other (explain =>)	Microsoft Windows Communication Foundation using http.sys.

✓= Applies	Enterprise Architecture Solution Assessment	
	• Architecture Overview (FAST Version)	
19	• Application Server	Comments
✓	.NET Framework 3.5	
	IBM WebSphere 6.1	
	JBoss 5.x	
	Oracle C4J	
	Other (Explain)	
20	• HW Platform	Comments
✓	Dell	
	HP	
	IBM AIX	
	Sun	
	Unisys Mainframe	
✓	x86 Virtualization	
	Other (explain =>)	
21	• Server OS	Comments
	Linux Redhat Enterprise Server 5.x	
	Linux SUSE Enterprise 10.x	
✓	Microsoft Windows 2008	Recommend Windows 2008 R2
	Unix HPUX 11i v3	
	Unix Sun Solaris 10.x	
✓	VMWare vSphere 4	
	Other (explain =>)	
22	• Document Management	
	EMC Documentum 6.5	
	FileNet Content Services 5.4	
	FileNet Document Mgmt P8	
	HP Trim (standard)	
	PaperPort 10	
	MS SharePoint Server 2007 EE	
✓	Other (explain =>)	GenTax Imaging Manager provides integrated document management. Imaging Manager is not included in our proposed solution, however, since we are proposing to interface with FileNet as required by the RFP.
23	• Centralized Printing	Comments
✓	DMB consolidated print center	
	Other (explain =>)	
24	• Testing Tools	Comments
	Junit 4.x	
	LoadRunner 9.x	
	Microsoft Team Foundation System	
	Quick Test Pro 10.x	
	Selenium 1.x	

✓= Applies	Enterprise Architecture Solution Assessment	
	• **Architecture Overview (FAST Version)**	
✓	Other (explain =>)	Integrated testing utilities
25	• **Identity Management (Network)**	***Comments***
✓	Active Directory 2008	For LDAP-based user authentication
	Other (explain =>)	
26	• **Identity Management (Application)**	***Comments***
	Novell e-Dir 8.8.x	
✓	Other (explain =>)	GenTax Security Manager for integrated user authentication
27	• **Project Management**	***Comments***
	Clarity 12.0	
✓	MS Project 2007	
	Other (explain =>)	
28	• **Requirements Gathering**	***Comments***
	Compuware Optimal Trace 5.x	
✓	Microsoft Office	
✓	Microsoft Visio	
✓	SUITE/SEM templates	Please see response Tab 4 (Methodology)
	Rational Requisit Pro 7.1	
	Serena Dimensions 2009 R1.x	
✓	Other (explain =>)	Microsoft Excel
29	• **Design Tools**	***Comments***
✓	Microsoft Visio	
✓	MSSQL Server Mgmt Studio (match db)	
	Rational Rose 7.0	
	Serena Prototype Composer 2009 R1.x	
	Other (explain =>)	
30	• **Version Control**	***Comments***
	Microsoft Team Foundation System	
	Serena Dimensions (PVCS Mgr) 2009 R1.x	
	Subversion 1.6	
✓	Other (explain =>)	Proprietary code repository and migration tools included
31	• **Message Queuing**	***Comments***
	Apache Active MQ 5.3	
	IBM Websphere MQ 6.x, 7.x	
✓	Other (explain =>)	Our proposed solution handles message queuing within the architecture.
32	• **Business Integration**	***Comments***
	JBoss SOA 4.3	

✓= Applies	Enterprise Architecture Solution Assessment	
	• **Architecture Overview (FAST Version)**	
	Websphere Message Broker 6.x, 7.x	
✓	Other (explain =>)	Our proposed solution is compatible with industry standard service oriented architecture (SOA) bus technologies.
33	• **Database Tools**	***Comments***
	DBArtisan 8.6	
	Infosphere Information Svr v8.1	
✓	MSSQL Server Mgmt Studio (match db)	
	MySQL Workbench (match db)	
	Oracle Developer Suite (match db)	
	Oracle Enterprise Manager (match db)	
	Oracle SQL Developer (match db)	
	TeraData Utilities (match db)	
	Other (explain =>)	
34	• **Reporting Tools**	***Comments***
	ActivePDF 2009	
	ActiveReports 4.0	
	Crystal Reports XI R2, 2008	
	Crystal Xcelsius 2008	
	Crystal Reports for Eclipse 2.x	
	MSSQL Reporting Services (match db)	
	Oracle Reports (match db)	
✓	Other (explain =>)	PDF-based reporting tools (Active Reports) integrated solution based on Active Reports. Active Reports integrated reporting tools and managers are included in our proposed solution.
35	• **End-User Tools**	***Comments***
	Business Objects (BO) XI R2, 3.x	
	Oracle Discoverer (match db)	
	Other (explain =>)	
36	• **Deployment Tools**	***Comments***
	Microsoft Team Foundation System 2008	
	Serena Dimensions CM Mover 2009, 2.3	
	Other (explain =>)	
37	• **Build Tools**	***Comments***
	Apache Ant 1.7.1	
	Apache Maven 2.1.x	
	Microsoft Team Foundation System 2008	
	Serena Dimensions CM Builder 2009 R1.x	
✓	Other (explain =>)	GenTax visual studio add-in for compiling
38	• **Job Schedulers**	***Comments***
	BL/Sched 5.2	

✓= Applies	Enterprise Architecture Solution Assessment	
	• **Architecture Overview (FAST Version)**	
	Tidal Enterprise Scheduler 5.3.1 & 6.0	
	UC4 Global 5.0	
	UC4 Op Mgr 6.0 & 8.0	
✓	Other (explain =>)	GenTax System Manager for integrated job scheduling
39	• **GIS Technologies**	***Comments***
	ArcIMS 9.3	
	ArcGIS Server 9.3	
	ArcSDE 9.3	
	Erdas ADE Rel. 2	
	ER Mapper Image Server 7.2	
	Oracle Spatial (match db)	
	Oracle MapView (match db)	
✓	Other (explain =>)	Capable of interfacing geocoding services via web services.
40	• **Issue & Defect Tracking**	***Comments***
	Bugzilla 3.2.5 & 3.4.2	
	Clear Quest Chg Mgmt Suite 7.5	
	Microsoft Team Foundation System 2008	
	Serena Mashup Composer 2009 R1.x	
✓	Other (describe =>)	Integrated issue & defect tracking tools included with proposed solution.

Enterprise Architecture Solution Assessment

- **Disaster Planning (Section to be completed by SOM)**

Business continuity requirements.	**Describe below**
The business requirement(s) that determine the amount of time and the operational availability of the application to the end-user.	The State of Michigan expects the Tax, Benefits & Wages integrated application solution to be available 24 hours/day, Monday through Saturday. All Claimant or Employer facing application portals are expected to be available 24 hours/day, 7 days/week. All Maintenance & Support will be conducted on Sunday from 6:00 am to 3:00 pm EST, and must be scheduled with advance notice to UIA staff.

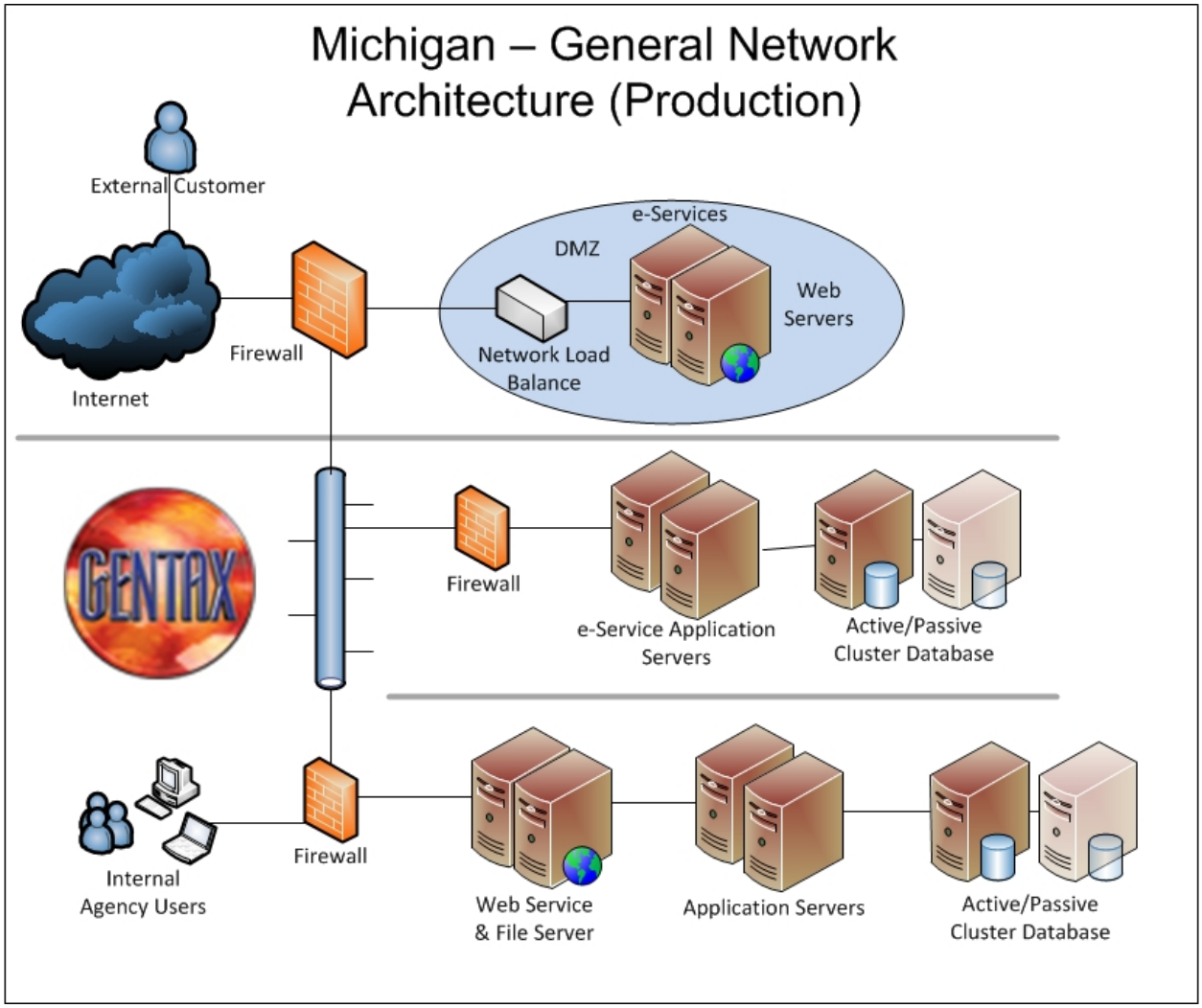
Select Only One (1)	***Availability Requirement Category – Availability Requirement is divided into three different levels. These levels define the continuous service availability requirements of the application. Based on the following definitions, please indicate the level of availability required for this Business Function / Application.***
	Urgent *- Business Function / Application outage has potential to cause loss of life or risk of injury to a citizen. 99.99% availability (<45 minutes of downtime / month). If an Urgent priority application is not available, DTMB will work to resolve the incident 7 x 24 x 365. If the incident occurs after normal business hours, on-call staff (where available) will be called in to resolve the incident. DTMB staff will continue to work the issue during and after business hours until the incident is resolved, and the application service restored.*
YES	***High*** *– Business Function / Application outage will have a high non-life threatening impact on the public. If this application is not available, there may be an adverse impact on a large number of business clients who use the application. The lack of application availability may also be considered politically sensitive. 99.5% availability (<3.5 hours of downtime / month). DTMB will work to resolve the incident 7 x 24 x 365. If the incident occurs after normal business hours, on-call staff (where available) will be called in to resolve the incident. DTMB staff will continue to work the issue during and after business hours until the incident is resolved, and the application service restored.*
	Medium *– Business Function / Application not meeting the Urgent or High criteria will be assigned Medium priority status; this default will be considered the third priority and reflect a situation where there is no risk of personal injury, and the public is not being directly effected. 98% availability (<15 hours of downtime / month). If there is an issue with a medium priority application, work to resolve the incident will be handled during normal DTMB Business hours (typically 8:00 am-5:00 pm, Monday-Friday. If the problem is not resolved at the end of the business day, staff will return to work the next business day, and continue the resolution process until the service is restored*

- **Recovery Point and Time Objectives**

Select Only One (1)	***Recovery Point Objective (RPO) is the maximum amount of data loss a business function can sustain during an event.***		***Select Only One (1)***	***Recovery Time Objective (RTO) is the maximum amount of time that can elapse until a system / application / function must be returned to service.***
	2 hours			2 hours
✓	4 hours			4 hours
	6 hours		✓	6 hours
	8 hours			8 hours
	24 hours			24 hours
	72 hours			72 hours
	Other			Other

Enterprise Architecture Solution Assessment

- **Server/Network Diagram (FAST Version)**



APPENDIX F: DRAFT PROJECT SCHEDULE
(INCLUDED AS A SEPARATE DOCUMENT)